

Amāna Bank



It's *Your* Bank

INTERWOVEN FOR IMPACT

Amāna Bank PLC | Annual Report 2025



INTERWOVEN FOR IMPACT

Impact is not created in isolation. It is shaped through our culture, interwoven across every connection — between the values we believe in and our actions, between our unique model and our people who uphold it, between the profit we envisage and the fairness we ensure, and between the growth we pursue and the responsibility we undertake. Like threads in a finely woven pattern, each element gains strength when brought together, forming something resilient, meaningful, and enduring.

At Amāna Bank, creating impact lies at the heart of our unique non-interest based banking model. It is a model designed not merely to finance, but to empower — one that is development-focused, people-friendly, and grounded in ethical principles. Every financing solution we offer, every relationship we nurture, and every decision we make is guided by our commitment to fairness, shared prosperity, and long-term value creation.

Our approach ensures that growth is inclusive and responsible. By aligning our financial solutions with real economic activity and the wellbeing of our customers, we enable individuals, businesses, and communities to progress with confidence and dignity. This is how we bring our mission of enabling growth and enriching lives to life — not just as a statement, but as the measurable and lasting impact we create.

As we continue to grow, these interwoven connections become stronger — fortified by trust, guided by purpose, and driven by a shared vision for a better future.

Because... when creating impact is inherently built into every thread of what we do, progress becomes not only sustainable, but truly transformative for generations to come.

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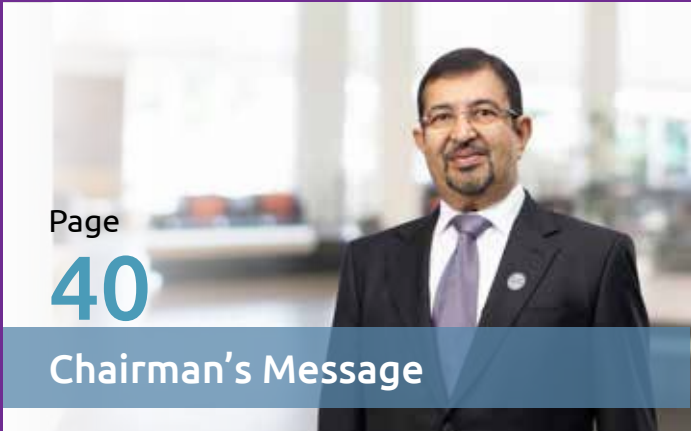
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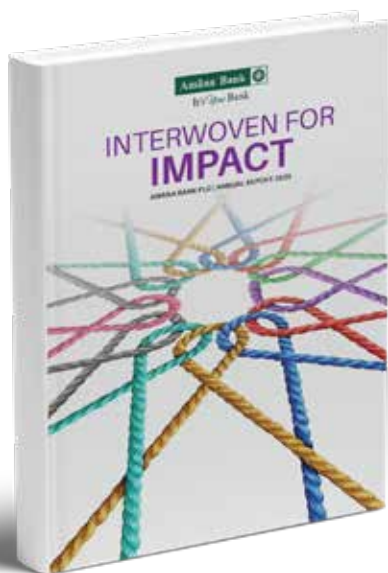
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Welcome to the 4th Integrated Annual Report of Amāna Bank PLC



This integrated report can be
accessed through the Bank's
website

OVERVIEW

This report outlines the continuity of strategic initiatives undertaken by the Bank over the past few years, to drive sustainable growth, strengthen resilience, and create long-term value for stakeholders.

Consistent with the Bank's commitment to transparency and continuous improvement, the report incorporates enhanced quantitative and qualitative disclosures to depict both financial and non-financial outcomes, thus providing a more comprehensive and integrated view of Amāna Bank's performance and progress for the year.

SCOPE AND BOUNDARY

The integrated report for 2025 covers the activities of Amāna Bank PLC for the period 1 January 2025 to 31 December 2025 which coincides with the Bank's annual financial reporting period.

TARGET AUDIENCE

This report is intended to provide relevant and meaningful information to Amāna Bank's stakeholders encompassing shareholders, customers, employees, suppliers, business partners, regulators, and the wider community.

KEY IMPROVEMENTS CAPTURED IN THE 2025 REPORT

Inclusion of a comprehensive chapter illustrating alignment with Sustainability disclosures set out under SLFRS S1 & S2 - pages 69 to 73.

AMĀNA BANK'S INTEGRATED REPORTING PROCESS

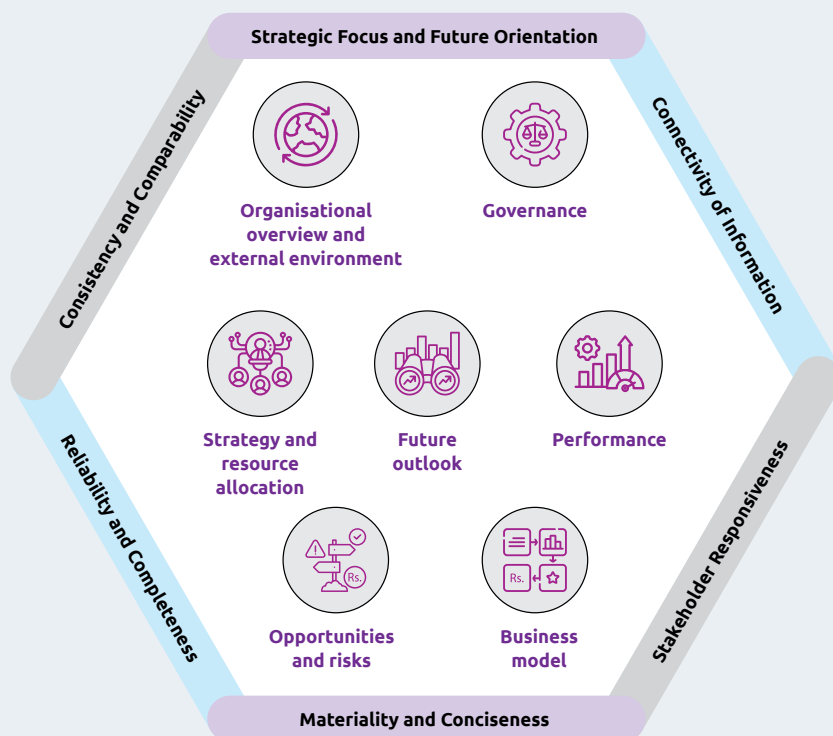
Amāna Bank PLC's Annual Report for 2025 has been prepared in alignment with the International Integrated Reporting Council's <IR> Framework.

In keeping with the approach, the principle of Materiality forms the basis for the preparation of its integrated report. The 16 Material Topics applicable for the current report are shown in the Materiality section on page 64.

Likewise, the report also places strong emphasis on the connectivity of information, by providing greater clarity on the elements that contribute towards refining strategy, risk, governance frameworks and optimising the deployment of resources across the six capitals, while taking into account the evolving external environment, including regulatory developments, market conditions, and sustainability-related trends.

The report also presents a forward-looking perspective, outlining the Bank's short- and long-term strategic priorities to illustrate how stakeholder value will likely be created, preserved, and enhanced over time.





The 7 Guiding Principles and 8 Content Elements from the IIRC (reproduced from the <IR> framework)

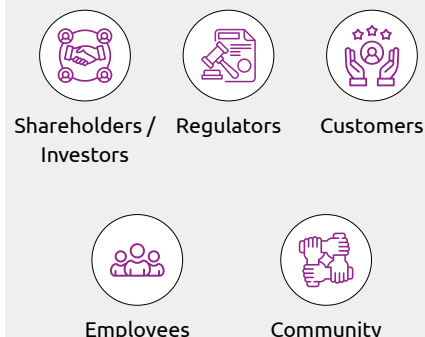
GUIDING PRINCIPLES

- ◆ **Strategic focus and future orientation:** Description of the strategy of the company and its relation to value creation and capitals.
- ◆ **Connectivity of information:** Relates to the interrelatedness of the factors that affect the organisation's ability to create value over time.
- ◆ **Stakeholder relationships:** Description of the key stakeholders, including how the stakeholder's interests are taken into account.
- ◆ **Materiality:** Relates to the number of disclosures about matters that affect the organisation's ability to create value.
- ◆ **Conciseness:** Relates to the concise format of the report.
- ◆ **Reliability and completeness:** Relates to the balanced, complete character of the report, which should not include any material errors.
- ◆ **Consistency and comparability:** Relates to the consistency and comparability of the information within the report.

CONTENT ELEMENTS

- ◆ **Organisational overview and external environment:** Description of the organisation and the external environment (e.g. competition).
- ◆ **Governance:** Description of the governance structure and its relation to value creation.
- ◆ **Business model:** Description of the business model with input, output and capitals included.
- ◆ **Risks and opportunities:** Description of the risks and opportunities and the risk mitigation system.
- ◆ **Strategy and resource allocation:** Description of the concrete strategy of the company, both short-term and long-term focused.
- ◆ **Performance:** Description of the results, compared with targets, previous years and capitals.
- ◆ **Outlook:** Description of the future challenges in relation to the company.
- ◆ **Basis of preparation and presentation:** Description of the materiality determination process, reporting boundaries and frameworks used.

STAKEHOLDERS



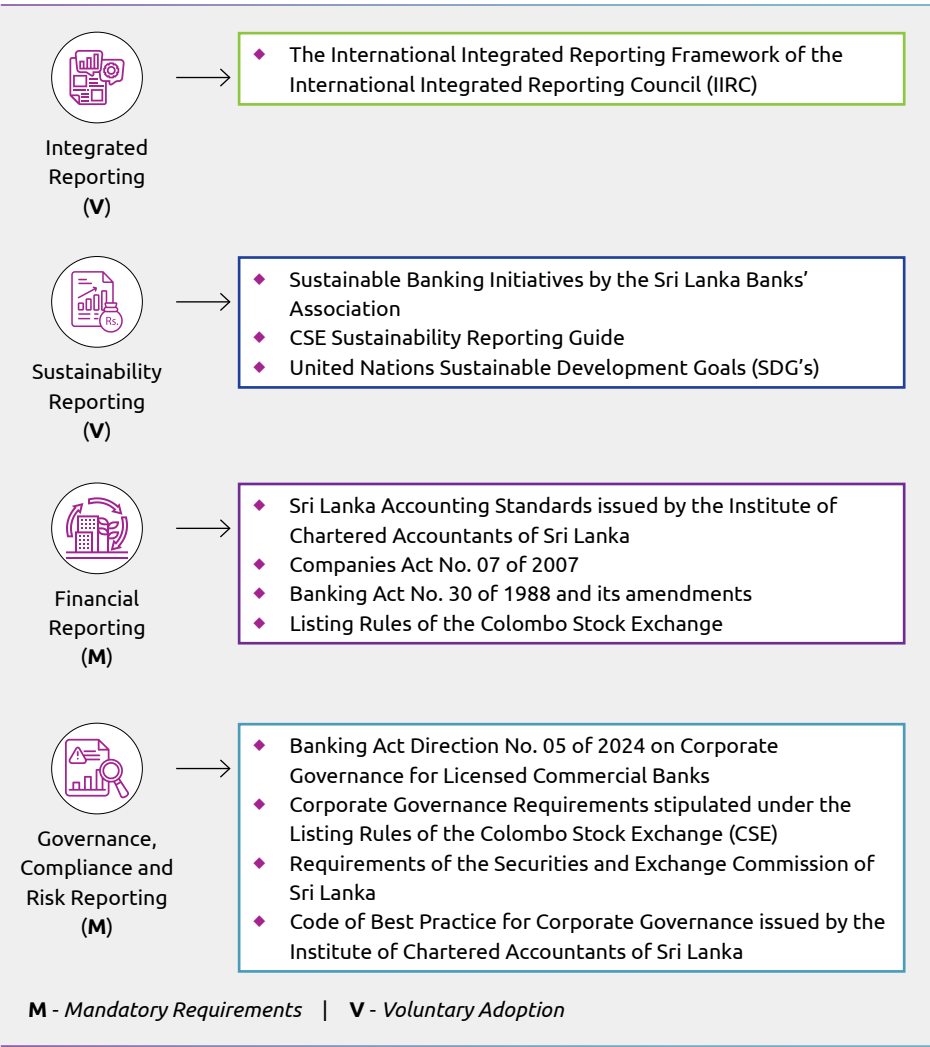
STRATEGIC COMMITMENTS



CAPITALS



REPORTING FRAMEWORKS



internal and external factors, including changes in economic conditions, regulatory developments, and market dynamics.

Accordingly, readers are cautioned not to place undue reliance on these forward-looking statements, as they are subject to inherent uncertainties and risks. The Board of Directors of Amāna Bank PLC does not undertake any obligation to revise or update such statements after the date of publication, whether as a result of new information, future events, or other developments.

The Board further confirms that there have been no restatements of information contained in prior Annual Reports of the Bank, unless otherwise stated, thereby ensuring the consistency, reliability, and integrity of the financial and non-financial disclosures presented.

BOARD RESPONSIBILITY STATEMENT

The Board of Directors of Amāna Bank PLC is responsible for the accuracy, completeness, and integrity of this Integrated Annual Report. Having collectively reviewed the reporting process and the disclosures contained therein, the Board is satisfied that the Integrated Annual Report for 2025 has been prepared in compliance with all applicable regulatory requirements and is aligned with globally recognised reporting best practices.

The Annual Report of the Board of Directors, presented on pages 194 to 199, includes a formal statement outlining the Directors' responsibilities in relation to the preparation and presentation of the Annual Report.

FEEDBACK

In its endeavour to continuously improve the quality of its reports, the Bank welcomes feedback on the effectiveness of this report.

Any feedback and queries should be directed to:

The Company Secretary
Company Secretarial Division
Amāna Bank PLC
3rd Floor, No. 353, Galle Road, Colombo 3,
Sri Lanka.
Tel: +94 11 7757400
(Weekdays between 9 am to 5 pm)

ASSURANCE

Assurance over the contents of this Integrated Annual Report is derived through a combination of internal governance processes and independent external review. To that end, relevant information disclosed in the Report is first validated by the respective Members of the Management Committee and subsequently reviewed by the relevant Board Sub-Committees and/or the Board of Directors.

In addition, independent external assurance has been provided by the Bank's External Auditors, Messrs. Ernst & Young, on the accuracy and completeness of the Financial Statements for the year ended 31 December 2025, as set out on pages 248 to 251.

FORWARD-LOOKING STATEMENTS

This Integrated Annual Report contains certain statements that may be regarded as forward-looking in nature. Such statements are based on the information available at the time of preparation and reflect the Bank's current expectations, assumptions, and outlook on future performance. However, actual outcomes may vary materially as a result of a range of



VISION

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.



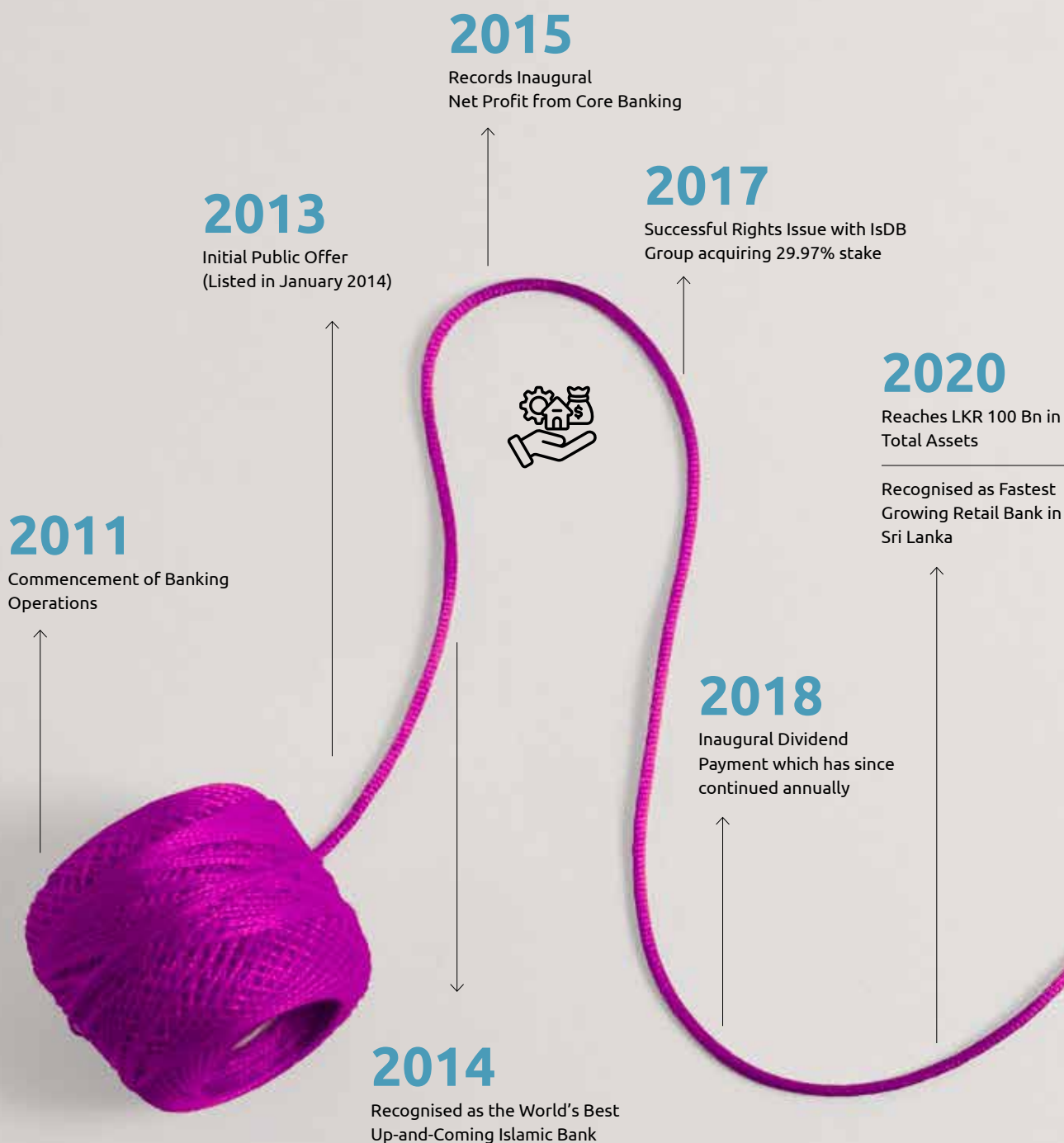
MISSION

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



VALUES

- ◆ We believe that you have a right to be treated fairly
- ◆ We believe that one should not gain at the expense of another
- ◆ We believe that being responsible and ethical is as important as making profits and gains
- ◆ We believe that entrepreneurship should be encouraged and given a fair opportunity to succeed
- ◆ We believe that the best of actions are the ones which create true happiness in people
- ◆ We believe that you feel the same way we do



2021

Ranked among the World's Top 50 Strongest Islamic Banks (Asian Banker)

Achieves LKR 1 Bn in PBT



2023

Crosses LKR 20 Bn in Equity Capital through successful Rights Issue

Reaches LKR 150 Bn in Total Assets

Surpasses LKR 2 Bn in PBT and LKR 1 Bn in PAT

Customer locations increase to 60



2022

Crosses LKR 100 Bn in Customer Deposits

2025

Crosses LKR 200 Bn in Total Assets and LKR 25 Bn in Equity

Advances surpass LKR 150 Bn

Reaches LKR 4 Bn in PBT and LKR 2.5 Bn in PAT

Recognised as Most Impactful ICD Investee Company at ISDB Private Sector Forum Awards

Recognised as Best Bank in Sri Lanka by Indian Chamber of Commerce Emerging Asia Banking Awards (adudicated by PwC India)

2024

Fitch upgrades Amāna Bank's National Long Term rating to an Investment Grade rating of BBB-(lka) with Stable Outlook

Customer Deposits surpass LKR 150 Bn

Customer Advances surpass LKR 100 Bn

Ranked among the World's Top 25 Strongest Islamic Banks (Asian Banker)

**ALI ASGHAR (ASGI) AKBARALLY**

Chairman, Non-Executive, Non-Independent Director

**MOHAMED AZMEER**

Managing Director/CEO

**KHAIRUL MUZAMEL PERERA BIN
ABDULLAH**

Non-Executive, Senior Independent Director

**MOHAMMED ATAUR RAHMAN CHOWDHURY**

Non-Executive, Non-Independent Director

**SYED MUHAMMED ASIM RAZA**

Non-Executive, Non-Independent Director

**TISHAN SUBASINGHE**

Non-Executive, Independent Director

**MOHAMED ADAMALY, PC**

Non-Executive, Independent Director

**MOHAMMAD HASSAN**

Non-Executive, Non-Independent Director

**DELVIN WILLIAM PEREIRA**

Non-Executive, Independent Director



MOHAMED ZAHEER MOHAMED AZREEN
Non-Executive, Independent Director



SENTHILVERL SENTHI NANDHANAN
Non-Executive, Non-Independent Director



MUSTAFA SATTAR KASSIM
Non-Executive, Non-Independent Director



PROF. DR. AISHATH MUNEEZA
Non-Executive, Independent Director



S DAYANI DE SILVA
Company Secretary

ALI ASGHAR (ASGI) AKBARALLY*Chairman**Non-Executive, Non-Independent Director***Date of Appointment**

18 July 2020

Committee Membership

Member

- ◆ Board Human Resources and Remuneration Committee
- ◆ Board Nomination and Governance Committee
- ◆ Board Credit Committee

Qualifications, Expertise and Experience

Ali Asghar (Asgi) Akbarally is the Managing Director of Akbar Brothers (Pvt) Ltd, one of Sri Lanka's largest diversified corporates, globally renowned for its tea exports. Asgi Akbarally holds directorship in multiple subsidiaries and affiliates of the Akbar Group covering sectors such as Manufacturing, Property Development, Hotels & Leisure, Power Generation, Packaging & Printing, Logistics and Environmental Services. He is the Deputy Chairman of WindForce PLC, Chairman of Hermitage Resorts (Pvt) Ltd, Uthurumaafaru Holding (Pvt) Ltd, Maldives, Laviyani Holdings (Pvt) Ltd and Cocoon Investments (Pvt) Ltd, Maldives. He also held a Director position at Alumex PLC.

Asgi Akbarally is currently the Honorary Consul of the Hashemite Kingdom of Jordan. He holds a BSc Degree in Industrial Engineering from the California State University and is a Fellow Member of the Institute of Certified Professional Managers. A classic car enthusiast, Asgi Akbarally has authored a coffee table book on "Classic and Vintage Automobiles of Ceylon" and is the Patron of the Classic Car Club of Ceylon.

**Other Current Directorships - 17 Companies
Unlisted Companies***Executive Capacity*

- ◆ Akbar Brothers (Private) Limited
- ◆ Akbar Brothers Exports (Private) Limited
- ◆ Falcon Trading (Private) Limited
- ◆ Falcon Development (Private) Limited
- ◆ Chadstone Holdings (Private) Limited
- ◆ Quick Tea (Private) Limited

Non-Executive Capacity

- ◆ Laviyani Holdings (Pvt) Ltd
- ◆ Hermitage Resorts (Private) Limited
- ◆ Uthurumaafaru Holdings (Pvt) Limited – Maldives
- ◆ Flexi Print (Private) Limited
- ◆ Stella Plastic (India) (Pvt) Limited
- ◆ Kassanfaru One (Pvt) Limited, Maldives
- ◆ AB Lagoon (Pvt) Limited, Maldives
- ◆ Joy Resorts (Pvt) Limited, Maldives
- ◆ Cocoon Investments (Pvt) Limited
- ◆ Land and Building Limited

Listed Companies*Executive Capacity*

- ◆ WindForce PLC

MOHAMED AZMEER*Managing Director/CEO***Date of Appointment**

27 April 2022

Committee Membership

None

Qualifications, Expertise And Experience

Mohamed Azmeer, Managing Director/CEO of Amāna Bank, is a seasoned banker with a career spanning over 40 years holding senior positions at leading financial institutions globally, including CitiBank, Al Rajhi Bank and Sharjah Islamic Bank.

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking throughout his illustrious career, both locally and internationally, which spanned over 30 years. Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman.

Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd., LankaClear, the national payment and clearing association of Sri Lanka, and was the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd. Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

KHAIRUL MUZAMEL PERERA BIN ABDULLAH

Non-Executive, Senior Independent Director

Date of Appointment

8 June 2023

Senior Independent Director with effect from 23 January 2025

Committee Membership

Chairman

- ◆ Board Integrated Risk Management Committee

Member

- ◆ Board Nomination and Governance Committee

Qualifications, Expertise and Experience

Khairul Muzamel Perera has over 35 years of banking related experience in Malaysia, including stints at a credit rating agency and a national asset management institution. He retired from Bank Islam Malaysia Berhad (BIMB) in October 2022, having served as the Group Chief Credit Officer (GCCO) overseeing the Credit Management Division at BIMB. His key function as the GCCO was to manage the asset quality of the bank which he undertook by overseeing the credit analysis function (pre-approval transactional credit), credit analytics (model development and maintenance – retail and non-retail) the central financing processing function which handled the end-to-end processing and approval of all retail financing and the Valuation unit which oversees all collateral valuations in the Bank. He Chaired the Financing Committees and the Underwriting & Investment Committee in the Bank.

Arising from his involvement as the Banks representative in the Joint Committee for Climate risk management spearheaded by Bank Negara, he initiated the development of an Environmental Social and Governance (ESG) Framework to introduce the assessment of Climate related risks in the credit risk

process in line with Bank Negara's Climate Change Principles based taxonomy and set up an ESG unit in the Bank to oversee the introduction of ESG risks and its impact on the Banks financing portfolio.

He is currently the Chairman (Independent) of the Investment Committee of BIMB Investment Management Berhad, a wholly owned Fund Management subsidiary of the Bank. A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London and a Chartered member of the Chartered Institute of Islamic finance professionals, Malaysia.

**MOHAMMED ATAUR RAHMAN
CHOWDHURY***Non-Executive, Non-Independent Director***Date of Appointment**

16 January 2018

Committee Membership

Member

- ◆ Board Integrated Risk Management Committee
- ◆ Board Human Resources and Remuneration Committee
- ◆ Board Nomination and Governance Committee

Qualifications, Expertise and Experience

Mr. Mohammed Ataur Rahman Chowdhury is a seasoned financial and strategic advisory specialist with over 25 years of experience across the Middle East, North Africa, West Africa, Central Asia, and Southeast Asia. He has held senior roles spanning direct financing, investment banking, commercial banking, FI equities, board representation, and institutional turnarounds.

Since joining in 2007, Mr. Chowdhury has served as Acting Director, Equity Department & Head of Banking Investments at the Business Solution Complex, Islamic Corporation for the Development of the Private Sector (ICD) - the private sector arm of the Islamic Development Bank (IsDB) Group. In this role, he provides strategic direction, advisory, and financial solutions to investees and partner institutions across banking, Ijarah (leasing), mortgage financing, takaful, liquidity management, and investment company operations, supporting their journey to profitability and sustainability.

He led investment management, the establishment, and strategic development of over 30 institutions, including Islamic Financial Institutions, and currently manages an aggregate portfolio exceeding USD 350 million. At present, He spearheads several transformative initiatives, including the creation of new Islamic banks (including spin-

offs), regional expansion, reverse linkage, Shariah-compliant quasi-equity, capital mobilisation, and climate-resilient impact investments in the private sector across ICD member countries. His leadership also drives financial channel strategies connecting Non-OIC countries, further enhancing ICD's global reach and strategic impact.

A veteran board member, Mr. Chowdhury has a proven track record of transforming loss-making institutions into profitable organisations. He joined the Board of Taiba Finance in Uzbekistan in April 2022 and is currently leading its transformation into a full-fledged Islamic bank. He also represents ICD on the Board Risk Committee of the International Islamic Liquidity Management Corporation (IILM) in Malaysia, established by eight central banks to provide USD-denominated short-term liquidity solutions to the global financial sector. Previously, he served as a Board member of Maldives Islamic Bank Limited (2012–2022), playing a key role in its foundation, growth, and public listing. He has also served as Adviser, Financial Institutions for the European Bank for Reconstruction and Development (EBRD) in London, UK, on secondment from ICD.

Before ICD, Mr. Chowdhury spent seven years in Bangladesh's financial sector, holding senior roles including Corporate Relationship Manager at Commercial Bank of Ceylon Limited (Bangladesh operations), Investment Manager at IPDC, the country's first development financial institution, and Senior Investment Analyst at BRAC-EPL, a leading investment bank.

He holds an MBA in Finance from IE Business School, Spain, an MBA in Finance & Accounting from North South University, Bangladesh, and a Diploma in Board Certification of Company Direction from the Institute of Directors, United Kingdom.

Other Current Directorships – 1 Company

- ◆ FC Taiba Leasing LLC, Uzbekistan

SYED MUHAMMED ASIM RAZA*Non-Executive, Non-Independent Director***Date of Appointment**

20 October 2018

Committee Membership

None

Qualifications, Expertise and Experience

Syed Muhammed Asim Raza has over thirty-eight years of diverse experience in the banking and engineering industries at the senior management level. He is well versed in all aspects of public and private sector projects and equity financing including identification, preparation, due diligence, implementation, and post implementation activities. He has vast experience in remedial asset management which involves the recovery of classified portfolio through restructuring, liquidation, and litigation activities. Currently attached to the Islamic Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for the trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as the establishment of commercial real estate projects on idle endowment land for transforming them into revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million. Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions. He served as Vice President at Muslim Commercial Bank and Vice President at Atlas Investment Bank Limited. He worked for twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan. Mr. Raza holds a bachelor degree in Mechanical Engineering and a Master in Business Administration. He is a member of various Engineering Councils and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.

TISHAN SUBASINGHE*Non-Executive Independent Director***Date of Appointment**

26 August 2020

Senior Independent Director (1 February 2024 to 23 January 2025)

Committee Membership

Chairman

- ◆ Board Audit Committee
- ◆ Board Related Party Transaction Review Committee

Qualifications, Expertise and Experience

Tishan Subasinghe, is a Fellow and President of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and an Attorney-at-Law. He is the Managing Director and Joint Managing Partner of Moore Consulting (Private) Limited and Moore Aiyar respectively. Before that he was the Head of Audit and Assurance at BDO Partners. He was also the Chairman of Sanasa General Insurance Company Limited and resigned during 2025. He was also a Council Member of the University of Moratuwa for over five years. Tishan is an ex-officio member of the Securities and Exchange Commission and an ex-officio board member of the Sri Lanka Accounting and Auditing Standards Monitoring Board. His profession also expanded overseas where he had work experience with PricewaterhouseCoopers (PwC) in New York, Philadelphia, Chicago, and Botswana spanning several years. As a member of CA Sri Lanka, Tishan has served as the Chairman of the Annual Report Awards Committee, National Conference Committee, and Examinations Committee. He also held the post of Vice President of the Young Chartered Accountants Forum (YCAF). Tishan is a Certified Information Systems Auditor (CISA-USA) and has an MBA in Finance from the University of Colombo with a Gold Medal and has earned an LLB (Hons.) degree from the Buckinghamshire New University. He is also a visiting lecturer at several Government Universities and has also conducted international training in Maldives

and Bhutan. He is a board member of the South Asian Federation of Accountants (SAFA) and the Confederation of Asian and Pacific Accountants (CAPA). He is also a Council member of the University of Moratuwa.

Other Current Directorships – 5 Companies Unlisted Companies

- ◆ Moore Consulting (Private) Limited (Executive)
- ◆ Moore Aiyar (Executive)
- ◆ Moore LPO Services (Pvt.) Ltd (Executive)

Listed Companies*Non-Executive, Independent Capacity*

- ◆ Kapruka Holdings PLC
- ◆ Samsons International PLC

MOHAMED ADAMALY, PC*Non-Executive, Independent Director***Date of Appointment**

27 August 2020

Re-designated as Independent Director with effect from 6 May 2025

Committee Membership

Member

- ◆ Board Credit Committee

Qualifications, Expertise and Experience

Mohamed Adamaly, President's Counsel, is a leading legal professional in Sri Lanka having a wide Civil Law practice in the Original Courts and Appellate Courts, with a focus on Commercial Law, Labour Law, Insurance Law, and Banking & Credit related laws. Adamaly also specialises in Investment Advisory, Business Set-up/Restructuring Services and Corporate Acquisitions. Adamaly graduated from the Faculty of Law University of Colombo with Honours while also achieving First Class Honours from the Sri Lanka Law College before being admitted as an Attorney-at-law of the Supreme Court of Sri Lanka in 1994. He was elevated to President's Counsel in 2024. Adamaly has served as a visiting lecturer at the University of Colombo and at the Sri Lanka Law College. He also holds a Postgraduate Diploma in Marketing from the Chartered Institute of Marketing (CIM UK) and is a leading lecturer for CIM and formerly for CIMA, in Sri Lanka. In view of his combined legal, marketing and business expertise, Adamaly holds and has held directorships in several public and private companies including in the David Peiris Group, Bogala Graphite Lanka PLC, Assetline Leasing Company Limited and Sinwa Holdings Limited. Adamaly is also a leading thespian and cinema personality in the country and has received the National TOYP Award for his contribution to Drama and Literature.

Other Current Directorships – 11**Companies****Unlisted Companies***Executive Capacity*

- ◆ Synergy Plus (PTE) Limited
- ◆ Palm Stone (Pvt) Limited
- ◆ Soul Resorts (Pvt) Limited
- ◆ Monad (Pvt) Limited
- ◆ Monad Corporate Services (Pvt) Limited
- ◆ S A Lanka (Pvt) Limited
- ◆ Adamantium Investments (Pvt) Limited

Non-Executive, Non-Independent Capacity

- ◆ Blue Sky Luxury Apartments (Pvt) Limited
- ◆ Assetline Lands (Pvt) Ltd

Independent Non-Executive Capacity

- ◆ David Pieris Holding (Pvt) Ltd
- ◆ Assetline Holdings (Pvt) Ltd

MOHAMMAD HASSAN*Non-Executive, Non-Independent Director***Date of Appointment**

18 January 2023

Committee Membership

Member

- ◆ Board Audit Committee

Qualifications, Expertise and Experience

Mohammad Hassan has over 17 years of extensive experience across the Islamic banking and asset management industry in both equity and fixed income investing. He has a deep understanding and is well-versed in financial statement analysis particularly relating to valuation of equity and fixed income instruments as well as utilising tools such as Bloomberg and S&P Capital IQ to build comparable companies and transaction models.

Hassan is currently attached to ICD, the private sector arm of the Islamic Development Bank (IsDB) Group as the Principal of the Banking Equities Department. As a part of his role, Hassan oversees the private equity portfolio of investee banks spread across 8 countries while also involved in reviewing financial models and business plans for potential new investee banks working closely with C-level management of each bank to optimise business strategy in the context of regulatory and macroeconomic developments. Prior to this Hassan was associated as a Co-Portfolio Manager for ICD's fixed income funds including the ICD Money Market Fund and ICD Corporate Premium Fund, 2 high-yield income funds currently having more than \$300 million under management. As part of his Asset Management role in ICD, Hassan was also responsible to many notable fixed income investments and private placements. Prior to joining the IsDB Group, Hassan's professional career included over 5 years in Pakistan's financial sector, including holding the roles of Manager – Business Internal Controls

and Money Market Dealer in Burj Bank, Relationship Manager in Bank Al-Falah and Relationship Associate at Meezan Bank. Hassan is a Chartered Financial Analyst and holds a Bachelor of Science Degree in Industrial Engineering and Management Science from North Western University, USA.

DELVIN WILLIAM PEREIRA*Non-Executive, Independent Director***Date of Appointment**

28 March 2024

Committee Membership

Chairman

- ◆ Board Human Resources and Remuneration Committee
- ◆ Board Credit Committee
- ◆ Member
- ◆ Board Nominations and Governance Committee
- ◆ Board Integrated Risk Management Committee
- ◆ Board Related Party Transaction Review Committee

Qualifications, Expertise and Experience

Delvin Pereira is a highly skilled professional banker with over 35 years of experience, counting 15 years in senior management. He commenced his career at the Commercial Bank of Ceylon Ltd in 1985 and thereafter joined the Seylan Bank, where he ascended the corporate hierarchy, progressing from a branch manager to a regional manager, attaining the position of Deputy General Manager. In this role, he provided dynamic leadership, comprehensive training, and invaluable guidance to a team of over 200 managers, steering them towards the achievement of the organisation's business objectives. His wide range of managerial experience ranges from credit analysis and credit management to SME and Retail banking, Consumer Financing, risk management, trade, and branch business banking. In the process, he has developed a range of management skills covering credit, risk, human resource, trade, operational banking, sales and marketing, service quality, project management, and delinquency which have all been used positively towards the success and growth of his organisation. Further, he has excelled in trade finance, skilfully underwriting trade finance credit lines, and fostering international trade and global partnerships. He was also responsible for setting up the bank's factoring division.

Mr. Pereira honed his extensive banking skills by participating in specialised overseas training programs that covered diverse facets of banking and finance. These included Project Finance, SME and Microcredit, Corporate Finance, Risk Management, Banca-assurance, IFRS/IAS accounting standards, as well as international money laundering and anti-money laundering practices. His enriching learning experiences took place during workshops held in prominent locations such as Singapore, Malaysia, India, and the Philippines. He also actively represented Seylan Bank Plc. at conferences, such as the Asian Bankers Conference in Mumbai, India, in 2004, and the Asia Pacific Banca-Assurance Conference in Manila in 2018. He possesses a Master's in Business Administration from the prestigious University of Western Sydney in Australia, complemented by the esteemed qualification of Certified Management Accountant Australia. He is also a member of the Association of Professional Bankers Sri Lanka

During his tenure, he served on several committees supporting the governance of the organisation, which include the Assets and Management Committee (ALCO), Integrated Risk Management Committee, Credit Committee, and Procurement Committee, among others. In risk management, he played a pivotal role in formulating and executing a comprehensive Credit Risk Management (CRM) policy and Customer Credit Rating framework, ensuring regulatory compliance and sound risk practices. Additionally, his project management skills were evident as he led the successful implementation of the BASEL II risk management framework and the Movement Account Delinquency Management program. He also contributed to the adoption of IAS/IFRS accounting standards by serving on its committee as an active member.

Beyond his professional career, Mr Pereira has been an active social worker serving the Rotary Organisation since 1994. He has held significant leadership positions within Rotary International District 3220 comprising Sri

Lanka and the Maldives, and in recognition of his contributions towards community service, he was unanimously elected to serve as District Governor for Sri Lanka and Maldives for the period 2025/26.

**Other Current Directorships – 1 Company
Non-Executive Capacity**

- ◆ Highbrow International (Private) Limited

MOHAMED ZAHEER MOHAMED AZREEN*Non-Executive, Independent Director***Date of Appointment**

20 July 2024

Committee Membership

Chairman

- ◆ Board Nominations and Governance Committee

Member

- ◆ Board Audit Committee
- ◆ Board Related Party Transaction Review Committee
- ◆ Board Human Resources and Remuneration Committee

Qualification, Expertise, and Experience

Azreen is a Fellow Member of the Institute of Chartered Accountants (ICASL) of Sri Lanka, a Fellow Member of the Institute of Certified Management Accountants (ICMA) of Sri Lanka, an Associate Member of the Chartered Institute of Management Accountants (CIMA) UK, and is a Certified Risk Analyst (CRA).

Azreen started his career in 1991 at KPMG in Colombo, Sri Lanka, and moved to Ernst & Young ("EY"), Bahrain Office in October 1996. In 1999, he joined Kuwait Finance House, Kuwait ("KFHK"), the second largest Islamic Bank in the world, and held various senior positions including managing the unit that evaluates the performances of banking subsidiaries.

In 2011, Azreen was appointed as the Non-Independent/Non-Executive Director (NINED) of Kuwait Finance House Malaysia Berhad). He held various Board responsibilities including Chairing the Board Transformation Steering Committee (BTSC) where he worked with international consultants in restructuring the Bank's portfolio and developing and implementing a new credit underwriting guideline. Azreen developed a special product called Profit Sharing Investment Account (PSIA) that minimised the adverse impact on the performance of the bank which was unprecedented at the time was approved

by Bank Negara Malaysia. During the same period, he was appointed as Director of other Malaysian subsidiaries which include an offshore bank (KFH Labuan Berhad), an asset management company (KFH Asset Management Berhad), and a leasing company (KFH Ijarah House).

Azreen was re-appointed as an Independent/Non-Executive Director of Kuwait Finance House (Malaysia) Berhad ("KFHMB") on 1 March 2020. Currently, he serves as Chairman of the Board Audit Committee and the Board Nomination and Remuneration Committee.

Azreen is currently the Chief Executive Officer of Frontier Advisory (Pvt.) Ltd, a company that provide a range of advisory services on accounting, tax, and business-related matters.

Other Current Directorships – 5 Companies
Unlisted

- ◆ Afamadamad (Pvt.) Ltd.
- ◆ Frontier Secretarial House (Pvt) Ltd.
- ◆ PT Indoor Rampah Commodities
- ◆ Spillberg Holding (Pvt.) Ltd.
- ◆ Kuwait Finance House Malaysia

SENTHILVERL SENTHI NANDHANAN*Non-Executive, Non-Independent***Date of Appointment**

7 March 2025

Committee Membership

None

Qualifications, Expertise and Experience

Mr. S. Senthil Nandhanan is a seasoned corporate leader with over 24 years of experience in strategic decision-making, governance, and operational leadership within financial services, energy, FMCG, and investment sectors. He has a proven track record of delivering sustainable growth, optimising supply chains, and enhancing corporate governance structures. His background includes serving on multiple boards, overseeing investment portfolios, managing international expansions, and implementing compliance frameworks.

Currently, Mr. S. Senthil Nandhanan serves as a Director (Non-Executive, Non-Independent) at Sarvodaya Development Finance PLC, where he provides strategic oversight and governance while ensuring regulatory compliance and long-term value creation. He is also an Executive Director at Senthilverl Holdings (Pvt) Ltd, where he manages equity investments and portfolio diversification to drive consistent returns. In addition, he contributes to operational improvements and market growth as an Executive Director at Samindu Incense (Pvt) Ltd. Beyond these board roles, he holds the position of Chief Executive Officer at Dollar Corporation, a legacy entity founded in 1945 that operates across cosmetics, confectionery, beverages, toiletries, detergents, incense sticks, and related industries.

Previously, Mr. S. Senthil Nandhanan served as a Non-Executive, Non-Independent Director at Panasian Power PLC from 2017 to 2021, guiding corporate strategy, operational enhancements, and risk management initiatives.

Mr. S. Senthil Nandhanan holds an MBA from the University of Southern Queensland, Australia, which complements his extensive industry exposure and leadership experiences. As a Member of the Association of Business Executives, he remains connected to ongoing professional development and thought leadership in the field. He consistently demonstrates strategic foresight, ethical decision-making, and a results-oriented mind-set, making him a valuable asset for organisations seeking to navigate complex markets, drive innovation, and achieve sustainable growth.

Other Current Directorships - 4 Companies
Unlisted Companies

- ◆ Executive Capacity
- ◆ Dr. T. Senthilvel (Pvt) Ltd
- ◆ Samindu Incense (Pvt) Ltd
- ◆ Senthilvel Holdings (Pvt) Ltd

Listed Companies

- Non Executive Capacity
- ◆ Sarvodaya Development Finance PLC

MUSTAFA SATTAR KASSIM

Non-Executive, Non-Independent Director

Date of Appointment

5 February 2026

Committee Membership

None

Qualifications, Expertise and Experience

Mr. Mustafa Sattar Kassim is the Founder and Chief Executive Officer of Roar Global, a diversified marketing and technology group established in 2014. The Group operates across platform marketing and applied artificial intelligence, with a presence in eight markets across the Asia-Pacific region.

He has over a decade of experience in building and scaling technology-led businesses. Under his leadership, Roar Global has grown from a digital media startup into a group comprising six portfolio companies, serving a broad base of international clients and supported by a team of over 150 professionals across its regional operations.

Mr. Kassim has been recognised internationally for his contributions to the media and marketing industry, including being named to the Forbes 30 Under 30 Asia list in the Media, Marketing & Advertising category.

He holds a Bachelor of Arts in Economics from California State University, Northridge (USA).

Mr. Kassim's experience includes building multi-market businesses, driving digital transformation initiatives, and applying technology to enhance operational efficiency and customer engagement. He has also been an active participant in industry forums relating to entrepreneurship, digital innovation, and business growth.

His appointment brings to the Board expertise in platform-led growth, venture development, and innovation-driven strategy, strengthening the Bank's capabilities in advancing its long-term strategic and digital priorities.

Other Current Directorships - 18 Companies
Unlisted Companies

Non-Executive Capacity

- ◆ ASK Capital (Private) Limited
- ◆ Milepost Property Holdings (Pvt) Ltd

Executive Capacity

- ◆ Roar Digital (Private) Limited
- ◆ Roar AD X (Pvt) Ltd
- ◆ Roar 3P (Private) Limited
- ◆ Roar Link (Pvt) Ltd
- ◆ Roar Advertising (Private) Limited
- ◆ D. X Digital (Private) Limited
- ◆ MK Global Ventures Pte. Ltd., Singapore
- ◆ Roar Media Pte. Ltd., Singapore
- ◆ Roar Representation Pte. Ltd., Singapore
- ◆ Roar AU Pty Ltd, Australia
- ◆ Brand Radar LLC, USA
- ◆ 3P Digital Sole Company Limited, Laos
- ◆ Roar Bangladesh Limited, Bangladesh
- ◆ 3P DIGITAL SDN BHD, Brunei
- ◆ Polyerna Media Pvt. Ltd, India
- ◆ Roar Global (Private) Limited

PROF. DR. AISHATH MUNEEZA*Non-Executive, Independent Director***Date of Appointment**

26 February 2026

Committee Membership

None

Qualifications, Expertise And Experience

Prof. Dr. Aishath Muneeza is a globally recognised expert in Islamic finance and currently serves as Professor and Associate Dean, Students & Internationalisation at INCEIF University, Malaysia. She has extensive experience in Shariah advisory, Islamic capital markets, and public policy development.

She has over a decade of leadership experience, having served as Deputy Minister of Finance and Treasury and Deputy Minister of Islamic Affairs (the first female to hold the position) in the Maldives. She also served as an Islamic Finance Expert at the Ministry of Economic Development. She serves as a Member of the Maldives Islamic Finance Strategic Advisory Council (MIFSAC), a high-level advisory body established by the Maldives Monetary Authority, where she contributes to the development and strategic direction of Islamic finance in the Maldives.

She has played a pivotal role in advancing Islamic finance in the Maldives, including serving as Head of Islamic Finance at the Capital Market Development Authority, Chairman of Maldives Hajj Corporation Limited, and Chairman of the Maldives Centre for Islamic Finance.

She currently serves as Senior Islamic Finance Consultant to UNFPA Malaysia, where she has pioneered initiatives integrating Islamic finance solutions into sustainable development programmes.

Prof. Dr. Muneeza has extensive experience in structuring Sukuk and Islamic treasury instruments and serves on multiple Shariah advisory boards internationally. She is a registered Shariah Adviser with regulatory authorities in Maldives, Malaysia, and Sri Lanka.

She is a former member of AAOIFI's Public Interest Monitoring Consultative Committee (PIMCC) and a former EXCO member of Association of Shari'ah Advisors in Islamic Finance (ASAS), Malaysia. She has received numerous recognitions, including the Rehendhi Award and the Lifetime Achievement Award (WIEFC 2025), and is listed in Islamica 500 among the most influential personalities in Islamic economics.

She holds a PhD in Law from the International Islamic University Malaysia (2010–2013), preceded by a Master of Laws (LLM) in Banking from the same institution (2009–2010), and a Bachelor of Laws (LLB Hons) from the International Islamic University Malaysia (2005–2009). In addition to her academic qualifications, she is a Certified Shari'ah Practitioner (CSP) accredited by the Association of Shari'ah Advisors in Islamic Finance (ASAS), Malaysia, reflecting her professional expertise in Islamic finance and Shari'ah governance.

Other Current Directorships – 1 Company Listed Companies

Non-Executive, Independent Capacity

- ◆ Amāna Takaful (Maldives) PLC

SAMITHA DAYANI DE SILVA FCG*Company Secretary*

Mrs Samitha Dayani De Silva joined Amāna Bank PLC in March 2016, retired from the services of the Bank in mid-2021 and rejoined from 1 January 2026.

Dayani is a Fellow Member of ICSA – Chartered Governance Institute UK and Ireland. She was also awarded Founder Membership of the Institute of Chartered Corporate Secretaries Sri Lanka wherein she served as the Deputy President of the Institute for the tenure 2010 and 2011/2012.

Her professional experience as a Chartered Secretary spans for approximately 40 years.

Prior to joining Amāna Bank, her experience included Corporate Secretaryship in a Finance & Leasing Company (Quoted) and thereafter for 25 years in a multinational group of companies (in the Motor Industry), presently owned by a Conglomerate based in the UAE. Her experience in this group of companies specifically included incorporation of a Finance & Leasing Company and an Insurance company (both for which she had to work on obtaining regulatory licenses and also quotations in the Colombo Stock Exchange). Additionally, she also had exposure to People Management.

She served as a Resource Person for the Professional Enhancement Program carried out by the Association of Accounting Technicians of Sri Lanka (AAT). Dayani had also participated as a Guest Speaker on Corporate Secretaryship and Corporate Governance at a CMA Workshop.

Her scope of work at Amāna Bank includes duties and responsibilities of a Board Secretary with specific emphasis on compliance with the regulations of the Banking Act, Directions issued by the Central Bank of Sri Lanka in addition to compliance with the rules of other statutory Bodies such as the CSE and ROC. She oversees and ensures that all Board Meetings, General Meetings and Sub-Committee Meetings follow correct procedures as required by the Companies Act and also document proceedings in detail as required by the Central Bank of Sri Lanka.

INTERWOVEN FOR **IMPACT**



Strengthening the Tea Industry

**ASH-SHEIKH DR. MUFTI MUHAMMAD
IMRAN ASHRAF USMANI***Chairman, Sharia Supervisory Council*

Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an L.L.B and Ph.D. in Islamic Finance. He is a Vice President of Jamia Darul-Uloom, Karachi.

Presently Dr. Imran Usmani is the Group Head and Vice Chairman of Shariah Supervisory Board at Meezan Bank Ltd and is responsible for Research and Product Development of Islamic Banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance. He is also the President and CEO of Usmani & Co. Pvt. Ltd that provides a full suite of Islamic Finance consultancy, Shariah advisory and related ancillary services to local and international clients across all legal jurisdictions and financial & non-financial sectors.

Dr. Imran Usmani has been involved with the Government of Pakistan in various initiatives and is also a member of the Steering Committee and Implementation Committee for promotion of Islamic Banking since 2013. Dr. Imran Usmani has served as an advisor/member of Sharia Boards of several renowned institutions in various jurisdictions since 1997 including the State Bank of Pakistan, Takaful Pakistan Ltd., Pakistan Mercantile Association, ICFAL- Australia, The Zeal-Canada and USA, Astana International Financial Centre -Kazakhstan, HSBC- Amānah Finance, UBS-Switzerland, Guidance Financial Group USA, Lloyds TSB Bank -UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, Royal Bank of Scotland Global, Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Premier Takaful Pakistan, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland,

AlFA-Amāna Islamic Finance Australia, DCD Group Dubai, Nafa Mutual Fund, Acumen Fund, Swip Sicave Fund, Old Mutual Al-Barakah fund and other mutual and property funds, Takaful companies and international Sukuk, etc.

He also served as an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at International Centre for Education in Islamic Finance (INCEIF)- Malaysia, Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Director at Centre for Islamic Economics (CIE), Hira Foundation School and Hira Institute of Emerging Sciences, Karachi.

Dr. Usmani is the author of numerous publications related to Islamic Finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA. He also has special interest in Entrepreneurship, Eco-system, Sustainable Development investments and works for different green projects.

ASH-SHEIKH MUFTI M I M RIZWE*Member, Sharia Supervisory Council*

Mufti M.I.M. Rizwe is a distinguished Islamic jurist, scholar, and governance specialist with over four decades of experience in legal scholarship, education, public advisory service, and ethical finance. With more than thirty years of engagement in financial governance and advisory frameworks, he is widely recognised for his contribution to the development of ethical finance and Shari'ah governance in Sri Lanka.

He graduated from Jami'athul Uloomil Islamiyya specialising in Islamic jurisprudence and holds a Master's Degree in Arabic and Islamic Studies recognised by the Higher Education Commission.

Mufti Rizwe currently serves as the Honourable President of the All Ceylon Jamiyyathul Ulama, the apex body of Islamic scholars in Sri Lanka, where he provides leadership in religious guidance, community engagement, and public policy dialogue. His national public service includes roles such as Member of the Waqf Board, Consultant to the MMDA Review Committee, National syllabus and academic text reviewer.

He has played a significant role in strengthening ethical finance governance and currently serves as Chairman of the Shari'ah Supervisory Council of Amāna Takaful PLC, and Member of the Shari'ah Supervisory Councils of Bank of Ceylon and People's Leasing & Finance PLC.

Mufti Rizwe has participated in numerous international forums on ethical finance, interfaith dialogue, and minority rights. He has been recognised among "The 500 Most Influential Muslims in the World" since 2011 by the Royal Islamic Strategic Studies Centre and has delivered addresses at global platforms including the United Nations Social Forum and the UN Forum on Minority Issues in Geneva.

He is also actively involved in educational and institutional development, having founded and led several initiatives including Islamic Careline Counselling Services, UMMAT (United Muslim's Mua'amalah Advisory Trust), Al-Mahmoud Institute for Skills Development of Scholars, and the Ubai bin Ka'ab Centre, contributing to scholarship, community welfare, and professional advisory services. Through his work, Mufti Rizwe continues to promote strong governance, ethical finance, and socially responsible economic systems while fostering moderation, unity, and constructive dialogue in society.

ASH-SHEIKH MUFTI MUHAMMAD HASSAAN KALEEM

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassan Kaleem is a distinguished figure in the field of Islamic Finance, serving as a member of the Sharia Supervisory Council. With a strong foundation in Sharia teachings, Mufti Hassan is highly regarded as a respected Sharia Scholar within the Islamic Finance industry.

Mufti Hassan holds key positions on the Sharia Advisory Boards of several leading financial institutions, Islamic Investment Funds, and Takaful Companies. His wealth of knowledge is further enhanced by his 26-year tenure as a faculty member at Darul-Uloom Karachi, demonstrating his unwavering dedication to Islamic education. Notable roles include Vice Chairman of the Sharia Board at Dubai Islamic Bank Pakistan Limited, Sharia Board Member at the Islamic Development Bank (IsDB, Jeddah), and Chairman of the Sharia Board at Pak Qatar Takaful.

In addition, Mufti Hassan serves as a Sharia Consultant for Deloitte (Global Islamic Finance Team) and a Sharia Council Member at Al Ameen UBL Funds. His influence extends globally, with memberships on the Sharia Boards of Hanover Re-Takaful in Bahrain and Takaful Emirate in the UAE. Mufti Hassan also plays an integral role in academia as a permanent faculty member at the Centre for Islamic Economics in Karachi and as a Trainer for Sharia Standards at the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) in Bahrain. He is also a trainer at the Institute of Business Administration (IBA-CEIF) and a visiting faculty member at the National Institute of Banking and Finance (NIBAF).

Mufti Hassan's expertise has been pivotal in simplifying complex aspects of Islamic finance, and he is recognised internationally for his contributions through lectures and training at conferences and seminars worldwide. His career is marked by his prior role as the Sharia Advisor of Bank Al

Baraka and as the former Chairman of the Sharia Board at the Securities and Exchange Commission of Pakistan (SECP).

A true authority in his field, Mufti Hassan continues to shape the future of Islamic finance through his advisory roles, academic contributions, and global engagements.



ISLAMIC DEVELOPMENT BANK

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities' worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57 member countries across four continents-touching the lives of 1 in 5 of the world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and total assets of more than USD 35 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has 10 Regional Hubs in Abuja, Nigeria; Almaty, Kazakhstan; Ankara, Türkiye; Cairo, Egypt; Dakar, Senegal; Dhaka, Bangladesh; Jakarta, Indonesia; Kampala, Uganda; Paramaribo, Suriname; and Rabat, Morocco with a Centre of Excellence in Kuala Lumpur, Malaysia.

IsDB fosters collaboration between its members nations in a uniquely non-political environment, as it focuses on the betterment of humanity. IsDB helps enable its member countries to grow their economies and societies, so they are ready to embrace the challenges and opportunities of our modern world. IsDB's 5 pillars of activity include (i) building partnerships between governments, the private sector and civil society through Public Private Partnerships (ii) adding value to the economies and societies of developing countries through increased skills and knowledge sharing (iii) focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals (iv) promoting global development that is underpinned by Shariah compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance (v) fostering collaboration between members nations in a uniquely non-political environment to focus on the betterment of humanity.

(<https://www.isdb.org>)



THE ISLAMIC CORPORATION FOR THE DEVELOPMENT OF THE PRIVATE SECTOR

Limited Partner of IB Growth Fund (Labuan) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral organisation affiliated with the Islamic Development Bank (IsDB). Its authorised capital stands at USD 4 billion, of which USD 2 billion is open for subscription. Its shareholders consist of the IsDB, 56 member countries and five public financial institutions. Established during the 24th annual meeting of the IsDB Board of Governors in Jeddah in Rajab 1420H (November 1999), ICD is headquartered in Jeddah, Kingdom of Saudi Arabia.

Since its establishment in November 1999, the Islamic Corporation for the Development of the Private Sector (ICD) has consistently centred its efforts on fostering inclusive and dynamic growth through private sector development.

ICD's mission complements the Islamic Development Bank's (IsDB) role by actively developing and promoting the private sector in compliance with Shariah principles as a catalyst for enhancing economic growth and prosperity. With a vision of being a leading Islamic multilateral financial institution dedicated to this purpose, ICD stands committed to driving sustainable and thriving economies in its member countries.

As the private sector arm of the Islamic Development Bank (IsDB) Group, ICD aligns its objectives with the principles of Shariah, aiming to: i) identify growth-oriented opportunities and initiatives within the private sector, ii) offer an extensive array of productive financial products and services for private sector development, iii) mobilise supplementary resources for the private sector in member countries, and iv) promote the advancement of Islamic financial and capital markets.



AKBAR BROTHERS (PVT) LIMITED

Akbar Brothers is Sri Lanka's largest exporter of tea and one of the country's leading diversified, family-owned conglomerates. Since its inception in 1969, the company has expanded from its core tea business into various sectors, including sustainable power generation, healthcare, packaging, property development, environmental services, logistics, coffee and retail. The company prides itself on its commitment to product quality, ethical business practices, and responsible treatment of all stakeholders.

As a leader of the Ceylon tea industry for close to 60 years, Akbar Brothers has built a strong legacy of excellence. The group has earned numerous prestigious awards, including 45+ Sri Lankan Presidential Export Awards and recognition as Sri Lanka's Most Globally Outreached Brand, cementing its position as a leader in both the tea industry and beyond.

With an eye to the future and innovation, Akbar Brothers is committed to expanding its focus on sustainable solutions, achieving a major milestone as Asia's first Carbon-Inset Certified Company. Its growth and success can be attributed to a strong foundation of business integrity and an unwavering dedication to delivering the highest quality products and services to partners and clients around the world.

SENTHILVERL HOLDINGS (PVT) LTD

SENTHILVERL HOLDINGS (PVT) LTD

Senthilverl Holdings (Pvt) Ltd is a Sri Lankan investment holding company with diverse interests across multiple sectors. Headquartered in Colombo, Senthilverl Holding has built a robust portfolio over the decades. Founded by renowned high-net-worth investor and medical professional Dr. T Senthilverl, Senthilverl Holdings (Pvt) Ltd is an active investment firm on the Colombo Stock Exchange, with a diverse portfolio spanning energy, finance, food & beverage, real estate, consumer services & retail, and plantations. Their strategic investments have positioned Senthilverl Holdings as a key player in Sri Lanka's investment and corporate landscape.



MOHAMED AZMEER
Managing Director/CEO



IMTIAZ IQBAL
Chief Operating Officer



M. M. S. QUVYLIDH
Senior Vice President | Chief Risk Officer



AJMAL NALEER
Senior Vice President | Chief Compliance Officer



M. ALI WAHID
Senior Vice President | Chief Financial Officer



IRSHAD IQBAL
Senior Vice President - Business Banking



SIDDEEQUE AKBAR
Vice President - Retail Banking & Marketing



FAZLY MARIKAR
Vice President - Strategy & Sustainability



NUMAIR CASSIM
Chief Internal Auditor



MOHAMED KIYASUDEEN
Chief Information Officer



HARINDRA OBEYSEKERE
*Vice President – Treasury & Financial
Institutions*



SULANI DAYARATNE
Head of Legal



ASH-SHEIKH NAZHAN NAUROOZ
Assistant Vice President – Sharia Supervision



HILUFA AGEES
Head of Human Resources



RAJENDRA JAYASINGHE
Vice President - Corporate Banking



CHAMINDA DE SILVA
Assistant Vice President - SME Leasing



ARSHAD JAMALDEEN
Assistant Vice President – Digital Banking & Cards



RAMAKRISHNAN KIRUBAKARAN
Assistant Vice President – Head of Credit



AZAM AMEER
Assistant Vice President – Region 2



ARSHAD ADHMAN
Assistant Vice President – Region 3



AZIM RALI
Assistant Vice President - Marketing & Corporate Communications



NISHATH NAWAZ
Assistant Vice President – Region 1



S. DAYANI DE SILVA
Company Secretary



RIZAH ISMAIL
Head of Remedial Management



NIYAZ ABOOBUCKER
Head of Equity Trading



SANJEEWA FONSEKA
Head of Learning & Development



AZAD ZAHEED
Head of OrphanCare



NIZATH MUSTAPHA
Head of Digital Development & Automation



UDARA KODIPPILI
Head of Emerging Corporates

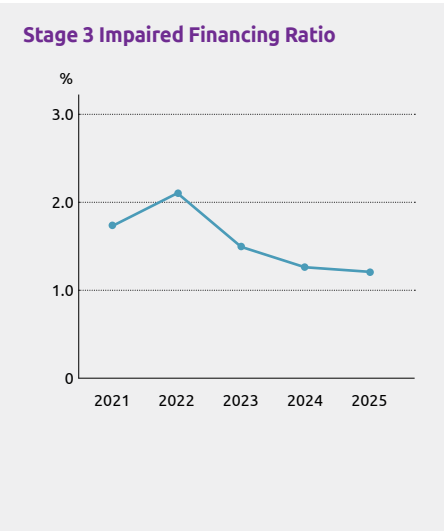
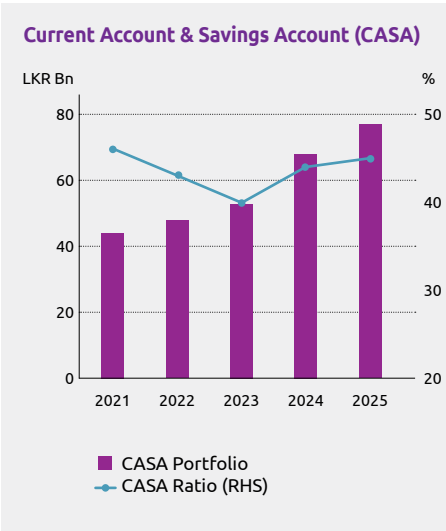
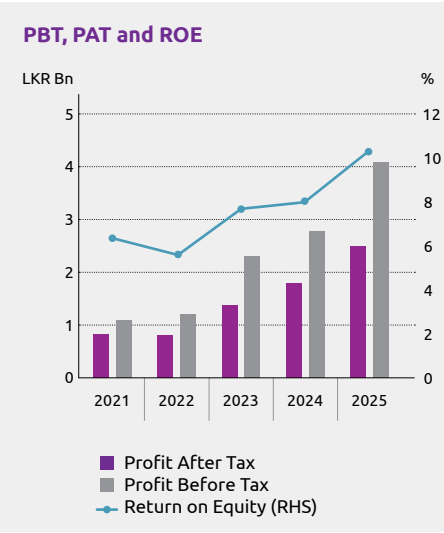
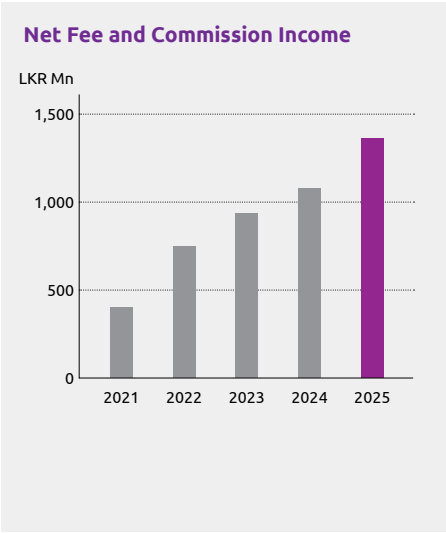
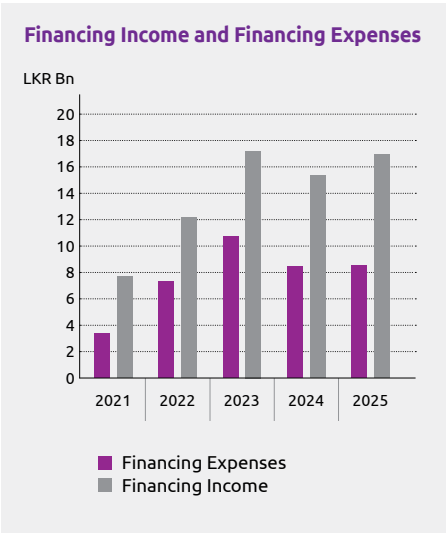
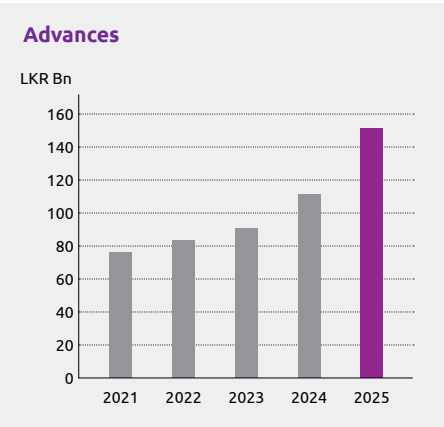
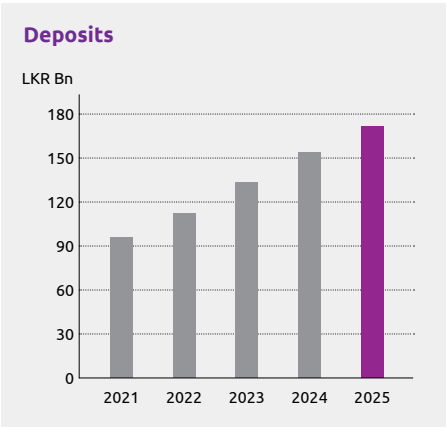
**SHEEREEN JAIN***Senior Manager – Talent Acquisition***ASLAM SHABDEEN***Senior Manager – Finance***JISTHI MOHAMED***Head of Trade and Large Corporates***SHAREEF AYUBKHAN***Senior Manager – Legal*

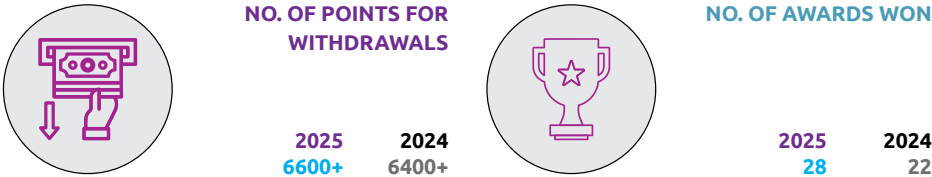
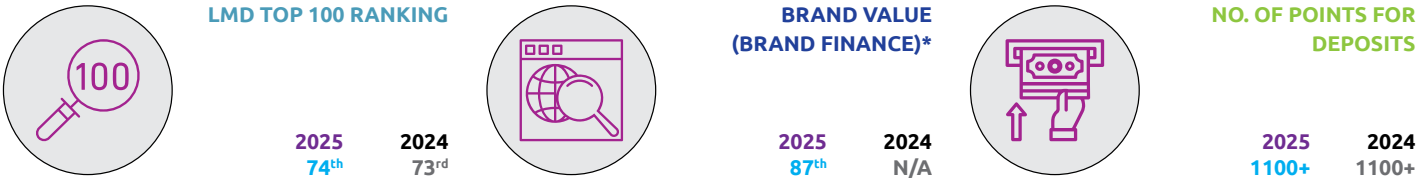


INTERWOVEN FOR **IMPACT**

Enabling the Renewable Energy Sector

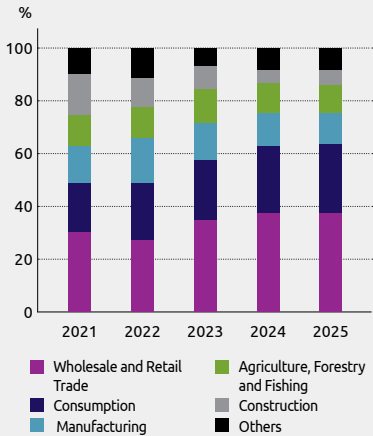
	2025	2024	Change %
Operating Results for the Year - LKR '000			
Financing Income	16,918,379	15,399,562	10
Financing Expenses	8,598,296	8,525,273	1
Total Operating Income	10,060,653	8,689,645	16
Total Operating Expenses	5,211,601	4,609,014	13
Operating Profit Before VAT on Financial Services & Social Security Levy	5,489,394	3,791,018	45
Profit Before Tax	4,091,160	2,786,843	47
Profit for the Year	2,480,981	1,774,666	40
Assets and Liabilities - LKR '000			
Total Assets	204,306,528	182,336,808	12
Advances	150,952,391	111,301,849	36
Deposits	172,073,723	154,405,710	11
Shareholders' Funds	25,085,113	22,841,860	10
Key Ratios - %			
Net Financing Margin	4.3	4.0	
Return on Assets	2.1	1.6	
Return on Equity	10.4	8.0	
Dividend Yield	4.3	4.9	
Dividend Pay Out Ratio	28.9	37.3	
Impaired Financing and Advances (Stage 3) Ratio	1.2	1.3	
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio	56.1	59.6	
Investor Information - LKR			
Net Assets Value Per Share	45.52	41.45	
Market Value Per Share - as at 31 December	30.00	24.50	
Earnings Per Share - Basic	4.50	3.22	
Earnings Per Share - Diluted	4.50	3.22	
Dividend Per Share	1.30	1.20	
Regulatory Ratios - %			
Capital Adequacy Ratios			
- Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7%)	13.0	15.0	
- Tier I Capital Ratio (Minimum Requirement - 8.5%)	13.0	15.0	
- Total Capital Ratio (Minimum Requirement - 12.5%)	14.7	17.6	
Leverage Ratio (Minimum Requirement - 3%)	10.4	10.6	
Liquidity Coverage Ratio			
Rupee (Minimum Requirement - 100%)	330.3	368.5	
All Currency (Minimum Requirement - 100%)	231.5	252.8	
Net Stable Funding Ratio (Minimum Requirement - 100%)	142.5	129.4	



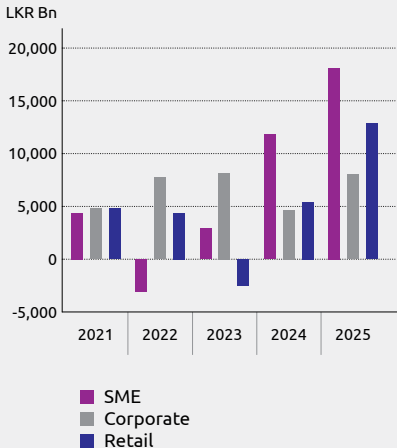


* Brand Finance Ranking was not published in 2024

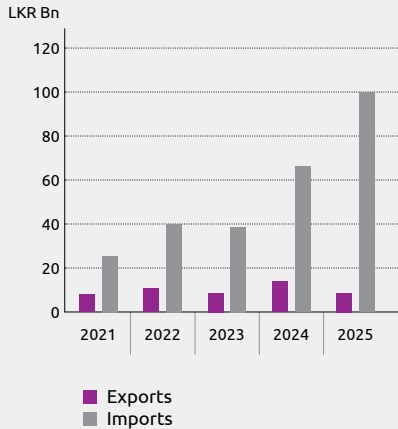
Key Economic Sectors Supported



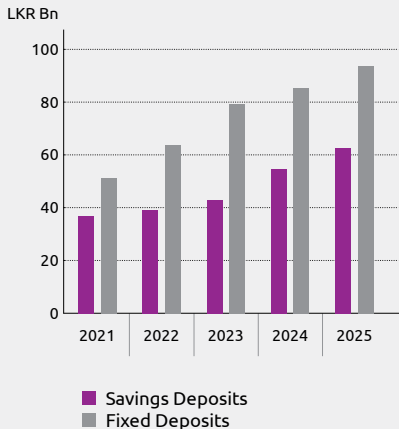
Growth in Advances by Segment



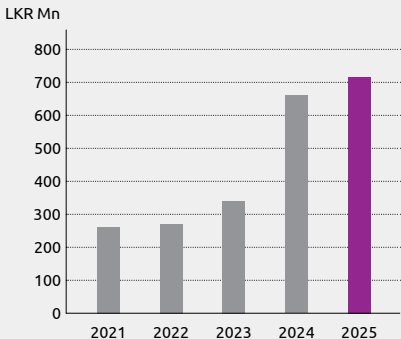
Trade Business



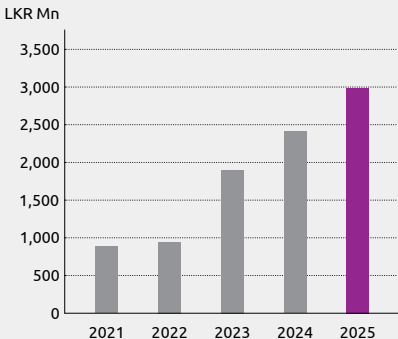
Savings and Fixed Deposits



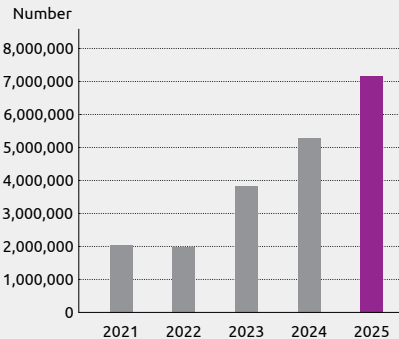
Cash/Scrp Dividend Paid to Shareholders



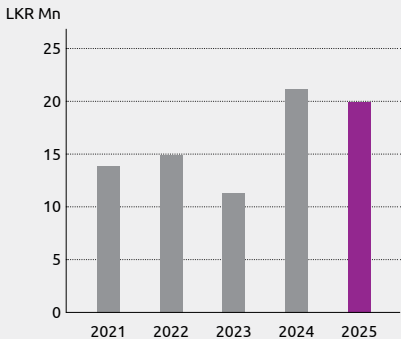
Taxes Paid



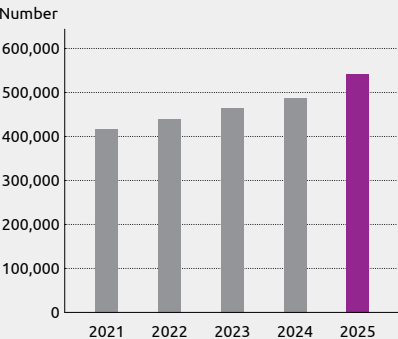
Growth in Digital Transactions



OrphanCare Disbursements



Customer Outreach



JANUARY



Amāna Bank at Digital Payments Promotion Campaign 2025 organised by Central Bank of Sri Lanka in Hambantota



Executive Leadership Development Programme Participants with Management of the Bank



Amāna Bank at Kadalla Home Exhibition



Financial Literacy programme for Faculty of Indigenous Medicine - University of Colombo

FEBRUARY



Relocation of Amāna Bank's Akurana Branch



Amāna Bank receives LRA Rating



Amāna Bank partners with Glomark for Ramadan offers



Rewarding winner of Independence Day Social Media Campaign

MARCH



Amāna Bank at Digital Payments Promotion Campaign 2025 organised by Central Bank of Sri Lanka at Nuwara-Eliya



Amāna Bank recognised at Technovation Awards 2025



Financial Literacy Programme for Rizing Consultancy Lanka



Financial Literacy Programme at Green Ray College - Pannala

APRIL



Avurudu Celebrations at Amāna Bank



In-house residential work-shop for Industrial Training Undergraduates



Opening of relocated Ratnapura Branch



Amāna Bank partners with MediHelp for Debit Card offers

MAY



Amāna Bank recognised globally for Most Impactful Investee Company



Amāna Bank opens Self Banking Centre in Galbokka - Weligama



Financial Literacy programme at Wayamba University of Sri Lanka



Financial Literacy programme at WIS Mortgages & Insurance Services

JUNE



Amāna Bank at Enrich SME Forum



Financial Literacy Event at College of Education - Addalaichenai



Financial Literacy Event at CPM



Financial Literacy Event at Zahira College - Akurana

JULY



Financial Literacy programme for Women Entrepreneurs in Puttalam



Launch of OrphanCare Impact Report



Promoting Leasing at Colombo Motor Show



Financial Literacy Event at Refresh College - Puttalam

AUGUST



Amāna Bank joined hands with the Central Bank of Sri Lanka at a Digital Payment event held in Dambulla



Financial awareness programme at Jeelan Central College - Panadura



Financial literacy programme for Traders Association - Rathnapura



Opening of Maruthamunai Self Banking Centre

SEPTEMBER



Financial Education programme at Balaluwewa MMV - Palagala



Financial Awareness Programme Araliya Uyana Ladies Society - Puttalam



Recognised for Best Bank in Sri Lanka at ICC Emerging Asia Banking Awards



Recognised for Best Performance in Asset Quality at ICC Emerging Asia Banking Awards

OCTOBER



Amāna Bank opens new Corporate Office



Financial Literacy Event at Royal College - Colombo



Amāna Bank 'Bring Your Kids to Bank Day' held across multiple branches



NOVEMBER



Amāna Bank opens Self Banking Centre in China Fort, Beruwala



Opening of Self Banking Centre at Cool Planet Mall Narahenpita



Opening of Pulmoddai Self Banking Centre

DECEMBER



Amāna Bank contributes relief items for Dittwah victims



Amāna Bank Contributes to "School With a Smile"



Financial literacy programme at Sri Lanka Muslim Civil Society



Financial Literacy programme at Eastern University - Trincomalee Campus

A photograph of a clothing store interior. In the foreground, several racks of shirts are visible. The shirts are arranged in rows, with colors transitioning from white on the left to dark blue and teal on the right. The shirts are hanging on wooden hangers. The background is slightly blurred, showing more clothing and store fixtures. A large, dark green diagonal shape covers the bottom right portion of the image, containing white text.

INTERWOVEN FOR **IMPACT**

Supporting the Growth of the Clothing and Retail Sector



Chairman's Message

"Expanding by 47% year on year, Profit Before Tax (PBT) surged crossing LKR 4 billion, while Profit After Tax (PAT) increased to approximately LKR 2.5 billion, representing an improvement of 40% year on year."

"In line with its commitment to rewarding shareholder trust, the Bank maintained its dividend track record for the eighth consecutive year, to declare an all-time high payout exceeding LKR 700 million."

On behalf of the Board of Directors of Amāna Bank PLC, it gives me great pleasure to present to you the Annual Report and financial statements for the year ending 31 December 2025. It was a defining year for Amāna Bank - one that demonstrates how cohesive strategic execution can translate into robust growth and sustainable value creation for all stakeholders.

OPERATING ENVIRONMENT

The operating environment in 2025 was largely favourable and supportive of economic recovery and growth. Strengthening macroeconomic fundamentals, improved policy coherence, and disciplined fiscal management contributed to a more stable and predictable landscape that reinforced confidence across the wider business community. In this context, the low policy rate environment continued to act as a strong catalyst for private sector credit growth, in turn reinforcing the recovery of domestic economic activity.

It is encouraging to note the continued improvement in fiscal performance, with strong growth in government revenue reflecting tangible progress in fiscal consolidation under the IMF-supported programme. The country's ability to make progress on this front has also enhanced the credibility of Sri Lanka's economic reform agenda and established a firmer foundation for sustained macroeconomic stability in the years ahead.

The economy also demonstrated commendable resilience against the impacts of Cyclone Ditwah which hit in the latter part

of 2025, proving its ability to absorb external shocks without derailing the broader recovery trajectory.

Liquidity conditions in the market tightened during the final quarter of the year, reflecting evolving market dynamics, including active capital markets and improvements in commodity markets. However, these conditions were largely indicative of improving investor confidence and expanding financial market activity, rather than systemic stress.

STRATEGIC IMPERATIVES

The stabilisation and gradual improvement of the economic landscape during the year provided the platform to implement the long-awaited strategic shift to reorient the Bank's portfolio mix and solidify Amāna Bank's status as a Retail and SME-focused bank within Sri Lanka's banking space.

Over the past several years, the Bank's portfolio mix had evolved in response to extraordinary operating conditions between 2020 and 2024, resulting in a comparatively higher corporate concentration.

However, with the restoration of greater macroeconomic stability in 2025 and towards supporting SMEs, the country's key engine of growth, the Bank moved ahead with its planned strategic realignment, pivoting firmly towards the Retail and SME segments closely aligning with the Bank's core strengths and risk philosophy and also offer superior opportunities for sustainable margin enhancement and long-term value creation.

Complementing this portfolio shift was the strategic expansion of Amāna Bank's national footprint. The Bank widened its network of customer touchpoints, with more emphasis on extending the presence into under-served areas with the aim of improving accessibility to Amāna Bank's unique banking model across the island. In this regard, the Bank invested on scaling up its channel architecture and worked purposefully to expand the network of Self Banking Centres, underscoring the commitment to providing more accessible, efficient, and cost-effective banking solutions to a wider audience.

Digitalisation remains a central pillar of the Bank's strategic agenda. During the year, the Bank accelerated automation initiatives and invested in modernising core systems and infrastructure to enhance resilience, security, and operational efficiency. At the same time, the Bank achieved significant milestones in strengthening its card and payments ecosystem, successfully eliminating third party bank dependencies for the first time while also enhancing customer trust in its digital platforms. These advancements collectively position the Bank to compete with agility in an increasingly technology-driven financial landscape.

FINANCIAL HIGHLIGHTS

I am pleased to report that Amāna Bank delivered an outstanding financial performance for the year ended 31 December 2025, marked by a series of milestones and historical highs.

Expanding by 47% year on year, Profit Before Tax (PBT) surged crossing LKR 4 billion, while Profit After Tax (PAT) increased to approximately LKR 2.5 billion, representing an improvement of 40% year on year.

Reflecting the successful initiation of realigning the Bank's core banking portfolios, advances recorded a growth of 36%, outperforming the industry.

Total assets surpassed LKR 200 billion during the year, positioning the Bank among the fastest-growing institutions to reach this

landmark since inception. Profitability ratios demonstrated corresponding improvement, with Return on Equity (ROE) and Return on Assets (ROA) increasing to 10.4% and 2.1% from 8.0% and 1.6%, respectively.

The Bank's capital position remained robust, with Tier 1 and Total Capital Adequacy Ratios standing at 13.0% and 14.7% respectively as at 31 December 2025, comfortably above the regulatory minimum requirements of 8.5% and 12.5%. This solid capital foundation, complemented by a healthy liquidity profile with a Liquidity Coverage Ratio well above the regulatory minimum threshold, has enabled the Bank to accelerate growth while maintaining a prudent bank-wide approach to risk management.

Reflecting this strong financial trajectory, the Bank's National Long-Term Rating assigned by Fitch Ratings Sri Lanka was maintained at BBB-(lka) with a Stable Outlook, while Lanka Rating Agency assigned an initial rating of BBB+ in 2025. These independent assessments reaffirm Amāna Bank's strengthening credit profile, financial stability, and growing market standing.

SHAREHOLDER VALUE CREATION

Building on over a decade of disciplined growth and robust financial management, the Bank's capital strength continues to serve as a cornerstone for creating long-term shareholder value. In testimony to Amāna Bank's sustained performance and prudent capital accumulation over the years, Shareholders' equity crossed the landmark LKR 25 billion during the current year. This milestone significantly enhanced investor confidence and contributed to positive market sentiment surrounding the Bank's growth prospects. Reflecting this confidence, the Bank's share was actively traded during the year and registered a healthy price appreciation of 22%.

In line with its commitment to rewarding shareholder trust, the Bank maintained its dividend track record for the eighth consecutive year, to declare an all-time high payout exceeding LKR 700 million.

GOVERNANCE AND COMPLIANCE

In 2025, the Board remained deeply engaged in strengthening the Bank's internal constitution to ensure alignment with evolving regulatory expectations and emerging best practices. Policy development remained a key effort in this regard, with the Board undertaking to review and update the Bank's policy architecture to embed requirements set out under the latest Banking Act directions and Colombo Stock Exchange requirements.

Simultaneously, the Bank's Integrated Risk Management Framework (IRMF) was also refined to incorporate corporate governance updates, ESG considerations, and data protection obligations.

The Board also engaged an independent expert to support Amāna Bank's efforts to align with SLFRS S1 & S2 reporting standards. Working closely with the consultants to understand and disseminate the requirements of the standard, the Board initiated efforts to formally establish the policies, processes, and governance mechanisms to ensure accurate measurement, reporting, and disclosure of sustainability-related risks across the Bank's operations. Based on expert recommendations, the Board tasked the Sustainable Banking Initiatives Committee (SBIC) with ensuring ESG risks and opportunities are systematically identified, assessed, and integrated into enterprise-wide risk processes. Reporting to the Board Integrated Risk Management Committee (BIRMC), the SBIC has strengthened the Bank's governance architecture and reinforced the Board's commitment to ESG stewardship.

CHANGES TO THE BOARD

During the year, Amāna Bank welcomed several key changes to its Board of Directors, reflecting both strategic alignment and regulatory compliance.

Mr. Senthilverl Senthil Nandhanan, representing Senthilverl Holdings, a strategic shareholder, joined the Board as a Non-

Executive, Non-Independent Director. I warmly welcome Mr. Nandhanan, whose extensive experience in the corporate sector and capital markets will further strengthen the Amāna Bank Board in these areas.

Mr. Dilshan Hettiaratchi retired from the Board after serving the maximum regulatory tenure of nine years, during which he rendered invaluable service and made a significant contribution to the Board's deliberations and overall governance. The Board joins me in expressing our sincere gratitude to him for his commitment to Amāna Bank throughout his tenure.

In addition, Mr. Khairul Muzamel Perera Bin Abdullah, an existing Independent, Non-Executive Director, was appointed as Senior Independent Director in January 2025 in line with regulatory guidelines.

Additionally, Mr. Mohamed Adamaly was re-designated as a Non-Executive, Independent Director, reflecting a change from his previous non-independent status in line with Central Bank of Sri Lanka Directions.

The Bank's board was also recently strengthened with the appointments of Mr. Mustafa Sattar Kassim as a Non-Executive, Non-Independent Director and Prof. Dr. Aishath Muneesa as Non-Executive, Independent Director. We warmly welcome them and look forward to their insights and guidance.

OUTLOOK AND PROSPECTS

The economic outlook for Sri Lanka continues to point towards a path of recovery and sustainable growth; however, this trajectory now unfolds against the backdrop of heightened geopolitical tensions arising from the Middle East crisis. While continued improvements in fiscal performance and the prospect of a sovereign rating upgrade signal strengthening confidence in the country's reform agenda, the evolving external environment warrants careful monitoring due to potential implications for global energy prices, trade flows, and investor sentiment.

Despite these uncertainties, the Government's planned infrastructure projects and the Rebuilding Sri Lanka initiative - particularly in the wake of recent natural disasters - are expected to support domestic economic activity, create new business opportunities, and bolster credit demand across the banking sector. Nonetheless, the Bank remains vigilant to the possible ripple effects of prolonged regional instability, ensuring an agile and risk aware approach to navigating emerging challenges.

A sovereign rating upgrade will also provide local banks with greater access to overseas funding and higher regulatory limits, facilitating capital market activity and improving the flow of funds within the domestic financial system. In parallel, the Central Bank's continued focus on liquidity monitoring and implementation of its Roadmap for 2026 will provide a structured and disciplined framework to safeguard banking sector stability.

APPRECIATIONS

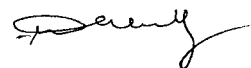
I wish to extend my sincere gratitude to the Board of Directors of Amāna Bank for their steadfast guidance and oversight in steering the Bank towards continued success.

I also wish to convey my heartfelt appreciation to Mr. Mohamed Azmeer, our Managing Director/CEO, the Management Committee, and the entire Amāna Bank team. Your dedication, professionalism, and tireless efforts have been instrumental in delivering the Bank's record performance in 2025.

Our deepest thanks go to the Sharia Supervisory Council for their invaluable guidance, which continues to strengthen our adherence to ethical and non-interest based banking principles. I would also like to acknowledge the Board of Trustees of OrphanCare for their unwavering commitment to this noble social initiative.

I am grateful to the Governor and officials of the Central Bank of Sri Lanka, as well as the Colombo Stock Exchange, for their continued support and guidance.

Finally, I extend my sincere thanks to our customers and business partners for their trust and loyalty, and to our valued local and international shareholders for their confidence in Amāna Bank. Your support inspires us to pursue greater achievements, enabling us to broaden our horizons while reinforcing our commitment to sustainable growth, long-term value, and creating meaningful impact for all those we serve.



Asgi Akbarally
Chairman

26 February 2026
Colombo

අමානා බැංකුවේ පීඑල්සී හි අධ්‍යක්ෂ මණ්ඩලය වෙනුවෙන්, 2025 දෙසැම්බර් 31 වන දිනයෙන් අවසන් වූ වර්ෂයට අදාළ වාර්ෂික වාර්තාව සහ මූල්‍ය ප්‍රකාශන ඔබ වෙත ඉදිරිපත් කිරීමට ලැබීම මට මහත් සතුටකි. මෙම වසර අමානා බැංකුවට තීරණාත්මක වසරක් වූ අතර, එය සහසම්බන්ධ ක්‍රමෝපායන් ක්‍රියාත්මක කිරීම තුළින් සියලු පාර්ශ්වකරුවන් සඳහා ශක්තිමත් වර්ධනයක් ළඟා කරගැනීමට සහ තිරසාර වටිනාකම් නිර්මාණය කිරීමට හැකි වූ වසරක් ලෙස හැඳින්විය හැක.

මෙහෙයුම් පරිසරය

2025 වසරේ මෙහෙයුම් පරිසරය ආර්ථික පුනර්ජීවනයට සහ වර්ධනයට බෙහෙවින් හිතකර විය. සාර්ව ආර්ථික මූලිකාංග ශක්තිමත් වීම, රාජ්‍ය ප්‍රතිපත්තිමය සහජීවනය වැඩිදියුණු වීම සහ විධිමත් මූල්‍ය කළමනාකරණය යන සාධක, සමස්ත ව්‍යාපාරික ප්‍රජාව තුළ විශ්වාසය වර්ධනය කරවමින් වඩාත් ස්ථාවර වාතාවරණයක් නිර්මාණය කිරීමට දායක විය. මෙම සන්දර්භය තුළ ප්‍රතිපත්ති පොලී අනුපාතික පහළ යාම, පොද්ගලික අංශයේ ණය වර්ධනය සඳහා ශක්තිමත් උත්ප්‍රේරකයක් ලෙස ක්‍රියා කළ අතර එමඟින් දේශීය ආර්ථික ක්‍රියාකාරකම් යථා තත්වයට පත් වීමේ ක්‍රියාවලිය ශක්තිමත් විය.

ජාත්‍යන්තර මූල්‍ය අරමුදලේ වැඩසටහන යටතේ මූල්‍ය ඒකාග්‍රතාව සම්බන්ධයෙන් පැහැදිලි ප්‍රගතියක් පිළිබිඹු කරමින් රාජ්‍ය ආදායමේ ශක්තිමත් වර්ධනයක් සමඟ මූල්‍ය කාර්යසාධනයේ අඛණ්ඩ දියුණුවක් දැකගත හැකි වීම දිරිමත්වනසුලුය. මෙබඳු ප්‍රගතියක් වාර්තා කරගැනීමට රට සමත් වීම ශ්‍රී ලංකාවේ ආර්ථික ප්‍රතිසංස්කරණ න්‍යායපත්‍රයේ විශ්වාසනීයත්වය වැඩිදියුණු කර ඇති අතර, ඉදිරි වසරවලදී තිරසාර සාර්ව ආර්ථික ස්ථාවරත්වයක් අත්පත් කරගැනීම සඳහා ශක්තිමත් පදනමක් නිර්මාණය කර ඇත.

2025 වසරේ අග භාගයේදී ඇති වූ දිව්වා සුළි කුණාටුවේ බලපෑම් හමුවේ ආර්ථිකය ප්‍රශංසනීය ඔරොත්තු දීමේ හැකියාවක් පෙන්නුම් කළ අතර, බාහිර කම්පන දරාගැනීමේ හැකියාව ඉන් සනාථ විය.

ප්‍රාග්ධන වෙළඳපොළ ක්‍රියාකාරීත්වය සහ භාණ්ඩ වෙළඳපොළවල සිදු වූ වැඩිදියුණු වීම් පිළිබිඹු කරමින් වසරේ අවසාන කාර්තුව තුළ වෙළඳපොළේ ද්‍රවශීලතා තත්වයන් සීමිත වනු දැකගත හැකි විය. මෙම තත්වය මඟින් පෙන්නුම් කරන ලද්දේ ගැටලුකාරී තත්වයක් නොව, ආයෝජක විශ්වාසය වැඩිදියුණු වීම සහ මූල්‍ය වෙළඳපොළ ක්‍රියාකාරකම් පුළුල් වීමය.

ක්‍රමෝපායික ප්‍රමුඛතා

2020-2024 කාලයේ පැවති අසාමාන්‍ය පාරිසරික තත්වයන්ට ගැලපෙන ලෙස බැංකුව සේවා සමූහයන් වෙනස් කරමින් ආයතනික ගනුදෙනුකරුවන් වැඩි කර ගත් අතර 2025 දී ආර්ථිකය ස්ථාවර වීමත් සමඟ බැංකුව නැවතත් සුළු හා මධ්‍යම පරිමාණ ව්‍යාපාර සහ පාරිභෝගික බැංකුකරණය කෙරෙහි වැඩි අවධානය යොමු කරන ලදී.

මෙම ක්‍රමෝපායික වෙනස්වීමත් සමඟ අමානා බැංකුව සිය ආවරණය පුළුල් කරමින්, බැංකු සේවා අඩු ප්‍රදේශවල ජනතාවට එහි සුවිශේෂී බැංකුකරණ ආකෘතියේ ප්‍රතිලාභ ලබාදීම සඳහා ස්වයං සේවා ජාලය පුළුල් කරමින් සේවා මධ්‍යස්ථාන 7ක් 2025 වසර තුළ ස්ථාපිත කරන ලදී.

එමෙන්ම ඩිජිටල්කරණය ප්‍රමුඛ කර ගනිමින් බැංකුව ස්වයංක්‍රීයකරණ වැඩසටහන් වේගවත් කර, පද්ධති නවීකරණය මගින් ඔරොත්තු දීමේ හැකියාව, ආරක්ෂාව සහ කාර්යක්ෂමතාව වැඩිදියුණු කළේය. කාඩ්පත් හා ගෙවීම් සේවා ශක්තිමත් කරමින් තුන්වන පාර්ශ්ව බැංකු මත යැපීම සම්පූර්ණයෙන් ඉවත් කිරීමට සමත් වූ අතර, එමඟින් පාරිභෝගික විශ්වාසය වර්ධනය කර ගනිමින් තාක්ෂණික මූල්‍ය ක්ෂේත්‍රය තුළ සාර්ථක ලෙස තරඟ කළ හැකි මට්ටමකට පිවිසීමට බැංකුවට හැකි වී ඇත.

ප්‍රධාන මූල්‍ය තොරතුරු

2025 දෙසැම්බර් 31ත් අවසන් වූ වර්ෂය තුළ අමානා බැංකුව විශිෂ්ට මූල්‍ය ප්‍රතිඵල වාර්තා කළේය. බදු පෙර ලාභය 47%කින් වර්ධනය වී රු. බිලියන 4 සීමාව ඉක්මවා ගිය අතර, බදු පසු ලාභය 40%කින් ඉහළ ගොස් රු. බිලියන 2.5 ආසන්න විය. නිකුත් කළ මූල්‍ය පහසුකම් එකතුව 36%කින් වර්ධනය වූ අතර සමස්ත වත්කම් රු. බිලියන 200 සීමාව පසු කළේය. ලාභදායීතා අනුපාත ද ඉහළ ගොස් ROE 8.0% සිට 10.4% දක්වාත්, ROA 1.6% සිට 2.1% දක්වාත් වර්ධනය විය.

2025 දෙසැම්බර් 31 වන විට බැංකුවේ මූලික ප්‍රාග්ධනය ප්‍රමාණාත්මක අනුපාතය 13.0% ක් සහ සමස්ත ප්‍රාග්ධන අනුපාතය 14.7% ක් වූ අතර, එම අගයන් අවම නියාමන මට්ටම් වන 8.5% ට සහ 12.5% ට පැහැදිලි ලෙසම ඉහළින් පැවතිණි.

මෙම ශක්තිමත් මූල්‍ය ප්‍රවණතාව පිළිබිඹු කරමින් Fitch Ratings Sri Lanka වෙතින් හිමි වූ ජාතික දීර්ඝකාලීන ශ්‍රේණිය 'BBB-(lka) with a Stable Outlook' ලෙස පවත්වා ගත් අතර, Lanka Rating Agency විසින් BBB+ මූලික ශ්‍රේණිගත කිරීමක් ලබා දෙන ලදී. අමානා බැංකුවේ ණය තත්වය, මූල්‍ය ස්ථාවරත්වය සහ වෙළඳපොළ තත්වය ක්‍රමයෙන්

ශක්තිමත් වෙමින් පවතින බවට මෙම ස්වාධීන තක්සේරු කිරීම් සාක්ෂි දරයි.

කොටස් හිමිකරුවන්ට ප්‍රතිලාභ

දශකයකට අධික ස්ථාවර වර්ධනයක් සහ ශක්තිමත් මූල්‍ය විනයක් සහිත අමානා බැංකුවේ ප්‍රාග්ධන ශක්තිය, එහි කොටස් හිමිකරුවන්ට දීර්ඝකාලීන ප්‍රතිලාභ හිමි වීමට තුඩු දෙන ප්‍රධානතම සාධකය වී ඇති අතර, කොටස් හිමිකරුවන්ගේ හිමිකාරිත්වය මෙම වසරේදී රු. බිලියන 25 ඉක්මවා ගියේය. එමඟින් ආයෝජක විශ්වාසය වර්ධනය වී කොටස් මිල 22%කින් ඉහළ යන ලදී.

කොටස් හිමියන්ගේ විශ්වාසය වෙනුවෙන් හා ඔවුන්ට ප්‍රතිලාභ පිරිනැමීම වෙනුවෙන් බැංකුව අඛණ්ඩව 8 වන වරටත් ලාභාංශ ගෙවමින්, 2025 වසරේදී ඉතිහාසයේ ඉහළම වටිනාකම වූ රු. මිලියන 700ක ලාභාංශයක් ප්‍රකාශයට පත් කළේය.

ආයතනික පාලනය සහ අනුකූලතාව

2025 වසරේදී අමානා බැංකුව වෙනස් වන නියාමන රාමුවලට අනුගත වීමට අභ්‍යන්තර ව්‍යුහය ශක්තිමත් කළේය. නව බැංකු පනත සහ කොටස් හුවමාරු අවශ්‍යතා අනුව ප්‍රතිපත්ති යාවත්කාලීන කිරීමේ වගකීම අධ්‍යක්ෂ මණ්ඩලය භාර ගත් අතර, ආයතනික පාලනය යාවත්කාලීන කිරීම්, පාරිසරික, සමාජමය හා ආයතනික පාලන කටයුතු (ESG) සහ දත්ත ආරක්ෂාව ඇතුළත් කිරීම සඳහා ඒකාබද්ධ අවදානම් කළමනාකරණ රාමුව (IRMF) වැඩිදියුණු කරන ලදී.

SLFRS S1 සහ S2 ප්‍රමිතීන්ට අනුකූල වීම සඳහා ස්වාධීන විශේෂඥ සහය ලබා ගනිමින්, තිරසාරත්ව අවදානම් මැනීම, වාර්තා කිරීම සහ හෙළිදරව් කිරීම සඳහා අවශ්‍ය ප්‍රතිපත්ති හා පාලන යාන්ත්‍රණ ස්ථාපිත කිරීම ආරම්භ කළේය. ESG අවදානම් සහ අවස්ථා හඳුනාගෙන සමස්ත අවදානම් ක්‍රියාවලියට ඒකාබද්ධ කිරීමේ වගකීම තිරසාර බැංකුකරණ වැඩසටහන් කමිටුවට [Sustainable Banking Initiatives Committee (SBIC)] පැවරිණි. අධ්‍යක්ෂ මණ්ඩලය සමඟ ඒකාබද්ධ අවදානම් කළමනාකරණ කමිටුව [Board Integrated Risk Management Committee (BIRMC)] වෙත වාර්තා කරන මෙම තිරසාර බැංකුකරණ වැඩසටහන් කමිටුව මඟින් බැංකුවේ පාලන ව්‍යුහය ශක්තිමත් වී ඇති අතර, පාරිසරික, සමාජමය හා ආයතනික යහපාලන (ESG) කටයුතු සඳහා බැංකුව දක්වන කැපවීම එමඟින් තවදුරටත් තහවුරු වී ඇත.

අධ්‍යක්ෂ මණ්ඩලයේ වෙනස්කම්

මෙම වසරේ ක්‍රමෝපායික වෙනස්කම් සහ නියාමන අවශ්‍යතා අනුව අමාත්‍යා බැංකුවේ අධ්‍යක්ෂ මණ්ඩලයේ ප්‍රධාන සංශෝධන කිහිපයක් සිදු විය.

සෙන්ටිල්වේල් සෙන්ටිල් නන්දනන් මහතා (Senthilvel Holdings නියෝජිත) විධායක නොවන, ස්වාධීන නොවන අධ්‍යක්ෂ ලෙස පත් විය. වසර 9ක් සේවය කිරීමෙන් අනතුරුව ඩිල්ශාන් හෙට්ටිආරච්චි මහතා අධ්‍යක්ෂ මණ්ඩලයෙන් විශ්‍රාම යන ලදී. එතුමා ඉටු කළ අමිල මෙහෙවර වෙනුවෙන් මාගේ හා අධ්‍යක්ෂ මණ්ඩලයේ කෘතඥතාව ඔහු වෙත පුදකර සිටින්නෙමි.

බයිරුල් මුසමිල් පෙරේරා බිත් අබ්දුල්ලා මහතා නියාමන මාර්ගෝපදේශයන්ට අනුකූලව 2025 ජනවාරි මාසයේදී ජ්‍යෙෂ්ඨ ස්වාධීන අධ්‍යක්ෂ ලෙස පත් කළ අතර, මොහොමඩ් ඇඩමලි මහතා ශ්‍රී ලංකා මහ බැංකුවේ මාර්ගෝපදේශයන්ට අනුකූලව විධායක නොවන ස්වාධීන අධ්‍යක්ෂ ලෙස නැවත නම් කරන ලදී.

තවද, මුස්තෆා සත්තාර් කාසිම් මහතා විධායක නොවන, ස්වාධීන නොවන අධ්‍යක්ෂ ලෙසත්, මහාචාර්ය අයිශාන් මුනිසා මහත්මිය විධායක නොවන ස්වාධීන අධ්‍යක්ෂකවරිය ලෙසත් අධ්‍යක්ෂ මණ්ඩලයට එක් විය. ඔවුන් සියලුම දෙනා අධ්‍යක්ෂ මණ්ඩලය වෙත සාදරයෙන් පිළිගන්නා අතර, ඔවුන්ගේ දායකත්වය සහ මඟපෙන්වීම බලාපොරොත්තු වෙමි.

අනාගත දැක්ම

ශ්‍රී ලංකාවේ ආර්ථිකය පුනර්ජීවනය සහ තිරසාර වර්ධන ලකුණු පෙන්වුවද, මැද පෙරදිග අර්බුදයෙන් ඇති වූ භූ දේශපාලනික නොසන්සුන්තාව මෙම පුනර්ජීවනයට බාධා කරමින් ඇත. මූල්‍ය කාර්යසාධනය අඛණ්ඩව වැඩිදියුණු වීම සහ ඉදිරියේදී ස්වෛරී ණය ශ්‍රේණිය ඉහළ නංවනු ඇතැයි යන බලාපොරොත්තුව රටේ ප්‍රතිසංස්කරණ න්‍යායපත්‍රය කෙරෙහි පවතින විශ්වාසය හඟවන සාධක ලෙස දැක්විය හැකි වුවද, ගෝලීය බලශක්ති මිල, වෙළඳ ප්‍රවණතා සහ ආයෝජක හැඟීම් පිළිබඳව විමසිල්ලෙන් සිටීම අවශ්‍ය වේ.

රජයේ යටිතල පහසුකම් ව්‍යාපෘති සහ 'Rebuilding Sri Lanka' වැනි වැඩසටහන් නිසා දේශීය ආර්ථික ක්‍රියාකාරකම් ශක්තිමත් වී නව ව්‍යාපාර අවස්ථා හා බැංකු ණය ඉල්ලුම ඉහළ යනු ඇතැයි අපේක්ෂා කෙරේ. කෙසේ වෙතත්, කලාපීය අස්ථාවරත්වයේ බලපෑම් පිළිබඳව බැංකුව අවධානයෙන් සිටින අතර මතු වන අභියෝගවලට කඩිනමින් පියවර ගැනීමට බැංකුවක් වශයෙන් සූදානමින් සිටීමු.

ස්වෛරී ණය ශ්‍රේණිය ඉහළ නැංවීමක් සිදුවුවහොත් එමඟින් දේශීය බැංකුවලට විදේශ අරමුදල් ලබාගැනීම පහසු වී, නියාමන සීමා ලිහිල් වීමෙන් ප්‍රාග්ධන වෙළඳපොළ ක්‍රියාකාරකම් සහ මුදල් සංසරණය වැඩිදියුණු වනු ඇත. මේ අතර ශ්‍රී ලංකා මහ බැංකුව 2026 මාර්ග සිතියම ක්‍රියාත්මක කිරීම සහ ද්‍රවශීලතා අධීක්ෂණය සම්බන්ධයෙන් දක්වන අඛණ්ඩ අවධානය තුළින් බැංකු ක්ෂේත්‍රයේ ස්ථාවරත්වය ආරක්ෂා කිරීම සඳහා ව්‍යුහගත රාමුවක් සපයනු ඇත.

ස්තූතිය

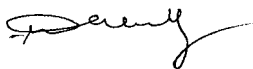
අමාත්‍යා බැංකුව අඛණ්ඩව සාර්ථකත්වය කරා රැගෙන යාම සඳහා මඟපෙන්වීම සහ අධීක්ෂණය ලබාදෙන අධ්‍යක්ෂ මණ්ඩලයට මාගේ අවංක ස්තූතිය පිරිනමන්නෙමි.

2025 වසරේ මෙබඳු වාර්තාගත කාර්යසාධනයක් වාර්තා කිරීම සඳහා කැපවීමෙන් සහ නොපසුබට උත්සාහයෙන් පිටුබලය දුන් කළමනාකාර අධ්‍යක්ෂ / ප්‍රධාන විධායක නිලධාරී මොහොමඩ් අස්මීර් මහතාට, කළමනාකරණ කමිටුවට සහ සමස්ත අමාත්‍යා බැංකු කණ්ඩායමට මාගේ හෘදයාංගම කෘතඥතාව පළ කරන්නෙමි.

පොලී රහිත බැංකුකරණ මූලධර්මවලට අනුකූලව කටයුතු කිරීමට මඟපෙන්වීම් ලබාදෙන ඡරියා අධීක්ෂණ කමිටුවටත්, සමාජ මෙහෙවර උදෙසා කැපවන OrphanCare භාරකාර මණ්ඩලයටත් ස්තූතිය පිරිනමමි.

එමෙන්ම සහයෝගය හා මඟපෙන්වීම් වෙනුවෙන් ශ්‍රී ලංකා මහ බැංකුවේ අධිපතිතුමන් ඇතුළු නිලධාරී මණ්ඩලයටත්, කොළඹ කොටස් හුවමාරුවටත් ස්තූතිය පිරිනමමි.

අවසන් වශයෙන් , අපට නිරතුරුව ජයග්‍රහණ හඹා යමින් තිරසාර වර්ධනය, දීර්ඝකාලීන වටිනාකම් සහ අර්ථවත් සමාජ මෙහෙවරක් වෙනුවෙන් අඛණ්ඩව කැපවීමට හැකියාව ලබාදෙන, දිගින් දිගටම අප හා එක්ව කටයුතු කරන ගනුදෙනුකරුවන්ටත්, අප කෙරෙහි විශ්වාසය රැඳවීම වෙනුවෙන් අපගේ දේශීය හා ජාත්‍යන්තර කොටස් හිමියන්ටත් මාගේ හෘදයාංගම ස්තූතිය පළ කරන්නෙමි.



අස්ථි අක්බරලි

සභාපති

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කොළඹ

அமானா வங்கி பிஎஸ்சியின் பணிப்பாளர் சபை அங்கத்தவர்கள் சார்பாக, 2025 டிசம்பர் 31 ஆம் திகதியுடன் நிறைவடைந்த ஆண்டுக்கான வருடாந்த அறிக்கை மற்றும் நிதிக் கூற்றுகளை உங்களுக்கு சமர்ப்பிப்பதில் மகிழ்ச்சியடைகிறேன். அமானா வங்கியைப் பொறுத்தமட்டில் முக்கியத்துவம் வாய்ந்த ஆண்டாக 2025ம் ஆண்டு அமைந்திருந்ததுடன் இணைந்த மூலோபாய நிறைவேற்றங்களினூடாக, துரித வளர்ச்சி மற்றும் சகல பங்களிப்புகளுக்கும் நிலையேறான பெறுமதி உருவாக்கத்தைப் பெற்றுக் கொள்ள முடியும் என்பதையும் வெளிப்படுத்தியிருந்தது.

தொழிற்பு குழல்

பொருளாதார மீட்சி மற்றும் வளர்ச்சி போன்றவற்றுடன் 2025 ஆம் ஆண்டின் தொழிற்பு குழல் பெரும்பாலும் சாதகமானதாகவும், ஆதரவளிப்பதாகவும் அமைந்திருந்தது. பெரும்பொருளாதார அடிப்படைகளை வலிமைப்படுத்தியமை, மேம்படுத்தப்பட்ட கொள்கை தீர்மானங்கள் மற்றும் ஒழுக்கமான நிதி முகாமைத்துவம் போன்றன பரந்த வியாபார சமூகத்தினர் மத்தியில், நிலையான மற்றும் எதிர்வுகூறக்கூடிய குழலை ஏற்படுத்தியிருந்தது. அத்துடன், குறைந்த கொள்கை வீதங்களுடனான குழல் தொடர்ந்திருந்ததுடன், தனியார் துறை கடன் வளர்ச்சிக்கான உறுதியான வழிகோலும் அம்சமாக அமைந்திருந்தது. அத்துடன், உள்நாட்டு பொருளாதார செயற்பாடுகளின் மீட்சியையும் உறுதி செய்திருந்தது.

சர்வதேச நாணய நிதியத்தின் அலுவலகங்களிலான வேலைத்திட்டத்தின் கீழ், அரசாங்கத்தின் வருமானத்தில் ஏற்பட்டுள்ள வலுவான வளர்ச்சியானது, நிதித்திறன் உறுதிப்படுத்தலில் எட்டப்பட்டுள்ள குறிப்பிடத்தக்க முன்னேற்றத்தைப் பிரதிபலிக்கின்றது. இவ்வாறான நிதிச் செயற்பாடுகளில் தொடர்ச்சியான முன்னேற்றம் காணப்படுவது ஊக்கமளிக்கும் ஒரு விடயமாகும். இப்பாரிய முன்னேற்றங்களை எட்டுவதற்கான நாட்டின் திறன், இலங்கையின் பொருளாதார மறுசீரமைப்பு நிகழ்ச்சி நிரலின் நம்பகத்தன்மையை மேலும் அதிகரித்துள்ளதுடன், எதிர் வரும் ஆண்டுகளில் நிலையான பெரும்பொருளாதார ஸ்திரத்தன்மையை பேணுவதற்கான ஒரு உறுதியான அடித்தளத்தையும் ஏற்படுத்தியுள்ளது.

2025 ஆம் ஆண்டின் பிற்பகுதியில் தாக்கிய தித்வா புயலின் பாதிப்புகளுக்கு மத்தியிலும், எமது பொருளாதாரம் போற்றத்தக்க வகையிலான மீட்சியை வெளிப்படுத்தியுள்ளது. இது, ஒட்டுமொத்த பொருளாதார மீட்சிப் பாதையிலிருந்து விலகிச் செல்லாது, புறச் சவால்களைத் தாங்கிக்கொள்ளக்கூடிய நாட்டின் திறனை உறுதிப்படுத்தியுள்ளது.

சந்தையின் மூலதனச் செயற்பாடுகள் மற்றும் பண்டச் சந்தைகளின் முன்னேற்றம் உள்ளிட்ட சந்தை மாற்றங்களைப் பிரதிபலிக்கும் வகையில், ஆண்டின் இறுதி காலாண்டில் சந்தை திரள்வுத்தன்மை நிலைமைகள் இறுக்கமடைந்தன. எவ்வாறாயினும், இந்நிலைமையானது நிதித்துறையின் கட்டமைப்புச் சார்ந்த அழுத்தத்தை வெளிப்படுத்தாது, முதலீட்டாளர்களின் நம்பிக்கை மேம்பட்டுள்ளதையும் நிதிச் சந்தை நடவடிக்கைகள் விரிவடைந்துள்ளதையும் பெருமளவில் சுட்டிக்காட்டுகின்றது.

மூலோபாய கட்டப்பாடுகள்

ஆண்டில் பொருளாதாரச் சூழலில் ஏற்பட்ட ஸ்திரத்தன்மை மற்றும் படிப்படியான முன்னேற்றமானது, வங்கியின் முதலீட்டு கலவையை மீள்நோக்குநிலைப்படுத்துவதற்கும், இலங்கையின் வங்கித்துறையில் அமானா வங்கி ஒரு நுகர்வோர், சிறிய மற்றும் நடுத்தர அளவிலான வர்த்தக நோக்குடைய வங்கியாக தனது நிலையை உறுதிப்படுத்துவதற்குமான நீண்டகாலமாக எதிர்பார்க்கப்பட்ட மூலோபாய மாற்றத்தை நடைமுறைப்படுத்துவதற்கான ஒரு தளத்தை வழங்கியுள்ளது.

2020 முதல் 2024 வரையான காலப்பகுதியில் நிலவிய அசாதாரணமான செயற்பாட்டுச் சூழல் காரணமாக, வங்கியின் முதலீட்டு கலவையானது ஒப்பீட்டளவில் பாரியளவிலான பெருநிறுவனங்களின் செறிவைக் கொண்டதாக கடந்த சில ஆண்டுகளில் மாற்றமடைந்திருந்தது. எவ்வாறாயினும், 2025 ஆம் ஆண்டில் பெரும்பொருளாதார ஸ்திரத்தன்மை மீண்டும் நிலைநாட்டப்பட்டமை மற்றும் நாட்டின் வளர்ச்சியின் பிரதான இயந்திரமாகத் திகழும் சிறிய மற்றும் நடுத்தர அளவிலான வர்த்தகங்களுக்கு ஆதரவளிக்கும் நோக்குடன், வங்கி திட்டமிட்ட விபூக மறுசீரமைப்பை முன்னெடுத்தது. இது

வங்கியின் அடிப்படை பலங்கள் மற்றும் இடர் கொள்கை ஆகியவற்றுடன் நெருக்கமாக ஒத்துப்போவதோடு, நுகர்வோர் மற்றும் சிறிய / நடுத்தர நிறுவன பிரிவுகளை நோக்கி உறுதியாக நகர்வதற்கும், நிலையான இலாப அதிகரிப்பு மற்றும் நீண்டகால பெறுமதி உருவாக்கத்திற்கான சிறந்த வாய்ப்புகளை வழங்குவதற்கும் வழிவகுத்துள்ளது.

இம்முதலீட்டு பிரிவு மாற்றத்திற்கு வலுவூட்டும் வகையில், வங்கியின் தேசியளவிலான தடம் மூலோபாய ரீதியாக விரிவாக்கப்பட்டது. வங்கியின் தனித்துவமான வங்கி மாதிரியானது நாடளாவிய ரீதியில் சென்றடைவதை உறுதிப்படுத்தும் நோக்குடன், போதிய வசதிகள் சென்றடையாத பின்தங்கிய பிரதேசங்களில் கூடுதல் கவனம் செலுத்தி, தனது வாடிக்கையாளர் தொடர்பு மையங்களின் வலையமைப்பை வங்கி விரிவுபடுத்தியது. இது தொடர்பில், தனது விநியோக கட்டமைப்பை மேம்படுத்துவதில் வங்கி முதலீடு செய்ததுடன், சுய வங்கி சேவை மையங்களின் வலையமைப்பை விரிவுபடுத்துவதற்காகவும் அர்ப்பணிப்புடன் செயற்பட்டது. இது பரந்த அளவிலான மக்களுக்கு இன்னும் இலகுவான, வினைத்திறான மற்றும் செலவு குறைந்த வங்கி தீர்வுகளை வழங்குவதற்கான எமது உறுதிப்பாட்டை வெளிப்படுத்தியுள்ளது.

வங்கியின் மூலோபாய நிகழ்ச்சி நிரலில் டிஜிட்டல் மயமாக்கல் என்பது முக்கிய கூறாக அமைந்திருந்தது. கடந்த ஆண்டில், தன்னியக்கமயமாக்கல் செயற்பாடுகளை வங்கி துரிதப்படுத்தியிருந்ததுடன், பிரதான வங்கித் தளம் மற்றும் உட்கட்டமைப்பு வசதிகளை நவீனமயமாக்கலில் முதலீடுகளை மேற்கொண்டு, மீட்சி, பாதுகாப்பு மற்றும் தொழிற்பாட்டு வினைத்திறனை மேம்படுத்தியிருந்தது. அத்துடன், வங்கி தனது அட்டைகள் மற்றும் கொடுப்பனவுகள் கட்டமைப்பை வலிமைப்படுத்தலில் முக்கியமான மைல்கற்களை எய்தியிருந்ததுடன், முதன் முறையாக மூன்றாம் தரப்பு வங்கிகளில் தங்கியிருக்கும் நிலையை இல்லாமல் செய்திருந்தது. வங்கியின் டிஜிட்டல் கட்டமைப்புகளில் வாடிக்கையாளர்களின் நம்பிக்கையை மேம்படுத்துவதிலும் கவனம் செலுத்தியிருந்தது. பெருமளவில் தொழில்நுட்ப

ரீதியில் செயற்படுத்தப்படும் நிதிச் சூழலில் வங்கி போட்டியிடுவதற்கான நிலையை இந்த மேம்படுத்தல்கள் முன்னேற்றியிருந்தன.

நிதிசார் சிறப்பம்சங்கள்

2025 டிசம்பர் 31 ஆம் திகதியுடன் நிறைவடைந்த நிதியாண்டில் அமானா வங்கி சிறந்த நிதிப் பெறுபேறுகளை பதிவு செய்துள்ளது என்பதை அறியத்தருவதில் நான் மகிழ்ச்சியடைகிறேன். தொடர்ச்சியான மைல்கற்கள் மற்றும் வரலாற்று முக்கியத்துவம் வாய்ந்த உயர்ந்த பெறுமதிகள் போன்றவற்றினால் இது சாத்தியமாகியிருந்தது.

வங்கியின் வரிக்கு முந்திய இலாபம் ரூ. 4 பில்லியனை கடந்திருந்தது. இது முன்னைய ஆண்டுடன் ஒப்பிடுகையில் 47% உயர்வாகும். அத்துடன், வரிக்கு பிந்திய இலாபம் ரூ. 2.5 பில்லியனாக உயர்ந்திருந்தது. இது முன்னைய ஆண்டுடன் ஒப்பிடுகையில் 40% உயர்வை பிரதிபலித்திருந்தது.

வங்கியின் பிரதான வங்கியியல் பிரிவுகளை மீளமைத்தல் செயற்பாடுகளை வெற்றிகரமாக முன்னெடுத்திருந்தமையினூடாக, முற்பணங்கள் பிரிவு 36% வளர்ச்சியை பதிவு செய்திருந்தது. இது துறையின் சராசரியை விட உயர்வானதாக அமைந்திருந்தமை குறிப்பிடத்தக்கது.

மொத்த சொத்துகள் ரூ. 200 பில்லியனை கடந்திருந்ததுடன், ஸ்தாபிக்கப்பட்டது முதல் இந்த இலக்கை வேகமாக எய்தியிருந்ததுடன், வேகமாக வளர்ந்து வரும் நிறுவனங்கள் வரிசையில் வங்கியை நிலைநிறுத்தியிருந்தது. இலாப விகிதங்கள் முன்னைய ஆண்டுடன் ஒப்பிடுகையில் முன்னேற்றங்களை பதிவு செய்திருந்ததுடன், பங்கின் மீதான வருமதி மற்றும் சொத்துகள் மீதான வருமதி முறையே 8.0% மற்றும் 1.6% இலிருந்து 10.4% மற்றும் 2.1% ஆக உயர்ந்திருந்தன.

வங்கியின் மூலதன நிலை உறுதியானதாக காணப்பட்டதுடன், முதன்மை மூலதன நிலை 1 மற்றும் மொத்த மூலதன போதுமை விகிதங்கள் 2025 டிசம்பர் 31 ஆம் திகதியன்று முறையே 13.0% மற்றும் 14.7% ஆக பதிவாகியிருந்தன. ஒழுங்குபடுத்தல் ஆகக்குறைந்த தேவைப்படான

8.5% மற்றும் 12.5% என்பதை விட இந்தப் பெறுமதிகள் உயர்ந்து பதிவாகியிருந்தன. குறைந்தபட்ச மட்டத்திற்கு மிக மேலான நிலையில் காணப்படும் திரள்வுத்தன்மை ஈட்டு விகிதத்துடன் கூடிய ஆரோக்கியமான திரள்வுத்தன்மை நிலைப்பாடானது, வங்கியின் உறுதியான மூலதன அடிப்படையை மேலும் வலுப்படுத்தியுள்ளது. இது முறையான இடர் ஒழுக்கத்தைப் பேணுவதுடன், வங்கியின் வளர்ச்சியைத் துரிதப்படுத்துவதற்குப் பெரிதும் உதவியிருந்தது.

இந்த உறுதியான நிதிப் பிரிவை பிரதிபலித்து, Fitch ரேட்டிங்ஸ் ஸ்ரீ லங்காவின் வலுவாக்கப்படும் வங்கியின் தேசிய நீண்ட கால தரப்படுத்தலான BBB-(lka) உறுதியான புறத்தோற்றத்துடன் தொடர்ந்தும் பேணப்பட்டிருந்தது. லங்கா ரேட்டிங் முகவரமைப்பினால் 2025 ஆம் ஆண்டில் BBB+ தரப்படுத்தல் வழங்கப்பட்டிருந்தது. இந்த சுயாதீன மதிப்பாய்வுகளினூடாக, அமானா வங்கியின் உறுதியடையும் நிதி வசதிகளின் வலிமை, நிதி உறுதித்தன்மை மற்றும் சந்தையில் வளர்ச்சியடையும் நிலை போன்றன உறுதி செய்யப்பட்டுள்ளன.

பங்குதாரர் பெறுமதி உருவாக்கம்

கடந்த தசாப்தத்திற்கும் மேலான முறையான வளர்ச்சி மற்றும் வலுவான நிதி முகாமைத்துவத்தின் அடிப்படையில், வங்கியின் மூலதன வலிமையானது நீண்டகால பங்குதாரர் பெறுமதியை உருவாக்குவதற்கான ஒரு மூலாதாரமாகத் தொடர்ந்து திகழ்கின்றது. அமானா வங்கியின் தொடர்ச்சியான செயற்படுத்திற்ன் மற்றும் பல ஆண்டுகளாக பேணப்பட்டு வரும் விவேகமான மூலதன சேமிப்பிற்குச் சான்றாக, நடப்பு ஆண்டில் பங்குதாரர்களின் உரிமைப்பங்கு 25 பில்லியன் ரூபாய் எனும் மைல்கல்லைக் கடந்துள்ளது. இச்சாதனையானது முதலீட்டாளர்களின் நம்பிக்கையை கணிசமாக அதிகரித்துள்ளதாடன், வங்கியின் வளர்ச்சி வாய்ப்புகள் குறித்த சாதகமான சந்தை உணர்வுகளுக்கும் பங்களிப்பு செய்துள்ளது. இந்த நம்பிக்கையைப் பிரதிபலிக்கும் வகையில், வங்கியின் பங்குகள் ஆண்டு முழுவதும் சுறுசுறுப்பாக வர்த்தகம் செய்யப்பட்டதுடன், 22% ஆன ஆரோக்கியமான விலை உயர்வையும் பதிவு செய்துள்ளன.

பங்குதாரர்களின் நம்பிக்கைக்குப் பலனளிக்கும் தனது உறுதிப்பாட்டிற்கு இணங்க, வங்கி தொடர்ந்து எட்டாவது ஆண்டாகவும் தனது இலாபப்பங்கு வழங்கும் வரலாற்றைத் தக்கவைத்துள்ளது. இதற்கமைய, வங்கி இதுவரை வழங்கியதில் அதிகபட்சத் தொகையான 700 மில்லியன் ரூபாயிற்கும் அதிகமான இலாபப்பங்கினை இவ்வாண்டில் அறிவித்துள்ளது.

நிறுவன ஆளுகை மற்றும் ஒழுங்குமுறை

2025 ஆம் ஆண்டில், மாறியரும் ஒழுங்குமுறை எதிர்பார்ப்புகள் மற்றும் வளர்ந்து வரும் சிறந்த நடைமுறைகளுடன் இணங்கிச் செயலாற்றுவதை உறுதிப்படுத்துவதற்காக, வங்கியின் உள்வாரி கட்டமைப்பை வலுப்படுத்துவதில் பணிப்பாளர் சபை தீவிரமாக ஈடுபட்டிருந்தது. இது தொடர்பாக, கொள்கை மேம்பாடு ஒரு முக்கிய முயற்சியாக அமைந்ததுடன், சமீபத்திய வங்கிச் சட்டத்தின் பணிப்புரைகள் மற்றும் பங்குச் சந்தை தேவைகளுக்கு அமைய, வங்கியின் கொள்கைக் கட்டமைப்பை மீளாய்வு செய்து இக்காலத்திற்கு ஏற்ப புதுப்பிப்பதற்கான நடவடிக்கைகளை பணிப்பாளர் சபை முன்னெடுத்திருந்தது.

அத்துடன், நிறுவன ஆளுகை மேம்படுத்தல்கள், சுற்றுச்சூழல், சமூகம் மற்றும் ஆளுகை தொடர்பான விடயங்கள் மற்றும் தரவுப் பாதுகாப்புப் பொறுப்புகள் ஆகியவற்றை உள்ளடக்கும் வகையில், வங்கியின் ஒருங்கிணைந்த இடர் முகாமைத்துவக் கட்டமைப்புப் (IRMF) மேலும் செம்மைப்படுத்தப்பட்டது.

SLFRS S1 மற்றும் S2 அறிக்கையிடல் தரநிலைகளுடன் இணங்கிச் செயலாற்றுவதற்கான அமானா வங்கியின் முயற்சிகளுக்கு ஆதரவளிக்கும் வகையில், பணிப்பாளர் சபை ஒரு சுயாதீன நிபுணரை ஈடுபடுத்தியது. இத்தரநிலைகளின் தேவைகளைப் புரிந்துகொள்வதற்கும் அவற்றை நடைமுறைப்படுத்துவதற்கும் குறித்த ஆலோசகர்களுடன் நெருக்கமாகப் பணியாற்றிய பணிப்பாளர் சபை, வங்கியின் செயற்பாடுகள் முழுவதிலும் நிலைபேறுத்தன்மை தொடர்பான இடர்களைத் துல்லியமாக அளவிடுவதற்கும், அறிக்கையிடுவதற்கும் மற்றும் வெளிப்படுத்துவதற்கும் அவசியமான கொள்கைகள், செயன்முறைகள் மற்றும் ஆளுகை பொறிமுறைகளை முறையாக நிறுவுவதற்கான

முயற்சிகளை முன்னெடுத்தது. நிபுணர்களின் பரிந்துரைகளின் அடிப்படையில், சுற்றுச்சூழல், சமூகம் மற்றும் ஆளுகை தொடர்பான இடர்கள் மற்றும் வாய்ப்புகளை முறையாக இனங்காணவும், மதிப்பிடவும் மற்றும் நிறுவன ரீதியான இடர் செயன்முறைகளுடன் ஒருங்கிணைக்கவும், நிலைபேறான வங்கி முயற்சிகள் குழுவிடம் (SBIC) பணிப்பாளர் சபை பொறுப்பளித்துள்ளது. பணிப்பாளர் சபையின் ஒருங்கிணைந்த இடர் முகாமைத்துவக் குழுவிற்கு (BIRMC) அறிக்கையிடும் இக்குழுவானது, வங்கியின் ஆளுகை கட்டமைப்பை வலுப்படுத்தியுள்ளதுடன், ESG மேலாண்மை தொடர்பான பணிப்பாளர் சபையின் அர்ப்பணிப்பையும் உறுதிப்படுத்தியுள்ளது.

பணிப்பாளர் சபை அங்கத்தவர்களில் மாற்றங்கள்

ஆண்டில் அமானா வங்கி மூலோபாய பொருத்தப்பாடு மற்றும் ஒழுங்குபடுத்தல் தேவைப்பாடு ஆகியவற்றை பிரதிபலித்து, தனது பணிப்பாளர் சபையில் சில முக்கியமான மாற்றங்களை ஏற்படுத்தியிருந்தது.

மூலோபாய பங்காளரான செந்தில்வேல் ஹோல்டிங்ஸை பிரதிநிதித்துவப்படுத்தி திரு. செந்தில்வேல் செந்தி நந்தனன், பணிப்பாளர் சபையில் நிறைவேற்று அதிகாரமற்ற, சுயாதீனமற்ற பணிப்பாளராக இணைந்தார். திரு. நந்தனன் அவர்களை நான் இனிதே வரவேற்பதுடன், கூட்டாண்மைத்துறை மற்றும் மூலதன சந்தைகளில் அவரின் ஆழமான அனுபவம் போன்றன அமானா வங்கியின் பணிப்பாளர் சபைக்கு இந்தப் பிரிவுகளில் மேலும் வலிமை சேர்ப்பதாக அமைந்திருக்கும்.

திரு. டிலஷான் ஹெட்டியாரச்சி, ஆகக்கூடிய ஒழுங்குபடுத்தல் காலப்பகுதியான ஒன்பது வருடங்கள் பணிப்பாளர் சபையில் அங்கம் வகித்து, ஓய்வு பெற்றிருந்தார். அக்காலப்பகுதியில் அவர்கள் பெறுமதி வாய்ந்த சேவையை ஆற்றியிருந்ததுடன், பணிப்பாளர் சபையின் தீர்மானங்கள் மற்றும் ஒட்டுமொத்த ஆளுகையில் குறிப்பிடத்தக்களவு பங்களிப்பை வழங்கியிருந்தார். அவரின் பதவிக் காலப்பகுதியில் அமானா வங்கிக்கு ஆற்றிய அர்ப்பணிப்பான சேவைகளுக்காக பணிப்பாளர் சபையுடன், நானும் எமது மனமார்ந்த நன்றியை தெரிவித்துக் கொள்கிறேன்.

அத்துடன், ஏற்கனவே சுயாதீன, நிறைவேற்று அதிகாரமற்ற பணிப்பாளரான திரு. கைரூல் முஸமெல் பெரோரா பின் அப்துல்லாஹ், ஒழுங்குபடுத்தல் வழிகாட்டல்களின் பிரகாரம் 2025 ஜனவரி மாதம் முதல் சிரேஷ்ட சுயாதீன பணிப்பாளராக நியமிக்கப்பட்டுள்ளார்.

இலங்கை மத்திய வங்கியின் வழிகாட்டல்களின் பிரகாரம், ஏற்கனவே சுயாதீனமற்ற பணிப்பாளராக திகழ்ந்த திரு. மொஹமட் ஆ.மலி, நிறைவேற்று அதிகாரமற்ற, சுயாதீன பணிப்பாளராக மீள்நியமனம் பெற்றுள்ளார்.

திரு. முஸ்தபா சத்தார் காசிம் சுயாதீனமற்ற, நிறைவேற்று அதிகாரமற்ற பணிப்பாளராக நியமிக்கப்பட்டுள்ளதுடன், பேராசிரியை ஆயிஷத் முன்ஸா நிறைவேற்று அதிகாரமற்ற, சுயாதீன பணிப்பாளராக நியமிக்கப்பட்டுள்ளதனூடாக, வங்கியின் பணிப்பாளர் சபை மேலும் வலிமைப்படுத்தப்பட்டுள்ளது. அவர்களை நாம் வரவேற்பதுடன், அவர்களின் கருத்துகள் மற்றும் வழிகாட்டல்களை பெற்றுக் கொள்ள எதிர்பார்க்கிறோம்.

எதிர்கால நோக்குகள் மற்றும் எதிர்பார்ப்புகள்

இலங்கையின் பொருளாதார நோக்கானது, மீட்சி மற்றும் நிலைபேறான வளர்ச்சியை நோக்கிய பாதையிலேயே தொடர்ந்து பயணிக்கின்றது. இருப்பினும், மத்திய கிழக்கில் ஏற்பட்டுள்ள நெருக்கடி நிலைமையினால் தீவிரமடைந்துள்ள பூகோள அரசியல் பதற்றங்களுக்கு மத்தியிலேயே இப்பொருளாதாரப் பாதை தற்போது விரிவடைகின்றது. நிதிச் செயற்பாடுகளில் காணப்படும் தொடர்ச்சியான முன்னேற்றங்களும், அரசின் நிதி மதிப்பீட்டில் எதிர்பார்க்கப்படும் மேம்பாடும், நாட்டின் மறுசீரமைப்பு நிகழ்ச்சி நிரல் மீதான நம்பிக்கையை மேலும் வலுப்படுத்துகின்றன. அதேவேளை, உலகளாவிய எரிசக்தி விலைகள், வர்த்தகப் பரிமாற்றங்கள் மற்றும் முதலீட்டாளர்களின் மனோநிலை ஆகியவற்றில் ஏற்படக்கூடிய தாக்கங்கள் காரணமாக, மாற்றமடைந்து வரும் சர்வதேசச் சூழலை மிகவும் அவதானமாகக் கண்காணிக்க வேண்டியது அவசியமாகின்றது.

இவ்வாறான உறுதியற்ற சூழலிலும், அரசாங்கத்தின் திட்டமிடப்பட்ட உட்கட்டமைப்புத் திட்டங்கள் மற்றும் அண்மைய இயற்கை அனர்த்தங்களைத்

தொடர்ந்து முன்னெடுக்கப்படும் இலங்கையை மீளக்கட்டியெழுப்பும் முயற்சி ஆகியவை, உள்நாட்டுப் பொருளாதாரச் செயற்பாடுகளுக்கு ஆதரவளிக்கும் என்றும், புதிய வர்த்தக வாய்ப்புகளை உருவாக்கி, வங்கித்துறையிலான நிதி வசதி கோரிக்கைகளை வலுப்படுத்தும் என்றும் எதிர்பார்க்கப்படுகின்றது. எவ்வாறாயினும், நீண்டகால பிராந்திய ஸ்திரமற்ற தன்மையினால் ஏற்படக்கூடிய சாத்தியமான தொடர் விளைவுகள் குறித்து வங்கி விழிப்புடன் இருப்பதுடன், உருவாகி வரும் சவால்களை எதிர்கொள்வதற்கு கருகருப்பான மற்றும் இடர்-அவதானிப்புடன் கூடிய அணுகுமுறையை உறுதிப்படுத்துகின்றது.

இலங்கையின் இறையாண்மை நிதி நிலை உயர்வு, உள்ளூர் வங்கிகளுக்கு வெளிநாட்டு நிதி ஆதாரங்களை இலகுவாகப் பெற்றுக்கொள்வதற்கும், உயர்ந்தளவிலான ஒழுங்குமுறை வரம்புகளை எய்துவதற்கும் வாய்ப்பளிக்கிறது. இது மூலதனச் சந்தைச் செயற்பாடுகளை ஊக்குவிப்பதோடு, உள்நாட்டு நிதி முறைமைக்குள் நிதியோட்டத்தை மேம்படுத்தவும் வழிவகுக்கும். இதற்கு இணையாக, இலங்கை மத்திய வங்கியானது திரவத்தன்மையைக் கண்காணிப்பதில் கொண்டுள்ள தொடர்ச்சியான கவனம் மற்றும் அதன் “2026 ஆம் ஆண்டிற்கான வழிகாட்டி வரைபடம்” ஆகியவற்றை நடைமுறைப்படுத்துவது, வங்கித்துறையின் உறுதித்தன்மையைப் பாதுகாப்பதற்கான ஒரு கட்டமைக்கப்பட்ட மற்றும் ஒழுக்கமான வழிமுறையை வழங்கும்.

நன்றி நவிலல்கள்

வங்கியை தொடர்ச்சியாக வெற்றிகரமாக வழிநடத்திச் செல்வதில் உறுதியான வழிகாட்டல்களை வழங்குகின்றமைக்காக அமானா வங்கியின் பணிப்பாளர் சபைக்கு எனது மனமார்ந்த நன்றியை தெரிவித்துக் கொள்கிறேன்.

எமது முகாமைத்துவ பணிப்பாளர்/பிரதம நிறைவேற்று அதிகாரி திரு. மொஹமட் அஸ்மீர், முகாமைத்துவ குழு மற்றும் அமானா வங்கியின் முழுச் செயலணிக்கும் எனது நன்றியை தெரிவித்துக் கொள்கிறேன். உங்களின் அர்ப்பணிப்பு, நிபுணத்துவம் மற்றும் அபராத முயற்சிகள் போன்றன, 2025 ஆம் ஆண்டில் வங்கி சாதனைமிகு வினைத்திறனை பதிவு செய்வதில் முக்கிய பங்காற்றியிருந்தன.

அறநெறி சார்ந்த மற்றும் வட்டிசாரா வங்கித்
கொள்கைகளைப் பின்பற்றுவதில் எமது
அர்ப்பணிப்பைத் தொடர்ந்து வலுப்படுத்தி வரும்
ஷரிஆ மேற்பார்வை சபையின் விலைமதிப்பற்ற
வழிகாட்டல்களுக்கு எமது மனமார்ந்த நன்றிகளைத்
தெரிவித்துக் கொள்கின்றேன். அத்துடன், பாரிய
உன்னத சமூக முயற்சியான 'OrphanCare'
அறக்கட்டளையின் பணிப்பாளர் சபையினரின்
தளராத அர்ப்பணிப்பிற்கும் எனது நன்றிகளை
உரித்தாக்குகின்றேன்.

இலங்கை மத்திய வங்கியின் ஆளுனர்
மற்றும் அதிகாரிகளுக்கும், கொழும்பு
பங்குப்பரிவர்த்தனையின் அதிகாரிகளுக்கும்
அவர்களின் தொடர்ச்சியான ஆதரவு மற்றும்
வழிகாட்டல்களுக்காக நன்றி தெரிவித்துக்
கொள்கிறேன்.

இறுதியாக, எமது வாடிக்கையாளர்கள் மற்றும்
வியாபார பங்காளர்கள், எமது உள்நாட்டு மற்றும்
சர்வதேச பங்குதாரர்கள் போன்றன அனைவரும்
அமானா வங்கி மீது கொண்டுள்ள நம்பிக்கை
மற்றும் விகவாசத்திற்காக எனது மனமார்ந்த
நன்றியை தெரிவிக்கிறேன். உயர்ந்த சாதனைகளை
பதிவு செய்வதற்கும், எமது வலையமைப்பை
விரிவாக்கம் செய்வதற்கும், நிலைபேறான வளர்ச்சி,
நீண்ட கால பெறுமதி மற்றும் நாம் சேவைகளை
வழங்குவோருக்கு அர்த்தமுள்ள தாக்கத்தை
ஏற்படுத்துவதில் எமது அர்ப்பணிப்பை உறுதி
செய்வதில் உங்களின் ஆதரவு இன்றியமையாததாக
அமைந்திருந்தது.



அஸ்கி அக்பராலி
தவிசாளர்

26 பெப்ரவரி 2026
கொழும்பு



Managing Director/CEO's Review

"At Amāna Bank, we are guided by our signature people-friendly and development focused banking approach to deliver banking experiences that represent convenience, flexibility, and financial empowerment to support every customer's unique needs."

"Amāna Bank delivered its best-ever financial performance in 2025, marking its highest recorded profitability since inception in 2011, which I attribute to the resilience of our business model and our strategic approach to achieve sustained growth."

The year 2025 stands as a landmark in Amāna Bank's journey, marking not only our 14th year of operations but also the most successful year in our history. Over the years, our steadfast investment in expanding our island-wide presence and enriching our portfolio of non-interest based financial solutions has firmly positioned Amāna Bank as a trusted, progressive, and purpose-driven institution serving customers across Sri Lanka. Beyond delivering exceptional bottom line performance in 2025, the Bank's progress was further validated by Industry recognitions, including being named the Most Impactful ICD Investee Company and being honoured as the Best Bank in Sri Lanka at the Indian Chamber of Commerce (ICC) Emerging Asia Banking Awards, adjudicated by PwC India.

MACROECONOMIC OVERVIEW

A renewed sense of stability and confidence defined the economic landscape in 2025, as Sri Lanka continued its path towards economic recovery. Political stability, coupled with improving macroeconomic fundamentals, enabled the economy to record an estimated GDP growth of 5% in 2025. Moreover, the fact that the economy demonstrated notable resilience in absorbing external shocks, including the effect of Cyclone Ditwah, reflects the impact of strengthening macroeconomic fundamentals and the gradual restoration of structural stability across key sectors of the economy.

Monetary policy remained accommodative throughout the year, with policy rates being maintained at 8.0% at the beginning of the year and gradually declining to 7.75%

mid-year, which supported credit expansion and private sector activity. Private sector credit growth gained momentum, particularly in the latter part of the year, surpassing LKR 2 trillion by December 2025. The relaxation of restrictions on vehicle imports earlier in the year further stimulated trade-related activity. The Sri Lankan Rupee, despite depreciating by 5.6% against the US Dollar during the year, remained broadly stable, underpinned by improved foreign exchange inflows on the back of the strong increase in inward remittances and higher tourism earnings. These developments collectively reinforced external sector stability and helped to boost foreign currency liquidity within the domestic financial system.

Against this macroeconomic backdrop, the banking sector delivered a strong performance in 2025. Total sector assets expanded by 15.6% by the third quarter of 2025, driven primarily by growth in advances. Deposits increased by 13.4%, reflecting restored depositor confidence and improved liquidity conditions. Asset quality indicators showed gradual improvement, with the Gross Stage 3 Advances ratio declining to 9.7% in 2025 from 12.3% in 2024. Profitability metrics strengthened further, with the banking sector recording a Net Finance Margin (NFM) of 4.3% and a Return on Equity (ROE) of 16.6% in 2025.

BUSINESS PERFORMANCE

Amāna Bank's growth trajectory in 2025 reflects its strategic clarity to capitalise on the broader resurgence of the Sri Lankan economy. Considering the improvement

in economic activity, rising consumer confidence, and expanding private sector credit, the Bank strategically accelerated the growth of its advances.

Efforts to grow the Retail portfolio were led by targeted expansion of the vehicle financing proposition, including more emphasis on Electric Vehicle (EV) financing to encourage customers to transition towards environmentally responsible transportation solutions, reinforcing the Bank's sustainability agenda in line with the Government's broader green initiatives. Likewise, with lower policy rates stimulating demand for home ownership, we proceeded to strengthen our home financing proposition through enhanced value offerings and simplified processing to improve turnaround time and service deliveries. Consequently, retail advances grew by 43%, closing at LKR 43.7 billion.

Building on the revival in economic activity and renewed business confidence in 2025, Amāna Bank strategically intensified its focus on the SME segment with a series of structural changes implemented to drive our SME growth agenda at a regional level across the country. Leveraging our deep sectoral expertise, we targeted growth-oriented enterprises across key industries, focusing in particular on trading businesses that benefited from the relaxation of import restrictions. To deepen the penetration into the SME sector, we took an inclusive approach along with significant emphasis on value-chain financing, complemented by targeted outreach to suppliers and distributors linked to major corporate clients in the sectors of logistics, construction, and consumer services. These efforts, coupled with our dedicated relationship management model, enabled Amāna Bank to meaningfully scale its SME franchise, with SME advances growing by 46% to close the year at LKR 58 billion.

The Bank continued to support Corporate clients in scaling their operations, aided by the relaxation of import restrictions and broader economic stimulus measures. Financing was primarily directed toward key sectors, including agriculture, construction, manufacturing, and trade. As a result, the

corporate portfolio grew by 17%, closing the year at LKR 57.5 billion.

In line with the Bank's prudent risk management framework, asset quality remained a top priority. Robust credit underwriting principles and continuous customer engagement throughout the year ensured Amāna Bank's Stage 3 ratio was amongst the lowest in the industry. As at 31 December 2025, Amāna Bank's stage 3 impaired ratio stood at 1.2%, while the provision coverage remained at a healthy level of 56.1%.

On the funding front, deposit mobilisation remained the anchor of our liquidity strategy. Despite a low policy rate environment, the Bank recorded notable progress in CASA growth and term deposit uptake, driven by efforts to broaden market access with digital facilitation, expand geographic reach, and strengthen the overall savings proposition. Total deposits grew by 11%, closing at LKR 172 billion, further reinforcing Amāna Bank's liquidity position and supporting asset growth.

FINANCIAL HIGHLIGHTS

Amāna Bank delivered its best-ever financial performance in 2025, marking its highest recorded profitability since inception in 2011, which I attribute to the resilience of our business model and our strategic approach to achieve sustained growth.

Amāna Bank's healthy Financing Margin of 4.3% in 2025 translated into Net Financing Income of LKR 8.3 billion, reflecting prudent asset allocation couple with an effective pricing strategy. Net Fee and Commission Income grew by 27%, reaching LKR 1.4 billion, reinforced by strong contributions from trade and card related activity throughout the year. Consequently, Total Operating Income expanded to LKR 10.0 billion, representing a 16% improvement.

Focused attention on asset quality, coupled with proactive customer engagement aided by the recovering economic context, enabled the Bank to record a reversal of LKR 640.3 million in impairment charges. These

improvements were reflected in the Net Operating Income, which rose to LKR 10.7 billion, denoting a 27% increase.

Operational efficiency continued to be a key enabler in supporting profitability with Amāna Bank's cost-to-income ratio improving to 51.8% from 53.0% in 2024.

Both Profit Before Tax and Profit After Tax grew by a robust 47% and 40% respectively to reach approximately LKR 4.1 billion and LKR 2.5 billion, marking landmark achievements that reflect the Bank's strongest performance to date. Reinforcing its sustained upward profitability trend, the Bank's Return on Equity improved from 8.0% in 2024 to 10.4% in 2025, reaching double digits for the first time. Return on Assets also strengthened from 1.6% to 2.1%, reflecting enhanced earnings efficiency.

CUSTOMER CONVENIENCE AND SERVICE EXCELLENCE

At Amāna Bank, we are guided by our signature people-friendly and development focused banking approach to deliver banking experiences that represent convenience, flexibility, and financial empowerment to support every customer's unique needs.

While the Bank has historically relied on conventional branches, recent years have seen a deliberate shift towards a hybrid channel architecture, combining traditional branches with Self Banking Centres (SBCs) which signals our efforts to prioritise more accessible, efficient, and cost-effective ways to serve a wider customer base. In keeping with this approach we commissioned 7 SBCs during the year, culminating in the SBC network reaching 41 as at 31 December 2025. The fact that the SBC network exceeds the branch footprint, firmly establishes SBCs as Amāna Bank's primary channel for customer outreach.

Equally importantly, the focus on digital outreach was also intensified with significant investments made to enhance the level of convenience offered through Amāna Bank's customer-facing digital architecture. Notable achievements for the current year included the launch of Amāna Bank Connect App, the

single app that integrates all Amāna Bank's digital services along with improvements in WhatsApp Banking, and online customer onboarding, all designed to simplify banking interactions and meet evolving customer expectations.

Our service excellence initiatives in 2025 were aimed at effectively addressing customer queries and feedback. The Bank's relaunched Customer Solution Centre (CSC) now serves as a central hub for guiding customers to conveniently access the Bank's services through a simple phone call. The CSC team is empowered to provide practical solutions, and deliver timely support in line with Amāna Bank's people-friendly banking promise, with a 'Human Touch'.

TECHNOLOGY TRANSFORMATION

We made strong progress in advancing our technology transformation agenda in 2025 to reinforce the resilience, stability, and security of the Bank's core IT architecture. Building on the card system upgrade in 2024, we further strengthened our card infrastructure by eliminating 3rd party bank dependency and achieving Visa Primary Membership. In doing so, Amāna Bank was the first bank in South Asia to implement Visa Cloud Connect (VCC), enabling direct, cloud-based access to Visa for its card processing infrastructure. By adopting VCC, the Bank is empowering its digital operations with enhanced flexibility, accelerated time-to-market, and elevated cost-efficiency—without the need for physical infrastructure on-premises. This platform enables seamless routing of transactions and robust data security. While also improving system resilience and scalability, we completed the latest Payment Card Industry Data Security Standard (PCI-DSS) certification, which strengthened card security ecosystem, which is of significant importance considering the ever-evolving cyber-security threats. This will pave the way for further expansion of our card business.

Building on our ISO/IEC 27001:2013 certification held since 2018, the Bank elevated its information security framework by securing recertification to the upgraded ISO/IEC 27001:2022 standard in 2025. Further,

taking a proactive and forward-looking approach to operational discipline, and risk mitigation, we commenced working towards securing the ISO 20000:2018 IT Service Management Standards and ISO 27035:2023 Information Security Incident Management Standards, both globally recognised best practices that would significantly boost our cybersecurity and service management frameworks and provide additional assurances regarding the Bank's resilience to operational disruptions, cyber threats, and evolving technology risks.

EMPLOYEE EMPOWERMENT

At Amāna Bank, our employee culture is deeply rooted in the values and ethics of our unique banking model, fostering a caring yet performance driven environment that enables growth and enriches the lives of our people, inline with the Bank's mission. During the year, this philosophy was brought to life through a series of broad-based initiatives designed to recognise and nurture talent while rewarding performance.

During the year, the Bank also relocated to a new Corporate Office, a modern, state of the art workspace, which houses the Bank's Executive Offices along with its key business divisions and support departments under one roof, placing the Bank in a stronger position to enhance collaboration, drive operational excellence, improve cross-functional engagement, thereby delivering a superior banking experience to our customers

The Bank has also made strong strides in improving female participation in our workforce, reflecting our commitment to women's empowerment and inclusive growth. This progress is evident in the strong representation of women across leadership roles and strategically important functions.

In recognition of the dedication and loyalty demonstrated by our people, we announced the third tranche of the Bank's Employee Share Option Programme (ESOP). Rolled out in June 2025, Tranche 3 builds on the foundation established through Tranches 1 and 2, with this latest phase broadening employee ownership by enabling eligible

employees to participate meaningfully in the Bank's future growth.

At the same time, we remained committed to supporting our employees affected by Cyclone Ditwah and promptly extended necessary assistance in the form of special allowances and emergency financial assistance to affected staff members.

ADVANCING SUSTAINABILITY

Amāna Bank's commitment to sustainability stems from the inherent principles of its unique banking model, which calls for justice, equity, transparency of all stakeholders, ethical practices and social responsibility – notions that are at the heart of sustainability efforts and initiatives.

Building on this foundation and recognising the rapidly evolving regulatory landscape and heightened stakeholder expectations within the Environmental, Social, and Governance (ESG) domain, we undertook conscious exercise during the year to institutionalise a robust sustainability framework to guide Amāna Bank's ESG journey whilst aligning with the SLFRS S1 and S2 reporting standards.

Engaging external expert advisors to conduct a comprehensive gap assessment, enabled us to initiate several enhancements, including the establishment of structured mechanisms to monitor emissions and the formal integration of climate-related risk considerations into the Bank's risk management framework, thereby ensuring sustainability considerations are evaluated alongside traditional financial risks.

In parallel, we developed a dedicated online platform to capture branch-wide data for the estimation of the Bank's greenhouse gas (GHG) emissions, which positions us to progressively strengthen our disclosures in the years ahead.

On the social front, Amāna Bank's social impact initiatives continued to be led by our flagship OrphanCare programme which currently supports over 3,200 orphans island wide. During the year, OrphanCare continued its periodical fund disbursements,

bringing the total number of disbursements completed since launch to 26. In July 2025, we launched the inaugural OrphanCare Impact Report, which highlights the impact OrphanCare has created while showcasing inspiring success stories of beneficiaries. The OrphanCare initiative was recognised as the Social Upliftment Project of the Decade at the IFFSA Awards, which I believe serves as an acknowledgement of the project's meaningful impact towards social upliftment.

AWARDS AND ACCOLADES

During the year under review, Amāna Bank continued to receive strong local and international recognition for its meaningful contribution to Sri Lanka's economic development.

Among the most notable accolades was being named the Most Impactful ICD Investee Company at the IsDB Private Sector Forum Awards, a recognition that underscores the strength of our partnership-driven growth model and our tangible contribution to private sector development.

We were also honoured with the titles of Best Bank in Sri Lanka and Best Performance in Asset Quality at the Indian Chamber of Commerce Emerging Asia Banking Awards, adjudicated by PwC India.

Amāna Bank was recognised as the Bank of the Decade at the IFFSA Awards 2025, further affirming our consistent performance, innovation and industry leadership over the past decade. The Bank also continued to be ranked amongst the Top 50 Strongest Non-Interest Based Banks in the World as adjudicated by The Asian Banker.

FUTURE OUTLOOK

The global economic landscape is entering a period of heightened uncertainty, shaped significantly by the ongoing crisis in the Middle East, which is exerting ripple effects across global energy markets, trade flows, impacting geopolitical stability, and investor sentiment. These disruptions are expected to influence global economic performance in 2026, with emerging markets, such as Sri Lanka, particularly vulnerable to impacts

including elevated import costs, tighter external financing conditions, and greater volatility in foreign exchange markets. For Sri Lanka, which has just shown economic recovery after multiple setbacks, these new external shocks present renewed challenges that will require disciplined economic management, policy stability, and continued structural reform.

Against this backdrop, potential upward pressure on policy rates, evolving liquidity conditions, and shifts in consumer and business sentiment will demand strong risk governance, strategic agility, and careful balance sheet management. These dynamics underscore the importance of maintaining financial resilience and a proactive approach to navigating a rapidly changing operating environment.

Having demonstrated its ability to withstand and adapt to severe shocks, including the Easter Attacks, the global Covid 19 pandemic, and Sri Lanka's unprecedented economic and social crisis, the Bank enters 2026 with strengthened foundations and a proven record of resilience. Our ability to remain steady through volatility, support our customers, and maintain operational continuity during these challenging periods underpins our confidence in facing the uncertainties ahead. This resilience now shapes our forward strategy, as we focus on safeguarding balance sheet strength, pursuing disciplined growth, and upholding the highest standards of governance in an increasingly complex global and domestic environment.

Guided by our people friendly and development focussed banking approach and supported by the momentum built over recent years, we aim to remain a stable partner to our customers while contributing meaningfully to Sri Lanka's broader economic progress.

APPRECIATIONS

I wish to extend my sincere gratitude to our Chairman and Board of Directors for their steady leadership, strategic insight, and unwavering commitment to strong

governance. I would also like to thank our respected Sharia Supervisory Council for the invaluable guidance and advice.

My heartfelt appreciation goes to the entire Amāna Bank team. It is your commitment to excellence and shared purpose that continues to drive the Bank forward.

I also wish to thank the Trustees of the OrphanCare Trust for their stewardship and commitment to ensuring the programme's integrity and sustained impact on the lives of its beneficiaries.

My appreciation is further extended to the Central Bank of Sri Lanka, the Securities and Exchange Commission, and the Ministry of Finance for their continued regulatory guidance and engagement.

To our loyal customers, thank you for the trust you place in us. Your confidence inspires us to uphold our promise of people-friendly banking.

Finally, I thank our valued shareholders for your continued confidence and support. With a strengthened foundation and a clear strategic direction, we remain confident of meeting your expectations of long-term value in the years ahead.



Mohamed Azmeer
Managing Director/CEO

26 February 2026
Colombo

INTERWOVEN FOR **IMPACT**



Strengthening the Essential Food Supply Sector

Inputs



Financial Capital

- ◆ Equity Capital - LKR 25.1 Bn
- ◆ Customer Deposits - LKR 172.1 Bn



Manufactured Capital

- ◆ 33 Branches
- ◆ 41 Self Banking Centres
- ◆ 6600+ Withdrawal Touch Points
- ◆ 1100+ Deposit Touch Points
- ◆ 31 Gold Certificate Financing Units
- ◆ "Your Bank" Mobile App & WebPortal
- ◆ Online Retail Financing Portal
- ◆ eOnboarding Platform
- ◆ WhatsApp Banking



Intellectual Capital

- ◆ Brand Position
- ◆ Ethics and Conduct
- ◆ Industry Knowledge and Expertise
- ◆ Standards and Certifications
- ◆ Strategic Partnerships



Human Capital

- ◆ 928 employees
- ◆ Fair and Equitable Recruitment and Selection
- ◆ Competitive Remuneration and Benefits
- ◆ Performance Management
- ◆ Training and Development
- ◆ Leadership Development
- ◆ Employee Relations and Grievance Handling
- ◆ Safety and Wellbeing



Natural Capital

- ◆ Green Financing
- ◆ Energy Management
- ◆ Emission Management
- ◆ Water Consumption
- ◆ Waste Management
- ◆ Environmental Projects
- ◆ Awareness and Capacity Building



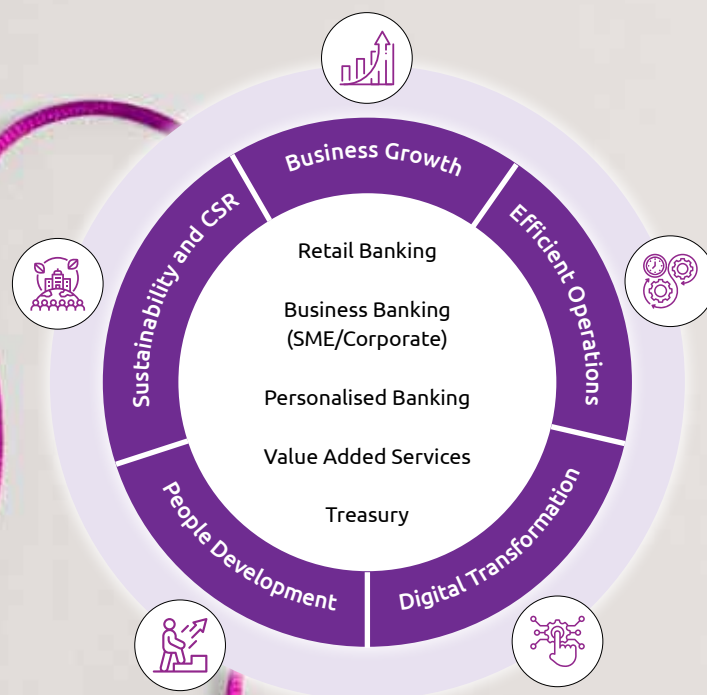
Social & Relationship Capital

- ◆ Responsible Products
- ◆ Customer Communication
- ◆ Complaint Handling Procedure
- ◆ Data Privacy Software
- ◆ Fraud Prevention Procedures
- ◆ OrphanCare Project
- ◆ Financial Literacy Content
- ◆ SME Sector Development
- ◆ Procurement Best Practices

Value Driver Activities

External Environment (Opportunities)

Corporate Governance



Risk Management

External Environment (Challenges)

Outputs

Stakeholder Outcomes



Financial Capital

- ◆ Asset Book - **LKR 204.3 Bn** (LKR 182.3 Bn - 2024)
- ◆ Liabilities - **LKR 179.2 Bn** (LKR 159.4 Bn - 2024)
- ◆ Cost-to-income ratio of **51.8%** (53% - 2024)
- ◆ CASA Ratio **45%** (44% - 2024)
- ◆ Profit Before Tax (PBT) - **LKR 4.1 Bn** (LKR 2.8 Bn - 2024)
- ◆ Profit After Tax (PAT) - **LKR 2.4 Bn** (LKR 1.8 Bn - 2024)



Manufactured Capital

- ◆ **40%** year on year increase in profit per branch
- ◆ **22%** year on year increase in CDM / ATM Transactions
- ◆ **32%** year on year growth in transactions through SBC's
- ◆ **36%** year on year growth in digital transaction volumes



Intellectual Capital

- ◆ Ranked amongst the Top 50 Strongest Islamic Bank's in the World
- ◆ Most Impactful ICD Investee Company at IsDB Private Sector Forum Awards
- ◆ Best Bank in Sri Lanka and Best Performance in Asset Quality at Indian Chamber of Commerce Emerging Asia Banking Awards adjudicated by PwC India
- ◆ Maintained Investment Grade Ratings of BBB-(lka) with Stable Outlook from Fitch Ratings and BBB+ with Stable Outlook from Lanka Rating Agency
- ◆ Islamic Bank of the Decade in South Asia at IFFSA Awards 2025
- ◆ ISO 27001:2022 Information Security Standard Certification



Human Capital

- ◆ **84%** overall employee retention rate
- ◆ **100%** retention rate at management level
- ◆ High level of employee satisfaction
- ◆ **5 : 1** (M : F) Overall Gender Ratio
- ◆ **35%** increase in profit per employee



Natural Capital

- ◆ Total Emissions - **1,814 tonsCO₂e**
- ◆ Emissions per employee – **1.86 tonsCO₂e**
- ◆ Emissions per floor area – **104.6 kgCO₂e/ m²**
- ◆ Water Consumption per Employee – **17.55 m³**



Social & Relationship Capital

- ◆ **11%** year on year increase in the customer base
- ◆ Over **90%** customer retention rate (FD's)
- ◆ Over **87%** Service Feedback Tabs Satisfaction Score
- ◆ **89,559** active digital customers
- ◆ **9.5 Mn** 'Your Bank' App Transactions (4.7 Mn - 2024)
- ◆ **23,420** 'Your Bank' App New Sign-ups
- ◆ **19,253** WhatsApp Banking Customers
- ◆ **36%** growth in Customer Transaction via POS
- ◆ **99.9%** Net Promoter Score
- ◆ Good Standing in the community



Shareholders/Investors

- ◆ DPS **LKR 1.30** (LKR 1.20 - 2024)
- ◆ Return on Equity (ROE) – **10.4%** (8.0% - 2024)
- ◆ Return on Assets (ROA) – **2.1%** (1.6% - 2024)

Financial Capital - page 89



Customers

- ◆ **75%** success rate for complaint resolution
- ◆ Access to finance (**36%** year on year increase in the advances book)
- ◆ Savings Opportunities (**11%** year on year increase in the deposits)
- ◆ **85** Knowledge Marketing sessions

Social & Relationship Capital - page 120
Financial Capital - page 89



Employees

- ◆ **171** New Recruits
- ◆ **119** Promotions
- ◆ **13%** Average annual salary increment (**19%** - 2024)
- ◆ **LKR 1.8 Bn** paid as total monetary benefits for the year (LKR 1.6 Bn - 2024)

Human Capital - page 105



Regulators

- ◆ **LKR 3.0 Bn** paid as taxes (LKR 2.4 Bn - 2024)
- ◆ **ZERO** Ethics violations
- ◆ **ZERO** incidents of non-compliance of regulatory requirements

Financial Capital - page 89
Intellectual Capital - page 100



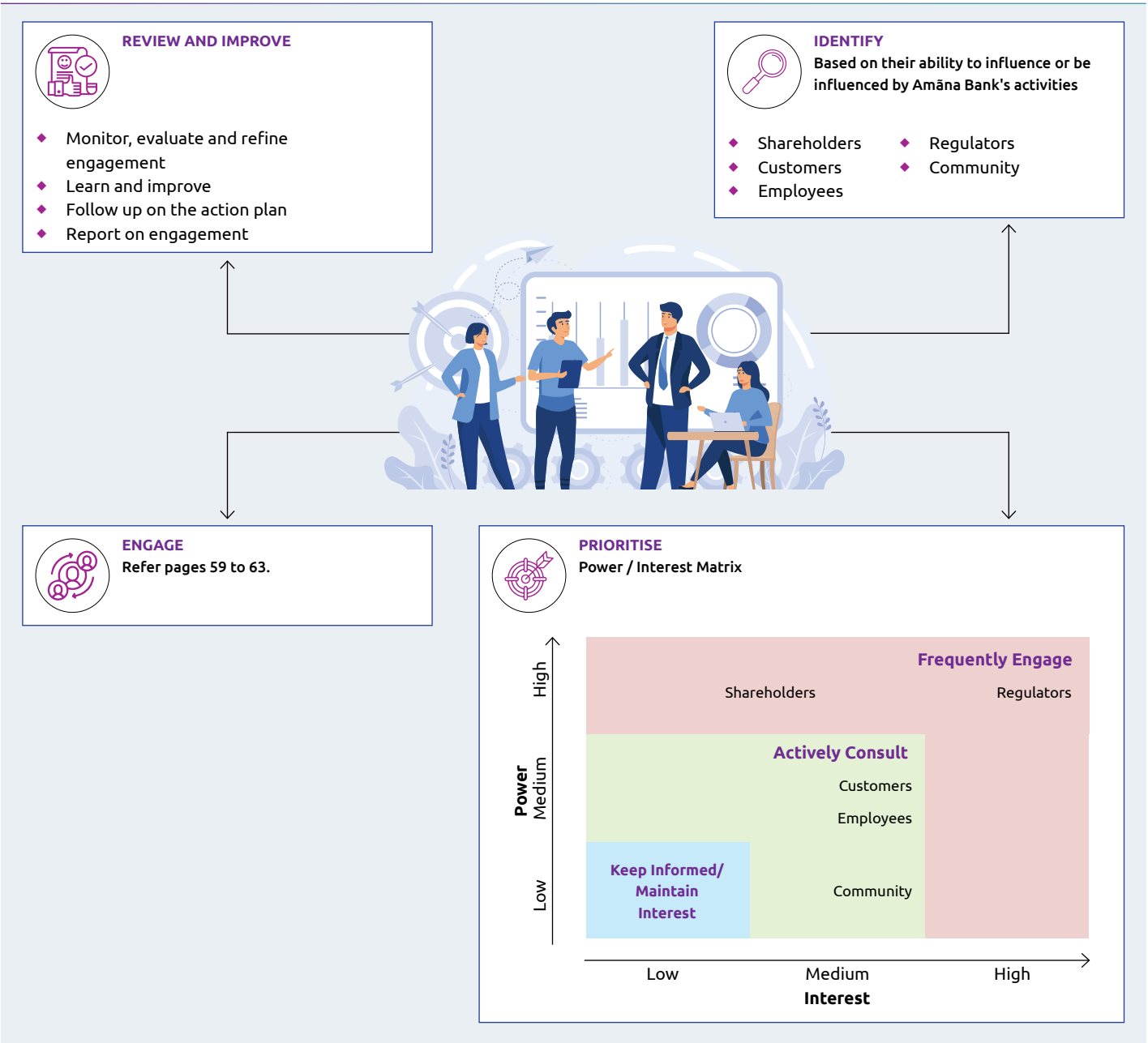
Community

- ◆ **LKR 19.7 Mn** distributed under the OrphanCare project for the benefit of **2300+** orphans in the care of **92 child development centres** (LKR **95.3 Mn** distributed to date through **26** rounds of annual disbursements benefitting **3200+** orphans) , 23 Additional Grants approved with a value in excess of LKR 1.7 Mn
- ◆ **LKR 22.5 Mn** on CSR projects
- ◆ **85** Knowledge Marketing sessions benefitting 10,000+ members of the wider community
- ◆ **50,061 MWh** Power Generated through Financing Large Scale Renewable Energy Projects Resulting CO2 reduction of **35,543 tons**

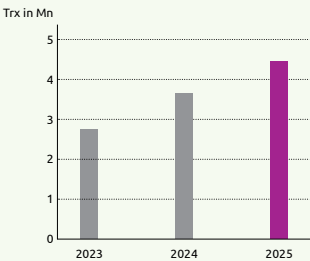
Social & Relationship Capital - page 120
Natural Capital - page 114

Amāna Bank recognises that sustained and meaningful engagement with stakeholders is essential to delivering long-term value and supporting the achievement of its strategic objectives. Accordingly, stakeholder engagement is seen as a strategic imperative to support informed decision-making across both financial and non-financial performance aspects of Amāna Bank’s operations and value chain.

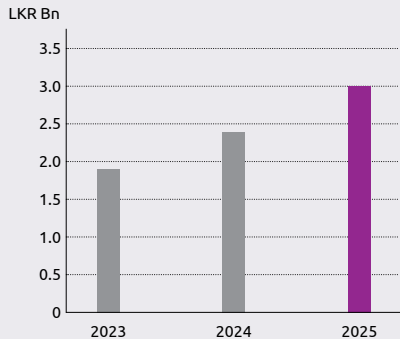
The Bank’s disciplined approach to stakeholder engagement is based on a four-step Stakeholder Engagement Cycle which begins with the identification of key stakeholder groups based on their level of interest in, and influence over, the Bank’s operations. Functional heads are responsible for identifying and categorising stakeholders relevant to their respective areas, ensuring comprehensive and consistent coverage across the organisation. Stakeholders are broadly classified into groups including shareholders, employees, customers, communities, suppliers, and regulators. These groups are then mapped on a power–interest matrix, which serves as the basis for determining engagement practices.

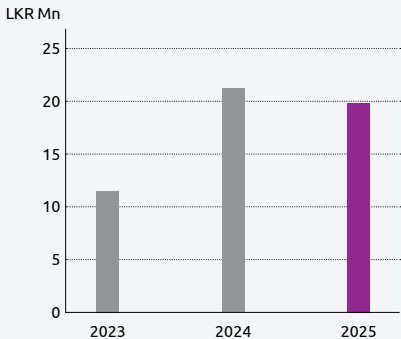


SHAREHOLDERS / INVESTORS		Amāna Bank has 9,884 shareholders. The Bank's principal shareholder is the Jeddah-based IsDB Group being the principal shareholder accounting for 28.24% stake in Amāna Bank																									
Amāna Bank's Commitment	A robust and well-thought out business growth strategy coupled with strong risk, governance and oversight to produce sustained financial results over time																										
Quality of Relationship	STRONG																										
Method and Frequency of Engagement	◆ Annual General Meeting ◆ Annual Report ◆ Extraordinary General Meetings (as needed) ◆ Interim Financial Statements (quarterly) ◆ CSE Announcements (as needed) ◆ Press Conferences / Press Releases (as needed) ◆ Corporate Website (continuous and ongoing) ◆ Social Media Platforms (continuous and ongoing)																										
Shareholder Concerns and Expectations for 2025	Material Matters	Value Created																									
◆ Capital position ◆ Gearing exposure ◆ Strength of the Bank's risk and governance frameworks amidst the ongoing economic crisis ◆ Ability to generate stable returns notwithstanding challenges in order to ensure consistent dividend payout ◆ Ethical business practices	◆ Financial Stability ◆ Capital Adequacy and Liquidity ◆ Governance, Risk Management and Compliance ◆ Model Compliant Products and Services ◆ Alternative Liquidity Instruments ◆ Business Ethics and Anti-corruption ◆ Information Security and Fraud Prevention ◆ Environmental Footprint	Trend in Key Ratios <table><tr><th>Year</th><th>Return on Equity (%)</th><th>Return on Assets (%)</th></tr><tr><td>2023</td><td>8</td><td>1.5</td></tr><tr><td>2024</td><td>8.2</td><td>1.6</td></tr><tr><td>2025</td><td>10.5</td><td>2.2</td></tr></table> <table><tr><th>Year</th><th>Net Assets Value Per Share (LKR) (LHS)</th><th>Dividend Payout Ratio (%) (RHS)</th></tr><tr><td>2023</td><td>40</td><td>25</td></tr><tr><td>2024</td><td>42</td><td>35</td></tr><tr><td>2025</td><td>45</td><td>30</td></tr></table>	Year	Return on Equity (%)	Return on Assets (%)	2023	8	1.5	2024	8.2	1.6	2025	10.5	2.2	Year	Net Assets Value Per Share (LKR) (LHS)	Dividend Payout Ratio (%) (RHS)	2023	40	25	2024	42	35	2025	45	30	Further Reading: Financial Capital - Page 89 Risk Management Report - Page 221 Corporate Governance Report - Page 133 Intellectual Capital - Page 100 Investor Relations - Page 337
Year	Return on Equity (%)	Return on Assets (%)																									
2023	8	1.5																									
2024	8.2	1.6																									
2025	10.5	2.2																									
Year	Net Assets Value Per Share (LKR) (LHS)	Dividend Payout Ratio (%) (RHS)																									
2023	40	25																									
2024	42	35																									
2025	45	30																									

CUSTOMERS		Amāna Bank's customer base consist of retail, customers across Sri Lanka as well as SME and Corporate customers representing all key sectors of the economy																									
Amāna Bank's Commitment	Continuous investments to upgrade and update infrastructure, products, processes and service standards with the aim of ensuring 100% customer satisfaction and superior customer experience																										
Quality of Relationship	STRONG																										
Method and Frequency of Engagement	◆ Sales Teams / Branch Managers / Relationship Managers (continuous and ongoing) ◆ Customer Solutions Centre (continuous and ongoing) ◆ Promotional Activities (continuous and ongoing) ◆ Press Conferences / Press Releases (as needed) ◆ Corporate Website (continuous and ongoing) ◆ Social Media Platforms (continuous and ongoing) ◆ Knowledge Marketing Programmes (continuous and ongoing) ◆ Customer Surveys (as needed) ◆ Complaint & Feedback Framework (continuous and ongoing)																										
Stakeholder Concerns and Expectations for 2025	Material Matters	Value Created																									
◆ Availability of a range of flexible and customised financing solutions to cater to the needs of all customer segments ◆ Quick turnaround times ◆ Superior customer service ◆ Attractive earnings on deposits ◆ Digital convenience ◆ Data Security and Customer Privacy	◆ Model Compliant Products and Services ◆ Reliability of Service through Excellence and Digital Transformation ◆ Banking Convenience for different customer segments ◆ Support for the Retail and SME Sector ◆ Customer Access Channels ◆ Business Ethics and Anti-corruption ◆ Information Security and fraud prevention	No. of Transactions through ATM/CDM Network <table border="1"><caption>No. of Transactions through ATM/CDM Network</caption><thead><tr><th>Year</th><th>Trx in Mn</th></tr></thead><tbody><tr><td>2023</td><td>2.8</td></tr><tr><td>2024</td><td>3.8</td></tr><tr><td>2025</td><td>4.5</td></tr></tbody></table> Portfolio by Segment <table border="1"><caption>Portfolio by Segment</caption><thead><tr><th>Year</th><th>Retail</th><th>SME</th><th>Corporate</th></tr></thead><tbody><tr><td>2023</td><td>25</td><td>28</td><td>45</td></tr><tr><td>2024</td><td>32</td><td>38</td><td>50</td></tr><tr><td>2025</td><td>45</td><td>58</td><td>58</td></tr></tbody></table> 7 new SBCs opened 99.9% uptime on digital and mobile platforms Transaction volumes through SBCs ZERO incidents concerning breach of customer privacy		Year	Trx in Mn	2023	2.8	2024	3.8	2025	4.5	Year	Retail	SME	Corporate	2023	25	28	45	2024	32	38	50	2025	45	58	58
Year	Trx in Mn																										
2023	2.8																										
2024	3.8																										
2025	4.5																										
Year	Retail	SME	Corporate																								
2023	25	28	45																								
2024	32	38	50																								
2025	45	58	58																								
Further Reading: Social & Relationship Capital - Page 120 Manufactured Capital - Page 93 Intellectual Capital - Page 100 Business Review - Page 79																											

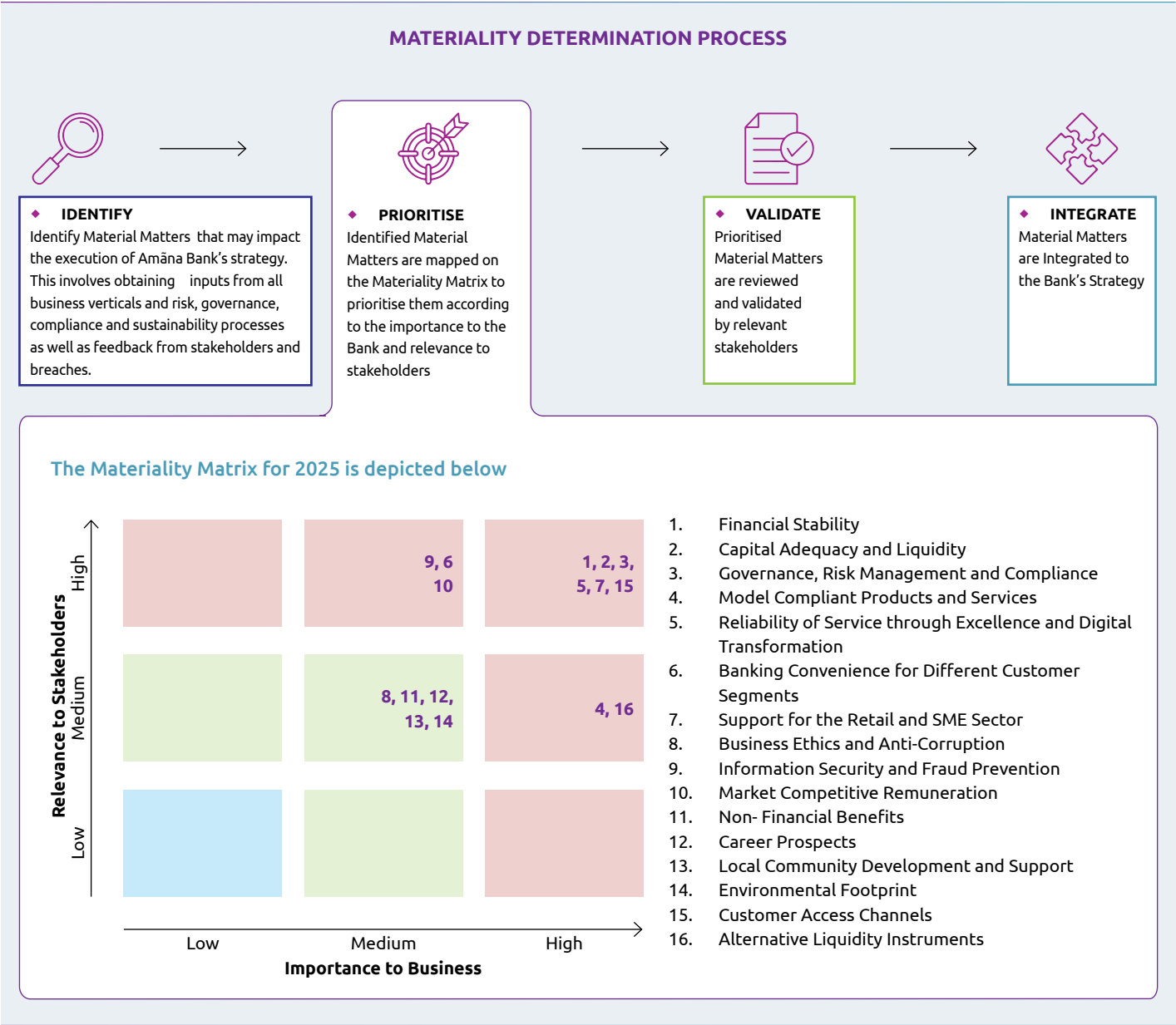
EMPLOYEES		Amāna Bank's 928-strong team of employees located at across the branch network, including the Bank's head office	
Amāna Bank's Commitment		Deliver holistic solutions to safeguard employees financial well-being and strengthen their commitment towards the Bank	
Quality of Relationship		STRONG	
Method and Frequency of Engagement		- Management Meetings (as scheduled) - Sales Briefings / Team Meetings (continuous and ongoing) - Performance Appraisals (bi-annual) - Internal Communications (continuous and ongoing) - Employee Notice Board (as needed) - Intranet (continuous and ongoing) - Training Activities (continuous and ongoing) - Awards Ceremonies (as scheduled) - Other Bank Events (as scheduled) - Employee Surveys (as scheduled)	
Stakeholder Concerns and Expectations for 2025		Material Matters	Value Created
- Career development opportunities - Recognition - Learning and Development exposure - Opportunity to benefit in the Bank's success, other than as an Employee - Healthy working environment		- Market Competitive Remuneration - Non- Financial Benefits - Career Prospects - Business Ethics and Anti-Corruption	171 New Recruits 119 Promotions Tranche 3 of the Employee Share Ownership Scheme (ESOP), resulting in the granting of 2.78 million options Further Reading: Human Capital - Page 105

REGULATORS		As a listed entity and the only licensed commercial bank in Sri Lanka to carry out operations under non-interest based banking principles, Amāna Bank falls under the purview of several regulatory bodies, including the Central Bank of Sri Lanka, the Colombo Stock Exchange, the Securities and Exchange commission of Sri Lanka, etc.									
Amāna Bank’s Commitment		Conducting business in full compliance with all applicable regulatory requirements and going beyond compliance to embrace voluntary adoption of ethics best practices.									
Quality of Relationship		GOOD									
Method and Frequency of Engagement		◆ Directives and Circulars (continuous and ongoing) ◆ CBSL Audit (periodic) ◆ Sharia Council Evaluations (at least 3 times annually) ◆ Interim Financials (quarterly) ◆ Annual Report (annual) ◆ CSE / SEC Filings (as mandated) ◆ Other Regulatory Submissions (as mandated) ◆ Other Meetings (as mandated)									
Stakeholder Concerns and Expectations for 2025		Material Matters	Value Created								
◆ Compliance with CSE listing rules on Corporate Governance ◆ Compliance with the Banking Act No. 30 of 1988 (as amended) ◆ Compliance with the Personal Data Protection Act ◆ Routine Compliance and Mandatory Filings ◆ AML / FT Disclosures ◆ Tax Regulations		◆ Financial Stability ◆ Capital Adequacy and Liquidity ◆ Governance, Risk Management and Compliance ◆ Model Compliant Products and Services ◆ Reliability of Service through Excellence and Digital Transformation ◆ Support for the Retail and SME Segments ◆ Alternative Liquidity Instruments ◆ Business Ethics and Anti-Corruption ◆ Information Security and Fraud Prevention ◆ Local Community Development and Support ◆ Environmental Footprint	ZERO Incidents of Non-Compliance Taxes Paid  <table><caption>Taxes Paid (LKR Bn)</caption><thead><tr><th>Year</th><th>Taxes Paid (LKR Bn)</th></tr></thead><tbody><tr><td>2023</td><td>1.9</td></tr><tr><td>2024</td><td>2.4</td></tr><tr><td>2025</td><td>3.0</td></tr></tbody></table> Further Reading: Corporate Governance Report - Page 133 Intellectual Capital - Page 100 Business Review - Page 79	Year	Taxes Paid (LKR Bn)	2023	1.9	2024	2.4	2025	3.0
Year	Taxes Paid (LKR Bn)										
2023	1.9										
2024	2.4										
2025	3.0										

COMMUNITY		Interest groups, media, vulnerable communities and society at large									
Amāna Bank’s Commitment		Coordinated and strictly managed efforts to assist communities in need									
Quality of Relationship		GOOD									
Method and Frequency of Engagement		◆ Press Conferences / Press Releases (As needed) ◆ Corporate Website (continuous and ongoing) ◆ Social Media Platforms (continuous and ongoing) ◆ Annual Report ◆ CSR Initiatives (As needed) ◆ Knowledge Marketing Programmes (continuous and ongoing)									
Stakeholder Concerns and Expectations for 2025		Material Matters	Value Created								
◆ Opportunities to access financial assistance to minimise inequalities caused by the economic crisis ◆ Continued support for vulnerable communities ◆ Expectation of high standards of conduct and business ethics in all community activities		◆ Local Community Development and Support ◆ Business Ethics and Anti-Corruption	Distribution through the OrphanCare Project  <table><tr><th>Year</th><th>LKR Mn</th></tr><tr><td>2023</td><td>11.5</td></tr><tr><td>2024</td><td>21.5</td></tr><tr><td>2025</td><td>20</td></tr></table> 85 Education and awareness programmes on financial literacy Further Reading: Social & Relationship Capital - Page 120	Year	LKR Mn	2023	11.5	2024	21.5	2025	20
Year	LKR Mn										
2023	11.5										
2024	21.5										
2025	20										

The principle of materiality remains central to Amāna Bank’s approach to strategic decision-making, risk management, and its commitment to ethical and sustainable banking.

The annual materiality assessment serves as the primary framework for identifying and integrating the most significant topics into the Bank’s strategy to ensure responsiveness to stakeholder expectations. The latest assessment reaffirmed that the 16 Material Topics identified in the previous financial year, remains relevant for 2025 as well.



Material Topic	Stakeholders Impacted	Risk Impacts	Management Approach: Integrating Material Topics into Amāna Bank's Strategy					Capitals Impacted	Link to SDG's
			Business Growth	Efficient Operations	Digital Transformation	People Development	Sustainability and CSR		
Financial Stability	Shareholders	Credit Risk						 	 
	Customers	Market Risk	X	X					
	Regulators	Liquidity Risk							 
Capital Adequacy and Liquidity	Shareholders	Liquidity Risk							 
	Regulators		X						
Governance, Risk Management and Compliance	Shareholders	Credit Risk						 	 
	Customers	Market risk							
	Employees	Liquidity Risk						 	 
	Regulators	Operational Risk	X	X	X	X	X		
	Suppliers & Business Partners	ESG & Climate Risk							
	Community								
Model Compliant Products and Services	Customers	Operational Risk	X					 	 
Reliability of Service through Excellence and Digital Transformation	Regulator							 	 
	Customer	Operational Risk	X	X	X	X			 
Banking Convenience for Different Customer Segments	Customer	Credit Risk						 	 
		Operational Risk							
		ESG & Climate Risk	X	X	X		X	 	

Material Topic	Stakeholders Impacted	Risk Impacts	Management Approach: Integrating Material Topics into Amāna Bank's Strategy					Capitals Impacted	Link to SDG's
			Business Growth	Efficient Operations	Digital Transformation	People Development	Sustainability and CSR		
Support for the Retail and SME Sector	Customer	Credit Risk						   	  
	Regulator	Market Risk	X	X	X				
		Operational Risk							
Customer Access Channels	Customers	Operational Risk	X	X	X			   	  
Alternative Liquidity Instruments	Customer	Credit Risk						 	 
	Regulator	Market Risk	X						
		Liquidity Risk							
Business Ethics and Anti-Corruption	Shareholder	Operational Risk						  	 
	Regulator	ESG & Climate Risk			X	X	X		
Information Security and Fraud Prevention	Customer	Operational Risk						  	 
	Shareholder								
	Regulator			X	X				

Material Topic	Stakeholders Impacted	Risk Impacts	Management Approach: Integrating Material Topics into Amāna Bank's Strategy					Capitals Impacted	Link to SDG's
			Business Growth	Efficient Operations	Digital Transformation	People Development	Sustainability and CSR		
Market Competitive Remuneration	Employees	Operational Risk				X			4 QUALITY EDUCATION 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
Non- Financial Benefits	Employees	Operational Risk				X			3 GOOD HEALTH AND WELL-BEING 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
Career Prospects	Employees	Operational Risk		X		X			4 QUALITY EDUCATION 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES
Local Community Development and Support	Community	ESG & Climate Risk					X	 	1 NO POVERTY 4 QUALITY EDUCATION 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES 11 SUSTAINABLE CITIES AND COMMUNITIES
Environmental Footprint	Regulator	ESG & Climate Risk		X	X		X	  	1 NO POVERTY 7 AFFORDABLE AND CLEAN ENERGY 9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 12 RESPONSIBLE CONSUMPTION AND PRODUCTION 13 CLIMATE ACTION 15 LIFE ON LAND

Amāna Bank's strategy is fundamentally shaped by its vision and mission, both of which are anchored to the principles of Islamic banking. These principles guide the Bank's operations, ensuring that its approach to financial services is in alignment with key values, such as fairness, transparency, and social responsibility.

Bank's Strategic focus towards prioritising and driving SME Business, provides due emphasis to this segment, being the key contributor to country's GDP and economic progress.

The Bank's customer-centric approach ensures that its financial services are tailored to meet the varied needs of its diverse clientele. This strategy not only drives business growth but also contributes to the

social and economic well-being of both its customers and society at large.

Amāna Bank also places significant emphasis on digital transformation as a means of improving internal efficiency as well as serving the evolving needs of its customers, particularly in an increasingly digital world. By leveraging on digital technology, Amāna Bank seeks to expand its reach and ensure that unbanked and underbanked segments have access to ethical financial services.

Also embedded within the Bank's strategy is the dedication to employee empowerment and fostering a work environment that upholds equity and respect for all.

Further, Amāna Bank's strategy is deeply influenced by the commitment to Sustainability. The Bank actively engages in community development and supports projects that promote sustainable economic growth, poverty alleviation, and social equity. These efforts are a natural extension of the Bank's values, which stress the importance of ethical conduct and the welfare of the broader community.

Environmental responsibility is a central aspect of the Bank's strategy. By supporting initiatives like green financing and investments in eco-friendly projects, the Bank reduces its environmental footprint and also assists the Country in its endeavour to contribute to broader sustainable development goals.

VISION

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

MISSION

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

VALUES

- ◆ We believe that you have a right to be treated fairly
- ◆ We believe that one should not gain at the expense of another
- ◆ We believe that being responsible and ethical is as important as making profits and gains
- ◆ We believe that entrepreneurship should be encouraged and given a fair opportunity to succeed
- ◆ We believe that the best of actions are the ones which create true happiness in people
- ◆ We believe that you feel the same way we do

MATERIAL MATTERS



Identify



Prioritise



Validate



Integrate

SDG



STRATEGIC PILLARS



Business
Growth



Efficient
Operations



Digital
Transformation



People
Development



Sustainability and Corporate
Social Responsibility (CSR)

KEY PERFORMANCE HIGHLIGHTS FOR 2025

LKR 204.3 Bn -
Asset Base
(LKR 182.3 - 2024)

51.8%-cost-to-
income ratio
(53% - 2024)

10.4% - ROE (8% - 2024)

2.1% - ROA (1.6% - 2024)

36% year-on-year
growth in digital
transactions

84% overall
employee
retention rate

LKR 19.7 Mn
distributed through the
OrphanCare project

MEDIUM TERM TARGETS

Improve profitability in line with Industry
Digital transformation for enhanced customer reach and convenience

LONG TERM TARGETS

Consistent above industry growth, both in advances and deposits, towards gaining market share.

PART 1 - BASIS OF PREPARATION

1. Reporting Entity, Organisation
Boundary and Value Chain

Amāna Bank PLC is a licensed commercial bank in Sri Lanka that operates in accordance with the principles of Islamic banking. Established in 2011 and listed on the Colombo Stock Exchange, the Bank offers a comprehensive range of non-interest based financial products and services across Retail, SME, and Corporate banking segments. Through its network of branches, self-banking centres, and digital platforms, Amāna Bank delivers ethical and inclusive banking solutions designed to promote financial empowerment and support sustainable economic growth. Guided by a strong governance framework and oversight from its Sharia Supervisory Council, the Bank remains committed to delivering responsible, transparent, and customer-centric financial services.

For the purposes of sustainability-related financial disclosures, the Bank has adopted the same reporting boundary as that used for its financial reporting. In assessing these disclosures, due consideration has also been given to the Bank's broader value chain, including stakeholder relationships that influence or are affected by the Bank's operations.

2. Basis of Materiality

The Bank determines the materiality of sustainability-related financial disclosures by assessing the potential impact of environmental, social, and governance (ESG) factors on its business model, strategy, and financial performance. These assessments consider both the Bank's internal operations and where possible and practical, the Bank's broader value chain, including relationships with customers, suppliers, and other stakeholders. Accordingly, sustainability matters are considered material, subject to their ability to influence the Bank's financial position, performance, or future prospects.

3. Functional Currency

All disclosures are made in Sri Lankan Rupees (LKR)

4. Sources of Guidance

Amāna Bank's sustainability-related financial disclosures are prepared in line with SLFRS S1: General Requirements for Disclosure of Sustainability-Related Financial Information and SLFRS S2: Climate-Related Disclosures.

5. Reporting Period

Financial year 2025 (1 January 2025 to 31 December 2025)

6. Time Horizon

Short Term (ST)	<12 months
Medium Term (MT)	12 - 36 months
Long Term (LT)	>36 months

7. Connected Information

- ◆ The Corporate Governance Report on pages 133 to 189 describes the sustainability governance structures and oversight responsibilities of key personnel within the Bank.
- ◆ The Risk Management Report on pages 221 to 245 outlines the framework and processes adopted by the Bank to identify, assess, and manage sustainability and climate-related risks within its overall risk management approach.
- ◆ The Natural Capital Report on pages 114 to 119 highlights the Bank's efforts to manage its carbon footprint.

8. Transitional Relief

Amāna Bank has opted for all available transitional reliefs allowed during the first year of adoption of the SLFRS S1 and S2 reporting framework as outlined below;

- ◆ SLFRS S1 - Disclosure of information on only climate-related risks and opportunities (CRROs): In the first annual reporting period in which an entity applies this Standard, the entity is permitted to disclose information on only CRROs (in accordance with SLFRS S2) and consequently apply the requirements in this Standard only in so far as they relate to the disclosure of information on CRROs.
- ◆ SLFRS S1 - Disclosure of comparative information: in the first annual reporting period in which the entity applies this Standard, it is not required to disclose comparative information about its CRROs; and in the second annual reporting period in which the entity applies this Standard, it is not required to disclose comparative information about its sustainability-related risks and opportunities (SRROs), other than its CRROs.
- ◆ SLFRS S2 - Disclosure of Scope 3 greenhouse gas emissions: Entities must initially report only Scope 1 and Scope 2 emissions. Full compliance with Scope 3 emissions becomes mandatory two years after the initial application date.
- ◆ SLFRS S2 - Disclosure of qualitative information regarding anticipated financial effects of CRROs: Entities are permitted to defer the disclosure of qualitative information regarding anticipated financial effects for a period of two years following the mandatory application of the standard.
- ◆ SLFRS S2 - Disclosures on Climate resilience: A relief period of two years is granted to apply the requirements from the date of mandatory application to fully comply with climate resilience disclosure requirements.

9. Significant Judgements and Uncertainties

The process of compiling sustainability and climate-related disclosures has necessitated certain assumptions, estimates, and judgements in relation to the identification and assessment of sustainability and climate-related risks and opportunities, and the selection of appropriate methodologies and data sources. Given the evolving nature of sustainability reporting standards, regulatory expectations, and the availability of reliable data, a degree of uncertainty may remain in these assessments. The Bank will continue to refine its assumptions and methodologies as industry practices and guidance develop over time.

10. Statement of Compliance

Amāna Bank’s sustainability-related disclosures have been prepared in accordance with the SLFRS Sustainability Disclosure Standards as issued by the Institute of Chartered Accountants of Sri Lanka and adhere to the mandatory disclosure requirements prescribed for the 2025 reporting period.

PART 2 - GOVERNANCE

BOARD	
Board Oversight Role	The Amāna Bank Board is the ultimate authority responsible for the governance of sustainability and climate related risks and opportunities. The Board works closely with the Board Integrated Risk Management Committee (BIRMC) and the Sustainable Banking Initiatives Committee (SBIC) to establish the policy framework and authoritative structure required to embed sustainability practices, including identification and management of SRROs and CRROs, within the Bank’s strategy, risk management processes, and day-to-day operations.
Skills and Competencies	The Amāna Bank Board brings together a diverse range of skills and expertise, encompassing banking, finance, risk management, governance, and strategy, which are further complemented by strong capabilities in sustainability and responsible banking. The Board has participated in several capacity-building programmes on the adoption of SLFRS S1 and S2 standards, conducted by various institutions, including the Bank’s appointed consultants.
Inform, Address and Monitor	The Board actively monitors evolving regulatory requirements and emerging best practices in sustainability and climate related matters and works closely with the BIRMC to assess the impact on the Bank’s performance and prospects in order to ensure key considerations are incorporated into the strategic planning process. The Board also receives quarterly progress reports from the SBIC, through BIRMC, regarding the ongoing sustainability and climate initiatives.
MANAGEMENT	
Role of the Management	The SBIC, chaired by the Managing Director/CEO and composed of ManCom members, oversees the Bank’s sustainable banking strategy, establishes operational guidelines, and ensures that sustainability considerations are consistently embedded across all business activities. The SBIC is responsible for identifying, assessing, and integrating ESG-related risks and opportunities into the Bank’s enterprise-wide risk framework. The committee meets quarterly and reports its findings to the BIRMC.
Policies and Procedures	Policy for Sustainable Banking Initiatives This policy is cross functionally integrated with Bank’s other internal functions which fall under the purview of other relevant policies such as; Credit Risk Policy, Marketing Policy, Procurement Policy, Operational Policies, Information and Data security policies, HR policy, etc.

PART 3 - STRATEGY

Climate Related Risk - Disruption to the Bank's operations owing to extreme weather events

Impact on Prospects	Description	Extreme weather events, such as landslides, floods and droughts may impact branch accessibility, transaction processing, and customer engagement.
	Physical / Transition Risk	Physical – Acute Risk
	Time Horizon	ST MT LT
	Define Time Horizon	Refer note 6
Business Model and Value Chain	Current effects on business model and value chain	Extreme weather events can disrupt branch operations, self-banking centres, and cash-in-transit services, in turn affecting customer access and transactional efficiency.
	Anticipated effects on business model and value chain	Extreme weather events may increase the likelihood of financial stress among clients, particularly SMEs and sectors directly exposed to climate impacts such as agriculture, fisheries, and infrastructure. This could lead to higher default risk, delayed repayments, and increased demand for restructuring. Disruptions to operations caused by climate events could affect service delivery, potentially undermining customer trust and confidence.
	Where is it concentrated	Down Stream Operations - Operational Risk Customers - Credit Risk
Strategy and Decision Making	Plans to Respond to in Strategy, Risk Management, Transition Plans and Climate-related Targets	Institutionalise a comprehensive Business Continuity Management Plan (BCP) and robust Disaster Recovery (DR) systems. Provide timely support to affected clients Realign provisioning practices to account for stressed customers Strengthen credit assessment, monitoring, and risk mitigation processes to maintain asset quality.
	How the Bank is Resourcing and Planning to Resource Activities	Financial Investment Strengthen disaster preparedness and resilience infrastructure, including for strengthening BCP and DR systems to ensure minimal operational disruption and timely service delivery. Human Capital Development Introduce routine training for senior leadership and operational staff to respond proactively to climate-induced disruptions while maintaining continuity and safeguarding the interests of clients and stakeholders. Also focus on training Relationship Managers in the areas of risk assessment, client support, and ESG integration in credit decisions.
	Progress (qualitative and quantitative)	Refer Manufactured Capital Report on page 93 Human Capital Report on page 105
Financial Effects	Current year financial effects to P&L, BS and CF (Profit and Loss, Balance Sheet, Statement of Cashflows)	The Bank has not identified material financial effects to the current financial year
	Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year	The Bank has not identified material financial effects to the current financial year
	Anticipated financial effect over short, medium and long term to P&L, BS and CF	Refer Note 8 for Transitional Relief

Climate Related Risk - Disruption to the Bank's operations owing to extreme weather events

Climate resilience	Resilience Assessment	Refer Note 8 for Transitional Relief
	How and When Climate Scenario Analysis was performed. Disclosure of (i) Inputs; (ii) Key Assumptions, and (iii) Reporting period in which scenario analysis was carried out	Refer Note 8 for Transitional Relief
Judgements and Uncertainties	Judgements	Refer note 9 for Judgements
	Uncertainties	Refer note 9 for Uncertainties

PART 4 - RISK MANAGEMENT

Process and Policies Relating to Climate-Related Risks	Identification	To identify physical climate risks, such as floods, cyclones, and extreme weather events, that could impact its operations, the Bank uses historical data, regional risk mapping, and emerging climate trend analysis. However, a detail scenario analysis on climate events is not yet included in the existing scope, which we intend to include in the medium to long term.
	Assessment	Identified risks are assessed to determine the level of disruptions to branches across various regions, digital services, and other customer front-end systems.
	Prioritisation	Risks are prioritised based on their severity and likelihood of impact on physical assets, with those, capable of causing significant operational disruptions assigned a higher priority rating. Accordingly, based on the Bank's internal assessment, climate-related physical risks have been classified as medium to low priority, given their comparatively lower impact on the Bank's operations.
	Monitoring	The Bank continuously monitors climate risk indicators and regional vulnerability reports to detect potential threats early in order to enable timely mitigation actions. Following Cyclone Ditwah in November 2025, monitoring was further strengthened with the Risk Management Division tasked with informing the leadership of emerging risks.
	Integration to Overall ERM	Physical climate risks are embedded into the Enterprise Risk Management framework via business continuity planning, disaster recovery and other operational risk mitigation strategies. Please refer Report on Risk Management on pages 221 to 245.

PART 5 - METRICS AND TARGETS

Usage of Proportionality Mechanism

Amāna Bank has applied the proportionality mechanism in relation to the below disclosures, noting that the Bank is currently in the process of establishing the necessary systems, processes, and data collection mechanisms to enable comprehensive assessment and reporting of climate-related risks, opportunities, and associated metrics. At this stage, based on an evaluation of the costs and benefits, management has determined that the implementation costs—particularly in terms of data infrastructure, system enhancements, and resource allocation—are comparatively high. Hence, the Bank has adopted a phased approach, with plans to progressively enhance its capabilities and disclosures over time in line with evolving regulatory expectations and operational readiness.

1. CROSS INDUSTRY METRICS

Basis of Determination of Organisational Boundary and Operational Boundary

Amāna Bank has established its organisational boundary based on the financial control approach in compliance with the requirements of the GHG Protocol, which requires entities to apply the same reporting definition used in Financial Statements when preparing sustainability related disclosures. Accordingly, Amāna Bank GHG emissions reporting encompasses relevant direct and indirect emissions arising from the Bank's activities as defined below;

Scope 1 – Direct Emissions

- ◆ Fugitive emissions from fire extinguishers
- ◆ Mobile combustion from Bank owned vehicles
- ◆ Stationary combustion from backup generators

Scope 2 – Indirect Emissions

- ◆ Purchased electricity consumption

Scope 3 – Other Indirect Emissions

- ◆ Upstream and downstream transportation, employee commuting, waste generation, electricity transmission & distribution losses and water consumption from the National Water Supply and Drainage Board (NWSDB)

Methodology used for the measurement and disclosure of GHG Emissions

The Bank measures and reports its Greenhouse Gas (GHG) emissions in accordance with the GHG Protocol Corporate Accounting and Reporting Standard, applying an operational control approach to define emission sources across its operations. Reporting on Scope 3 emissions is subject to Transitional reliefs.

Emissions (tonCO ₂ e)	2025
Scope 1	61
Scope 2	1,240
Scope 03 (Note: 8 Transitional Relief)	513
Total	1,814

Key Assumptions and Sources of GHG Measurement

Scope	Emission Sub-category	Activity	Data Source	Emission Factor	Source of GWP Values
Scope 1	Fugitive emissions	From fire extinguishers	Payment Vouchers	IPCC Guidelines for National Greenhouse Gas Inventories	IPCC Sixth Assessment Report
Scope 1	Mobile combustion	From Bank owned vehicles	Payment Vouchers	IPCC Guidelines for National Greenhouse Gas Inventories	IPCC Sixth Assessment Report
Scope 1	Stationary combustion	From backup generators	Payment Vouchers	IPCC Guidelines for National Greenhouse Gas Inventories	IPCC Sixth Assessment Report
Scope 2	Purchased electricity consumption	Day to day operations	Electricity Bills and Payment Vouchers	Sri Lanka Energy Balance 2022, published by Sri Lanka Sustainable Energy Authority	IPCC Sixth Assessment Report

2. CLIMATE-RELATED PHYSICAL RISKS

As at 31 December 2025, the assessment of the amount and percentage of assets or business activities vulnerable to climate-related physical risks is currently underway. The Bank is in the process of developing the necessary methodologies, enhancing data collection processes, and strengthening its analytical capabilities to support this assessment. This forms part of Bank's broader efforts to enhance its climate related risk and opportunity management framework, with more comprehensive and robust disclosures expected in future reporting periods.

3. CLIMATE-RELATED TRANSITION RISKS

As at 31 December 2025, the assessment of the amount and percentage of assets or business activities vulnerable to climate-related transition risks is currently underway. The Bank is in the process of developing the necessary methodologies, enhancing data collection processes, and strengthening its analytical capabilities to support this assessment. This forms part of Bank's broader efforts to enhance its climate related risk and opportunity management framework, with more comprehensive and robust disclosures expected in future reporting periods.

4. CLIMATE-RELATED OPPORTUNITIES

As at 31 December 2025, the assessment of the amount and percentage of assets or business activities aligned with climate-related opportunities is currently underway. The Bank is in the process of developing the necessary methodologies, enhancing data collection processes, and strengthening its analytical capabilities to support this assessment. This forms part of Bank's broader efforts to enhance its climate related risk and opportunity management framework, with more comprehensive and robust disclosures expected in future reporting periods.

5. CAPITAL EXPENDITURE

Based on need assessment, the Bank intends to incur capital expenditure to strengthen climate resilience in the coming years.

6. INTERNAL CARBON PRICING

The Bank has not adopted an internal carbon pricing mechanism as yet.

7. REMUNERATION

The Bank does not currently link the remuneration of executive directors, key management personnel or employees to climate-related or other sustainability-related performance metrics.



INTERWOVEN FOR IMPACT

Facilitating the Vehicle Imports Sector

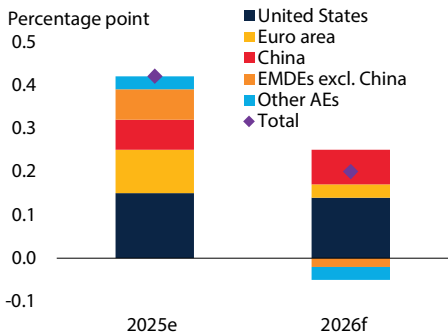
GLOBAL ECONOMY

The year 2025 was marked by slower growth with global GDP growth is estimated to have slowed to around 2.4 – 2.7%, well below 2024 levels. The moderation is reflective of the broad-based deceleration across both advanced and developing economies. Advanced economies generally experienced subdued growth, with many facing weaker consumer demand and investment headwinds, while emerging markets and developing economies continued to outperform in aggregate, albeit at slower rates than in previous decades.

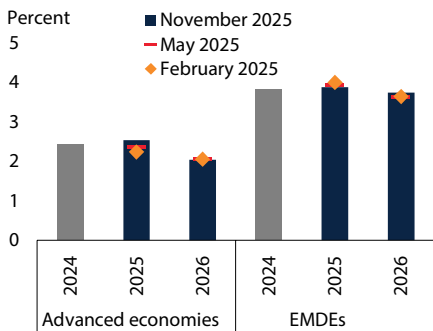
Commodity prices broadly declined during the year, with oil, coal, and food staples trending lower, which helped dampen headline inflation in many regions but posed challenges for commodity-dependent economies.

Meanwhile, global trade growth weakened in 2025, weighed down by elevated policy uncertainty and the persistence of trade barriers, constraining cross-border flows and investment. Geopolitical conditions, including tariff escalation and policy fragmentation caused significant uncertainty and contributed to cautious business sentiment and investment decisions across regions, in turn impinging on economic performance and global trade activity throughout 2025.

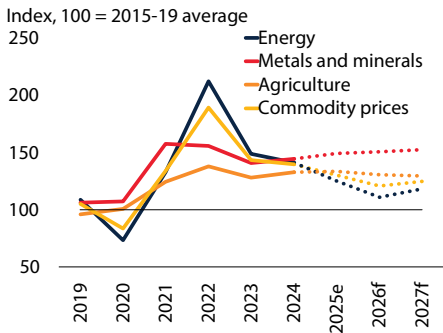
Contributions to Global Growth Revisions



Consensus Expectations, Headline CPI



Commodity Price Forecasts



SRI LANKAN ECONOMY

In 2025, Sri Lanka’s economic recovery gathered stronger momentum. The reform agenda continued to gain traction, translating into firmer macroeconomic anchors and a more stable operating environment. Economic activity strengthened meaningfully over the course of the year, with GDP expanding by approximately 5%, reflecting a broad-based revival across industry and services and a gradual normalisation of business conditions. Industrial production advanced steadily, while forward-looking indicators across manufacturing, construction, and services pointed to sustained expansion despite external uncertainties and intermittent global volatility.

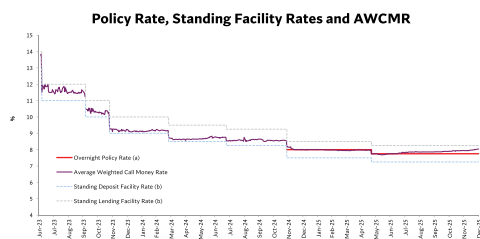
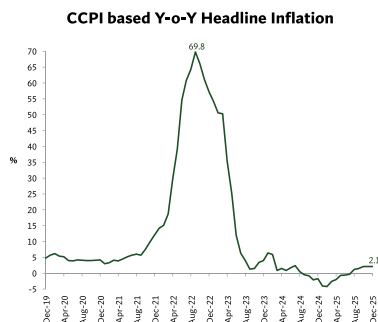
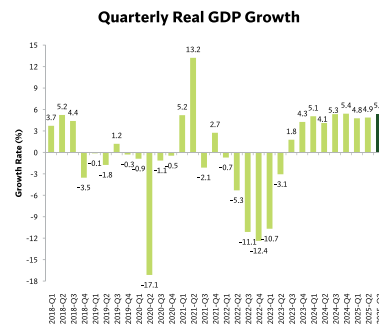
Following a brief technical dip into negative territory in the early months driven by base effects and administered price adjustments, inflation returned to moderate, positive levels by mid-year and remained well contained thereafter, in turn contributing to improved consumer sentiment and enhanced planning certainty for businesses.

Monetary policy remained well managed with the downward adjustment in market rate during the year resulting in a gradual easing of borrowing costs. Short-term rates remained aligned with the Central Bank’s target, while prime lending and deposit rates trended downward, encouraging private sector credit expansion and supporting investment activity.

Building on the momentum achieved in 2024, the external account strengthened further in 2025. The current account surplus recorded in the first half of the year was underpinned by resilient tourism earnings and a strong rebound in workers’ remittances, while strong export performance in key sectors helped cushion the impact of higher imports, even amidst higher imports following the relaxation of restriction on vehicle imports. Encouragingly, ongoing efforts by the government of Sri Lanka to continue with policy reforms ensured the disbursement of the fifth tranche under the IMF Extended Fund Facility, which further reinforced reserve buffers and bolstered external confidence.

Currency movements reflected these dynamics, with the Sri Lankan Rupee experiencing a modest adjustment against the US Dollar mid-year, largely in response to increased import demand, before stabilising through the remainder of the year in line with improving external fundamentals.

Notwithstanding this progress, the latter part of 2025 was marked by the severe impact of Cyclone Ditwah, which imposed significant social and economic costs. The scale of physical damage is estimated at nearly 4% of GDP, highlighting the Country's vulnerability to climate-related shocks and underscoring the importance of building long-term resilience into national development planning.



Context

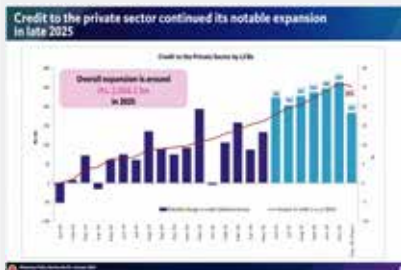
Domestic credit expanded amid lower market interest rates and greater confidence in the economy, enabling banks to respond to rising demand for lending from households and businesses. Private sector lending expanded to approx. LKR 2.0 trillion in 2025, representing a notable 25% year-on-year growth from the previous year.

Although overall credit remained below pre-crisis levels, the increase in private sector lending demonstrated a gradual rebalancing of financial intermediation toward productive activities.

Asset Growth

Key Indicators (Banking Sector - 2025)

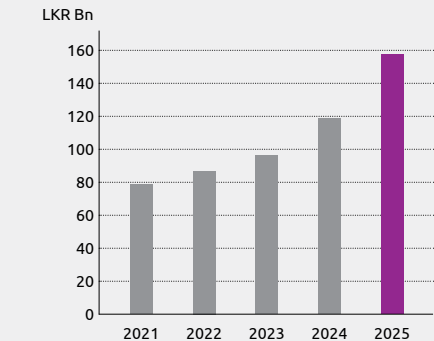
Credit to the private sector continued its notable expansion in late 2025



Source: Central Bank of Sri Lanka

Key Indicators (Amāna Bank - 2025)

Asset Growth



Year	Asset Growth (LKR Bn)
2021	80
2022	88
2023	98
2024	120
2025	155

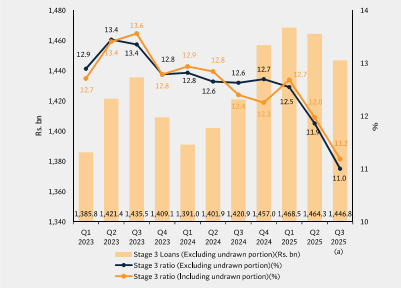
Context

Asset quality showed signs of improvement, benefitting from the easing of pressures on household and corporate balance sheets as economic output continued to strengthen. Non-performing advances ratios remained elevated compared to historical norms, but gradual declines were observed, underscoring cautious progress in credit quality.

Asset Quality

Key Indicators (Banking Sector – Q3 2025)

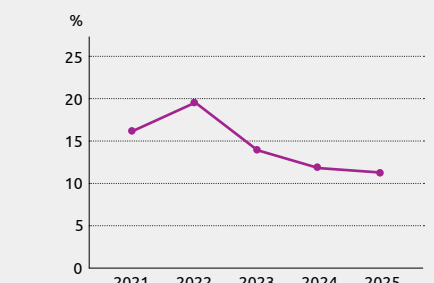
Stage 3 Loans of the Banking Sector



Source: Central Bank of Sri Lanka

Key Indicators (Amāna Bank - 2025)

Stage 3 Impaired Financing Ratio



Year	Stage 3 Impaired Financing Ratio (%)
2021	16
2022	20
2023	14
2024	12
2025	11

Context

The banking sector recorded higher profitability in 2025, with Profit After Tax (PAT) increasing to LKR 279.1 billion (Sep'25), reflecting a 54.8% year-on-year increase from LKR 180.3 billion in 2024 Q3. Key profitability metrics also strengthened, with both Return on Equity (ROE) and Return on Assets (ROA) showing marked improvements, underscoring the sector's enhanced operational efficiency and financial resilience amidst a recovering economic environment.

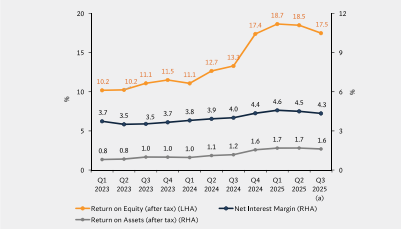
Profitability

Key Indicators (Banking Sector – Q3 2025)

Earnings and Profitability (Rs. billion)

Indicators	2024 Q3	2025 Q3	% Change (Yo-Y)
Net Interest Income	616.4	750.8	21.8
Gross Income ⁽¹⁾	757.5	953.8	25.9
Profit Before Corporate Tax	286.3	434.3	51.7
Profit After Corporate Tax	180.3	279.1	54.8

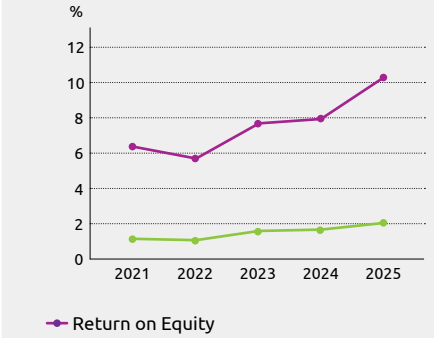
Profitability Indicators



Source: Central Bank of Sri Lanka

Key Indicators (Amāna Bank - 2025)

Profitability



Year	Return on Equity (%)	Return on Assets (%)
2021	6.5	1.2
2022	5.8	1.1
2023	7.8	1.5
2024	8.0	1.6
2025	10.0	2.0

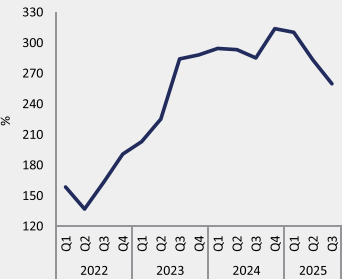
Liquidity

Context

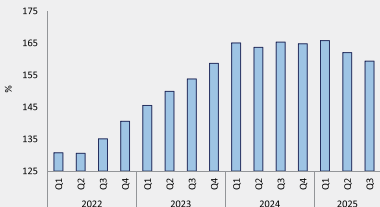
Excess liquidity built up in the previous year was mopped up by the strong demand for credit in 2025, leading to a moderation in overall liquidity levels within the local banking sector. Nonetheless, key indicators such as the Rupee Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) remained comfortably above regulatory requirements, reflecting sufficient liquidity to support ongoing credit growth and economic activity.

Key Indicators (Banking Sector – Q3 2025)

Liquidity Coverage Ratio - All Currency



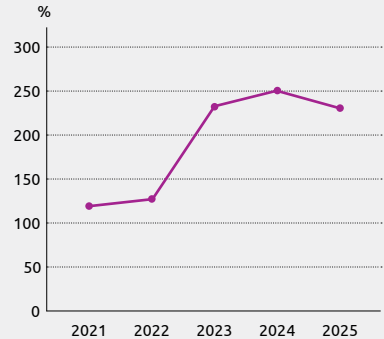
Net Stable Funding Ratio



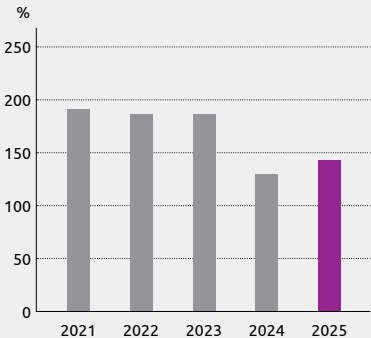
Source: Central Bank of Sri Lanka

Key Indicators (Amāna Bank - 2025)

Liquidity Coverage Ratio - All Currency



Net Stable Funding Ratio



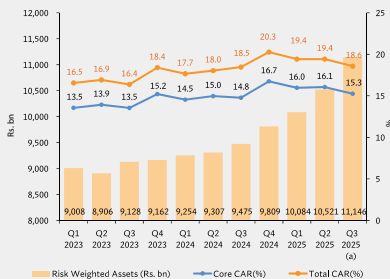
Capital Adequacy

Context

As at 30 September 2025, the banking sector demonstrated strengthened resilience, with Regulatory Capital to Risk Weighted Assets (Total CAR) marginally improving to 18.6% from 18.5% in 2024 Q3. Tier 1 capital also recorded solid growth, while the RWA improved year on year, underscoring the sector's robust capitalisation and capacity to absorb potential risks.

Key Indicators (Banking Sector – Q3 2025)

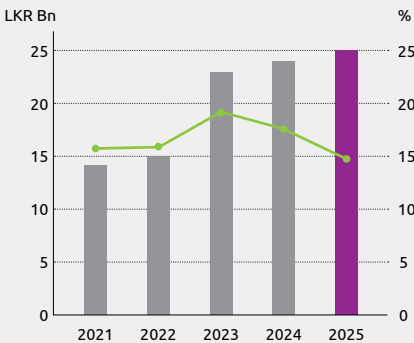
Capital Adequacy Ratio



Source: Central Bank of Sri Lanka

Key Indicators (Amāna Bank - 2025)

Capital Adequacy Ratio



Business Banking



The operating environment in 2025 was highly conducive as the demand for credit surged against the backdrop of the economic revival and low market interest rates. Favourable policy directives to support SME segment growth helped to further stimulate demand within this key segment. Meanwhile, the opening up of the vehicle market following the easing of restrictions on vehicle imports in February 2025 alongside improving business confidence amidst Sri Lanka's sovereign rating upgrade helped bolster trading activities across all sectors of the economy. Greater stability in the exchange rate further contributed to the strong momentum in trade during 2025.

The low-rate environment in 2025 led to a decisive shift in business sentiment, and the resulting resurgence in credit demand created a highly conducive environment for Amāna Bank to accelerate advances growth.

With the SME sector moving swiftly to resume operations that had been largely hampered since the 2022 economic crisis, Amāna Bank's SME credit expansion strategy centred on supporting thrust sectors such as trading, manufacturing and agriculture. With the demand for short-term advances growing sharply due to heightened working-capital needs of the SME sector, the Bank recalibrated its product mix and expanded

its offering with new flexible solutions such as Speed Draft. In keeping with the Bank's prudent risk management approach, collateral-based financing coupled with disciplined underwriting practices remained the key pillars underpinning SME segment advances growth in 2025.

To further deepen the penetration into the SME sector, significant emphasis was placed on promoting value-chain financing led by targeted outreach efforts aimed at tapping into suppliers and distributors of major corporate customers.

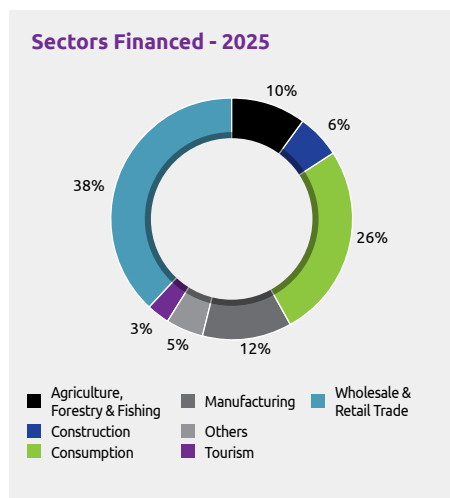
These efforts also paved the way to strengthen relationships with existing corporate customers, enabling Amāna Bank to position itself as the preferred banking partner for these entities. Moreover, with many corporates demonstrating renewed interest in infrastructure development to capture the next wave of growth, the Bank capitalised on the opportunity to finance these large scale long term projects.

Likewise, Amāna Bank continued to support corporate sustainability projects that generate both social and environmental impact. A notable example from this past year was the financing of a solar energy project aimed at supporting Sri Lanka's energy self-sufficiency.

Amāna Bank hosts ENRICH MSME Business Forum in Kandy

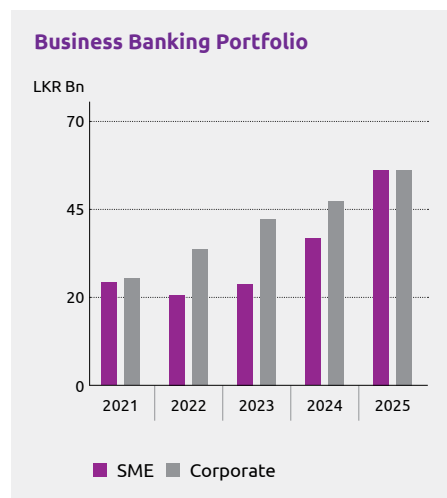
Amāna Bank partnered with the Chamber of Commerce and Industry – Central Province to successfully host the ENRICH MSME Business Forum, which serves as a catalyst for entrepreneurs in the region to grow, innovate, and connect with new opportunities. The event, held in Kandy, brought together over 100 Micro, Small, and Medium-sized Enterprise organisations from the region, including their Directors and senior officials, for a day of insightful discussions. The forum featured four key thematic sessions covering Human Resource Management, Marketing, Technology and Talent, concluding with a dedicated Business Session. Each segment also included a presentation by a subject matter expert followed by a panel discussion.

LKR Mn	2025	2024	Change
Financing Income	10,644	8,850	20%
Net Fee and Commission Income	865	583	48%
Total Income	11,508	9,433	22%
Gross Advances	113,653	87,441	30%
Deposits	36,038	31,867	13%



As part of the overall focus on sustainable finance, the Bank continued to empower clients to adopt sustainable operational practices, such as waste management and carbon-emission reduction. To support these efforts, capacity building for Relationship Managers were further intensified to reinforce the importance of sustainability integration as part of initial credit assessments. A landmark achievement in this regard was the financing of one of South Asia's largest aquaculture projects a few years ago, where the Bank facilitated regulatory compliance, to enable the client to access green funds, and technical expertise from overseas, while providing advisory support to guide the client's strategic pivot from a domestic-reliant business model to export-oriented operations in 2025.

Meanwhile, despite the notably higher exposure to long-term financing in 2025 compared to previous years, a disciplined,



risk-based approach ensured that Amāna Bank's advances mix remained weighted towards short-term facilities in line with the Bank's risk profile, and liquidity management goals.

Asset quality improved significantly in 2025, supported by broad based action by Amāna Bank's Revival Unit to focus on managing customers with genuine difficulties through comprehensive support including repayment plans, extended moratoriums beyond regulatory requirements, and advisory support to help such customers to regain financial stability. In parallel, recovery and follow up action was further intensified, while credit assessment protocols for new customers were also further strengthened to safeguard long term portfolio resilience. In this regard, the Bank continued to exercise caution in selecting customer segments, avoiding unfamiliar sectors, and maintaining rigorous scrutiny of source markets to mitigate concentration risks.

A combination of repayment restructuring and proactive recovery saw Amāna Bank recording a notable improvement in recovery volumes during the year. Consequently, the Bank's Impairment (Stage 3) to Stage 3 Financing and Advances ratio declined from 1.3% in 2024 to 1.2% in 2025.

Meanwhile, liability growth remained subdued in 2025, as SMEs opted to redirect excess cash reserves towards income-generating opportunities or for debt servicing. This trend was largely evident following the reopening of the vehicle market, with many SMEs channeling surplus liquidity towards acquiring new vehicles.

Despite this, Amāna Bank continued with targeted deposit mobilisation activities among the existing customer base, while simultaneously taking steps to diversify the deposit base by capturing the transactional accounts of new customers on-boarded during the year. A culmination of these efforts saw Amāna Bank's CASA ratio surpassing the industry average of 32% (Q3 2025) to reach 45% as at 31 December 2025.

The year 2025 saw fee-based income reaching an all-time high, supported by a surge in trading activities following the reopening of the vehicle market in February 2025. Moreover, with the branch network as a whole experiencing significant increase in trade volumes, the Bank undertook to revise trade tariffs in order to remain aligned with market dynamics and safeguard margins. Consequently, trade-related fee income crossed LKR 558 Mn to reach LKR 846 Mn for the twelve months ending 31 December 2025, which also represents year on year growth of 52%.

The notable increase in card-related fee income further contributed towards the increase in fee-based income for 2025. With Amāna Bank achieving Visa primary membership during the year, the resulting reduction in commission costs not only strengthened the Bank's competitive positioning within the card space, but also helped to boost card-related fee income for 2025.

As always, enhancing customer experience remained a key priority, prompting investments to expand the network of Self-Banking Centres, which now stands as the primary physical touch-point for Amāna Bank customers across Sri Lanka.

Significant progress was also made in strengthening internal systems with several system upgrades implemented across the Bank to standardise processes and support faster, more consistent service to customers. Process simplification remained a key focus. Notable developments included the use of Robotic Process Automation (RPA) capabilities within the Credit Administration Department to improve accuracy and speed. Additionally, a customer support chatbot was rolled out to improve query resolution.

To expedite approvals, the credit administration and legal functions were centralised and supported by newly introduced delegated authority limits. Taking the next steps towards improving efficiency of the overall credit management process, work also commenced on developing a fully automated credit facility origination system to streamline process flows and reduce customer turnaround times. In readiness for the new system, governance and oversight mechanisms were further streamlined and strengthened with the establishment of a dedicated regional leadership structure for Business Banking. In this regard, designated Regional Heads were appointed and assigned appropriate delegated authority limits to promote accountability and standardise client responsiveness across all regions.

OUTLOOK AND PROSPECTS FOR AMĀNA BANK

Looking ahead, the Country outlook remains broadly favourable. Continued economic expansion supported by fiscal consolidation, potential sovereign rating upgrades, and an expected rise in foreign direct investment, all signal the potential expansion in credit demand in the coming years. In particular, prospects in manufacturing, including emerging opportunities in local vehicle production, export-oriented industries, and large-scale developments such as the Port City project, present significant avenues for portfolio expansion.

Amāna Bank remains well positioned to capitalise on these opportunities underpinned by a strong focus on SME sector development. While the upward trajectory of financing rates and tightening rupee liquidity may pose challenges for SME financing, the Bank remains committed to supporting this segment through tailored financing solutions and sustained advisory support. Financing decisions will continue to be governed by a disciplined, risk-based approach, ensuring that credit expansion aligns with the Bank's risk appetite.

As more SMEs evolve beyond organic growth and seek strategic direction to scale their operations, the Bank will leverage its advisory expertise to guide customers through this transition. In parallel, the Bank will continue to invest in technology, focusing on automating internal workflows, modernising physical touchpoints, and upgrading digital channels to enhance efficiency, responsiveness, and customer engagement in the years ahead.

Challenges

- ◆ Rising financing rates may weaken SME borrowing appetite and increase financing stress.
- ◆ Tight rupee liquidity, driven by strong credit demand, could constrain SMEs' working-capital access.



Opportunities

- ◆ SME upscaling could create avenues for financial assistance and advisory services.
- ◆ Positive economic outlook, supported by projected 7% growth, Port City momentum, trust-sector expansion, and a likely rating upgrade, signalling stronger credit demand and FDI inflows.



Retail Banking



The year 2025 was one of solid growth for Amāna Bank's Retail Banking segment. With market conditions improving steadily and customers whose credit appetite had been curtailed by inflationary pressures following the economic crisis of 2022, returning to the market, the Bank's Retail Segment witnessed a wave of opportunities across all key financing verticals.

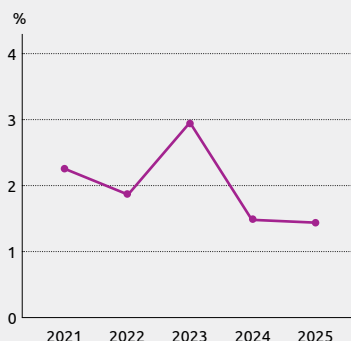
Keen to capitalise on the heightened demand for credit following the easing of vehicle import restrictions, Amāna Bank's Vehicle Financing portfolio experienced significant growth. During the year, the Bank introduced the Speed Draft facility for vehicle financing, enabling customers to enjoy lower monthly rentals with the option of settling the facility through a bullet payment at the end of the tenure.

Amidst the rapid escalation in demand for Home financing, Amāna Bank intensified efforts to seize potential opportunities driven by aggressive promotional activities to highlight the versatility of the Bank's offering, particularly in terms of speed, efficiency, and flexible settlement options to meet customer expectations.

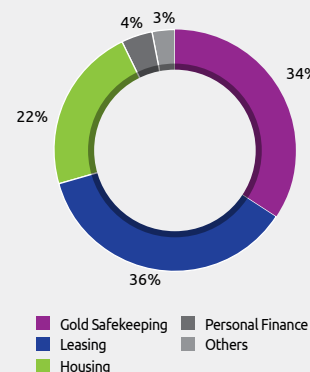
Sustainable financing continued to gain traction. The demand for solar financing grew notably in FY 2025, fueled by customer eagerness to transition to renewable energy. Similarly, with the appetite for Electric Vehicle

(EV) financing growing exponentially following the opening of the vehicle market, the Bank moved swiftly to capitalise on opportunities in EV financing.

Retail Stage 3 Impaired Financing Ratio



Retail Portfolio Mix - 2025

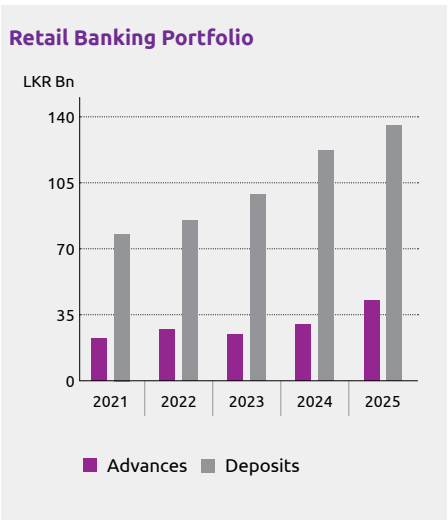


Deposit mobilisation and CASA growth also recorded remarkable progress during the year. Term investment products experienced strong uptake, supported by focused efforts to widen access and reach across the country. On the savings front, the product suite was expanded with the introduction of the Amāna Bank Teen Savings Account, a dedicated savings proposition designed to motivate young adolescents to adopt early financial discipline and build long-term banking relationships. Following the launch of the Teen Savings proposition, the children's savings product was also repositioned as Amāna Kids with a more engaging and relevant offering for customers aged 1 to 12.

In yet another notable development, Amāna Bank successfully facilitated the opening of Hajj pilgrimage accounts in full compliance with the Department of Muslim Religious and Cultural Affairs requirements for improved governance, transparency and fairness in their Hajj operations.

To further enhance customer experience throughout their Hajj journey, a range of exclusive benefits were also offered, including preferential foreign exchange arrangements for Saudi Riyals, debit card cashback offers during the pilgrimage period, opportunities to enter promotional draws, and other value-added conveniences.

LKR Mn	2025	2024	Change
Financing Income	4,464	3,963	13%
Net Fee and Commission Income	505	425	19%
Total Income	4,968	4,388	13%
Gross Advances	42,866	30,081	43%
Deposits	136,036	122,538	11%



The Cards business also made substantial progress during the year, following Amāna Bank receiving Visa primary membership which helped to establish the required support infrastructure to eliminate previous operational limitations that had prevented the Bank from deepening market penetration. With the system architecture now in place, new customer acquisition was accelerated alongside a focused effort to revive dormant and inactive accounts culminating in driving increased participation across the card base. Consequently, Amāna Bank’s Cards portfolio recorded strong growth, with transaction volumes showing a 36% year on

year improvement. This was supported by the Bank offering customers exclusive card discounts throughout the year across a wide range of leading merchant outlets.

As always digital innovation remained a key component of the retail strategy. In keeping with the ongoing endeavour to transform how customers conducted their banking on the phone, the ‘Amāna Bank Connect’ app was launched as a central hub that connects users to multiple Amāna Bank digital services through a single mobile application, enabling customers to conveniently access a wide range of banking tools from one platform. Likewise, the latest enhancements to WhatsApp banking were aimed at enabling customers to directly check their financing status in addition to information on existing facilities including outstanding leasing and housing balances, instalment schedules etc.

OUTLOOK AND PROSPECTS FOR AMĀNA BANK

Sri Lanka’s economic outlook for the coming year reflects signs of continued stabilisation, supported by improving consumer sentiment, and the gradual normalisation of purchasing behaviour. As households regain confidence and resume long-delayed financial decisions, these conditions are likely to auger well for retail banking.

Looking ahead, Amāna Bank’s retail banking strategy will focus on deepening its presence and relevance across core customer segments. To that end, the Bank aims to grow its customer base while increasing the rate at which new and existing customers convert into multi-product users. This will be supported by a more strategic deployment of the SBC and branch network to strengthen outreach.

Equally importantly, the Bank will move deliberately to strengthen its presence in the non-core market. This effort will be led by cross-selling, with efforts concentrated on expanding product penetration across both deposits and financing portfolios in the coming years.

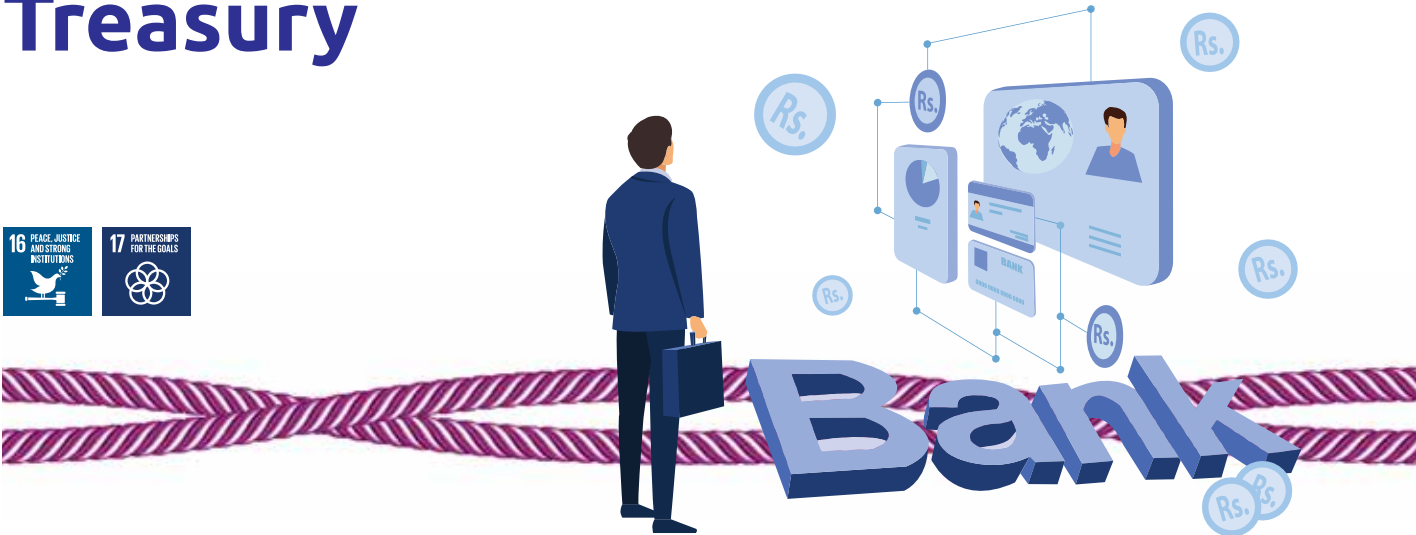
Challenges

- Competitive pressures from banks and financial institutions

Opportunities

- Potential to expand into the non-core market
- Growing customer demand for more personalised and integrated financial solutions

Treasury



The year 2025 saw Amāna Bank’s Treasury playing a critical role in supporting balance sheet growth, strengthening the Bank’s market positioning and safeguarding financial stability while building resilience for the future.

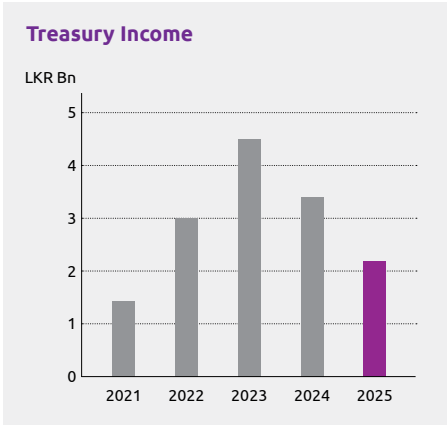
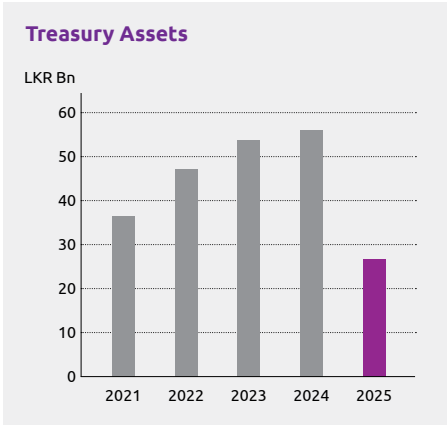
As the key custodian of the Bank’s liquidity management strategy, the Treasury focused on facilitating the Bank’s financing activities against the backdrop of the renewed credit appetite from the market in 2025. The gradual reopening of vehicle imports during the year also generated fresh demand for credit across the retail, SME, and corporate segments, in turn contributing to a notable pickup in private sector credit growth.

The stable rate environment following the CBSL’s decision to cut policy rates by 25bps in 1H25 and maintain this stance for much of the year also proved to be a strong incentive for driving credit demand.

With the resurgence in credit demand prompting Amāna Bank to actively pursue financing activities, the Bank’s Treasury adopted a disciplined approach to fund utilisation to ensure liquidity was deployed to support expanding financing activities while maintaining strong risk controls and liquidity buffers. These efforts were coupled with close monitoring of market movements to support balance sheet optimisation and funding stability.

From an FX perspective, the Treasury leveraged the relative stability in the LKR to strategically manage exposures on both sides of the FX market. In doing so, the Bank continued to align its foreign exchange operations with the FX Global Code, underscoring the commitment to ethical conduct and transparency on par with global best practices.

Meanwhile, to keep pace with the Bank’s rapidly expanding trade financing business, the Treasury focused on further strengthening relationships with the network of global correspondent banks and counterparties. Existing trade lines with correspondent banks were expanded, while several new correspondent relationships were established to enhance Amāna Bank’s trade finance capabilities. The year also saw the Asian Development Bank (ADB) re-establishing its trade finance line with Amāna Bank, marking a notable achievement that reflects renewed international confidence in the Bank’s financial resilience, governance standards, and sustained performance following the period of economic uncertainty.



OUTLOOK AND PROSPECTS FOR AMĀNA BANK

The outlook for the next 12 - 18 months remains broadly positive, supported by improving macroeconomic fundamentals and strengthening market confidence. Upward revisions to Sri Lanka’s sovereign ratings and the Government’s continued progress in meeting key economic and fiscal targets will continue to reinforce investor sentiment and contribute to a more stable operating environment. These developments are expected to support sustained growth in private sector activity, trade flows, and financing demand, providing Amāna Bank’s Treasury with greater opportunities to optimise liquidity deployment and support balance sheet expansion in the coming year.

However, while overall growth prospects remain favourable, pressure on policy rates is quite likely as credit demand remains strong and liquidity conditions tighten. In this context, Amāna Bank’s Treasury will closely monitor market movements and focus on proactively responding to evolving conditions.

Challenges

- ◆ Potential upward pressure on policy rates owing to strong credit demand



Opportunities

- ◆ Expand trade business relationships by capitalising on economic stability and improved country ratings



By the Grace of Almighty Allah, Amāna Bank PLC has completed 14 years of commercial operations in 2025. During the year under review, the Sharia Supervisory Council (SSC) of the Bank held three SSC meetings to review various products, modifications, concepts, transactions and processes.

NEW PRODUCTS APPROVED BY THE SSC DURING THE YEAR

1. Islamic Factoring Solution

SHARIA REVIEW AND COMPLIANCE PROCESS

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department (SSD) actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia Documents were reviewed to ensure Sharia compliance when offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The SSD focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income Generated from Retail Financing (LKR '000)	4,463,805
Income Generated from Business Financing (LKR '000)	10,643,595
Number of Transactions Performed	11,191
Number of Transactions Reviewed	11,191
Total Gross Advances as at 31 December 2025 (LKR '000)	156,519,894
Impaired Financing and Advances (Stage 3) Ratio	1.2%

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences / invoices, further enhancing the controls. All financing granted using various products and services during the year were reviewed by the SSD and their alignment with the guidelines issued by SSC was also verified.

The process and the scope of the review included the following:

- ◆ Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was confirmed by visiting their premises on a sample basis.
- ◆ Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ◆ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama / Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash, Amāna Collect and Gold Safekeeping Facility.
- ◆ Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha transactions.

- ◆ Purchase deeds, certificates of registration of motor vehicles, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.
- ◆ Investments made in equity with reference to the equity stock screening criteria.
- ◆ Import finance transactions and related documentation.
- ◆ Extensive reviews of customer payment, purchase cycles and periodic assessment of customers' processes.
- ◆ Profit sharing ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ◆ Treasury placements with other Islamic Financial Institutions and Window Operations.

ONLINE SHARIA COMPLIANCE PROCESS

The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance to Sharia non-compliance culture within the Bank. In order to streamline and make the Sharia compliance process effective and efficient, the Bank continued to make use of the Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the fund disbursement and deal creation stages for all financing products.

REVIEW OF MARKETING AND COMMUNICATION ACTIVITIES

All Marketing and Communication activities and materials were reviewed by the SSD to ensure such activities of the Bank adhere to the rules and principles of Sharia.

TRAINING AND DEVELOPMENT

Annual training reached 914 personnel through a combination of internal and external sessions, 5 internal Sharia training sessions were held in which 104 employees

participated. These programmes were conducted with the objective of enhancing the knowledge and strengthening the skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

SSD focused on increasing the level of awareness amongst the key stakeholders, on Islamic Banking and products offered by the Bank and to further inculcate the values of Islamic Banking. In this regard, 14 external programmes were conducted for Sharia scholars and students. The total participation at these programmes was 810.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Amāna Bank Certified Islamic Banker Level-1	Branch Frontline Staff / Business Development Officers / Retail and Business Banking Staff	5	104
External			
Awareness Programme on Islamic Finance and Products of Amāna Bank	Sharia Scholars, Students	14	810
Total		19	914

SHARIA RISK MANAGEMENT COMMITTEE

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank’s Management Committee that was established to discharge the responsibilities of management on Sharia Compliance. During the year, two SRMC meetings were held on the discussion of the Sharia issues in the Bank.

REGIONAL SHARIA REVIEW UNITS

The regional Sharia units in the Central and Eastern regions continue to play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner.

SHARIA ADVISORY SERVICES

Internal Support

SSD provides advisory services on structuring products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the SSD are tabled at subsequent SSC meetings and ratified by the SSC. The SSD also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	5
Number of Advisory/ Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	225
Total	230
Number of Credit Memorandums reviewed by the Sharia Supervision Department	112

EXTERNAL SUPPORT

The Bank continued to offer Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations in compliance with Sharia principles. In this regard, the Bank provides Advisory Services on Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitoring compliance to the requirements of Sharia.

CHARITY FUND

During the year, a total of LKR 550,103 was transferred to the Charity Fund. As at 31 December 2025, a balance of LKR 131,878 remained in the fund.

STATEMENT OF SOURCES AND UTILISATION OF CHARITY FUND

	LKR	LKR
Opening balance as at 1 January 2025		529,668
Additions During the Year		
Excess Cash	1,000	
Income from Sharia Non-Compliance	19,435	20,435
		550,103
Less: Distribution of Charity (Social Benefits)		(418,225)
Closing Balance as at 31 December 2025		131,878

The amount of LKR 418,225 was disbursed from the Charity Fund with the approvals of Managing Director/CEO, Chief Financial Officer, and Head of Sharia Supervision and was duly reported to SSC for its concurrence.

THE WAY FORWARD IN 2026

- ◆ Continue to ensure the zero tolerance to Sharia non-compliance culture in the Bank.
- ◆ Strengthen the Sharia Risk Management process and mitigate Sharia violations with the involvement of the Sharia Risk Management Committee.
- ◆ Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- ◆ Introduce a Sharia Compliance Process Manual and guideline on all the products to Retail, SME and Business Banking staff.
- ◆ Advice and guide to provide the best-fit product to customers.
- ◆ Digitalisation of Sharia documentation to mitigate errors and improve efficiency in terms of speed.
- ◆ Actively engage in the New Product Development process by initiating and structuring new products.
- ◆ Facilitate and conduct training sessions to develop Sharia competency levels and instil onus on all stakeholders as follows:
 - ◆ Introduction to Islamic Banking for new recruits.
 - ◆ Continue the Amāna Bank Certified Islamic Banker Programme and implement stage 2 for the successful candidates.
 - ◆ Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance.
 - ◆ Dedicated documentation training for respective CRMs/ Assistants in all the branches.
 - ◆ Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff.
 - ◆ Conduct Sharia Awareness Programmes for Academics and Sharia Scholars.

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.



Ash-Sheikh Nazhan Naurooz

Head of Sharia Supervision and Secretary to the Sharia Supervisory Council

Financial Capital



Amāna Bank's Financial Capital plays an anchoring role in fuelling sustainable growth, maintaining stability and resilience for the purpose of creating long term stakeholder value.

MATERIAL MATTERS

- ◆ Financial Stability
- ◆ Capital Adequacy and Liquidity Governance, Risk Management and Compliance Support for the Retail and SME Sector

MANAGEMENT APPROACH

Amāna Bank's approach to managing financial capital is based on disciplined asset and liability management and the emphasis on cost efficiencies. Additionally, the Bank adheres to Basel III guidelines, maintaining strong capital buffers and liquidity through diversified funding and cash flow planning supported by a robust risk governance framework, including stress testing and due diligence to enhance adaptability, resilience and financial stability.

KEY RISKS

- ◆ Operational Risk
- ◆ Sustainability Risk

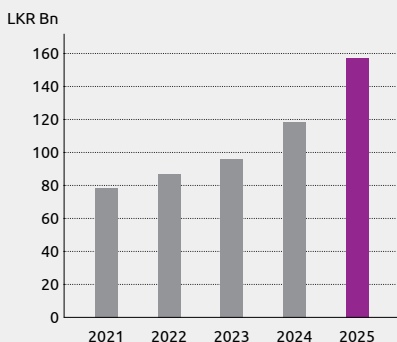
Key Area	2025 Highlights / Initiatives	Value Created for Customer and the Bank	SDG Alignment
Asset Growth	◆ Capitalise on improving economic conditions and reopening of the vehicle market to drive advances in retail and SME segments	◆ 36% year on year growth in advances	 
Improve access to low-cost funding	◆ Leverage Amāna Bank's people-friendly banking model as the basis for deposit mobilisation activities ◆ Strong emphasis on CASA	◆ 11% year on year growth in the Deposit book ◆ 45% CASA Ratio (44% - 2024)	 
Improving Net Fee and Commission Income	◆ Tap into the growing demand for trade-related services following the lifting of restrictions on vehicle imports	◆ 27% year on year growth in Net Fee and Commission Income	
Cost Management	◆ Cost containment and bank-wide efficiency measures to offset additional expenses associated with the SBC network expansion	◆ Cost-to-Income ratio - 51.8% (53% - 2024)	
Asset Quality Management	◆ Emphasis on recoveries	◆ Stage 3 ratio - 1.2%	

ANALYSIS OF AMĀNA BANK'S PERFORMANCE FINANCIAL POSITION

Financial Assets

Through aggressive growth in the Bank's core banking activities, total assets grew by LKR 22.0 billion or 12% YoY from LKR 182.3 billion in 2024 to cross the landmark of LKR 200 Bn and close at a solid LKR 204.3 billion as at end-December 2025. Having commenced operations in 2011, the Bank has reached this milestone in just fifteen years, making it the fastest in the industry to do so. Surpassing the robust growth in excess of 24% in 2024, Asset growth for 2025 reached 36% amidst robust demand on the back of improving economic conditions and the prevailing low rate environment. Steady incremental growth throughout the year saw Amāna Bank's Asset Book expanding from LKR 111.3 billion in 2024 to LKR 150.9 billion by end-2025. Consequently, with total advances accounting for 74% of Total Assets, Amāna Bank stands as the industry-best contributor to the real economy in 2025 through core banking activities — a clear testament to the Bank's development-focused banking approach.

Gross Advances

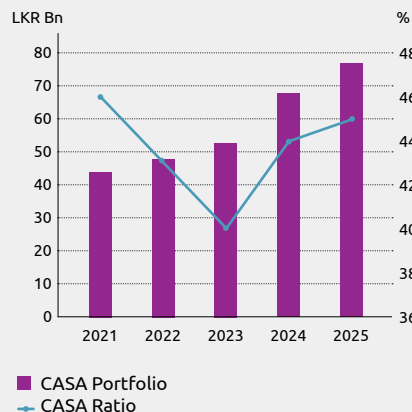


Financial Liabilities

Driven by focused efforts by Amāna Bank's Business and Retail teams, deposit mobilisation continued at a steady pace to record growth of LKR 18 billion during the year which saw the portfolio closing at LKR 172.1 billion by end-December 2026, reflecting a 11% year on year growth compared to last year's LKR 154.4 billion.

Consistent growth in deposits stands as a testament to the customer trust and confidence in Amāna Bank's people-friendly banking model. The Bank also retained its industry leading Current Accounts and Savings Accounts (CASA) position, with the CASA ratio improving further to 45% in 2025, from 44% a year earlier effectively proving the validity of Amāna Bank's people-friendly banking model in delivering consistent returns notwithstanding rate volatility.

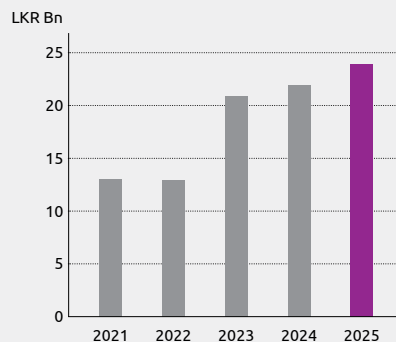
Current Account & Savings Account (CASA)



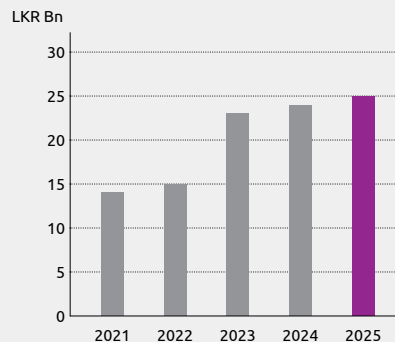
Capital and Liquidity

As at 31 December 2025, Amāna Bank's Common Equity Tier 1 and Total Capital ratios, at 13.0% and 14.7% respectively, were both well above the regulatory minimum requirement of 7% and 12.5% respectively.

Tier 1 Capital (Before Applicable Adjustments)

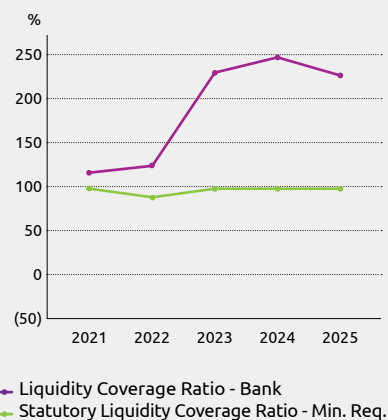


Total Capital



During the year under review, the Bank deployed majority of its funds towards core banking financing as demand for credit remained high with the resurgence of activities in many economic sectors especially following the resumption of vehicle imports increasing funded as well as non-funded business. Alongside the focus on business growth, equal emphasis was given to maintaining healthy liquidity levels in both LKR and USD domains and capital buffers to meet all stakeholder obligations on time and without constraints.

Liquidity Coverage Ratio



Equity and Reserves

With Amāna Bank tabling its best-ever financial performance in the year under review, the Bank reached yet another milestone as it surpassed LKR 25 billion in

total equity which increased to LKR 25.1 billion with a 10% growth year on year.

INCOME STATEMENT

Net Financing Income

Amāna Bank’s financing income increased to LKR 16.9 billion in 2025 from LKR 15.4 billion recorded in 2024 reflecting a YoY growth of 10%. This was achieved mainly through the growth in advances on the back of stable market rates throughout the year. Portfolio growth focused mostly on core segments of Retail and SME which assisted the growth in financing income for the year. Financing expenses on the other hand was maintained at levels that prevailed in 2024 with only a marginal increase from LKR 8.5 billion in 2024 to LKR 8.6 billion in 2025 as the Bank benefitted from industry-high CASA ratio as part of its deposit mix. Further, with the expansion in financing income outpacing growth in financing expenses in the current year, Amāna Bank’s financing margin improved from 4.0% in 2024 to 4.3% in 2025, enabling Amāna Bank to record a Net Financing Income of LKR 8.3 billion in 2025, a substantial 21% YoY increase from LKR 6.9 billion registered in 2024.

Net Fee and Commission Income

Amāna Bank’s fee based income increased to LKR 1.4 billion in 2025, up by 27% from the LKR 1.1 billion reported in the previous year. The increase was driven mainly by the heightened demand for trade related activities, particularly vehicle import facilitation services. In February 2025, the Government decided to lift the ban on motor vehicle imports which gave rise to a surge in trade-related business as vehicle dealers and individuals engaged with the Bank to facilitate documentary credit requirements resulting in a significant boost to fee based income. Higher earnings from account related tariffs for various services also enabled the Bank to grow its Net Fee and Commission Income this year.

Operating Income

Amāna Bank’s total operating income surpassed LKR 10 billion for the first time,

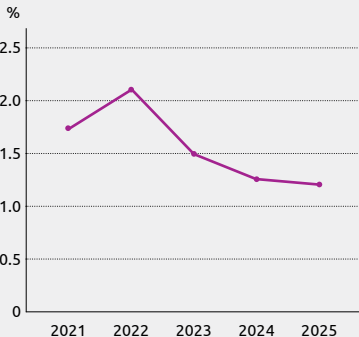
growing by 16% YoY to reach LKR 10.1 billion for 2025 from LKR 8.7 billion recorded in 2024. This increase was mainly due to the strong growth recorded in net financing income via core banking activities during the year under review.

Impairment on Financial Assets

With improving economic conditions in the Country translated positively on customer cash flows, the Bank benefitted from improved collections 2025 which helped the Bank to considerably reduce the impairment charge applied on financial assets. In addition, close follow up through timely customer engagement coupled with the Bank’s robust risk management techniques helped support portfolio growth without compromising on asset quality. Consequently, the impairment on financial assets decreased substantially from a charge of LKR 290 million in 2024 to a reversal of LKR 640 million in 2025. Meanwhile, the Bank continued to maintain sufficient credit buffers, if needed to absorb potential shocks in relation to customers operating in risk-elevated sectors.

As mentioned above, heightened engagement on recovery and follow up activities in order to maintain strong asset quality has been a major differentiator that has set the Bank apart from its peers. Lower customer defaults in 2025 enabled the Bank to maintain the Stage 3 ratio at 1.2% as at 31 December 2025, which was well below the industry average.

Stage 3 Impaired Financing Ratio



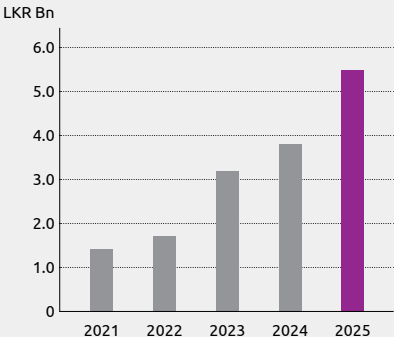
Net Operating Income

Following the reversal in impairment allowances, Amāna Bank closed the year with Net Operating Income of LKR 10.7 billion, indicating an 27% expansion from the LKR 8.4 billion reported for 2024.

Operating Expenses

Operating expenses increased from LKR 4.6 billion in 2024 to LKR 5.2 billion in 2025, reflecting a 15% YoY increase attributed mainly to the expansion in the Bank’s SBC network. Despite this, disciplined cost management and bank-wide efficiency measures helped the Bank to record a further improvement in its Cost-to-Income ratio from 53% in 2024 to 51.8% in 2025.

Operating Profit Before Taxes on Financial Services



Profitability

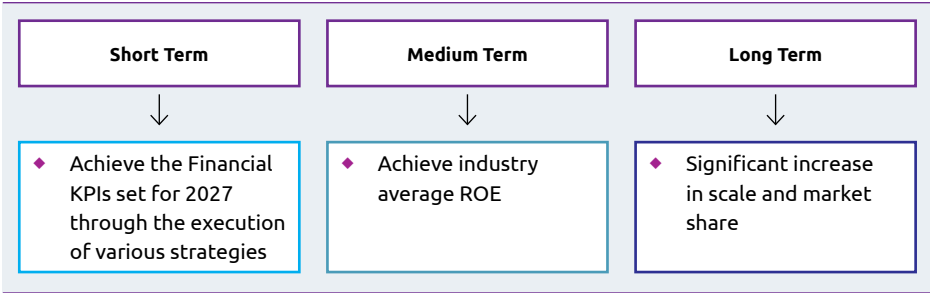
Amāna Bank posted Profit Before Tax of LKR 4.1 billion for 2025, a remarkable 47% improvement over the LKR 2.8 billion reported a year ago and also the best ever performance in the Bank’s 14-year history. Even after accounting for LKR 1.4 billion as Value Added Tax on Financial Services and Social Security Contribution Levy and another LKR 1.6 billion as income tax expenses for the current financial year, Amāna Bank ended 2025 with a Profit After Tax of approximately LKR 2.4 billion, reflecting a strong 40% improvement year on year. A culmination of these factors saw the Bank’s Return on Equity entering double digits, increasing to 10.4% from 8.0% in 2024.

Other Comprehensive Income

Other Comprehensive Income for the year amounted to LKR 472 million mainly attributed to the change in fair values of quoted investment portfolio, where such change is measured through the Statement of Comprehensive Income. Consequently, the Bank closed 2025 with a Total Comprehensive Income of LKR 3.0 billion.

Dividend

Considering Amāna Bank’s outstanding performance for the current financial year, the Board declared a cash dividend of LKR 1.30 per share. The total dividend payout amounting to LKR 716 million was paid to shareholders in October 2025, marking the eighth consecutive dividend paid since the first in 2018.





Manufactured Capital



Amāna Bank’s Manufactured Capital comprises the Bank’s physical infrastructure, digital platforms, technology backbone, security frameworks and automation capabilities that together support seamless and uninterrupted service delivery to customers across Sri Lanka.

MATERIAL MATTERS	MANAGEMENT APPROACH	KEY RISKS
◆ Governance, Risk Management and Compliance ◆ Model Compliant Products and Services ◆ Reliability of Service through Excellence and Digital Transformation ◆ Banking Convenience for different customer segments ◆ Information Security and Fraud Prevention ◆ Environmental Footprint ◆ Customer Access Channels	Amāna Bank maintains an iterative approach to developing its Manufactured Capital, involving optimal use of physical infrastructure alongside continuous technological upgrades, process automation, AI-driven analytics, cloud computing, and API-based integrations to improve operational efficiency and customer experience	◆ Operational Risk ◆ Sustainability Risk

Key Area	2025 Highlights / Initiatives	Value Created for Customer and the Bank	SDG Alignment
Branch Network	◆ 2 branches relocated with upgraded facilities ◆ 3 Upgraded CDMs commissioned	◆ Improved access ◆ Enhanced customer experience	 
Self Banking Centres	◆ 7 new SBCs opened ◆ 9 Upgraded CDMs commissioned ◆ Pay & Go pilot	◆ Broader reach ◆ Faster transaction processing ◆ Reduced branch load	
Digital Channels	◆ Enhancements to mobile, internet, WhatsApp banking, online onboarding, e-statements	◆ Strengthened digital adoption and improved service convenience	
IT Infrastructure	◆ Visa primary connection via cloud ◆ Visa EAS-C server connection	◆ Enhanced system reliability, security and scalability	
Information Security	◆ ISO 20000:2018 ISO 27035:2023	◆ Enhanced security posture and regulatory readiness	 

BRANCH NETWORK

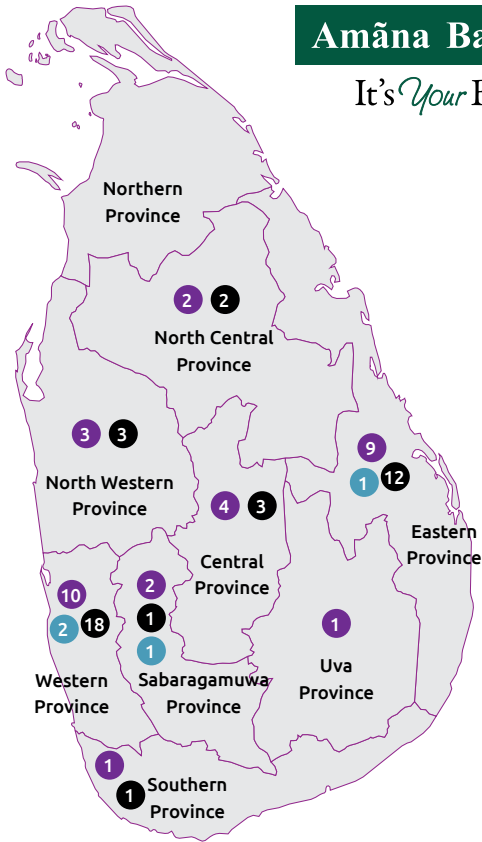
Amāna Bank’s branch network remained central to strengthening access and delivering a seamless banking experience in 2025. The strategy this year focused developing physical touchpoint in tandem with digital channels underscoring the broader shift towards integrated service delivery, where.

During the year, the Bank focused on consolidating its branch network. Accordingly, branch modernisation continued, with the emphasis on improving customer convenience and operational efficiency. The Akurana Branch was relocated to a larger, modern facility designed to offer enhanced accessibility and an expanded range of banking services, including a state-of-the-art 24/7 banking zone, automated cheque deposits, a Pay & Go kiosk and an exclusive Ladies Banking area. Similarly, the Ratnapura Branch was relocated to a more spacious and convenient customer location at Main Street, Ratnapura, enabling the Bank to better support customers across key local industries such as gems, tea, rubber and spices, while providing access to improved branch facilities and a modern 24/7 banking zone.

Consistent improvements to branch facilities continued, with the Bank progressing its programme to replace older Cash Deposit Machines with newer devices across both branches and Self Banking Centres to provide customers with more reliable, faster transaction handling at physical touchpoints.

Responsible capital investment remained a key priority across branch development activities. In keeping with the Bank’s disciplined approach to CAPEX planning, relocations and refurbishments were undertaken with a strong emphasis on resource optimisation, including the reuse of furniture, fittings and equipment where feasible, ensuring prudent utilisation of funds across the network. Collectively, over LKR 60 million was incurred as CAPEX for branch relocations and asset replacements during the year, while routine maintenance and upkeep continued to ensure the productivity and reliability of the Bank’s physical network.

The year saw the relocation of the Bank’s Corporate Office to a new state-of-the-art premises at No. 353, Galle Road, Colombo 3, adjoining the Main Branch, bringing together the Bank’s executive leadership teams, business divisions and support units under one roof. The new Corporate Office has been purpose-built to foster collaboration, operational excellence and service-driven innovation, while providing a modern and efficient work environment that aligns with the Bank’s forward-looking aspirations



No.	Province	Branches	SBCs	Off-site ATMs
1	Western	10	18	2
2	Eastern	9	12	1
3	Central	5	3	-
4	North Western	3	4	-
5	North Central	2	2	-
6	Sabaragamuwa	2	1	1
7	Southern	1	1	-
8	Uva	1	-	-

Amāna Bank continued to prioritise sustainable infrastructure development in 2025, reflecting the Bank’s commitment to sustainable infrastructure across its expanding physical footprint. With a dual focus on energy efficiency and environmental responsibility, the Bank ensured that sustainability remained a central criterion during refurbishments and relocations, guiding decisions on the design and development of new premises. These efforts also aligned closely with the Bank’s broader sustainability agenda, which aims to minimise environmental impact while strengthening operational resilience.

SUSTAINABLE INFRASTRUCTURE INITIATIVES	
Solar 	First solar-powered branch commissioned in Puttalam; solar-readiness incorporated into all new branch designs.
Energy Self-Sufficiency 	Selected SBCs being evaluated for self-sufficient operations.
Resource Efficiency 	Furniture, fittings and equipment refurbished and reused for new locations.
Recycling 	Paper and PET waste recycling introduced across selected locations in partnership with Cleantech Pvt Ltd.

outnumber branches, positioning them as the Bank’s most extensive physical banking channel and highlighting their importance in meeting rising customer demand for convenient, round-the-clock service access.

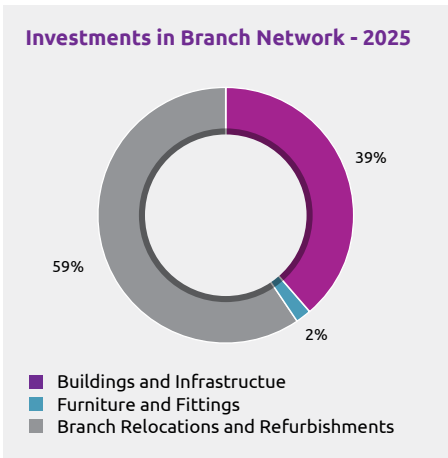
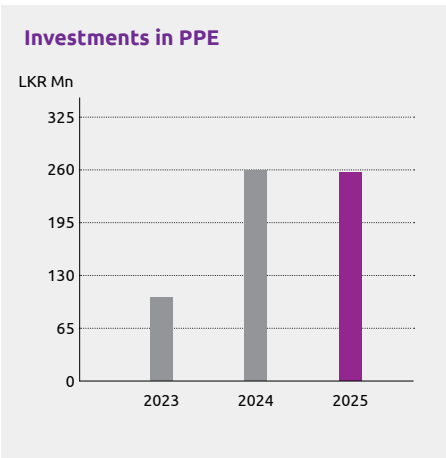
SBCs also support the Bank’s broader objective of providing inclusive and geographically widespread access to banking facilities. By offering uninterrupted access to core services, they play a critical role in improving customer convenience, easing branch traffic and bringing essential banking capabilities closer to communities across the country. Their growing prominence within the Bank’s operating model underscores their strategic role in complementing both branches and digital channels as part of an integrated approach to service delivery.

DIGITAL CHANNELS

Digital channels continued to play an increasingly important role in supporting the Bank’s efforts to enhance accessibility, improve convenience and advance its customer-centric objectives. Building on the commitment to delivering seamless and secure banking experiences, the Bank further strengthened its digital ecosystem in 2025.

The year saw a significant milestone with the launch of Amāna Connect, the Bank’s new super app, which brings together the full spectrum of the Bank’s digital services into a single, unified platform. Through Amāna Connect, customers can now access a wide range of retail and corporate banking services with greater ease, reflecting the Bank’s intent to simplify the user experience and position digital channels as a primary mode of engagement.

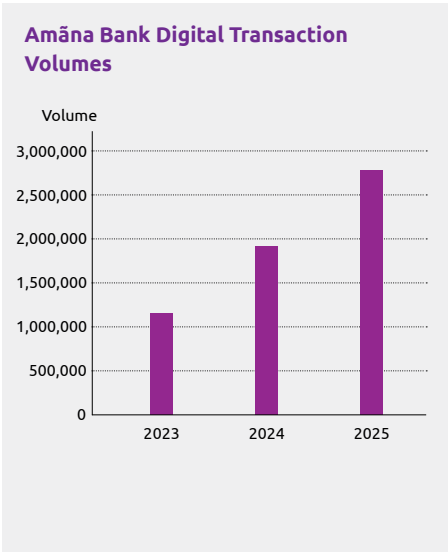
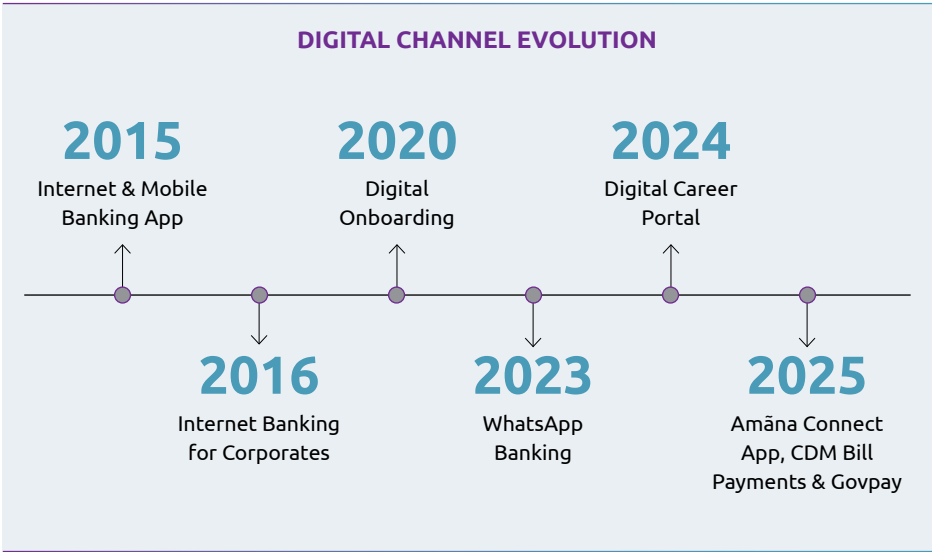
WhatsApp Banking also continued to evolve as an accessible on-the-go service, with customers now able to check their financing facility balances directly through the platform, offering retail users a convenient and familiar way to interact with the Bank. Its ease of use allows customers to access essential information quickly, supporting the Bank’s drive to expand digital touch-points that require minimal effort.



SELF BANKING CENTRES

Self Banking Centres continued to serve as a key pillar of the Bank’s physical service delivery model in 2025. These centres, designed as low cost, automated units capable of supporting real time cash deposits, withdrawals and other key transactions, have become a practical way of extending the bank’s reach while reducing pressure on counter based services.

During the year, the Bank further strengthened its SBC footprint with the addition of seven (7) new centres across key locations. This expansion is particularly impactful as SBCs now



IT INFRASTRUCTURE

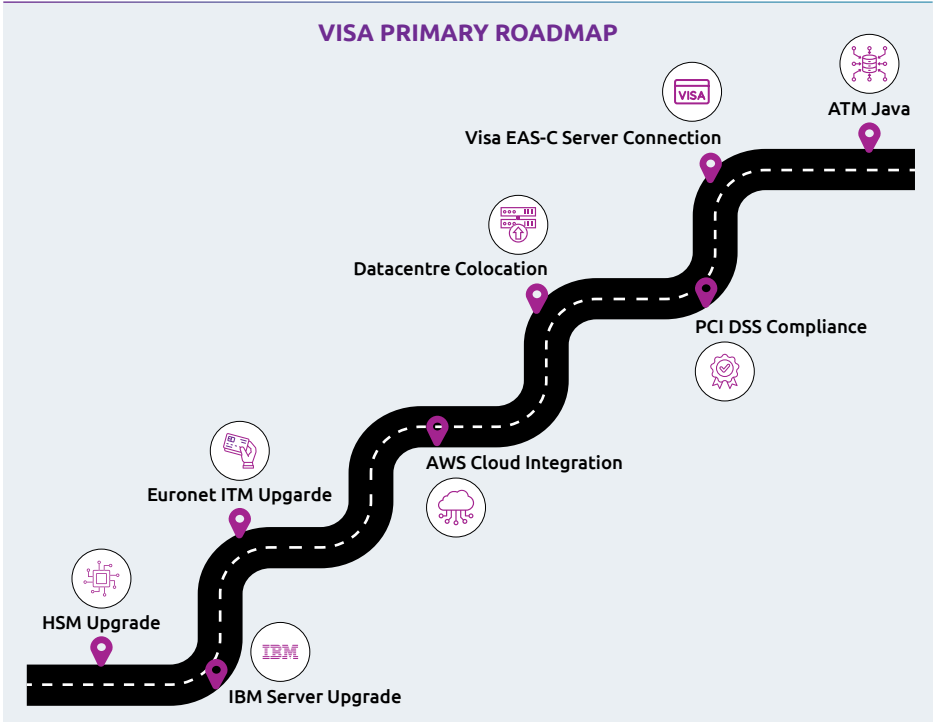
Amāna Bank’s IT infrastructure remains the key catalyst in facilitating the delivery of secure, reliable and integrated banking services. Built around a centralised architecture that connects the branch network, digital channels and Self Banking Centres, the Bank’s IT core is critical for the delivery of reliable and secure banking solutions, alongside the scalability support for future growth and evolving customer needs.

The environment is anchored by the Primary Data Centre housed at the SLT National Data Centre in Pitipana, a Tier III facility, and supported by a synchronised Disaster Recovery Site at the Dialog Axiata Internet Data Centre in Malabe. Together, these sites operate through virtualised server clusters, secure network layers and enterprise monitoring systems that align with regulatory and ISO based expectations for resilience and data protection.

Lifecycle based upgrades of hardware and software continued throughout the to ensure the Bank’s IT infrastructure remained modern, efficient and aligned with regulatory expectations. Network appliances, including routers and switches, were upgraded across the Bank as part of a planned cycle to maintain stability and performance, while the branch PC upgrade programme also

progressed into its second phase where 200+ legacy devices were replaced. In parallel, the Bank migrated to the the latest Euronet ITM platform version 4.8 for enhanced transaction processing speed, strengthened security controls, and improved the overall reliability of its ATM and self-banking network.

Another major milestone was the relocation of the Primary Data Centre from the Corporate Office to the SLT’s Tier III Data Centre in Homagama to support improved connectivity and enhanced system stability, while also aligning with PCCISDs requirements.



Amāna Bank’s Card Business Roadmap made good headway in 2025 with the year marking a series of firsts for the Bank. In July 2025, Amāna Bank became the first bank in Sri Lanka to obtain the Visa EAS-C server connection, marking a significant milestone in advancing the Bank’s card-processing capabilities and strengthening real-time transaction security and performance. Simultaneously, the Bank undertook several projects to strengthen card security, including implementation of EMV-enabled cards the introduction of 3DS OTP authentication to improve security rigour for online card transactions.

These advancements collectively paved the way for Amāna Bank to become the first bank in South Asia to secure Visa Primary Membership through Visa Cloud Connect, an achievement that underscores the Bank’s leadership at the forefront of card technology in the region.

Compliance remained a priority during the year, with the bank maintaining its PCI DSS certification through ongoing assessments and system reviews.

ALIGNMENT WITH REGULATORY FRAMEWORKS

ISO
27001

Information security
management standard

PCI
DSS

Payment card industry
data security standard

CBSL
Guidelines

Central Bank of
Sri Lanka Guidelines

ISO
22301

Business continuity
management standard

ISO
20000:2018

IT service management
standard

ISO
27035:2023

Information security
management standard

SUPPORT SYSTEMS

Amāna Bank’s support systems form a vital layer of its Manufactured Capital, ensuring continuity, resilience and operational stability across the organisation. These systems, which underpin both the physical and digital infrastructure of the bank, are designed to maintain uninterrupted service even in the face of disruptions, safeguarding the trust placed in the bank by its customers and stakeholders.

Key support systems include the Bank’s Disaster Recovery (DR) infrastructure hosted at the Dialog Axiata Internet Data Centre in Malabe, which site operates as a fully synchronised secondary environment to the Primary Data Centre at the SLT National Data Centre in Pitipana. This setup ensures that

essential banking functions remain accessible at all times with critical applications benefiting from near real-time replication across virtualised server clusters and mirrored databases, supported by secure MPLS connectivity and robust backup retention enabling the bank to meet CBSL requirements and align with ISO 22301 Business Continuity standards.

During the year, the Bank continued to strengthen its resilience framework through planned enhancements to its DR capabilities. A new virtualised cluster upgrade was developed for both the Primary Data Centre and the DR Site, aimed at improving performance, scalability and high availability.

A comprehensive DR drill was conducted over 7 consecutive days in line with mandatory CBSL compliance requirements. The exercise covered the Core Banking System, Internet Banking, Active Directory, Email and other mission-critical systems, and involved a controlled failover simulation from the Primary Data Centre to the DR Site, followed by system validation and user verification. All critical systems were restored within the defined Recovery Time Objective and Recovery Point Objective parameters, reaffirming the bank’s readiness to transition operations seamlessly in the event of a disruption.

INFORMATION SECURITY SYSTEMS

Information security remained a central component underpinning the resilience of the Bank’s digital infrastructure. As the Bank continued to scale its services across multiple channels, strengthening information security controls and enhancing system resilience remained a key priority leading to several improvements to further reinforce the Bank’s information security governance structure. Among them, the establishment of an Information Security Forum within the IT Department helped streamline the review of security matters and ensure prompt escalation of critical issues to the IT Security Steering Committee. Simultaneously the Bank’s ISMS policy was updated with both the scope document and organisational context were consolidated to strengthen documentation discipline and ease of maintenance and also to provide clearer guidance for employees, to improve visibility across the organisation, the ISMS KPI dashboard was redesigned with more intuitive reporting features to enable the management to monitor key indicators of security performance more effectively.

A series of upgrades were carried out across core systems, including the enhancement of server operating environments, the migration of desktop systems to Windows 11, and the rollout of the latest Microsoft Office suite to improve security and stability. Critical security appliances and network devices were also upgraded, ensuring that the underlying

infrastructure remained equipped to support increased security demands and evolving operational requirements.

The Bank made steady progress on aligning itself with regulatory expectations set out by the Central Bank of Sri Lanka. Work began to meet the requirements of ISO 20000:2018 - IT Service Management Standard and ISO 27035:2023 - Information Security Incident Management Standard, ahead of the 31 December 2025 compliance deadline. Ongoing policy development also commenced to formally institutionalise these frameworks. This included early work to ensure the secure use of artificial intelligence and the introduction of controls intended to safeguard against AI related vulnerabilities, reflecting a forward looking approach to managing the next generation of technology risks.

In addition to system upgrades, the Bank took steps to enhance the privilege access management architecture, key among them the implementation of an employee Access Tracker to reduce the risk of unauthorised system access. These improvements complemented ongoing assurance through internal audits, ISO surveillance activities and third-party assessments. Regular awareness as well as the induction-based information security training helps reinforce secure practices across the workforce.

DIGITALISATION AND AUTOMATION

Amāna Bank continued to strengthen its internal operating environment in 2025 through a series of digitalisation and automation initiatives designed to improve efficiency, streamline processes and reduce dependency on manual interventions.

Several enhancements to the Bank’s backend systems were introduced during the year, under the Digital Hub framework. The initial phase of the E Statement Portal was rolled out for staff, enabling faster and more resource efficient access to statements and paving the way for future customer facing versions.

Likewise, the introduction of an Audit Tracker system replaced manual processing within the Internal Audit Department, providing a more controlled and transparent approach to monitoring audit findings across the bank.

Automation continued to drive meaningful change throughout several operational units. The Credit Administration Workflow, supported by RPA, enabled the automation of settlement and disbursement related processes, resulting in a significant reduction in manual workload for the Credit Administration Department. The Insurance Policy Management System eliminated manual tracking activities, while automated dispatch of Advance Income Tax Certificates reduced routine processing handled by the Operations Department. Daily credit and debit advices were also automated, improving timeliness and reducing dependence on branch level support for customer notifications. Collectively, these initiatives contributed to substantial productivity gains, with the bank recording a total of 7,770 man hours saved between November 2024 and October 2025, reflecting the cumulative impact of the automation roadmap.

The Bank also enhanced its analytical capabilities by introducing new dashboards to support better decision making and operational monitoring. The ATM and CDM Excess Shortage Dashboard provided branches and the Operations Department with enhanced visibility of balances and discrepancies in real time, reducing the time spent on reconciliations. A Proposition Dashboard was developed for the Marketing Department, automating the monitoring of key customer segments and improving oversight of proposition level performance. These tools improved data accessibility and supported a more proactive approach to managing resources across functional areas.

DIGITAL HUB AUTOMATION INITIATIVES



E-Statement Portal (Phase 1)
Faster, resource-efficient access to staff statements



Audit Tracker System
Replaces manual audit tracking; improves transparency



RPA-enabled Credit Administration Workflow
Automates settlement and disbursement processes



Insurance Policy Management System
Eliminates manual tracking of insurance documents



Automated Advance Income Tax Certificate Dispatch
Reduces manual processing in Operations.



Automated Credit & Debit Advices
Improves timeliness; reduces branch dependency



ATM/CDM Excess Shortage Dashboard
Provides real-time visibility for branches and Operations.



Proposition Dashboard
Enhances monitoring of key customer segments.

EFFICIENCY GAINS



7,770 Hours Saved
(November 2024 – October 2025)
Target: 12,000 Hours by 2026

FUTURE PLANS

Short Term	Medium Term	Long Term
↓ ◆ Expand branch network into under penetrated regions. ◆ Roll out new SBCs in key areas. ◆ Deploy cash recycling machines at selected branches / SBC on a pilot basis. ◆ Expedite the replacement of third party CDMs with the Bank’s own units. ◆ Introduce enhanced utility bill payment options through CDMs. ◆ Launch internal e-statements for staff. ◆ Roll out the Gold Safekeeping Portal. ◆ Launch the Teen Cards Information Portal. ◆ Complete Microsoft Office and email infrastructure migration. ◆ Continue server, desktop and security appliance upgrades. ◆ Advance ISO 20000 and ISO 27035 alignment work. ◆ Implement Privileged Access Management and Identity Access Management solutions.	↓ ◆ Expand solar coverage to transition selected branches to renewable energy. ◆ Continue expanding SBC services and geographic reach. ◆ Implement SD-WAN. ◆ Upgrade the hardware cluster. ◆ Transition to a microservices architecture. ◆ Integrate Microsoft 365 and Azure AD. ◆ Transition to a hyper-converged environment. ◆ Introduce the Governance, Risk and Compliance dashboard. ◆ Move towards Zero Trust architecture. ◆ Integrate Privacy by Design and Security by Design into new developments. ◆ Strengthen Shadow IT detection and governance through enhanced monitoring. ◆ Deepen dashboard automation and operational analytics. ◆ Scale automation initiatives to broaden man-hour savings. ◆ Achieve the cumulative efficiency target of 12,000+ man-hours by 2026.	↓ ◆ Achieve full renewable-energy transition across selected branches. ◆ Fully embed AI governance aligned with ISO 42001.



Intellectual Capital, which consists of the unique characteristics, including the Amāna brand and other differentiating factors serve as key enablers in enhancing the Bank’s ability to strengthen customer experiences, uphold strong governance principles and drive the effective execution of core strategies across the network.

MATERIAL MATTERS	MANAGEMENT APPROACH	KEY RISKS
◆ Governance, Risk Management and Compliance ◆ Model Compliant Products and Services ◆ Business Ethics and Anti-Corruption ◆ Information Security and Fraud Prevention ◆ Local Community Development and Support	Amāna Bank invests in developing its Intellectual Capital in direct correlation with the Bank’s strategic ambitions	◆ Operational Risk ◆ Sustainability Risk ◆ Reputation Risk

Key Area	2025 Highlights / Initiatives	Value Created for Customer and the Bank	SDG Alignment
Brand & Market Presence	◆ Over LKR 103 Mn incurred on marketing and branding.	◆ Improved brand recognition and increased confidence in the Bank’s inclusive value proposition.	
Industry Knowledge & Expertise	◆ Expanded Knowledge Marketing support for frontline staff. ◆ Delivered structured financial literacy and awareness programmes across key stakeholder segments. ◆ Strengthened internal knowledge transfer through continuous learning, assessments, and gamified training initiatives.	◆ Enhanced advisory capability and deeper community understanding of ethical finance. ◆ Reinforced brand credibility, broadened the future customer pipeline, and fostered community trust. ◆ Boosted staff expertise, ensured consistent service delivery, and strengthened institutional knowledge retention.	

Key Area	2025 Highlights / Initiatives	Value Created for Customer and the Bank	SDG Alignment
Standards & Certifications	- Commenced work on: ISO 20000:2018 - IT Service Management Standard and ISO 27035:2023 - Information Security Incident Management Standard. - Maintained ISO 27001:2022. - Secured PCI DSS 4.0.1 certification for cardholder data security.	Stronger information security posture, improved regulatory alignment and increased stakeholder trust.	
Strategic Partnerships	Engaged 15+ new strategic partners.	Enhanced product reach, strengthened customer access and supported digital innovation.	

BRAND POSITIONING

Amāna Bank, established in 2011 holds the distinct honour as the first and only licensed commercial bank in Sri Lanka to operate under the non-interest based Islamic banking principles. Over the years the Bank has continued to prove its commitment to the principles of Islamic banking by serving individuals, SME's and corporates through the delivery of ethical, inclusive, and innovative financial solutions that promote shared prosperity. Moreover, the strong conviction to purpose-led growth, resilience, and differentiation even during periods of economic volatility and systemic challenge, has seen the Amāna brand evolve beyond a niche institution to create a meaningful impact across Sri Lanka's banking landscape. Today, Amāna is positioned as a progressive and forward-looking Bank with the capacity to support Sri Lanka's growth trajectory.

In 2025 Amāna Bank was assigned a long-term investment-grade rating of BBB+ with a Stable Outlook by Lanka Rating Agency (LRA), a clear testament to the Bank's consistent performance and strengthening balance

sheet over the 14 years. In yet another landmark achievement, Amāna Bank was recognised on the global stage as the Most Impactful ICD Investee Company of the Year at the Islamic Development Bank (IsDB) Group Private Sector Forum Awards. The accolade acknowledges Amāna Bank's significant contributions to Sri Lanka's economic development, particularly empowering SMEs and other enterprises during challenging times, while also driving job creation, advancing financial inclusion, promoting sustainability and delivering meaningful CSR initiatives. Numerous awards received during the year, further validate the status of the Amāna brand as a trusted banking partner with growing relevance across Sri Lanka's banking landscape.

Brand building activities in 2025 were focused on priority customer groups, particularly SMEs. The Bank reinforced its SME focus through its branch network and by promoting the Business+ proposition at the MSME Enrich Business Forum in Kandy, which attracted more than 100 MSMEs.

In parallel, efforts to widen mainstream acceptance and deepen engagement across non-core segments, were also intensified led by a series of targeted outreach initiatives including the sponsorship of the school rugby season aimed at connecting with multi-generational audiences across the Country, while the Bank's social media presence was strengthened to deepen engagement with younger audiences. The Bank also partnered with the Wayamba University as a key participant at the Financial Symposium conducted by the university's faculty of Banking and Finance in November 2025 aimed at enhancing financial literacy and enhancing students' understanding on the unique advantages of Islamic banking.



Receiving the award for South Asia's Bank of the Decade at IFFSA Awards



Recognised as Most Impactful investee Company at ISDB Private Sector Forum Awards



Winning the award for Best Bank in Sri Lanka at ICC Emerging Asia Banking Awards



ETHICS AND CONDUCT

Ethical conduct is deeply rooted in Amāna Bank's organisational DNA, serving as the cornerstone for strategic decision-making and professional behaviour at every level. Under the guidance of the Board of Directors, the Bank maintains a culture of strong leadership that prioritises integrity and accountability as the dual pillars of responsible banking.

This ethical commitment is institutionalised through a strong Conduct Framework, anchored by a suite of policies and procedures, including the Employee Code of Conduct, Anti-Bribery and Corruption (ABC), Whistleblowing, Disciplinary, Email, Information Systems Security, Declaration of Secrecy and Employee Dress Code. These Policies and Procedures are continuously reviewed and updated to align with the latest regulatory and global developments, ensuring the Bank remains at the forefront of compliance standards.

To ensure these principles are put into practice, the Bank employs a continuous approach to employee awareness:

- ◆ **On-boarding & Commitment:** New employees undergo mandatory inductions with formal acknowledgments obtained for all core policies.
- ◆ **Continuous Engagement:** Ongoing training and awareness sessions keep ethical standards top-of-mind for all staff.
- ◆ **Digital Accessibility:** All frameworks are hosted on the Bank's intranet for immediate, transparent access.

Strategic Anti-Corruption: In a move to further strengthen its defences, the Bank has taken steps to implement a comprehensive, Bank-wide Anti-Corruption programme, supported by a specialised E-Learning module on Anti-Bribery and Corruption to reinforce a culture of zero tolerance toward impropriety.

CONDUCT FRAMEWORK

- ◆ Employee Code of Conduct
- ◆ Anti Bribery and Corruption (ABC) Policy
- ◆ Whistleblower Policy
- ◆ Disciplinary Policy
- ◆ Email Policy
- ◆ Information Systems Security Policies & Procedures
- ◆ Employee Dress Code

INDUSTRY KNOWLEDGE AND EXPERTISE

As a Bank, industry insight and internal expertise constitute a vital component of Amāna Bank’s Intellectual Capital. A strong institutional knowledge base empowers the Bank to uphold strong advisory capabilities, enhance service delivery, and ensure customers receive clear, accurate guidance on non-interest-based financial solutions.

The Knowledge Marketing (KM) unit plays a central role in developing this internal capability. As part of its mandate, the unit continues to support staff across the network by enhancing product knowledge and deepening understanding of Islamic banking principles.

Targeted training for frontline teams remains a key component of this work. These sessions are designed to equip employees with the clarity and confidence required to respond to customer needs effectively and to deliver information that is consistent, accurate and aligned with the Bank’s ethical banking model.

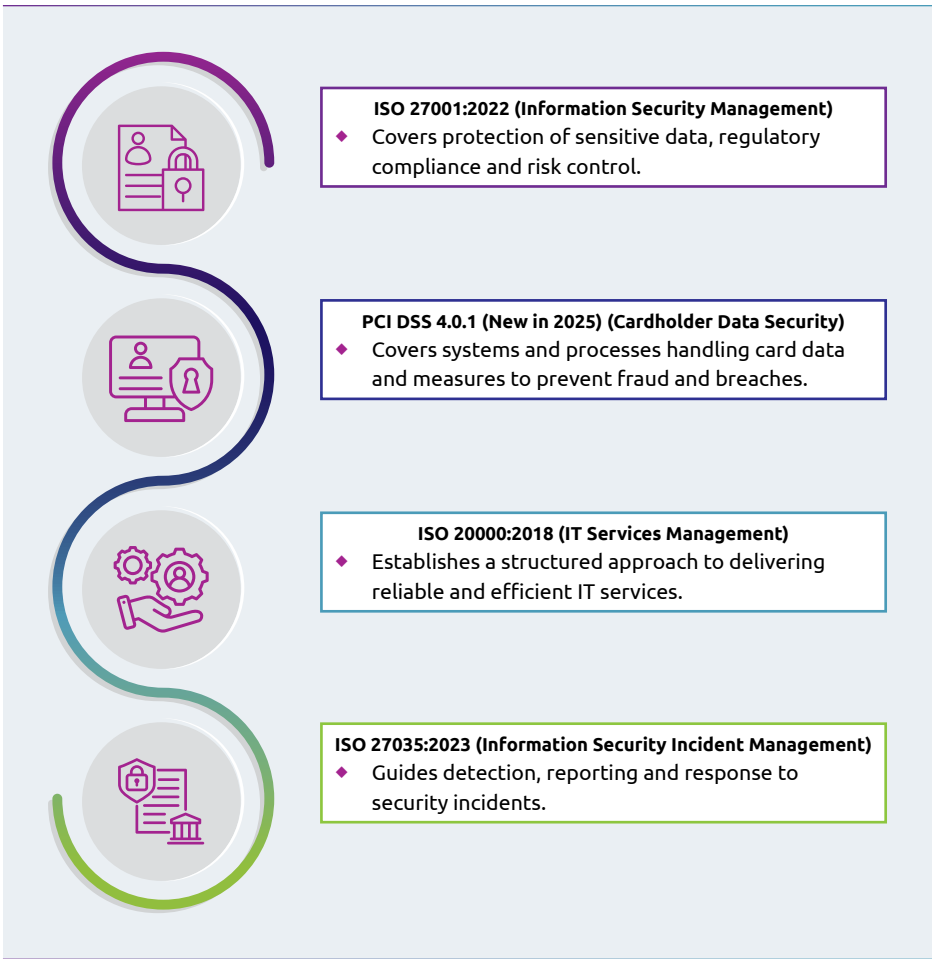
Knowledge Marketing Initiatives Improving Product Knowledge of Frontline Staff
◆ Islamic Banking Product Training for Relationship Managers
◆ Email-Based Weekly Staff Quiz Competition
◆ Intensive Learning Programme (ILP) for Branch Staff, Prestige Banking Centre and Customer Solutions Centre
◆ A dedicated intranet portal, 'Ask KM,' was made available for the recruits to clear their doubts.

STANDARDS AND CERTIFICATIONS

The adoption of globally accepted standards and certifications have proven vital in strengthening Bank-wide operational discipline as well as enhancing governance and oversight for critical business functions.

To that end, the ISO 27001:2022 Information Security Management Standard certification has continued to guide Amāna Bank’s approach to safeguarding sensitive information and managing security risks in line with global requirements. In 2025, the Bank further enhanced its control environment by securing PCI DSS 4.0.1 certification for cardholder data security, which strengthens fraud prevention and reinforces the security of payment transactions.

Work also commenced on the implementation of ISO 20000:2018 IT Service Management Standard and the ISO 27035:2023 Information Security Incident Management Standard, which together significantly enhance the Bank’s technology governance and information security resilience.

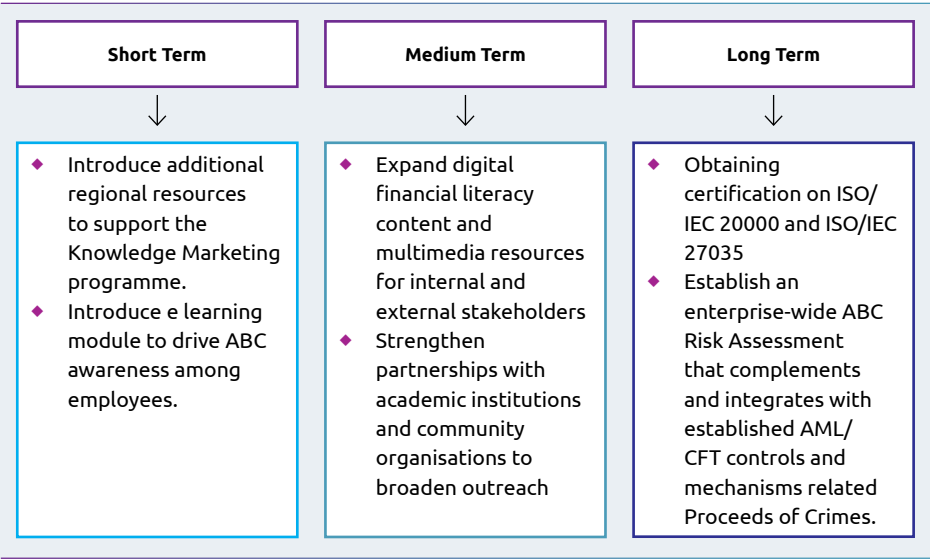


STRATEGIC PARTNERSHIPS

Strategic partnerships play an important role in supporting Amāna Bank to strengthen product offerings and improve customer access.

Several new partnerships were formed in 2025 across various aspects of the business. Following the opening up of the vehicle market in April 2025, the Bank tied up with a wide network of vehicle importers and dealers to broaden market reach and improve visibility for the Bank’s vehicle financing solutions. Likewise, to promote its Home Financing solutions, the Bank partnered with 10+ condominium developers.

Strategic partnerships remained an integral part of the Digital Innovation team’s efforts to expand Amāna Bank’s digital footprint, enhance customer convenience and deliver the latest state-of-the-art solutions aligned with evolving user expectations.



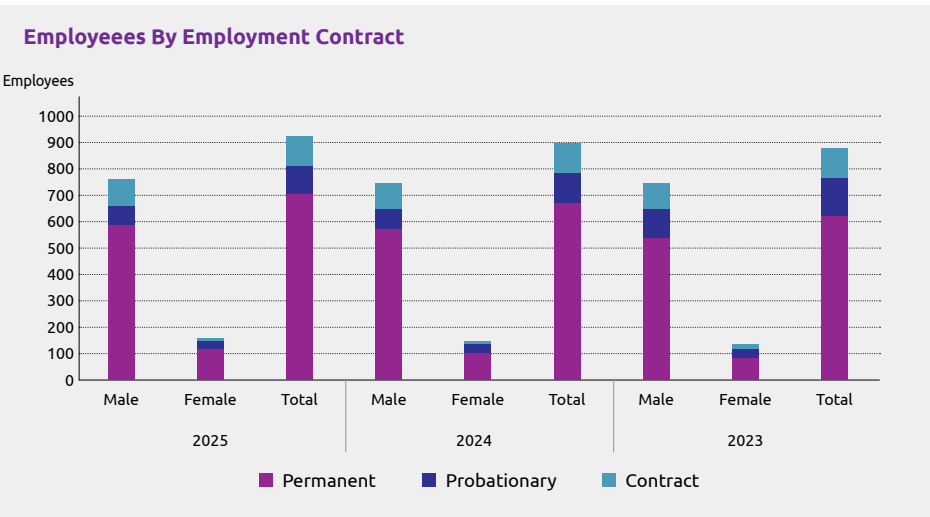
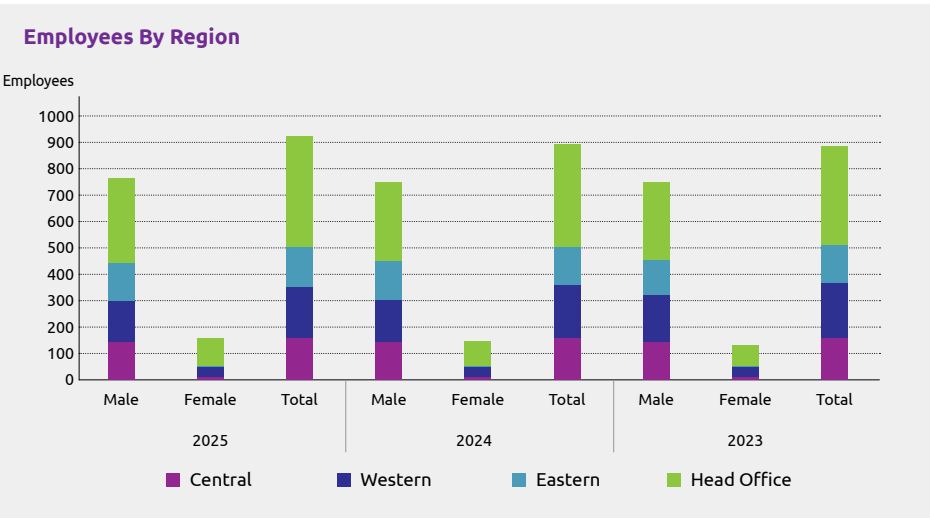


Amāna Bank’s Human Capital is considered a key custodian of the business and entrusted with the responsibility of driving the Bank’s strategic objectives, delivering exceptional customer service and ensuring operational excellence.

MATERIAL MATTERS	MANAGEMENT APPROACH	KEY RISKS
◆ Business Ethics and Anti-Corruption ◆ Market Competitive Remuneration ◆ Non-Financial Benefits ◆ Career Prospects ◆ Local Community Development and Support	Amāna Bank’s approach to managing human capital is based on developing high-performing workforce with the motivation and commitment to ensure the Bank’s success.	◆ Operational Risk ◆ Sustainability Risk

Key Area	Highlight for 2025	Value Created	SDG Alignment
Talent Retention	◆ Extended medical coverage to in-laws ◆ Enhanced insurance and hospitalisation limits ◆ Introduced paternity leave and examination leave ◆ Rolled out Employee Share Option Programme (ESOP) Tranche 3 ◆ Re-recruitment of high-performing alumni ◆ Conversion of interns to permanent roles	◆ Strengthened retention ◆ Enhanced employee wellbeing ◆ Aligned staff interests with long-term organisational growth	3GOOD HEALTH AND WELL-BEING 5GENDER EQUALITY 8DECENT WORK AND ECONOMIC GROWTH
Learning and Development	◆ Provided a total of 1500 training hours ◆ Invested approx. LKR 2 Mn in external training	◆ Strengthened staff competencies and fostered a learning culture across the organisation	4QUALITY EDUCATION 8DECENT WORK AND ECONOMIC GROWTH

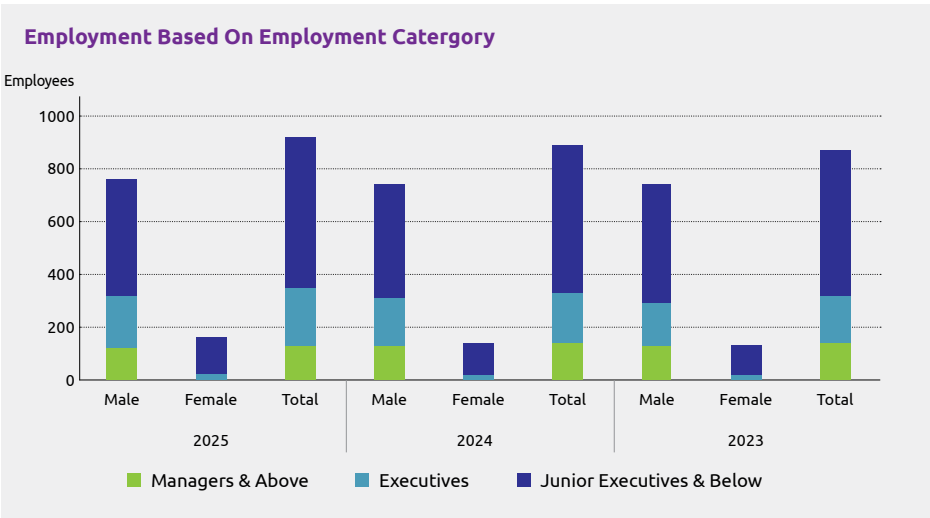
Key Area	Highlight for 2025	Value Created	SDG Alignment
Leadership and Succession	Staff members on-boarded to the Executive Leadership Development Programme (ELDP)	Built leadership continuity and career progression pathways	 
Employee Engagement and Wellbeing	- Introduced Revive Wellbeing Programme - Conducted eye camps, physiotherapy sessions, and wellbeing workshops	- Enhanced teamwork, motivation, and organisational pride - Strengthened safety culture and improved physical and mental wellbeing	
Diversity and Inclusion	- Female leaders participated in Women Entrepreneurs Forum - Leadership grooming for women above executive grades	Promoted gender equity and inclusive leadership	 



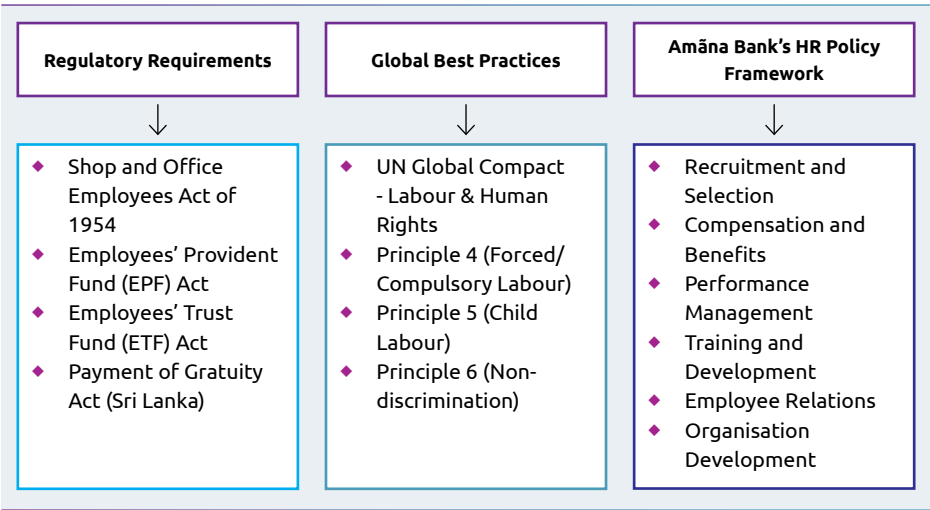
HR GOVERNANCE

HR Governance forms the foundation of Amāna Bank's people management framework and ensures that all employee-related activities are conducted with fairness, transparency, and accountability. It provides a structured approach to managing recruitment, performance evaluation, compensation, learning, and employee welfare in line with regulatory standards and global best practices.

The Human Resource function acts as a strategic partner to attract, develop, and retain employees who reflect the Bank's values of integrity, service excellence, and ethical conduct. To facilitate this, the HR function, led by the Head of HR is entrusted with the responsibility of developing and establishing comprehensive policy framework covering the entire employee lifecycle from recruitment and onboarding, performance evaluation, rewards and wellbeing. As part of its duties, the Human Resource function undertakes to review and update the Bank's HR policies and practices to ensure alignment with labour laws, Central Bank guidelines and recognised international benchmarks.



In the year under review, Amāna Bank strengthened its HR governance framework through several key policy updates. The Human Resource Policy was comprehensively revised to enhance compliance, operational efficiency, and alignment with the Bank’s strategic direction. A new Policy on Remuneration of the Board of Directors was introduced to formalise and bring transparency to Board-level compensation. The Bank also began finalising a Clawback Policy for Key Managerial Personnel (KMPs), allowing recovery of performance-linked pay in cases of misconduct or non-compliance. Additionally, the HR Procedure was updated to ensure alignment with revised labour laws, regulatory requirements, and internal governance standards.



HR GOVERNANCE HIGHLIGHTS

New HR Policies Introduced in 2025	Update
Policy on Remuneration of the Board of Directors	Introduced to formalise and enhance transparency in Board remuneration.
Clawback Policy for Key Managerial Personnel (KMPs)	Initiated to enable recovery of variable pay in cases of misconduct or non-compliance.

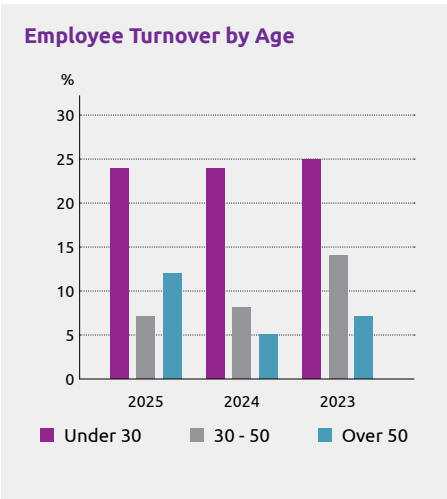
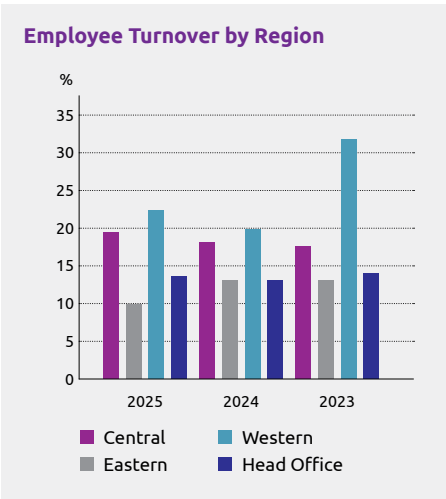
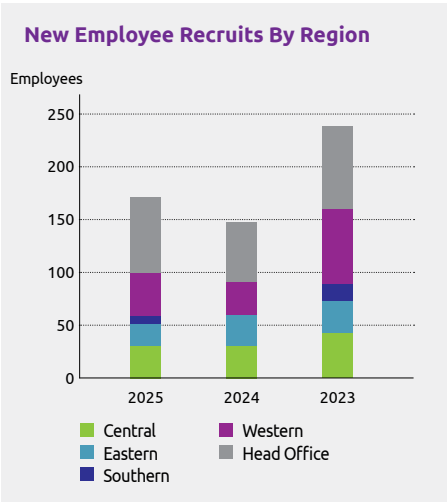
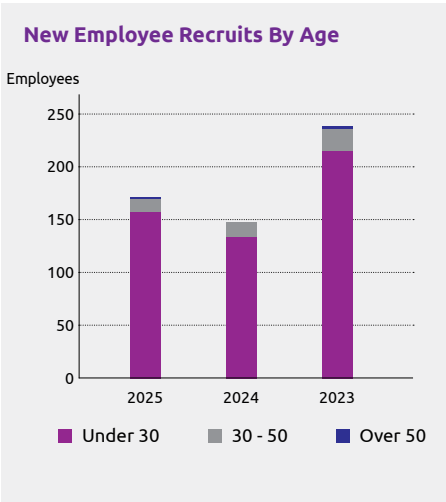
RECRUITMENT AND SELECTION

Recruitment and selection at Amāna Bank follow a structured process designed to attract capable and culturally aligned talent who can contribute to long-term success. Each year the Bank prepares a manpower plan with input from every business unit to forecast staffing requirements arising from branch expansion, succession needs, and emerging business priorities. This approach ensures that recruitment is proactive, data-driven, and consistent with strategic objectives.

The Bank’s recruitment philosophy rests on merit, fairness, and equal opportunity. All vacancies are advertised internally and externally, allowing existing employees to advance while inviting new talent from the market. Every position carries a clear role, profile and competency framework, and candidates undergo structured interviews and assessments to evaluate technical skills and behavioural fit with Amāna Bank’s core values.

As a part of the recruitment process, the Bank conducts thorough document verification and identity checks to prevent the employment of those who are underage and ensures that all candidates join the Bank of their own free will without any form of coercion, in line with the United Nations Global Compact Principles 4 and 5, respectively.

During 2025 the Bank strengthened its recruitment and onboarding process through a series of focused initiatives. Experienced former employees were re-recruited to regain proven expertise and institutional knowledge, while university undergraduates who completed internships as part of Amāna Bank partnerships with the Institute of Bankers of Sri Lanka (IBSL) and the Chartered Institute of Management Accountants (CIMA), were offered permanent appointments. A more aggressive digital recruitment strategy was also implemented widening access to a more diverse candidate pool. As always, employee referrals remained an important source of quality hires, reinforcing cultural compatibility and reducing recruitment time.



INDUCTION AND ORIENTATION

Induction and orientation are vital to integrating new employees into Amāna Bank’s culture, values, and operating environment. The process sets the tone for employee engagement and helps new recruits understand the Bank’s purpose and expectations.

New employees receive a structured introduction to the Bank’s business model, service standards and policies. These sessions ensure that every recruit is aware of the Bank’s people-friendly approach to banking and performance-driven culture.

In 2025 the onboarding framework was further strengthened to create a more consistent and

engaging experience across all branches. A Welcome Pack was introduced for every new recruit, containing the employee handbook, policy overview, organisational chart, and cultural guidelines, along with branded items to reinforce belonging. The Bank also conducted mass onboarding sessions for larger recruitment batches to ensure consistent communication and understanding of policies and workplace standards.

DIVERSITY AND INCLUSION

Amāna Bank’s efforts to promote diversity and inclusion are supported by policies that recognise both professional and personal responsibilities, while fostering a workplace culture that values diversity and inclusion.

The Bank actively works to eliminate unconscious bias across all people processes, including recruitment, remuneration, performance evaluation, and promotion. It upholds the principle of equal pay for equal work and ensures equal opportunity for every employee, regardless of gender, ethnicity, religion, or background, underscoring the United Nations Global Compact Principle 6 on the elimination of discrimination in employment.

Amāna Bank Continues to strengthen Women Empowerment

Improving female participation in the workforce is a key aspect of Amāna Bank’s HR strategy. Women currently account for approximately 17% of Bank’s workforce, with an increasingly strong presence in leadership and strategically important roles. Notably, several key Management Committee positions, such as the Head of Legal and the Head of HR are held by women.

Women also play an integral role in the Bank’s branch operations, comprising 11% of branch-level staff. Their expertise across all spheres of banking from customer service, financial advisory, and legal support, enhances the Bank’s ability to deliver a seamless, professional, and personalised banking experience for specific customer segments.

Recognising the importance of empowering women to help them balance professional and personal commitments, the Bank has embedded strong supportive measures into its people practices. Flexible work arrangements, enhanced maternity benefits, and targeted wellness programmes form a vital part of Amāna Bank’s broader commitment to nurturing an inclusive, equitable, and supportive work environment where women can grow, lead, and succeed.

The Bank’s efforts to improve gender representation at all levels gained

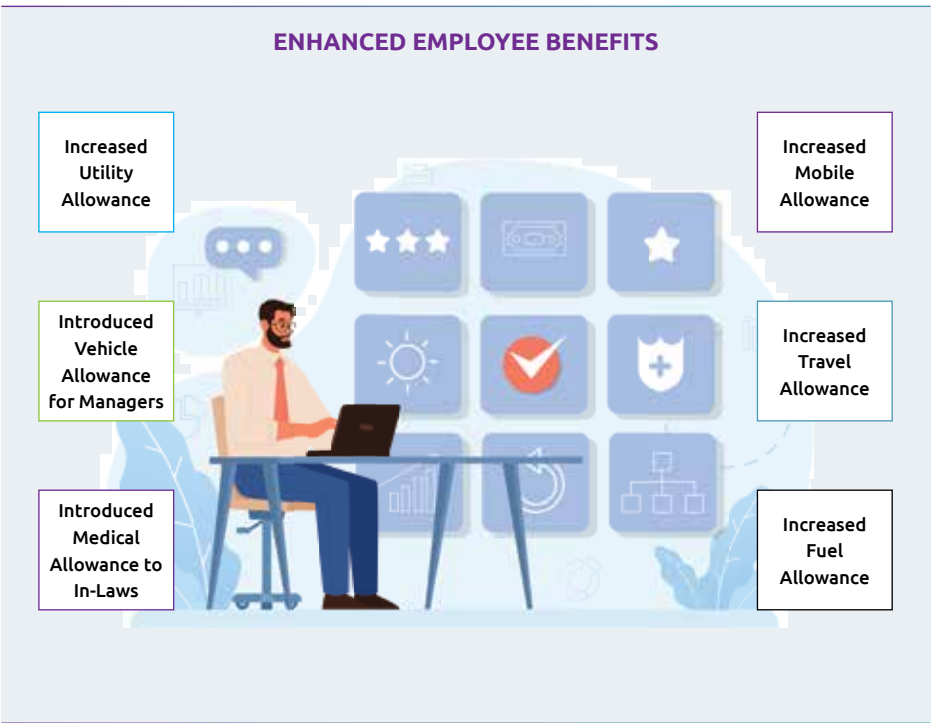
significant traction in 2025 with female leaders being nominated to participate in the Women Entrepreneurs Forum, to assist them in enhancing their leadership, strategic thinking, and decision-making skills. The Bank also continued its leadership development initiatives for women executive and above grades, focusing on practical managerial skills and strengthening their abilities to take on more challenging roles in the future.

Extended feeding hours and work-from-home options were made available for new mothers and employees with special circumstances.

REMUNERATION AND BENEFITS

Competitive remuneration remains central to Amāna Bank’s efforts to attract and retain a high-quality team. The Bank’s remuneration and benefit structures are fully compliant with all regulatory requirements and reflect both industry norms and global best practice. Regular reviews ensure that pay and benefits remain fair, transparent, and aligned with employee expectations and organisational performance.

During the year the Bank strengthened its benefits framework to improve employee welfare and financial security. Revisions were made to the annual and monthly fixed allowances across all grades, while access to staff facility schemes were expanded to provide broader financial support. Staff medical coverage was extended to include in laws, while insurance and hospitalisation limits were increased for all employees.



Paternity leave was also introduced to support new fathers by allowing them dedicated time to care for their families during the initial period following childbirth. The Bank further supported feeding mothers with extended feeding hours, enabling a better transition back to work.

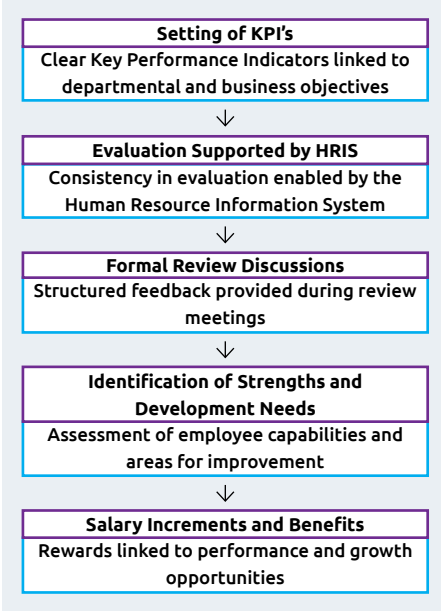
Furthermore, examination leave was made available to employees pursuing recognised educational or professional qualifications.

In yet another key development, Tranche 3 of the Employee Share Option Programme (ESOP) was rolled out on 20 June 2025 as part of a focused effort to strengthen long term alignment between employee effort and organisational performance. Building on the foundation established through Tranches 1 and 2, the latest phase aims to broaden employee ownership and reinforce the performance driven culture by enabling eligible employees to share in the Bank’s future growth, in turn supporting retention and fostering a deeper sense of commitment to the organisation’s strategic direction.

PERFORMANCE MANAGEMENT

Performance management at Amāna Bank is structured to align individual goals with organisational priorities while supporting employees in developing skills and advancing in their careers.

Performance Review Process

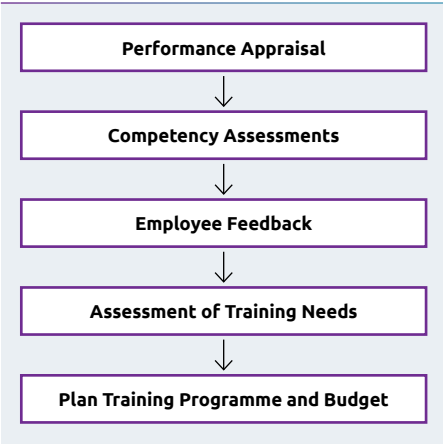


The scope of the performance evaluation framework was further strengthened in 2025 with the updated model extending to all staff except entry level roles. The evaluation criteria continued to focus on productivity, achievement of agreed goals and key behavioural competencies, creating a clearer link between performance outcomes and professional conduct.

TRAINING AND DEVELOPMENT

Training and development remain key strategic priorities for Amāna Bank given that the Bank operates in a highly specialised and competitive space where a skilled and future ready workforce is essential to maintain service quality and operational efficiency. The Bank invests continuously in capacity building to ensure that employees develop the skills and knowledge needed to support its long-term strategy.

Training Needs Assessment Process



The Bank’s training model is based on a combination of internal and external training resources. Internal trainers including functional heads and senior managers, deliver sessions on operations, compliance and Islamic Banking ensuring employees learn directly from practitioners who understand the Bank’s processes, risk considerations and customer expectations. External institutions provide certifications and technical training that support the development of specialists while ensuring exposure to emerging industry practices. Capacity building for internal trainers continued through the Train the Trainer Programme.

Complementing formal training, the Bank promotes continuous learning through internal knowledge-sharing initiatives. Amāna Bank’s Knowledge Marketing (KM) programme encourages employees to share insights, case studies, and best practices across divisions. Operating under this mandate “Together We Grow, Together We

Care”, knowledge marketing encompasses knowledge sharing sessions, internal workshops and peer mentoring to strengthen collaboration and support the Bank’s core operations.

Moreover, as a contributor to the IBSL internship programme, staff members of Amāna Bank also gain experience by serving as trainers and mentors to young banking professionals.

Training focus for the current year included sessions on branch operations, treasury management, compliance, financial analysis and specialist training for Gold Safe Keeping Officers delivered by Regional Quality Assurance Officers.

The Trainer’s Trainer Programme also continued in 2025 to strengthen the Bank’s pool of internal facilitators. Participants developed presentation and communication skills and now serve as trainers and mentors across divisions.

Training Focus for 2025

Training Topic	Target Employees
i-Mal Training Programme	Branch Users
Customer Service Certification	Junior Executives and Below
Amāna Certified Islamic Banker	Junior Executives and Below
Induction and Orientation Programme	New Recruits
Branch Operations Training Programme	Branch Operations Staff
ABM Development Training Programme (Phase 1)	Assistant Branch Managers
Mastering Financial Statement Analysis	Customer Relationship Managers
Certificate Course on Treasury and Foreign Exchange Operations	Selected Treasury Staff
Training Programme on Account Opening Mandates	Branch Front Liners
Special programme on Gold Safe Keeping Product	Gold Safe Keeping Officers
Mastering Monitoring Excellence in Related Party Transactions	Compliance, Finance and Operations Staff

LEADERSHIP DEVELOPMENT

Amāna Bank’s approach to leadership development begins with identifying employees who demonstrate the capability and potential to assume greater responsibility. One of the key objectives of leadership development is to ensure that the Bank has a reliable and well-trained talent pipeline for the future.

High-performing employees identified through the annual performance appraisal process are selected for development through tailored learning interventions and mentoring support to help employees build on their strengths, address areas for improvement and prepare for leadership roles within the organisation. A two-tier succession plan is in place for Key Managerial Personnel (KMPs) and extended to the next leadership level to ensure continuity and readiness across all key positions within the Bank. At the same time, the Bank continues to encourage internal mobility through job rotations and special assignments and projects to help them explore career growth within the organisation.

Targeted initiatives to support the Bank’s leadership development agenda were led by the Executive Leadership Development Programme (ELDP). The ELDP, which was launched in 2024

remained the primary platform for grooming high-potential managers, enhancing their strategic thinking, decision-making, and leadership capability. The year 2025 saw the first batch of 15 employees being assigned to new roles within the Bank after completing the inaugural ELDP programme.

Moreover, the Bank also finalised groundwork for the Management Trainee Programme, scheduled to commence soon, with the objective of attracting young graduates with leadership potential. The programme will provide structured rotations across departments, mentoring by senior leaders, and opportunities for accelerated career growth.

The staff database was also upgraded to capture qualifications and experience, providing greater visibility for internal talent and enabling data-led succession planning.

Amāna Bank Empowers Future Leaders with Executive Leadership Development Programme (ELDP)

The ELDP is an intensive 15-week training curriculum designed to identify and develop visionary leaders from within. This programme aims to provide junior executives with the opportunity to develop essential leadership skills, gain hands-on experience and transition into executive roles within the Bank. Designed for interactive learning, real-time collaboration and networking, the programme exposes participants to operations and business activities across multiple departments and units, through a combination of job rotational assignments, on-the-job training, specialised training, interactive workshops and project-based learning.

A unique characteristic of the ELDP is that each participant is assigned a mentor to guide and monitor their progress.

The inaugural batch of 15 individuals who successfully completed the ELDP were recognised at a ceremony held in 9 Jan 2025.

EMPLOYEE RELATIONS AND GRIEVANCE HANDLING

MEASURING EMPLOYEE SATISFACTION



Staff Surveys

Conducted annually to gather anonymous feedback on engagement, motivation and workplace concerns



Training Feedback

Employees provide evaluations to refine course content and delivery



HR Branch and Division Visits

HR representatives visit locations to obtain on-the-ground feedback and address concerns



Exit Interviews

Conducted with employees leaving the Bank to identify causes

Strong employee relations are essential to maintaining trust and long-term commitment within the Bank as they help create a motivated workforce and reduce attrition. Healthy relationships between employees and management contribute to a positive work environment where concerns are resolved effectively.

Members of the Management Committee (ManCom) act as mentors and play an important role in maintaining constructive relationships between employees and leadership. They facilitate direct engagement, promote dialogue, and ensure that employee concerns are addressed promptly and fairly.

Managers are expected to uphold the open-door policy, promote transparency in day to day interactions by enabling employees to raise issues openly and encourage early resolution through discussion and mutual respect.

In the event grievances cannot be resolved informally, a formal, Board-approved grievance handling procedure is in place to provide a structured pathway for employees to lodge complaints, ensure impartiality and maintain fairness throughout the decision making process.

CULTURE AND CONDUCT

Amāna Bank’s culture and conduct are guided by the tone set by the Board and reinforced through the Code of Conduct and the Anti-Bribery and Corruption (ABC) Policy, both of which are formal, Board-approved documents. These policies promote ethical behaviour, accountability, and transparency across all areas of operation.

The Code of Conduct is communicated throughout the organisation and defines the standards of integrity and professionalism expected from every employee. It prohibits the acceptance or offering of gifts, cash, or favours that could influence business decisions. The Gift Policy outlines threshold limits, reporting procedures, and approvals related to gifts, hospitality, and entertainment. The Bank strictly forbids facilitation payments and any form of contribution to politicians or political parties.

Employees are encouraged to report any inappropriate behaviour, misconduct or concerns through established grievance channels, including the whistleblower mechanism. All reports are treated with strict confidentiality and are subject to impartial review to ensure fair and timely resolution.

HEALTH, SAFETY AND WELLBEING

While the nature of the Bank's operations presents minimal physical risk to employees, workplace safety is managed with the same rigour applied to all operational areas. Every location is equipped with fire safety systems, evacuation procedures, and trained fire wardens responsible for employee safety. Comprehensive medical insurance is provided for all staff and their dependants, ensuring access to quality healthcare.

Safety awareness sessions and fire drills are conducted regularly to strengthen preparedness and reinforce a culture of vigilance. The Fire Warden and First Aid Training Programme, held in collaboration with the Safety and Security Department, included representatives from every branch to ensure consistent coverage and emergency readiness.

Employee wellbeing extends beyond physical safety to encompass mental and emotional health. During the year, the Bank organised a series of wellness activities including eye camps, hearing and physiotherapy sessions and wellbeing workshops aimed at promoting preventative care and healthier lifestyles.

Two signature initiatives, Work Pressure to Work Pleasure and Office Fit After Five, focused on stress management, mindfulness, and physical fitness through guided sessions held after work hours. Both programmes received positive feedback and strong participation across departments.

The Bank also revived the Revive Wellbeing Programme in partnership with a leading hospital. This initiative provided employees with access to professional health advice, health screenings and counselling support.

EMPLOYEE ENGAGEMENT

Employee engagement initiatives at Amāna Bank are designed to foster team spirit, motivation and cultivate a sense of community across the organisation.

Key initiatives for 2025 included; the Inter Branch Quiz Competition created an opportunity for employees across all regions (Western, Central and Eastern) to take part in a friendly competition. Katugastota Branch secured first place, followed by Akurana Branch in second place and Dematagoda Branch in third place.

Customer Service Week was another occasion for employee engagement with activities such as workstation decorations, slogan creation and an online quiz conducted through the Bank's e-learning platform. Winners of the quiz received cash prizes.



Opening of Amāna Bank Corporate Office



Opening of Amāna Bank Corporate Office



Sinhala and Tamil Avurudu Celebrations at the Bank



Recognising We Care Service Month winners



Amāna Bank emerging 2nd Runners Up at Association of Professional Bankers Quiz Competition



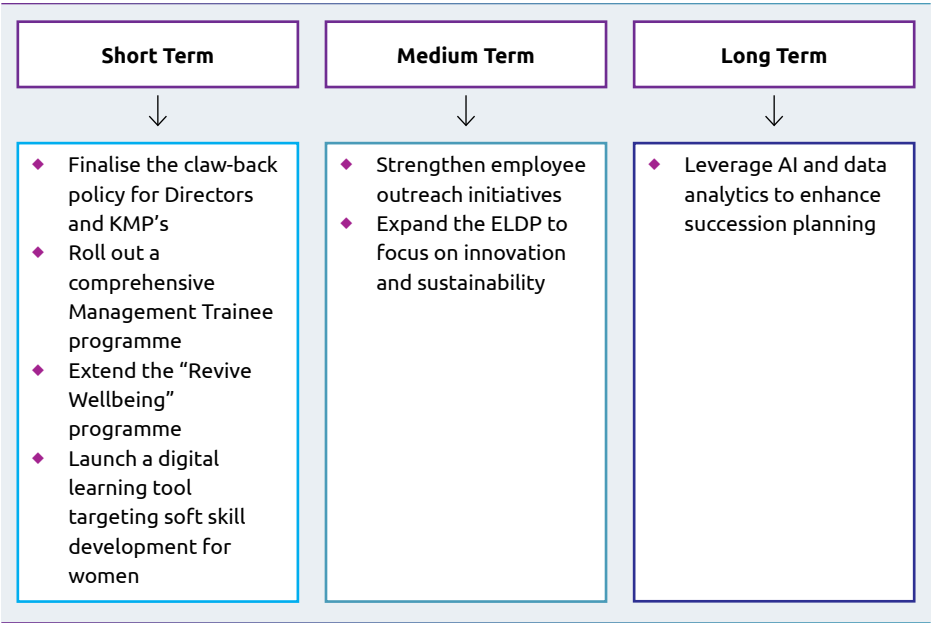
Amāna Bank staff at special health and wellness programme carried out by Revive by Durdans Hospital

FUTURE PLANS

Amāna Bank will continue to strengthen its Human Capital framework to support sustainable growth and build a skilled, motivated, and future-ready workforce. The Bank’s strategy focuses on advancing HR digitalisation, leadership continuity, employee wellbeing, and inclusive workplace practices.

Looking ahead, the Bank recognises several challenges, including the need to attract specialised talent in a competitive market, address evolving employee expectations around flexibility and work-life balance, while adapting to emerging regulatory and industry requirements.

Leadership development will remain a priority with continued focus on succession planning, talent identification and building strong pipelines for key roles. Amāna Bank also expects to deepen its investments in wellbeing initiatives to promote mental, emotional and physical health.



Natural Capital



As a service organisation, Amāna Bank's operations have minimal direct impact on the environment. Nevertheless, the Bank expresses a firm commitment to responsible environmental stewardship via a two-fold approach, which minimising the Bank's carbon footprint and also encouraging customers to adopt environmentally responsible practices, thereby contributing to the preservation of natural resources for future generations.

MATERIAL MATTERS

- ◆ Support for the retail and SME Sector
- ◆ Environmental footprint

MANAGEMENT APPROACH

Amāna Bank's approach to Natural Capital is two-fold; on the one hand focusing on Sustainable Banking Initiatives through the core business in alignment with the CBSL Directions (No 05 of 2022) on Sustainable Finance Activities for Licensed Banks and the Climate Change Mitigation and Adaptation guidelines under the Sri Lanka Green Finance Taxonomy published by the CBSL. On the other hand the Bank seeks to recalibrate its internal systems to promote responsible operations in line with the specific Energy Consumption Benchmark Regulation by Sri Lanka Sustainable Energy Authority (SEA).

KEY RISKS

- ◆ Sustainability Risk

Key Area	Highlight for 2025	Value Created	SDG Alignment
Green Financing	◆ Financing for renewable energy and EV initiatives	◆ Supports green investments ◆ Encourages transition to clean energy	  
Greenhouse Gas Emissions	◆ Bank-wide Scope 1, Scope 2 and Scope 3 emissions quantified	◆ Improved carbon footprint monitoring	
Energy Management	◆ Electricity consumption monitored across all facilities ◆ 40 kW solar system installed at Puttalam Branch	◆ Improved energy efficiency ◆ Reduced operational emissions	 

Key Area	Highlight for 2025	Value Created	SDG Alignment
Water Management	Water consumption monitored across Head Office and branches	Improved water use management	
Waste Management	- Waste segregation implemented across the Bank - Recycling partnership with Cleantech (Pvt) Ltd	Reduced waste sent to landfills	
Automation and Digitalisation	8 workflows automated	- Reduced paper use - Improved operational efficiency	 
Biodiversity & Ecosystem Restoration	"Life to Our Mangroves" restoration initiative continued	- Supports ecosystem restoration - Enhances climate resilience	 

ENVIRONMENTAL GOVERNANCE AND COMPLIANCE

Environmental governance forms an integral part of Amāna Bank's sustainability approach, guiding how environmental considerations are overseen, monitored and disclosed across the Bank's operations and reporting processes. As environmental risks and climate related disclosures gain increasing relevance within the financial sector, the Bank continues to strengthen the structures through which environmental matters are monitored and reported. Implementation of sustainability initiatives at an operational level is supported by a cross functional team of environmental champions, comprising representatives from departments including Finance, Procurement, Credit, Risk and Marketing. The team was entrusted with the task of promoting environmentally responsible operational practices while supporting the Bank's broader sustainability initiatives and reporting processes.

In the year under review, Amāna Bank adopted the SLFRS S1 and S2 Standards, as mandated, in order to enhance transparency around environmental considerations within its reporting processes while aligning disclosures with emerging sustainability reporting practices within the financial sector.

The Bank also has engaged with Sri Lanka Climate Fund (Pvt) Ltd. for Independent verification of its GHG emissions, which process is currently on going.

GREEN FINANCE

Green finance represents the most significant channel through which Amāna Bank can influence and support its customers' transition towards environmentally responsible and lower-carbon investments that contribute to climate change mitigation.

Amāna Bank's approach to green financing is guided by the Board approved Sustainability Policy that establishes the parameters for integrating environmental considerations into the Bank's financing activities. The policy aligns with the Central Bank of Sri Lanka's (CBSL) guidelines on Sustainable Financing Activities and the Sri Lanka Green Finance Taxonomy, which offers clear guidance on sectors and activities prioritised under the CBSL's sustainable banking agenda. In this context, emphasis is placed on supporting sectors identified for climate change mitigation and adaptation under the national taxonomy.

For its part, Amāna Bank engages in specific green finance initiatives, mainly to support renewable energy generation and clean energy transition projects that contribute to reducing carbon emissions over time. To date, financing has been extended towards large scale solar, hydro and biomass power projects, which have collectively helped to expand the renewable energy capacity within the national energy mix. In addition to project

financing within the renewable energy sector, green financing solutions are also extended to the retail segment through electric vehicle (EV) financing, enabling customers to transition towards lower emission transport alternatives.

Moreover, in line with its sustainability policy, the Bank does not finance emission intensive industries such as coal and mining, and instead aims to support sectors that contribute to sustainable economic activity. Consequently, Amāna Bank's overall financing portfolio is concentrated in the wholesale, retail and SME sectors, which are comparatively less emission intensive. In keeping with the emphasis on sustainable financing, Amāna Bank is currently in the process of formulating an Environmental and Social Management System (ESMS), to integrate these key concerns as part of the preliminary credit evaluation process with the aim of limiting the exposure to environmentally sensitive industries. While the ESMS is under development, in the interim, Environmental and Social representations are now incorporated into offer letters issued for new facilities and renewals where relevant.

Green Financing - 2025

	Projects	Energy Generated (MWh)	CO ₂ e reduction (Tons)
Large Scale Solar	3	19,141	13,590
Hydro	2	15,520	11,019
Biomass	1	15,400	10,934
Total	6	50,061	35,543

Strengthening Internal Capacity for Sustainable Finance

Sustainability awareness sessions were conducted during 2025 to strengthen staff understanding of sustainability concepts within banking operations. This included social capacity building initiatives to educate Relationship Managers on incorporating sustainability considerations into credit evaluation processes when assessing financing proposals.

Green Operations

Despite the minimal adverse impact on the environment arising from its operations, Amāna Bank remains committed to managing its operational activities in an environmentally responsible manner.

Environmental considerations are embedded in the management of the Bank's day to day operations, with emphasis placed on improving resource efficiency across its branch network and support functions. Operational initiatives focus on the responsible management of energy consumption, greenhouse gas emissions, water use and waste generation, enabling the Bank to systematically reduce its environmental footprint associated with its activities.

Green Operations Performance

Energy

Electricity consumption intensity



Year	Electricity Consumption
2024	161 kWh/m2
2025	165 kWh/m2



Renewable Energy Initiative

40 kW Solar Power System Installation –
Puttalam Branch

Water

Average water consumption



Year	Consumption (m3/employee)
2024	17m3/employee
2025	17.55 m3/employee



Primary Water Source

National Water Supply and Drainage Board
(NWSDB)

Automation & Digitalisation

Paper saved through digitalisation



Year	A4 Sheets Saved
2024	309,800 A4 papers
2025	88,495 A4 papers

GHG Emissions Reduction

Year	GHG Emissions Reduction
2024	1,804 kgCO ₂ e
2025	505 kgCO ₂ e

Emissions

Operational carbon footprint



Year	Carbon Footprint
2025	1,814 tonCO ₂ e



Operational Boundary

Scope 1 | Scope 2 | Scope 3
Financed emissions excluded

Waste

Paper recycled



Year	Paper Recycled (kg)
2024	Initiated in 2024 November
2025	583 kg



Recycling Partner

Cleantech (Pvt) Ltd



The corporate offices situated at two locations were relocated to a new building at 353 Galle Road Colombo 3 during the latter part of Q4 2025. However, for comparison purposes, the old Premises in two locations have been included in the above calculation.

ENERGY

Energy Source		2025	2024
Non-Renewable energy produced	Grid Electricity	2,829,458 kWh=10,293 GJ	9382 GJ
	Diesel	9,034 l=346 GJ	591 GJ
	Petrol	4,218 l= 144 G	124 GJ
Renewable energy produced	Solar	49, 090 kWh = 176.7 GJ	156.6 GJ

Energy required by the Bank is primarily to support operational activities across its Head Office, branch network and Self Banking Centres (SBCs). The main sources of energy used within the Bank’s operations include grid electricity together with petroleum fuels such as diesel and petrol utilised for operational requirements.

As part of the Bank’s environmental management approach, energy reduction efforts are driven by investment in energy efficient equipment, particularly in air conditioning systems while energy consumption is continuously monitored to identify areas for improvement. Energy consumption is also considered as a key criterion during branch relocation decisions, enabling the Bank to incorporate energy efficiency considerations when selecting and designing operational spaces. Awareness on responsible energy use is also promoted across the Bank’s operations to encourage prudent consumption practices among employees.

More recently, the Bank has also begun integrating renewable energy solutions within its operations. As part of this initiative, a 40 kW solar power system was installed at Amāna Bank’s Puttalam Branch.

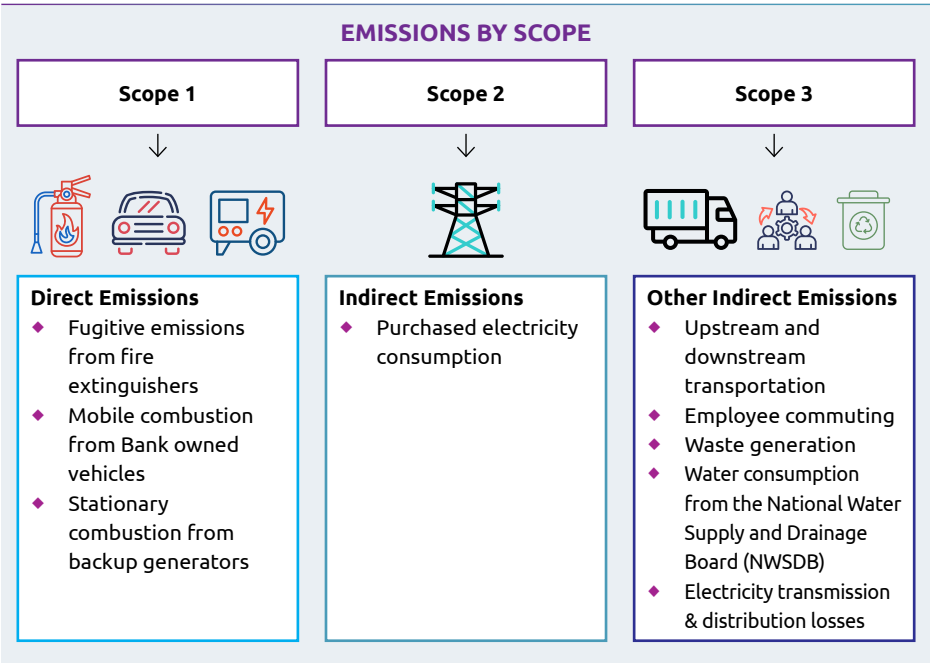
EMISSIONS

The Bank manages operational emissions through initiatives aimed at improving resource efficiency across its facilities and operational activities. Efforts focus on promoting energy efficiency within branches, offices and data centres, while incorporating green building concepts when developing or relocating facilities.

The Bank measures Scope 1, Scope 2 and Scope 3 emissions, enabling the quantification of the carbon footprint associated with its operational activities excluding financed emissions. For 2025, the Bank recorded a total operational carbon footprint of 2828 tCO₂e per year, excluding financed emissions. The increase in total emissions reflects the Bank’s operational growth, while emissions per employee remained at similar levels compared to the previous year.

Emissions (tonCO ₂ e)	2025
Scope 1	61
Scope 2	1,240
Scope 3	513
Total	1,814

* Excluding financed emissions



Amāna Bank remains committed to progressively reducing its carbon footprint in line with national climate ambitions. In this regard, the Bank intends to align its operations with the national net zero emissions target by 2050. Environmental initiatives undertaken by the Bank, including mangrove restoration activities, contribute towards supporting carbon sequestration and strengthening the Bank’s broader climate response efforts.

WATER

Water is required to support day-to-day operational activities across the Bank’s Head Office and branch network, including sanitation, facility maintenance and other operational requirements necessary for maintaining workplace and customer service environments. These water requirements are met through the National Water Supply and Drainage Board (NWSDB).

Water consumption across operational facilities is monitored and recorded, enabling the Bank to track usage patterns across the Head Office and branch network and manage operational water consumption effectively. Average water consumption across the Bank’s operations amounted to 16.22 m³ per employee in 2025, compared with 17 m³ per employee recorded in 2024. Initiatives aimed at promoting responsible water use include the installation of water efficient fixtures within operational spaces and efforts to increase staff awareness on the importance of using water sparingly.

	2025	2024
Water Consumption	17.55 m3/employee	17m3/employee

WASTE

Waste generated across the Bank’s operations arises from routine activities within the Head Office and branch network. As a service organisation, Amāna Bank’s operational activities generate non-hazardous waste such as paper, food waste and polythene, as well as hazardous waste in the form of electronic waste (e-waste) attributed to the use and periodic replacement of electronic equipment and devices.

Waste generated within the Bank is segregated to facilitate appropriate handling and disposal. A waste quantification process is in place to ensure segregated waste streams are periodically quantified and recorded at Head Office locations to support the monitoring of waste generation patterns.

The Bank also continues to implement recycling initiatives in partnership with Cleantech (Pvt) Ltd under its Sustainable Waste Management Initiative. Through this arrangement, paper generated within the Head Office and branches located in the Colombo region are collected for recycling.

All other waste not subject to recycling, is handed over to the respective Municipal Councils for proper disposal.

AUTOMATION AND DIGITALISATION

Automation and digitalisation initiatives support the Bank’s efforts to promote environmentally responsible practices across its operations by reducing reliance on paper based processes. The gradual transition towards digital workflows and automated systems contributes to improving operational efficiency while minimising resource consumption associated with documentation and record management.

Through digitalisation and automation initiatives, the Bank has succeeded in systematically reducing paper consumption across its operations. In 2025, digitalisation initiatives resulted in savings of 88,495 A4 sheets, compared with 309,800 A4 sheets saved in 2024. Paper savings initiatives in turn contributed to a reduction of 1,804 kgCO₂e in 2024, with the corresponding emissions reduction for 2025 recorded at 505 kgCO₂e.

BIODIVERSITY AND ECOSYSTEM RESTORATION

Biodiversity conservation and ecosystem restoration initiatives form part of the Bank’s broader sustainability efforts aimed at supporting environmental protection and climate resilience.

In this regard, Amāna Bank’s ongoing commitment to the “Life to Our Mangroves” initiative continued during the year. Mangrove habitats play a vital role in Sri Lanka’s coastal environment by supporting biodiversity, strengthening coastal resilience and enhancing natural carbon sequestration. Activities undertaken during the year included the preparation of degraded land within the allocated project site, the removal of invasive plant species and dredging based on hydrological mapping to help restore suitable ecological conditions for mangrove regeneration.

FUTURE PLANS

Short Term	Medium Term	Long Term
↓ ◆ Continuous improvement on SLFRS S1 and S2 standards for sustainability reporting. ◆ Strengthen internal sustainability awareness and capacity building programmes across the Bank. ◆ Increase the share of green financing within Bank’s financing portfolio mix. ◆ Establish branch-wise targets for energy and resource use across the Bank’s network. ◆ Continue to review progress of mangrove restoration activities under the “Life to Our Mangroves” initiative.	↓ ◆ Establish external credit lines to support green financing initiatives. ◆ Where feasible, invest in rooftop solar at branch premises. ◆ Explore additional carbon offset programmes to complement operational emissions management.	↓ ◆ Support the transition towards low-carbon economic activities by aligning the Bank’s financing portfolio with Sri Lanka’s net zero emission target for 2050.



Social and Relationship Capital at Amāna Bank reflects the connections with customers, suppliers and communities that stand as a testament to our commitment to ethical banking practices and service excellence, alongside efforts to empower communities through responsible sourcing and investments in the wellbeing of communities.

MATERIAL MATTERS	MANAGEMENT APPROACH	KEY RISKS
- Banking Convenience for different customer segments - Local Community development and support - Model Compliant Products and Services	Amāna Bank focuses on community upliftment by promoting financial literacy and accessibility to ensure inclusive banking for all, underscoring its commitment to safeguard the social and economic well-being of all Sri Lankans. Additionally, the Bank undertakes high-impact Corporate Social Responsibility initiatives to enable equal access to education and healthcare for underserved communities.	Sustainability Risk

Key Area	Highlight for 2025	Value Created	SDG Alignment
Customer Experience	- Introduction of new retail products including Teen Savings and repositioned Amāna Kids. - Expansion of SME-focused offerings through value-chain financing. - Strengthened customer outreach through partnerships and digital engagement initiatives.	- Improved alignment of products to customer life stages and business needs. - Wider access to banking solutions across customer segments.	
Complaint Handling	- Strengthened complaint handling framework supported by a dedicated Customer Experience Unit. - Rebranding of the Contact Centre as the Customer Solutions Centre to support solution-oriented service delivery.	- Improved consistency and responsiveness in handling customer concerns. - Clearer service pathways and access to real-time support for customers.	

Key Area	Highlight for 2025	Value Created	SDG Alignment
Procurement Best Practices	- Implemented online vendor registration. - Strengthened transparent and competitive procurement processes.	- Improved accessibility and convenience for suppliers. - Greater transparency and fairness in supplier participation and evaluation.	 
Financial Literacy	- Conducted 85 programmes across six provinces, reaching 10,000+ participants. - Availability of multilingual financial education videos.	Enhanced financial literacy among students, women entrepreneurs, MSMEs and community groups.	   

CUSTOMER

Customer experience sits at the centre of decision-making at Amāna Bank, shaping how products are designed, how services are delivered and how engagement is sustained over time. The Bank's ability to grow is closely linked to the continuity of these relationships, undergoing the importance of delivering timely and relevant experiences across different stages of a customer's life or business journey.

PRODUCT RESPONSIBILITY

Product responsibility stands as a fundamental pillar through which Amāna Bank demonstrates its commitment to customers. As the only licensed commercial bank in Sri Lanka authorised to operate under non-interest based banking principles, product development at Amāna Bank is guided by an ethical framework that emphasises fairness, transparency and shared value creation. These principles serve as the overarching mandate outlining how products are structured to support the operational realities of enterprises and the evolving financial needs of individuals at different life stages.

Ongoing improvements to the retail product suite in 2025 saw the launch of the Teen Savings Account, a dedicated proposition aimed at encouraging adolescents to develop early financial discipline and establish long-term banking relationships. Subsequently, the children's savings product was repositioned as Amāna Kids, with enhancements designed to make the offering more engaging and

relevant for customers between the ages of one and twelve, while continuing to support consistent saving behaviour among families.

Moreover, following the receipt of Visa primary membership, card-related offerings were significantly expanded and coupled with seamless payment convenience for retail customers. In a further development within the retail portfolio, Amāna Bank partnered with the Department of Muslim Religious and Cultural Affairs to facilitate a special bank account for Hajj Pilgrimage ensuring increase governance, fairness and transparency.

Partnerships were also leveraged to enhance the Bank's retail offerings and extend access to sector-specific solutions. In the home financing space, the collaboration with Mireka Homes created a platform for customers in the Kandy region to explore apartment financing options supported by flexible repayment structures and convenient approval processes. In the personal financing category, the partnership with the Bristol Institute of Business Management enabled students to access financing for undergraduate and postgraduate programmes, supported by repayment arrangements aligned with longer-term academic commitments. Likewise, the collaboration with MediHelp Hospitals, was aimed at extending concessions on selected medical services to Amāna Bank customers.

Support for small and medium-sized enterprises remained a central focus, with Business Plus continuing to serve as the Bank's primary SME product. The proposition

continued to provide a structured framework for managing financial requirements linked to day-to-day business operations, recognising the importance of cash flow stability and operational continuity for small and growing enterprises. Further augmenting the services offered to SMEs, value-chain financing was introduced during the year as a specialised solution targeting suppliers and distributors connected to major corporate customers, strengthening linkages within business ecosystems.



Providing a Home Financing facility to a customer



First deposit at relocated Akurana Branch

PRODUCTS AND SERVICE PORTFOLIO

Retail

Retail Financing Solutions

- ◆ Leasing
- ◆ Home Financing
- ◆ Small Asset / Personal Financing (Easy Payment Plan)
- ◆ Solar Financing
- ◆ Travel Financing
- ◆ Education Financing
- ◆ Gold Certificate Financing (Emergency Cash)
- ◆ Women Entrepreneur Financing
- ◆ Speed Draft

Deposit and Investment Solutions

- ◆ Current Account
- ◆ Savings Account
- ◆ Ladies Savings
- ◆ Senior Citizen Savings
- ◆ Pension Saver
- ◆ Kids Savings
- ◆ Salary Savings
- ◆ Foreign Currency Accounts
- ◆ Savings Plan
- ◆ Flexi Term Investment
- ◆ Term Investments
- ◆ Teen Savings Account

Value Added Services

- ◆ Your Bank Mobile App and Web Portal
- ◆ eOnboarding
- ◆ SMS Alerts
- ◆ eStatements
- ◆ Debit Cards
- ◆ Inward Remittance Platforms
- ◆ Safety Lockers
- ◆ WhatsApp Banking
- ◆ Amana Bank Connect App

It's *Your* Bank

Corporate/SME

- ◆ Capital Expenditure Financing
- ◆ Working Capital Financing
- ◆ Import & Export Financing
- ◆ Trade Services
- ◆ Machinery & Equipment Leasing
- ◆ Express Cash - Permanent Overdraft
- ◆ Amāna Collect - Cheque Discounting
- ◆ Cash Collection Solutions
- ◆ POS Machine Services
- ◆ Deposit and Investments Solutions
- ◆ Relationship Managed Services - Business Plus

PERSONALISED BANKING SOLUTIONS



Amāna Bank Prestige

Amāna Bank Prestige Banking is an exclusive platform for our most valued customers who seek superlative customer service and care with a personal touch to look after their everyday banking and financial needs.

Amāna Bank Prestige Banking is the only non-interest based high net worth banking proposition in the country and stands testimony to an upwardly mobile bank focused on enhancing our service offering and ensuring the well-being of our customers.



Amāna Bank Vantage

Amāna Bank Vantage is a superior banking and financial services platform that is tailor-made for individuals who are progressing in expanding their horizons in life. Amāna Bank Vantage is designed to help accelerate your personal growth and be a financial partner in your success.



Amāna Bank Expat Gold

Amāna Bank Expat Gold is a platform designed exclusively, to cater to unique and diverse requirements of banking from abroad.

Being apart from your family, timely support and care of their financial requirements is essential, in your busy lifestyle. That's why we believe you need a caring and dedicated financial partner back home to look into their finances as if you are personally attending to it.



Business Plus

Business Plus is a tailor-made solution for SME's to help them expand and strengthen their business with the aim of becoming the emerging corporates of the future. Business Plus customers benefit from a dedicated relationship manager and a host of other services including airport lounge access, preferential pricing, branded cheque books, payroll solutions, thus allowing them freedom and space to focus on growing their business. Business Plus is offered in three membership categories - Business Plus Silver, Business Plus Gold and Business Plus Platinum.

CUSTOMER COMMUNICATION AND ENGAGEMENT

Customer communication at Amāna Bank is based on providing, clear, accurate and timely communication to enable customers to make informed decisions.

The Bank places strong emphasis on providing customers with essential and relevant information relating to products and services with all external communications governed by Board-approved marketing and communication policies to ensure accuracy and compliance. Moreover in compliance with regulatory requirements, mandatory disclosures such as profit rates and exchange rates are prominently displayed at branches.

Customer communication during the year was delivered through a combination of ATL, BTL and Digital campaigns, designed to address product awareness, service updates and responsible banking practices. These approaches were complemented by product awareness programmes conducted by the Knowledge Marketing Unit, which focused on improving customer understanding of non-interest-based financial solutions.

Face to face engagement continued to play a role in reinforcing communication efforts. Branch teams continued to assist customers with registrations for digital services and provided guidance to those transitioning from traditional banking methods to electronic alternatives.

In 2025 Amāna Bank further reinforced personalised customer communication through its call centre campaign, "Experience the human touch in every call," ensuring customers could always reach a live agent without the hassle of navigating automated menus.

broader strategy of the Government and CBSL to promote sustainable and inclusive economic growth through digitalisation.

CUSTOMER FEEDBACK

Customer feedback forms an integral part of Amāna Bank's commitment to maintaining trust-based relationships with customers. The Bank recognises that feedback and suggestions provide important insight into customer expectations and service gaps, and addressing them promptly and consistently is essential to sustaining customer trust in the Bank.

The Bank has established a range of channels for customers to submit feedback, including via email, web forms, written submissions, the branch network and the 24/7 Customer Solutions Centre. A structured acknowledgement process governs how feedback is recorded and disseminated. Emails received are acknowledged on the same day, while written feedback is acknowledged within three working days. Direct feedback at branches or operational units are recorded and acknowledged at the point of receipt. Feedback and suggestions received through social media platforms are acknowledged within one working day by the Marketing Department.

The handling of customer feedback is overseen by Amāna Bank's Customer Experience Unit, which manages the full lifecycle from receipt to assessment, escalation where required and closure. The Unit also ensures that complaints, if any are addressed in a consistent manner with findings reviewed to support improvements in service delivery.

Feedback linked to key customer touch-points, including cards, online banking, ATMs and CDMs, are monitored regularly by the Customer Experience Unit with insights from these reviews shared with relevant departments to facilitate corrective action and strengthen service reliability across high-volume interaction points.

**EXPERIENCE
HUMAN TOUCH
IN EVERY CALL
WITH Amāna Bank**

0117 756 756

No Frustrating Recordings.
When you call Amāna Bank you will always be answered by a caring Human.

Our Customer Solutions Centre offers 50+ services 24/7 delivered by a caring team who are committed to find ways to give you a pleasant experience.

We call it People Friendly Banking!

To mark World Children's Day, the Bank conducted its inaugural 'Bring Your Kids to Bank Day' across its branch network, an initiative aimed at engaging and educating the children of our valued customers about banking in a fun and interactive manner.

Towards enhancing its digital engagement, the Bank participated in multiple Digital Payments Promotion Campaign and Financial Literacy Campaigns organised by the Central Bank of Sri Lanka. These awareness campaigns are the first in a series of initiatives by CBSL, aimed at accelerating the adoption of digital banking and payments island-wide, aligning with the

Measuring Customer Satisfaction

Measuring customer satisfaction is a key component of Amāna Bank’s approach to managing service quality and strengthening customer relationships. Regular assessment of customer experience enables the Bank to identify gaps early, respond to evolving expectations and ensure that service delivery remains aligned with customer needs across all touch-points. As standard practice for the past few years, customer satisfaction scores are collected through digital feedback tabs. To gain deeper insight into how customers interact with the Bank, a broad based customer experience mapping exercise was conducted in 2025 to examine gaps linked to people, processes and systems in order to implement remedial actions to streamline internal workflows and enhance service consistency. Service insights gathered through interactions at the Customer Solutions Centre also contributed to broader reviews of customer experience. Feedback and observations arising from these engagements were used to inform discussions across operational units, supporting targeted refinements to processes and service delivery practices.

CUSTOMER PRIVACY

Safeguarding customer privacy remains a core consideration in how Amāna Bank builds and sustains trust with its customers. The Bank is privy to large volumes of customer data and hence has implement rigorous internal procedures to guide how such

data is accessed, processed and shared. This includes strict access control mechanisms and authentication protocols to prevent unauthorised access coupled with monitoring mechanisms to support oversight of data handling activities.

To formalise the internal system architecture and promote the responsible handling of customer information, the Consumer Protection Policy of the Bank plays a vital role. Aligned with both the Consumer Protection Act and the Personal Data Protection Act, the Consumer Protection Policy serves as a reference framework for teams managing customer-facing processes and data. No incidents relating to customer privacy breaches were reported during the year.

CUSTOMER SOLUTIONS CENTRE (CSC)

The Customer Solutions Centre evolved from the Bank’s former Contact Centre and was rebranded during the year to reflect a more solution-focused approach to customer interaction, in keeping with Amāna Bank’s people-friendly banking identity. The rebrand reinforced the CSC’s role as a primary point of contact for customers seeking information, assistance and general guidance on banking products and services, distinct from the Bank’s complaint handling function.

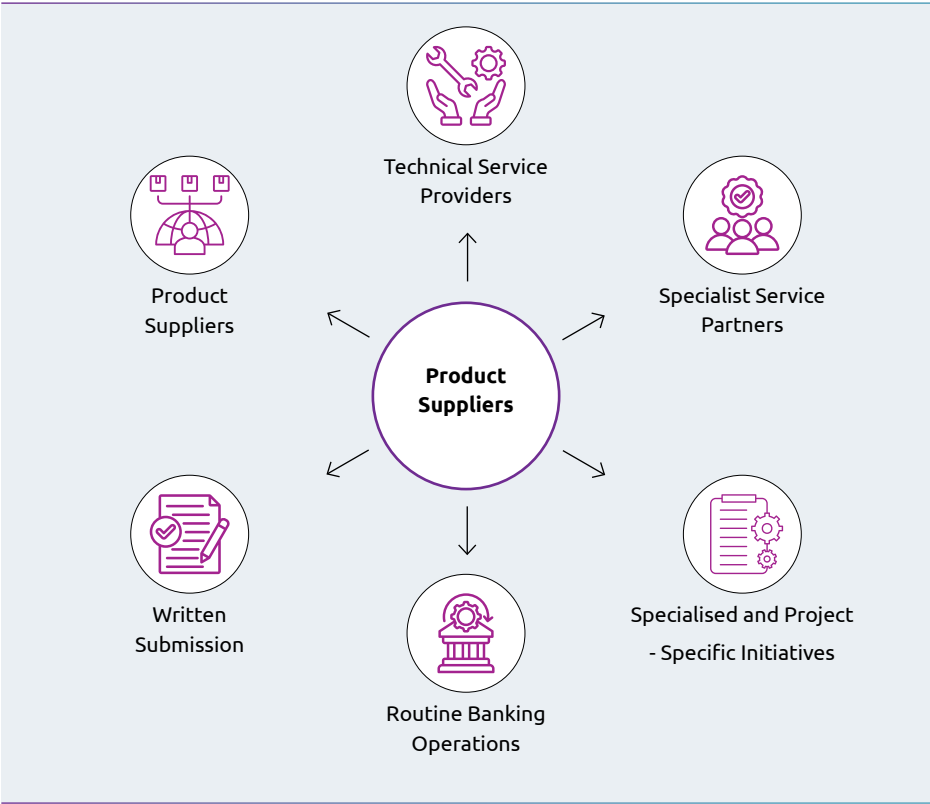
As per the new mandate, the CSC is now charged with the responsibility of assisting customers as they navigate day-to-day banking requirements. Customers who are unfamiliar with online banking tools or digital onboarding processes are guided through available options, supporting smoother engagement with the Bank’s electronic platforms.

Ongoing training initiatives during the year were aimed at reinforcing the “we find ways” service mindset and encouraging CSC teams to consider alternatives and provide practical clarification when customers face constraints or require additional support.

How CSC Supports Customers	How Service Quality Is Managed
Primary customer interface for enquiries, assistance and real-time service support	Call abandonment rate monitored to assess responsiveness
Provides guidance on products, services and banking processes	Customer-issued Net Promoter Score (NPS) used to gauge service perception
Supports customers transitioning to digital banking tools and platforms	Call quality and handling standards reviewed through internal dashboards
Operates under the “we find ways” service mindset, focused on solution-oriented engagement	System availability monitored, including online and card-based services
Functions independently from the complaint handling process	Ongoing staff training to strengthen service sensitivity and customer engagement

SUPPLIERS

Suppliers play a key role in supporting Amāna Bank’s operations by contributing to the delivery of services across a range of functions. The Bank’s supplier network comprises entities that provide products, technical expertise and specialised services, supporting both routine operational requirements and project-specific initiatives aligned with the Bank’s needs.



categories are invited to register by furnishing key information on their business profile, capabilities and compliance credentials.

The Bank’s Procurement Unit is entrusted with the responsibility of supplier screening including both technical and commercial evaluation of vendors. Technical evaluation, outcomes are combined with commercial assessments using a 70/30 ratio to identify the most suitable option for the Bank. In alignment with Amāna Bank’s ESG commitments, additional verifications are conducted to assess suppliers’ commitment to human rights and the prevention of child labour.

As part of ongoing improvements, the procurement processes were further strengthened in 2025 through the digitalisation of the existing paper-based vendor registration process. This transition streamlined end-to-end workflows and enhanced transparency across procurement activities. Moving beyond traditional bidding processes, the Bank’s Procurement unit actively works to ensure all prospective vendors receive uniform pricing from product principals. By levelling the playing field and eliminating preferential treatment, the Bank can evaluate partners solely on their own merits. This commitment to fair play ensures the selection of optimum, value-for-money solutions from the most capable vendors.

SUPPLIER DEVELOPMENT

Supplier development is grounded in the belief that building long-term supplier relationships will not only contribute towards stability and continuity of the Bank’s operations, but also pave the way for suppliers to share the benefits of Amāna Bank’s growth trajectory in the coming years.

Hence, supplier development efforts typically focus on providing guidance and advisory services to empower suppliers to improve their systems and processes to meet the Bank’s standards. To that end, the procurement unit provides detailed input to suppliers, particularly for those whose proposals are not awarded, allowing them to understand how to enhance their competitiveness and build the capacity needed to perform effectively in future procurement cycles.

PROCUREMENT BEST PRACTICES



The Bank’s procurement approach is guided by principles that promote integrity, impartiality, equality and transparency while ensuring that products and services procured offer value for money. These principles form the basis of the Bank’s internal procurement policy and influence every stage of supplier relationship.

In keeping with procurement best practices, supplier relationships are initiated through the formal vendor registration process carried out every two years, where suppliers under various

COMMUNITY

Amāna Bank's community initiatives continued to reflect its people-friendly banking identity, which places social upliftment and equitable access at the centre of its purpose. Accordingly, much of the Bank's community efforts focus on supporting children from underserved communities, specifically to bridge persistent gaps in education and healthcare.

The Bank's work in the community is anchored in uplifting lives through financial inclusion, capacity building and access to education, with direct support for vulnerable groups forming the foundation of its long-term engagement approach.



FINANCIAL LITERACY

Building on thematic efforts undertaken in the past, the financial literacy programme series conducted by the Bank's Knowledge Marketing Unit, was further expanded during the year across different regions of the country. These programmes offered guidance to schoolchildren, undergraduates, emerging entrepreneurs and other community groups seeking to strengthen their understanding of financial concepts.

Special initiatives targeting women's empowerment and MSME support formed an integral part of these efforts. In this context, the Bank partnered with the Chamber of Commerce Central Province to support the ENRICH MSME Forum, which created

a platform for entrepreneurs to engage in discussions related to business development, financial awareness and sector-specific challenges.

THE ROLE OF AMĀNA BANK'S KNOWLEDGE MARKETING UNIT IN DRIVING FINANCIAL LITERACY

Amāna Bank's Knowledge Marketing (KM) Unit was established to disseminate financial knowledge, enhance financial literacy within the community and address misconceptions surrounding the non-interest-based banking model. Comprising in-house subject matter experts, the Unit's core role is to equip individuals with the skills required to make informed financial decisions, in alignment with the Financial Literacy Roadmap 2024–2028 issued by the Central Bank of Sri Lanka.

During the year, the KM Unit conducted 85 awareness programmes across six provinces and eleven districts, reaching more than 10,000+ participants. Programme content covered topics such as budgeting, savings discipline, investment basics and the responsible use of credit, linking these concepts to everyday financial decision-making.

Following these sessions, an online post-programme financial literacy assessment was introduced for school students and undergraduates to test their awareness on personal financial management, savings behaviour and the foundations of the non-interest-based banking model. Over 485 participants took part in the assessment with those scoring above 70% receiving certificates of achievement.

Amāna Bank's Knowledge Marketing Unit also supported national financial inclusion efforts through its involvement in Central Bank of Sri Lanka-led Financial Literacy exhibitions held in Ampara, Matale, Anuradhapura, Galle and Kurunegala during 2025. Branch teams contributed to exhibition stalls and interactive sessions, offering visitors guidance on financial concepts and the Bank's non-interest-based banking model.

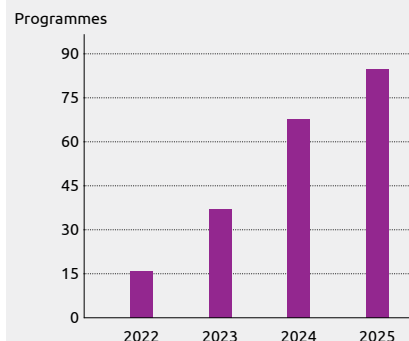
In parallel, the KM Unit continued its engagement with universities and higher education institutions, including the University of Colombo, the University of Sri Jayewardenepura, South Eastern University of Sri Lanka, Eastern University of Sri Lanka, Wayamba University of Sri Lanka and others, to strengthen students' practical understanding of financial services and economic issues.

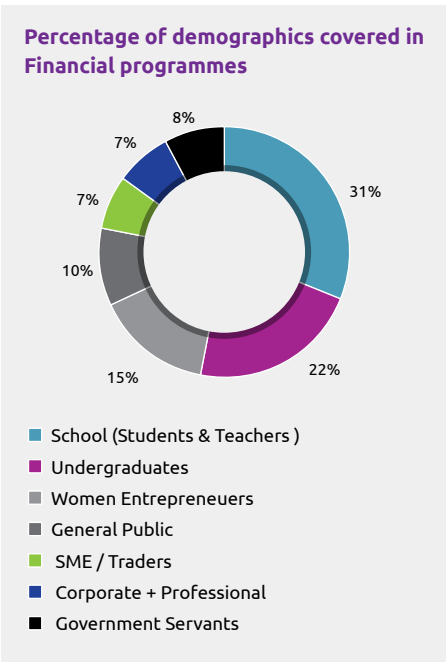
A focused stream of work during the year targeted women entrepreneurs, with 15 dedicated programmes conducted across the Eastern, North Western, Western and Central Provinces to enhance participants' financial literacy and business skills. These sessions addressed topics such as record keeping, cash flow management and the use of formal financial services to support enterprise growth.

The Amāna Bank financial education video series continued to get views on youtube, while shorts/reels of the same videos were extended to other social media platforms such as IG and Tiktok in 2025, as part of a focused approach to target enhance financial literacy among younger audiences.

In recognition of its ongoing contribution to financial inclusion, Amāna Bank's Knowledge Marketing and Financial Inclusion Unit received the "Social Upliftment Project of the Year 2024/2025" award at the 10th Islamic Financial Forum of South Asia Awards held in Colombo - a major achievement that validates the relevance of the Bank's financial literacy programmes.

Financial Literacy programmes Conducted Over the Year





No.	Video Series	Amāna Bank Social Media				
		You Tube			Tik Tok	Total
		English	Sinhala	Tamil		
1	Conventional Banking Vs Islamic Banking	45k	999	17k	N/U	62.9k
2	How does Trade Based Financing work (Murabaha)	43k	721	2.5k	N/U	46.2k
3	How does Vehicle Finance work (Ijara)	23k	1.7k	4.2k	34.2k	63.1k
4	How does Home Financing work (Diminishing Musharaka)	16.5k	735	5K	83.8k	106k
5	How does Gold Safe Keeping work (Hifada)	3k	473	1.7k	16.4K	21.5k
6	How does Emergency Cash work (Musada)	9.7k	1.3k	6.4K	N/U	17.4k
7	How does Savings and TI account work (Mudaraba)	14k	725	3.9K	3.7k	22.3k
Total View Count						339.4k

COMMUNITY PROJECTS



Amana Bank sponsored visually impaired tri-athlete Khalid Oshman completing the Ultra X Marathon in Jordan



Donation of furniture and medical equipment to Beruwala Base Hospital



Contribution towards Mahanama College food programme for underprivileged children



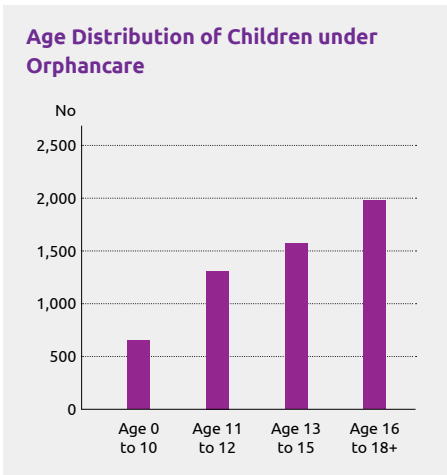
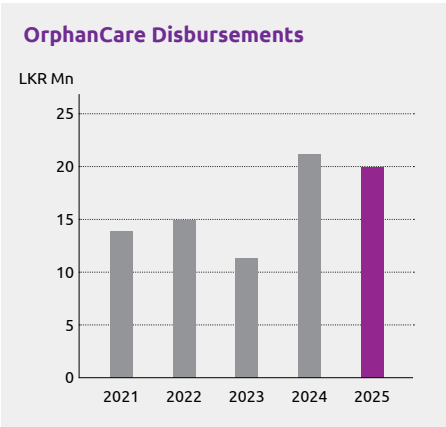
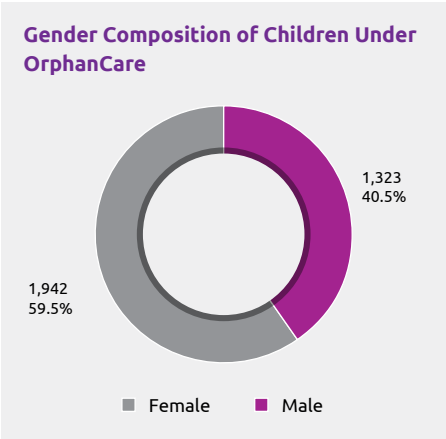
Donation of relief aid to Dittwah victims

Amāna Bank continued to support community well-being through targeted projects that addressed specific social and humanitarian needs.

- ◆ Continued sponsorship of blind triathlete Khalid Oshman
- ◆ Donation of medical equipment to Beruwala Base Hospital
- ◆ Implementation of a breakfast programme for students at Mahanama College
- ◆ Donations to underprivileged schools during new branch openings, including library cupboards, stationery and learning materials
- ◆ Provision of wheelchairs in collaboration with the Rotary Club of Colombo Mid Town

ORPHAN CARE

OrphanCare, Amāna Bank’s flagship community project continued to play a leading role in advancing the Bank’s commitment to transforming the lives of vulnerable children through structured financial assistance and developmental support. Established in 2019 through an independent trust sponsored by Amāna Bank, OrphanCare is dedicated to empowering orphaned children in Sri Lanka achieve financial independence after they turn 18 and are required to leave their care homes, often with the risk of experiencing a second abandonment. OrphanCare currently supports 3200+ orphans across 92 child development centres in all nine Provinces of the country. To date, the Trust has carried out 26 disbursements.



Furthermore, given that the OrphanCare programme is fully aligned with Article 2 of the United Nations Convention on the Rights of the Child, enrolments remain unbiased and free of discrimination based on race, religion, ethnicity, gender, or any other status protected by law.

Ongoing improvements saw the project scope being expanding through the introduction of a new scheme in 2025 where OrphanCare beneficiaries turning eighteen gain access to their accumulated savings and may apply for an additional financial grant to support their next steps. Applications are assessed through a structured interview conducted by the OrphanCare Secretariat to understand each applicant’s plans, which commonly include higher education, vocational training or entrepreneurial ventures. The Secretariat provides guidance during these discussions to help applicants consider how the funds can best support further aspirations and to assist them in planning the transition to independent life.

Another notable development during the year was the appointment of a designated Impact Officer to provide individual guidance engagement to beneficiaries as they transition into adulthood, including mentorship support for employment opportunities. Discussions were also initiated with the Legal Aid Unit to identify potential areas where beneficiaries may require guidance on legal and documentation matters.

LAUNCH OF INAUGURAL IMPACT REPORT

In 2025, OrphanCare unveiled its inaugural Impact Report, highlighting the transformative difference it has made in the lives of orphaned children across Sri Lanka. The Impact Report quantifies OrphanCare’s significant reach and deeply impactful work.

The report features numerous compelling impact stories, illustrating how OrphanCare’s funding and support has empowered orphans to overcome immense challenges, pursue higher education, initiate small businesses, and build brighter futures.

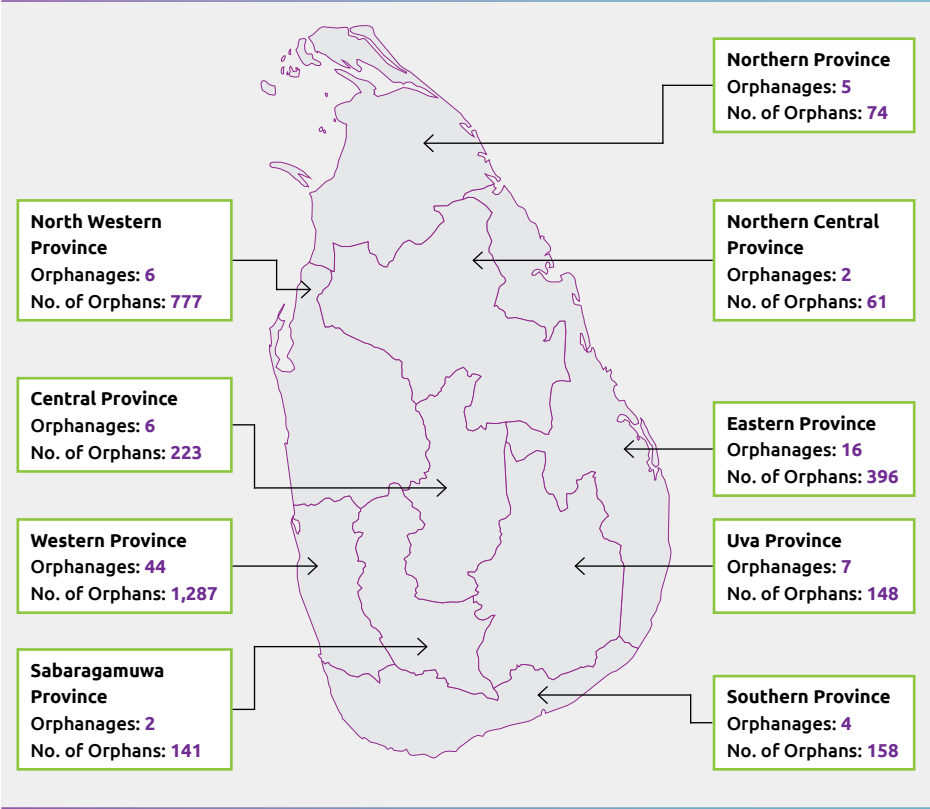
Several of these heartwarming stories were also presented at the launch event, deeply moving attendees as they witnessed the strength, courage, and dreams of young lives once forgotten, now rising with hope.

Apart from the launch of the Impact Report, the event also witnessed the ceremonial donation of over Rs 15 million, representing the total sales proceeds from the coffee table book ‘Hidden Gems and A Traveler’s Tale,’ authored by the distinguished travel photographer Mr. Nawaz J. Vilcassim.

To download the Impact Report



PARTICIPATING CHILD CARE HOMES ACROSS SRI LANKA



Cereminial donation of the sales proceeds of the book 'Hidden Gems and a Traveler's Tales'



OrphanCare contribution to an Orphanage



OrphanCare medical aid support to a child care home



OrphanCare together with Emerald provided clothing for flood affected orphanages

FUTURE PLANS - SOCIAL AND RELATIONSHIP CAPITAL

Short Term	Medium Term	Long Term
- Expand automated rating prompts to gather real-home data on customer satisfaction. - Strengthen routing and escalation workflows. - Roll-out of e-procurement platform. - Implement the vendor Code of Conduct - Increase regional delivery of financial literacy programmes.	- Establish a single review mechanism to assess customer feedback and service issues across the Customer Solutions Centre and digital channels. - Deepen use of trend analysis for recurring issues. - Introduce supplier performance dashboards - Expand sector-focused programmes for MSMEs, women and youth.	- Establish a Customer testimonial data base - Develop predictive models to pre-empt service issues. - Integrate ESG criteria into procurement evaluations. - Position KM as a national financial literacy platform.

Focus Area	Financial Capital	Manufactured Capital	Intellectual Capital	Human Capital	Social & Relationship Capital	Natural Capital
Business Growth 	21% year on year increase in net financing income, driven mainly by the 36% year on year expansion in the financing portfolio. Additionally, the 27% expansion in Net Fee and Commission Income stemmed from focused efforts to drive trade financing activity.	Expansion of branches, Self Banking Centres, digital banking platforms and supporting infrastructure strengthens customer outreach presence across key segments, creating avenues for enhancing income generation.	Stronger brand positioning and strategic partnerships help Amāna Bank to grow market share.	Investing in developing an empowered workforce translates into higher business volumes across branch networks.	Targeted strategies to empower customers, suppliers and communities, to access Amāna Bank's value proposition, enables the Bank to achieve sustainable growth while contributing to national economic development over time.	Increasing the exposure to green financing allows the Bank to diversify its portfolio by channeling funds to support sustainable sectors that contribute to the transition towards a low-carbon economy.
Efficient Operations 	Despite the increase in personnel costs, higher employee productivity resulted in Amāna Bank's cost to income ratio improving from 53% in 2024 to 51.8% in 2025.	Expansion of Self Banking Centres, while consolidating the branch network enable optimal use of resources to deliver significant cost efficiencies.	Adherence to strict ethical standards and professional conduct ensures integrity, transparency, and accountability in all operations, underscoring the Bank's commitment to efficient and responsible business practices.	The emphasis on a performance-driven culture promotes workforce accountability and productivity, enabling the Bank to optimise processes and enhance overall operational efficiency.	By integrating customer feedback into decision-making processes, the Bank seeks to enhance service efficiency, improve responsiveness, and strengthen the overall effectiveness of its operations.	Adopting energy-efficient practices, minimising resource consumption, and promoting effective waste management allows the Bank to achieve operational efficiency.
Digital Transformation 	Aggressive efforts to promote digital adoption among customers contributed to a 36% increase in transaction volumes. Likewise ongoing workflow automation also continued to generate significant cost savings.	Upgrades to digital channels, core banking systems and automation platforms support higher transaction volumes and enable more scalable operations.	Adoption of recognised standards and certifications, such as the ISO/IEC 27001:2022 Information Security Management Standard enhances the reliability, resilience, and integrity of the Bank's digital infrastructure.	Providing access to digital learning tools creates a flexible environment for self-paced learning that empowers employees to progress according to their individual development needs	Expansion of mobile, online and digital banking tools improves customer convenience and widens access to banking facilities.	Workflow automation enables the Bank to transition to paperless processes.

Focus Area	Financial Capital	Manufactured Capital	Intellectual Capital	Human Capital	Social & Relationship Capital	Natural Capital
People Development 	A 16% year on year increase in personnel expenses was on account of initiatives aimed at incentivising employee performance, strengthening motivation, and fostering a culture of growth and excellence.	The Bank's physical and digital assets provide employees with access to modern workspaces and advanced digital tools to facilitate on-the-job learning and promote collaboration, collectively contributing towards personal and professional development.	The knowledge experience, insights, and strategic understanding of senior teams shared through mentoring, coaching, and structured guidance helps employees to learn and build the skills needed to drive performance and innovation across the Bank.	Amāna Bank's Employee Value Proposition (EVP) is designed to motivate employees to enhance their skills, take on new responsibilities, and fully realise their potential, ultimately strengthening the Bank's human capital base.	Relationships with key stakeholders provide employees with direct insights into their needs, preferences, and challenges, thereby creating practical learning opportunities that enhance problem-solving, communication, and service skills.	Green finance initiatives create opportunities for employees to develop specialised expertise in sustainable banking, environmental risk assessment, and project evaluation.
Sustainability and Corporate Social Responsibility 	LKR 19.7 Mn disbursed during the year through the OrphanCare Project, with the total disbursement of LKR 95.3 Mn as at 31st December 2025. OrphanCare currently supports 3200+ orphans at 92 child development centres across all nine Provinces in Sri Lanka.	Infrastructure development, refurbishments and branch relocations are guided by sustainability considerations, including energy efficiency and responsible asset utilisation, positioning the Bank as a responsible corporate citizen.	Amāna Bank's people-friendly banking model articulates the Bank's brand positioning as a responsible and customer-centric institution that consistently delivers ethical banking experiences.	Through their daily action and decisions, Amāna Bank's human capital embody the Bank's commitment to sustainability and corporate social responsibility.	The Bank's ESG and CSR principles are translated into action through initiatives that benefit key stakeholders including customers, and the wider community.	Through the commitment to managing energy, emissions, and waste efficiently, the Bank strives to reduce its environmental footprint, while the focus on green finance aims to assist the broader transition to the low-carbon economy.

INTERWOVEN FOR **IMPACT**

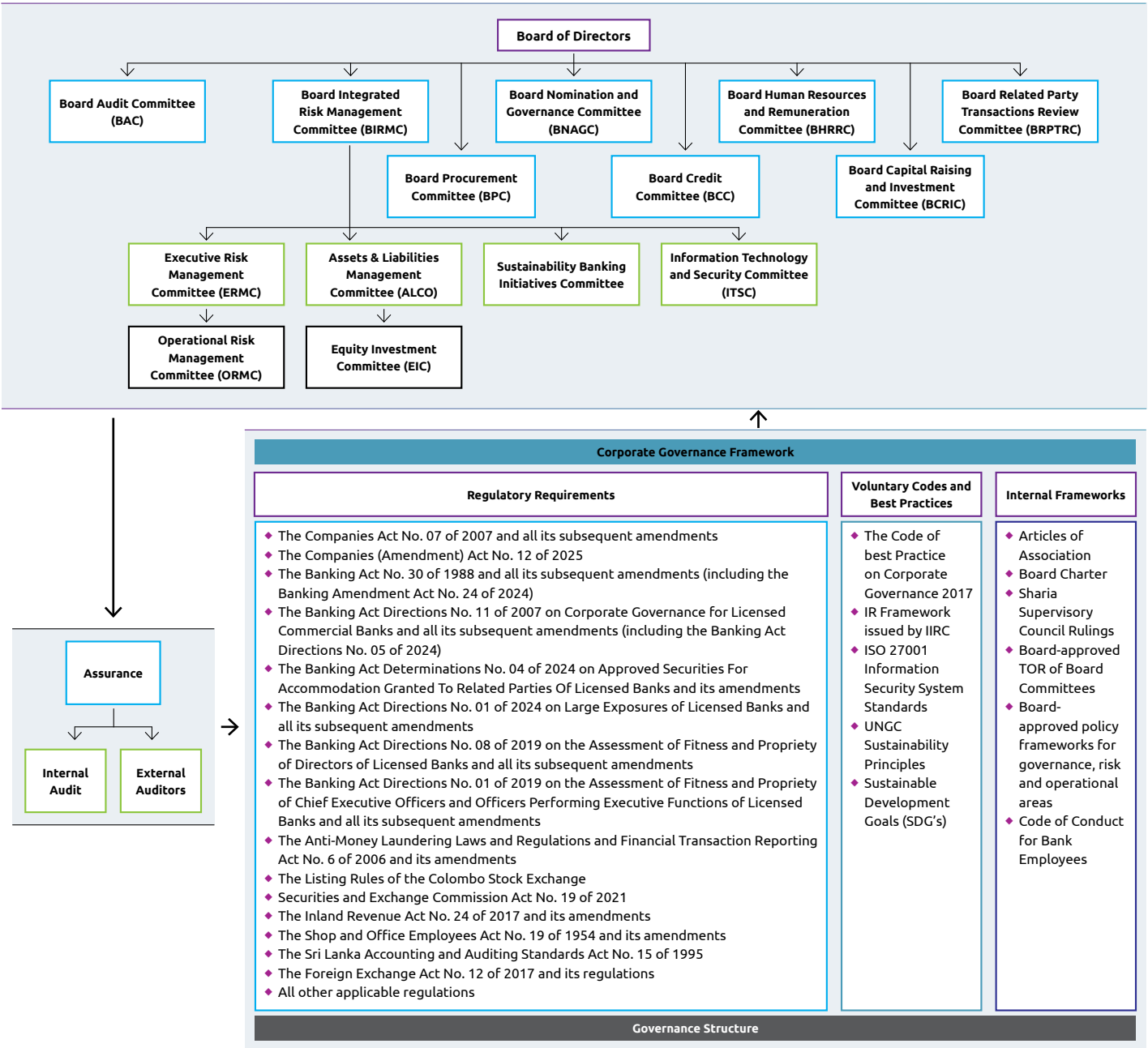


Supporting the Poultry Industry

APPROACH TO CORPORATE GOVERNANCE

Amāna Bank’s approach to corporate governance is based on the conviction that strong governance is essential to safeguard stakeholder interests while serving as a critical enabler of sustainable growth.

Being a licensed commercial Bank, regulatory compliance forms the nexus of Amāna Bank’s governance framework. Moreover, as the only non-interest bank in Sri Lanka, Amāna Bank has the added responsibility for ensuring governance practices also incorporate the Islamic banking principles of integrity, transparency, accountability, and fairness. While prioritising these regulatory compliance requirements, the Bank remains committed to continually strengthen its internal governance architecture by embedding global best practices within its policies and operating frameworks to form a solid foundation to conduct and manage day-to-day operations of the Bank.



Updates to the Governance Practices Approved by the Board in 2025

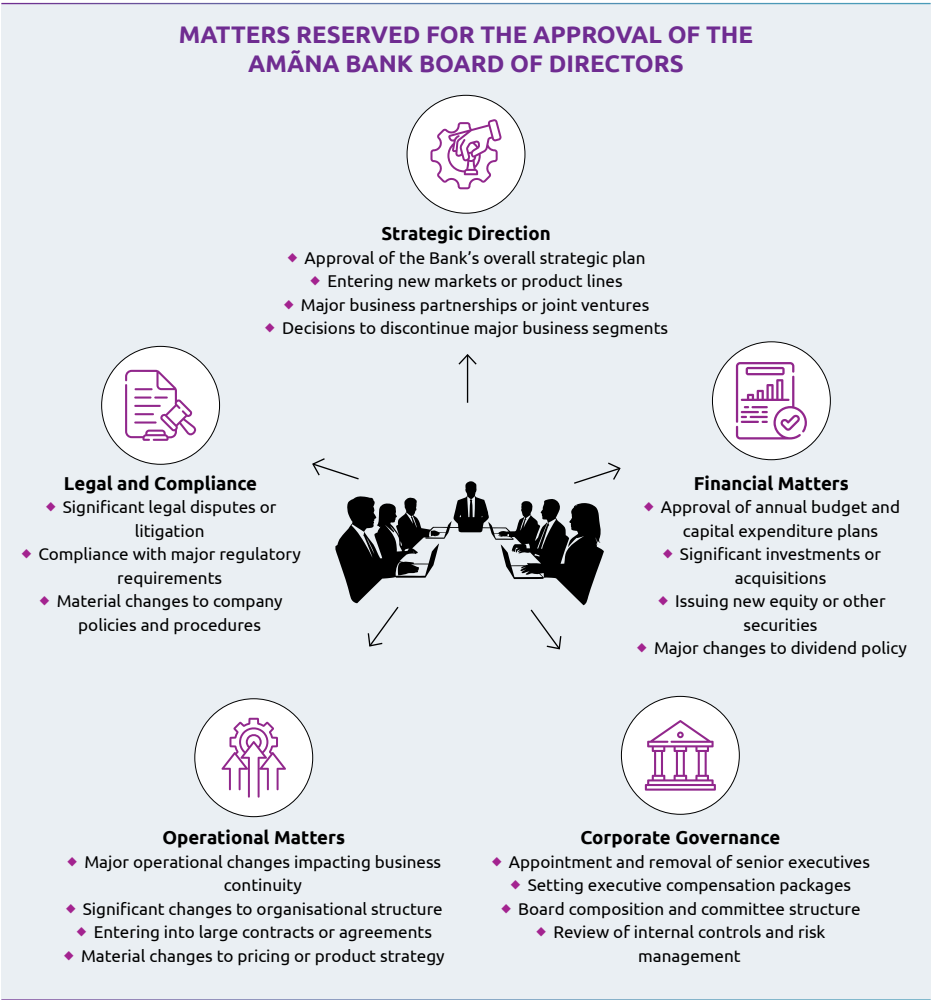
Revival & Rehabilitation Policy	Reviewed and revised in line with the relevant CBSL Directions. The policy which is implemented through the Bank's Business Revival Unit, provides a structured framework for identifying and supporting both performing and non-performing customers experiencing actual or potential financial and business stress arising from reduced income, weakened cash flows or sales, contraction of operations, or temporary business closures
Integrated Risk Management Framework (IRMF):	The IRMF was reviewed and updated in line with the latest direction on Corporate Governance as well as other directives such as ESG Risk and the PDPA
Financial Institutions Policy	Updated to increase the frequency of review along with additional clarity for certain areas
Mobile Banking Unit Operations Policy	Reviewed and updated in accordance with the guidelines established by the Central Bank of Sri Lanka (CBSL) for establishing a mobile banking unit
Customer Complaint Management policy	A new policy established in compliance with the Financial Consumer Protection Regulations/Framework which mandates all banks to adopt a standalone policy covering the end-to-end complaint management process
Information Systems Security Policy	Reviewed and updated in compliance with the ISO/IEC 27001:2022
Treasury Policy, Foreign Exchange Policy	Reviewed and updated to reflect the CBSL regulations on documentation archiving, destruction of records and changes in relation to transaction rates, all to fall in line with regulatory changes/recommendations.
Treasury Risk Limits	Revised in line with business volumes and according to changes in country specific risks
Policy on Related Party Transactions	Amended to align with the updated provisions outlined in the Banking Act Directions No. 05 of 2024, the Banking Act Determination No. 04 of 2024 and the section 9 of the Listing Rules of the Colombo Stock Exchange
Sustainability Banking Initiative Policy	Reviewed to ensure compliance with the annual review requirement as per the direction, and additional inclusion were considered under Strategic alignment, Governance and Reporting
Advances Review Mechanism Policy (ARM)	Reviewed to ensure compliance with the frequency of review

THE BOARD OF DIRECTORS

The Board of Directors of Amāna Bank PLC serves as the apex governing authority of the Bank, providing strategic direction, oversight, and leadership to ensure the long-term sustainability of the Bank. Operating under the Board Charter that defines its Terms of Reference (TOR), the Board is responsible for articulating the Bank's mission, vision, and strategic objectives. In addition to setting strategy, the Board provides entrepreneurial leadership and guidance to the corporate management. In this regard, certain strategic,

financial, operational, and legal decisions are specifically reserved for the approval of the Board.

As the principal custodian of corporate governance, the Board is also entrusted with the responsibility of establishing and maintaining a sound governance framework to uphold the highest standards of integrity, transparency, and accountability, while ensuring full compliance with all applicable legal, regulatory, ethical, and Sharia governance requirements.

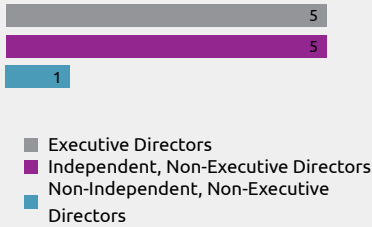


BOARD COMPOSITION

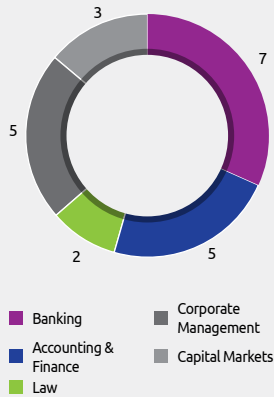
The Bank is governed by a competent, diverse, and well-balanced Board of Directors. The composition of the Board is determined in accordance with the Articles of Association as well as prevailing regulatory requirements.

The Board structure is designed to ensure an appropriate balance of executive and non-executive representation, with a strong presence of Independent Non-Executive Directors to promote objective judgement and robust oversight. The Amāna Bank Board as at 31 December 2025 consisted of 11 Directors - 1 Executive Director and 10 Non-Executive Directors, including 5 Independent Non-Executive Directors. Non-Executive Directors play a critical role in providing independent challenge, reinforcing accountability, and enhancing governance discipline, thereby supporting sound and informed decision-making at Board level.

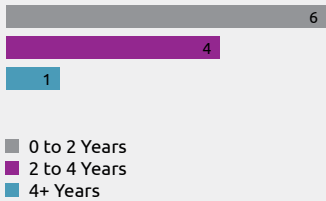
Composition



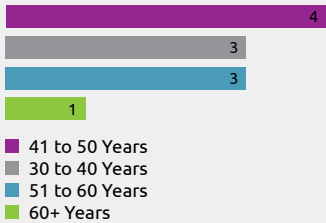
Diversity of Experience

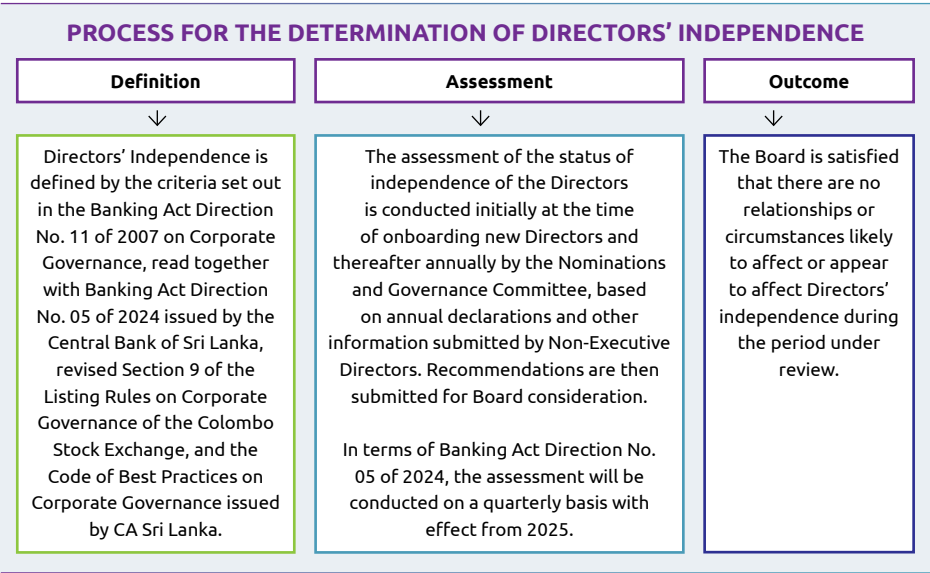


Tenure of Directors



Age





The collective strength of the Board is underpinned by a diverse blend of professional expertise and industry experience spanning banking and finance, risk management, legal and regulatory affairs, sustainability, operations, and corporate strategy. This balanced mix of skills enables the Board to provide effective leadership, anticipate and manage emerging risks, and guide the Bank in capitalising on growth opportunities within an increasingly complex and dynamic operating environment.

The Board has established clear guidelines to ensure an optimal mix of skills, expertise, and independence at Board level, with the Board Nomination and Governance Committee (BNAGC) entrusted with the responsibility conducting periodic reviews of the Board skills matrix to support ongoing alignment with the Bank's strategic priorities, regulatory expectations, and evolving risk landscape.

APPOINTMENT / RE-ELECTION / RESIGNATION / RETIREMENT OF DIRECTORS

The processes governing the appointment, re-election, resignation, and retirement of Directors are formally set out in the Bank's Policy on Corporate Governance, Nominations and Re-election. In accordance with this policy, the appointment of new Directors is undertaken through a structured and rigorous process under the oversight of the Board Nominations and Governance Committee (BNAGC).

In line with the Bank's Articles of Association, one-third of the Non-Executive Directors retire by rotation at each AGM, while remaining eligible for re-election by shareholders, subject to applicable conditions. The BNAGC also reviews the eligibility of Directors seeking re-election, taking into account their performance, attendance, level of engagement, and overall contribution to Board deliberations.

Further, as per the Banking Act Direction, it is mandatory for Directors who have served continuously for nine years or who have reached the age of 70 years (whichever occurs first) to retire at the AGM and are not eligible for re-election.

Meanwhile, in compliance with the CBSL's newly introduced gender diversity requirement, which mandates the presence of at least one female Director on the Board, the BNAGC completed the shortlisting and interview process, and a nominee was identified, which appointment received regulatory approval from the CBSL and was disclosed to the CSE. Should the Board size exceed ten members, the requirement will increase to two female Directors by 2027, in line with regulatory requirements.



Mr. Khairul Muzamel Perera Bin Abdullah
An existing Independent Non-Executive Director, was appointed as the Senior Independent Director of the Bank, replacing Mr. Tishan Subasinghe, with effect from 23 January 2025



Mr. Senthil Nandhanan Senthilvel
Appointed as a Non-Executive, Non-Independent Director with effect from 7 March 2025. This appointment reflects the representation of Senthilvel Holdings (Pvt) Ltd, the Bank's second-largest shareholder



Mr. Pradeep Dilshan Rajeeva Hettiaratchi
Retired from the Board at the Annual General Meeting on 6 May 2025, having completed his nine-year tenure



Mr. Mohamed Adamaly
Appointed as a Non-Executive, Independent Director, reflecting a change from his previous non-independent status. The change was made in compliance with Central Bank of Sri Lanka Directive

PROCESS FOR APPOINTING NEW DIRECTORS TO THE AMĀNA BANK BOARD

Identification of Need

The Board, in consultation with the Board Nominations and Governance Committee (BNAGC), identifies the need to appoint a new Director based on skill gaps, succession planning, or business strategy requirements.

Evaluation and Shortlisting

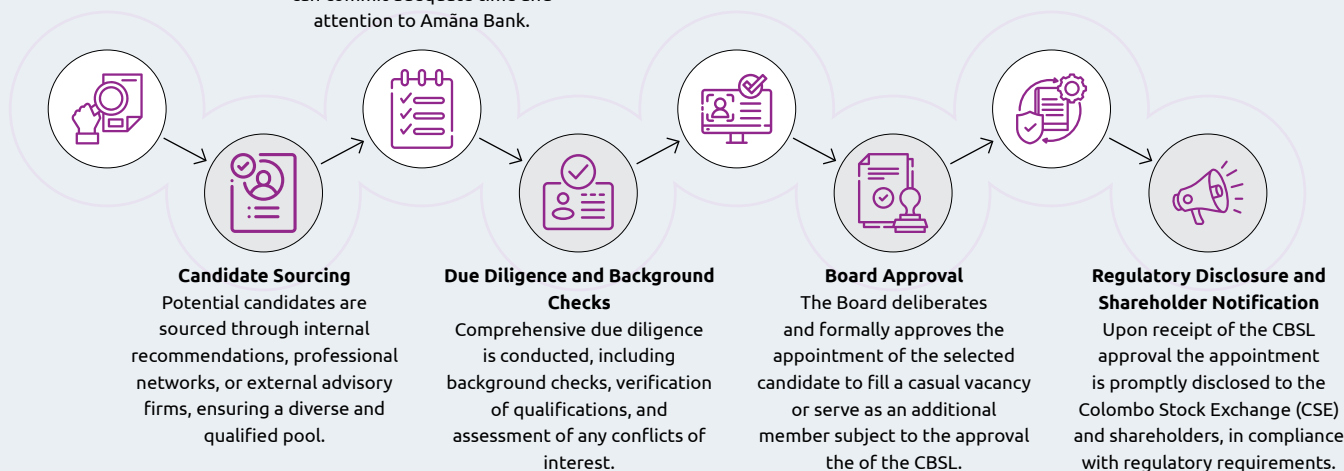
The BNAGC evaluates candidates against a set of criteria, including relevant experience, professional expertise, industry knowledge, and alignment with Bank values and strategic direction. External directorships held by candidates are also reviewed to ensure they can commit adequate time and attention to Amāna Bank.

Recommendation to the Board

The BNAGC presents shortlisted candidates to the Board with its recommendation, outlining how each candidate strengthens the Board's overall composition.

CBSL Clearance

Submission of candidate data to the CBSL for clearance under the fit and proper guidelines.



RESPONSIBILITIES OF INDIVIDUAL DIRECTORS

As a member of the Amāna Bank Board, each Director is expected to commit sufficient time and attention to the Bank's strategic and operational matters. This involves actively participating in Board and if required, Committee meetings, contributing professional expertise, insights, and independent judgment to support informed decision-making, and ensuring alignment with the Bank's long-term objectives. Directors are also required to engage in the annual Board self-assessment process, providing constructive feedback to evaluate their individual and collective contributions to the effectiveness of the Board.

MANAGING CONFLICTS OF INTEREST

All Board members are required to act with integrity and in good faith, upholding their fiduciary responsibilities to shareholders and other stakeholders. As part of this

responsibility, Directors must proactively avoid situations that may give rise to actual, perceived, or potential conflicts of interest.

Directors are further required to exercise due diligence in identifying and promptly disclosing any interests or relationships that could present a conflict. On appointment and thereafter bi-annually, each Director submits a formal declaration to the Board Related Party Transactions Review Committee (BRPTRC), detailing their external directorships, shareholdings, and interests in other entities. The BRPTRC is responsible for reviewing these disclosures and recommending appropriate measures to the Board to manage or mitigate any identified conflicts, thereby safeguarding the integrity of Board decision-making.

DIRECTORS REMUNERATION

Amāna Bank's Remuneration Policy, outlines the process for determining

remuneration for Directors, Executives, and Employees. Accordingly, Executive Directors' remuneration combines both fixed and variable elements. The fixed component is structured to be market competitive on par with industry standards, while the variable element is directly linked to the achievement of the Bank's strategic objectives as set out by the Board.

Remuneration of Key Management Personnel (KMP) is also structured in the same manner. Meanwhile, Non-Executive Directors are compensated by way of a fixed fee for serving as a member of the Amāna Bank Board, and Membership in Sub-Committees as applicable. Such fees are benchmarked against industry standards and reviewed periodically by the Board to ensure continued alignment with market practices.

INDUCTION AND TRAINING FOR DIRECTORS

All newly appointed Directors to the Amāna Bank Board are required to participate in a formal induction programme to gain a thorough understanding of the Bank's operations, governance framework, and operating environment. Each new Director receives a comprehensive orientation pack comprising key internal and external reference materials, including governance charters, regulatory guidelines, strategic plans, and operational policies. The induction process also includes interactive sessions with the Board and Key Management Personnel (KMPs) and may involve branch visits to gain practical insights into the Bank's business operations.

Continuous learning and professional development of Directors is considered a top priority. Director training, coordinated by the Company Secretary, typically covers critical areas such as emerging industry trends, risk management, regulatory compliance, corporate governance best practices, and evolving legal and prudential requirements applicable to financial institutions. Directors are also encouraged to undertake continuous professional development to enhance their knowledge and stay abreast of changes in relevant laws, CSBL directives, and market developments.

All costs associated with Director induction and training are borne by the Bank.

DIRECTOR TRAINING – 2025

A session on Corporate Governance and Banking Regulations was delivered to Directors, Key Management Personnel (KMPs), and Middle Managers by Mr. Aroosi Thassim, Former Deputy Governor of the CSBL.

Mr. Mohamed Kiyasudeen, Chief Information Officer conducted a training session to the Board on Regulatory Framework on Technology Risk Management and Resilience.

Mr. Ajmal Naleer, Chief Compliance Officer updated the Board on the recent regulatory and compliance developments.

Sustainability Disclosure Standards: Awareness session on SLFRS S1 & S2 conducted by Deloitte Associates for the Board.

The Annual High-level Awareness Conference for Board of Directors of Licensed Banks, Licensed Finance Companies, Money or Value Transfer Service Providers, Primary Dealers, Stockbrokers, and Microfinance Companies in Sri Lanka was held at the CSBL, with three directors representing the Bank.

BOARD SUCCESSION PLANNING

Board succession planning is critical to ensuring continuity of leadership, preserving institutional knowledge, and sustaining strong governance over time. In keeping with global best practices, Board succession planning is overseen by the Board Nominations and Governance Committee (BNAGC).

Succession planning for Non-Executive Directors is managed through regular assessments conducted by the NGC to evaluate the Board composition, skill mix, independence, diversity, and tenure. The Board skills matrix is used as the source for identifying current and emerging capability requirements based on potential gaps arising from retirements, tenure limits, or changes in independence status.

Succession planning for Executive Directors is closely aligned with the Bank's leadership development and talent management pipeline. The BNAGC, in collaboration with the Board Human Resource and Remuneration Committee, oversees the identification and development of potential internal successors for Executive Director roles, including the Managing Director/Chief Executive Officer. This process is facilitated largely through the annual performance appraisal process for employees and KMP's. Where internal succession is not feasible or does not fully meet the Bank's strategic needs, the BNAGC may recommend an external search to ensure access to the best available talent. All appointments are subject to fit and proper assessments and approval by the Board and relevant regulatory authorities.

DELEGATION OF AUTHORITY

Delegation of authority is facilitated through a clear division of responsibilities at the leadership level to ensure no one individual has unfettered decision making power. Accordingly, Amāna Bank's Chairman performs a distinctly different from that of the Bank's Managing Director/CEO, thereby reinforcing accountability, preventing conflicts of interest, and upholding professional integrity.

Moreover, given that Amāna Bank's Chairman - Mr. Ali Asghar Akbarally serves in the capacity of a Non-Executive, Non-Independent Director, the Bank has appointed a Senior Independent Director, Mr. Khairul Muzamel Perera Bin Abdulla who is currently serving as the Senior Independent Director of Amāna Bank.

**Chairman – Ali Asghar (Asgi) Akbarally**

- ◆ Leading the Board in providing strategic oversight and direction
- ◆ Ensuring board effectiveness by promoting the active participation of all Board members and facilitating robust debate and dialogue at Board meetings
- ◆ Collaborating with the Company Secretary and MD/CEO to set the Board's annual work plan and agenda
- ◆ Upholding stakeholder trust and confidence
- ◆ Facilitating effective and regular communication with shareholders and ensuring their perspectives are communicated to the Board
- ◆ Ensuring a proper balance of power between Executive and Non-Executive Directors
- ◆ Overseeing the effectiveness and performance of the Board and its Sub-Committees

**Senior Independent Director – Khairul Muzamel Perera Bin Abdullah**

- ◆ Act as a trusted intermediary, offering independent views for Non-Executive Directors.
- ◆ Address Board effectiveness issues by raising concerns with the Chairman or Board members.
- ◆ Support the Chairman and MD/ CEO on Board matters and Director interactions.
- ◆ Be available for confidential discussions with Directors on unresolved significant concerns.
- ◆ Serve as the primary contact for Director concerns about the Chairman -MD/CEO relationship.
- ◆ Meet Non-Executive, Independent Directors annually and discuss matters relating to the Bank and its Board.
- ◆ Meet Non-Executive Directors without the presence of the other Directors to discuss the Chairman's performance. .
- ◆ Attend shareholder meetings and stay informed about their concerns

**Managing Director/CEO – Mohamed Azmeer**

- ◆ Preparing and recommending budgets aligned with the Bank's strategic goals for Board approval
- ◆ Monitoring the Bank's performance and ensuring compliance with regulatory and policy frameworks, with regular reporting to the Board
- ◆ Ensuring that the Bank operates within the risk appetite approved by the Board
- ◆ Establishing a well-structured and efficient organisational framework for the Bank
- ◆ Overseeing effective succession planning for the Executive Team and evaluating their performance
- ◆ Promoting a culture aligned with the Bank's core values

**Company Secretary - Mrs. Samitha Dayani de Silva**

- ◆ Guide the Board in fulfilling its duties and responsibilities effectively in line with best practices in Corporate Governance.
- ◆ Inform the Board about relevant legislative and regulatory changes.
- ◆ Ensure that Board and General Meetings are conducted in line with the Articles of Association, applicable statutes, and regulations.
- ◆ Maintain accurate and detailed minutes of Board meetings, which are reviewed by the Chairman, circulated to Board members, and approved at the subsequent meeting.
- ◆ Keep the official minute book accessible for inspection by any Director.
- ◆ Provide all Board members with full access to advice and services to ensure compliance with proper procedures, rules, and regulations.
- ◆ Facilitate Directors requests for independent professional advice, at the Bank's expense

BOARD SUB COMMITTEES

Board Sub-Committees support the Board in discharging its responsibilities by enabling focused oversight of key governance, risk, and control areas. By facilitating deeper analysis and informed deliberation, Board Sub-Committees enhance the quality of decision-making, strengthen accountability, and promote sound governance practices.

All Board Sub-Committees are appointed by the Board and operate under clearly defined Terms of Reference approved by the Board. In keeping with good governance best practices, the Chairman of each Board sub-committee is required to present an update to the Board outlining any significant matters discussed at their respective Board sub-committee meetings held since the previous Board meeting. Information on each board sub-committee is given under the respective sub-committee report.

COMPANY SECRETARY

The Company Secretary of Amāna Bank plays a key role in supporting the Board's effectiveness and reinforcing the Bank's governance framework. Acting as a trusted advisor to the Board, the Company Secretary provides guidance on corporate governance, regulatory compliance, and serves as the key facilitator of the Board process. All Directors have unrestricted access to the Company Secretary on Board matters. The appointment of the Company Secretary is a Board matter and follows a rigorous evaluation process, including mandatory fit and proper clearance by the CBSL. The performance of the Company Secretary is reviewed annually by the Board, ensuring that the role consistently upholds the highest standards of governance and supports the Bank's strategic objectives.

BOARD AND BOARD SUB COMMITTEE
EVALUATION

The performance of the Board and its Board Sub-Committees is subject to an annual evaluation conducted through a structured self-assessment completed by all Directors. The assessment examines the adequacy of the Board’s composition and balance, the effectiveness of its strategic oversight, the quality of deliberations and decision-making, and the overall functioning of the Board and its Committees. Insights arising from this process are used to identify gaps, and drive continuous enhancements to the Bank’s governance practices and Board effectiveness.

EVALUATING THE PERFORMANCE OF
THE CEO

The performance of Managing Director/CEO is evaluated annually through a formal and structured process overseen by the Board Human Resources and Remuneration Committee (BHRRC).

The assessment is conducted against clearly defined performance criteria approved by the Board, encompassing the achievement of strategic and financial objectives, risk management and compliance, leadership effectiveness, execution of the Bank’s business plan, and adherence to the Bank’s values and governance standards, including Sharia principles. Both quantitative outcomes and qualitative factors, such as people leadership, succession development, stakeholder management, and culture, are also considered as part of the evaluation process.

Findings from the assessment along with recommendations presented to the Board for review and approval. The final evaluation

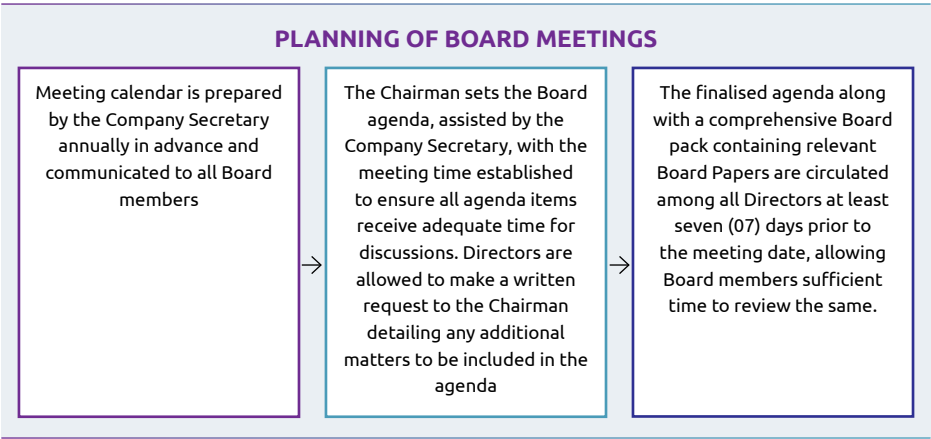
outcome informs decisions regarding adjustments to Managing Director/CEO’s remuneration, performance incentives, development needs, and, where relevant, succession planning.

BOARD MEETINGS

To effectively discharge its oversight and strategic responsibilities, the Board of Directors meets every month or more frequently if required. Board meetings are scheduled in advance under the direction of the Chairman, in consultation with the Company Secretary, who is entrusted with the responsibility of preparing the annual Board calendar and circulating it to all Directors upon finalisation.

At Board Meetings, the Chairman fosters an environment that encourages open, constructive dialogue and the expression of diverse viewpoints, while ensuring that discussions remain focused, disciplined, and aligned to the agenda.

Members of the Bank’s Management Committee (ManCom) are often invited to attend Board meetings, where appropriate, to provide insights, clarifications, and updates on matters within their respective areas of responsibility.



The Company Secretary is responsible for accurately recording the proceedings of each Board meeting. Draft minutes are reviewed and approved by the Chairman prior to being formally circulated to Directors and relevant members of Corporate Management who participated in the meeting, ensuring transparency, accuracy, and effective follow-up on Board decisions.

In 2025, the Board meeting process was further streamlined with the introduction of a digital Board Pack. The new digital platform incorporates enhanced functionality to improve accessibility, efficiency to expedite the transition away from paper-based approvals, thereby enhancing the overall effectiveness of Board decision-making process.

A TOTAL OF 12 BOARD MEETINGS WERE HELD IN 2025.

Name of the Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination and Governance Committee		Board Integrated Risk Management Committee		Board Related Party Transactions Review Committee		Board Human Resources & Remuneration Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Ali Asghar Akbarally ¹	10	12	-	-	8	10	5	5	-	-	-	-	1	1
Mr. Mohamed Azmeer ⁵	11	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah ²	11	12	-	-	-	-	5	5	6	6	-	-	-	-
Mr. Dilshan Hettiaratchi ³	4	4	-	-	4	4	-	-	-	-	1	1	-	-
Mr. Mohammed Ataur Rahman Chowdhury ³	11	12	2	2	-	-	3	5	5	6	-	-	1	1
Mr. Syed Muhammed Asim Raza ³	11	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Tishan Subasinghe ⁴	11	12	7	7	-	-	1	1	-	-	4	4	-	-
Mr. Mohamed Adamaly ⁴	12	12	-	-	6	10	-	-	-	-	-	-	-	-
Mr. Mohammad Hassan ³	12	12	3	5	-	-	-	-	-	-	-	-	-	-
Mr. Delvin Pereira ⁴	11	12	-	-	10	10	4	5	6	6	4	4	1	1
Mr. Azreen Zaheer ⁴	12	12	7	7	-	-	4	4	-	-	4	4	1	1
Mr. Senthilvel Senthil Nandhanan ³	9	10	-	-	-	-	-	-	-	-	-	-	-	-

Mr. Dilshan Hettiaratchi retired from the Board w.e.f 6 May 2025

Mr. S. Senthil Nandhanan was appointed to the Board w.e.f 7 March 2025

Please refer profiles of Board of Directors from pages 10 to 20 for additional details.

1- Chairman, Non-Executive, Non-Independent Director

2- Non-Executive, Senior Independent Director

3- Non-Executive, Non - Independent Director

4- Non-Executive, Independent Director

5- Managing Director/CEO

KEY BOARD RESPONSIBILITIES**Regulatory Compliance**

The Board remains the ultimate authority accountable for ensuring that the Bank conducts its operations in full compliance with all applicable legal, regulatory, and ethical requirements. In discharging this responsibility, the Board ensures that effective systems, policies, and processes are in place to promote institution-wide regulatory compliance and to identify, assess, and manage compliance risks on an ongoing basis. The Board, assisted by the Board Sub-Committees and the Bank's Management Committee (ManCom), together provide supervision over the Bank's compliance framework and control environment.

In furtherance of its compliance oversight responsibilities, the Board also continuously monitors regulatory developments and engages with regulators, industry bodies, and subject matter experts, as required.

Additionally, formal communication channels have been established to enable employees and external stakeholders to raise compliance-related concerns or report potential breaches in a confidential and timely manner.

Internal Control and Financial Reporting

The Board bears overall responsibility for the adequacy, effectiveness, and integrity of the Bank's system of internal control and financial reporting. In fulfilling this responsibility, the Board ensures that a robust control environment is established and maintained to safeguard the Bank's assets, support the reliability and accuracy of financial information, and promote compliance with applicable laws, regulations, and accounting standards.

The Board provides oversight to ensure that comprehensive internal control frameworks, including financial, operational, compliance, and information technology controls, are designed and implemented commensurate with the Bank's risk profile and business

complexity. Through delegated oversight to relevant Board Sub-Committees, particularly the Board Audit Committee (BAC), the Board monitors the effectiveness of controls over financial reporting, the integrity of accounting records, and the appropriateness of accounting policies, estimates, and judgements applied in the preparation of financial statements.

The Board also ensures that timely, accurate, and complete financial information is produced to support informed decision-making and statutory disclosures. This includes oversight of the financial reporting process to ensure that the Bank's financial statements present a true and fair view of its financial position, performance, and cash flows in accordance with applicable financial reporting standards and regulatory requirements.

Further, the Board, assisted by the BAC oversees the independence, scope, and effectiveness of both internal and external audit functions, and ensures that identified control deficiencies, audit findings, and management letter points are addressed promptly through appropriate remedial actions.

Moreover, as a Sharia-compliant financial institution, the Amāna Bank Board is dedicated to ensuring its financial control and reporting processes adhere to Islamic banking principles. The Board, in collaboration with the Sharia Supervisory Council, monitors compliance with Sharia requirements in financial transactions, ensuring that the Bank's activities align with ethical and Islamic banking values.

For more information, please refer to:

- ◆ The Directors' Statement on Internal Control Over Financial Reporting - page 192
- ◆ The Annual Report of the Board of Directors on the Affairs of the Bank - page 194
- ◆ The Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting - page 193
- ◆ The Statement of Directors' Responsibility - page 213
- ◆ The Sharia Governance Report - page 217

Risk Management and Internal Control

The Board is responsible for setting the Bank's Risk Appetite Statement to ensure the overall risk profile remains aligned with the Bank's strategic objectives, capital strength, and regulatory expectations.

To discharge its responsibilities effectively, the Board has established the Integrated Risk Management Framework (IRMF), encapsulating policies and procedures for managing all material risk categories, including credit, market, liquidity, operational, information security, ESG, and compliance risks. The Board regularly reviews risk reports and key risk indicators to evaluate emerging risks and the adequacy of mitigation strategies.

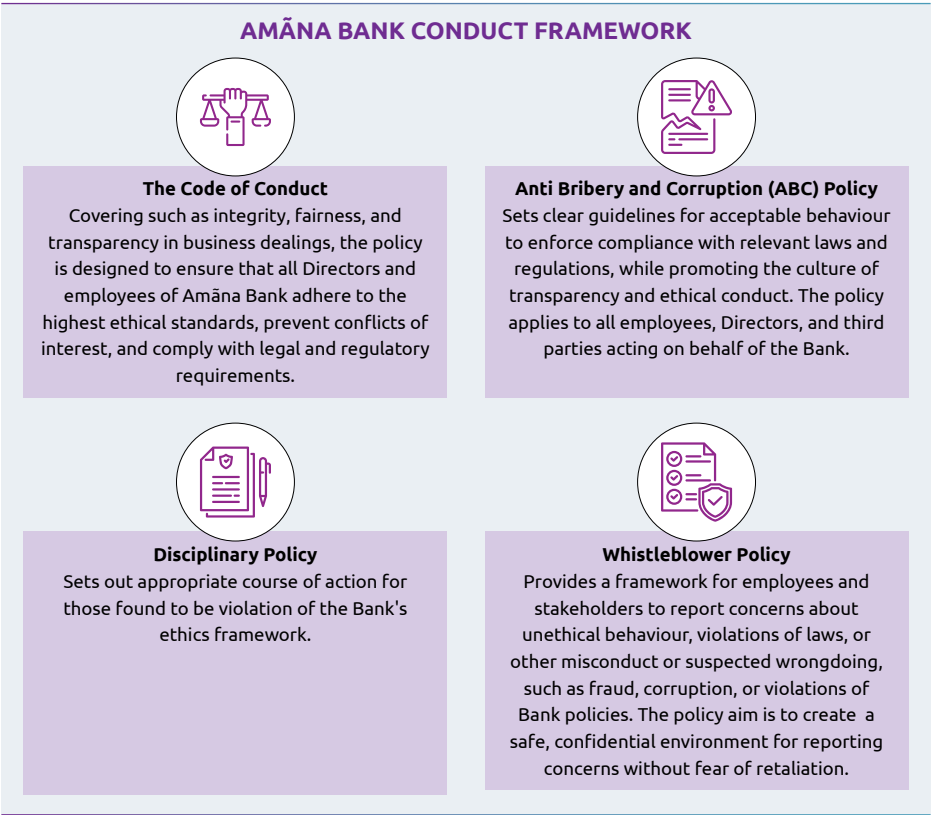
The Board is supported in its oversight role by the Board Integrated Risk Management Committee (BIRMC), which undertakes detailed review and monitoring of the Bank's risk exposures, while the Board Audit Committee (BAC) supports the Board by providing assurance on the effectiveness of internal controls, the integrity of financial reporting, and the adequacy of controls over risk management processes.

Working closely with the BIRMC, and BAC, the Board seeks to ensure that the risk, compliance, and audit functions operate with sufficient authority and independence.

As part of its risk oversight responsibilities, the Board also sets the tone from the top for promoting the risk-awareness culture to enable employees at all levels to understand the importance of risk management.

Conduct and Ethics

The Board recognises that ethical behaviour is fundamental to sustaining stakeholder trust and safeguarding the Bank's reputation, and has institutionalised a comprehensive conduct framework to embed ethical considerations into day-to-day decision-making and operations.



Information Technology (IT) Governance

As the highest governing body of the Bank, the Board approves and oversees Amāna Bank’s IT strategy and governance framework.

Operating under the delegated authority of the Board, the Bank’s Chief Information Officer (CIO) is responsible for overseeing the planning, implementation, and performance of technology initiatives. The CIO is tasked with ensuring IT investments deliver measurable business value, enhance operational resilience and efficiency, and support innovation while remaining within approved risk parameters.

Human Capital Governance

The Board provides strategic oversight of human capital matters, ensuring alignment between the Bank’s people strategy, business objectives, ethical values, and regulatory requirements.

To support effective oversight, the Board has delegated specific responsibilities relating to human capital governance to the Board Human Resources and Remuneration Committee (BHRRC). Acting under a clearly defined mandate, the HRRC oversees the formulation and review of human resource policies, succession planning, talent management, performance management frameworks, and remuneration structures, ensuring these are fair, competitive, performance-linked, and aligned with the Bank’s risk appetite and long-term strategy. The BHRRC also monitors leadership development and succession plans for senior management and key roles, providing assurance on continuity and capability at critical levels of the organisation.

Operational responsibility for the implementation and day-to-day management of human resource policies and practices is delegated to the Head of Human Resources. The Head of HR is accountable for executing Board and BHRRC approved strategies, managing workforce planning, recruitment, learning and development, employee relations, and organisational culture initiatives, while ensuring compliance with labour laws, regulatory guidelines, and internal governance standards. Regular reporting to the BHRRC and the Board enables effective oversight, transparency, and timely escalation of material human capital risks and issues.

Stakeholder Engagement

The Board sets the guiding principles and expectations for effective engagement with key stakeholder groups, while the responsibility for executing and managing stakeholder engagement on a day-to-day basis is delegated to the Bank’s Management Committee (ManCom).

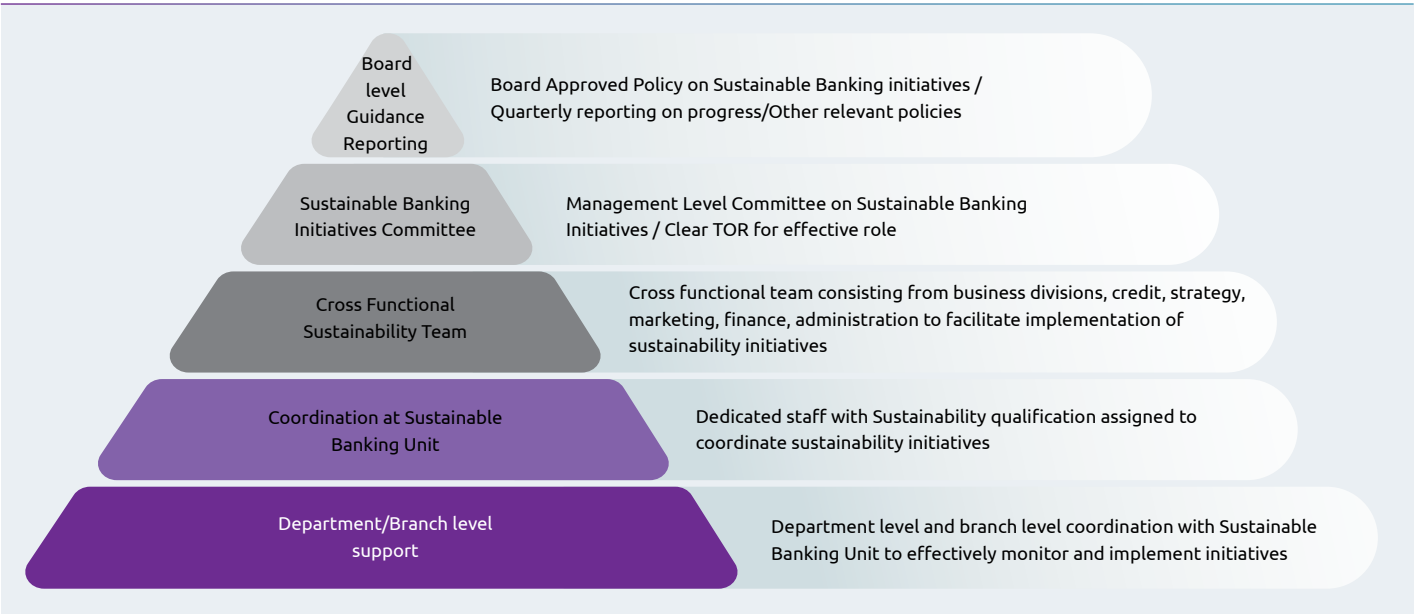
Acting within the parameters established by the Board and Executive-level governance structures, the ManCom is responsible for designing and implementing structured engagement initiatives to proactively identify, assess, and respond to stakeholder expectations, concerns, and emerging issues. Regular updates and reporting to the Board provide assurance that stakeholder relationships are managed effectively, transparently, and in a manner that supports sustainable value creation.

Further details on the methodologies employed for engaging with different stakeholders, including the frequency of engagement and other pertinent information, can be found in the Stakeholder Engagement section on page 58 of this report.

Sustainability and Climate Governance
The Amāna Bank Board undertakes to oversee the Bank’s sustainability strategy and performance to ensure alignment with regulatory expectations and global best practices. A dedicated Sustainable Banking

Initiatives Policy, developed in alignment with the Central Bank of Sri Lanka’s Sustainable Finance Road Map and Green Finance Taxonomy guidelines, establishes general parameters to guide the Bank’s sustainable banking initiatives.

Implementation of the Sustainable Banking Initiatives Policy is vested in the Sustainable Banking Initiatives Committee (SBIC), a management-level committee chaired by the Managing Director / CEO and comprising members of the ManCom. The SBIC is responsible for shaping the Bank’s sustainable banking strategy, formulating operational guidelines, and ensuring the consistent integration of sustainability considerations across business activities. SBIC shall report to the Board through, BIRMC, on a regular basis on the progress, developments and updates on the Sustainable banking initiatives. Further, regulatory reporting shall be carried out as stipulated by the regulator in a timely manner.



Shareholder Relations

The Board is committed to fostering strong relationships with shareholders by ensuring timely, accurate, and transparent communication on the Bank’s strategic direction, financial performance, and material decisions affecting their investments. Regular CSE disclosures, quarterly and annual financial statements, and the annual report keep shareholders informed of the Bank’s performance and prospects. The Board also encourages two-way dialogue, providing shareholders opportunities to participate in the Annual General Meeting or to communicate directly with the Company Secretary.

Annual General Meeting

The Annual General Meeting (AGM) serves as the primary forum for shareholders to engage directly with the Bank’s leadership. The presence of all Directors and members of the ManCom at the AGM facilitate meaningful two-way dialogue between shareholders and key decision-makers.

The Annual Report, AGM notice, resolutions requiring shareholder approval, and voting instructions are circulated at least 15 working days in advance, providing shareholders sufficient time to review and prepare.

Amāna Bank’s 16th AGM in 2025 concluded successfully with strong shareholder participation. The 17th AGM is scheduled to be held on 14 May 2026.

REPORT OF THE SENIOR INDEPENDENT DIRECTOR

I wish to state that as the Senior Independent Director (SID) of Amāna Bank PLC, I have performed my duties and responsibilities in accordance with the Board approved Terms of Reference (TOR). I was present at Twelve Board meetings held during the year 2025 and wish to confirm that all Directors have demonstrated their capacity for strong, independent judgement and objectivity when deliberating Board decisions. I have been serving in this position since 23 January 2025.

Throughout the year, I also actively observed the work carried out by the Chairman of the Board and the Managing Director/Chief Executive Officer of the Bank, to ensure that there is a clear division of responsibility between the two.

Furthermore, to keep in line with the Corporate Governance Rules of the Colombo Stock Exchange I met with the Independent Non-Executive Directors during the year under review and discussed matters relating to the Bank and its Board. I met with the Non-Executive Directors without the presence of the Executive Directors and Chairman, to discuss the Chairman's performance assessment and the outcome of the results were discussed at a subsequent meeting held after the financial year. The outcome of these meetings were communicated to the Board members.

I attended all scheduled meetings in line with the regulatory requirements during my tenure as SID, which have helped to further strengthen Amāna Bank's relationships with all regulatory authorities.

In conclusion, I wish to state that Amāna Bank is led by an effective and competent Board that remains committed to ensuring the interests of the Bank and its stakeholders to be the foremost priority.



Khairul Muzamel Perera Bin Abdullah

26 February 2026

Rule Number	Rule	Status of Compliance
ULTIMATE RESPONSIBILITY AND ACCOUNTABILITY OF THE BOARD		
	The Board shall be ultimately responsible and accountable to oversee the management of affairs and the governance framework of the bank, business strategy, financial soundness, and risk management and to ensure that the business of such bank is carried out in compliance with all applicable laws and regulations and is consistent with safe and sound banking practices. Directors shall make objective decisions in the interest of bank's depositors, creditors, shareholders, and other stakeholders. Any decision taken by the directors shall be presumed to be a decision taken by the Board of directors (Board) collectively, except for a director who expressly dissents for any such decision.	
1.1	The Responsibilities of the Board	
1.1	The Board shall exercise "duty of care" and "duty of loyalty" to the bank with a view to strengthening the safety and soundness of the bank by ensuring the implementation of the following:	
1.1 (a)	Approve and oversee the bank's strategic objectives and corporate values in terms of bank's long-term goals and ensure that these are properly communicated throughout the bank;	Compliant. The Bank's strategic objectives and corporate values are integral components of the Board-approved Strategic Plan. The Annual Budget, aligned with this plan, has also received Board approval. To ensure alignment and accountability, the Management Committee regularly evaluates these strategic objectives and corporate values during their meetings. Each member of the Management Committee is responsible for disseminating this information throughout the organisation, engaging all staff levels through consistent meetings, briefings, and discussions.
1.1 (b)	Approve the overall business strategy of the bank, including the overall risk policy and risk management procedures and mechanisms with measurable goals, at least for the next three years;	Compliant. The Bank's overall Strategic Plan was prepared for the next five years which includes business strategy and measurable goals was approved by the Board subsequent to detailed deliberation. This also includes the financial projections. Board approved Risk Policy and the Integrated Risk Management (IRM) Framework includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. These are monitored regularly and annually reviewed to dynamically and effectively manage the risk appetite of the Bank. The Strategic plan for 2026 – 2030, received Board approval on the 22nd day of January 2026.
1.1 (c)	Inculcate a strong risk governance culture by; (i) identifying the principal risks and ensuring implementation of appropriate systems to manage risks prudently,	Compliant. Identifying the principal risks and reviewing the Integrated Risk Management Framework (IRMF) are carried out through the Board Integrated Risk Management Committee (BIRMC) annually. A stringent risk management process has been established and the detailed procedures have been covered in the respective risk management policies and appropriate strategies have been adopted according to Bank's risk appetite. The BIRMC uses a comprehensive dashboard to monitor the risk appetite prudently and reports to the Board through a well-structured Risk reporting system. BIRMC Chairman's report consisting of deliberations and minutes of the BIRMC are submitted to the Board periodically.

Rule Number	Rule	Status of Compliance
	(ii) establishing well-defined organisational responsibilities for the three lines of defence of the bank, viz., - the business lines, - the risk management function and the compliance function which are independent from the first and third lines of defence, and, - the internal audit function which is independent from the first and second lines of defence.	Compliant. The Bank has established a robust Three Lines of Defense framework to ensure clear accountability and functional independence. The first line comprises business units responsible for direct risk ownership; the second line consists of the Risk Management and Compliance functions which directly fall under the reporting purview of the BIRMC, which provide independent oversight and challenge to the first line; and the third line is the independent Internal Audit function, which maintains strict autonomy from both the first and second lines to provide objective assurance to the Board under the supervision of the BAC.
	(iii) ensuring that the risk management, compliance, and internal audit functions are properly positioned, sufficiently staffed and resourced to carry out the responsibilities independently, objectively and effectively. The responsibilities of risk management, compliance and internal audit functions are provided in Schedule II, III and IV, respectively; (iv) defining the risk appetite of the bank aligning with the bank's strategic, capital, and financial plans, which is articulated through a Risk Appetite Statement, and, (v) outlining the actions to be taken when stated risk appetite limits are breached, including disciplinary actions for excessive risk taking, escalation procedures and notifications to the Board of directors. - Establish a policy to ensure that the Board is not dominated or significantly influenced by a director or a group of directors in a manner that is detrimental or prejudicial to the interests of the depositors, creditors, and the bank as a whole; - Approve implementation of a policy of communication with all stakeholders, including regulators, depositors, creditors, shareholders, and borrowers; - Review the adequacy and the integrity of the bank's internal control systems and management information systems;	Compliant. As discussed, all three lines of defense are well equipped to carry out the responsibilities independently under the supervision of the BIRMC and BAC, and are headed by the Chief Risk Officer (CRO), Chief Compliance Officer (CCO) and the Chief Internal Auditor (CIA). Compliant. The BIRMC along with the concurrence of the Board defines the Bank's Risk appetite taking into account the bank's financial plans, strategic direction and Capital which is articulated through the Risk Appetite Statement. Compliant. BNAGC approved and recommended the policy on Board Balance and avoidance of undue influence. Compliant. Approved Policies in relations to shareholders and investors, marketing and corporate communications are in place. The Bank has designated a separate staff member for shareholders to contact and to respond to their queries. Compliant. BAC reviews the adequacy and the integrity of the Bank's internal control system and management information systems (Core-banking) and supplementary tools and systems are reviewed on a regular basis. The adequacy and the integrity of the Bank's internal control systems and MIS systems are determined by the Internal Audit Department regularly who submit a report to the BAC. The BAC and the Board have examined the report for 2025 and have expressed their satisfaction on the adequacy and integrity of the MIS.

Rule Number	Rule	Status of Compliance
	g. Ensure implementation of effective control systems for managing the related party exposures and avoiding any conflicts of interest that may arise from related party transactions;	Compliant. The Board takes necessary steps in line with the Banking Act, Corporate Governance Directions and the Bank's Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflicts of interest that may arise from any transactions of the Bank. The Board Related Party Transaction Review Committee meets quarterly to identify and review such transactions. The BRPTRC committee, in its final meeting of 2025, recommended implementing a process to obtain monthly disclosures from directors who represent shareholders with significant trading exposures.
	h. Approve and oversee the business continuity and disaster recovery plans to ensure financial stability, operational resilience and preserve critical operations and services including core-banking systems during any disruptive event;	Compliant. The Board of Directors approves and maintains active oversight of the Bank's Business Continuity Plan (BCP) and Disaster Recovery (DR) Plan which are formulated under the purview of the BIRMC, which are reviewed annually to ensure operational resilience.
	i. Oversee the approach to remuneration, including monitoring and reviewing remuneration and ensure alignment of remuneration with bank's risk culture and risk appetite;	Compliant. The remuneration Policy and planning (including monitoring and reviewing) is approved and recommended by the BHRRC on an ongoing basis.
	j. Identify and designate key management personnel, who are in a position to;	Compliant. The BNAGC is delegated with the functions of selection, nomination and election of KMPs in line with the approved Terms of Reference (TOR) of the BNAGC by the Board
	i. significantly influence over policies,	
	ii. direct activities, and,	
	iii. exercise control over business activities, operations, and risk management.	
	k. Define the areas of authority and key responsibilities for the Board of directors themselves and for the Chief Executive Officer (CEO) and the key management personnel;	Compliant. Segregation of duties and authorities between the Board of Directors, MD/CEO and KMPs is in place, where Directors are responsible for strategic decisions and MD/CEO is responsible in heading the executive functions of the Bank and the KMPs are responsible for carrying out these decisions. Article 31 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the MD/CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the Board Nomination and Governance Committee (BNAGC) and approved by the Board.

Rule Number	Rule	Status of Compliance
	1. Ensure that there is appropriate oversight of the affairs of the bank by CEO and key management personnel, who is consistent with the Board's strategies and policies;	Compliant. The Board of Directors maintains robust oversight of Key Management Personnel (KMPs) through structured reporting at Board and Sub-committee meetings. To ensure strategic alignment, KMPs engage in ongoing consultations with the MD/CEO and are required to deliver regular, comprehensive presentations to the Board regarding their respective functional areas.
	m. Periodically assess the effectiveness of the Board of directors' own governance practices, including:	Compliant. The BNAGC is delegated with the functions of selection, nomination and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNAGC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors.
	(i) the selection, nomination and election of directors, CEO, and key management personnel;	
	(ii) the management of conflicts of interests: and,	Article 34 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained by the Company Secretary. Furthermore, management of conflicts of interest is covered in the Board approved Policy of Related Party transactions.
	(iii) identification of weaknesses and implementation of improvements where necessary;	The Board, through the self-evaluation process, will implement improvements as necessary.
	n) Approve the criteria for self-assessment to be undertaken by each director annually and maintain records of such assessments.	Compliant. The Bank has a self-evaluation process in place for the Board of Directors to assess their governance practices. The Company Secretary submits a summary of this self-evaluation to the Board for review and appropriate action, if necessary. The duly completed self-assessments for the year 2025 have been submitted to the Company Secretary.
	o) Ensure that the bank has an appropriate succession plan for CEO and the key management personnel as explained in Direction 6.4 i);	Compliant. The Succession Plan for Key Management Personnel received Board approval on 21 December 2024 and is currently in place. The subsequent changes to the original succession plan have been updated as confirmed by the BHRRC.
	p) Meet regularly, on a needs basis, with CEO and the key management personnel to review policies, establish communication lines and monitor progress towards corporate objectives;	Compliant. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees relating to matters under their purview and bring up any concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are reviewed and approved by the Board, thereby ensuring appropriate Board oversight.

Rule Number	Rule	Status of Compliance
	q) Keep abreast of material changes in the regulatory environment and ensure that the bank maintains an effective relationship with regulators;	Compliant. To stay abreast of material changes in the regulatory environment and ensure the Bank maintains an effective relationship with regulators, the Bank utilises a multi-tiered governance and compliance framework. The Company Secretary serves as the statutory liaison with the Registrar of Companies and provides a comprehensive Board Orientation Pack to new Directors, ensuring they are informed of Company law related guidelines, regulatory requirements, and corporate governance rules from the outset of their appointment. Complementing this, the Chief Compliance Officer (CCO) acts as the primary facilitator for regulatory communications, submitting quarterly compliance reports and AML/CFT Dashboards to the Board through the BIRMC to keep leadership updated on the latest regulatory shifts. Furthermore, the Board fosters proactive relationships with regulatory bodies through the active participation of the MD/CEO and Board members in formal meetings, ensuring the Bank's strategic direction remains aligned with the evolving oversight landscape.
	r) Exercise due diligence in the hiring and oversight of external auditors;	A Policy in place which governs the process of hiring and dealing with external auditors under the supervision and purview of the BAC.
	s) Conduct itself in a professional and an ethical manner and shall not receive any undue financial or non-financial benefits including shareholders or any other stakeholder of the bank;	Compliant.
	t) Inculcate a sound corporate culture which reinforces norms for professional, ethical and prudent behaviour throughout the bank. Approve and oversee the implementation of a Code of Conduct based on corporate values providing clear guidelines on professionally and ethically acceptable behaviours of directors and employees addressing inter alia the issues on confidentiality of data, conflicts of interest, procedures for dealing with financial and non-financial benefits and gifts, integrity in reporting, and the fair treatment to customers;	Compliant. Compliant as per the policy on Internal Code of Business conduct and Ethics for all directors and employees.
	u) Ensure timely rectification of the supervisory concerns raised by the regulator/s and for this purpose, the assistance of the relevant sub-committees shall be sought;	Compliant. All regulatory findings as outlined through the CBSL statutory examination have been met as at Q4 2025.

Rule Number	Rule	Status of Compliance
	v) Approve a whistleblowing policy with a view to encouraging employees to communicate confidentially the legitimate concerns regarding illegal, unethical or questionable practices without the risk of reprisal. The policy shall be reviewed at least on an annual basis. The whistleblowing policy shall clearly specify: (i) the persons to whom the concerns can be escalated within the bank; (ii) procedures for investigating legitimate material concerns raised by the employees; (iii) procedures to ensure protection and anonymity of the employees who raise concerns due to any detrimental treatment or reprisals; and, (iv) alternative avenues for whistleblowing to regulators w) Promote sustainability through appropriate environmental, social and governance considerations in the bank's business strategies and ensure that policies are in place to assist businesses that are greener, climate-friendly and socially inclusive.	Compliant. The Board approved 'Whistleblowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action. Compliant. The Board approved policy for sustainable banking initiatives is in place.
1.2	APPOINTING CHAIRPERSON AND CEO	
1.2	The Board shall appoint the Chairperson and CEO and define and approve the functions and responsibilities of the Chairperson and CEO in line with Direction 5 of these Directions.	Compliant. The functions and responsibilities of the Chairman and the MD/CEO are appropriately defined and approved by the Board in line with Direction 5. The roles of Chairman and Managing Director/Chief Executive Officer are held by separate individuals.
1.3	BOARD MEETINGS	
1.3	The Board shall meet at approximately monthly intervals and Board meetings shall be held at least twelve times a year. Such regular Board meetings shall normally involve active deliberation of a majority of directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible. The Board approvals obtained through circulation shall be ratified at the Board meeting held immediately following the circulation. The Board may convene and/or a Board member may attend the Board meetings virtually subject to ensuring active involvement of the relevant directors and attending Board meetings physically at least on a half yearly basis.	Partially Compliant. The Board ensures that it meets on a regular basis and has held thirteen (13) meetings during the year 2025. Board resolutions via circulation are considered only in exceptional, critical, or urgent situations. Six (06) circular resolutions were passed during the year and were subsequently ratified by the Board. Overseas Directors who attend Board meetings virtually, have physically attended Board meetings at least on a half yearly basis, except for a Director who physically attended only 1 meeting.

Rule Number	Rule	Status of Compliance
1.4	BOARD PROCEDURES	
1.4	a) The Board shall ensure that arrangements are in place to enable all directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of banking business, risk management and conduct of employees of the bank. b) The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all directors an opportunity to attend. For all other Board meetings, reasonable notice may be given. c) The Board procedures shall ensure that a director who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a director. Participation at the Board meetings through an alternate director shall, however, be acceptable as attendance.	Compliant. The Agenda, Minutes and Board Papers are forwarded to the Directors in line with Corporate Governance directions and Board approved procedures. Any Director may request the Company Secretary to include an agenda item that he/she may think is necessary to be discussed at the subsequent meeting relating to the promotion of business and the management of risks. The management also delivers reports on regular agenda items to the Board and its Committees. The Company Secretary may include such matters in the agenda with the concurrence of the Chairman. Compliant. Notice of Board Meetings and Board Papers are circulated to the Directors at least 7 days prior to the meeting to provide them an opportunity to prepare and attend the meeting. However, all meetings of the Board and Board Sub Committees scheduled for the year are informed to the Directors by the commencement of the financial year. Compliant. The Board Meetings have been duly attended and the Directors have attended the required number of meetings during the year 2025 in accordance with the Corporate Governance code. The attendances of the Directors are set out in Page 141 of the Annual Report.
1.5	APPOINTING A COMPANY SECRETARY	
1.5	a) The Board shall appoint a company secretary who satisfies the provisions of Section 43 of the Banking Act, whose primary responsibilities shall be to handle the secretariat services to the Board and shareholder meetings and to carry out other functions specified in the statutes and such other written laws for the time being in force. b) All directors shall have access to advice and services of the company secretary with a view to ensuring that Board procedures and all applicable laws, rules and regulations are followed. c) The company secretary shall implement the recommendations made by the Nomination and Governance Committee on training, capacity building and professional development programs for the directors.	Compliant. Board appointed member of the Chartered Governance Institute of the UK who meets the requirements of Section 43 of the Banking Act No. 30 of 1988 (as amended), was serving as the Company Secretary of the Bank. Compliant. All Directors have equal opportunity to access the Company Secretary's advice and services. A Board approved policy is in place in this regard. Compliant. Throughout the year, the Board of Directors participated in several specialised training sessions to enhance their oversight capabilities. Key sessions included a deep dive into the regulatory framework for technology risk management and resilience led by the Chief Information Officer. Additionally, the Chief Compliance Officer conducted a dedicated session on the Banking Act Directions on Corporate Governance for Licensed Banks, alongside regular ongoing updates on emerging regulatory and compliance trends. Key Board Members also participated in a High Level Awareness Conference arranged by the Central Bank.

Rule Number	Rule	Status of Compliance
	d) The company secretary shall maintain the minutes of Board meetings together with the recordings of meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any director or the regulator.	Compliant. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved procedure that enables all Directors to have access to such minutes as per the Corporate Governance code.
1.6	MAINTAINENCE OF BOARD MEETING MINUTES	
	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following:	Compliant. Comprehensive Minutes of the Board meetings are recorded with sufficient details and maintained by the Company Secretary in order to enable the assessment made of the depth of the Board deliberation, decisions, matters considered by the Board and also on approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.
	a) a summary of data and information and justifications/ rationale used by the Board in its deliberations;	Compliant.
	b) the matters considered by the Board;	Compliant.
	c) the fact-finding discussions reflecting the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence;	Compliant.
	d) the testimonies and confirmations of relevant key management personnel which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations appropriately;	Compliant.
	e) the Board's knowledge and understanding of the risks to which the bank is exposed to, and an overview of the risk management measures adopted; and,	Compliant.
	f) the Board resolutions and decisions.	Compliant.
1.7	OBTAINING INDEPENDENT PROFESSIONAL ADVICE	
1.7	There shall be a procedure agreed by the Board to enable directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the bank's expense. The Board shall resolve to provide separate independent professional advice to directors to assist the to assist the relevant director or directors to effectively discharge the duties.	Compliant. A Board approved Policy is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.

Rule Number	Rule	Status of Compliance
1.8	MANAGING CONFLICTS OF INTEREST	
	a. Directors shall avoid conflicts of interest, or the potential conflicts of interest, in the activities with, and commitments to, other organisations, related parties and other stakeholders. b. A director shall abstain from participating in any discussion in relation to a matter in which he/she or any of his/her close relation or a concern in which he/she has substantial interest, is interested, nor shall receive the access to the information pertaining thereto, including accessing such information both physically and/or electronically.	Compliant. Article 34 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained by the Company Secretary. Furthermore, management of conflicts of interest is covered in the Board approved Policy of Related Party transactions. Compliant. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 05 of 2024. This procedure further evidences that the Director concerned is to abstain from voting and not participate in the discussion in a relationship / concern in which he has an interest. Furthermore, the Director disclosures of interest (if any) are tabled at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes.
	c. Directors shall ensure that the relationships between the directors amongst themselves as well as between the directors, CEO and key management personnel are at a level that does not result in excessive familiarity, undue influence or coercion. d. The Board shall approve and oversee the implementation of a policy to identify and manage conflicts of interests, which shall include: i. a Board member's duty to promptly disclose any matter that may result, or has already resulted, in a conflict of interest; ii. a Board member's duty to avoid, to the extent possible, activities that could create conflicts of interest or the potential conflicts of interest including political affiliations; iii. situations where conflicts may arise when serving as a Board member; iv. a Board member's responsibility to abstain from participating in discussions on any Board decisions in relation to which he/she or any of his/her close relations or a concern in which he/she has substantial interest, is interested; and, v. the measures to be taken in the event of any non-compliance with the policy.	Compliant. BNAGC recommended the policy on Board Balance and avoidance of undue influence in compliance with this direction. Compliant. BNAGC approved a Policy on management of Board conflict of interests in compliance with this Direction. Compliant. Compliant. Compliant. Compliant. Compliant.

Rule Number	Rule	Status of Compliance
1.9	REQUIREMENT TO INFORM ON INABILITY TO MEET OBLIGATIONS	
	The Board shall, if it considers that the bank is, or is likely to be, unable to meet its obligations or about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the bank prior to taking any decision or action.	Compliant. Such a situation has not arisen during the year 2025. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arises at the Bank prior to taking any decision or action in this regard.
1.10	COMPLIANCE WITH PRUDENTIAL REQUIREMENTS	
	The Board shall ensure that the bank is capitalised at levels as required by the Central Bank of Sri Lanka in terms of the capital adequacy ratio and other prudential requirements imposed by the Central Bank of Sri Lanka from time to time.	Compliant. The Bank complies with the regulatory and prudential requirements relating to the Capital Adequacy Ratio as specified by the Central Bank of Sri Lanka (CBSL). Furthermore, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.
1.11	ANNUAL CORPORATE GOVERNANCE REPORT	
	The Board shall publish in the bank's Annual Report, an Annual Corporate Governance Report setting out the compliance with these Directions.	Compliant. The Corporate Governance Report is published on Pages 133 to 189 of this Annual Report.
BOARD'S COMPOSITION		
	The Board's composition shall ensure a healthy mix of knowledge, qualifications, skills, experience in relevant disciplines, gender and have varied backgrounds to promote diversity of views commensurate with the size, scale, diversity and complexity of operations of the bank. The qualifications and experience shall be in banking, finance, economics, accounting, business administration, information technology, risk management, law or any other relevant discipline as may be determined by the Central Bank of Sri Lanka.	Compliant. The Board comprises a well-balanced mix of knowledge, qualifications, skills, and experience, with diversity in professional backgrounds and gender, appropriate to the size, scale, diversity, and complexity of the Bank's operations. The Directors collectively possess extensive expertise in the fields of banking, finance, accounting, law, and business administration, among other relevant disciplines. The Board is satisfied that this composition ensures diversity of views, sound judgement, and effective oversight in the discharge of its responsibilities.
2.1	PROCEDURE FOR APPOINTING DIRECTORS	
	a) There shall be a formal and transparent procedure for the appointment of new directors to the Board. There shall also be Board approved procedures in place for the orderly succession of to the Board.	Compliant. The BNAGC is delegated with the functions of selection, nomination and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNAGC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors subject to the approval of the CBSL.
	b) A director or an employee of a bank shall not be appointed, elected or nominated as a director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Compliant. Such a situation has not arisen during the year 2025. None of the Directors of the Bank are the Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit and declaration obtained and submitted to CBSL annually.

Rule Number	Rule	Status of Compliance
2.2	NUMBER OF DIRECTORS	
	a) The number of directors on the Board shall not be less than 7 and not more than 13. The number of directors shall be commensurate with the size, scale, diversity and complexity of operations of the bank. b) The Board shall have at least one female representative by 31.12.2025 and the Boards with more than 10 members shall have at least two female representatives by 31.12.2026.	Compliant. The Board comprises of eleven (11) Directors as at 31.12.2025 which is in line with the regulation. Partially Compliant. Pursuant to the recommendation of the BNAGC the fit and proper declaration along with the affidavit relating to the appointment of female director was submitted to CBSL in December 2025 and the approval was received in January 2026.
2.3	EXECUTIVE DIRECTORS	
	A member of the key management personnel of the bank may be appointed, elected or nominated as a director of the bank (hereinafter referred to as an "executive director") provided that the number of executive directors shall not exceed one-third of the number of directors of the Board. In such an event, one of the executive directors shall be CEO of the bank.	Compliant. The MD/CEO is the only "Executive Director" of the Board, thereby ensuring the number of executive directors did not exceed one-third of the number of directors of the Board.
2.4	NON-EXECUTIVE DIRECTORS	
	Non-executive directors shall be suitable professionals with credible track record of good conduct and integrity and have necessary knowledge, skills and experience to bring an independent judgment to effectively address issues of strategy, performance and resources and to contribute towards the sustainability of the bank.	Compliant. The Bank complies with this requirement by ensuring that all Non-Executive Directors appointed possess a credible track record of good conduct and integrity, along with the necessary knowledge, skills, and experience. This enables them to exercise independent judgment effectively in addressing matters related to strategy, performance, resources, and the sustainability of the Bank.
2.5	INDEPENDENT DIRECTORS	
	a) At least half of the total number of directors shall be independent non-executive directors. Licensed banks shall comply with this Direction by 01.01.2027. b) A non-executive director shall not be considered independent if he/she: (i) has direct and indirect voting and/or non-voting shareholdings of more than 1 per cent of the bank; (ii) currently has or had during the period of two years immediately preceding his/her appointment as director, any business transactions with the bank as described in Direction 7.2, exceeding 10 per cent of the regulatory capital of the bank; (iii) has been employed by the bank during the two-year period immediately preceding the appointment as director;	Compliant. The Board consists of five (5) Independent Non-Executive Directors out of a total of eleven (11) Directors as at 31.12.2025. Compliant. All Independent Non-Executive Directors have sufficiently satisfied the Independency Criteria set out in the Directions herein.

Rule Number	Rule	Status of Compliance
	(iv) currently has or had during the period of two years immediately preceding his/her appointment as director, a material business relationship with the bank; (v) has a close relation who is a director or CEO or a member of the key management personnel or a material shareholder of the bank. For this purpose, a "close relation" shall mean the spouse or a dependent child; (vi) represents a specific stakeholder of the bank; (vii) is an employee or a director or a material shareholder or has a material business relationship in a company or business organisation; a. which currently has a transaction with the bank as defined in Direction 7.2 of these Directions, exceeding 10 per cent of the regulatory capital of the bank, or b. in which any of the other directors of the bank are employed or are directors or are material shareholders except for the appointments recommended by the financial sector authorities, or, c. in which any of the other directors of the bank have a transaction as defined in Direction 7.2, exceeding 10 per cent of regulatory capital in the bank. (viii) currently is or has been during the period of one year immediately preceding his/her appointment as director, serving as a consultant/ advisor or principal consultant/ advisor in the case of a firm providing consultancy to the bank; and, (ix) currently is or has been during the period of one year immediately preceding his/her appointment as director, an engagement partner of a firm providing audit services to the bank. <i>The requirements of Direction 2.5 b) with extended compliance dates are provided in Schedule V.</i>	
	c) The independent non-executive directors shall be expressly identified in all corporate communications that disclose the names of directors of the bank.	Compliant.

Rule Number	Rule	Status of Compliance
2.6	REPRESENTATION THROUGH ALTERNATE DIRECTORS	
	a) Representation through an alternate director is allowed only in exceptional circumstances as approved by the Board for a maximum period of one year from the date of such appointment with prior approval of the Director of Bank Supervision under the provisions of Section 42 of the Banking Act. b) In the event an alternate director is appointed to represent an independent director, the person so appointed shall also meet the criteria that applies to the independent director. c) An existing director of the bank cannot be appointed as an alternate director to another existing director of the bank. d) An individual appointed as an alternate director to one of the directors cannot be appointed as an alternate director to another director in the same Board.	Compliant. The Bank did not have any Alternate Directors appointed to the Board for the period under review.
2.7	QUORUM FOR THE BOARD MEETINGS	
	At least half of the Board members shall constitute the quorum for the Board meetings. A meeting of the Board shall not be duly constituted, although the number of directors required to constitute the quorum at such meeting is present, unless more than one third of the number of directors present at such meeting are independent non-executive directors. Licensed banks shall comply with this Direction by 01.01.2026.	Board of the Bank comprises of Ten (10) Non- Executive Directors out of the total of eleven Directors. Hence the quorum for Board meeting has been in line with the Direction.
SUITABILITY OF DIRECTORS		
3.1	A person who serves or wishes to serve as a director of a licensed bank shall comply with the following requirements.	
	The provisions of Section 42 and Section 76H of the Banking Act shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a director of a licensed bank. Non-compliance with any criteria set out therein shall disqualify a person to be appointed, elected or nominated as a director or to continue as a director. The prior approval of the Director of Bank Supervision shall be obtained for the fitness and propriety of each person to be appointed, elected or nominated as a director of a licensed bank in terms of Section 42 and Section 76H of the Banking Act.	Compliant. The appointment and continuation of Directors are in full compliance with Sections 42 and 76H of the Banking Act, and that prior approval of the Director of Bank Supervision has been obtained for the fitness and propriety of each Director.

Rule Number	Rule	Status of Compliance
3.2	ADDITIONAL REQUIREMENTS FOR SUITABILITY OF DIRECTORS	
	a) The age of a person who serves as a director shall not exceed 70 years.	Compliant. No member of the Board for the period under review, is or has exceeded the age of 70 years.
	b) The total period of service of a director other than a director who holds the position of CEO or key management personnel position shall not exceed nine years.	Compliant. No member of the Board for the period under review, is or has exceeded the prescribed period of 9 years.
	c) A person shall not hold office as a director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the bank.	Compliant. No member of the Board for the period under review, is or has exceeded the prescribed regulatory limit on directorships of 20.
	d) Directors shall have sufficient time to carry out the responsibilities as a director of the bank.	Compliant.
3.3	COOLING-OFF PERIOD	
	A director or CEO of a licensed bank operating in Sri Lanka shall not be appointed as a director or CEO of another licensed bank operating in Sri Lanka before the expiry of a period of six months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Central Bank of Sri Lanka.	Compliant. Such a situation has not arisen during the year 2025. None of the Directors of the Bank have been appointed as a director of another licensed bank in Sri Lanka before the expiry of a period of six months from the date of cessation of his/her office, and the Bank has not appointed any person as a Director who ceased to be a director of another licensed bank in Sri Lanka before the expiry of six months.
DELEGATION OF FUNCTIONS		
The Board shall comply with the following requirements in delegating its functions.		
4.1	DIVISION OF RESPONSIBILITIES	
	There shall be a clear division of the responsibilities at the Board level and the key management level to ensure a greater balance of power and authority, so that powers are not concentrated in any individual.	Compliant.
4.2	SPECIFIC MATTERS FOR BOARD DECISIONS	
	The Board shall have a formal schedule of matters specifically reserved for its decisions to ensure that the direction and control of the bank is firmly under its authority.	Compliant. A formal schedule of matters specifically reserved for the Board's decision is outlined in the Policy on Matters Related to the Board.
4.3	RESTRICTIONS TO DELEGATE	
	The Board shall not delegate any matters to a Board committee, CEO, executive directors or key management personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Compliant. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
4.4	REVIEW OF DELEGATION PROCESS	
	The Board shall review the delegation processes in place on a periodic basis to ensure that they remain relevant to the needs of the bank.	Compliant.

Rule Number	Rule	Status of Compliance
CHAIRPERSON AND THE CEO		
There are two key aspects of management of every bank, viz., (a) the overall governance by the Board, and (b) the day-to-day management of the bank's business by CEO, in line with Board approved strategic objectives, corporate values, overall risk policy and risk management procedures.		
5.1	The roles of Chairperson and CEO shall be separate and shall not be performed by the same individual. The division of responsibilities between Chairperson and CEO shall be clearly established and set out in writing.	Compliant. The roles of the Chairperson and MD/CEO are clearly separate and the Chairperson and the MD/CEO are two individuals.
5.2	SUITABILITY OF THE CHAIRPERSON	
	a) The Chairperson shall be an independent non-executive director. In the event the Chairperson becomes non-independent after the initial appointment, as an interim arrangement, the Board shall designate an independent director as the Senior Director for a period not exceeding six months with suitably documented terms of reference. The designation of the Senior Director shall be disclosed in the bank's Annual Report. b) Where a non-independent director is currently serving as the Chairperson, such director may continue to serve as the Chairperson for a further period not beyond 31.12.2027, subject to applicable laws and regulations including Direction 3. c) A Chairperson appointed after the effective date of this Direction shall be an independent non-executive director.	Compliant. The Chairman (who was appointed to the Board before the effective date of this Direction) is a Non Independent/ Non-Executive Director. Hence, the Board has designated an Independent Director, Mr. Khairul Muzamel Perera Bin Abdulla as the Senior Independent Director with effect from 23 January 2025, in place of Mr. Subasinghe Mudiyanseelage Tishan Harendranath Subasinghe who resigned when restructuring the subcommittees in line with these directions. Designation of Senior Director is disclosed on page 13 of the Annual Report.
5.3	RESPONSIBILITIES OF THE CHAIRPERSON	
	a) provide leadership to the Board and ensure the Board works effectively and duly discharges its responsibilities; b) ensure that all key and appropriate issues are discussed by the Board in a timely manner; c) approve the agenda for each Board meeting, considering where appropriate, any matters proposed by the other directors for inclusion in the agenda. The Chairperson may delegate the preparation of agenda to the company secretary; d) ensure that all directors are properly briefed on issues arising at Board meetings and also ensure that directors receive adequate information in a timely manner;	The Chairman provided strong leadership to the Board and ensured that it effectively discharged its responsibilities during the period under review. The Chairman ensured that all key and appropriate issues were discussed by the Board in a timely manner. The Chairman has delegated the drafting of the agenda to the Company Secretary, which is prepared in consultation / approval with the Chairman. The Board papers are forwarded to the Board members seven (7) days prior to the meeting and the Chairman ensured that the Board is adequately briefed and informed of all matters arising at the Board. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation

Rule Number	Rule	Status of Compliance
	e) encourage all directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interests of the bank; f) facilitate the effective contribution of non-executive directors in particular and ensure constructive discussions between executive and non-executive directors; g) encourage all directors to make critical and constructive discussions at the Board meetings and ensure that dissenting views can be freely expressed and discussed within the decision-making process; h) not engage in activities involving direct supervision of key management personnel, other employees or any other executive duties whatsoever; and, i) ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank based on their field of expertise. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process is evident that the Non-Executive Directors assess the contributions made by them to the Bank. The Chairman encourages all directors to engage in critical and constructive discussions during meetings and ensures that dissenting views are freely expressed and thoughtfully considered within the decision-making process. The Chairman is a Non-Executive Director and does not get directly involved in the supervision of KMPs or any other executive duties. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues. This is evidenced through the "Policy on Relations with Shareholders and Investors"
5.4	CONDUCT OF THE CEO	
	a) CEO shall function as the apex executive-in-charge of the day-to-day management of the bank's operations and business and shall not hold any other executive functions. b) CEO shall not be appointed or nominated as an employee or a director of another licensed bank or any other company/institution/entity except as a non-executive director of a subsidiary or an associate company of the licensed bank.	Compliant. MD/CEO functions as the apex executive-in-charge of the day-to-day management of Bank's operations and business. Compliant.
	In the event CEO is appointed as a non-executive director of a subsidiary or an associate company of the licensed bank, he/she shall ensure that such duties do not affect the effective discharge of responsibilities as CEO.	Compliant.
5.5	SUITABILITY OF CEO	
	The person appointed as CEO shall be a fit and proper person to hold such position in terms of Section 44A and Section 76H of the Banking Act, and shall possess sufficient authority, stature, knowledge, competencies, and expertise in the core banking functions given the size, scale, diversity and complexity of operations of the bank.	Compliant. The MD/CEO continues to satisfy the Fit and Proper criteria established by the CBSL, as evidenced by the formal Affidavit and Declaration submitted to and duly approved by the regulator.

Rule Number	Rule	Status of Compliance
BOARD SUB-COMMITTEES		
Each licensed bank shall have at least five Board committees as set out in Directions 6.2 – 6.6 of these Directions.		
6.1	REQUIREMENTS FOR THE BOARD COMMITTEES	
	a) Each committee shall report directly to the Board.	Compliant. Each Sub-Committee Reports Directly to the Board of Directors.
	b) Board shall set out the authority of each committee, and in particular, whether the committee has the authority to act on behalf of the Board or simply has the authority to examine a particular issue and report back to the Board with recommendations.	Compliant. Each sub-committee operates under a specific Terms of Reference (TOR) that defines its scope of authority and responsibilities.
	c) Each committee shall have a Board approved Terms of Reference.	Compliant. Each sub-committee carries a TOR as mentioned above.
	d) All committees shall appoint a secretary to inter alia arrange the meetings and maintain minutes, records in sufficient detail, under the supervision of the Chairperson of the committee. The minutes of all committees shall be submitted to the Board.	Compliant. All Board Sub-committees of the Bank consists of a dedicated Secretary who is in charge of maintaining minutes/records in sufficient details under the supervision of the Committee Chairperson. All minutes of the committees are submitted to the Board for perusal.
	e) The quorum of each committee shall consist of at least half of the committee members.	Compliant.
	f) The Board shall present a report on the performance of each committee, on the duties and roles at the annual general meeting.	Compliant. Each Board Committee presents their respective Reports at the AGM in accordance with the regulatory requirement.
6.2	AUDIT COMMITTEE	
	a) The Chairperson of the Committee shall be an independent director and is not the chair of the Board or any other Board committee and shall possess qualifications and experience in finance, accounting and/or auditing, with a membership of a recognised professional accounting body.	Compliant. The Chairman of the BAC is a non-executive, independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
	b) All members of the Committee shall be non-executive directors, with a majority of independent directors. The members shall possess a collective balance of skills and expert knowledge in finance, accounting and auditing commensurate with size, scale, diversity and complexity of operations of the bank.	Compliant. All members of the BAC are Non-Executive Directors with majority of them being independent. The members possess a collective balance of skills and expert knowledge in finance, accounting and auditing commensurate with size, scale, diversity and complexity of operations of the bank.
	c) A majority of the members of the Committee shall not be constituted by the members of the Integrated Risk Management Committee and vice-versa.	Compliant.
	d) The Committee shall make recommendations on matters in connection with:	Compliant.

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	i. the appointment of the external auditor for audit services to be provided in compliance with the relevant statutes; ii. the implementation of the Central Bank guidelines issued to external auditors from time to time; iii. the application of the relevant accounting standards; and iv. the service period, audit fee and any resignation or dismissal of the external auditor, provided that the engagement of the external auditor shall not exceed six years and shall change the particular engagement partner once in every three years.	The appointment of External Auditors for audit services is in compliance with the relevant statutes and as recommended by the BAC. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and any issues raised by the External Auditors in line with CBSL guidelines have been responded accordingly. BAC reviews, discusses and makes recommendations where necessary in relation to the application of the relevant accounting standards at least on a quarterly basis. Change in the Engagement Partner was last made during the year 2025 in consultation with the BAC. Further, all matters related to the service period of the Engagement Partner are discussed by the BAC and recommendations made where necessary. The BAC also reviews and makes recommendations to the Board with regard to the audit fees.
	e) The Committee shall review and monitor the external auditor's independence, integrity, objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Compliant. The External Auditor's scope, objectivity and the effectiveness of the audit process carried out has been discussed by the BAC and is in accordance with the applicable SLAuS. The External Auditor's independence is evidenced through the Engagement Letter and their reports presented to the BAC directly
	f) The Committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the Guidelines issued by the Central Bank of Sri Lanka to External Auditors. The Committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the Committee shall consider: (i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and, (iii) whether the nature of the non-audit services, the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Compliant. Board approved policy on engagement of the External Auditors to provide non-audit services covering the requirements herein is in place.

Rule Number	Rule	Status of Compliance
	g) The Committee shall, before the audit commences, discuss and finalise with the external auditor, the nature and scope of the audit, including: (i) an assessment of the bank's compliance with the relevant Directions in relation to corporate governance and the management's internal control over financial reporting; (ii) the preparation of the financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved. h) The Committee shall review the accounting policies/ systems and the internal control framework with a view to ensuring greater transparency and integrity of the bank's financial reporting process and the adequacy of accounting and other internal controls. i) The Committee shall review the financial information of the bank, in order to monitor the integrity of the financial statements of the bank, its annual report, accounts and quarterly reports prepared for disclosure, and the significant financial reporting judgements contained therein. In reviewing the bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on: (i) major judgmental areas; (ii) any changes in accounting policies and practices; (iii) significant adjustments arising from the audit; (iv) the going concern assumption; and (v) the compliance with relevant accounting standards and other legal requirements. j) The Committee shall discuss issues, problems and reservations arising from the interim and final audits, and any matters the external auditor may wish to discuss including those matters that may need to be discussed in the absence of CEO and key management personnel, if necessary.	Compliant. The BAC has discussed in detail and finalised the nature and scope of the audit with the External Auditors in accordance with the SLAuS on their presentation of the financial statement audit plan for the year ended 31 December 2025, outlining the scope and deliverables of their engagement. Compliant. During the period under review, the BAC reviewed the Bank's accounting policies and systems, as well as the internal control framework, with a view to ensuring transparency and integrity of the financial reporting process and the adequacy of accounting and other internal controls. In carrying out this review, the BAC considered reports, observations, and inputs from both the External Auditors and the Internal Audit function. Compliant. The BAC has a process to review, discuss and approve the quarterly financial statements, year-end audited financial statements and reports for disclosure that are presented by the CFO. Such financial statements are recommended by the BAC for approval of the Board of Directors. Compliant. The Committee has met with the External Auditors twice during the year 2025, in the absence of the executive management to discuss issues, problems and reservation arising from the financial audit.

Rule Number	Rule	Status of Compliance
	k) The Committee shall review the external auditor's management letter and the management's response thereto. l) The Committee shall take the following steps with regard to the internal audit function of the bank: (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work, (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the Chief Internal Auditor (CIA) and senior staff members of the internal audit department; (iv) Recommend any appointment or termination of CIA, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is apprised of resignations of senior staff members of the internal audit department including CIA and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced service providers to submit reasons for resigning; and, (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care. m) The Committee shall consider the major findings of internal investigations and management's responses thereto.	Compliant. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto. Compliant. The BAC reviews and approves the Internal Audit Plan at the beginning of the year, which covers the scope and resource requirement relating to audit plan and satisfies itself that the Internal Audit Division (IAD) has the necessary authority and resources to carry out its work. Internal Audit Programmes are discussed by the BAC as part of the review of the Internal Audit Policy Manual. Further, Internal Audit Scope and Findings related to specific engagements are discussed by the BAC on an on-going basis. Committee also monitors whether appropriate actions are taken by the management based on the IAD recommendations as well as on further actions which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor and senior staff member were endorsed at the BAC meeting held on 26th January 2026. No such appointments or terminations made during the year. No such resignations during the year. Compliant. Compliant. The CEO, CFO, CIA and a representative of the External Auditors attend meetings regularly. The other Senior Management personnel have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2025 in the absence of the Executive Director and all members of the Executive Management.

Rule Number	Rule	Status of Compliance
	n) Other Board members, CEO, CIA, the Chief Financial Officer (CFO), the Chief Risk Officer (CRO), the Chief Compliance Officer (CCO), any other key management personnel and a representative of the external auditors may attend meetings upon the invitation of the Committee for the relevant agenda item. However, at least twice a year, the Committee shall meet with the external auditors without the executive directors being present. o) The Committee shall have: (i) explicit authority to investigate into any matter within its terms of reference; (ii) the resources which it needs to do so; (iii) full access to information; and (iv) authority to obtain external professional advice and to invite outsiders with relevant experience to attend, if necessary. p) The Committee shall meet regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities. q) The secretary of the Committee (who may be the company secretary or CIA) shall record and keep detailed minutes of the Committee meetings. r) The Committee shall: (i) ensure effective implementation of the Board approved whistleblowing policy; and, (ii) ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action. s) The Committee shall act as the key representative body for overseeing the bank's relations with the external auditor.	Compliant. The BAC discusses in detail the major findings of internal investigation and management's responses thereto are also discussed, along with related action points that are agreed upon. Compliant. The Board approved Terms of Reference of the BAC covers the requirements as stipulated. Compliant. The BAC has had seven meetings in the year 2025 and all conclusions are recorded comprehensively in the minutes. Compliant. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings. Compliant. The Board approved 'Whistleblowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters. Compliant. BAC ensures effective implementation of the 'Whistleblowing' policy as well as fair and independent investigation of such matter and appropriate follow-up action. Compliant. The BAC is the key representative body for overseeing the Bank's relations with the External Auditors.

Rule Number	Rule	Status of Compliance
6.3	BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE	
	The Committee shall: a) be chaired by a director who is not the chair of the Board and preferably independent; b) preferably be constituted with a majority of independent directors; c) require CEO to be present at the meetings upon invitation, except when matters relating to CEO are being discussed; d) determine the remuneration policy in relation to salaries, allowances, special payments/benefits made at termination or retirement, and other financial and non-financial benefits made to directors, CEO and the key management personnel; e) set goals and targets for the directors, CEO and the key management personnel; f) evaluate the performance of CEO and the key management personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives; g) ensure that the prior written approval of the shareholders is obtained for any special payments/ financial and non-financial benefits to be made to the directors, CEO and key management personnel at the termination of employment or at the retirement. In the case of licensed banks where the Government of Sri Lanka holds fifty per cent or more of issued capital carrying voting rights of the bank, such prior approval shall be obtained from the Secretary to the Treasury	Compliant. The Committee is being Chaired by an Independent Non-Executive Director who is not the Chairperson of the Board. Compliant. The committee has been constituted with two Independent Non-Executive and Two Non-Independent Non-Executive Directors. Compliant. In accordance with the existing TOR related to the BHRRC, the CEO is a permanent invitee at meetings, except at meetings where matters related to the CEO is discussed. Compliant. BHRRC determines and approves, the remuneration schemes relating to Directors, CEO and Key Management Personnel of the Bank. Compliant. The BHRRC has discussed and approved the goals and targets of each KMP and director for the year 2025 aligned to the Strategic Plan. The BHRRC has agreed that the 2025 Business Plan be considered as the KPI for the CEO. Compliant. In accordance with the existing TOR, the BHRRC carries out performance evaluation of the CEO and the key management personnel against the set targets and goals periodically. Compliant. Shareholder approval is sought for special payments/financial and non-financial benefits to be made to the Directors, CEO and KMPs.

Rule Number	Rule	Status of Compliance				
	h) coordinate with the Integrated Risk Management Committee to ensure that the compensation made to directors, CEO and key management personnel is within the risk appetite limits of the bank; and, i) establish a policy on claw-back arrangements for performance-based payments made to CEO and key management personnel of the licensed bank under the circumstances of inter alia fraud and misappropriation of funds, to the extent of the financial loss caused to the licensed bank. Such policy shall articulate the process to be followed by the licensed bank prior to giving effect to the claw back arrangements ensuring procedural propriety, fair hearing and transparency. The claw-back procedure of the licensed bank shall be incorporated into the employment contracts of CEO and key management personnel and a similar arrangement shall be implemented for the existing CEO and key management personnel.	Non Compliant. Based on BHRRC recommendation the Board has approved the compensation. BHRRC will coordinate with BIRMC in fulfilling this requirement in future. Compliant. The Board has established and implemented a formal Claw-back Arrangement Policy in December 2025, outlining the specific procedures to be followed by the Bank. Accordingly, relevant claw-back provisions have been integrated into the employment contracts of the CEO and KMPs.				
6.4	NOMINATION AND GOVERNANCE COMMITTEE					
	The Committee shall: a) be chaired by an independent director who is not the chair of the Board and shall be constituted with a majority of independent directors. CEO may be present at meetings by invitation except when matters relating to CEO are being discussed; b) implement a formal and transparent procedure to identify, nominate and recommend new directors, CEO and the key management personnel; c) ensure the directors, CEO and the key management personnel are fit and proper persons to hold office as specified in the criteria given in Directions 3 and 8.2 and as set out in the applicable laws and regulations;	Compliant. The Chairman of the BNAGC is an Independent Non-Executive Director and majority of the members of the Committee are independent directors. Compliant. A board approved policy is in place for the selection and appointment of candidates to the Board, CEO and Key Management Personnel. The Board has approved the following appointments of Directors on the recommendation of the BNAGC during 2025.<table><tr><th>Directors</th><th>Approved on</th></tr><tr><td>Mr. Senthilverl Senthil Nandhanan</td><td>07.03.2025</td></tr></table> Compliant. The Directors', MD/CEO's and Key Management Personnel's affidavits and declarations were submitted to BNAGC during the year 2025 for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, MD/ CEO and Key Management Personnel are fit and proper persons to hold office in compliance with the Direction. Further, fit and proper certificates have been submitted and cleared by Central Bank of Sri Lanka, as and when required.	Directors	Approved on	Mr. Senthilverl Senthil Nandhanan	07.03.2025
Directors	Approved on					
Mr. Senthilverl Senthil Nandhanan	07.03.2025					

Rule Number	Rule	Status of Compliance
	d) obtain the views of the Integrated Risk Management Committee in selecting CRO and CCO and that of the Audit Committee in selecting CIA; e) consider and recommend (or not recommend) the re-election of current directors, through periodic evaluation of the performance and contribution made by the director concerned towards the overall discharge of the Board's responsibilities; f) quarterly evaluate the status of independence of the independent non-executive directors in terms of the Direction 2.5 b) and whether such directors have any conflicts of interest that may impede the ability to perform duties independently and notify the changes to the independent status (if any) to the Director of Bank Supervision; g) set the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions; h) consider and recommend from time to time, the requirements of additional/new expertise to the Board and the succession arrangements for retiring directors; i) ensure that the bank has a robust succession plan for CEO and the key management personnel with an effective and transparent process to i) identify qualified and competent persons (internal/external) to fulfil the positions of CEO and key management personnel for succession in short, medium and long term given the size, scale, diversity and complexity of operations of the bank; ii) groom the selected successors for the respective positions by identifying and mitigating the skill/knowledge gaps for the respective area; and, iii) review the succession plan at least on an annual basis j) ensure that the directors are updated on the applicable laws, regulations, macroeconomic policies, latest technological developments and emerging financial sector and market developments relevant to the banking industry on a continuous basis;	Compliant. This process is followed by the Bank as established in the respective TORs. Compliant. BNAGC has considered and recommended re-election of directors in compliance with the Direction. Further BNAGC review the Directors self-evaluation at its meeting. Partially Compliant. BNAGC implemented a process to assess the independence of the directors by obtaining the declaration of independency in the final quarter of 2025 in line with the criteria specified under this direction. Compliant. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNAGC and subsequently approved by the Board. Compliant. Policy and Procedure approved by the Board is in place for the appointment of new Directors. BNAGC has considered the requirements for succession arrangements for Directors and KMPs during the year. Compliant. The Succession Plan for the Management Committee has been reviewed and recommended by the BNAGC and subsequently approved by the Board. Compliant. Compliance Officer and or other Management Committee members are invited periodically once in every four months or as per the requirement to update on changes on regulations, technological developments and market developments and updates.

Rule Number	Rule	Status of Compliance
	k) identify the training needs of the directors and make recommendations to the Board relating to training, capacity building and professional development programs for the directors on a regular basis; l) review the structure, size, qualifications and composition of the Board and Board committees to ensure effective discharge of duties and responsibilities; and, m) ensure that the overall corporate governance framework and policies of the bank are reviewed, updated and effectively implemented considering all applicable laws and regulations and industry/international best practices.	At BNAGC meetings it was discussed and evaluated the requirement and importance of training programmes and a few training programmes were arranged accordingly for the Board of Directors and Senior management. Board composition is reviewed by the BNAGC and the way forward is discussed and considered in line with the regulatory requirements and expectations. Compliant.
6.5	INTEGRATED RISK MANAGEMENT COMMITTEE	
	The Committee shall: a) be chaired by an independent director who is not the chair of the Board or any other Board committee; b) consist of at least three non-executive directors with a majority of independent directors. The Committee members shall have sound collective experience in risk management issues and practices in relation to banking and/or financial services; c) A majority of the members of the Committee shall not be constituted by the members of the Audit Committee and vice-versa; d) require CEO, CRO, CCO and key management personnel supervising broad risk categories, i.e., credit, market, liquidity, operational and strategic risks to attend the meetings on needs basis; e) work with key management personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the Committee; f) establish an independent risk management function responsible for integrated risk management of the bank; g) assess all risks, i.e., credit, market, liquidity, operational, information security and strategic risks to the bank on a monthly basis through appropriate risk indicators and management companies, risk management shall be conducted, both on solo and consolidated basis; h) advise and report to the Board on the bank's exposures against the risk appetite;	Compliant. Refer TOR of BIRMC The Committee is chaired by an Independent Director and is not the Chairman of the Board or other Sub Committees. Committee consists a majority of Independent Directors. All Non-Executive Directors out of which two are Independent Directors) No members are form the Board Audit Committee. MD/CEO, CRO, COO and CFO are made as permanent invitee. BIRMC recommends the policies to the board for approval and any authority delegated by the Board is exercised by the committee strictly in accordance with the authority outlined in the TOR of BIRMC. Independent risk management function is established with clearly defined authority and reporting line to the BoD. IRMF indicates the reporting line of CRO to the BIRMC. All material risks are assessed monthly through risk dashboard and tabled and discussed at BIRMC on a periodic basis. Risk appetite statement along with the tolerance are reviewed and approved by the BoD through BIRMC. (Covered in IRMF)

Rule Number	Rule	Status of Compliance
	i) oversee the functioning of CRO. The Committee shall receive regular reports and communication from CRO and other relevant functions with respect to the risk profile, exposures against the established risk appetite limits and limit breaches; j) oversee the strategies implemented by CEO and the key management personnel for capital and liquidity management and management of all relevant risks of the bank, such as credit, market, operational, information security and strategic risks, to ensure consistency with the stated risk appetite;	Performance and the independence of the CRO are overseen and reviewed by the BIRMC. Exposures against the approved limits are reviewed at BIRMC on a periodic basis through various risk presentation. Strategies implemented by CEO and the KMP to ensure Capital and overall risk management remain aligned with approved risk appetite. ICAAP and Liquidity risk reports and other risks are reviewed at management level committees chaired by MD/CEO with the presence of KMPs.
	k) review the adequacy and effectiveness of all management level committees that are related to risk taking activities, such as the credit committee and the asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee; l) take prompt corrective action to mitigate the effects of specific risks where such risks are at levels beyond the prudent levels decided by the Committee on the basis of the bank's policies and regulatory and supervisory requirements; m) meet at least quarterly to assess all aspects of risk management including updated business continuity plans; n) take prompt corrective actions against the Officers responsible for failure to identify specific risks as recommended by the Committee; o) submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions; p) establish a compliance function to assess the bank's compliance with laws, regulations, regulatory guidelines and approved policies on all areas of business operations. A dedicated compliance officer compliance function and report to the Committee periodically;	BIRMC reviewed adequacy and effectiveness of all management level committee (ERMC, ALCO, ITSC). TOR of these committees were approved by the BIRMC, minutes of above are submitted to the BIRMC confirming the compliance of the TORs of the of the management level committees. Risks are monitored and reviewed by the BIRMC through the dashboard on the risk tolerance/appetite and considers all risk indicators which are negative to the prudent limits decided by the Committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects. The Committee has met six times during the year 2025 and reviewed all aspects of risk Management. The annual BCP drills were conducted in compliance with CBSL requirements and the report of the same was reviewed by the Committee. The Bank's specific risks and the limits are identified by the relevant committees, and decisions are taken collectively. Amongst its other processes, the Bank has a mechanism through risk tools such as Stress Testing, RCP, KRI, RCSA which are used to measure and identify risks proactively and follow up matters are discussed at BIRMC. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions. a. An Independent compliance function is established by a dedicated Chief Compliance Officer to assess adherence to laws, regulations, guidelines and reports to the BIRMC regularly through comprehensive quarterly compliance status report and other risk assessment reviews and reports. The Compliance function also assesses the Bank's internal controls and policies on all areas of business operations.

Rule Number	Rule	Status of Compliance
	q) establish an effective communication and coordination mechanism with the Audit Committee to facilitate exchange of information to ensure effective management of all risks, including emerging risks, and any adjustments needed to the integrated risk management framework of the bank; and, r) without prejudice to the tasks of the Human Resources and Remuneration Committee, examine whether the incentives provided to the employees take into consideration the levels of risk, capital, liquidity and earnings of the bank.	Matters requiring further in-depth assessments are reviewed with the independent review shared by Internal Audit Division. Committee ensures the incentives remain within the budgeted allocations taking into consideration the levels of risk, capital, liquidity and earnings of the Bank., as the same being validated by data from Finance.
6.6	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE	
	The Committee shall: a) be chaired by an independent director who is not the chair of the Board; b) consist of at least three non-executive directors with a majority of independent directors. CEO and relevant key management personnel may attend the meetings on need basis only for the relevant agenda items; c) ensure that a clear policy, procedures and processes are in place for identifying, monitoring and reporting related party transactions on an on-going basis in line with applicable laws and regulations; d) review the related party transactions of the bank including the transactions defined in Direction. 7.2, particularly with the persons who shall be considered as “related parties”, as defined in Direction 7.1, with a view to avoiding any conflicts of interest that may arise from such transactions; e) quarterly report to the Board, the details of related parties, related party transactions and economic consequences of the related party transactions; f) ensure that a director abstains from participating in discussions on any Board decision on transactions in relation to the director or any of his/her close relation or a concern in which the director has substantial interest; and,	The Chairman of the BRPTRC is an Independent Non-Executive Director and all the members of the Committee are independent directors. The committee consists of majority non-executive Directors. MD/CEO and relevant KMPs attend the meetings on need basis only for the relevant agenda items. Under the purview of the BRPTRC TOR, a Board-approved policy for Related Party Transactions is in place, outlining the procedures and processes for ongoing monitoring and reporting of such transactions. Further, a dedicated RPT Procedure manual is maintained by the Finance Department which outlines the specific process of RPT identification and accommodations. The Committee met four times during the year 2025 and conducted an in-depth review of the Bank’s related party transactions, in accordance with the structured policy on Related Party Transactions and in compliance with this section. The approved minutes of the BRPTRC are presented at the Board Meeting for the information of the Board. Additionally, the Chairman of the BRPTRC provides a brief summary of the key discussions and decisions at the subsequent Board meeting. A Board approved policy on Related Party Transactions outlines avoiding conflicts of interests and the process to be adopted if there is a conflict of interest.

Rule Number	Rule	Status of Compliance
	g) ensure that the bank does not engage in transactions with related parties as defined in Direction 7.1 in a manner that would grant such parties “more favourable treatment” than that accorded to other constituents of the bank carrying on the same business. In this context, “more favourable treatment” shall mean: (i) granting of “total net accommodation” to related parties, exceeding a prudent percentage of the bank’s regulatory capital, as determined by the Board. For purposes of this sub-direction; a. “Accommodation” shall mean accommodation as defined in the Banking Act Directions on Maximum Amount of Accommodation/ Large Exposures. b. The “total net accommodation” shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the bank’s share capital and debt instruments with a maturity of 5 years or more. (ii) charging of a lower rate of interest than the bank’s best lending rate or paying more than the bank’s deposit rate for a comparable transaction with an unrelated comparable counterparty; (iii) providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions, which extend beyond the terms granted in the normal course of business undertaken with unrelated parties; (iv) providing services to or receiving services from a related party without an evaluation procedure; and (v) maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	The policy on Related Party Transactions clearly contains an approval process for related party transactions in line with this Direction.

Rule Number	Rule	Status of Compliance
7	RELATED PARTY TRANSACTIONS	
7.1	The following requirements shall apply to related party transactions of licensed banks Related Parties The categories of persons considered as “related parties” for the purpose of this Direction are as follows. a) a director of a licensed bank; b) close relations of such director; c) a concern in which a director of a licensed bank has a substantial interest, being an interest acquired either before or after the appointment as a director of such licensed bank; d) a concern in which a close relation of a director of a licensed bank has a substantial interest; e) a chief executive officer or an officer performing executive functions of a licensed bank in respect of any accommodation granted other than an accommodation granted to such officer under a scheme applicable to the employees of such licensed bank; f) a shareholder of a licensed bank having material interest, whether individual or a concern; g) a subsidiary or an associate company of the licensed bank; h) a holding company of the licensed bank including its subsidiaries, excluding the parent bank and subsidiaries of a bank incorporated outside Sri Lanka; i) a director of a subsidiary or an associate company of the licensed bank; j) a director of a holding company of the licensed bank and its subsidiaries; k) a close relation of a person specified in Direction 7.1 (e) and (f) above; l) a concern, whose director or partner is a director of such bank; m) a concern in which a material shareholder of a licensed bank has substantial interest; and, n) a concern in which a close relation of an individual material shareholder has substantial interest.	The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank’s Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflict of interest that may arise from any transactions of the Bank. The Board Related Party Transaction Review Committee meets quarterly to identify and review such transactions.

Rule Number	Rule	Status of Compliance
7.2	Type of Related Party Transactions The type of transactions with related parties that shall be covered by this Direction shall include the following. - The grant of any type of accommodation, as defined in the Banking Act Directions on Maximum Amount of Accommodation/ Large Exposures of Licensed Banks. - The creation of any liabilities of the bank in the form of deposits, borrowings and investments. - The provision of any services of a financial or non-financial nature provided to the bank or received from the bank. - The creation or maintenance of reporting lines and information flows between the bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction to avoid any conflicts of interest that may arise from any related party transactions.
7.3	Applicability of Banking Act Provisions Licensed banks shall ensure compliance with the provisions of Section 47 and Section 76K of the Banking Act, with respect to accommodation granted to any of its related parties defined in Direction 7.1 as applicable, except for any accommodation granted to a CEO or a member of the key management personnel under a scheme applicable to the employees of the bank.	Compliant. All accommodations granted for Related Parties are done in accordance with the provisions of the Banking Act, and applicable CBSL Directions and Determinations as outlined in the RPT Policy and Procedure Manual of the Bank.
7.4	Accommodation Granted to Directors and Connected Parties Where any accommodation has been granted by a licensed bank to a person or to a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a director of the bank, and if: - the necessary security as approved by the Central Bank of Sri Lanka is not provided, within one year from the date of appointment of such person as a director; and, - any amount due on account of such accommodation, together with interest, if any, is not settled within the period specified at the time of grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of the director, whichever is earlier, in the event such security is not provided by the period as provided in a) above; such director shall be deemed to have vacated the office of director. This Direction, however, shall not apply to a director who at the time of the grant of the accommodation was an employee of the bank and the accommodation was granted under a scheme applicable to all employees of such bank.	Compliant. All accommodations granted for Related Parties are done so in accordance with the provisions of the Banking Act, and applicable CBSL Directions and Determinations as outlined in the RPT Policy and Procedure Manual of the Bank.

Rule Number	Rule	Status of Compliance
7.5	Accommodation Granted to Employees	
	A bank shall not grant any accommodation or “more favourable treatment” relating to the waiver of fees and/or commission to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of such bank or when secured by security as may be approved by the Central Bank of Sri Lanka in respect of accommodation granted as per Sections 47(3) and (5) of the Banking Act.	The Bank has a systematic process in the RPT system to capture KMPs transactions, as and when such transactions take place. Additionally, such transactions are verified by the relevant authorities (Finance Division). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more ‘favourable treatment’ other than on the basis of a scheme applicable to the employees of the Bank and within the applicable regulatory directions.
7.6	Writing-off of Accommodation to Related Parties	
	No accommodation granted by a licensed bank to related parties given in Direction 7.1, nor any part of such accommodation, nor any interest due thereon shall be written-off without the prior approval of the Central Bank of Sri Lanka and any writing-off without such approval shall be void and of no effect.	Compliant. No accommodation will be written off without prior CBSL approval as confirmed in the Policy on Related Party Transactions (V.6.0).
SENIOR MANAGEMENT		
8.1	The senior management shall mean CEO and the key management personnel of the licensed bank for the purpose of this Direction. The overall responsibility of the Board shall not be construed as an obligation to undertake the inspection of day-to-day activities, but shall rather be understood as an obligation to oversee and ensure that the senior management members are carrying out the day-to-day activities in a safe and sound manner in accordance with the Board approved strategies and policies. Accordingly, the Board shall: a) define the areas of authority and responsibilities of the senior management; b) ensure that the actions of senior management are consistent with the business strategy and policies approved by the Board; c) meet regularly, on needs basis, with the senior management to review the progress towards achieving corporate objectives; d) question and critically review explanations and information provided by the senior management;	Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the Board Nomination and Governance Committee (BNAGC) and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are reviewed and approved by the Board, thereby ensuring appropriate Board oversight. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2025 aligned to the Strategic Plan. The BHRRC has agreed that the 2025 Business Plan be considered as the KPI for the CEO. Board approved goals and targets for Directors are in place. Members of the Management Committee (ManCom) meet with the Members of the Board on an ongoing basis ensuring the strategic deliverables are promptly met. Compliant.

Rule Number	Rule	Status of Compliance
	e) assess whether collective knowledge and expertise of the senior management remain appropriate given the size, scale, diversity and complexity of operations of the bank; and, f) hold the senior management members accountable for the actions.	Compliant. Compliant.
8.2	Criteria to Assess the Fitness and Propriety of Senior Management	
	In terms of Section 44A and Section 76H of the Banking Act, the senior management of licensed banks as determined by the Central Bank of Sri Lanka shall be fit and proper persons to hold such respective positions and the provisions of Sections 42(2) of the Banking Act shall apply in determining whether the members of the senior management are fit and proper persons.	Compliant. The fit and proper Affidavits and Declarations of Each Key Management Person are being submitted to CBSL on an ongoing basis and have been duly approved.
8.3	Senior management members shall:	
	a) contribute substantially to a licensed bank's sound corporate governance framework through personal conduct; b) devote sufficient professional time to discharge his/her duties at the licensed bank. In the event a senior management member is appointed as a non-executive director of a subsidiary or an associate company of the licensed bank, he/she shall ensure that such duties do not affect the effective discharge of responsibilities to the bank; c) implement business strategies, risk management systems, risk and compliance culture, processes and controls for managing both financial and non-financial risks under the directions given by the Board; d) recognise and respect the independent duties of the risk management, compliance and internal audit functions and shall not interfere in the exercise of such duties; e) receive access to regular training to maintain and enhance competencies and keep abreast of developments relevant to the respective areas of responsibility; f) be responsible for delegating duties to staff and overseeing such delegated duties;	Members of the ManCom adhere to the bank's formalised Code of Ethics and Conduct, with annual attestations and performance evaluations tied to corporate values and ethical leadership benchmarks. All employment contracts mandate full-time commitment. The Bank does not have any subsidiaries and or any associated companies. ManCom executes Board-approved strategies through a robust Internal Control Framework, integrating risk appetite limits into daily departmental operations and KPIs. The Senior Management maintains a 'no-interference' policy in accordance with the regulatory expectation with regards to Risk, Compliance, and Internal Audit. These functions have independent reporting lines directly to Board Sub-Committees and the functions themselves are headed by three Senior Management (ManCom) members; Chief Risk Officer, Chief Compliance Officer and Chief Internal Auditor. Senior management are required to undergo regular trainings, including the employee mandated mandatory E-Learning Modules. Compliant.

Rule Number	Rule	Status of Compliance
	g) establish a management structure that promotes accountability and transparency throughout the bank; h) ensure that appropriate remedial or disciplinary action is taken if breaches are identified; i) regularly provide the Board and the Board sub-committees as applicable with the information of material matters including but not limited to; i) changes in business strategy, risk strategy/risk appetite, ii) the bank's performance and financial condition, iii) breaches of risk limits or compliance rules, iv) internal control failures, and, v) legal or regulatory concerns. i) notify the Director of Bank Supervision upon becoming aware of any material information that may negatively affect the fitness and propriety of a Board member or another senior management member.	The Bank maintains accountability and transparency through clear reporting lines and independent oversight by Board Committees like the BIRMC and Audit Committee. This structure ensures institutional integrity by upholding a formal Code of Conduct and guaranteeing that any identified breaches are met with prompt remedial or disciplinary action. Internal Management process ensures that any identified internal or regulatory violations are met with documented disciplinary actions in accordance with the directions and recommendations of the BHRRC and BAC. The ManCom provides comprehensive monthly Reports and updates to the Board covering financial performance, risk limit breaches, and legal/regulatory updates. Namely through the Dedicated Board Committees such as, BAC, BIRMC, BHRRC, BRPTRC and BNACC. No such event during the year 2025.

DISCLOSURES

9.1	Board Responsibilities on Disclosures	
	The Board shall ensure adequate and timely public disclosures of relevant information including but not limited to key performance indicators, capital adequacy, liquidity, business concentrations, related party transactions, corporate governance, financial statements, etc., are made with a view to facilitating enhanced market discipline and transparency commensurate with the size, scale, diversity and complexity of operations of the bank. The Board shall ensure that annual audited financial statements and quarterly financial statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards.	Compliant. The Board ensures enhanced market discipline and transparency by mandating the timely public disclosure of all material information, including capital adequacy, liquidity, business concentrations, and related party transactions. Annual audited and quarterly financial statements are prepared and published in strict compliance with regulatory formats and prevailing accounting standards. This disclosure framework is tailored to the bank's size and complexity, ensuring that stakeholders receive a clear and accurate view of the Bank's performance and corporate governance practices.

Rule Number	Rule	Status of Compliance																		
9.2	Minimum Disclosures to be made in the Annual Report The Board shall make sure the following minimum disclosures are made in the Annual Report a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. b) A report by the Board on the bank's internal control mechanism which confirms the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. c) The external auditor's certification on the effectiveness of the internal control mechanism referred to in b) above. The Assurance Report issued by the Auditors under "Sri Lanka Standard on Assurance Engagements SLSAE 3050 – Assurance Reports for Banks on Directors' Statements on Internal Control" may be used as a substitute disclosure in this regard. d) Details of directors, including names, transactions with the bank and the total fees/remuneration paid by the bank.	Compliant. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Refer Statement of Directors' Responsibility, on page 213. Refer Directors' Statement on Internal Control over Financial Reporting on page 192. The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on page 193. Refer Profiles of Directors, on pages 10 to 20. <table border="1"> <thead> <tr> <th>Transactions with the Bank</th><th>2025 LKR</th><th>2024 LKR</th></tr> </thead> <tbody> <tr> <td>(a) Financing and Receivables</td><td>204,799,619</td><td>205,123,252</td></tr> <tr> <td>(b) Financing Income</td><td>6,007,500</td><td>866,530</td></tr> <tr> <td>(c) Deposits</td><td>337,286,795</td><td>286,401,613</td></tr> <tr> <td>(d) Financing Expenses</td><td>20,805,758</td><td>18,744,636</td></tr> <tr> <td>(e) Commitment and Contingencies</td><td>12,500,000</td><td>45,251,000</td></tr> </tbody> </table> Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on page 273.	Transactions with the Bank	2025 LKR	2024 LKR	(a) Financing and Receivables	204,799,619	205,123,252	(b) Financing Income	6,007,500	866,530	(c) Deposits	337,286,795	286,401,613	(d) Financing Expenses	20,805,758	18,744,636	(e) Commitment and Contingencies	12,500,000	45,251,000
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Rule Number	Rule	Status of Compliance																		
	e) Total net accommodation granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the bank's regulatory capital.	<table> <tr> <th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr> <tr> <td>Directors of the Bank</td><td>204,799,619</td><td>0.81%</td></tr> <tr> <td>KMPs</td><td>305,030,067</td><td>1.20%</td></tr> <tr> <td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>457,257,740</td><td>1.80%</td></tr> <tr> <td>A close relation of any of the Bank's Directors or Key Management Personnel</td><td>NIL</td><td>NIL</td></tr> <tr> <td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr> </table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	204,799,619	0.81%	KMPs	305,030,067	1.20%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	457,257,740	1.80%	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL	Material Shareholder	NIL	NIL
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Material Shareholder	NIL	NIL																		
	f) The aggregate values of remuneration paid by the bank to its CEO and the key management personnel and the aggregate values of the transactions of the bank with its CEO and key management personnel, set out by broad categories such as remuneration paid, accommodation granted, and deposits or investments made in the bank.	Nature of Transaction KMPs (LKR) Remuneration: 436,636,308 Accommodation granted: 509,829,686 Deposits: 589,901,250 The above includes remuneration paid to Executive, Non-Executive Directors as well as other KMPs.																		
	g) Details of Board committees including (i) details of the key activities of each Board committee during the year; (ii) the number of meetings of each committee held in the year; and (iii) attendance of each individual director at such meetings.	Refer Board Committee Reports from pages 201 to 212.																		
	h) The following shall be disclosed in the Annual Corporate Governance Report:																			
	(i) the external auditor's certification of the compliance with these Directions, clearly demonstrating the compliance status of the licensed bank with each sub-direction;	Bank has obtained external auditors certification on compliance with these Corporate Governance Directions. The Board confirms that all findings of the 'Factual Findings Report' of the auditors have been incorporated in the Corporate Governance Report.																		
	(ii) the composition of the Board, by category of directors, including the names of the Chairperson, executive directors, non-executive directors and independent non-executive directors; and,	Refer Annual Report of the Board of Directors on the Affairs of the Bank on pages 194 to 199.																		

Rule Number	Rule	Status of Compliance
	(ii) the identity of the Chairperson and CEO and the nature of any relationship including financial, business, family or other material/ relevant relationship(s), if any, among the Chairperson, CEO and the members of the Board. i) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliances. j) A statement of the regulatory and supervisory concerns on lapses in the bank's risk management, or non-compliance with these Directions that have been communicated by the Director of Bank Supervision, or administrative fines imposed by the Central Bank of Sri Lanka, if so directed by the Central Bank of Sri Lanka to be disclosed to the public, together with the measures taken by the bank to address such concerns. k) The aggregate value of total non-statutory special payments/ financial or non-financial benefits made to directors, CEOs and key management personnel at the termination of employment or at the retirement during the respective financial year.	Family Relationship – Mr. Ali Asghar Akbarally – Chairman and Mr. Mohamed Adamaly. Refer Bank's Compliance with Prudential Requirements, on pages 190 to 191. The Director of Bank Supervision has not directed the Bank to disclose any non-compliance issues to the public. No such payments were made during the year.
9.3	Disclosures to be made on Resignation, Removal or Vacation of Office of Directors	
	If a director resigns or is removed or is deemed to have vacated the office of director due to regulatory non-compliances and/or as decided by the Board, the Board shall disclose the director's resignation or removal or the status of being deemed vacated the office and the reasons for same in the official website of the licensed bank, including but not limited to information relating to the relevant director's disagreement with the bank, if any.	No instances of Director resignation, removal, or vacancy due to regulatory non-compliance or Board decisions occurred during the year 2025. Accordingly, there were no disclosures required related to Director departures or disagreements on the official website of the Bank during this period.

THE LEVEL OF COMPLIANCE IN TERMS OF CORPORATE GOVERNANCE RULES SET OUT IN SECTION 9 OF THE LISTING RULES OF COLOMBO STOCK EXCHANGE.

Rule No	Rule	Status of Compliance
9.2	Policies	
9.2.1	Availability of policies, disclosure of their existence, and implementation details on the website.	Compliant.
9.2.2	Waivers/exemptions from internal code must be fully disclosed in the Annual Report.	Not Applicable.
9.2.3	Disclosure of Policy list (with website) and policy changes in the Annual Report.	Compliant.
9.2.4	Provide all policies to shareholders upon written request.	Compliant.
9.3	Board Committees	
9.3.1	Establishment of Nominations and Governance Committee, Board Human Resource & Remuneration Committee, Audit Committee, and Related Party Transactions Review Committee that are functioning effectively.	Compliant.
9.3.2	Rules regarding the board committees' composition, responsibilities, and disclosures.	Compliant.
9.3.3	The Chairperson of the Board cannot be the Chairperson of these committees.	Compliant
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	
9.4.1	Maintain resolution records with voting details for resolutions, proxy votes, and votes abstained.	Compliant.
9.4.2	Policy for shareholder communication, disclose it in the Annual Report, on their website, and provide a contact person. This policy must detail how directors are informed of shareholder concerns and compliance of virtual meetings with guidelines.	Compliant.
9.5	Policy on matters relating to the Board of Directors	
9.5.1	Availability of a formal policy for the Board, balancing executive/non-executive, covering roles and appraisals.	Compliant.
	<i>Where a Listed Entity decides to combine the role of the Chairperson and CEO,</i> The rationale for combining such positions. The Board Charter of a Listed Entity must detail the SID's roles and equivalent powers in conflicts. Measures implemented to safeguard the interests of the SID. Board diversity for effectiveness via objective selection. Maximum number of Directors with the rationale. Frequency of Board meetings, having regard to the requirements under the Listing Rules. Board policy ensures awareness on the Listing Rules, meeting attendance, trading rules on securities, directorship limits, and virtual participation for quorum are included.	Not Applicable. SID is appointed in terms of the Corporate Governance requirement of Central Bank of Sri Lanka (CBSL). Compliant. Compliant. Compliant. Covered in the Articles of Association. Complied in terms of CBSL Directions. Compliant.
9.5.2	Availability of policy requirements in the Annual Report and explanations for non-compliance.	Compliant.

Rule No	Rule	Status of Compliance
9.6	Chairperson and CEO	
9.6.1	Chairperson must be a Non-Executive Director, separate from the CEO role.	Compliant.
9.6.3	Appointment of an Independent Director as SID if Chairperson/CEO is the same, or the Chairperson is executive, or they are related.	Not Applicable. SID has been appointed to the Board in terms of the Corporate Governance Direction of CBSL.
	Independent Directors must meet yearly (or more) with SID to discuss concerns relating to entity/Board.	Compliant.
	The SID must annually chair a Non-Executive Director meeting (without the Chairperson) to appraise the Chairperson's performance.	Compliant.
	The SID gets a casting vote at meetings.	Not Applicable (such a situation did not arise during the meeting).
	A signed disclosure of the SID in the Annual Report.	Compliant.
9.6.4	Where a Listed Entity has appointed a SID, such entity shall set out the rationale for such appointment in the annual Report.	Compliant.
9.7	Fitness of Directors and CEOs	
9.7.1	Listed Entities must ensure that their Directors and the CEO are fit and proper.	Compliant.
9.7.2	The Directors and CEO recommended by the Nominations and Governance Committee as Directors, are fit and proper as required in terms Listing Rules before such nomination are placed before the shareholders meeting.	Compliant.
9.7.3	Fit and Proper Assessment Criteria:	
	A Director or the CEO of a Listed Entity shall not be considered 'fit and proper' if they lack honesty, integrity, and reputation, competence and capability and financial soundness based on specified criteria.	Compliant.
9.7.4	Obtain annual declarations from Directors/CEO confirming Fit and Proper Assessment Criteria.	Compliant.
9.7.5	Disclosures in the Annual Report of Listed Entities	
	Listed Entities must include specific disclosures/reports in the Annual Report regarding Fit and Proper Assessment Criteria.	Compliant.
9.8	Board Composition	
9.8.1	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors.	Compliant.
9.8.2	Board of Directors to include at least two Independent Directors or such number equivalent to one third of the total number of directors and any changes to this ratio to be rectified within ninety days.	Compliant. There were no such changes.
9.8.3	Criteria to consider whether a Director is independent include factors related to employment history, business relationships, family connections, shareholding, and tenure.	Compliant.
9.8.5	Availability of an annual signed declaration of independence from each Independent Director, make an annual determination, and immediately announce if impaired.	Compliant.
9.9	Alternate Directors	
9.9	Requirements for Alternate Directors, who can only be appointed in exceptional circumstances for a maximum of one year. Appointees must meet specific criteria, especially concerning independence, and their appointment requires a Market Announcement and their attendance counts in quorum	Alternate Directors were not appointed to the Board.

Rule No	Rule	Status of Compliance
9.10	Disclosures relating to Directors	
9.10.1	Policy on the maximum number of directorships.	Compliant.
9.10.2	Immediate Market Announcement upon appointing a new Director, including their resume and capacity.	Compliant.
9.10.3	Immediate Market Announcement regarding changes to Board Committees.	Compliant.
9.10.4	Disclosures in the Annual Report related to the Listed Entity's Directors.	Compliant.
	a) name, qualifications and brief profile;	Please refer pages 10 to 20 of the Annual Report
	b) the nature of his/her expertise in relevant functional areas;	
	c) whether either the Director or Close Family Members has any material business relationships with other Directors of the Listed Entity;	Please refer pages 194 to 199 of the Annual Report.
	d) whether Executive, Non-Executive and/or independent Director;	} Please refer pages 10 to 20 and pages 194 to 199 of the Annual Report.
	e) total number of directorships and or KMP positions with names of companies and their listed/unlisted status, executive/non-executive capacity;	
	f) number of Board meetings attended during the year;	Please refer page 141 of the Annual Report.
	g) names of Board Committees in which the Director serves as Chairperson or a member;	Please refer pages 10 to 20 of the Annual Report.
	h) attendance of Committee meetings;	Please refer to the Board Subcommittee reports found on pages 201 to 212.
	i) the terms of reference and powers of SID	Please refer pages 139 and 145.
9.11	NOMINATIONS AND GOVERNANCE COMMITTEE	
9.11.1	Availability of a Nominations and Governance Committee	Compliant.
9.11.2	Maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee.	Compliant.
9.11.3	The Nominations and Governance Committee shall have a written terms of reference defining scope, authority, duties and quorum.	Compliant.
9.11.4	Composition	
9.11.4	Composition of the Nominations and Governance Committee must have at least three directors, with a minimum of two Independent Directors, and no Executive Directors. An Independent Director must be appointed as the Chairperson.	Compliant. The Committee consist of 5 Non-Executive Directors majority of whom are Independent.
9.11.5	Functions	
9.11.5	The functions of the Nominations and Governance Committee to include evaluating and recommending director appointments, establishing selection criteria and reviewing corporate governance.	Compliant. A policy for selection and appointment of new members to the Board is in place.

Rule No	Rule	Status of Compliance
9.11.6	Disclosures in Annual Report	
9.11.6	The Annual Report contains a report of the Nominations and Governance Committee signed by its Chairperson and shall contain the following: Committee's chair/members' names and directorships, their appointment dates, confirmation of a nomination policy, re-election details, and a diversity disclosure and implementation details. Details of re-elected/proposed directors' Committee roles, appointment dates, other directorships/ commitments, and relevant relationships. Disclosure relating to the performance evaluation of the Board and the CEO. Process adopted to inform major issues of the entity to the Independent Directors. Availability of Induction programs for new directors. Annual Update given to the existing directors on Corporate Governance, listing Rules and relevant regulations. Criteria for determining directors' independence and corporate governance compliance or explain non-compliance.	Compliant. Compliant. Please refer Board Nomination and Governance Committee Report (BNAGC) on pages 208 to 210 in the Annual Report. Compliant. The Board subcommittee meetings are avenues adopted to inform the Independent Directors of any major issues. A documented process is adopted for Induction programmes for newly appointed Directors where the Corporate profile, the applicable regulations, Financial reports and applicable policies on Corporate Governance etc. are shared with such Directors. Compliant. The Compliance Division presents regular updates on the changes to the applicable laws and regulations and the Chief Information Officer updates on Information Security. Compliant.
9.12	REMUNERATION COMMITTEE	
9.12.2	Listed Entities must have a Remuneration Committee, which develops executive pay policy and sets director remuneration without self-fixing. Non-executive pay should be non-discriminatory. The committee needs written terms of reference.	Compliant.
9.12.6	Composition	
	The Remuneration Committee needs at least three directors, two independent, no executives, and an independent chairperson.	Compliant.
9.12.7	Functions	
(1)	The Remuneration Committee recommends executive/CEO pay to the Board for final determination and can use external consultants.	Compliant.

Rule No	Rule	Status of Compliance
9.12.8	Disclosure in Annual Report	
	The Annual Report must disclose the Remuneration Committee's names, policy, and aggregate director pay.	Compliant. Disclosed in Board Human Resources and Remuneration Committee (BHRC) report as part of the Annual Report.
9.13	AUDIT COMMITTEE	
9.13.1	If no separate risk committee exists, the Audit Committee also performs risk functions.	Apart from the Board Audit Committee (BAC), the Bank has a separate Risk Committee namely the Board Integrated Risk Management Committee (BIRMC). Disclosed in Annual Report.
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties.	Compliant. Board Approved Terms of Reference (TOR) for the BAC is in place. Disclosed in the BAC Report, as part of the Annual Report.
9.13.3	Composition	
	The Audit Committee must have at least three directors, with a minimum of two or a majority being independent, and no executive directors. An independent director must be the chairperson.	Compliant. Disclosed in BAC Report.
	The CEO shall attend risk committee meeting by invitation.	BIRMC has been established as per the Corporate Governance Direction of CBSL, which requires the CEO to be a member of the Committee. Disclosed in BIRMC Report in the Annual Report.
9.13.4	Functions	
(1)	The functions of the Audit Committee shall include the following:	
(i)	The Audit Committee will oversee the Entity's compliance with reporting requirements.	Compliant. Addressed in BAC TOR and disclosed in the BAC report.
	The Audit Committee reviews financial statements before Board approval and recommends the appointment, re-appointment, and removal of external auditors, including their remuneration and terms of engagement.	Compliant. Addressed in BAC TOR.
(iv)	Obtain and review assurance received from:	
(a)	The Audit Committee gets CEO/CFO assurance: records kept, true and fair view given on operations.	Addressed in BAC TOR and disclosed in the BAC report.

Rule No	Rule	Status of Compliance
(b)	The Audit Committee gets CEO/key management assurance: risk and controls are adequate and effective.	MD/CEO is a permanent invitee of the BIRMC and KMP are present to make regular presentations to the Committee on matters under their purview. The BIRMC is recommending to the Board, the Bank's Risk Management Framework, defining the risk appetite to measure, monitor and manage the principal risks. The management level committees under the purview of BIRMC are chaired by MD/CEO and the confirmed minutes of the same are forwarded to BIRMC. Similarly the BAC receives assurance from the management with regard to the design and implementation of the internal controls over financial reporting and from the CIA on the adequacy and effectiveness of the internal controls including internal controls over financial reporting to the extent of audit coverage in line with the BAC approved Internal Audit plan.
(v)	Review the internal controls in place to prevent the leakage of material information to unauthorised persons.	Compliant. Addressed in BAC TOR. BAC reviews and approves the internal audit plan covering assignments related to assessing internal controls in place to prevent leakage of material information to unauthorised persons and also receives and reviews the Internal Audit Reports conducted on the subject matter. This is in addition to reviewing any related finding and recommendations in the Management Letter of the External Auditors.
(vi)	The Audit Committee oversees adequate internal controls and risk management for SLAS.	Addressed in BAC TOR and disclosed in the BAC report.

Rule No	Rule	Status of Compliance
(vii)	The Audit Committee reviews and assesses the company's risk management process and controls and updated business continuity plans.	Compliant. Integrated Risk Management Framework (IRMF) which is reviewed annually includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. BIRMC assesses the risk profile of the Bank through the use of dashboards which is circulated on a monthly basis. The Business Continuity Plan that was adopted during the crisis has been strengthened and tested during the annual BCP drills and the same is reviewed by the BIRMC.
(viii)	Review the risk policies adopted by the Entity on an annual basis.	Compliant. IRMF which outlines the key risk management policies such as Credit Risk Policy, Operational Risk policy and Middle Office Policy (Market Risk & Liquidity Risk) is reviewed by the BIRMC and approved by the Board annually.
(ix)	The committee must promptly act to mitigate excessive risks based on policies and regulations.	Compliant. The Bank's specific risks and the limits are identified by the relevant committees reporting to BIRMC and decisions are taken collectively. Risk management tools that are in place have been used effectively.
(x)	Review the scope and results of the internal and external audit and its effectiveness, and the independence, performance and objectivity of the auditors.	Compliant. Disclosed in BAC Report.
(xi)	The Audit Committee must create a non-audit services policy considering ethics, report issues to the Board, and recommend actions.	Compliant. Required policy approved by the Board in place. Relevant aspects addressed in the BAC TOR.
	If the Audit Committee suggests an auditor change due to opinion issues, they must explain why; unresolved breaches should be reported to the Exchange.	Compliant. Addressed in BAC TOR.
(2)	If Audit and Risk Committees are separate, their duties must include functions stipulated in Rule 9.13.4 (1) above.	Compliant. Addressed in the BAC and BIRMC TORs as applicable.
9.13.5	Disclosures in Annual Report	
(1)	The Annual Report must include an Audit Committee Report with member names and directorships.	Compliant. Disclosed in BAC Report.
(b)	The status of risk management and internal control of the Listed Entity and as a Group (where applicable).	Compliant. Disclosed in BIRMC report and Risk Management Report in the Annual Report. Aspects related to internal controls Disclosed in BAC Report.

Rule No	Rule	Status of Compliance
	The Audit Committee Report must confirm CEO/CFO assurance, give an opinion on compliance, state if a charter exists, detail internal audit work, show effective discharge of duties, confirm auditor independence, the basis, engagement length, and non-audit safeguards.	Compliant. Disclosed in BAC Report.
9.14	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE	
9.14.1	Availability of a Related Party Transactions Review Committee.	Compliant.
9.14.2	Composition	
	The Related Party Transactions Review Committee needs at least three directors, two independent directors, with an independent chair.	Compliant.
	Parent company's Related Party Committee can serve as subsidiary's committee if both are listed.	Not Applicable.
9.14.3	Functions	
	To review transactions of related parties and protect shareholder interests. Must have a clear RPT identification, clarification, and reporting policy.	Compliant.
9.14.4	General Requirements	
	The RPT Committee must meet quarterly, document minutes, have expertise, and interested directors cannot participate or vote.	Compliant.
	The RPT Committee can request/obtain Board approval before entering related party transactions.	The need has not arisen during the year under review.
9.14.7	Disclosures	
	Immediate Market Announcements are required for non-recurrent RPTs exceeding 10% Equity/5% Total Assets or when aggregate reaches that threshold. Subsequent >5% Equity transactions with the same party also need announcement.	Such a situation did not arise during the year under review.
9.14.8	Disclosures in the Annual Report	
	Annual Report must disclose non-recurrent RPTs over 10% Equity/5% Assets and aggregate value of recurrent RPTs over 10% Revenue in a table.	Such a situation did not arise during the year under review.
	The Annual Report must contain the RPT Committee's report with members' details, review statement, and transaction policies.	Compliant. Refer BRPTRC report on pages 211 and 212 of the Annual Report.
	The Board must affirm RPT rule compliance or state no such transactions have been entered, in the Annual Report.	Compliant. Refer page 198 of the Annual Report.
9.14.9	Acquisition and Disposal of Assets From/to Related Parties	
	Shareholder approval by special resolution is needed for substantial asset transactions with related parties, with some exemptions.	The need has not arisen.
9.16	ADDITIONAL DISCLOSURES	
	The Board must declare material interests, review internal controls, be aware of laws, and disclose material non-compliance in the Annual Report.	Compliant. Non-Compliances were not applicable.

The Compliance Division serves as a cornerstone of the Bank's unwavering commitment to integrity, functioning as an autonomous entity to ensure and enhance compliance across all operational dimensions. Central to this mission is the Division's service centred compliance framework, which embodies our Target Operating Model for Compliance Management.

To safeguard the Bank from regulatory sanctions, reputational risks, financial losses, and penalties, the dynamic "GRIT" proactive compliance model (Governed, Risk-Based, Insight driven, and Trust-based) has been employed. This model is designed to evolve compliance from a reactive, cost-of-doing-business function into a Strategic Trust Enabler that drives resilience and sustainable growth. Centred on governance, regulatory adherence, and continuous reporting, this model creates a robust infrastructure for compliance. It goes beyond mere checklists to foster an organisational culture where accountability is standard and operational standards are consistently met.

Aligned with the latest Banking Act Direction No.05 of 2024 on Corporate Governance for Licensed Commercial Banks (LCBs) and the governance requirements of the Listing Rules introduced by the Colombo Stock Exchange (CSE), the Bank has solidified its governance structure by establishing a dedicated Compliance Division. At its helm is the Chief Compliance Officer (CCO), a Key Management Personnel (KMP), who provides direct oversight and reports through the Board Integrated Risk Management Committee (BIRMC) to the Board, solidifying the Bank's unwavering commitment to compliance and ethical excellence.

The Compliance Division's responsibilities include facilitating day-to-day challenges in the interpretation and understanding of regulations; applying proactive initiatives to highlight common industry-wide compliance concerns; ensuring that operations and administration of activities are in compliance with banking laws and regulations; creating a Compliance culture based on honesty and integrity standards.

The key responsibilities of the Compliance Division are:

- ◆ Collaboration with the Branches and other Divisions in Managing Compliance Risk

- ◆ Recommendation of measures to mitigate Compliance Risk and corrective actions in the event of non-compliance
- ◆ Dissemination of information to relevant stakeholders regarding regulatory requirements/changes and guidelines
- ◆ Consistently assess the Bank's compliance with laws, regulations, statutory guidelines and ensure internal controls, policies and operational procedures are aligned with the regulatory requirements
- ◆ Ensuring compliance with the Financial Transactions Reporting Act - this includes monitoring and reporting suspicious transactions.
- ◆ Periodic reporting to the Board Integrated Risk Management Committee.

In order to comply with the Bank's policies and procedures, the Compliance Division additionally ensures efficient compliance management throughout the organisation with the backing and cooperation of Senior Management, Managing Director/CEO and the Board.

In order to monitor and evaluate the level of compliance, the Division regularly interacts with the executive management and the Executive Management Committee. This is done by obtaining confirmations from management and if required, by commencing corrective action.

COMPLIANCE GLOBAL CULTURE

By facilitating an enhanced compliance culture from the top to bottom and throughout the entire Bank, the Compliance Division aims to uphold an exemplary control and compliance culture that emphasises standards of honesty, integrity, and sustainability of the Bank. In the meantime, regular training and awareness programmes are conducted for all staff members to guarantee that they are fully informed about the Bank's compliance standards, policies, and practices.

During induction, all newly recruited staff are briefed on the Bank's compliance procedures. The Compliance Division actively promotes a culture of compliance and serves as a strategic partner to all business units.

REGULATORY INTERACTION AND COORDINATION

Amāna Bank, as a Licensed Commercial Bank, operates under the primary regulatory

oversight of the Central Bank of Sri Lanka (CBSL). Additionally, as a publicly listed entity on the CSE, it is subject to the governance and compliance requirements of both the CSE and the Securities and Exchange Commission of Sri Lanka (SEC). The Compliance Division's proactive engagement with regulatory authorities, along with its systematic monitoring of regulatory developments, has facilitated the bank's prompt adherence to all directives, guidelines and regulations including those introduced in 2024/25.

POLICY FRAMEWORK

The Board-approved Compliance Policy of the Bank includes a detailed description of its compliance policies and procedures. The Policy describes, among other factors, how to identify risks, who is responsible for what matters, how the system is organised, how reporting performs, and how to mitigate risks. The Board reviews the Policy on a regular basis and updates it as required. Bank's Compliance Policy outlines the general compliance guidelines that the Bank has adopted and defines bank-wide compliance risk management.

The Bank-wide Anti-Money Laundering and Countering of Terrorist Financing (AML/CFT) measures and practices have been comprehensively captured in the Board-approved Anti Money Laundering Policy. This policy illustrates the responsible parties, system organisation, reporting requirements, preventive measures, risk mitigation among many other best practices. The Policy is regularly reviewed and updated according to the regulatory developments and organisational requirements.

The organisational Anti-Bribery and Corruption is monitored and addressed in through the Anti Bribery Corruption Policy. This Board-approved policy has been structurally developed to extend its applicability beyond employees and Directors to encompass third parties and authorised representatives of the Bank, including but not limited to agents, advisors, representatives, suppliers, contractors, and subcontractors. The policy establishes a zero-tolerance approach to bribery and corruption, clearly delineating prohibited behaviours such as offering or accepting bribes, facilitating payments, and engaging in corrupt practices.

In formulating this policy, significant consideration was given to integrating

recommendations and enhancements proposed by Transparency International Sri Lanka, a prominent global authority in anti-corruption advocacy. The Bank has given special consideration to the below notable recommendations which are currently being implemented:

- ◆ Establishing a Whistleblower mechanism that ensures confidentiality and protection for individuals reporting corrupt activities.
- ◆ Requiring mandatory due diligence for third parties and business partners to assess corruption risks.
- ◆ Implementing comprehensive anti-corruption training programmes, E-learning modules for all employees, including Directors and key decision-makers.
- ◆ Mandating periodic internal reviews to identify and mitigate potential vulnerabilities to bribery and corruption.
- ◆ Enforcing strict record-keeping protocols to ensure financial transparency and accountability.
- ◆ The finalised Policy has been made accessible to all staff via the Bank's Intranet portal to ensure transparency, promote compliance across all levels of the organisation, and reinforce the Bank's unwavering commitment to ethical conduct and integrity in all its operations.

RISK ASSESSMENT PROGRAMMES

A thorough set of Compliance Risk Models was created for Branches, Departments, and the Bank as a whole, in order to strengthen the validity of the current risk assessment methodology and improve the alignment between the compliance review programme and the risk assessment programme. To ascertain the risk profiles of the Bank's departments, branches, and products and services, compliance risk assessments are conducted all year long.

COMPLIANCE MONITORING AND TESTING

The Compliance Division continuously monitors the strategies for compliance that the Board has approved, and it also keeps track of compliance throughout the year by submitting quarterly reports to the Board on statutory and regulatory requirements.

In 2025, the Bank prioritised its AML/CFT readiness as a strategic imperative, particularly following a successful mock evaluation conducted by an FIU international

consultant in preparation for the 2026 Mutual Evaluation. To align with FATF recommendations, international best practices, and FIU directives, the Bank rigorously enhanced its internal controls and addressed critical gaps to fine-tune the overall Compliance framework. Concurrently, the Bank prioritised the modernisation of its monitoring infrastructure by aligning operations with the latest advancements in AML guidelines. A key milestone in this effort was the transition to the newest version of the QDE COMPASS Transaction Monitoring System. This upgrade facilitates more accurate, real-time transaction oversight, enabling the Bank to identify and mitigate emerging risks with greater precision. Furthermore, these technological enhancements have bolstered Enhanced Due Diligence (EDD) protocols, ensuring rigorous scrutiny of high-risk transactions and entities in line with global compliance standards.

Parallel to these efforts, the Bank proactively strengthened its corporate governance by adopting the enhanced standards introduced by the CBSL and the CSE. A strict policy framework was implemented to ensure agility and full compliance with the evolving regulatory landscape. The Bank dedicated significant focus to refining these internal policy frameworks, ensuring they align with industry best practices and can adapt quickly to new regulatory requirements.

These measures underscore the Bank's commitment to upholding the highest standards of compliance and safeguarding the integrity of its financial operations.

COMPLIANCE TRAINING

AML/CFT was the primary highlight in terms of training for 2025, with a focus on capacity building for front-line staff. At Branch level, one on one training sessions were held during individual Branch visits to emphasise and educate staff members on the significance of regulatory changes and requirements and all mandatory e-learning modules were updated.

The Chief Compliance Officer has conducted periodic training sessions (every four monthly) for the Board of Directors, covering recent regulations and developments. Such programmes are essential for keeping the Directors updated on the latest developments in money laundering, terrorist financing, and other key elements of the AML/CFT framework.

LEADS

All statutory and regulatory compliance requirements for 2025 were satisfied as a result of successful initiatives. In addition, the Compliance Division's perseverance produced outcomes that would safeguard stakeholders both now and in the future by ensuring that a high standard of compliance is maintained throughout the Bank.

FUTURE FOCUS

The Compliance Division's primary aim is to further enhance and streamline the Bank's regulatory and AML/CFT framework while ensuring full compliance with the laws and regulations of the CSE and the SEC.

Under this comprehensive framework, the Compliance Division's focus for the years 2025 and 2026 will centre on achieving technical compliance, primarily with the preventive requirements of the recommendations introduced by the Financial Action Task Force (FATF). This will be achieved by diligently adhering to the prioritised action plan mandated by the Regulator and ensuring the Bank demonstrates measurable progress toward preventing money laundering, terrorist financing, and other illicit financial activities. Furthermore, the Compliance team will monitor the Bank's readiness for the third country wide Mutual Evaluation conducted by the FATF in coordination with the Asia Pacific Group on Money Laundering (APG) scheduled to take place in the latter part of 2026. The Compliance Division will systematically implement the necessary measures which will contribute toward ensuring absolute preparedness in this regard.

In addition, the Division is committed to achieving full compliance with anti-bribery and corruption laws whilst supporting the implementation of a robust Bank-wide anti-corruption programme alongside complete adherence to all regulatory requirements in relation to corporate governance.

The Division remains steadfast in its commitment to fostering a culture of integrity, transparency, and accountability, thereby reinforcing the Bank's position as a compliant and ethical banking institution in the financial sector.

RESPONSIBILITY

In line with the Banking Act Direction No. 05 of 2024, Section 9 (2) (b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

Key Features of the Process Adopted in Applying in Reviewing the Design and Effectiveness of the Internal Control System over Financial Reporting

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- ◆ Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- ◆ The Internal Audit Division of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Division are submitted to the Board Audit Committee for review at their periodic meetings.
- ◆ The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Division, the External Auditors, regulatory authorities and the Management; and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 201 to 203.
- ◆ In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed

and checked by the Internal Audit Division for suitability of design and effectiveness on an ongoing basis.

- ◆ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

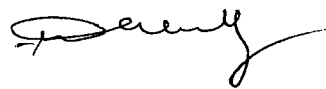
CONFIRMATION

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

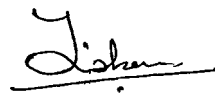
**REVIEW OF THE STATEMENT BY
EXTERNAL AUDITORS**

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2025 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on page 193 of this Annual Report.

By Order of the Board,



Ali Asghar Akbarally
Chairman – Board of Directors



Tishan Subasinghe
Chairman – Board Audit Committee

26 February 2026
Colombo



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Chartered Accountants
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BV/MA/SD

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

REPORT ON THE DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

We were engaged by the Board of Directors of Amāna Bank PLC ("the Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("the Statement") included in page 192 of the Annual Report for the year ended 31st December 2025.

MANAGEMENT'S RESPONSIBILITY

Management is responsible for the preparation and presentation of the Statement in accordance with the Section 9(2)b of Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks.

OUR INDEPENDENCE AND QUALITY CONTROL

We have complied with the independence and other ethical requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

OUR RESPONSIBILITIES AND COMPLIANCE WITH SLSAE 3050 (REVISED)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control over Financial Reporting.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

SUMMARY OF WORK PERFORMED

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of Bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

OUR CONCLUSION

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

26 February 2026
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage FCA ACMA, C A Yalagaia ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA, M U M Mansoor ACA

Principals: T P M Ruberu FCMA FCCA MBA, G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

1. GENERAL

Your Directors have the pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2025. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014. Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto and commenced commercial operations on 1 August 2011.

The Annual Report has been prepared in conformity with the requirements of the Companies Act No. 07 of 2007, the Banking Act No. 30 of 1988 (as amended), Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Commercial Banks, and subsequent amendments thereto, the Listing Rules of the Colombo Stock Exchange and the recommended best practice on Corporate Governance.

The Financial Statements reviewed and recommended by the Board Audit Committee was approved by the Board on 26 February 2026 along with this report.

The Bank's National Long Term Rating assigned by Fitch Ratings Lanka Limited remained at investment grade rating of BBB-(lka) with Outlook being Stable. In 2025, the Bank obtained an additional external rating from Lanka Rating Agency, a rating agency approved by the Central Bank of Sri Lanka (CBSL), which assigned a long-term investment grade rating of BBB+ with a Stable Outlook. The Registered Office of the Bank is located at No. 486, Galle Road, Colombo 3, Sri Lanka and the Corporate Office of the Bank

is located at No. 353, Galle Road, Colombo 3, Sri Lanka. The Board confirms that the disclosures required under Section 9.11.6 of the Listing Rules of Colombo Stock Exchange have been duly complied with and disclosed in the Annual Report.

2. PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

3. COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of CBSL has established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further, in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level (KMP) in charge of compliance of the Bank.

The Bank has also a Compliance Policy and Guideline on Know Your Customer (KYC) and Anti Money Laundering (AML).

The Compliance Division monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring that the Bank complies with all such requirements.

4. REVIEW OF OPERATIONS

The Financial and Operational performance of the Bank and the important events that took place during the year under review

is contained in the Chairman's Message, Managing Director/CEO's Review and the Management Discussion and Analysis of the Annual Report. These reports form an integral part of the Annual Report of the Board of Directors.

5. FINANCIAL STATEMENTS**5.1 Compliance**

The Financial Statements of the Bank have been prepared in accordance with the Sri Lanka Accounting Standards (SLRFS and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the requirements of Companies Act No. 07 of 2007 and Banking Act No. 30 of 1988 (as amended) inclusive of specific disclosures. In terms of Section 150(1) (b) & (c) of the Companies Act No. 7 of 2007 the Financial Statements for the year ended 31 December 2025 has been duly signed by two Directors on the certification of the Chief Financial Officer of the Bank.

5.2 Auditor's Report

The Auditors of the Bank, Messrs Ernst & Young, Chartered Accountants, carried out the Audit for the financial year ended 31 December 2025 and their report on those financial statements are given on pages 248 to 251 of the Annual Report.

5.3 Significant Accounting Policies

The Significant Accounting Policies adopted in the preparation of the Financial Statements are given on pages 258 to 268 of the Annual Report.

5.4 Financial Results and Comprehensive Income**5.4.1 Financing Income**

The Financing Income of the Bank for the period under review was LKR 16,918,378,571 (2024 – LKR 15,399,562,261) and an analysis of the Financing Income is given in Note 4 to the Financial Statements.

5.4.2 Profits and Comprehensive Income

A breakdown of the Profits and Comprehensive Income of the Bank is given below:

Financial Results	2025 LKR	2024 LKR
Net Operating Income	10,700,995,099	8,400,032,071
Total Operating Expenses	(5,211,600,794)	(4,609,013,744)
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	5,489,394,305	3,791,018,327
VAT on Financial Services	(1,228,501,343)	(886,820,214)
Social Security Contribution Levy	(169,733,089)	(117,354,789)
Profit Before Tax	4,091,159,873	2,786,843,324
Tax Expenses	(1,610,178,383)	(1,012,177,592)
Profit for the Year	2,480,981,490	1,774,665,732
Other Comprehensive Income for the Year Net of Tax	472,098,907	4,422,303
Total Comprehensive Income for the Year	2,953,080,397	1,779,088,035

6. DIVIDENDS

6.1 Dividend

A Dividend of LKR 1.30 per share was declared and paid in October 2025 for the financial year ended 31 December 2025. Prior to the declaration, the Board of Directors signed a Certificate in terms of Section 56(2) of the Companies Act No. 07 of 2007 stating that in their opinion and based on the information available the Bank will satisfy the solvency test immediately after the distribution is made and have obtained a Certificate from the Auditors in terms of Section 57 of the Companies Act No. 07 of 2007.

7. PROVISION FOR TAXATION

The Income Tax payable by the Bank has been duly provided for in the Financial Statements, under existing tax legislations and in conformity with Sri Lanka Accounting Standards.

8. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

Details of property, plant, equipment and right-of-use assets of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

9. STATED CAPITAL

9.1 Issued Capital

The Stated Capital of the Bank as at 31 December 2025 is LKR 17,633,461,196 comprising of 551,125,746 ordinary shares (2024 – LKR 17,633,461,196 comprising 551,125,746 ordinary shares).

The details of stated capital are given in Note 36 to the Financial Statements on page 289 of the Annual Report.

10. RESERVES

The Total Reserves (including Statutory Reserves) as at the end of the financial year was LKR 7,451,651,333 (2024 – LKR 5,208,399,198). The movement of Reserves is indicated under the Statement of Changes in Equity in the Financial Statements on page 256 of the Annual Report.

11. DONATIONS

During the year under review, the Bank made donations amounting to LKR 968,202 (2024 – LKR 757,080).

12. DIRECTORATE

The Board is the highest decision-making authority of the Bank and is responsible for leadership and strategic direction, whilst the Management Committee is responsible for daily operations and implementing effective internal controls.

The Board and Management work with mutual trust, respect, and understanding of their respective roles, thus bringing a productive and harmonious environment conducive to effective Corporate Governance. The Board comprises eleven Directors, as of 31 December 2025, with the desired Board Balance and consists of eminent professionals in their respective fields with skills and expertise, to constructively deliberate on matters presented to the Board. Collectively they combine expertise in accounting, law, banking and finance, islamic finance, business and entrepreneurial management, investor and regulatory perspective and also bring independent Judgement to bear on matters reserved for the Board.

12.1 Board Process

Based on a schedule of meeting dates agreed upon at the beginning of the year, the Board meets at least every calendar month in addition to other meetings convened for specific purposes. The Chairman is responsible for determining the Agenda which is prepared with the assistance of the

Company Secretary and circulated with relevant Board Papers via 'Board Pac' to the Directors. Minutes of deliberations and decisions are maintained in sufficient detail.

The Board plays an active role in strategy formulation by providing direction to the Management on the preparation of the Bank's five-year Strategic Plan. This process was further enhanced by Brainstorming Sessions of the Management Committee and its outcome was incorporated into the Plan which was then presented to the Board for approval.

12.2 Changes to the Directorate

The names of the persons who were Directors during the year 2025 are given below as per section 168 (1)(h) of the Companies Act No. 07 of 2007 and the classification of the Directors into Executive, Non-Executive, Independent and Non-Independent is mentioned with their names as per the listing rules of the Colombo Stock Exchange and the Banking Act Direction No. 05 of 2024 issued by the Central Bank of Sri Lanka. Further the Directors of the Bank satisfy the fit and proper assessment criteria stipulated in the Listing Rules of Colombo Stock Exchange.

Name	Designation/Capacity
Mr. Ali Asghar (Asgi) Akbarally	Chairman, Non-Executive, Non-Independent Director
Mr. Mohamed Azmeer	Managing Director/Chief Executive Officer (Executive Director)
Mr. Khairul Muzamel Perera Bin Abdullah (Appointed as SID on 23 January 2025)	Non-Executive, Senior Independent Director
Mr. Mohammed Ataur Rahman Chowdhury	Non-Executive, Non-Independent Director
Mr. Syed Muhammed Asim Raza	Non-Executive, Non-Independent Director
Mr. Tishan Subasinghe	Non-Executive, Independent Director
Mr. Mohamed Adamaly	Non-Executive, Independent Director
Mr. Mohammad Hassan	Non-Executive, Non-Independent Director
Mr. Delvin William Pereira	Non-Executive, Independent Director
Mr. Mohamed Zaheer Mohamed Azreen	Non-Executive, Independent Director
Mr. Senthilvel Senthil Nandhanan	Non-Executive, Non-Independent Director

Mr. Senthilvel Senthil Nandhanan, Non-Executive, Non-Independent Director was appointed to the Board of Amāna Bank PLC with effect from 7 March 2025.

Mr. Dilshan Hettiaratchi, Non-Executive Non-Independent Director retired with effect from 6 May 2025 on completion of the 9-year term.

Mr. Tishan Subasinghe, Senior Independent, Non-Executive Director stepped down in his capacity as Senior Independent Director with effect from 23 January 2025.

Mr. Khairul Muzamel Perera Bin Abdullah, Non-Executive, Independent Director was re-designated as the Senior Independent Director with effect from 23 January 2025.

Mr Mohamed Adamaly Non-Executive, Non-Independent Director was re-designated as an Non-Executive, Independent Director in line with CBSL regulations with effect from 6 May 2026.

During the year, the Independent Directors met in a meeting chaired by the Senior Independent Director (SID) without the presence of other Directors. The Non-Executive Directors (NEDs) also met without the presence of the Chairman to appraise the performance of the Chairman, in accordance with Section 9.6.3 of the Listing Rules of Colombo Stock Exchange.

In February 2026, Mr. Mustafa Sattar Kassim was appointed to the Board as a Non-Executive, Non-Independent Director, and Prof. Dr. Aishath Muneeza was appointed as a Non-Executive, Independent Director through Nomination and Governance Committee in line with the nomination process.

The Bank had made timely disclosures to the Colombo Stock Exchange and obtained the regulatory approvals with regard to the appointments to the Board made during the reporting period, from CBSL.

12.3 Recommendation for Re-election of Directors Retiring by Rotation or Otherwise

In terms of Article 29(13) of the Articles of Association, Mr. Mustafa Sattar Kassim and Prof. Dr. Aishath Muneeza who were appointed to the Board subsequent to the last Annual General Meeting, retires and offer themselves for re-election.

In terms of Article 29(6) of the Articles of Association of the Bank, Mr. Tishan Subasinghe, Mr. Ali Asghar (Asgi) Akbarally and Mr. Mohamed Adamaly retires by rotation at the forthcoming Annual General Meeting of the Bank and offer themselves for re-election.

The Board Nomination and Governance Committee and the Board of Directors have pleasure in recommending their re-election.

12.4 Directors' Emoluments

The Directors' remuneration in respect of the Bank for the financial year ended 31 December 2025 is given in Note 13 to the Financial Statements which represents the emoluments paid to Executive and Non-Executive Directors of the Bank.

12.5 Interest Register/Directors' Interest in Contracts

As at 31 December 2025, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 46 to the Financial Statements.

The Bank has maintained an Interest Register as required by the Companies Act No. 07 of 2007. We wish to confirm that all Directors have made general declarations as required by Sections 192 (1) and (2) of the Companies Act No. 07 of 2007. This Annual Report contains the particulars of the entries made in the Interest Register.

Business Relationship

Mr. Ali Asghar (Asgi) Akbarally – Chairman, Non-Executive, Non- Independent Director is a Director of WindForce PLC and any transaction entered by the Bank is disclosed on page 200 under Directors' Interest in Contracts. He has disclosed his interest in such transactions and ensured that he refrains from participating in the related discussions and decisions.

Relevant Interest in the Shares

Direct Interest – Directors

The Relevant Interest in the shares held directly by the Directors are disclosed below and the interest register has been updated accordingly of the changes that took place during the year.

12.6 Directors' Investments in Shares

The shareholdings of Directors who held office as at 31 December 2025 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Ali Asghar (Asgi) Akbarally	Nil	Nil
Mr. Mohamed Azmeer	300,000	0.05%
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Mr. Mohammed Ataur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Tishan Subasinghe	Nil	Nil
Mr. Mohamed Adamaly	Nil	Nil
Mr. Mohammad Hassan	Nil	Nil
Mr. Delvin William Pereira	Nil	Nil
Mr. Mohamed Zaheer Mohamed Azreen	Nil	Nil
Mr. Senthilverl Senthil Nandhanan	Nil	Nil

Mr. Mohamed Azmeer – Managing Director/CEO held 300,000 shares as at 31 December 2025. The other Directors did not hold any Ordinary Shares as at the end of the Financial Year 2025.

13. SHARE-BASED PLANS

The Board Human Resources and Remuneration Committee is responsible for reviewing recommendations with respect to issues or grants under the Bank's Employee Share Option plan. The Directors approve issues or grants under the plans only after being satisfied that this is in accordance with the terms of Shareholder approval.

13.1 Employee Share Option Scheme

The Bank established its first Employee Share Option Scheme (ESOS) in the year 2023 with the approval of the shareholders at the Extraordinary General Meeting held on 30 March 2023. The Executive Director and employees above the Managerial Level 1 including seconded employees and such other employees as determined by the Board were qualified to participate in the ESOS and such Eligible Employees were to be granted ordinary shares in the Bank based on both the individual performance of the relevant employee and the performance of the Bank.

The Directors confirm that the Bank will not grant any funding to employees directly or indirectly to exercise share options and purchase any shares under this Scheme.

14. INVESTOR INFORMATION

14.1 Shareholding

There were 9,884 registered shareholders as at 31 December 2025. The following details relating to investor information is given on pages 337 to 340 of the Annual Report.

1. Distribution of Shareholders
2. Resident and Non-Resident Shareholding
3. Individual and Institutional Shareholders
4. Twenty Major Shareholders

14.2 Share Information

Information relating to earnings, dividends, net assets, and the market value per share is given in the Financial Highlights on page 32 of the Annual Report.

The Bank has at all times ensured that all shareholders are treated equitably.

14.3 Status of Compliance to the Minimum Public Holding Requirement of the Listing Rules

The number of Ordinary Shares held by the public as at 31 December 2025 is 246,088,011 (44.65%) of the issued capital (number of shares) of the Bank. The minimum public holding requirement as at 31 December 2025 maintained by the Bank in compliance with the Listing Rules is as follows:

Type of Share	Float Adjusted Market Capitalisation (LKR)	Public Holding Percentage	No. of Shareholders representing the Public Holding Percentage	Option
Ordinary Shares	7,382,640,330	44.65%	9,863	3

14.4 Issue of Shares under the Employee Share Option Scheme

By 31 December 2025, three (3) employees had informed the Company Secretary of their intention to exercise their rights to purchase shares granted under the Employee Share Option Scheme. Accordingly, the shares were allotted to them and these shares were listed on 11 February 2026. Details of the shares granted and vested since the scheme's establishment in April 2023 can be found under Investor Relations on page 340.

15. RELATED PARTY TRANSACTIONS

The Bank's transactions with Related Parties given in Note 46 to the Financial Statements, have complied with the listing Rule 9.14 of the Colombo Stock Exchange and under the Code of Best Practice on Related Party Transactions issued under the Directive of The Securities and Exchange Commission of Sri Lanka.

There were no other non-recurrent Related Party Transactions where the aggregate value exceeds 10% of equity or 5% of total assets of the Bank whichever was lower as at 31 December 2025.

There were no other recurrent Related Party Transactions where the aggregate value exceeds 10% of the gross income of the Bank which requires additional disclosures as per the Listing Rules of the Colombo Stock Exchange.

The Directors declare that they have complied with the provisions of the Code relating to full disclosure of Related Party Transactions entered into during the Financial Year ended 31 December 2025.

16. CONTINGENT LIABILITIES

In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank. Details of litigation pending against the Bank are given in Note 49 to the Financial Statements.

17. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government, other regulatory bodies and related to the employees have been paid on a timely basis.

18. RISK MANAGEMENT

The Bank has an ongoing process in place to identify, evaluate and manage risks that are faced by the Bank. The Board Integrated Risk Management Committee regularly reviews these processes and updates the Board. The Risk Management Framework is detailed in pages 221 to 245 of the Annual Report.

19. ENVIRONMENTAL PROTECTION

To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief the Bank has complied with the relevant environmental laws and regulations.

20. GOING CONCERN

The Board of Directors has reviewed the Strategic Plan of the Bank and the Budget for the ensuing year and is satisfied that the Bank has adequate resources to continue their operations in the foreseeable future. Accordingly, the Financial Statements of the Bank are prepared on a going-concern basis.

21. EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 47 to the Financial Statements.

22. BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by CBSL. The members of the Board Sub-Committees are detailed under Corporate Information of the Annual Report.

The mandatory Committees, established under the Listing Rules of the Colombo Stock Exchange and the Corporate Governance Directions issued to licensed commercial banks by CBSL, have reports included in this Annual Report detailing the composition of membership, their movement, attendance, and the activities carried out during the year and their functions.

23. AUDITORS

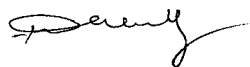
The Financial Statements for the year ended 31 December 2025 have been audited by Messrs Ernst & Young, Chartered Accountants who is not eligible to continue as Auditors of the Bank and not seeking reappointment in accordance with Banking (Amendment) Act, No. 24 of 2024. A resolution relating to the appointment of Messrs KPMG, Chartered Accountants as Auditors of the Bank for the ensuing year and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid/provided with LKR 5,510,000 as Audit fees by the Bank. As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

24. ANNUAL GENERAL MEETING

The Annual General Meeting will be held on Thursday, 14 May 2026 at 2.00 p.m. at the Corporate Office, No. 353, Galle Road, Colombo 3, via a digital platform.

By Order of the Board
AMĀNA BANK PLC



Ali Asghar (Asgi) Akbarally
Chairman



Mohamed Azmeer
Managing Director/CEO



S. Dayani de Silva
Company Secretary

26 February 2026
Colombo

Name of Director	Name of Company	Position	Nature of Transaction	Amount 2025 LKR	Amount 2024 LKR
Mr. Ali Asghar Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors	2,784,369,849	2,514,681,537
Mr. Ali Asghar Akbarally	WindForce PLC	Director	Due to Depositors	782,346	18,853,084
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other	-	53,751,466
Mr. Ali Asghar Akbarally	Quick Tea (Pvt) Limited	Director	Due to Depositors	41,671,892	N/A
Mr. Ali Asghar Akbarally, Chairman of the Bank is also Chairman of Laviyani Holdings (Pvt) Limited, Uthurumaafaru Holdings (Pvt) Limited - Maldives, Cocoon Investments (Pvt) Limited - Maldives and Hermitage Resorts (Pvt) Limited and also a Director of AB Lagoon (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Falcon Trading (Pvt) Limited, Falcon Development (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Flexi Print (Pvt) Limited, Land & Building (Pvt) Limited, Stella Plastic India (Pvt) Limited, Kassanfaru One (Pvt) Limited and Joy Resorts (Pvt) Limited.					
Mr. Dilshan Hettiaratchi **, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, Faber Capital Lanka (Pvt) Limited, Faber Capital (DIFC) Limited, Southern Gammiris Lanka (Pvt) Limited, Last Mile Delivery (Pvt) Limited, Boda Boda (Pvt) Limited, Premier Solar Group Limited, Premier Solar Lanka (Pvt) Limited, Preserving Land and Nature (Guarantee) Limited and Wealth Lanka Management (Pvt) Limited.					
Mr. Mohamed Azmeer	Better Space Holdings (Pvt) Limited	Material Shareholder	Due to Depositors	345,968	29,543
Mr. Mohamed Azmeer	Better Space Properties (Pvt) Limited	Material Shareholder	Due to Depositors	10,405	10,109
Mr. Mohammed Ataur Rahman Chowdhury, a Director of the Bank is also a Director of FC Taiba Leasing LLC, Uzbekistan.					
Mr. Mohamed Adamaly ***, an Independent Director of the Bank is also a Director of David Pieris Holding (Pvt) Limited, Synergy Plus (PTE) Limited, Palm Stone (Pvt) Limited, Soul Resorts (Pvt) Limited, Monad (Pvt) Limited, Monad Corporate Services (Pvt) Limited, S A A Lanka (Pvt) Limited, Adamantium Investments (Pvt) Limited, Blue Sky Luxury Apartments (Pvt) Limited, Assetline Holdings (Pvt) Limited and Assetline Lands (Pvt) Limited.					
Mr. Tishan Subasinghe, an Independent Director of the Bank is also a Director of Kapruka Holdings PLC, Samsons International PLC, Moore Consulting (Pvt) Limited, Moore LPO Services (Pvt.) Ltd., and a Partner of Moore Aiyar.					
Mr. Delvin Pereira, an Independent Director of the Bank is also a Director of Highbrow International Pvt Ltd.					
Mr. Mohamed Azreen	Spillburg Holdings (Pvt) Limited	Director	Due to Depositors	764,740	N/A
Mr. Mohamed Azreen, an Independent Director of the Bank is also a Director of Kuwait Finance House (Malaysia) Berhad Ltd., Afadamad (Pvt) Ltd., Frontier Secretarial House (Pvt) Ltd. and PT Indo Rempah Commodities.					
Mr. Senthilvel Senthil Nandhanan *, a Director of the Bank is also a Director of Sarvodaya Development Finance PLC, Dr. T. Senthilvel (Pvt) Ltd, Senthilvel Holdings (Pvt) Ltd and Samindu Incense (Pvt) Ltd.					

* Mr. Senthilvel Senthil Nandhanan was appointed as Director of the Bank w.e.f. 7 March 2025.

** Mr. Dilshan Hettiaratchi retired as Director of the Bank w.e.f. 6 May 2025.

*** Mohamed Adamaly was re-designated as an Independent Director of the Bank w.e.f. 6 May 2025.

AUTHORITY AND COMPOSITION

The Board Audit Committee (BAC) conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2025 comprised of Three (3) Non-Executive Directors, Two of them being Independent. The Chairman of the Committee, Mr. Tishan Subasinghe is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the BAC during the year under review and their attendance at Committee meetings held during the year:

Member	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Tishan Subasinghe – Chairman (Non-Executive, Independent Director)	7/7
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director) - Ceased to be a member of the BAC w.e.f. 20 February 2025	2/2
Mr. Mohamed Zaheer Mohamed Azreen (Non-Executive, Independent Director)	7/7
Mr. Mohammad Hassan (Non-Executive, Non-Independent Director) -Appointed to the BAC w.e.f. 20 February 2025	3/5

The Chief Internal Auditor functions as the Secretary to BAC.

ROLE OF THE BOARD AUDIT COMMITTEE

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee’s “Terms of Reference” document. The Committee amongst other functions performs the following key tasks:

- i. Reviewing the operations and effectiveness of the Bank’s internal control system to ensure that a good financial reporting system is in place to comply with the Sri Lanka Accounting Standards.
- ii. Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- iii. Recommending the appointment or reappointment of the External Auditor for audit services in compliance with the relevant statutes.
- iv. Reviewing and monitoring the External Auditor’s independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.
- v. Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- vi. Ensuring that an Internal Audit Charter and a comprehensive Internal Audit Manual comprising of relevant Guidelines are in place.
- vii. Reviewing the adequacy of the scope, functions and resources of the Internal Audit Division and ensuring that appropriate actions are taken on the findings and recommendations reported by the Division.

REGULATORY COMPLIANCE

The role and functions of the BAC are regulated by the Banking Act Direction No. 05 of 2024 - Corporate Governance For Licensed Banks issued by the Central Bank of Sri Lanka which came

into effect from January 01, 2025 (hereinafter referred to as the CBSL Direction) and Section 9 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance (hereinafter referred to as the CSE Listing Rules) and guided by the Best Practices of Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka.

Composition of the Committee is in compliance with related requirements as per the CBSL Direction and the CSE Listing Rules.

To ensure compliance with the Sri Lanka Auditing Standards (SLAuSs), the BAC oversees the Bank’s internal controls and risk management processes to confirm they are adequately designed and operating effectively. This oversight ensures that the Bank’s financial reporting is accurate, complete, and in accordance with applicable laws and regulations, thereby fulfilling the requirements set forth in the SLAuSs

In line with the CBSL Direction and CSE Listing Rules the BAC has diligently carried out its responsibilities during the financial year, ensuring effective oversight of the company’s financial reporting, internal controls, and risk management systems. The committee has met regularly to review and assess the integrity of financial statements, compliance with applicable laws, and the adequacy of internal audit processes. Additionally, the BAC has liaised with both internal and external auditors to ensure that audit findings are addressed appropriately, and has taken necessary steps to mitigate financial and operational risks. The committee is satisfied that its functions have been effectively discharged, contributing to the Bank’s transparency, accountability, and good corporate governance.

MEETINGS

The Committee met seven (7) times during the year under review. The regular attendees on invitation to the BAC meetings are the Managing Director/CEO (MD/CEO), Chief Operating Officer (COO) and the Chief Financial Officer (CFO).

On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended three (3) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support divisions of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/ or developments relating to such divisions.

Such invitations were extended to ensure that the Committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

FINANCIAL REPORTING

BAC, as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors has reviewed and overseen the Bank's compliance with financial reporting requirements, information requirements under the CSE Listing Rules, the Companies Act No. 07 of 2007, the Securities and Exchange Commission (SEC) Act No. 19 of 2021, and other relevant financial reporting-related regulations and requirements. Accordingly, the Committee ensured the accuracy, integrity, and timeliness of financial and regulatory disclosures while upholding the highest standards of corporate governance.

As part of the above process the BAC has reviewed and discussed with the Management, the Annual Financial Statements for the year 2025, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report. BAC has also met, reviewed and recommended all quarterly interim financial statements of the Bank for the year 2025 before release of the same to the Colombo Stock Exchange. Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards & the Companies Act No. 07 of 2007 and other applicable laws and regulations.

BAC also obtained and reviewed the assurance statement provided by the MD/CEO and the CFO, confirming that the financial records have been properly maintained and that the financial statements give a true and fair view of the Bank's operations and financial position in compliance with applicable accounting standards and regulatory requirements.

RISKS AND INTERNAL CONTROLS

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor that the Bank operates efficiently, complies with laws and regulations and to protect its assets. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2025, as required by the CBSL Direction, Subsection Section 9 (2) (b) and based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka.

The result of the assessment is given on page 192 of the Annual Report, titled "Directors' Statement on Internal Control over Financial Reporting". The External Auditors have issued an Assurance Report on the "Directors' Statement on Internal Control over Financial Reporting". This report is given on page 193 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2025 that the Bank's Internal Control over financial reporting is effective.

EXTERNAL AUDIT

The BAC has reviewed the written statements provided by the Bank's External Auditors who are approved by the SEC confirming that they are and have been independent throughout the conduct of the audit engagement and made a determination regarding the independence of the external auditors for the financial year, in accordance with applicable regulatory requirements and best practices. The committee has assessed such

independence of the auditors based on the criteria set out in the relevant regulations, including the professional standards for audit firms, and has ensured that no conflicts of interest exist.

Having satisfied itself based on the above process, the BAC assisted the Board with its recommendations to the shareholders on the re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2025. The role played by the BAC with regard to the External Audit and also to ensure the independence of External Auditors is further elaborated below:

- ◆ Monitoring and evaluating the independence, objectivity and effectiveness of the External Audit at the planning, execution, completion and reporting phases of the External Audit Assignment.
- ◆ Discussing the approach and procedures followed by the External Auditors, including matters relating to the audit plan, key risk areas, scope and the methodology proposed to be adopted in conducting the audit, prior to commencement of the annual audit.
- ◆ Discussion of the time frame allocated for the External Audit and approving the remuneration and other terms of engagement of the External Auditors.
- ◆ Reviewing the existing non-audit services provided by the External Auditors and also approving any new services to the external auditors by ensuring that such functions do not fall within the restricted services which will impair the External Auditors' independence and objectivity. These exercises are performed by the BAC in line with the Bank's policy on engaging the External Auditor for non-audit services.
- ◆ BAC met the External Auditors Two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern.

- ♦ BAC reviewed the results of the external audit for the year 2025 as presented by the external auditors and also the performance of the external auditors against the agreed terms of engagement.
- ♦ Moreover, during the year the Committee also reviewed the External Auditor's Management Letter – 2024 and the management's responses thereto.

Current external auditor has been engaged with the Bank for 14 years, with the current audit partner overseeing the engagement for 1 year. The BAC has noted the provision of non-audit services by the external auditor during the year and is satisfied that the fees paid for such services did not impair the independence and objectivity of the external auditors. The committee remains confident that the external auditors have continued to perform their duties with the highest level of integrity and independence.

EXTERNAL AUDITOR ROTATION

In compliance with Section 6.2(d) (iv) of the CBSL Direction, which limits the tenure of an External Auditor to six (6) years, the BAC provided oversight to a formal and competitive selection process to appoint a new External Auditor for the Bank effective from the Financial Year Ended 31 December 2026.

This process was structured to ensure independence, transparency and technical competence, with evaluation criteria covering audit quality, banking sector expertise, independence safeguards, engagement team strength and fee considerations. Following a comprehensive assessment, the Committee recommended a new External Auditor to the Board, subject to shareholder approval.

The proposed appointment will be presented for approval by the shareholders at the Annual General Meeting in 2026.

INTERNAL AUDIT

Internal Audit Division (IAD) conducted planned audit assignments at the Bank's Branches, Head office Departments/Process,

Information Systems and related processes based on the risk based Internal Audit Plan approved by the BAC for the year 2025.

IAD also performed other reviews such as adhoc reviews & investigations based on the requirements from BAC, Management or based on need. Internal Audit reports are tabled at the BAC meetings and directions of the BAC are effectively communicated to the Auditees including on follow-up of unresolved audit findings. The progress of the Internal Audit assignments were measured against the approved Internal Audit Plan for the year 2025 and presented to the BAC on a quarterly basis. All such functions of IAD are performed in line with the Board approved Internal Audit Charter. During the year, the BAC reviewed the effectiveness, independence, objectivity and performance of the Internal Audit Function. This review also included the findings from the Internal Audits completed and IAD's evaluation of the Bank's internal controls. The Committee also reviewed the scope and adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the IAD's resource requirements.

During the year 2025, IAD implemented an automated Audit Tracker system to enhance the monitoring and follow-up of past internal audit findings. The system facilitates timely remediation through automated reminders to respective auditees and incorporates a structured escalation mechanism for overdue actions. The BAC exercised oversight over the implementation of this initiative and noted that the system has strengthened accountability, improved transparency of outstanding issues, and enabled the Committee to receive structured and timely reports on the status of audit observations. The Committee considers this enhancement to be a positive step towards reinforcing the Bank's internal control and governance framework.

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

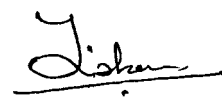
WHISTLEBLOWING

An internal whistleblowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review and investigate the complaints received via this scheme and appropriate directions are provided by the Committee where applicable in relation to the conclusions arrived at, based on such investigations.

The Bank's whistleblowing process has provision for the anonymity of the Whistle Blower and ensures the confidentiality of the subject-matter. Further, where possible two-way communication with the whistleblower is made in instances where the Whistleblower has chosen to disclose his/ her identity.

COMMITTEE EVALUATION

BAC to the best of its knowledge, effectively discharged its duties in relation to Financial Reporting, External Audit, Internal Audit and other responsibilities entrusted to the committee from various rules & regulations for the year 2025. The annual evaluation of the BAC was carried out by the members of the Board of Directors who are not part of the BAC and the Committee has taken note of the feedback received.



Tishan Subasinghe
Chairman – Board Audit Committee

26 February 2026
Colombo

COMPOSITION OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The current Chairman is Mr. Khairul Muzamel Perera Bin Abdullah.

The Committee met six times during the year 2025 and the attendance is as follows:

Member	Participation / Eligibility
Mr. Khairul Muzamel Perera Bin Abdullah - (Chairman) (Non-Executive, Independent Director)	6/6
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)	5/6
Mr Delvin William Pereira (Non-Executive, Independent Director)	6/6

In line with revised Corporate Governance requirements, Mr. Tishan Subasinghe (Non-Executive, Independent Director) and Mr. Azreen Zaheer (Non-Executive, Independent Director) stepped down as Members of the Board Integrated Risk Management Committee with effect from 23 January 2025. The Managing Director/CEO and the Chief Risk Officer ceased to serve as members of the Committee and attend meetings as permanent invitees with effect from the same date. Further, Mr. Delvin William Pereira, a Non-Executive Independent Director, was appointed as a member of the Committee with effect from 23 January 2025.

The Manager - Integrated Risk Management serves as the Secretary to the BIRMC.

REGULATORY COMPLIANCE

The functions and responsibilities of the Board Integrated Risk Management Committee (BIRMC) are structured and carried out in compliance with the requirements set out in the Revised Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

In addition, the Committee operates in alignment with the Corporate Governance provisions stipulated under the Listing Rules of the Colombo Stock Exchange.

The Committee continuously reviews its processes and Terms of Reference to ensure ongoing compliance with evolving regulatory requirements and to maintain robust risk governance standards within the Bank.

MEETINGS

The Board Integrated Risk Management Committee (BIRMC) met 6 times during the year under review. A structured agenda and comprehensive risk reports were circulated in advance to facilitate informed deliberations.

The Managing Director/ Chief Executive Officer, Chief Risk Officer, Chief Operating Officer and Chief Financial Officer attends BIRMC meetings by invitation (Permanent Invitees). Key Management Personnel from relevant business and support divisions of the Bank including the Chief Compliance Officer (CCO) and Chief Information Officer (CIO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate discharge of its roles and responsibilities. Proceeding of each meeting were properly documented and key deliberations and recommendations were reported to the Board on a timely basis.

ROLES AND RESPONSIBILITIES OF THE BIRMC

The BIRMC is primarily responsible for the effective operation of the risk management function within the Bank. The BIRMC has the authority to request diverse information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. The committee oversees and controls integrated planning and monitoring of the risk profile and capital adequacy, providing an alignment of risk appetite and capital requirements.

Its key responsibilities include:

- i. Reviewing and recommending the banks risk appetites Statements (RAS) and risk tolerance limit for board approval.
- ii. Reviewing the risk management policies, frameworks, limit structures and appropriate compliance policies and processes periodically to ensure adequacy and regulatory compliance in order to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- iii. Reviewing the Integrated Risk Management Framework adopted by the bank on an annual basis.
- iv. Reviewing the independence and assess the bank’s risk management processes and internal controls throughout the Bank with a view to manage the Bank’s key risk control and mitigation processes including business continuity plans.
- v. Overseeing the identification, measurement, monitoring and control of material risk including credit, market, liquidity, operational, strategic compliance, ESG and emerging risks of the Bank.
- vi. Reviewing the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank’s key risk controls and mitigation processes.
- vii. Overseeing management level committees managing risk, such as Executive Risk Management Committee (ERMC), Asset and Liability Committee (ALCO), Information Technology & Security Committee (ITSC) and Sustainability Banking Initiative Committee (SBIC).

- viii. Ensuring that there are clear and independent reporting lines and responsibilities for risk management functions.
- ix. Apprising the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.
- x. Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, aligned with the Bank's policies and regulatory and supervisory requirements.
- xi. Take appropriate actions against officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the regulator.
- xii. Submit an update on key matters discussed and resolved at the BIRMC, to the upcoming Board meeting, prior to the issuance of the BIRMC minutes.
- xiii. Establish a compliance function to assess the Bank's compliance with laws, regulatory guidelines, other statutes, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.
- xiv. Ensure information security and technology risk profile of the bank together with any information on security incidents including cybersecurity are looked at and updated to the board regularly.

The BIRMC has the authority to seek external professional advice on matters within its purview.

RISK MANAGEMENT AND INTERNAL CONTROLS

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board of Directors and Senior Management that material risks are appropriately identified, measured, monitored, and controlled, and that effective

mitigation action plans are in place to address all significant risk exposures.

During the financial year ended 31 December 2025, the Board Integrated Risk Management Committee reviewed and assessed the adequacy and effectiveness of the Bank's enterprise-wide risk management framework and internal control systems. The Committee ensured that the Bank's risk profile remained aligned with the approved Risk Appetite Statement and that timely corrective actions were taken in instances of limit breaches or emerging risk concerns.

In pursuit of prudent risk management, the Bank further strengthened the Risk Management Department to enhance oversight of its core risk functions, namely credit risk, market risk, liquidity risk, and operational risk. The risk management function adopts a comprehensive and integrated approach, enabling holistic risk oversight, cross-risk assessment, and continuous enhancement of risk governance practices. Particular emphasis was placed on strengthening regulatory self-assessment processes and fostering a strong risk culture across all levels of the organisation.

The BIRMC reviews consolidated risk reports covering key risk categories and evaluates trends, concentrations, stress vulnerabilities, and emerging risks that may impact the Bank's financial soundness and strategic objectives. Regular reviews undertaken by the Committee include:

- ◆ Monitoring of Key Risk Indicators against approved risk appetite thresholds.
- ◆ Review of stress testing and scenario analysis outcomes.
- ◆ Evaluation of capital adequacy and Internal Capital Adequacy Assessment Process (ICAAP) assessments
- ◆ Ensure the oversight of liquidity and market risk exposures, including limit utilisation.
- ◆ Review of operational risk events, loss data, and control enhancements and cyber security risk incidents.
- ◆ Review of asset quality and the credit portfolio monitoring.
- ◆ Monitoring compliance with applicable regulatory requirements and supervisory directions.

The Committee ensures that appropriate internal controls, mitigation strategies, and governance mechanisms are in place to safeguard the Bank's assets, capital strength, and reputation. Through structured oversight and continuous evaluation, the BIRMC supports the Board in maintaining a sound risk management framework and a resilient internal control environment aligned with regulatory expectations and industry best practices.

BIRMC REVIEW AND EVALUATION

During the year 2025, the Board Integrated Risk Management Committee (BIRMC) undertook comprehensive reviews to assess the robustness of the Bank's risk management framework and its resilience under stressed conditions.

The Committee reviewed the stress testing analysis conducted by the Risk Management Division to evaluate the resilience of the Bank's portfolio under a range of adverse economic scenarios. The results of the stress tests were incorporated into the Internal Capital Adequacy Assessment Process (ICAAP) prepared in 2025. Based on the analysis, it was noted that the Bank's Capital Adequacy Ratio (CAR) remained comfortably above the minimum regulatory requirements, even under severe stress scenarios, demonstrating the Bank's capital strength and resilience.

The BIRMC also reviewed the Recovery Plan (RCP) prepared by the Risk Management Division, which outlines a comprehensive range of recovery options to address potential shocks to capital, liquidity, and other critical risk areas arising from bank specific or market-wide stress events. The Committee noted that the RCP provides actionable and structured strategies to restore financial and operational stability during periods of stress, thereby strengthening the Bank's preparedness and resilience.

In addition, the Committee reviewed the resolution planning data consolidation prepared for submission to the CBSL and recommended the same for onward submission to the Board of Directors for approval.

The Risk Control and Self-Assessment framework was further strengthened across critical business units to enhance the identification, assessment, mitigation, and monitoring of operational risks. The BIRMC emphasised the continuous enhancement of the RCSA process to reinforce operational risk management capabilities and internal control effectiveness.

During the year, the Risk Management Department successfully conducted a comprehensive Business Continuity Plan (BCP) drill over a consecutive three-day period, while Disaster Recovery (DR) systems were tested for more than five days. The tests identified only negligible issues. The BCP/DR test results were independently validated by the Internal Audit Department, subsequently approved by the Board, and submitted to the CBSL in compliance with regulatory requirements.

The BIRMC reviewed and recommended several risk related policies for Board approval during the year. Amendments to policies and Terms of Reference (TORs), necessitated by CBSL corporate governance directions, were reviewed and forwarded to the Board with appropriate recommendations. Policies required under the Colombo Stock Exchange (CSE) Rules were also reviewed and approved to ensure continued regulatory compliance.

Cybersecurity risk was reviewed through detailed presentations made to the Committee, which included updates on emerging cyber threats and recent industry incidents during 2025. The Committee assessed the adequacy of controls and mitigation measures implemented to strengthen the Bank's cyber resilience.

The BIRMC evaluated the performance of management-level committees operating under its purview and confirmed that they functioned effectively in alignment with their respective Terms of Reference. The Sustainability Banking Initiative Committee (SBIC), being responsible for overseeing sustainability-related risks, was brought under the purview of the BIRMC to ensure integrated oversight of sustainability and emerging risks, with minutes tabled accordingly.

The Board and the BIRMC are satisfied with the effectiveness of the risk management strategies implemented under the Bank's Integrated Risk Management Framework (IRMF), which was reviewed and updated in line with regulatory requirements, including applicable CSE Rules. Through regular review of the risk dashboard and key risk indicators, the Committee assessed the adequacy of controls over significant risk areas.

The Bank remains committed to operating within its approved risk appetite while adhering to Basel regulatory standards, CBSL requirements, and CSE Rules. Continuous monitoring, proactive risk identification, and timely implementation of mitigation strategies will support the Bank's sustained growth, financial resilience, and long term stability.



Khairul Muzamel Perera Bin Abdullah

Chairman - Board Integrated Risk Management Committee (BIRMC)

26 February 2026
Colombo

The Board Human Resources and Remuneration Committee (BHRRC) comprises of the following members during the year under review:

1. Mr. Delvin Pereira – Chairman
(Non- Executive, Independent Director)
(Appointed w.e.f. 23 January 2025)
2. Mr. Ali Asghar Akbarally – Member
(Non-Executive, Non-Independent Director)
3. Mr. Mohammed Ataur Rahman Chowdhury – Member
(Non-Executive, Non-Independent Director)
4. Mr. Azreen Zaheer – Member
(Non-Executive, Independent Director)
(Appointed w.e.f. 23 January 2025)

The Committee was reconstituted in January 2025, with Mr. Delvin Pereira being appointed as Chairman, succeeding Mr. Tishan Subasinghe – Non Executive, Independent Director.

Mr. Azreen Zaheer was appointed as a member of the Committee in place of Mr. Khairul Muzamel Perera Bin Abdullah – Non-Executive, Independent Director.

Subsequent to the retirement of Mr. Dilshan Hettiaratchi – Non- Executive, Non-Independent Director on 6 May 2025, the Committee comprised four (4) members.

All four Directors in the Committee are Non-Executive Directors with two (2) being Independent Directors.

Mr. Mohamed Azmeer, Managing Director/ CEO, attends BHRRC meeting by invitation and participates regularly, except when matters relating to his performance evaluations and remuneration are being discussed.

REMUNERATION POLICY, AUTHORITY AND RESPONSIBILITIES

The Remuneration Policy of the Bank upholds best governance practices by ensuring a fair, transparent, market-competitive and structured approach to remuneration that are compliant with the laws and regulations of the Country. The objective is to ensure that the Executive Directors, KMPs and staff at all levels are properly incentivised and motivated to perform for the best interest of the Bank.

Any changes to the emoluments of the Directors are deliberated and approved by the Board, on the recommendation of the BHRRC.

The Committee has maintained a formal and transparent process for setting Executive Directors' remuneration, ensuring non-involvement of Directors in the process.

The remuneration of Non-Executive Directors follows a non-discriminatory approach, while maintaining transparency, fairness and ensuring their independence is not impaired.

The BHRRC has the explicit authority to decide on, and review the Bank's Human Resources and Remuneration Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

Based on the Committee's recommendation the Board in December 2025 has established and implemented a formal Claw-back Policy, outlining the specific procedures to be followed by the Bank. Relevant claw-back provisions have been integrated into the employment contracts of the CEO and KMPs to be effective from 1 January 2026.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

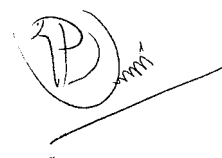
The Roles and Responsibilities of the Committee include:

- (i) Approving the periodic review of Human Resource Policies and Procedures based on Management's recommendation.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.

The aggregate remuneration of the Executive and Non-Executive Directors is disclosed in Note 13 to the Financial Statements on page 273 of the Annual Report.

MEETINGS

Meetings are held as and when necessary after providing sufficient notice to all members. There were 1 BHRRC meetings held in the year 2025.



Delvin Pereira

Chairman - Board Human Resources and Remuneration Committee

26 February 2026
Colombo

The Board Nomination and Governance Committee (BNAGC), formerly known as the Board Nomination Committee (BNC) of the Bank, functions in accordance with its scope and responsibilities covered under its board-approved Terms of Reference (TOR). The TOR of the BNAGC encompasses the provisions in section 9.11.5 of the Listing Rules of the Colombo Stock Exchange. The BNAGC had reviewed and recommended the corporate governance policies to the Board and complied with the Listing Rules requirements, which became effective from 1 October 2024.

In 2025, the BNAGC became a central pillar in the Bank's governance framework. This change was prompted by new corporate governance regulations introduced by the Colombo Stock Exchange. As a result, the Committee's role was expanded, enabling it to strengthen the Bank's governance culture and surpass stakeholder expectations.

COMPOSITION OF THE COMMITTEE

BNAGC comprises the following five (5) Non-Executive Directors with effect from 23 January 2025.

- Mr. Mohamed Zaheer Mohamed Azreen, NEID**
- *Chairman of the Committee*
- Mr. Ali Asghar (Asgi) Akbarally, NENID**
- *Member*
- Mr. Khairul Muzamel Perera Bin Abdullah, SID**
- *Member*
- Mr. Mohammed Ataur Rahman Chowdhury, NENID**
- *Member*
- Mr. Delvin William Pereira, NEID**
- *Member*

* NEID – Non-Executive Independent Director
NENID – Non-Executive Non-Independent Director
SID – Senior Independent Director

SECRETARY TO THE COMMITTEE

The Board Secretary functions as the Secretary to the Committee.

ATTENDANCE AT COMMITTEE MEETINGS

The attendance at the Committee Meetings as at 31 December 2025 is as follows:

Name of Member	Attendance Participated/ Eligibility
Mr. Mohamed Zaheer Mohamed Azreen (appointed on 23 January 2025)	4/4
Mr. Tishan Subasinghe (resigned on 23 January 2025)	1/1
Mr. Ali Asghar (Asgi) Akbarally	5/5
Mr. Khairul Muzamel Perera Bin Abdullah	5/5
Mr. Mohammed Ataur Rahman Chowdhury	5/5
Mr. Delvin William Pereira	4/5

During the year under review, Mr. Tishan Subasinghe - Non-Executive, Independent Director stepped down from the BNAGC with effect from 23 January 2025 as Chairman and Member. The vacancy created in the BNAGC was filled by the appointment of Mr. Mohamed Zaheer Mohamed Azreen – Non-Executive, Independent Director as a member and Chairman of BNAGC with effect from 23 January 2025.

The brief profiles of the Members of the Committee and their other directorships are given on pages 10 to 20 in the Annual Report.

Mr. Mohamed Azmeer, the Managing Director/CEO, participated in the meetings on invitation.

FREQUENCY OF MEETINGS

The Committee is required to meet as and when necessary and at least four times during a financial year. There were five meetings held during the financial year ended 31 December 2025, and the attendance of the members is disclosed above.

AUTHORITY OF THE COMMITTEE

The Committee has the authority to discuss issues under its purview and provide the Board with recommendations, enabling the Board to take a final decision on the matter. The Members of the Committee have the authority to express their views when making decisions.

The Committee reviews the Board's structure, size, composition, and competencies and makes recommendations to the Board regarding any changes.

The Committee recommends to the Board on insurance covers to be taken in respect of all Directors and KMPs including indemnity insurance covers.

If a need arises, the Committee has the authority to hire professionals from outside in the capacity of consultants for advice on specific issues.

Bank staff may be present at Committee meetings as required, based on the committee's invitation.

RESPONSIBILITIES OF THE COMMITTEE

According to the TOR given by the Board to the BNAGC, the following are its key responsibilities:

- i) Establishing a procedure to select/ appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- ii) Considering and recommending the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- iii) Setting the criteria such as qualifications, experience, and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- iv) Evaluate with the assistance of the HR function of the Bank that the Directors, CEO and KMPs are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.

- v) Considering and recommending from time to time, the requirements of additional/ new expertise and the succession arrangements for retiring Directors and KMPs.
- vi) Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times

The Quorum necessary for the transaction of business is three Members. The Board contains the required diversity with regard to composition, with expertise in banking, finance, legal, credit, investments, and other diversified fields that enhance effective contribution to the overall Board performance. TOR was amended on 26 February 2026 in line with the latest CBSL directions on corporate governance.

PERFORMANCE DURING THE YEAR

In 2025, the Board Nomination and Governance Committee broadened its responsibilities to strengthen the Governance functions of the Bank in accordance with the Corporate Governance Direction issued by the CBSL. The composition of the Board of Directors was reviewed in view of the way forward and aligned in line with the regulatory

requirements. The Committee was actively involved in establishing a framework to ensure timely compliance with the required deadlines.

During the year, the compositions of all subcommittees were evaluated, reviewed, and reconstituted in compliance with the Directions of the CBSL.

The fitness and propriety of new Directors and continuing Directors were assessed as required to ensure compliance with the Directions of the CBSL. The Committee further reviewed the Succession Plans for MD/ CEO, Key Management Personnel, and Directors. The BNAGC is entrusted with the responsibility of ensuring that Directors, the MD/CEO, and KMPs are fit and proper persons to hold office in compliance with the criteria specified under statutory and regulatory requirements.

The Board of Directors performed an annual self-evaluation of its own individual performance. During the year, the BNAGC oversaw the Board evaluations, further developed the Board Evaluation Framework, and streamlined the process in line with best governance practices and regulatory expectations.

As required under Rule No 9.11.6 of the Corporate Governance Rules of the Colombo Stock Exchange, we give below the information of the Directors proposed for re-election at the 17th Annual General Meeting to be held on 14 May 2026.

Name of Director	Board Sub-Committee Membership	Date of First Appointment as a Director	Date of Last Re-election to the Board	Current and Preceding 3 Years Directorships held in Listed Companies	Close Family Member
Mr. Mr. Ali Asghar (Asgi) Akbarally- Chairman NENID	BNAGC BHRRC	18 July 2020	2023 AGM	Past 3 years and current commitments are given in the profiles of Board of Directors on pages 10 to 20	He and his close family members have no other relationships with the Bank's Directors or material shareholders apart from the disclosed transactions noted on pages 181 and 200 of this report.
Mr. Mohamed Adamaly - NEID	N/A	27 August 2020	2022 AGM	-do-	He and his close family members have no other relationships with the Bank's Directors or material shareholders apart from the disclosed transactions noted on pages 181 and 200 of this report.

Name of Director	Board Sub-Committee Membership	Date of First Appointment as a Director	Date of Last Re-election to the Board	Current and Preceding 3 Years Directorships held in Listed Companies	Close Family Member
Mr. Tishan Subasinghe - NEID	BAC BRPTRC	26 August 2020	2023 AGM	-do-	He and his close family members have no other relationships with the Bank's Directors or material shareholders apart from the disclosed transactions noted on page 200 of this report.
Mr. Mustafa Sattar Kassim - NENID	N/A	5 February 2026	New Director	-do-	N/A
Prof. Dr. Aishath Muneeza - NEID	N/A	26 February 2026	New Director	-do-	N/A

As required under Rule No 9.11.6 of the Corporate Governance Rules of the Colombo Stock Exchange, we give below the information of the Director re-elected at the 16th Annual General Meeting held on 6 May 2025.

Name of Director	Board Sub-Committee Membership	Date of First appointment as a Director	Date of Last Re-election to the Board	Directorships held: Current and Preceding 3 Years in Listed Companies	Close Family Member
Mr. Mohammed Ataur Rahman Chowdhury - NENID	BIRMC BNAGC BHRRC	16 January 2018	2023 AGM	All the Directors' Past 3 years and current commitments are given in the profiles of Board of Directors on pages 10 to 20.	These Directors and their close family members have no other relationships with the Bank's Directors or material shareholders, apart from the disclosed transactions noted on page 200 of this report
Mr. Syed Muhammed Asim Raza - NENID	N/A	20 October 2018	2023 AGM		
Mr. Delvin William Pereira - NEID	BIRMC BNAGC BRPTRC BHRRC	28 March 2024	N/A		
Mr. Mohamed Zaheer Mohamed Azreen, - NEID	BNAGC BHRRC BAC BRPTRC	20 July 2024	N/A		
Mr. Senthilveri Senthil Nandhanan - NENID	N/A	7 March 2025	N/A		

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.



Mohamed Zaheer Mohamed Azreen
Chairman-Board Nomination and Governance Committee

26 February 2026
Colombo

COMPOSITION OF THE BOARD
RELATED PARTY TRANSACTIONS
REVIEW COMMITTEE

The Board Related Party Transactions Review Committee (“the Committee”) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (SEC) and Section 9.14 of the Listing Rules of the Colombo Stock Exchange (CSE) and Section 6(6) of the Banking Act Directions No. 05 of 2024.

During the year under review, the Committee comprised of the following Directors, which is in conformity with Section 9.14.2 of the Listing Rules of the CSE:

- ♦ **Mr. Tishan Subasinghe** – Chairman (Non-Executive, Independent Director)
- ♦ **Mr. Mohamed Zaheer Mohamed Azreen** - Member (Non-Executive, Independent Director)
- ♦ **Mr. Delvin Pereira** - Member (Non-Executive, Independent Director)

During the year under review, Mr. Dilshan Hettiaratchi (Non-Executive, Non-Independent Director) a former member of the Committee retired from the Board of Amāna Bank PLC with effect from 6 May 2025. Further, during the year, the Committee was reconstituted on 1 January 2025 to comply with Section 6.6(b) of the Banking Act Direction No. 05 of 2024 on Corporate Governance for licensed banks, relating to the Related Party Transactions Review Committee.

Mr. Mohamed Zaheer Mohamed Azreen (Non-Executive, Independent Director) was appointed to the Committee as a member in place of Mr. Mohamed Azmeer – (Managing Director/Chief Executive Officer) who was a member of the Committee who stepped down from the Committee with effect from 1 January 2025.

The profiles of the members of the Committee as at 31 December 2025 are given on pages 10 to 20.

REGULAR ATTENDEES BY INVITATION

During the year, Mr. M. Ali Wahid (Chief Financial Officer) attended the Committee meetings regularly by invitation. In addition, the Committee summons other Management officials including MD/CEO to participate in proceedings on a need basis.

MEETINGS

The Committee meets quarterly as stipulated by the regulations. During 2025, the Committee held four meetings. The attendance of the members is given below.

Member	Directorship Status	Membership Status	Participated/ Eligibility
Mr. Tishan Subasinghe	Independent/Non-Executive	Chairman	4/4
Mr. Mohamed Zaheer Mohamed Azreen	Independent/Non-Executive	Member	4/4
Mr. Dilshan Hettiaratchi (Retired from the Board on 6th May 2025)	Non-Independent/ Non-Executive	Member	1/1
Mr. Delvin Pereira	Independent/Non-Executive	Member	4/4

The Company Secretary functions as the Secretary to the Committee.

TERMS OF REFERENCE AND SCOPE OF OPERATIONS

The Committee operates under the Terms of Reference for monitoring Related Party Transactions, ensuring compliance with the Banking Act Directions, regulations and Determinations issued by the Central Bank, as well as the Listing Rules of the CSE. Additionally, a dedicated process is in place to identify and address specific requirements set out by the Central Bank concerning Related Party Transactions. The Committee determines that no Related Party has received any favourable nor preferential considerations vis-à-vis the other shareholders and customers of the Bank as well as it ascertains that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

The Terms of Reference of the Committee were amended on 17 February 2024 in line with Listing Rules of the CSE in discharging the obligations arising out of the Terms of Reference, the Committee adheres to the Bank’s Policy and Procedures on Related Party Transactions when reviewing such transactions.

The Mandate of the Committee includes the following:

- ♦ Developing, updating and recommending for adoption by the Board of Directors of the Bank, a Related Party Transactions Policy consistent with that proposed by the SEC.
- ♦ Updating the Board of Directors on Related Party Transactions reviewed by the Committee on a quarterly basis.
- ♦ Advising the Board in making immediate market disclosures on applicable Related Party Transactions as required by Section 9.14 of the Continuing Listing Requirements of the CSE.
- ♦ Key roles and Responsibilities of the Committee.

During the year, the Committee enhanced its procedures and processes to comply with Banking Act Direction No. 5 of 2024 on corporate governance issued by the Central Bank of Sri Lanka (Banking Act Direction), Section 9 of the Listing Rules of CSE and the Code of Best Practice

on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka. As a result, the scope of related party transactions subject to review was broadened, tracking mechanisms to prevent conflicts of interest were strengthened, and functions were streamlined in line with the new regulations

METHODOLOGY ADOPTED BY THE COMMITTEE

The Committee relies on the integrity of periodically reportable Related Party Transactions of Board Members, Key Management Personnel and other relevant individuals and entities based on the following:

- ◆ Confirmations from Business Heads on transactions entered into with Related Parties during each quarter.
- ◆ Analysis of terms to ensure that transactions have been at arm's length and no favourable treatment has been offered to the Related Party.

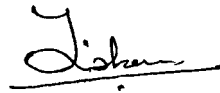
In addition, a declaration is obtained from the Directors at the time of appointment to the Board by the Company Secretary and thereafter a bi-annual declaration is obtained from the Board of Directors and Key Management Personnel of the details of the related parties, board members and Close family members Directorships and shareholdings in other companies. Such declarations are used to flag a mandatory reference field (National Identity Card or Passport Number for individuals and Company Registration Number for companies) in the core-banking system, which in turn is synchronised with the Bank's AML /KYC system. Through this process, all transactions that take place within the Bank's physical network or digital platforms are automatically tracked and captured for Related Party reporting purposes. By adopting this system, the committee receives assurance that any potential inherent limitations that may arise from not being able to identify related party transactions are effectively addressed.

The Related Party Transactions during the

year were reviewed by the Committee and relevant observations were communicated to the Board of Directors. A related party policy in line with the new Governance Rules of the Colombo Stock Exchange is in place.

REPORTING TO THE BOARD

The Committee held four (4) meetings during the year under review as required by Section 9.14.4 (1) of the Listing Rules of CSE. At its quarterly meetings, the Committee reviewed all related party transactions carried out during the year, together with other activities under its Terms of Reference, and regularly reported its comments and observations on the related party transactions during the year to the Board of Directors in line with the Direction 6.6 (e) of the Banking Act Direction. Further the confirmed Minutes of the Committee Meetings were tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Tishan Subasinghe

*Chairman-Board Related Party Transactions
Review Committee*

26 February 2026
Colombo

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on pages 248 to 251 in terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007. The Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2025, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) The financial position of the Bank as at reporting date; and
- (b) The financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act and the Chief Executive Officer.

In addition, the Financial Statements of the Bank have been signed by two Directors of the Bank on 26 February 2026 as required by the Sections 150 and 152 of the Companies Act. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2025, prepared and presented in this Annual Report are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking

Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 and amendments thereto issued by the Central Bank of Sri Lanka and the Continuing Listing Rules issued by the Colombo Stock Exchange.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 201 to 203.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 252 to 313 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgments have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on page 192 of this Annual Report. The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders who can access the Annual Report through the Bank's website. The Directors also wish to confirm that all shareholders have

been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records.

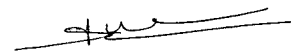
They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 248 to 251.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future. For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,
Amāna Bank PLC,



S. Dayani de Silva
Company Secretary

26 February 2026
Colombo

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

In adherence to our role as the Sharia Supervisory Council (SSC), we present the following report on the Bank's operations for the financial year ended 31 December 2025.

The Board of Directors and Management hold the primary responsibility for upholding Sharia rules and principles within the Bank's operations. Our duty involves an impartial assessment, achieved through three (3) meticulously conducted meetings throughout the financial year.

These meetings focused on scrutinising and reviewing various contracts associated with the Bank's transactions and applications, as well as a detailed examination of transaction types, relevant documentation, and the Bank's procedural protocols.

The objective of the review was to gather pertinent information and explanations, ensuring reasonable confidence that the Bank adhered to Sharia rules without violation.

Based on our assessment:

1. **Contracts and Transactions:** The contracts, transactions, and dealings conducted by the Bank throughout the financial year align with Sharia rules and principles.
2. **Profit Allocation and Loss Handling:** The Bank's handling of profit allocation and losses related to Investment Accounts adheres to the criteria previously authorised by us, in accordance with Sharia rules and principles.
3. **Charitable Allocation:** Earnings obtained from impermissible sources were directed towards charitable purposes following our approval, aligning with Sharia guidelines.

In conclusion, the Bank has demonstrated a commitment to Sharia compliance in its financial operations during the specified period.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mufti M. I. M. Rizwe
Member



Ash-Sheikh Mufti Muhammad Hassaan Kaleem
Member

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ස්වාධීන ශරීය අධීක්ෂණ සභාව වශයෙන් අප වෙත පැවරී ඇති බලතල සහ කාර්යභාරය ඉටුකරමින්, 2025 දෙසැම්බර් 31 දිනයෙන් අවසන් වූ මූල්‍ය වර්ෂය සඳහා අමානා බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධ අපගේ වාර්තාව මෙසේ ඉදිරිපත් කරන්නෙමු.

ශරීය නීතිරීති සහ මූලධර්ම වලට අනුව බැංකුවේ සියලු මෙහෙයුම් කටයුතු හැසිරවීමේ මූලික වගකීම එහි අධ්‍යක්ෂ මණ්ඩලය සහ කළමනාකාරීත්වය සතු ය. එහිදී, අදාළ මූල්‍ය වර්ෂය තුළ විධිමත්ව පවත්වන ලබන හමුවීම් 3 ක් මගින් එම මෙහෙයුම් පිළිබඳ ස්වාධීන සමාලෝචනයක් සිදු කර ඒ පිළිබඳ වාර්තාවක් ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

එම හමුවීම් මගින් බැංකුවේ ගනුදෙනු හා භාවිතාවන් සම්බන්ධ විවිධාකාර ගිවිසුම් සියුම් විශ්ලේෂණයකට ලක්කෙරෙන අතර, එහිදී එම ගනුදෙනු, ඒවාට අදාළ ලිපිලේඛන සහ බැංකුවේ ක්‍රියාපටිපාටිමය විධිවිධානද පුළුල් පරීක්ෂාවකට ලක් වේ.

මෙම සමාලෝචනයේ අරමුණ වන්නේ, බැංකුව විසින් සිය මෙහෙයුම් ක්‍රියාත්මක කරවීමේදී ශරීය නීතිරීති, මූලධර්ම, සහ අප විසින් නිකුත් කරන ලද විශේෂ නියමයන් සහ මගපෙන්වීම් උල්ලංඝනය නොකරන බව තහවුරු කරගැනීම ය.

ඒ අනුව එම විශ්ලේෂණය මගින් අපගේ තක්සේරුව වන්නේ:

- ගිවිසුම් හා ගනුදෙනු:** බැංකුව විසින් අදාළ වර්ෂය තුළ එළඹෙන ලද ගිවිසුම්, සිදුකරන ලද මූල්‍යමය ගනුදෙනු සහ අනෙකුත් ගනුදෙනු ශරීය නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදු කර ඇත.
- ලාභාංශ වෙන්කිරීම සහ අලාභ කළමනාකරණය:** ආයෝජන ගිණුම් ආශ්‍රිතව බැංකුව ලාභාංශ වෙන්කිරීම සහ අලාභ කළමනාකරණය කරගැනීම් සිදුකර ඇති ආකාරය, ශරීය නීතිරීති සහ ප්‍රතිපත්ති වලට අනුව අප විසින් පෙර අනුමත කරන ලද නිර්ණායක වලට අනුකූලව සිදු කර ඇත.
- පුණ්‍ය කටයුතු සඳහා ප්‍රතිපාදන වෙන්කිරීම:** ශරීය නීතිරීති මගින් අනුමත නොකරන ප්‍රභවයන් ආශ්‍රිත ඉපයීම් මගින් උපලබ්ධි වූ සියලු උපයාගැනීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

ඒ අනුව, අදාළ කාලසීමාව තුළ බැංකුව තම මූල්‍යමය මෙහෙයුම් කටයුතු ශරීය නීතියට අනුකූලව සිදු කර ඇති බව අපගේ නිගමනය වේ.

وعليكم السلام ورحمة الله وبركاته

අල්ලාන් දෙවියන් සියල්ල දන්නේ ය.



අශ් -ෂෙයික් ආචාර්ය මුර්ති මුහම්මද් ඉම්රාන් අෂරර් උස්මානි

සභාපති



අශ් -ෂෙයික් මුර්ති එම්. අය. එම්. රිස්වි

සාමාජික



අශ් -ෂෙයික් මුර්ති මුහම්මද් හස්සාන් කලීම්

සාමාජික

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ஷரிஆ மேற்பார்வை சபை எனும் எங்களது பொறுப்பிற்கிணங்க 31 டிசம்பர் 2025 அன்று நிறைவடைந்த நிதியாண்டிற்கான வங்கியின் செயற்பாடுகள் தொடர்பான பின்வரும் அறிக்கையை இத்துடன் சமர்ப்பிக்கின்றோம்.

வங்கியின் அனைத்து செயற்பாடுகளிலும் ஷரிஆ விதிமுறைகள் மற்றும் கோட்பாடுகள் முறையாகக் கடைப்பிடிக்கப்படுவதை உறுதிப்படுத்துவதற்கான பிரதான பொறுப்பு வங்கியின் இயக்குநர் சபைக்கும் நிர்வாகத்திற்கும் உடையதாகும். இதனை முன்னிட்டு நிதியாண்டு முழுவதும் திட்டமிட்ட முறையில் நடத்தப்பட்ட மூன்று (3) கூட்டங்களின் மூலம் வங்கியின் செயற்பாடுகள் சுயாதீனமான முறையில் மதிப்பாய்வு செய்யப்பட்டன.

இக்கூட்டங்களின்போது வங்கியின் பரிவர்த்தனைகள் மற்றும் விண்ணப்பங்களுடன் தொடர்புடைய பல்வேறு ஒப்பந்தங்கள் ஆய்வு செய்யப்பட்டதுடன் பரிவர்த்தனைகளின் தன்மை, தொடர்புடைய ஆவணங்கள் மற்றும் வங்கியால் பின்பற்றப்படும் நடைமுறைச் செயல்முறைகள் ஆகியவை விரிவாகப் பரிசீலனை செய்யப்பட்டன.

மேற்கண்ட பரிசீலனையின் நோக்கம் வங்கியின் செயற்பாடுகள், ஷரிஆ விதிமுறைகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக எந்தவித மீறலும் இன்றி மேற்கொள்ளப்பட்டுள்ளனவா என்பதை உறுதிப்படுத்துவதற்காக தேவையான தகவல்கள், விளக்கங்கள் மற்றும் ஆதாரங்களைப் பெறுதல் மூலம் அதற்கான நியாயமான நம்பிக்கையை ஏற்படுத்துவதாகும்.

எமது மதிப்பீட்டின் அடிப்படையில்:

- ஒப்பந்தங்கள் மற்றும் கொடுக்கல் வாங்கல்கள்: நிதியாண்டு முழுவதும் வங்கியினால் மேற்கொள்ளப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வர்த்தகங்கள் ஷரிஆ விதிகள் மற்றும் கொள்கைகளுடன் இணங்கியுள்ளன.
- இலாப ஒதுக்கீடு மற்றும் நட்டக் கையாளுகை: முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடு மற்றும் நட்டங்களில் வங்கியின் கையாளுகையானது, ஷரிஆ விதிகள் மற்றும் கொள்கைகளின் பிரகாரம், முன்னர் எம்மால் அங்கீகரிக்கப்பட்ட வரைமுறைகளுடன் இணங்கியுள்ளன.
- அறக்கட்டளை ஒதுக்கீடு: ஷரிஆ வழிகாட்டல்களுக்கு அமைவாக அனுமதிக்கவியலாத மூலங்களிலிருந்து பெறப்பட்ட வருமானங்கள் எமது அங்கீகாரத்தினை தொடர்ந்து அறக்கட்டளை நோக்கங்களுக்காக பயன்படுத்தப்பட்டன.

நிறைவாக, குறிப்பிட்ட காலத்தின்போது வங்கியானது அதன் நிதியியல் செயற்பாடுகளில் ஷரிஆ இணக்கப்பாட்டிற்கான அர்ப்பணிப்பினை நிரூபித்துள்ளது.

وعليكم السلام ورحمة الله وبركاته

அல்லாஹ் சரியானதை அறிவான்.



அஷ்-ஷெய்க் கலாநிதி. முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மான்
தலைவர்



அஷ்-ஷெய்க் முப்தி எம். ஐ. எம். ரிஸ்வி
அங்கத்தவர்

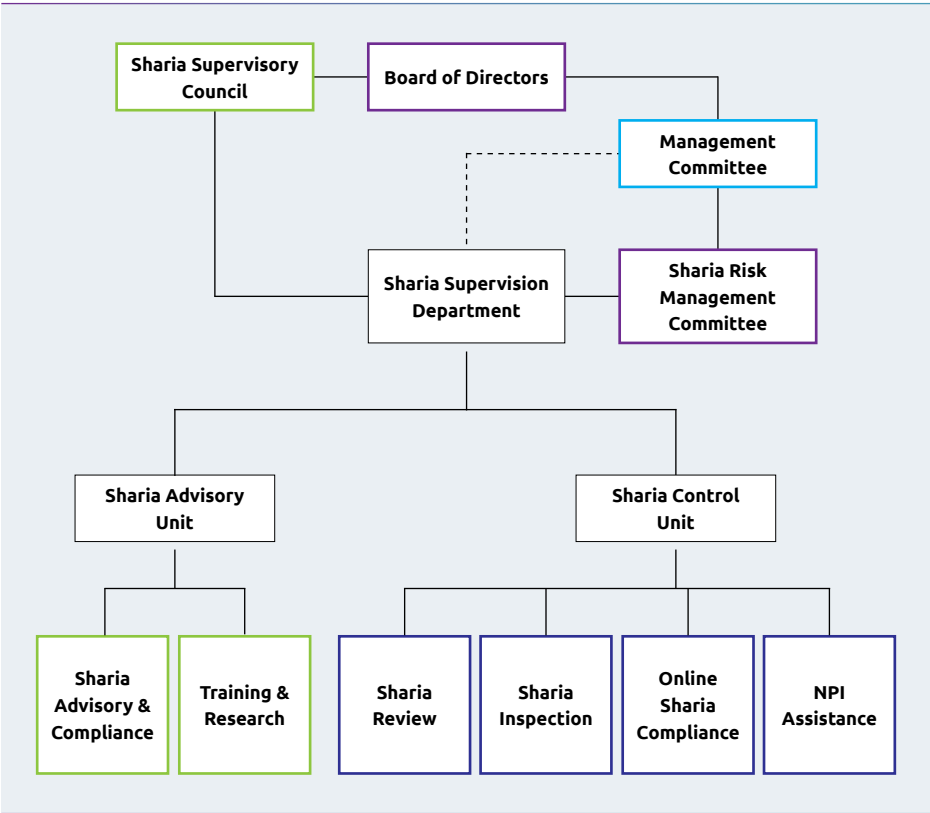


அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸ்ஸான் கலீம்
அங்கத்தவர்

The keystone of the unique business model of Amāna Bank PLC rests on the compliance to the Sharia rules and principles which is the foundation for the practice of Islamic banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the Sharia rules and principles.

In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) functioning as the apex body with regards to Sharia matters. The standard issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions Offering Islamic Financial Services (IIFS) are taken into consideration in operating the Sharia Governance Framework of the Bank. A detailed report on the compliance status of Sharia Governance of the Bank to IFSB10 is depicted at the end of this report.

The diagram below describes the framework:



SHARIA SUPERVISORY COUNCIL (SSC)

The SSC functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in its Terms of Reference (TOR).

The SSC shall comprise of the minimum three (3) members. As at 31 December 2025, the SSC has three (3) members comprising of one (1) local member and two (2) foreign scholars coming from diverse backgrounds with wide experience and knowledge. SSC members are experts in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf,

Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu’amalat), expertise and vast experience in the academia, definitely support the depth and breadth of the Sharia deliberations.

The SSC is assisted by the Sharia Supervision Department that performs compliance functions, namely Sharia Advisory & Compliance, Training and Research, Sharia Review, Sharia Inspections, Online Sharia Compliance and Assistance for the New Product Initiatives (NPI).

At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the Head of Sharia Supervision and its membership comprises of several management members.

RESPONSIBILITIES OF THE BANK TOWARDS SSC AND SHARIA COMPLIANCE

While the SSC is responsible for forming and expressing decisions on the Bank’s compliance with the Sharia rules and principles, the responsibility for compliance therewith rests with the Board and management of the Bank.

- Therefore, it is the responsibility of the Management to perform the following:
- (i) to refer all Sharia issues in its business operations to the SSC for decision;
 - (ii) to adopt and take necessary measures for implementation of the SSC’s decisions;
 - (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
 - (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;
 - (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
 - (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank’s responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities; and
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

AUTHORITY OF THE SSC

The SSC assumes the following authority based on its Terms of References (TOR):

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) the SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) the SSC has the right to review the Bank’s books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC’s inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.

Schedule of SSC Meetings During the Year

Date of Meeting	Percentage of Members’ Attendance
6 May 2025	100%
10 September 2025	100%
10 December 2025	100%

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee (ExCom) of the SSC that is comprised of two (2) appointed members for guidance and the decision. The decisions taken by the ExCom are tabled in the SSC meeting for concurrence. The Executive Committee members are Ash-Sheikh Mufti Muhammad Hassaan Kaleem and Ash-Sheikh Mufti M I M Rizwe.

APPOINTMENT AND RE-APPOINTMENT OF SSC MEMBERS

- (i) The shareholders of the Bank shall appoint the members of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of three (3) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI)’s Governance Standard “Appointment and Composition.”
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

IFSB-10 (2009), GUIDING PRINCIPLES ON SHARIA GOVERNANCE SYSTEMS FOR IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/ resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/ audit for verifying that Sharia compliance has been satisfied, during which any incident of noncompliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/ audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

Guiding Principle Status

Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the SSC as the apex body with regards to Sharia matters. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC comprises of three (3) members where two (2) of them are appointed as Executive Committee members to ensure timely adequate access to the Bank. (d) The Bank has established a Sharia Supervision Department (SSD), led by the Head of Sharia Supervision to assist SSC in providing daily guidance to the Bank. As the principal Sharia officer of the Bank and the Secretary of the SSC, he chairs the Sharia Risk Management Committee (SRMC) to discharge the responsibilities of management on Sharia Compliance
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ◆ clear terms of reference regarding its mandate and responsibility; ◆ well-defined operating procedures and lines of reporting; and ◆ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal SSD comprising of officers with appropriate qualifications and experience. The SSD is; ◆ the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/ consultancy role delegated by the SSC; ◆ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ◆ provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and Head of Sharia Supervision being the principal Sharia officer have met the "Fit and Proper" criteria which covers; ◆ good character-that is, honesty, integrity, fairness and reputation; and ◆ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	In view of continuous professional development of the SSC members, the Bank shall invest for their personal knowledge development programme as required.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	There is a formal assessment on the effectiveness of the SSC carried out on annual basis.

Part III:	Independence
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision making. (a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the SSC, their immediate family members, are a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.
Principle 3.2:	In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis. (a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
Part IV:	Confidentiality
Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential. A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards. All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members. The SSC takes due care in the dissemination of Sharia pronouncements/resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

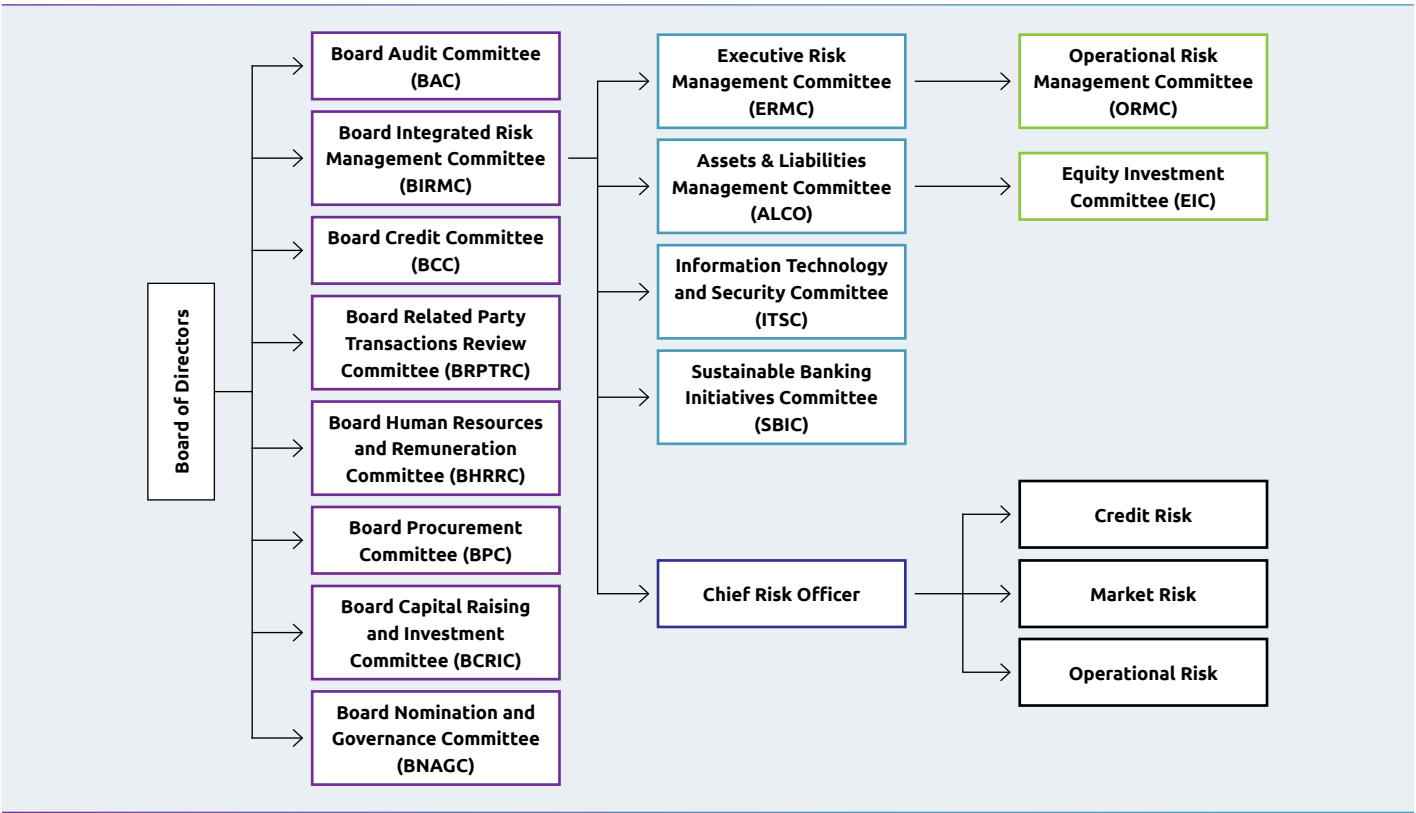
RISK MANAGEMENT APPROACH

Amāna Bank’s approach to risk management is underpinned by a well-articulated, Integrated Risk Management Framework (IRMF). The Framework adopts a holistic, 360-degree perspective on risk, by facilitating the systematic identification, evaluation, prioritisation, and mitigation of both inherent and emerging risks arising from business activities, thereby enabling the Bank to achieve the following objectives:

- ◆ Support strategy execution within an approved risk appetite.
- ◆ Safeguard the Bank’s financial strength, including capital adequacy, liquidity, and earnings sustainability.
- ◆ Ensure governance, accountability, and risk ownership across all levels of the organisation.
- ◆ Ensure compliance with applicable regulatory, prudential requirements.
- ◆ Enhance the Bank’s resilience by enhancing the ability to navigate emerging and evolving risks.

RISK GOVERNANCE STRUCTURE

Amāna Bank’s Integrated Risk Management Framework is anchored to a robust Risk Governance Structure that establishes a clear division of responsibility to promote risk ownership and accountability across all business functions.



RISK MANAGEMENT TOOLS

Risk Appetite Statement (RAS)

The purpose of the Risk Appetite Statement is to articulate the nature and extent of risk that Amāna Bank is willing to assume in pursuit of its strategic and financial objectives. As such, the RAS serves as a foundational reference for decision-making, ensuring that growth initiatives, product development, and business activities are aligned with the Bank’s capacity to absorb risk. The RAS also provides clear risk boundaries and tolerance limits, enabling proactive monitoring and timely escalation when exposures approach defined thresholds.

As the highest governing body of the Bank, the Board is charged with reviewing and updating the RAS as needed to reflect changes in the Bank’s strategic direction, operating environment, regulatory expectations and the broader risk universe.

Amāna Bank Risk Appetite Statement (RAS) and Risk Tolerance Levels for 2025

Bank Wide Level	Bank Rating	Bank will maintain a positive outlook at all times
	Capital Ratio	Minimum Capital Adequacy Ratio (CAR – Pillar I and Pillar II) should not be below the regulatory requirement which is 12.5% at present
	Earnings Growth	4% annual growth
Credit Risk	Non-Performing Advances (NPAs) Ratio	Impaired financing and advances (Stage 3) ratio to be less than 5% of Financing Portfolio or industry average whichever is less
Market Risk	Foreign Exchange net position (Dealing Business Units)	Maximum USD 5 Million.
Operational Risk	Operational Risk Losses (Annual in LKR Mn) as a Percentage of Total Operating Profits After Provisions (Annual in LKR Mn)	Operational Risk Losses (Annual in LKR Mn) to be maintained at maximum of 1 Percentage of Total Operating Profits After Provisions (Annual in LKR Mn)
	Key Risk Indicators	Operate within thresholds of Key Risk Indicators
Concentration Risk	Single Borrower Limit (SBL)	The Bank will restrict its exposure to a prudential upper limit of 25% of the Tier I capital base for a single entity or a group as per the Direction with effect from 1 Jan 2026) except for the exposure where the Transitional Arrangements apply
	Top 20 borrowers	Exposure to top 20 borrowers will not exceed 35% of Gross Advances Portfolio
	Tenor Limits	The Bank to maintain a 30% upper limit on credit facilities which exceed a tenor of three years And upper limit of 20% on facilities exceeding a tenor of 5 years of the total credit portfolio
	Grade wise Limits	Limit granting of facilities to the lower graded customers, Bank will strive to maintain its exposures of 'D' category i.e.' Acceptable', below 10% of total portfolio.
Liquidity Risk	Statutory Reserve Ratio (SRR)	Bank shall maintain SRR at 2% (fortnightly basis)
	Liquidity Gap	Assessing the Bank's cash inflows against its outflows to identify the potential for any net shortfalls The Maximum Cash Outflow limits established shall be based on the local liquidity stress test results and reviewed on a regular basis Maximum cash outflow gap (For Overnight and 1 Month Bucket) % (=Liabilities - Assets/ Liabilities) of 20% (negative gap)
	Advance to Deposit Ratio	Capital and deposits are key components of the Bank's core funding - Advance to Deposit ratio ideally to be maintained in line with board approved strategic plan
	Liquid Coverage ratio (LCR)	The Bank will maintain its LCR at a minimum of 100% as required by Basel III with a Prudential limit of 110%
	Net Stable Funding Ratio (NSFR)	The Bank will maintain its NSFR at a minimum of 100% as required by Basel III with a Prudential limit of 110%
Rate Risk	Price Sensitivity – Economic Value of Equity	Max sensitivity (loss) of 10% of capital due to a 2% change in market rate
Compliance Risk	Amount of regulatory fines and penalties paid with respect to non-compliance with laws, standards, clauses, statutes applicable to the functioning of the Bank	Zero Tolerance

POLICIES AND PROCEDURES

Risk management policies and procedures provide the foundation for institutionalising the Bank’s risk appetite by establishing clear standards and guidelines, responsibilities, and approval authorities to ensure disciplined risk management across Bank-wide operations.

All risk related policies are reviewed annually by the Board Integrated Risk Management Committee (BIRMC) and updated as needed. Effective policy implementation is complemented by a strong risk awareness culture that empowers employees at all levels to identify, escalate, and manage risks responsibly in line with established guidelines.

Policies and Procedures Reviewed and Approved by the BIRMC in 2025	
Policy / Procedure	Key Highlights
Revival and Rehabilitation Policy	Annual Review. No significant changes
Integrated Risk Management Framework	Inclusion of the areas required under the latest Direction on Corporate Governance as well as several other areas such as ESG Risk, PDPA section were elaborated in the document
Financial Institutions Policy	To ensure compliance with the reviewed period. Additional clarity was incorporated into certain areas as part of the revision
Mobile Banking Unit Operations Policy (New Policy)	Developed in accordance with the guidelines established by the Central Bank of Sri Lanka (CBSL) in establishing a mobile banking unit
Customer Complaint Management Policy (New Policy)	Developed in compliance of Financial Consumer Protection Framework which mandates all banks to establish a standalone policy documenting the Bank’s existing procedures for handling customer complaints
Information Systems Security Policy	Reviewed to ensure compliance with the ISO/IEC 27001:2022
Treasury Policy, Foreign Exchange Policy and Treasury Risk Limits	Annual Review. Treasury and FX policies had minimal changes mainly on documentation archiving, destruction of records and changes in relation to transaction rates, all to fall in line with regulatory changes/recommendations. Risk Limits were revised in line with business volumes and according to changes in country specific risks
Policy on Related Party Transactions	Amended to align with the updated provisions outlined in the Banking Act Directions No. 05 of 2024, the Banking Act Determination No. 04 of 2024 and the section 9 of the Listing Rules of the Colombo Stock Exchange
Sustainability Banking Initiatives Policy	Annual Review. Strengthened Strategic alignment, Governance and Reporting
Review of the Advances Review Mechanism Policy (ARM) – LRM policy	To ensure compliance with the reviewed period. No significant changes.

STRESS TESTING

Stress testing is a fundamental tool used to evaluate the Bank’s resilience under adverse but plausible scenarios, including macroeconomic shocks, market disruptions, and liquidity stresses, thereby enabling the early identification of vulnerabilities to support contingency planning, capital management, and the deployment of effective risk mitigation strategies.

In the year under review, comprehensive stress testing assessments were carried out as part of the ICAAPP to support both quantitative and qualitative risk assessments across various macroeconomic indicators

(GDP, inflation, Overnight Policy rate (OPR), exchange rate etc.). The assessment covered capital requirements for all material risks under normal and stressed conditions, considering multiple macroeconomic scenarios, including inflationary pressures (with an inflation rate of 5% as projected by CBSL under normal), global (US) tariff adjustments, changes in domestic tax policy, and potential relaxation of import controls.

CAPITAL PLANNING

A key aspect of Amāna Bank’s Integrated Risk Management Framework, the Capital Planning exercise aims to ensure the Bank maintains adequate capital to cover all

material risks. The Internal Capital Adequacy Assessment Process (ICAAP) is the primary tool used to support Capital Planning. The ICAAP is an ongoing, iterative process that involves continuous evaluation of the Bank’s risk profile, portfolio exposures, and risk management practices to determine the minimum internal capital requirement in alignment with Amāna Bank’s current and forward-looking business strategies and financial plans over a three-year horizon, while ensuring full compliance with prevailing regulatory requirements. ICAAP is a statutory requirement for all licensed commercial banks in Sri Lanka, with the mandatory submission of the Board-approved ICAAP report to the

Central Bank of Sri Lanka (CBSL) within five months of the financial year-end.

During the year, Amāna Bank's Risk Management Division (RMD) continued with ICAAP assessments on an ongoing basis to support effective capital planning under both normal and stressed operating conditions.

Overall ICAAP assessments done in 2025, for 2024 covered Pillar I risks, namely Credit Risk, Market Risk, and Operational Risk, as well as key Pillar II risks including Concentration Risk, Rate Risk, Foreign Exchange Risk, Downgrade Risk, and Liquidity Risk. Special emphasis was placed on stress testing, with additional scenarios introduced to reflect varying degrees of severity, taking into account Stage 3 impairment levels of the financing portfolio and prevailing macroeconomic indicators.

In addition, qualitative assessments were undertaken for Compliance Risk, Reputational Risk, Strategic Risk, and People Risk using structured risk scorecards. Considering emerging risks, the scope of scorecard assessments were further expanded in the current year to include ESG Climate risk integration and information security risk in alignment with the Personal Data Protection Act of 2022.

Based on the outcomes of the 2025 ICAAP assessments, it was determined that the Bank's Capital Adequacy Ratio (CAR) for 2024, together with the three-year forecast, remained comfortably above the regulatory minimum requirement of 12.5%, even under continuous stress scenarios, demonstrating the Bank's strong capital resilience. The comprehensive ICAAP report for 2024 was approved by the Board and submitted to the CBSL well ahead of the stipulated deadline.

RECOVERY PLAN (RCP)

Amāna Bank has established a formally documented RCP in full compliance with Central Bank of Sri Lanka (CBSL) regulations, detailing action plans in the event of shocks to capital, liquidity and all other aspects that may arise as a consequence of internal/ external stresses or a combination of both.

As part of the mandatory RCP requirements, a comprehensive Risk Dashboard encompassing Key Risk Indicators (KRIs) and Key Control Indicators (KCIs) across Credit, Market, Operational, Concentration, and Strategic Risks is presented to the Board Integrated Risk Management Committee (BIRMC) on a monthly basis to facilitate timely monitoring, evaluation, and decision-making. In accordance with CBSL regulations, the RCP was subject to annual review by the BIRMC to ensure its ongoing relevance and effectiveness in addressing the Bank's evolving risk landscape. Following the 2025 review, the RCP guidelines were formally incorporated into the IRMF, with targeted assessments set to commence in the subsequent review cycle.

Meanwhile, ongoing improvements during the year saw the scope of operational risk assessment being further enhanced with the introduction of new KRIs focused on system downtime. The Risk and Control Self-Assessment (RCSA) process was also strengthened by increasing the frequency of reviews in critical risk areas as recommended by the BIRMC based on an analysis of historical loss data, scenario analysis, and emerging risk exposures identified through continuous risk assessments.

RISK REGISTER

A dynamic tool within the IRMF, the Risk Register documents all material operational risks alongside further elaborations on likelihood and impact parameters, corresponding risk owners, existing controls, and mitigation actions to promote accountability and effective oversight.

The Risk Register is maintained under the custody of the Bank's Risk Management Division (RMD) and is regularly reviewed and updated to reflect changes in the internal and external operating environment, emerging risks, and the effectiveness of control measures.

RISK DASHBOARD

A comprehensive Risk Dashboard is used to provide Board and senior management with

a consolidate view of the Bank's key risk exposures, trends, limit and early warning triggers across material risk categories enabling timely and informed decision making.

Given that it offers a comprehensive view of the Bank's risk landscape at any given moment, the Risk Dashboard plays a key role in informing management action plans, stress testing, capital planning, and risk reporting.

MANAGING KEY RISKS

1. CREDIT RISK MANAGEMENT

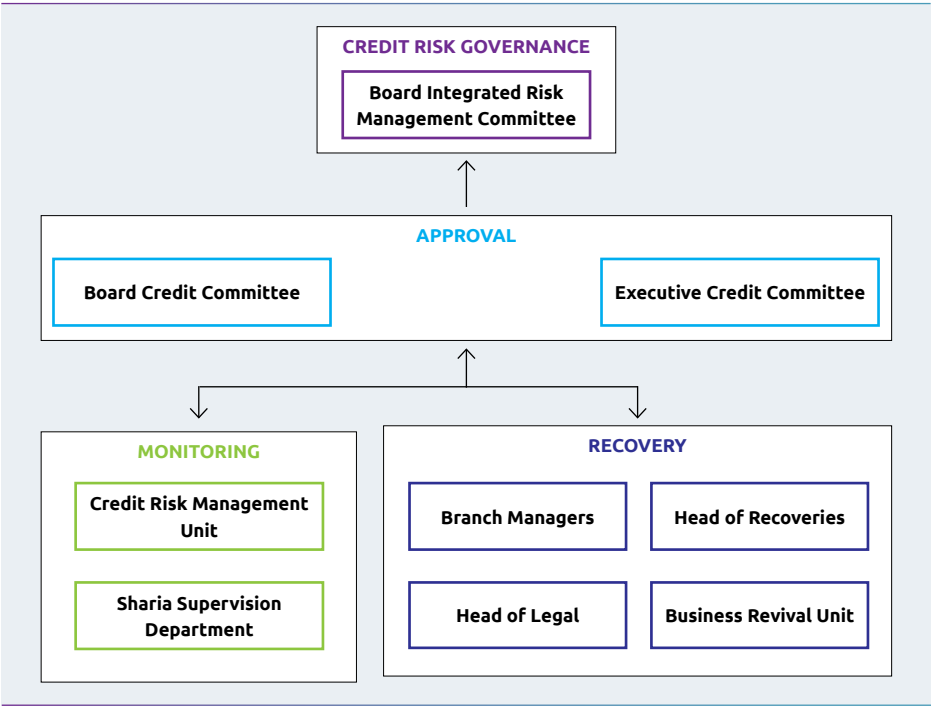
Credit risk is the potential financial loss that may arise when a counterparty fails to meet its obligations or experiences a deterioration in its ability to do so.

Given the Bank's core business of financing, Credit Risk remains the most material risk for Amāna Bank.

1.1 Policies and Procedures

The Bank has in place a structured Credit Risk management framework that enables prudent risk-taking to support the Bank's growth objectives while safeguarding the quality of its credit portfolio, in alignment with the Board-approved Risk Appetite Statement and established risk tolerance levels.

The Board-approved Credit Risk Appetite, Credit Policy, and Credit Procedure Manual collectively form the foundation of Amāna Bank's Credit Risk management framework. Together these policies establish clear boundaries for credit activities and define criteria for assessing counter-party creditworthiness, while setting out prohibited areas of business to prevent exposure to high-risk or non-compliant activities.



1.2 Financing Approach

Amāna Bank’s credit risk management approach is anchored to the Bank’s asset-backed financing approach, with established criteria to determine collateral eligibility. Financial assets provided as collateral are assessed at fair value at inception in accordance with the Bank’s Valuation Policy. For non-financial collateral, such as real estate, initial valuations established by the Bank’s internal inspections are further verified by independent professional valuers using a standardised approach based on available market data.

A standardised procedure is also in place to evaluate credit proposals submitted by business units, where the main focus is on assessing the financial position and repayment capacity of prospective customers, with particular emphasis on strong cash flow generation.

While asset-backed financing remains the core approach, the Bank, at its discretion may extend non-collateral-based financing to large, financially stable entities with a proven ability to maintain consistent cash flows, applying the same rigorous creditworthiness assessment and standard procedures.

Meanwhile, credit approvals are governed by the Board-approved Delegation of Authority (DA) limits. Large credit facilities are reviewed by the Credit Risk Management Unit within the Risk Management Division, followed by a pre-disbursement review by the Credit Administration Unit with the final sign off subject to clearance of either the Executive Credit Committee I or Executive Credit Committee II, depending on the value. Facilities exceeding defined thresholds require final approval from the Board Credit Committee (BCC), which serves as the ultimate authority in the Bank’s credit approval hierarchy.

1.3 Collections and Recovery

Collections and recoveries are a crucial component of Amāna Bank’s approach to Credit Risk management. Frontline teams as well as Customer Relationship Managers, under the

supervision of their respective Branch Managers are expected to engage with customers to ensure timely collections, while the Central Recoveries Unit coordinates recovery of overdue accounts. Complementing these efforts, the CBSL-mandated Business Revival Unit provides tailored support and restructuring solutions to help stressed clients regain financial stability. The Legal Department is engaged when necessary to enforce obligations and protect the Bank’s interests.

1.4 Monitoring and Reporting Procedures

The BIRMC has established comprehensive guidelines for post-credit monitoring and reporting of Credit Risk. These include, internal prudential limits by sector, geography, and portfolio exposure, alongside regulator-imposed quantitative ceilings such as single-borrower and aggregate exposure limits.

In line with these guidelines, the Credit Risk Management Unit undertakes post-credit monitoring to assess actual positions against approved limits, measure exposures to elevated-risk industries, and track early warning indicators.

As part of their duties, the Credit Risk Management Unit also works closely with business units for early identification of potential Stage 3 impaired facilities and enable timely remedial action. The Unit conducts stress testing and scenario analysis to evaluate the potential impact of changes in the external environment on the Bank’s credit and concentration risk.

In addition, the Risk Division carries out the CBSL-mandated quarterly Advances Review Mechanism (ARM/LRM) for all facilities above internal threshold limits. Other post-credit monitoring activities include periodic reviews of sectoral limits, top 20 exposures, and Stage 3 facilities, with findings reported regularly to BIRMC and the Board. Concurrently, the Board Credit Committee conducts monthly reviews of all financing facilities, the top 50 exposures, and progress on litigation cases, ensuring comprehensive oversight.

CREDIT RISK CONTEXT AND
MANAGEMENT STRATEGY FOR 2025

The year 2025 saw Amāna Bank’s advances portfolio recording strong growth against the backdrop of broad based recovery across key economic sectors. Improved market conditions in trading, vehicle financing, manufacturing, and housing fueled renewed credit demand, creating opportunities for the Bank to support customers while expanding its portfolio. The vehicle market, in particular, experienced heightened activity allowing Amāna Bank to capitalise on growth opportunities across both retail and SME financing segments. Corporate non-collateral financing also continued to be extended selectively to borrowers with strong financials and robust credit ratings.

To strike a balance between portfolio expansion and portfolio quality, the overall approach to managing Credit Risk was further strengthened in 2025. Specific credit risk mitigation strategies implemented during the year included rigorous pre-and post-disbursement monitoring, as well as periodic collateral revalidation, particularly for SME

and retail segments. This was accompanied with stricter oversight to strengthen Branch-level recovery activities.

Meanwhile for non-collateral based large corporate exposures, the Advances Review Mechanism (ARM) by the Risk Division continued to be strictly applied, while a dedicated team was carved out from within the Credit Risk Management Unit to monitor early warning indicators and watch-listing of potential defaulters. At the same time, internal limit frameworks were revisited with both the Single Borrower Limit (SBL) and sectoral limits further refreshed to take cognisance of prevailing economic developments.

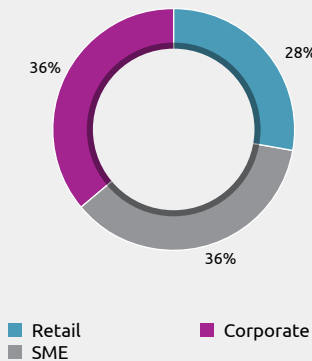
Further underscoring the Bank’s focus of managing concentration risk, regular stress testing continued to be conducted at portfolio, sector, security, stage-wise, and segment levels, with outcomes reported to the Board Integrated Risk Management Committee (BIRMC) to support informed decision-making.

A significant development in 2025 was the operationalisation of the CBSL-guided Business Revival Unit, aimed at supporting stage 3 customers to restructure and rehabilitate their businesses in order to reduce potential NPA accumulation.

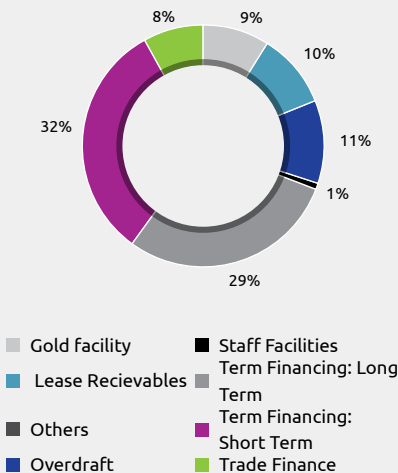
Stage 2 exposures were also closely managed through restructuring, follow-up, and monthly reviews with business heads and branch management. Internal MIS and reporting frameworks were further strengthened with the introduction of additional dashboards to track NPA movements, including stage 2 migration, and sector concentration outcomes to be escalated to the BIRMC and the Board. Additionally, the scope of the Executive Risk Management Committee (ERMC) was expanded to include formal oversight to ensure prompt escalation and reporting of relevant credit risk matters to the BIRMC.

A culmination of these efforts ensured that despite the expansion in Amāna Bank’s advances portfolio, credit quality was well managed in 2025, marked by a notable reduction in Stage 3 ratio.

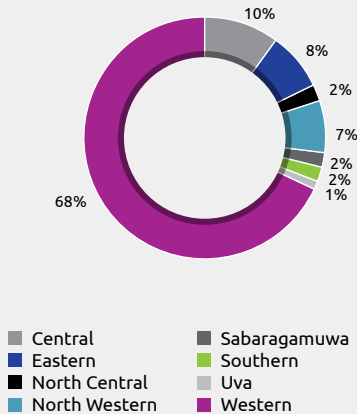
Exposure by Segment - 2025

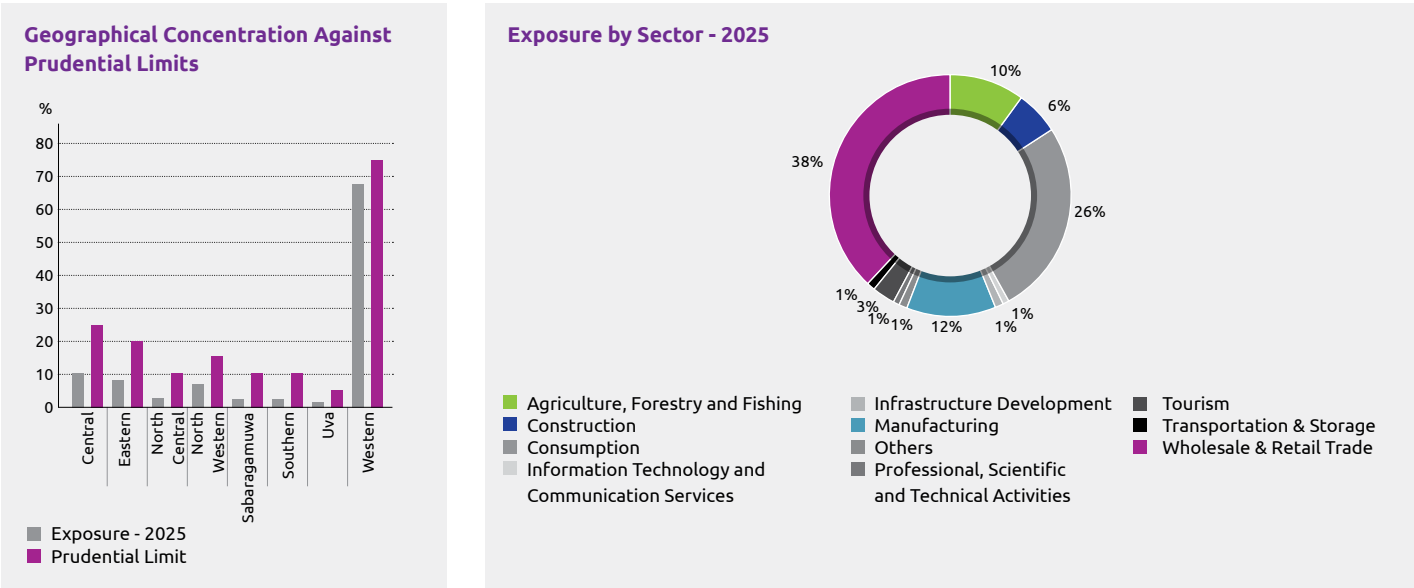


Exposure by Product - 2025



Geographical Concentration of
Portfolio - 2025





CREDIT RISK FOCUS FOR 2026

The introduction of the new CBSL Single Borrower Limit (SBL) regulation set to come into effect from January 2026, presents a key consideration for the Bank’s credit strategy. The regulation limits large-ticket exposures to 25% of Tier 1 capital, with a maximum cap per borrower, likely constraining future financing to single large borrowers and affecting overall portfolio growth. While

this will influence the structuring of new credit facilities from 2026 onwards, Amana Bank is proactively assessing its portfolio composition and growth strategy to mitigate potential impacts and achieve the desired growth in advances. To that end, the Bank will aim for targeted expansion with the SME and retail segments set to be the primary drivers of portfolio growth. Against this backdrop, the Bank will aim to achieve the optimal 70/30

portfolio mix between retail and SME and corporate segments, marking a notable shift from the current composition. This strategic realignment will be further supported by investments in data-driven risk analytics and automation to streamline credit approval processes and enhance the effectiveness of the advances review mechanism to support portfolio growth while preserving credit quality.

2. MARKET RISK

Amana Bank faces Market Risk mainly in the form of Foreign Exchange Risk as a result of the impact on foreign currency exposures caused by fluctuations in the Sri Lankan Rupee (LKR) against the US Dollar (USD). The Bank also faced Equity Risk, due to the volatility in domestic and international equity markets.

2.1 Policies and Procedures

The Bank’s Foreign Exchange Policy, Treasury Policy, Risk Limit and Risk Middle Office Policy which incorporate Board-approved prudential limits as well as regulatory limits prescribed by the CBSL, provide a solid foundation for managing Foreign Exchange Risk. The framework provides clear guidelines on interbank forward transactions to manage exposures arising from customer transactions and balance sheet mismatches. Additionally, currency cash flows are managed through promissory FX transactions on a matching basis.

Equity Risk is governed by the Board-approved Equity Investment Policy, which mandates that the Bank’s equity portfolio consists exclusively of white-listed equities. Sector-wise and portfolio-wise loss limits, approved by the Board, are also in place to manage equity exposures, in compliance with CBSL guidelines on single-entity and total portfolio exposure. All positions are marked-to-market in line with regulatory requirements, using market prices sourced from the CBSL, Colombo Stock Exchange, Reuters, and market brokers, ensuring accurate valuation and effective risk monitoring.

2.2 Monitoring and Reporting Procedures

The Risk Middle Office (RMO) holds the responsibility for independent monitoring of Market Risk. Operating under the oversight of the Risk Management Division, the RMO plays a critical role in identifying, measuring, and controlling inherent risks in compliance with Board-approved prudential limits and regulatory requirements. The function also supports the validation of market risk models using a range of quantitative tools, including Value at Risk (VaR), stress testing, and sensitivity analysis, to assess potential vulnerabilities.

VAR OF FX PORTFOLIO

		VaR of FX Portfolio (LKR million)	Approved Loss Limits for FX Operations (LKR million)
2025	End December	9.07	38.70
	Daily Average	11.56	
	High	53.80	
	Low	5.46	
2024	End December	13.93	36.63
	Daily Average	14.81	
	High	53.72	
	Low	1.59	

VAR OF EQUITY PORTFOLIO

		VaR of Equity Portfolio (LKR million)	Approved Loss Limits for Equity Operations (LKR million)
2025	End December	2.74	50.00
	Daily Average	3.16	
	High	8.08	
	Low	0.63	
2024	End December	4.21	50.00
	Daily Average	2.70	
	High	5.37	
	Low	0.39	

In line with Board-approved stress testing guidelines, the RMO conducts a comprehensive suite of stress tests, ranging from simple scenario analyses and event-specific assessments to more advanced multi-factor stress testing to evaluate the potential impact of hypothetical and historical shocks, to ensure the Bank remains well-prepared to withstand adverse market conditions.

STRESS TESTING FX

Scenarios	%	Exchange Loss (LKR)	RWA (LKR)	Adjusted RWA (LKR)	Capital (LKR)	Adjusted Capital (LKR)	CAR	Adjusted CAR	Decline in CAR
Scenario 1	10%	11,458,879	173,129,129,000	173,129,129,000	25,382,332,051	25,370,873,172	14.66%	14.65%	0.01%
Scenario 2	15%	17,188,318	173,129,129,000	173,129,129,000	25,382,332,051	25,365,143,733	14.66%	14.65%	0.01%
Scenario 3	20%	22,917,758	173,129,129,000	173,129,129,000	25,382,332,051	25,359,414,293	14.66%	14.65%	0.01%

STRESS TESTING EQUITY

Scenarios	%	Exchange Loss (LKR)	RWA (LKR)	Adjusted RWA (LKR)	Capital (LKR)	Adjusted Capital (LKR)	CAR	Adjusted CAR	Decline in CAR
Scenario 1	10%	95,900,593	173,129,129,000	173,129,129,000	25,382,332,051	25,286,431,458	14.66%	14.61%	0.06%
Scenario 2	15%	143,850,889	173,129,129,000	173,129,129,000	25,382,332,051	25,238,481,162	14.66%	14.58%	0.08%
Scenario 3	20%	191,801,185	173,129,129,000	173,129,129,000	25,382,332,051	25,190,530,865	14.66%	14.55%	0.11%

The RMO operates within a structured reporting framework, producing daily, weekly, and monthly risk reports that are submitted to senior management, the Asset and Liability Committee (ALCO), the Board Integrated Risk Management Committee (BIRMC), and regulators.

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RATE RISK SCENARIOS AND THE IMPACT ON RATE SENSITIVE MATURITY GAPS WITH YIELD CURVE SHIFTS

	1 to 30 Days	1 - 3 months	3 - 6 months	6 - 9 months	9 - 12 months	1 - 3 years	3 - 5 years	5 - 10 years	10 - 15 years	Over 15 years
Scenario I	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%
Scenario II	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%	-2.00%
Scenario III	-1.50%	-1.50%	-1.25%	-1.25%	-1.00%	1.00%	1.00%	1.25%	1.25%	1.50%
Scenario IV	1.50%	1.50%	1.25%	1.25%	1.00%	-1.00%	-1.00%	-1.25%	-1.25%	-1.50%
Scenario V	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%

2025

Behavioural Basis	Rate Risk (LKR million)	Impact on Capital
Scenario		
Scenario I	(63.5)	-0.25%
Scenario II	131.0	0.52%
Scenario III	9.6	0.04%
Scenario IV	(11.0)	-0.04%
Scenario V	(131.2)	-0.52%

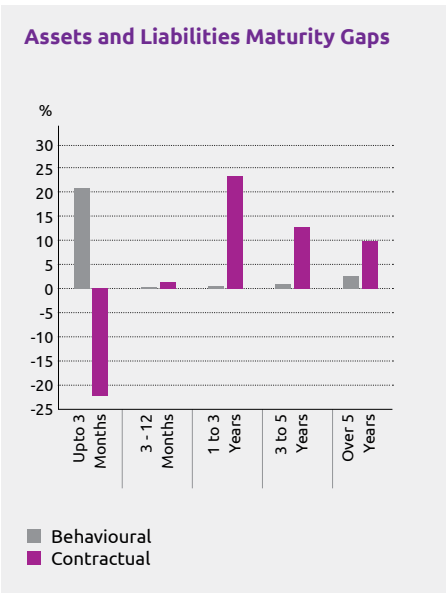
2025

Contractual Basis	Rate Risk (LKR million)	Impact on Capital
Scenario		
Scenario I	(546.7)	-2.15%
Scenario II	1,195.1	4.71%
Scenario III	(497.5)	-1.96%
Scenario IV	538.7	2.12%
Scenario V	(1,068.3)	-4.21%

EVE AND EAR

	2025	2024
Economic Value of Equity (EVE) - (100 bps shift)		
Behavioural - % of Total Capital	-0.25%	1.79%
- Value in LKR million	(63.55)	420.00
Contractual - % of Total Capital	-2.15%	-0.35%
- Value in LKR million	(546.75)	(81.27)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	0.56%	0.66%
- Value in LKR million	142.62	154.64
Contractual - % of Total Capital	-0.68%	-0.25%
- Value in LKR million	(173.44)	(59.17)

THE CONTRACTUAL AND
BEHAVIOURAL ASSETS AND
LIABILITIES MATURITY GAPS



MARKET RISK CONTEXT AND
MANAGEMENT STRATEGY FOR 2025

While market conditions in 2025 remained relatively stable, the Risk Management Division (RMD) exercised continuous vigilance over country risk exposures with overseas counterparties, particularly in light of potential cross-border risks stemming from geopolitical developments in the Middle East. As a prudent mitigation measure, exposures were reviewed and recalibrated to reflect a more cautious approach which saw intraday limit monitoring being further strengthened, supported by active daily position tracking, enhanced reconciliation processes, and closer oversight of dealer limits through real-time deal confirmations via Bloomberg B-Match. In addition, CBSL recommendations were adopted as appropriate to further reinforce Market Risk controls.

Value at Risk (VaR) calculations for the FX portfolio were complemented by comprehensive stress testing, sensitivity and scenario analyses to take cognisance of prevailing market conditions. Structural risk

assessments were strengthened through gap analysis, duration analysis, Economic Value of Equity (EVE), Earnings at Risk (EaR), and Market Risk Capital Optimisation (MCO) metrics, ensuring a holistic view of market risk exposures.

Reporting frameworks were also enhanced during the year, with the introduction of early warning triggers, coupled with more frequent and Market Risk updates presented to the ALCO, BIRMC and the Board.

At the same time, building on the previous year’s efforts to implement the FX Global Code introduced by the CBSL, market risk documents continued to be reviewed in line with latest global FX developments. The year also saw Treasury front, middle, and back-office staff successfully completing the FX Global Code examinations, while all Treasury staff participated in a specialised session conducted by the Sri Lanka Forex Association (SLFA) on recent amendments to the FX Global Code.

MARKET RISK FOCUS FOR 2026

Market Risk focus for 2026 will remain on proactive surveillance to monitor cross-border exposures, particularly in the context of persistent geopolitical uncertainties and shifting global capital flows. In parallel, stronger emphasis will be placed on forward-looking risk identification through refined stress testing, scenario and sensitivity analyses, with assumptions dynamically adjusted to reflect rate movements, currency volatility, and external shocks.

In parallel, the Bank will continue to strengthen governance and reporting by deepening Board and ALCO-level visibility through enhanced dashboards, early warning indicators, and more granular reporting on currency, regional, and counter-party exposures. Ongoing alignment with the FX Global Code will remain a priority, going forward.

3. LIQUIDITY RISK

Liquidity Risk is the risk that the Bank either does not hold sufficient financial resources to meet its obligations as they fall due or can only access these financial resources at an excessive cost.

3.1 Policies and Procedures

Liquidity Risk is managed within a robust framework of Board-approved policies and prudential limits, ensuring full compliance with regulatory requirements applicable to licensed commercial banks. The primary policies governing Liquidity Risk Management include the Treasury Policy, the Treasury Risk Limit Framework, and the Asset and Liability Management Policy.

3.2 Monitoring and Reporting Procedures

The Asset and Liability Committee (ALCO), in close coordination with the Risk Management Department, oversees Liquidity Risk through continuous monitoring of key prudential metrics. Key indicators monitored include the Liquidity Coverage Ratio (LCR) to maintain adequate high-quality liquid assets for both LKR and All currencies and the Net Stable Funding Ratio (NSFR) to support stable long-term funding, and the Maximum Cash Outflow (MCO) metric to assess the Bank’s ability to withstand short-term liquidity stress.

3.2 Liquidity risk update for 2025

In 2025, adequate liquidity was held by the Bank to ensure that key liquidity ratios were maintained in accordance with the regulatory requirements.

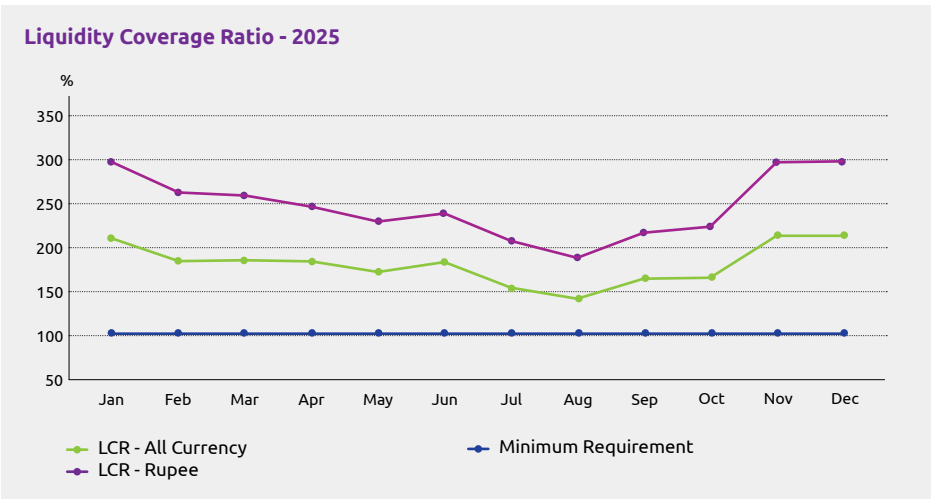
Amāna Bank’s LCR in respect of Rupee Liquidity for local currency operations and all Currency Liquidity Minimum Requirement for overall operations remained consistently above the regulatory minimum of 100% throughout 2025. The Bank continuously monitors and optimises its liquidity buffers, ensuring that it exceeds the regulatory minimum requirements while managing cash flow volatility effectively.

LCR Ratio - All Currency

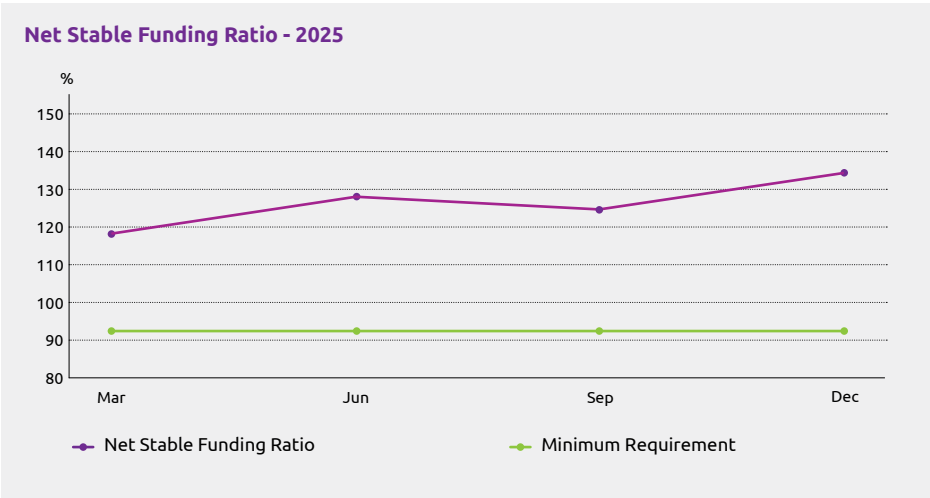
Year	Year-end (%)	Minimum (%)	Maximum (%)
2023	234.9	120.3	242.0
2024	237.8	183.1	327.0
2025	231.5	145.9	231.5

LCR Ratio - Rupee

Year	Year-end (%)	Minimum (%)	Maximum (%)
2023	300.0	136.0	300.0
2024	346.0	231.0	414.0
2025	330.0	145.9	330.0



	Mar (LKR '000)	Jun (LKR '000)	Sep (LKR '000)	Dec (LKR '000)
Total Available Stable Funding	156,192,660	163,788,970	166,992,314	169,398,632
Total Required Stable Funding	124,084,872	121,062,054	118,113,318	120,252,832
Net Stable Funding Ratio	126	136	133	143
Minimum Requirement	100	100	100	100



LIQUIDITY RISK CONTEXT AND
MANAGEMENT STRATEGY FOR 2025

With the Bank leveraging accumulated reserves resulting from the Bank’s prudent financing approach adopted in recent years, to recommence aggressive advances growth during the year, Liquidity Risk management efforts for 2025 focused on ensuring adequate liquidity buffers were maintained at all times to preserve stability and comply with regulatory requirements. While the Bank’s Liquidity Risk Appetite limits remained unchanged in 2025, monitoring frameworks were enhanced with a more forward-looking perspective. Consequently, all key liquidity metrics, including the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR), were closely monitored by the Treasury with any noted

concerns promptly escalated to the ALCO and to the BIRMC as required. Scenario testing for LCR assessments was also expanded, and new dashboards and early warning indicators were introduced to monitor funding concentration risks.

Similarly, forward-looking liquidity risk assessments were carried out to assess Earnings at Risk (EaR), Economic Value of Equity (EVE), rate-sensitive maturity gap, and duration analyses, with parameters continuously refined to consider market forecasts. Given that the Bank’s prudential liquidity buffers remained well above regulatory thresholds, effective investment decisions were made to maximise yield as reflected in the Bank’s results.

LIQUIDITY RISK FOCUS FOR 2026

Looking into 2026, the Bank will focus on maintaining adequate liquidity to support aggressive advances growth, ensuring a strong portfolio of High-Quality Liquid Assets (HQLAs)

to enhance liquidity buffers. To support these efforts, the Bank intends to leverage technology to facilitate real-time monitoring of concentration and maturity gaps to enable informed decision-making by ALCO and BIRMC.

MATURITY GAPS OF ASSETS AND LIABILITIES (BEHAVIOURAL BASIS) AS AT 31 DECEMBER 2025

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Cash and Cash Equivalents	14,955,182,291	-	-	-	-	14,955,182,291	Yes
Balance with Central Bank of Sri Lanka	6,858,910,576	447,422,846	239,862,945	107,085,444	80,304,491	7,733,586,302	Yes
Placements with Banks	22,989,870,929	-	-	-	-	22,989,870,929	Yes
Placements with Licensed Finance Companies	86,418	-	-	-	-	86,418	Yes
Derivative Financial Assets	3,807,796	17,864,575	-	-	-	21,672,371	Yes
Financial Assets Recognised Through Fair Value through Profit or Loss	38,962,765	-	-	-	-	38,962,765	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	44,186,388,852	55,882,507,851	29,670,991,822	13,909,911,285	7,302,591,268	150,952,391,078	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	924,252,662	924,252,662	Yes
Other Assets - Financial	1,595,273,800	65,213,345	-	-	-	1,660,487,145	Yes
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	3,278,103,094	3,278,103,094	No
Intangible Assets	-	-	-	-	485,127,448	485,127,448	No
Other Assets - Non Financial	430,668,627	223,013,325	-	-	-	653,681,951	No
Deferred Tax Assets	-	-	-	-	613,123,264	613,123,264	No
Total Assets	91,059,152,054	56,636,021,942	29,910,854,767	14,016,996,729	12,683,502,227	204,306,527,718	
Liabilities							
Due to Banks	10,219,279	1,870,951,454	-	-	-	1,881,170,733	Yes
Derivative Financial Liabilities	478,985	-	-	-	-	478,985	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	65,658,847,849	54,463,003,078	29,262,827,305	13,009,327,177	9,679,717,108	172,073,722,517	Yes
Other Liabilities - Financial	3,649,453,942	-	48,296,464	-	-	3,697,750,406	Yes
Current Tax Liabilities	220,000,000	632,449,484	-	-	-	852,449,484	No
Dividend Payable	86,250,467	-	-	-	-	86,250,467	No
Retirement Benefit Liability	-	-	-	-	298,579,874	298,579,874	Yes
Other Liabilities - Non Financial	331,012,723	-	-	-	-	331,012,723	No
Total Liabilities	69,956,263,245	56,966,404,016	29,311,123,769	13,009,327,177	9,978,296,982	179,221,415,189	
Maturity Gap	21,102,888,808	(330,382,075)	599,730,998	1,007,669,552	2,705,205,245	25,085,112,529	

MATURITY GAPS OF ASSETS AND LIABILITES (CONTRACTUAL BASIS) AS AT 31 DECEMBER 2025

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Cash and Cash Equivalents	14,955,182,291	-	-	-	-	14,955,182,291	Yes
Balance with Central Bank of Sri Lanka	7,733,586,302	-	-	-	-	7,733,586,302	Yes
Placements with Banks	22,989,870,929	-	-	-	-	22,989,870,929	Yes
Placements with Licensed Finance Companies	86,418	-	-	-	-	86,418	Yes
Derivative Financial Assets	3,807,796	17,864,575	-	-	-	21,672,371	Yes
Financial Assets Recognised Through Fair Value through Profit or Loss	38,962,765	-	-	-	-	38,962,765	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	44,186,388,852	55,882,507,851	29,670,991,822	13,909,911,285	7,302,591,268	150,952,391,078	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	924,252,662	924,252,662	Yes
Other Assets - Financial	1,595,273,800	65,213,345	-	-	-	1,660,487,145	Yes
Property, Plant, Equipment and Right-of-Use Assets	-	-	-	-	3,278,103,094	3,278,103,094	No
Intangible Assets	-	-	-	-	485,127,448	485,127,448	No
Other Assets - Non Financial	430,668,627	223,013,325	-	-	-	653,681,951	No
Deferred Tax Assets	-	-	-	-	613,123,264	613,123,264	No
Total Assets	91,933,827,780	56,188,599,096	29,670,991,822	13,909,911,285	12,603,197,736	204,306,527,718	
Liabilities							
Due to Banks	10,219,279	1,870,951,454	-	-	-	1,881,170,733	Yes
Derivative Financial Liabilities	478,985	-	-	-	-	478,985	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	110,171,642,945	52,424,062,326	5,992,740,414	1,071,659,966	2,413,616,867	172,073,722,517	Yes
Other Liabilities - Financial	3,649,453,942	-	48,296,464	-	-	3,697,750,406	Yes
Current Tax Liabilities	220,000,000	632,449,484	-	-	-	852,449,484	No
Dividend Payable	86,250,467	-	-	-	-	86,250,467	No
Retirement Benefit Liability	-	-	-	-	298,579,874	298,579,874	Yes
Other Liabilities - Non Financial	331,012,723	-	-	-	-	331,012,723	No
Total Liabilities	114,469,058,341	54,927,463,264	6,041,036,878	1,071,659,966	2,712,196,741	179,221,415,189	
Maturity Gap	(22,535,230,561)	1,261,135,831	23,629,954,944	12,838,251,319	9,891,000,995	25,085,112,529	

MATURITY GAP ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2025

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR
Inflows			
Cash in Hand	10,969,899,349	-	-
Balance with Central Bank of Sri Lanka	6,644,099,985	303,552,430	128,225,281
Balances Due from Other Banks and Financial Institutions	1,926,055	7,498,791,285	-
Derivative Financial Assets			
Investments	963,215,427	-	-
Overdrafts	1,209,435,914	1,209,435,914	1,209,435,914
Financing and Receivables to Other Customers	21,964,077,631	14,202,834,924	11,871,838,557
Non-Performing Advances	-	-	-
Other Assets	1,321,523,593	269,344,326	30,029,280
Total (a)	43,074,177,954	23,483,958,879	13,239,529,032
Outflows			
Demand Deposits	2,623,643,555	2,626,643,555	1,969,982,667
Savings Deposits	2,855,402,257	2,757,216,730	2,839,356,022
Balance Due to Other Banks	-	-	-
Derivative Financial Liabilities	-	-	-
Time Deposits	1,391,024,487	25,601,875,112	8,279,519,278
Profit Payable	-	-	-
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	2,192,045,946	44,652,217	66,257,844
Other Liabilities	4,451,808,850	-	-
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	505,372,084	1,010,744,167	1,516,116,251
Letters of Credit/Guarantees/Acceptances	625,059,876	1,147,630,838	1,303,122,794
Repo/Bills Rediscounted/Swaps/Forward Contracts	1,694,888,213	-	-
Others	-	-	-
Total (b)	16,339,245,268	33,188,762,619	15,974,354,856
Gap = (a) - (b)	26,734,932,687	(9,704,803,741)	(2,734,825,824)
Cumulative Gap	26,734,932,687	17,030,128,946	14,295,303,123

	6 - 9 Months LKR	9 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR
	-	-	-	-	-	10,969,899,349
	182,807,695	155,016,380	249,081,338	142,319,363	187,144,851	7,992,247,323
	-	-	-	-	-	7,500,717,340
	-	-	-	-	-	-
	-	-	-	-	-	963,215,427
	1,209,435,914	1,209,435,914	3,359,544,205	3,359,544,205	3,359,544,205	16,125,812,185
	7,120,650,693	8,069,349,497	17,697,414,530	29,419,411,972	14,879,629,449	125,225,207,253
	-	484,326,906	-	-	1,452,980,717	1,937,307,623
	30,029,280	30,164,280	104,138,898	613,123,264	4,347,522,362	6,745,875,283
	8,542,923,582	9,948,292,977	21,410,178,971	33,534,398,804	24,226,821,584	177,460,281,783
	1,313,321,778	1,313,321,778	-	-	3,283,304,444	13,130,217,777
	2,824,557,059	2,813,413,307	14,380,846,601	14,284,543,551	15,819,889,147	58,575,224,674
	-	-	-	-	-	-
	-	-	-	-	-	-
	14,522,590,680	11,696,879,029	11,044,640,623	242,996,601	-	72,779,525,810
	-	-	-	-	-	-
	272,919,008	61,603,444	473,616,849	648,543,855	511,692,245	4,271,331,408
	-	-	-	-	-	4,451,808,850
	1,516,116,251	1,516,116,251	-	-	-	6,064,465,004
	1,476,132,116	1,662,154,544	549,779,574	36,272,193	-	6,800,151,935
	-	-	-	-	-	1,694,888,213
	-	-	-	25,963,826,495	-	25,963,826,495
	21,925,636,892	19,063,488,353	26,448,883,647	41,176,182,695	19,614,885,836	193,731,440,166
	(13,382,713,310)	(9,115,195,376)	(5,038,704,676)	(7,641,783,891)	4,611,935,748	(16,271,158,383)
	912,589,813	(8,202,605,564)	(13,241,310,240)	(20,883,094,131)	(16,271,158,383)	

MATURITY GAP ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2025

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	
Inflows				
Cash in Hand	646,210	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	
Balances Due from Other Banks and Financial Institutions	49,979,542	-	-	
Derivative Financial Assets	-	-	-	
Investments	-	-	-	
Overdrafts	-	191,901	191,901	
Financing and Receivables to Other Customers	5,188,041	6,457,247	4,981,147	
Non-Performing Advances	-	-	-	
Inter Branch Transactions	-	-	-	
Other Assets	15,153,035	-	-	
Total (a)	70,966,828	6,649,148	5,173,048	
Outflows				
Demand Deposits	1,078,331	1,078,331	808,748	
Savings Deposits	764,134	740,545	747,651	
Balance Due to Other Banks	-	-	-	
Derivative Financial Liabilities	-	-	-	
Time Deposits	869,339	14,079,258	4,900,458	
Net Inter-Branch Transactions				
Profit Payable	76,396	-	270,436	
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	42,449	-	-	
Other Liabilities	6,000,000	-	-	
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	
Letters of Credit/Guarantees/Acceptances	39,275,499	13,748,775	2,315,343	
Repo/Bills Rediscounted/Swaps/Forward Contracts	5,474,445	-	-	
Others	-	-	-	
Total (b)	53,580,593	29,646,909	9,042,636	
Gap = (a) - (b)	17,386,234	(22,997,761)	(3,869,588)	
Cumulative Gap	17,386,234	(5,611,527)	(9,481,115)	

	6 - 9 Months USD	9 - 12 Months USD	1 - 3 Years USD	3 - 5 Years USD	Over 5 Years USD	Total USD
	-	-	-	-	-	646,210
	-	-	-	-	-	-
	-	-	-	-	-	49,979,542
	-	-	-	-	-	-
	-	-	-	-	-	-
	191,901	191,901	533,058	533,058	533,058	2,366,778
	313,526	25,404	3,001,087	2,674,460	-	22,640,912
	-	56,757	-	-	170,270	227,027
	-	-	-	-	-	-
	-	-	-	-	-	15,153,035
	505,427	274,062	3,534,145	3,207,518	703,328	91,013,504
	539,166	539,166	-	-	1,347,914	5,391,656
	749,299	748,176	3,742,591	3,749,883	3,826,721	15,069,000
	-	-	-	-	-	-
	-	-	-	-	-	-
	4,790,240	19,060,403	2,335,194	-	10,808,589	56,843,481
						-
	776,706	948,451	291,009	179,547	700,751	3,243,296
	-	-	-	-	-	42,449
	-	-	-	-	-	6,000,000
	-	-	-	-	-	-
	1,977,352	1,761,602	-	-	-	59,078,571
	-	-	-	-	-	5,474,445
	-	-	-	-	2,738,833	2,738,833
	8,832,763	23,057,798	6,368,794	3,929,430	19,422,808	153,881,731
	(8,327,336)	(22,783,737)	(2,834,649)	(721,911)	(18,719,480)	(62,868,228)
	(17,808,451)	(40,592,188)	(43,426,836)	(44,148,748)	(62,868,228)	

SENSITIVITY ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2025

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 12 Months LKR	1 - 2 Years LKR	
Inflows						
Cash in Hand	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	7,500,668,896	48,444	-	-	-	
Derivative Financial Assets	-	-	-	-	-	
Investments	-	-	-	-	-	
Overdrafts	16,125,812,182	-	-	-	-	
Financing and Receivables to Other Customers	22,165,658,286	14,226,819,065	12,279,685,114	15,308,585,304	7,478,445,072	
Non-Performing Advances	-	-	-	-	249,989,370	
Fixed Assets	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	
Other Assets	-	-	-	-	-	
FRA's	-	-	-	-	-	
Total (a)	45,792,139,364	14,226,867,509	12,279,685,114	15,308,585,304	7,728,434,443	
Outflows						
Demand Deposits	-	-	-	-	-	
Savings Deposits	53,963,538,745	73,025,983	147,840,286	266,016,011	480,140,091	
Time Deposits	9,537,484,067	16,652,472,396	14,334,662,011	24,593,167,232	6,469,223,007	
Other Deposits	-	-	-	-	-	
Other Borrowings/Balance Due to Other Banks	-	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	-	
Profit Payable	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	
Capital	-	-	-	-	-	
Reserves	-	-	-	-	-	
Retained earnings	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	
FRA's	1,694,888,213	(61,920,000)	(3,096,000,000)	-	-	
Total (b)	65,195,911,025	16,663,578,378	11,386,502,297	24,859,183,243	6,949,363,099	
Gap = (a) - (b)	(19,403,771,661)	(2,436,710,869)	893,182,817	(9,550,597,939)	779,071,344	

	2 - 3 Years LKR	3 - 4 Years LKR	4 - 5 Years LKR	5 - 7 Years LKR	7 - 10 Years LKR	10 - 15 Years LKR	15 - 20 Years LKR	Non Sensitive LKR	Total LKR
	-	-	-	-	-	-	-	10,969,899,349	10,969,899,349
	-	-	-	-	-	-	-	7,992,247,323	7,992,247,323
	-	-	-	-	-	-	-	-	7,500,717,340
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	963,215,427	963,215,427
	-	-	-	-	-	-	-	-	16,125,812,182
	9,773,545,912	11,448,784,849	17,670,913,164	6,341,312,594	6,622,508,946	1,093,191,935	815,757,013	-	125,225,207,254
	-	-	170,192,828	71,948,051	-	-	-	1,445,177,373	1,937,307,623
	-	-	-	-	-	-	-	3,763,230,542	3,763,230,542
	-	-	-	-	-	-	-	5,483,647,131	5,483,647,131
	-	-	-	-	-	-	-	2,982,644,741	2,982,644,741
	-	-	-	-	-	-	-	-	-
	9,773,545,912	11,448,784,849	17,841,105,992	6,413,260,645	6,622,508,946	1,093,191,935	815,757,013	33,600,061,886	182,943,928,912
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	12,330,274,642	12,330,274,642
	467,134,431	459,052,577	356,013,863	708,765,064	774,627,953	741,517,902	137,551,768	-	58,575,224,674
	161,852,360	165,207,125	62,514,476	-	-	-	-	-	71,976,582,674
	-	-	-	-	-	-	-	802,943,136	802,943,136
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	1,223,812,070	1,223,812,070
	-	-	-	-	-	-	-	4,263,688,699	4,263,688,699
	-	-	-	-	-	-	-	6,311,011,282	6,311,011,282
	-	-	-	-	-	-	-	1,196,473,371	1,196,473,371
	-	-	-	-	-	-	-	18,456,341,842	18,456,341,842
	-	-	-	-	-	-	-	4,459,120,650	4,459,120,650
	-	-	-	-	-	-	-	-	(1,463,031,787)
	628,986,791	624,259,702	418,528,338	708,765,064	774,627,953	741,517,902	137,551,768	49,043,665,692	178,132,441,253
	-	-	-	-	-	-	-	-	-
	9,144,559,121	10,824,525,147	17,422,577,654	5,704,495,581	5,847,880,993	351,674,034	678,205,245	(15,443,603,806)	4,811,487,658

SENSITIVITY ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2025

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 12 Months USD	1 - 2 Years USD	
Inflows						
Cash in Hand	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	49,979,542	-	-	-	-	
Derivative Financial Assets	-	-	-	-	-	
Investments	-	-	-	-	-	
Overdrafts	2,558,678	-	-	-	-	
Financing and Receivables to Other Customers	4,516,153	6,457,247	5,294,673	280,885	2,512,979	
Non-Performing Advances	-	-	-	-	-	
Fixed Assets	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	
Other Assets	-	-	-	-	-	
FRA's	-	-	-	-	-	
Total (a)	57,054,373	6,457,247	5,294,673	280,885	2,512,979	
Outflows						
Demand Deposits	-	-	-	-	-	
Savings Deposits	14,834,497	-	7,106	16,384	35,272	
Time Deposits	4,364,738	13,595,469	18,526,667	30,800,802	-	
Other Deposits	-	-	-	-	-	
Other Borrowings/Balance Due to Other Banks						
Derivative Financial Liabilities						
Profit Payable	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	
Capital	-	-	-	-	-	
Reserves						
Retained earnings	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	
FRA's	5,474,445	(200,000)	(10,000,000)	-	-	
Total (b)	24,673,680	13,395,469	8,533,773	30,817,186	35,272	
Gap = (a) - (b)	32,380,693	(6,938,222)	(3,239,100)	(30,536,301)	2,477,707	

	2 - 3 Years USD	3 - 4 Years USD	4 - 5 Years USD	5 - 7 Years USD	7 - 10 Years USD	10 - 15 Years USD	15 - 20 Years USD	Non Sensitive USD	Total USD
	-	-	-	-	-	-	-	646,210	646,210
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	49,979,542
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	2,558,678
	232,626	98,311	2,576,149	-	-	-	-	-	21,969,023
	-	-	-	-	-	-	-	227,027	227,027
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	1,059,886	1,059,886
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	407	407
	232,626	98,311	2,576,149	-	-	-	-	1,933,530	76,440,772
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	5,353,736	5,353,736
	4,592	25,212	21,944	51,126	48,132	23,765	972	-	15,069,002
	200,000	-	-	-	-	-	-	-	67,487,676
	-	-	-	-	-	-	-	37,920	37,920
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	1,043,211	1,043,211
	-	-	-	-	-	-	-	42,022	42,022
	-	-	-	-	-	-	-	(3,148,706)	(3,148,706)
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	409,872	409,872
	-	-	-	-	-	-	-	(9,141,354)	(9,141,354)
	-	-	-	-	-	-	-	-	(4,725,555)
	204,592	25,212	21,944	51,126	48,132	23,765	972	(5,403,297)	72,427,826
	-	-	-	-	-	-	-	-	-
	28,034	73,099	2,554,205	(51,126)	(48,132)	(23,765)	(972)	7,336,827	4,012,947

4. OPERATIONAL RISK

Operational Risk represents the potential loss to Amāna Bank arising from inadequate or failed internal processes, systems, human error, or external events.

4.1 Policies and Procedures

The Board-approved Operational Risk Management Policy serves as the overarching framework for managing Operational Risk at Amāna Bank. From this overarching framework stems several sub-policies namely the Information Security System Policy, Business Continuity Management (BCM) Policy, Outsourcing Policy, Procurement Policy, and Human Resources Policy and Procedures, collectively providing a structured approach to managing operational risks across all Bank functions.

4.2 Monitoring and Reporting Procedures

The Risk Management Division (RMD) is the key custodian in charge of monitoring Operational Risk at Amāna Bank. The RMD spearheads the bi-annual Risk and Control Self-Assessments (RCSA), under the guidance of the Operational Risk Management Committee (ORMC). The ORMC, chaired by the COO reports to the Executive Risk Management Committee (ERMC), which operates under the purview of BIRMC.

All branches, business units and Supporting Units are expected to participate in the RCSA.

The RCSA serves as an independent platform for business units to identify and assess operational risks in key processes and evaluate the effectiveness of existing controls within their respective area. Meanwhile, Key Risk Indicators (KRIs) flagged through the RCSA are promptly escalated to ORMC for remedial action, and, if necessary, further reported to BIRMC.

The RMD also monitors Internal Loss Data (ILD) in line with Basel regulations and CBSL requirements, enabling the identification of loss trends, root causes, and corrective actions to improve controls, processes, and systems.

Complementing these measures, the Compliance and Internal Audit Divisions conducts routine checks on operational systems and controls, while the IT and Security Committee manages technology and security risks. The Business Continuity Planning (BCP) Working Committee conducts drills to test preparedness, and the HR Department ensures workforce readiness to maintain uninterrupted operations, collectively fostering a proactive and resilient operational risk environment.

OPERATIONAL RISK CONTEXT AND MANAGEMENT STRATEGY FOR 2025

The operational risk landscape continued to evolve in 2025 prompting the Bank to initiate action on multiple levels. The RCSA process was further enhanced. While RCSAs continued on a six-month cycle, areas with higher exposure to digital products were assessed quarterly to ensure timely detection of risks. Key policies, including the Operational Risk Management Policy and procedures, were also reviewed and updated while the Business Continuity Planning (BCP) framework was revised in line with ISO 22301 standards and

supported with training to strengthen staff preparedness for potential disruptions. Additionally, in alignment with ISO 22301 a new Business Impact Analysis (BIA) format was introduced.

The annual BCP drills were conducted in compliance with CBSL requirements. Taking steps to further reinforce the Bank’s operational resilience, the Operational Risk Management Committee (ORMC) focused on continuous improvement which saw operational risk being integrated as part of the Induction programme for new recruits.

OPERATIONAL RISK FOCUS FOR 2026

In the year ahead, the focus will be on further strengthening Amāna Bank’s Operational Risk ecosystem. The Bank will continue to refine its risk monitoring mechanisms, including KRIs and RCSAs to proactively address

vulnerabilities especially in high-exposure areas such as digital channels and prevent recurrence. In parallel, Business Continuity Planning (BCP) will be further strengthened, with the aim of securing formal ISO 22301 certification for Bank-wide operations.

5. INFORMATION SECURITY RISK

Information Security Risk arises as a consequence of internal and external threats such as cyberattacks, system vulnerabilities, human error, and unauthorised access to the Bank’s systems, which could compromise the confidentiality, integrity, or availability of information assets, potentially leading to financial losses, regulatory penalties, service disruptions, and reputational damage.

5.1 Policies and Procedures

Amāna Bank’s Board-approved Information Security Management System (ISMS) Policy articulates the Bank’s commitment to safeguarding the confidentiality, integrity, and availability of information assets, by establishing robust controls along with clearly delineated roles and responsibilities to embed information security best practices across the Bank. Additionally, the ISO 27001:2022 Information Security Standard certification provides a structured framework for the Bank to continuously improve its information security systems in line with the latest global best practices.

5.2 Monitoring and Reporting Procedures

Information Security Risk is monitored by Amāna Bank’s Chief Information Officer (CIO) who is entrusted with the responsibility of tracking potential threats and deploying appropriate control mechanisms to rectify system vulnerabilities and preserve system integrity.

Efforts by the CIO are further complemented by independent assurance obtained through regular internal audits, ISO 27001:2022 surveillance audits, and third-party Vulnerability Assessment and Penetration Testing (VAPT). Findings from these monitoring activities are systematically reviewed by the CIO and escalated where necessary, to the BIRMC through ITSC to ensure proactive management of emerging information security risks.

Information Security Risk Context and Management Strategy for 2025

The year 2025 witnessed a noticeable increase in phishing attempts and broader cyber-attack activity targeting the global banking sector. While these industry-wide threats did not result in any material impact on Amāna Bank, they highlighted the need for vigilance and reinforced the importance of proactive controls.

In response, Amāna Bank's preventive controls were further reinforced with tolerance thresholds for data disruptions reviewed and updated as needed, supported by closer monitoring of system availability and data integrity. To formalise these changes, the ISMS Policy was updated, while ISMS KPI dashboards were redesigned to enhance visibility and enable more effective tracking of key security performance indicators. Regular staff awareness programmes continued to be conducted to mitigate human-related vulnerabilities, particularly in relation to phishing and social engineering attacks. Risk oversight was also further strengthened with Information Security Risk integrated within the broader Integrated Risk Management Framework and incorporated into the ICAAP process.

The Bank made good headway in implementing the Personal Data Protection Act guidelines, with the establishment of data classification standards, and early adoption of the ISO 20000:2018 IT Service Management Standard and ISO 27035:2023 Information Security Incident Management Standard standards.

Information Security Risk Focus for 2026

The Bank will continue to enhance early detection and response capabilities to identify and contain emerging cyber risks before they impact critical systems or data. As part of this holistic approach, the Bank will aim to reform its IT-related policies in line with evolving regulatory and legal requirements to further strengthen information security risk management architecture.

6. ESG AND CLIMATE RISK

ESG and Climate Risk stems from regulatory expectations, climate-related impacts on customers and sectors, and social and governance practices across the Bank, which if not properly managed, can lead to credit losses, operational and compliance issues, reputational damage, and weakened stakeholder confidence.

6.1 Policies and Procedures

The Board-approved Policy for Sustainable Banking Initiatives, which is aligned with the CBSL's Sustainability Roadmap and Green Finance Taxonomy guidelines provides the overarching framework for integrating Environmental, Social, and Governance (ESG) considerations into Amāna Bank's strategy, risk management practices, and financing decisions. The policy establishes clear mandates to promote responsible financing with special emphasis on championing green and socially responsible projects that deliver meaningful benefits to the environment as well as the wider community.

6.2 Monitoring and Reporting Procedures

The Bank's Sustainability Banking Initiatives Committee undertakes to monitor ESG and Climate risk, with material findings reported to the BIRMC on a quarterly basis.

ESG and Climate Risk Context and Management Strategy for 2025

Building on the first steps taken in 2024, Amāna Bank further strengthened its approach to managing ESG and Climate Risk, by focusing on embedding these

considerations into the Bank's Integrated Risk Management Framework. Accordingly, key ESG risk drivers were incorporated into the Bank's risk scorecards to support ICAAP risk-assessments in 2025, thereby ensuring ESG and Climate Risks are assessed alongside traditional financial risks as part of the capital planning process.

ESG and Climate Risk Focus for 2026

The Bank will aim to align its ESG and Climate Risk management strategies to support Sri Lanka's goal of achieving Net Zero emissions by 2050. This would involve conducting detailed climate scenario analyses to assess the potential impact on credit quality and capital adequacy to enable the management to better understand the transmission of climate risks across portfolios and operations, and to incorporate appropriate mitigants into risk appetite, monitoring, and escalation processes to strengthen resilience against ESG and Climate risk.



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Strengthening the Agriculture Sector

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TO THE SHAREHOLDERS OF AMĀNA BANK PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amāna Bank PLC ("the Bank"), which comprise the statement of financial position as at 31 December 2025, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at 31 December 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage FCA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA, M U M Mansoor ACA

Principals: T P M Ruberu FCMA FCCA MBA, G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited



Key Audit Matter

Allowance for Impairment of Financing and Receivables to Other Customers, measured at amortised cost

Allowance for Impairment of Financing and Receivables to Other Customers, measured at amortised cost as stated in Note 23 is determined by management based on the accounting policies described in Note 2.3.3 to the financial statements.

This was a key audit matter due to

- ◆ the significant management judgements, assumptions and the high level of estimation uncertainty involved in assessing the future recoverability of Financing and Receivables to Other Customers.
- ◆ the materiality of the reported amount of allowance for impairment.

Key areas of significant judgements, assumptions and estimates used by management in the assessment of allowance for impairment of Financing and Receivables to Other Customers included determining whether significant increase in credit risk has occurred, forward-looking macroeconomic scenarios and their associated weightages which are subject to inherently heightened levels of estimation uncertainty and subjectivity.

Information on the key estimates, assumptions and judgements is disclosed in Notes 2.3.3

Information Technology (IT) systems related internal controls over financial reporting

Bank's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets.

Accordingly, IT systems and related internal controls over financial reporting were identified as a key audit matter.

How our audit addressed the key audit matter

In addressing the allowance for Impairment of Financing and Receivables to Other Customers, our audit procedures included the following key procedures:

- ◆ Assessed the alignment of the Bank's allowance for Impairment computations and underlying methodology including responses to economic conditions and its accounting policies, based on the best available information up to the date of our report.
- ◆ Evaluated the design, implementation and operating effectiveness of controls over estimation of allowance for impairment
- ◆ Assessed the level of oversight, review and approval of allowance for impairment, policies and procedures by the Board of Directors and Management.
- ◆ Tested the completeness, accuracy and reasonableness of the underlying data used in the allowance for impairment computations by agreeing details to relevant source documents and accounting records of the Bank.
- ◆ Evaluated the reasonableness of credit quality assessments and related stage classifications
- ◆ In addition to the above, the following procedures were performed:
 - ◆ For Financing and Receivables to Other Customers assessed on an individual basis for impairment:
 - ◆ Tested the arithmetical accuracy of the underlying individual impairment calculations.
 - ◆ Evaluated the reasonableness of key inputs used in the allowances for impairment made with economic conditions. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery action of the collaterals.
 - ◆ For Financing and Receivables to Other Customers assessed on a collective basis for impairment:
 - ◆ Tested the key inputs and the calculations used in the allowances for impairment.
 - ◆ Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology including any considerations by Management relating to overlays to the allowance for impairment.
 - ◆ Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios.

Assessed the adequacy of the related financial statement disclosures set out in notes 2.3.3, 23, 43.2, 43.8 and 43.9.

Our audit procedures included the following key procedures:

- ◆ Obtained an understanding of the internal control environment of the processes and tested relevant key controls relating to financial reporting and related disclosures.
- ◆ Involved our internal specialized resources and;
 - Identified, evaluated and tested the design and operating effectiveness of IT systems related internal controls, including those related to user access and change management, and
 - Obtained a high-level understanding of the cybersecurity risks affecting the bank and the actions taken to address these risks primarily through inquiry.
- ◆ Tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.



Other information included in the Bank's 2025 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal controls.

3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Legal and Other Regulatory Requirements

Requirements of section 163(2) of the Companies Act No. 07 of 2007 and section 39 of the Banking Act No 30 of 1988 (as amended by Banking Act No.24 of 2024).

We have obtained all the information and explanations that were required for the audit. As far as appears from our examination, in our opinion, proper accounting records have been kept by the Bank.

In our opinion the disclosures made in the accompanying financial statements are in accordance with the requirements of Circular No.05 of 2024 issued by Central Bank of Sri Lanka.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4839.

26 February 2026
Colombo

	Note	2025 Rs.	2024 Rs.
Financing Income	4	16,918,378,571	15,399,562,261
Financing Expenses	5	(8,598,296,292)	(8,525,272,891)
Net Financing Income		8,320,082,279	6,874,289,370
Net Fee and Commission Income	6	1,369,479,150	1,077,337,861
Net Trading Income	7	349,533,180	693,112,850
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	8	19,425,126	38,985,111
Net Gains / (Losses) from Derecognition of Financial Assets	9	(2,656,697)	(69,917)
Net Other Operating Income	10	4,789,542	5,989,723
Total Operating Income		10,060,652,580	8,689,644,998
Impairment on Financial Assets	11	640,342,519	(289,612,927)
Net Operating Income		10,700,995,099	8,400,032,071
Personnel Expenses	12	2,641,497,812	2,274,493,660
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	395,685,499	256,903,664
Amortisation of Intangible Assets	27	75,683,904	64,936,795
Other Operating Expenses	13	2,098,733,579	2,012,679,625
Total Operating Expenses		5,211,600,794	4,609,013,744
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy		5,489,394,305	3,791,018,327
VAT on Financial Services		(1,228,501,343)	(886,820,214)
Social Security Contribution Levy		(169,733,089)	(117,354,789)
Profit Before Tax		4,091,159,873	2,786,843,324
Tax Expense	14	(1,610,178,383)	(1,012,177,592)
Profit for the Year		2,480,981,490	1,774,665,732
Earnings Per Share - Basic	15	4.50	3.22
Earnings Per Share - Diluted	15	4.50	3.22

The Accounting Policies and Notes on pages 258 through 313 form an integral part of the Financial Statements.

	Note	2025 Rs.	2024 Rs.
Profit for the Year		2,480,981,490	1,774,665,732
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Change in Fair Value of Financial Assets - Fair Value through Other Comprehensive Income		530,498,136	29,710,098
		-	-
Re-measurement Loss on Defined Benefit Plans	34	(83,427,470)	(36,125,421)
Deferred Tax Effect on Defined Benefit Plans	29	25,028,241	10,837,626
		(58,399,229)	(25,287,795)
Net Other Comprehensive Income not to be reclassified to Profit or Loss in Subsequent Periods:		472,098,907	4,422,303
Other Comprehensive Income for the Year Net of Tax		472,098,907	4,422,303
Total Comprehensive Income for the Year		2,953,080,397	1,779,088,035

The Accounting Policies and Notes on pages 258 through 313 form an integral part of the Financial Statements.

	Note	2025 Rs.	2024 Rs.
Assets			
Cash and Cash Equivalents	17	14,955,182,291	17,070,764,566
Balance with Central Bank of Sri Lanka	18	7,733,586,302	7,078,039,326
Placements with Banks	19	22,989,870,929	38,311,689,750
Placements with Licensed Finance Companies	20	86,418	507,640,396
Derivative Financial Assets	21	21,672,371	177,460,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	22	38,962,765	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	150,952,391,078	111,301,849,020
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	924,252,662	348,710,504
Other Assets - Financial	25	1,660,487,145	2,829,580,181
Property, Plant, Equipment and Right-of-Use Assets	26	3,278,103,094	2,968,026,601
Intangible Assets	27	485,127,448	337,562,608
Other Assets - Non Financial	28	653,681,951	510,950,335
Deferred Tax Assets	29	613,123,264	824,316,848
Total Assets		204,306,527,718	182,336,807,914
Liabilities			
Due to Banks	30	1,881,170,733	18,949,309
Derivative Financial Liabilities	31	478,985	22,856,743
Financial Liabilities at Amortised Cost - Due to Depositors	32	172,073,722,517	154,405,710,056
Other Liabilities - Financial	33	3,697,750,406	4,099,974,790
Current Tax Liabilities		852,449,484	473,465,041
Dividend Payable		86,250,467	99,470,636
Retirement Benefit Liability	34	298,579,874	186,730,809
Other Liabilities - Non Financial	35	331,012,723	187,790,136
Total Liabilities		179,221,415,189	159,494,947,520

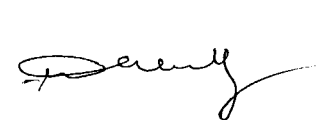
	Note	2025 Rs.	2024 Rs.
Shareholders' Funds			
Stated Capital	36	17,633,461,196	17,633,461,196
ESOP Reserve	51	85,153,046	78,517,838
Statutory Reserve Fund	37	479,223,132	355,174,057
Fair Value Reserve	38	632,097,180	101,599,044
Revaluation Reserve	39	1,004,939,941	1,006,064,886
Retained Earnings	40	5,250,238,034	3,667,043,373
Total Equity		25,085,112,529	22,841,860,394
Total Liabilities and Shareholders' Funds		204,306,527,718	182,336,807,914
Commitments and Contingencies	45	44,123,937,734	49,602,674,611
Net Assets Value per Share	41	45.52	41.45

I certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Ali Wahid
Chief Financial Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Ali Asghar Akbarally
Chairman



Mohamed Azmeer
Managing Director/Chief Executive Officer

The Accounting Policies and Notes on pages 258 through 313 form an integral part of the Financial Statements.

	Notes	Stated Capital Rs.	ESOP Reserve Rs.	Statutory Reserve Fund Rs.	Fair Value Reserve Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
As at 1 January 2024	36	17,633,461,196	50,978,808	266,440,770	71,888,946	1,007,189,831	2,666,624,673	21,696,584,224
Profit for the Year		-	-	-	-	-	1,774,665,732	1,774,665,732
Other Comprehensive Income	38	-	-	-	29,710,098	-	(25,287,795)	4,422,303
Interim Dividend 2024			-	-	-	-	(661,350,895)	(661,350,895)
Share-Based Payment Expense	51	-	27,539,030	-	-	-	-	27,539,030
Transfers to Statutory Reserve Fund	37	-	-	88,733,287	-	-	(88,733,287)	-
Transferred to Retained Earnings	40	-	-	-	-	(1,124,945)	1,124,945	-
As at 31 December 2024		17,633,461,196	78,517,838	355,174,057	101,599,044	1,006,064,886	3,667,043,373	22,841,860,394
Profit for the Year		-	-	-	-	-	2,480,981,490	2,480,981,490
Other Comprehensive Income	38	-	-	-	530,498,136	-	(58,399,229)	472,098,907
Interim Dividend 2025		-	-	-	-	-	(716,463,470)	(716,463,470)
Share-Based Payment Expense	51	-	6,635,208	-	-	-	-	6,635,208
Transfers to Statutory Reserve Fund	37	-	-	124,049,075	-	-	(124,049,075)	-
Transferred to Retained Earnings	40	-	-	-	-	(1,124,945)	1,124,945	-
As at 31 December 2025		17,633,461,196	85,153,046	479,223,132	632,097,180	1,004,939,941	5,250,238,034	25,085,112,529

The Accounting Policies and Notes on pages 258 through 313 form an integral part of the Financial Statements.

	Note	2025 Rs.	2024 Rs.
Cash Flow from Operating Activities			
Financing Income Received		17,223,807,160	15,707,102,349
Fee and Commission Received		1,444,511,887	1,074,221,675
Financing Expenses Paid		(8,598,296,292)	(9,296,579,758)
Foreign Exchange Income Received		349,533,180	693,112,850
Gratuity Payments Made	34	(13,439,825)	(13,472,750)
Payments to Employees and Suppliers		(6,089,969,195)	(5,230,147,153)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		4,316,146,915	2,934,237,213
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(39,020,834,058)	(21,933,497,525)
Other Financial Assets		718,693,128	(921,644,258)
Other Non Financial Assets		(303,697,636)	(207,916,684)
Balance with Central Bank of Sri Lanka		(655,546,976)	2,368,823,342
Increase / (Decrease) in Operating Liabilities			
Due to Depositors		17,588,778,518	22,251,557,030
Due to Banks		1,862,221,424	(302,217,217)
Other Liabilities		(125,591,076)	689,896,255
Net Cash Generated from Operating Activities before Income Tax		(15,619,829,761)	4,879,238,156
Income Tax Paid		(834,006,095)	(1,289,906,511)
Net Cash (Used in) / From Operating Activities		(16,453,835,856)	3,589,331,645
Cash Flows from in Investing Activities			
Acquisition of Property, Plant and Equipment		(255,362,084)	(257,710,731)
Proceeds from Sale of Property, Plant and Equipment		146,441	72,034
Acquisition of Intangible Assets		(223,248,744)	(130,399,413)
Placements with Licensed Finance Companies		499,997,412	(500,002,951)
Placements with Banks		15,029,996,321	3,849,994,807
Dividend Received from Financial Assets		4,643,101	5,917,689
Financial Assets Recognised through Profit or Loss - Measured at Fair Value		51,831,057	(19,191,316)
Financial Assets Measured at Fair Value through Other Comprehensive Income		(44,651,280)	-
Net Cash (Used in) / From Investing Activities		15,063,352,224	2,948,680,119
Cash Flows from Financing Activities			
Dividend Paid		(729,683,639)	(568,205,943)
Net Cash (Used in) / From Financing Activities		(729,683,639)	(568,205,943)
Net Increase / (Decrease) in Cash and Cash Equivalents		(2,120,167,271)	5,969,805,821
Cash and Cash Equivalents at the Beginning of the Year		17,077,573,223	11,107,767,402
Cash and Cash Equivalents at the End of the Year	17	14,957,405,952	17,077,573,223
Note A			
Reconciliation of Operating Profit			
Profit Before Tax		4,091,159,873	2,786,843,324
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	395,685,499	256,903,664
Amortisation of Intangible Assets	27	75,683,904	64,936,795
(Profit)/Loss on Disposal of Equity		(1,937,251)	(3,046,269)
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	(146,441)	(72,034)
Impairment on Financial Assets	11	(640,342,519)	289,612,927
Provision for Gratuity	34	41,861,420	33,662,105
(Increase) / Decrease in Placement Income Receivable		305,428,589	307,540,088
Increase / (Decrease) in Profit Payable		79,233,943	(783,454,021)
Other Non Cash Items		6,635,208	39,686,184
Dividend Income (Net)		(4,643,101)	(5,917,689)
Gratuity Payments	34	(13,439,825)	(13,472,750)
(Profit) / Loss on Mark to Market Valuation		(19,032,384)	(38,985,111)
		4,316,146,915	2,934,237,213

The Accounting Policies and Notes on pages 258 through 313 form an integral part of the Financial Statements.

1. CORPORATE INFORMATION**1.1 General**

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 ('Banking Act') and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange. The Bank does not have an identifiable parent, nor does it have investments in subsidiaries, associates or joint-ventures.

The Bank's network comprised of 33 (2024 – 33) branches whilst its staff strength was 928 (2024 – 899).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2025 were authorised for issue in accordance with a resolution of the Board of Directors on 26 February 2026.

2.1 BASIS OF PREPARATION**2.1.1 Basis of Measurement**

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss,

Financial Assets recognised through Other Comprehensive Income, Freehold Land and Building and Retirement Benefit Liability, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank, which comprise the Statement of Comprehensive Income (Profit or Loss and Other Comprehensive Income), Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No.30 of 1988 and amendments thereto and provide appropriate disclosures as required by the Listing Rules of the CSE.

The formats used for preparation and presentation of Financial Statements and the disclosures made therein also comply with the format specified by the Central Bank of Sri Lanka in Circular No. 05 of 2024 on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks". The Bank also publishes annual and quarterly financial information and other disclosures in the Press and on the Website in compliance with the aforementioned Circular.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 44.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and

critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 42.

c. Impairment Losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Note 11 and Note 23.4

The Bank's recognition of default corresponds with Banking Act Directions No. 13 of 2021 issued by Central Bank of Sri Lanka, governing Classification, Recognition and Measurement of Credit Facilities and Classification, Recognition and Measurement of Financial Assets Other than Credit Facilities in Licensed Banks respectively.

The Bank considers Financing and Receivables to Other Customers to be in default when contractual payments of a customer becomes past due for more than 90 days and any other credit facilities classified as Stage 3 under SLFRS 9 – Financial Instruments.

Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

d. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 29.

e. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

f. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and relevant details are disclosed in Note. 45

2.3 Summary of Material Accounting Policy Information

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange, at the reporting date. All differences arising on non-trading activities are taken to Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when fair value was determined.

Promissory Forward Exchange transactions are valued at forward market rates prevailing on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward Exchange transactions as at the reporting date.

2.3.3 Non- Derivative Financial Instruments

a. Date of Recognition

All Non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of

the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows.

The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (v) Impairment of Financial Assets.

(iii) Financial Assets Measured at Fair Value through Other Comprehensive Income

Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit or Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

Financial Investments - For Trading; and Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 31 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value through Profit or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or host contract contains one or more embedded derivatives; or Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in Other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- ◆ Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- ◆ Financing and Receivables commitments; and
- ◆ Financial Guarantee Contracts

ECL is not recognised on equity instruments. Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due)

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial

recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

In terms of qualitative assessments of whether an individually significant customer's exposure is subject to a significant increase in credit risk or default, the Bank considers a variety of instances that may signal customer's inability to service the facility. When such events occur, the Bank will carefully consider the developments and decide if such events will give rise to a customer default to be assessed as Stage 3 or if Stage 2 is sufficient for ECL computation purposes. Events include downgrade of customer rating, negative impact on customers' performance either due to future adverse economic conditions or significant change in geographical locations/natural disasters, litigations affecting the repayment capacity, frequent management changes, requests for modifications of original terms of the facility, the customer becoming insolvent/deceased reduction in Turnover/PBT of 50% or more compared to previous year for two consecutive years and erosion of net worth of the customer by more than 25% when compared to previous year.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The

Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- ◆ Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.

- ◆ Financial Assets that are credit-impaired at the reporting date is calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.
- ◆ Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- ◆ Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit or Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position, where applicable.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD : The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income, whether scheduled by contract or otherwise, expected draw downs on committed facilities,

and accrued financing income from missed payments.

LGD : The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral. In estimating LGD for ECL computations, the Bank will use historic data of the product/economic life cycle which is currently up to 6 years from the date of reporting before arriving at an average.

Rescheduled and Restructured Advances

The Bank, at times, modifies the contractual cash flows based on borrower's financial difficulties, rather than pursuing legal action or taking possession of any collateral at the outset. Such credit facilities with modified cash flows are considered as rescheduled or restructured advances. Rescheduling or restructuring credit facilities may involve extending the payment arrangement and the agreement of new facility conditions. Once the terms have been renegotiated, any impairment is measured using the original effective profit rate as calculated before the modification of terms. It is the Bank's policy to monitor rescheduled and restructured credit facilities to ensure that regular repayments occur based on revised terms. Rescheduled and restructured credit facilities are at minimum classified as Stage 2 at the date of the modification of such facilities.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing and Receivables are recognised when cash is advanced (or settled) to the borrowers. Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the

asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in a transaction in which substantially all the risks and rewards of ownership are transferred. Any income in transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Statement of Financial Position when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Statement of Financial Position when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair value measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly

transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day 1).

(ii) Impairment Charges on Financing and Receivables

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows,

the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios, etc.), and concentrations of risk and economic data (including levels of Unemployment, Inflation, GDP Growth Rate, Benchmarked PLR, Exchange Rate, Country Risk and the performance of different individual groups) which is used to arrive at the Economic Factor Adjustment. In addition to the above quantitative economic factors, qualitative drivers of credit risk such as Status of the Industry Business, Regulatory Impact and Government Policies were considered for the Economic Factor Adjustment.

To ensure completeness and accuracy, the Bank obtains the above forward-looking data primarily from the Central Bank of Sri Lanka (CBSL). Other sources such as the IMF, the World Bank, the Department of Census and Statistics etc. are also used when CBSL data is not available.

The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

The Bank considers multiple scenarios with different weightages in its ECL model. The applicable scenarios with the respective weightages are as follows:

A sensitivity analysis performed by the Bank based on a shift in weightages of 5% each out of Base case and Best case scenarios into the worst case scenario, will increase the collective impairment provision by an estimated Rs. 27 million (2024 – Rs. 33 million) as at 31 December 2025.

Scenario	2025	2024
Base Case	25%	25%
Best Case	15%	15%
Worst Case	60%	60%

Additionally, the Bank also performed a sensitivity analysis on the existing PDs and LGDs.

	1% Increase in PD Rs.	5% Increase in LGD Rs.
Estimated increase in collective impairment	396,668,024	369,577,748

2.3.4 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.5 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.6 Property, Plant and Equipment and Right-of-Use Assets

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity.

However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2025	2024
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

(e) Right-of-Use Assets

The Bank applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The standard provides specific transition

requirements and practical expedients, which have been applied by the Bank.

The Bank also applied the available practical expedients wherein it:

- ◆ Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- ◆ Relied on its assessment of whether leases are onerous immediately before the date of initial application
- ◆ Applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application
- ◆ Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- ◆ Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease

2.3.7 Intangible Assets

The Bank’s Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2025	2024
Computer	10 years	10 years
Software		

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.8 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the

fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in ‘Property, Plant and Equipment’ and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

2.3.9 Retirement Benefit Liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2025 by a qualified actuary using projected unit credit method.

The principal assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the reporting date that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank’s obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund Contributions and Employees’ Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.10 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.11 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Current income tax computation is based on the provisions of the Inland Revenue Act No. 24 of 2017 is the principal enactment as amended by Inland Revenue (Amendment) Act, No.10 of 2021 and any subsequent amendments thereto enacted (or substantively enacted) as at the end of the reporting period.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions

of the Inland Revenue Act No. 24 of 2017 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss and at the time of the transaction, does not give rise to equal taxable & deductible temporary differences.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax on Financial Services and Social Security Contribution Levy

The Bank's total value addition is subjected to a 18% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

Social Security Contribution Levy (SSCL) on Financial Services (value addition) is calculated in accordance with the Social Security Contribution Levy Act, No. 25 of 2022 and value addition is computed based on the guidelines given under the Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The SSCL rate applied in 2025 is 2.5% (with effect from 01 October 2022).

(d) IFRIC Interpretation 23 "Uncertainty over Income Tax Treatment"

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to finance costs and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- ◆ Whether an entity considers uncertain tax treatments separately
- ◆ The assumptions an entity makes about the examination of tax treatments by taxation authorities
- ◆ How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- ◆ How an entity considers changes in facts and circumstances

The Bank determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Bank applies significant judgement in identifying uncertainties over income tax treatments. Since the Bank operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Bank considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The Bank determined, based on its tax compliance and transfer pricing study that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Bank.

The Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.3.12 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term ex-gratia payments if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.13 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss under Impairment on Financial Assets. The premium received is recognised in the Statement of Profit or Loss in 'Net Fee and Commission Income' on a straight line basis over the life of the guarantee.

2.3.14 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lanka Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- ◆ Consumer Banking: Individual customers' deposits and consumer financing including asset financing, lease financing, gold facilities, home and property financing.
- ◆ Business Banking: Deposits of corporate and SME customers, trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities.
- ◆ Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.15 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.16 Statement of Cash Flow

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - Statement of Cash Flows whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand and balances with banks.

2.3.17 Impact of Climate Risk

In the normal course of business, the Bank and its customers are exposed to the physical risks arising from climate change. Most climate-related physical risks are expected to manifest over a period that is generally longer than the maturity of most of the outstanding exposures. The following balances may be impacted by physical risks:

ECL: Customers and portfolios with exposure to climate risk may have a resultant deterioration in creditworthiness, which has an impact on ECL. Considering the Bank's customer exposures, it is of the view that counterparties with exposures to climate risk are not expected to be materially impacted by physical risks associated with climate change. For instance, the majority of the counterparties are not employed, or do not operate, in high-risk sectors, nor are they located in high risk geographical areas. The Bank also noted that for a significant portion of the portfolio, the time horizon for any physical impact of climate risk is longer than the maturity of most of the assets as described in Note 44.

Fair value measurement: The Bank has assumed that any climate change variables incorporated in fair value measurement are those that market participants would consider when pricing the financial instruments in accordance with SLFRS 13. The Bank is of the view that climate risk has been adequately reflected within the fair value.

2.3.18 New Accounting Standards

The following new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka (CASL) are not effective as at 31 December 2025.

2.3.18.1 Standards issued but not yet effective

The new and amended standards that are issued, but not yet effective to the date of issuance of these financial statements are disclosed below. Management is in the process of assessing the probable impacts from the below not yet effective standards:

SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace IFRS 4 Insurance Contracts (SLFRS 4). SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

SLFRS 17 is effective for annual reporting periods beginning on or after 01 January 2026. The Bank does not have a material impact from the above standard.

SLFRS 18 Presentation and Disclosure in Financial Statements

SLFRS 18, which replaces LKAS 1, introduces significant enhancements to the way financial information is organized and communicated. The standard establishes new categories and subtotals in the statement of profit or loss to

improve consistency and comparability across entities. It also requires entities to disclose management-defined performance measures (as specified in the standard), together with clear explanations and reconciliations. In addition, SLFRS 18 introduces strengthened requirements regarding the location, aggregation, and disaggregation of financial information. These changes are designed to ensure that financial statements present information more transparently and in a way that enhances users' understanding of an entity's financial performance and position. SLFRS 18, and consequential amendments to the other accounting standards, are effective for annual reporting periods beginning on or after 1 January 2027. Early application is permitted. The potential impact of SLFRS 18 on the financial statements and the related notes is currently being identified and evaluated.

SLFRS 19 Subsidiaries without public accountability: Disclosures

SLFRS 19 introduces reduced disclosure requirements for subsidiaries that do not have public accountability but continue to apply the full SLFRS recognition and measurement principles. The purpose of SLFRS 19 is to lessen the financial reporting burden on qualifying subsidiaries by simplifying disclosure requirements, while still ensuring that financial statements remain high-quality, consistent, and comparable for users. SLFRS 19 applies to Specified Business Enterprises, as defined in the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995. Subsidiaries that fall within this category and do not have public accountability are eligible to apply SLFRS 19. The Standard becomes effective for annual reporting periods beginning on or after 1 January 2027. Early application is permitted. The bank is not eligible to apply SLFRS 19.

Classification and Measurement of Financial Instruments - Amendments to SLFRS 9 and SLFRS 7

The amendments introduce enhancements to the classification, measurement, derecognition, and disclosure requirements for financial instruments. Their objective

is to strengthen transparency, promote greater consistency in financial reporting, and respond to emerging market developments - particularly features such as sustainability-linked terms and nature-dependent electricity contracts. These amendments are effective for annual reporting periods beginning on or after 1 January 2026. Early application is permitted. The potential impact of this amendment on the financial statements and the related notes is currently being identified and evaluated.

Except for above there are no any new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka but are not yet effective as at 31 December 2025.

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2025 Rs.	Business Banking 2025 Rs.	Total Banking 2025 Rs.	Treasury 2025 Rs.	Unallocated / Elimination 2025 Rs.	Total 2025 Rs.
Income						
Financing Income	4,463,804,892	10,643,595,228	15,107,400,120	1,810,978,451	-	16,918,378,571
Net Fee and Commission Income	504,553,464	864,736,739	1,369,290,203	188,947	-	1,369,479,150
Net Trading Income	-	-	-	349,533,180	-	349,533,180
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	19,425,126	-	19,425,126
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(2,656,697)	-	(2,656,697)
Net Other Operating Income	-	-	-	4,789,542	-	4,789,542
Total Income	4,968,358,356	11,508,331,967	16,476,690,323	2,182,258,549	-	18,658,948,872
Less						
Financing Expenses	(2,505,343,174)	(5,973,795,742)	(8,479,138,916)	(16,851,684)	(102,305,692)	(8,598,296,292)
Impairment on Financial Assets	47,733,674	603,240,801	650,974,475	(10,631,956)	-	640,342,519
Total Operating Expenses	(1,355,016,206)	(3,283,308,500)	(4,638,324,706)	(573,276,088)	-	(5,211,600,794)
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	1,155,732,650	2,854,468,526	4,010,201,176	1,581,498,821	(102,305,692)	5,489,394,305
VAT on Financial Services & Social Security Contribution Levy						(1,398,234,432)
Profit Before Tax						4,091,159,873
Tax Expense						(1,610,178,383)
Profit for the Year						2,480,981,490
Total Assets	42,103,356,410	108,849,034,668	150,952,391,078	26,610,464,397	26,743,672,243	204,306,527,718
Total Liabilities	136,035,713,160	36,038,009,357	172,073,722,517	1,871,430,454	5,276,262,218	179,221,415,189

3. SEGMENT INFORMATION (CONTD.)

	Consumer Banking 2024 Rs.	Business Banking 2024 Rs.	Total Banking 2024 Rs.	Treasury 2024 Rs.	Unallocated / Elimination 2024 Rs.	Total 2024 Rs.
Income						
Financing Income	3,962,916,643	8,849,676,033	12,812,592,676	2,586,969,585	-	15,399,562,261
Net Fee and Commission Income	424,952,462	583,108,376	1,008,060,838	69,277,023	-	1,077,337,861
Net Trading Income	-	-	-	693,112,850	-	693,112,850
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	38,985,111	-	38,985,111
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(69,917)	-	(69,917)
Net Other Operating Income	-	-	-	5,989,723	-	5,989,723
Total Income	4,387,869,105	9,432,784,409	13,820,653,514	3,394,264,375	-	17,214,917,889
Less						
Financing Expenses	(2,627,177,837)	(5,866,808,424)	(8,493,986,261)	(10,639,726)	(20,646,904)	(8,525,272,891)
Impairment on Financial Assets	(19,414,272)	(272,518,675)	(291,932,947)	2,320,020	-	(289,612,927)
Total Operating Expenses	(1,014,443,925)	(2,257,955,834)	(3,272,399,759)	(1,336,613,985)		(4,609,013,744)
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	726,833,071	1,035,501,476	1,762,334,547	2,049,330,684	(20,646,904)	3,791,018,327
VAT on Financial Services & Social Security Contribution Levy						(1,004,175,003)
Profit Before Tax						2,786,843,324
Tax Expense						(1,012,177,592)
Profit for the Year						1,774,665,732
Total Assets	29,270,553,218	82,031,295,802	111,301,849,020	56,067,555,562	14,967,403,332	182,336,807,914
Total Liabilities	122,538,352,667	31,867,357,389	154,405,710,056	22,856,743	5,066,380,721	159,494,947,520

4. FINANCING INCOME

	2025 Rs.	2024 Rs.
Financing Income	15,107,400,120	12,812,592,676
Placement Income	1,810,978,451	2,586,969,585
Total	16,918,378,571	15,399,562,261

Accrued Income from Impaired Financial Assets amounting to Rs. 629,176,043/- (2024 - Rs. 208,418,812/-) has been deducted from Financing Income.

5. FINANCING EXPENSES

	2025 Rs.	2024 Rs.
Expenses on Due to Other Customers	8,479,138,916	8,502,486,011
Expenses on Due to Banks	16,851,684	10,639,726
Finance Expense on Lease Liability	102,305,692	12,147,154
Total	8,598,296,292	8,525,272,891

6. NET FEE AND COMMISSION INCOME

	2025 Rs.	2024 Rs.
Trade Related Services	846,140,002	558,155,828
Other Banking and Financial Services	523,339,148	519,182,033
Total	1,369,479,150	1,077,337,861

7. NET TRADING INCOME

	2025 Rs.	2024 Rs.
Foreign Exchange Income		
- From Banks	83,789,930	632,648,756
- From Customers	265,743,250	60,464,094
Total	349,533,180	693,112,850

Foreign Exchange Income includes Gains and Losses from Spot and Promissory Forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2025 Rs.	2024 Rs.
Equity Securities	19,425,126	38,985,111
Total	19,425,126	38,985,111

The above consists of Unrealised Gains and Losses from changes in the Fair Value of Equity Securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

	2025 Rs.	2024 Rs.
Equity Securities	(2,656,697)	(69,917)
Total	(2,656,697)	(69,917)

10. NET OTHER OPERATING INCOME

	2025 Rs.	2024 Rs.
Income from Dividends	4,643,101	5,917,689
Gain on Disposal of Property, Plant and Equipment	146,441	72,034
Total	4,789,542	5,989,723

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the Year 2025.

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.2)	(4,584,996)	-	-	(4,584,996)
Placements with Banks (Note 19.1)	(4,729,573)	-	-	(4,729,573)
Placements with Licensed Finance Companies (Note 20.1)	(1,463,219)	-	-	(1,463,219)
Commitments and Contingencies (Note 45.2.2)	418,288	(9,538,647)	(6,572,691)	(15,693,050)
Financing and Receivables to Other Customers (Note 23.4)	(494,349,555)	(329,079,388)	170,874,825	(652,554,118)
Other Assets	38,682,437	-	-	38,682,437
Total	(466,026,618)	(338,618,035)	164,302,134	(640,342,519)

The table below shows the ECL charges on Financial Instruments for the Year 2024.

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.2)	(95,345)	-	-	(95,345)
Placements with Banks (Note 19.1)	(3,531,484)	-	-	(3,531,484)
Placements with Licensed Finance Companies (Note 20.1)	1,306,860	-	-	1,306,860
Commitments and Contingencies (Note 45.2.2)	(10,378,032)	6,117,181	5,280,531	1,019,680
Financing and Receivables to Other Customers (Note 23.4)	428,495,958	(442,377,384)	304,794,642	290,913,216
Total	415,797,957	(436,260,203)	310,075,173	289,612,927

12. PERSONNEL EXPENSES

	2025 Rs.	2024 Rs.
Salaries and Bonus	1,370,840,735	1,172,126,168
Defined Contribution Plan - EPF/ETF	136,626,110	123,130,380
Defined Benefit Plan - Gratuity (Note 34)	41,861,420	33,662,105
Other Staff Related Expenses	1,092,169,547	945,575,007
Total	2,641,497,812	2,274,493,660

13. OTHER OPERATING EXPENSES

	2025 Rs.	2024 Rs.
Directors' Emoluments	41,042,480	32,777,987
Auditors' Remuneration		
- Audit Fee	5,510,000	5,005,000
- Non Audit Services	6,000,000	3,949,228
Professional Fees	86,341,163	83,540,211
Office Administration and Establishment Expenses	1,097,917,211	1,233,369,816
Advertising and Promotion	104,745,975	85,717,141
Deposit Insurance Premium	166,554,098	143,652,132
System Support Fee	287,078,573	277,880,122
Others	303,544,079	146,787,988
Total	2,098,733,579	2,012,679,625

14. TAX EXPENSE

	2025 Rs.	2024 Rs.
Current Tax:		
Tax Expense (Note 14.1)	1,375,551,750	1,028,363,105
Under/(Over) Provision in respect of Previous Year	(1,595,192)	12,863,975
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 29)	236,221,825	(29,049,488)
Tax Expense	1,610,178,383	1,012,177,592

14.1. Reconciliation of Accounting Profit to Tax Expense

	2025 Rs.	2024 Rs.
Accounting Profit before Income Tax	4,091,159,873	2,786,843,324
Statutory Tax Rate	15% and 30%	30%
At the Statutory Income Tax Rate		
- 15%	28,532,525	-
- 30%	1,227,347,962	836,052,997
Income Exempt from Tax	(58,457,981)	(91,777,041)
Non Deductible Expenses	327,196,453	266,079,762
Deductible Expenses	87,154,616	(11,042,101)
Under/(Over) Provision in respect of Previous Year	(1,595,192)	12,863,975
Tax Expense	1,610,178,383	1,012,177,592

The Effective Income Tax rate for 2025 is 39% (2024 - 36%).

Income earned from foreign source will be subject to a 15% income tax, effective from 1 April 2025.

15. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the Net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and data on ordinary shares used in the Earnings Per Share computation.

	2025 Rs.	2024 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	2,480,981,490	1,774,665,732
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares for Basic Earnings Per Share (Note 15.1)	551,125,746	551,125,746
Weighted Average Number of Ordinary Shares for Diluted Earnings Per Share (Note 15.2)	551,125,746	551,125,746
Earnings Per Share - Basic	4.50	3.22
Earnings Per Share - Diluted	4.50	3.22

15.1. Weighted Average Number of Ordinary Shares for Basic Earnings per Share

	Outstanding No. of Shares		Weighted average No. of Shares	
	2025 Rs.	2024 Rs.	2025 Rs.	2024 Rs.
Number of Shares in Issue as at 1 January	551,125,746	5,511,257,461	551,125,746	5,511,257,461
Add				
Employee Share Option Scheme	-	-	-	-
Share Consolidation	-	(4,960,131,715)	-	(4,960,131,715)
Weighted Average Number of Ordinary Shares for Basic Earnings per Ordinary Share Calculation	551,125,746	551,125,746	551,125,746	551,125,746

15.2 Weighted Average Number of Ordinary Shares for Diluted Earnings per Share

	Outstanding No. of Shares		Weighted average No. of Shares	
	2025 Rs.	2024 Rs.	2025 Rs.	2024 Rs.
Number of Shares in Issue as at 1 January	551,125,746	5,511,257,461	5,511,257,461	5,511,257,461
Add				
Employee Share Option Scheme	-	-	-	-
Share Consolidation	-	(4,960,131,715)	(4,960,131,715)	(4,960,131,715)
Weighted Average Number of Ordinary Shares for Diluted Earnings per Ordinary Share Calculation	551,125,746	551,125,746	551,125,746	551,125,746

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS**16.1 Analysis of financial instruments by measurement - as at 31 December 2025**

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and Cash Equivalents	-	14,955,182,291	-	14,955,182,291
Balance with Central Bank of Sri Lanka	-	7,733,586,302	-	7,733,586,302
Placements with Banks	-	22,989,870,929	-	22,989,870,929
Placements with Licensed Finance Companies	-	86,418	-	86,418
Derivative Financial Assets	21,672,371	-	-	21,672,371
Financial Assets recognised through Profit or Loss - Measured at Fair Value	38,962,765	-	-	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	150,952,391,078	-	150,952,391,078
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	924,252,662	924,252,662
Other Assets - Financial	-	1,660,487,145	-	1,660,487,145
Total Financial Assets	60,635,136	198,291,604,163	924,252,662	199,276,491,961
Financial Liabilities				
Due to Banks	-	1,881,170,733	-	1,881,170,733
Derivative Financial Liabilities	478,985	-	-	478,985
Financial Liabilities at Amortised Cost - Due to Depositors	-	172,073,722,517	-	172,073,722,517
Other Liabilities - Financial	-	3,697,750,406	-	3,697,750,406
Total Financial Liabilities	478,985	177,652,643,656	-	177,653,122,641

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS (CONTD.)**16.2. Analysis of financial instruments by measurement - as at 31 December 2024**

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and Cash Equivalents	-	17,070,764,566	-	17,070,764,566
Balance with Central Bank of Sri Lanka	-	7,078,039,326	-	7,078,039,326
Placements with Banks	-	38,311,689,750	-	38,311,689,750
Placements with Licensed Finance Companies	-	507,640,396	-	507,640,396
Derivative Financial Assets	177,460,850	-	-	177,460,850
Financial Assets recognised through Profit or Loss - Measured at Fair Value	70,216,929	-	-	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	111,301,849,020	-	111,301,849,020
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	348,710,504	348,710,504
Other Assets - Financial	-	2,829,580,181	-	2,829,580,181
Total Financial Assets	247,677,779	177,099,563,239	348,710,504	177,695,951,522
Financial Liabilities				
Due to Banks	-	18,949,309	-	18,949,309
Derivative Financial Liabilities	22,856,743	-	-	22,856,743
Financial Liabilities at Amortised Cost - Due to Depositors	-	154,405,710,056	-	154,405,710,056
Other Liabilities - Financial	-	4,099,974,790	-	4,099,974,790
Total Financial Liabilities	22,856,743	158,524,634,155	-	158,547,490,898

17. CASH AND CASH EQUIVALENTS

	Note	2025 Rs.	2024 Rs.
Cash in Hand		11,396,347,612	11,257,036,865
Balances with Banks		3,561,058,340	5,820,536,358
Cash and Cash Equivalents before Allowance for Impairment		14,957,405,952	17,077,573,223
Less: Allowance for Impairment			
- Stage 1	17.1	(2,223,661)	(6,808,657)
Total		14,955,182,291	17,070,764,566

17.1. Impairment Allowance for Balances with Banks

	2025 Rs.	2024 Rs.
ECL allowance as at 1 January	6,808,657	6,904,002
Charge/(Reversal) for the year	(4,584,996)	(95,345)
Amounts Written Off	-	-
As at 31 December	2,223,661	6,808,657

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2025 Rs.	2024 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	7,733,586,302	7,078,039,326
	7,733,586,302	7,078,039,326

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2025, the minimum cash reserve requirement was 2.0% (2024 - 2.0%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

19. PLACEMENTS WITH BANKS

	Note	2025 Rs.	2024 Rs.
Saving Deposits		179,870	176,443
Term Deposits		22,997,548,093	38,324,099,914
Less: Allowance for Impairment			
- Stage 1	19.1	(7,857,034)	(12,586,607)
Total		22,989,870,929	38,311,689,750

19.1. Impairment Allowance for Placements with Banks

	2025 Rs.	2024 Rs.
ECL allowance as at 1 January	12,586,607	16,118,091
Charge/(Reversal) for the year	(4,729,573)	(3,531,484)
Amounts Written Off	-	-
As at 31 December	7,857,034	12,586,607

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

	Note	2025 Rs.	2024 Rs.
Saving Deposits		86,704	83,920
Term Deposits		-	508,876,712
Less: Allowance for Impairment			
- Stage 1	20.1	(286)	(1,320,236)
Total		86,418	507,640,396

20.1. Impairment Allowance for Licensed Finance Companies

	2025 Rs.	2024 Rs.
ECL allowance as at 1 January	1,320,236	213
Charge/(Reversal) for the year	(1,463,219)	1,306,860
Transfer	143,269	13,163
As at 31 December	286	1,320,236

21. DERIVATIVE FINANCIAL ASSETS

	2025 Rs.	2024 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	21,672,371	177,460,850
Total	21,672,371	177,460,850

Notional amount is Rs. 5,155,633,860 (2024 - Rs. 6,841,889,880). This represent the volume of transactions outstanding at the year end.

22. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

	2025 Rs.	2024 Rs.
Investment in Equity Securities - Quoted (22.1)	38,962,765	70,216,929
	38,962,765	70,216,929

22.1. Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value	Carrying Value
	2025 Rs.	2024 Rs.	2025 Rs.	2024 Rs.
Chevron Lubricants Lanka PLC	-	104,785	-	16,765,600
Haycarb PLC	-	52,200	-	4,452,660
Hemas Holdings PLC	-	135,000	-	13,938,750
Maskeliya Plantaions PLC	84,500	-	6,852,950	-
Sunshine Holdings PLC	-	100,000	-	10,000,000
Textured Jersey Lanka	920,052	210,000	32,109,815	11,004,000
Tokyo Cement Company PLC	-	50,000	-	3,500,000
Tokyo Cement Company PLC Non Voting	-	173,332	-	10,555,919
Total Carrying Value			38,962,765	70,216,929

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

	2025 Rs.	2024 Rs.
Gross Financing and Receivables to Other Customers		
Stage 1	133,836,203,131	99,940,667,580
Stage 2	18,071,304,961	13,568,187,985
Stage 3	4,612,385,593	4,013,050,176
	156,519,893,685	117,521,905,741
Less: Allowance for Impairment		
Stage 1	(1,066,056,313)	(1,560,405,864)
Stage 2	(1,903,957,272)	(2,233,036,660)
Stage 3	(2,597,489,022)	(2,426,614,197)
Total	150,952,391,078	111,301,849,020

23.1. By Product

	2025 Rs.	2024 Rs.
Overdraft	17,562,548,950	14,048,845,664
Trade Finance	11,666,268,615	4,370,772,862
Lease Receivables	15,609,940,705	9,126,641,872
Staff Facilities	1,830,448,908	1,170,617,625
Term Financing:		
- Short Term	49,346,152,288	43,396,923,481
- Long Term	45,477,825,452	33,514,600,952
Gold Facilities	14,769,621,001	11,683,154,408
Others	257,087,766	210,348,877
Total	156,519,893,685	117,521,905,741

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS (CONTD.)**23.2. By Currency**

	2025 Rs.	2024 Rs.
Sri Lanka Rupees	148,257,726,937	108,807,843,491
United States Dollars	8,262,166,748	8,714,062,250
Total	156,519,893,685	117,521,905,741

23.3. By Industry

	2025 Rs.	2024 Rs.
Agriculture, Forestry and Fishing	15,346,778,580	13,405,177,203
Construction	9,565,080,594	6,607,986,416
Consumption	39,991,546,771	29,726,007,986
Financial Services	61,390,004	1,513,342
Information Technology and Communication Services	474,579,922	666,464,627
Infrastructure Development	2,391,324,363	885,371,457
Manufacturing	19,332,316,049	15,054,588,866
Tourism	5,116,414,421	3,414,196,775
Transportation and Storage	1,305,390,979	1,029,420,439
Wholesale and Retail Trade	59,694,116,351	44,207,978,212
Other Services	3,240,955,651	2,523,200,418
Total	156,519,893,685	117,521,905,741

23.4. Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2025 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
As at 1 January 2025	1,560,405,864	2,233,036,660	2,426,614,197	6,220,056,721
Charge/(Reversal) for the year	(494,349,555)	(329,079,388)	170,874,825	(652,554,118)
Amounts Written Off	-	-	-	-
As at 31 December 2025	1,066,056,309	1,903,957,272	2,597,489,022	5,567,502,603

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2024 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
As at 1 January 2024	1,131,909,906	2,675,414,044	2,121,819,555	5,929,143,505
Charge/(Reversal) for the year	428,495,958	(442,377,384)	304,794,642	290,913,216
Amounts Written Off	-	-	-	-
As at 31 December 2024	1,560,405,864	2,233,036,660	2,426,614,197	6,220,056,721

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model is to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9). Capital is the fair value of the instrument at initial recognition.

Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

The above provisions further reflected the impact of climate-related pressures caused by Cyclone Ditwah mainly heightened credit risk, deterioration in collateral quality and increased risk stemming from specific customers that were affected including deferment of expected cash flows.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial Assets held under the category of Fair Value through Other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss under 'Net Other Operating Income' when the right to receive the dividend is established.

	2025 Rs.	2024 Rs.
Investments in Securities		
Equities - Quoted (24.1)	921,259,662	345,717,504
Equities - Unquoted (24.2)	2,993,000	2,993,000
	924,252,662	348,710,504

24.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Fair Value 2025 Rs.	Fair Value 2024 Rs.
	2025 Rs.	2024 Rs.		
Amāna Takaful PLC	36,998,380	27,009,180	921,259,662	345,717,504
Total			921,259,662	345,717,504

Increase in no.of shares mainly due to Bank exercising its option to convert Debentures in to Ordinary Shares.

24.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value 2025 Rs.	Carrying Value 2024 Rs.
	2025 Rs.	2024 Rs.		
LankaClear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

25. OTHER ASSETS - FINANCIAL

	2025 Rs.	2024 Rs.
Refundable Deposits and Other Debtors	986,354,621	2,345,129,264
Prepaid Staff Costs	626,236,674	405,217,698
Other Receivables	47,895,850	79,233,219
Total	1,660,487,145	2,829,580,181

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Freehold Land and Building	Improvements to Leasehold Premises	Furniture and Fittings	Office Equipment	Computer Equipment	Motor Vehicles	Computer Servers	Right-of-Use Assets	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost or Valuation:									
As at 1 January 2024	1,788,991,889	241,794,928	253,893,958	493,026,966	465,665,363	24,304,072	233,588,772	1,435,669,799	4,936,935,747
Additions	-	18,028,610	19,930,571	25,131,912	78,632,958	1,698,000	115,731,443	190,380,579	449,534,073
Revaluation	-	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	(99,495)	-	-	-	-	(99,495)
As at 31									
December 2024	1,788,991,889	259,823,538	273,824,529	518,059,383	544,298,321	26,002,072	349,320,215	1,626,050,378	5,386,370,325
Additions	3,470,397	94,479,144	15,894,159	48,615,681	88,086,721	836,900	3,979,082	450,399,908	705,761,992
Revaluation	-	-	-	-	-	-	-	-	-
Disposals	-	-	-	-	-	-	-	-	-
As at 31									
December 2025	1,792,462,286	354,302,682	289,718,688	566,675,064	632,385,042	26,838,972	353,299,297	2,076,450,286	6,092,132,317
Depreciation									
As at 1 January 2024	15,448,152	179,097,689	234,484,508	455,418,322	388,295,632	13,307,505	203,868,651	671,619,096	2,161,539,555
Disposals	-	-	-	(99,495)	-	-	-	-	(99,495)
Depreciation Charge for the Year	2,746,842	29,428,120	9,303,500	16,548,104	40,591,869	7,775,451	19,344,546	131,165,232	256,903,664
As at 31									
December 2024	18,194,994	208,525,809	243,788,008	471,866,931	428,887,501	21,082,956	223,213,197	802,784,328	2,418,343,724
Disposals	-	-	-	-	-	-	-	-	-
Depreciation Charge for the Year	3,907,586	21,688,843	10,356,652	21,452,787	38,805,721	4,259,574	31,936,921	263,277,415	395,685,499
Transfer	-	-	-	-	-	-	-	-	-
As at 31									
December 2025	22,102,580	230,214,652	254,144,660	493,319,718	467,693,222	25,342,530	255,150,118	1,066,061,743	2,814,029,223
Net Book Value:									
As at 31									
December 2025	1,770,359,706	124,088,030	35,574,028	73,355,346	164,691,820	1,496,442	98,149,179	1,010,388,543	3,278,103,094
As at 31									
December 2024	1,770,796,895	51,297,729	30,036,521	46,192,452	115,410,820	4,919,116	126,107,018	823,266,050	2,968,026,601

- 26.1. During the year, the Bank acquired Property, Plant and Equipment to the aggregate value of Rs. 705,761,992/- (2024 - Rs. 449,534,073/-). Cash payments amounting to Rs. 276,213,423/- (2024 - Rs. 257,710,731/-) were made during the year for purchase of Property, Plant and Equipment.
- 26.2. Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs. 1,870,175,561/- (2024 - Rs. 1,693,161,844/-) which are still in use at the date of the Statement of Financial Position.
- 26.3. There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.
- 26.4. No assets have been pledged by the Bank.
- 26.5. The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 31 December 2021 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The Bank reviewed the fair value of its Freehold Land and Buildings as at 31 December 2025 which were previously revalued as at 31 December 2021, to ascertain whether there is any significant change in fair value as of the reporting date and concluded that there is no significant deviation in fair value as at the reporting date.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consists of a land comprising three office buildings located in 486, Galle Road, Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation Methods, Assumptions and Measurement Hierarchy

Fair value of the land and building is determined at Rs. 1,769,100,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building.

Key Valuation Assumptions used are:

Significant Unobservable Valuation Input:

- Land : Price per perch Rs. 23,500,000
- Building : Price per square foot Rs. 3,650 - Rs. 5,000

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of Fair Value of Revalued Land and Buildings:

	2025 Rs.	2024 Rs.
As at 1 January	1,769,100,000	1,769,100,000
Level 3 Revaluation Recognised due to Revaluation Model	-	-
As at 31 December	1,769,100,000	1,769,100,000

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS (CONTD.)

If Freehold Land and Buildings were Measured Using the Cost Model, the Carrying Amounts Would be as Follows:

	2025			2024		
	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	80,194,105	(23,013,522)	57,180,583	80,194,105	(21,008,669)	59,185,436
Net Carrying Amount	380,493,807	(23,013,522)	357,480,285	380,493,807	(21,008,669)	359,485,138

26.6. The Details of the Land and Building Owned by the Bank are as follows;

	Extent		2025 Valuation		2024 Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road, Colombo 3	70.80	22,718	1,663,800,000	105,300,000	1,663,800,000	105,300,000

26.7. Cash payments amounting to Rs.361,429,457/- (2024 - Rs.97,927,956/-) was paid relating to lease liabilities recognised under SLFRS 16 - Leases

27. INTANGIBLE ASSETS

	2025 Rs.	2024 Rs.
Computer Software		
Cost:		
As at 1 January	957,320,657	934,130,444
Additions	223,248,744	23,190,213
Disposals	-	-
As at 31 December	1,180,569,401	957,320,657
Amortisation		
As at 1 January	619,758,049	554,821,254
Amortisation Charge for the Year	75,683,904	64,936,795
Disposals	-	-
As at 31 December	695,441,953	619,758,049
Net Book Value:		
As at 31 December	485,127,448	337,562,608

28. OTHER ASSETS - NON FINANCIAL

	2025 Rs.	2024 Rs.
Stationery Stock	6,567,710	9,033,853
Prepayments and Advances	614,343,790	402,501,195
Tax Receivables	32,770,451	99,415,287
Total	653,681,951	510,950,335

29. DEFERRED TAX ASSETS

	2025			2024		
	Deferred Tax Liability / (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.	Deferred Tax Liability / (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.
Deferred Tax Liability						
Capital Allowances for Tax purposes	67,374,818	4,619,757	-	62,755,060	(5,670,166)	-
Revaluation on Land and Building	396,097,938	-	-	396,097,938	-	-
Right-of-Use Assets	(37,740,077)	(1,246,095)	-	(36,493,982)	(13,615,329)	-
Deferred Tax Assets						
Defined Benefit Plans	(89,573,962)	(8,526,478)	(25,028,241)	(56,019,243)	(6,056,807)	(10,837,626)
Share based payments - ESOP	(25,545,914)	(1,990,562)	-	(23,555,351)	(8,261,708)	-
Provision for Impairment Losses	(923,736,067)	243,365,203	-	(1,167,101,270)	4,554,522	-
Total	(613,123,264)	236,221,825	(25,028,241)	(824,316,848)	(29,049,488)	(10,837,626)

30. DUE TO BANKS

	2025 Rs.	2024 Rs.
Vostro Balances	3,358,045	12,088,075
Balance Due to Central Bank of Sri Lanka (Saubagya Renaissance Facility)	6,861,234	6,861,234
Balances Due to Banks	1,870,951,454	-
Total	1,881,170,733	18,949,309

31. DERIVATIVE FINANCIAL LIABILITIES

	2025 Rs.	2024 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	478,985	22,856,743
Total	478,985	22,856,743

Notional amount is Rs. 254,026,436/- (2024 - Rs. 7,340,928,945/-). This represent the volume of transactions outstanding at the year end.

32. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

	2025 Rs.	2024 Rs.
Due to Depositors	172,073,722,517	154,405,710,056

32.1 By Product

	2025 Rs.	2024 Rs.
Demand Deposits	13,982,650,549	12,313,016,849
Savings Deposits	63,415,549,253	55,633,049,228
Time Deposits	94,675,522,715	86,459,643,979
Total	172,073,722,517	154,405,710,056

32.2 By Currency

	2025 Rs.	2024 Rs.
Sri Lanka Rupees	144,027,059,992	126,693,347,428
United States Dollars	27,526,690,664	27,263,753,941
Great Britain Pounds	323,694,366	272,266,698
Others	196,277,495	176,341,989
Total	172,073,722,517	154,405,710,056

33. OTHER LIABILITIES - FINANCIAL

	2025 Rs.	2024 Rs.
Accrued Expenses	1,198,348,472	1,152,988,376
Balances Held in Margin	814,682,668	202,431,703
Cheques Pending Realisation	152,376,080	191,579,041
Impairment Provision for ECL - Credit related Commitment and Contingencies (Note 45)	73,450,672	89,143,722
Other Liabilities	362,363,223	1,577,340,590
Lease Liability (Note 33.1)	1,087,836,200	878,270,605
Sundry Creditors	8,693,091	8,220,753
Total	3,697,750,406	4,099,974,790

33.1. Lease Liability

	2025 Rs.	2024 Rs.
Opening Balance	878,270,605	794,333,929
Finance Charge	102,305,692	12,147,154
Other Movement*	107,259,903	71,789,522
Total	1,087,836,200	878,270,605

* includes new leases and changes made to existing leases.

33.2. Maturity Analysis of Lease Liability

	2025 Rs.	2024 Rs.
Less than 1 year	141,788,013	108,698,899
Between 1 and 5 years	695,455,461	425,097,161
More than 5 years	250,592,726	344,474,545
Total Expected Payments	1,087,836,200	878,270,605

34. RETIREMENT BENEFIT LIABILITY

	Note	2025 Rs.	2024 Rs.
At 1 January		186,730,809	130,416,033
Expenses Recognised in the Statement of Profit or Loss	34.1	41,861,420	33,662,105
Actuarial Gain	34.2	83,427,470	36,125,421
Benefits Paid		(13,439,825)	(13,472,750)
At 31 December		298,579,874	186,730,809

34.1. Expenses Recognised in the Statement of Profit or Loss

	2025 Rs.	2024 Rs.
Current Service Cost	20,041,473	15,795,109
Finance Cost	21,819,947	17,866,996
Components Recognised in the Statement of Profit or Loss	41,861,420	33,662,105

34.2. Expenses Recognised in the Statement of Comprehensive Income

	2025 Rs.	2024 Rs.
Opening Balance Adjustment	-	-
Recognition of Actuarial (Gain)/Loss	83,427,470	36,125,421

34. RETIREMENT BENEFIT LIABILITY (CONTD.)**34.2. Expenses Recognised in the Statement of Comprehensive Income (Contd.)**

Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

Discount Rate	10.40%	11.20%
Salary Increment Rate	8.00%	5.50%
Age of Retirement	60	60
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Employment Benefit Liability measurement.

The sensitivity of the Statement of Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (decrease) in Discount Rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn)		Sensitivity Effect on Employment Benefit obligation Increase/ (Decrease) in the Liability (Rs. Mn)	
		2025	2024	2025	2024
1%	-	20.50	12.80	(20.50)	(12.80)
(1%)	-	(23.75)	(14.70)	23.75	14.70
	1%	(23.46)	(17.90)	23.46	17.90
	(1%)	20.61	15.80	(20.61)	(15.80)

34.3. Distribution of Defined Benefit Obligation Over Future Lifetime

	2025 Rs.	2024 Rs.
Less than 1 year	72,890,926	31,394,129
Between 1 and 2 years	50,486,991	35,686,293
Between 3 and 5 years	54,878,955	52,213,524
Beyond 5 years	264,132,371	141,544,821
Total Expected Payments	442,389,243	260,838,767

35. OTHER LIABILITIES - NON FINANCIAL

	2025 Rs.	2024 Rs.
Statutory Payable	331,012,723	187,790,136
Total	331,012,723	187,790,136

The above balances consists of statutory taxes payable.

36. STATED CAPITAL

During the previous year, the shareholders unanimously resolved to reduce the existing number of shares by the consolidation of every existing Ten (10) shares in to One (1) share, without a change to the Stated Capital of the Bank whilst leaving unaffected the relative voting and distribution rights.

	2025		2024	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	551,125,746	17,633,461,196	551,125,746	17,633,461,196

36.1 Fully Paid Ordinary Shares

	2025		2024	
	Number	Rs.	Number	Rs.
Balance as at 1 January	551,125,746	17,633,461,196	5,511,257,461	17,633,461,196
Scrip shares	-	-	-	-
Rights Issue shares	-	-	-	-
Share Consolidation	-	-	(4,960,131,715)	-
Balance as at 31 December	551,125,746	17,633,461,196	551,125,746	17,633,461,196

37. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

	2025 Rs.	2024 Rs.
Statutory Reserve Fund		
Balance as at 1 January	355,174,057	266,440,770
Transfers during the Year	124,049,075	88,733,287
Balance as at 31 December	479,223,132	355,174,057

38. FAIR VALUE RESERVE

	2025 Rs.	2024 Rs.
As at 1 January	101,599,044	71,888,946
Change in Fair Value of Financial Assets - Fair Value through Other Comprehensive Income	530,498,136	29,710,098
As at 31 December	632,097,180	101,599,044

39. REVALUATION RESERVE

	2025 Rs.	2024 Rs.
As at 1 January	1,006,064,886	1,007,189,831
Transferred to Retained Earnings	(1,124,945)	(1,124,945)
As at 31 December	1,004,939,941	1,006,064,886

40. RETAINED EARNINGS

	2025 Rs.	2024 Rs.
As at 1 January	3,667,043,373	2,666,624,673
Profit for the Year	2,480,981,490	1,774,665,732
Transfers to Statutory Reserve Fund	(124,049,075)	(88,733,287)
Transfer from Other Comprehensive Income	(58,399,229)	(25,287,795)
Transfer from Revaluation Reserve	1,124,945	1,124,945
Dividends	(716,463,470)	(661,350,895)
	5,250,238,034	3,667,043,373

41. NET ASSETS VALUE PER SHARE

	2025 Rs.	2024 Rs.
Amount used as the Numerator:		
Total Equity Attributable to Equity Holders of the Bank	25,085,112,529	22,841,860,394
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	551,125,746	551,125,746
Net Assets Value Per Share	45.52	41.45

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivative financial instruments and off-balance sheet instruments. Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

42.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- ◆ Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- ◆ Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ◆ Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments with significant unobservable components.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2025	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	21,672,371	-	21,672,371
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	38,962,765	-	-	38,962,765
Financial Assets Measured at Fair Value through Other Comprehensive Income	921,259,662	-	2,993,000	924,252,662
	960,222,427	21,672,371	2,993,000	984,887,798
Financial Liabilities				
Derivative Financial Liabilities	-	478,985	-	478,985
	-	478,985	-	478,985

42.1 Financial Instruments carried at Fair Value

As at 31 December 2024	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	177,460,850	-	177,460,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	70,216,929	-	-	70,216,929
Financial Assets Measured at Fair Value through Other Comprehensive Income	345,717,504	-	2,993,000	348,710,504
	415,934,433	177,460,850	2,993,000	596,388,283
Financial Liabilities				
Derivative Financial Liabilities	-	22,856,743	-	22,856,743
	-	22,856,743	-	22,856,743

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (CONTD.)**42.2. Financial Instruments not carried at Fair Value**

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

As at 31 December 2025	Carrying Value Rs.	Fair Value			Total Rs.
		Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Cash and Cash Equivalents	14,955,182,291	-	14,955,182,291	-	14,955,182,291
Balance with Central Bank of Sri Lanka	7,733,586,302	-	7,733,586,302	-	7,733,586,302
Placements with Banks	22,989,870,929	-	22,997,727,963	-	22,997,727,963
Placements with Licensed Finance Companies	86,418	-	86,704	-	86,704
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	150,952,391,078	-	141,632,024,023	-	141,632,024,023
Other Assets - Financial	1,660,487,145	-	1,660,487,145	-	1,660,487,145
	198,291,604,163	-	188,979,094,428	-	188,979,094,428
Financial Liabilities					
Due to Banks	1,881,170,733	-	1,881,170,733	-	1,881,170,733
Financial Liabilities at Amortised Cost - Due to Depositors	172,073,722,517	-	172,073,722,517	-	172,073,722,517
Other Liabilities - Financial	3,697,750,406	-	3,697,750,406	-	3,697,750,406
	177,652,643,656	-	177,652,643,656	-	177,652,643,656

As at 31 December 2024	Carrying Value Rs.	Fair Value			Total Rs.
		Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Cash and Cash Equivalents	17,070,764,566	-	17,070,764,566	-	17,070,764,566
Balance with Central Bank of Sri Lanka	7,078,039,326	-	7,078,039,326	-	7,078,039,326
Placements with Banks	38,311,689,750	-	38,324,276,357	-	38,324,276,357
Placements with Licensed Finance Companies	507,640,396	-	508,960,632	-	508,960,632
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	111,301,849,020	-	100,640,221,518	-	100,640,221,518
Other Assets - Financial	2,829,580,181	-	2,829,580,181	-	2,829,580,181
	177,099,563,239	-	166,451,842,580	-	166,451,842,580
Financial Liabilities					
Due to Banks	18,949,309	-	18,949,309	-	18,949,309
Financial Liabilities at Amortised Cost - Due to Depositors	154,405,710,056	-	154,405,710,056	-	154,405,710,056
Other Liabilities - Financial	4,099,974,790	-	4,099,974,790	-	4,099,974,790
	158,524,634,155	-	158,524,634,155	-	158,524,634,155

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with short term maturities, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 2).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of deposits are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the assets invested.

43. RISK MANAGEMENT

43.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

Refer report on Risk Management in the Annual Report, for additional information on each type of risk that the Bank is exposed to in providing banking and related activities.

Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Division (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee

The Board Integrated Risk Management Committee (BIRMC), is a subcommittee of the Board, meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner.

Assets and Liabilities Committee

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

43.2 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment Assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.2.c)

b) Credit related Commitment Risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amounts under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

43. RISK MANAGEMENT (CONTD.)**43.2 Credit Risk (Contd.)****c) Collateral and Other Credit Enhancement**

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment. The Bank did not observe any significant deterioration in the quality of the collaterals and other credit enhancements during the reporting period. Further, the Bank has recognised ECL for all financial assets classified at amortised cost.

d) Credit Quality by Class of Financial Assets

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Financial Assets as at 31 December 2025	Current/Past Due (Stage 1 and Stage 2)				Stage 3*	Total
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated		
	Rs.	Rs.	Rs.	Rs.	Rs.	
Cash and Cash Equivalents	14,955,182,291	-	-	-	-	14,955,182,291
Balance with Central Bank of Sri Lanka	7,733,586,302	-	-	-	-	7,733,586,302
Placements with Banks	22,989,870,929	-	-	-	-	22,989,870,929
Placements with Licensed Finance Companies	86,418	-	-	-	-	86,418
Derivative Financial Assets	21,672,371	-	-	-	-	21,672,371
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	38,962,765	-	-	-	-	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	133,836,203,131	18,071,304,961	-	-	4,612,385,593	156,519,893,685
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	921,259,662	-	2,993,000	-	924,252,662
Other Assets - Financial	-	-	-	1,660,487,145	-	1,660,487,145
Total	179,575,564,207	18,992,564,623	-	1,663,480,145	4,612,385,593	204,843,994,568

Financial Assets as at 31 December 2024	Current/Past Due (Stage 1 and Stage 2)				Stage 3*	Total
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated		
	Rs.	Rs.	Rs.	Rs.	Rs.	
Cash and Cash Equivalents	17,070,764,566	-	-	-	-	17,070,764,566
Balance with Central Bank of Sri Lanka	7,078,039,326	-	-	-	-	7,078,039,326
Placements with Banks	38,311,689,750	-	-	-	-	38,311,689,750
Placements with Licensed Finance Companies	507,640,396	-	-	-	-	507,640,396
Derivative Financial Assets	177,460,850	-	-	-	-	177,460,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	70,216,929	-	-	-	-	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	100,403,011,434	13,105,844,131	-	-	4,013,050,176	117,521,905,741
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	345,717,504	-	2,993,000	-	348,710,504
Other Assets - Financial	-	-	-	2,829,580,181	-	2,829,580,181
Total	163,618,823,251	13,451,561,635	-	2,832,573,181	4,013,050,176	183,916,008,243

* Age Analysis of Financing and Receivables to Other Customers - Stage 3

	Stage 3*				Total
	Up to 30 days Rs.	31 to 60 days Rs.	61 to 90 days Rs.	More than 90 days Rs.	
Financing and Receivables to Other Customers - 31 December 2025	2,345,012,618	38,906,395	43,665,229	2,184,801,351	4,612,385,593
Financing and Receivables to Other Customers - 31 December 2024	2,118,577,928	33,220,673	27,997,238	1,833,254,337	4,013,050,176

43. RISK MANAGEMENT (CONTD.)**43.2 Credit Risk (Contd.)****e) Analysis of Risk Concentration**

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2025	Government	Financial Services	Agriculture, Forestry and Fishing	Manufacturing	
	Rs.	Rs.	Rs.	Rs.	
Cash and Cash Equivalents	-	14,955,182,291	-	-	
Balance with Central Bank of Sri Lanka	7,733,586,302	-	-	-	
Placements with Banks	-	22,989,870,929	-	-	
Placements with Licensed Finance Companies	-	86,418	-	-	
Derivative Financial Assets	-	21,672,371	-	-	
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	6,852,950	32,109,815	
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	-	5,116,414,421	15,346,778,580	9,565,080,594	
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	924,252,662	-	-	
Other Assets - Financial	27,740,196	904,777,760	-	-	
Total	7,761,326,498	44,912,256,852	15,353,631,530	9,597,190,409	

Financial Assets as at 31 December 2024	Government	Financial Services	Agriculture, Forestry and Fishing	Manufacturing	
	Rs.	Rs.	Rs.	Rs.	
Cash and Cash Equivalents	-	17,070,764,566	-	-	
Balance with Central Bank of Sri Lanka	7,078,039,326	-	-	-	
Placements with Banks	-	38,311,689,750	-	-	
Placements with Licensed Finance Companies	-	507,640,396	-	-	
Derivative Financial Assets	-	177,460,850	-	-	
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	46,278,179	
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	-	3,414,196,775	13,405,177,203	6,607,986,416	
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	348,710,504	-	-	
Other Assets - Financial	1,341,797,928	1,001,715,144	-	-	
Total	8,419,837,254	60,832,177,985	13,405,177,203	6,654,264,595	

	Tourism	Transportation and Storage	Construction	Wholesale and Retail Trade	Information Technology and Communication Services	Infrastructure Development	Other Services	Consumption	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	-	-	-	-	-	-	-	-	14,955,182,291
	-	-	-	-	-	-	-	-	7,733,586,302
	-	-	-	-	-	-	-	-	22,989,870,929
	-	-	-	-	-	-	-	-	86,418
	-	-	-	-	-	-	-	-	21,672,371
	-	-	-	-	-	-	-	-	38,962,765
	39,991,546,771	61,390,004	474,579,922	2,391,324,363	19,332,316,049	1,305,390,979	3,240,955,651	59,694,116,351	156,519,893,685
	-	-	-	-	-	-	-	-	924,252,662
	-	-	-	-	-	-	-	727,969,189	1,660,487,145
	39,991,546,771	61,390,004	474,579,922	2,391,324,363	19,332,316,049	1,305,390,979	3,240,955,651	60,422,085,540	204,843,994,568

	Tourism	Transportation and Storage	Construction	Wholesale and Retail Trade	Information Technology and Communication Services	Infrastructure Development	Other Services	Consumption	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	-	-	-	-	-	-	-	-	17,070,764,566
	-	-	-	-	-	-	-	-	7,078,039,326
	-	-	-	-	-	-	-	-	38,311,689,750
	-	-	-	-	-	-	-	-	507,640,396
	-	-	-	-	-	-	-	-	177,460,850
	-	-	-	23,938,750	-	-	-	-	70,216,929
	29,726,007,986	1,513,342	666,464,627	885,371,457	15,054,588,866	1,029,420,439	2,523,200,418	44,207,978,212	117,521,905,741
	-	-	-	-	-	-	-	-	348,710,504
	-	-	-	-	-	-	-	486,067,109	2,829,580,181
	29,726,007,986	1,513,342	666,464,627	909,310,207	15,054,588,866	1,029,420,439	2,523,200,418	44,694,045,321	183,916,008,243

43. RISK MANAGEMENT (CONTD.)**43.2 Credit Risk (Contd.)****f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements**

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by collateral.

Financial Assets as at 31 December 2025	Maximum Exposure to Credit Risk	Fixed, Savings and Other deposits	Stocks in Trade	Immovable Property, Plant and Equipments	Motor Vehicles	Gold	Shares & Other	Net Exposure
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balances with Banks	3,561,058,340	-	-	-	-	-	-	3,561,058,340
Placements with Banks	22,989,870,929	-	-	-	-	-	-	22,989,870,929
Placements with Licensed Finance Companies	86,418	-	-	-	-	-	-	86,418
Derivative Financial Assets	21,672,371	-	-	-	-	-	-	21,672,371
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	38,962,765	-	-	-	-	-	-	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	150,952,391,078	1,636,353,517	1,732,541,370	68,853,710,552	16,787,376,790	14,864,396,860	2,077,181,075	45,000,830,914
Financial Assets Measured at Fair Value through Other Comprehensive Income	924,252,662	-	-	-	-	-	-	924,252,662
Other Assets - Financial	1,660,487,145	-	-	-	-	-	-	1,660,487,145
Total	180,148,781,708	1,636,353,517	1,732,541,370	68,853,710,552	16,787,376,790	14,864,396,860	2,077,181,075	74,197,221,544

Financial Assets as at 31 December 2024	Maximum Exposure to Credit Risk	Fixed, Savings and Other deposits	Stocks in Trade	Immovable Property, Plant and Equipments	Motor Vehicles	Gold	Shares & Other	Net Exposure
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balances with Banks	5,820,536,358	-	-	-	-	-	-	5,820,536,358
Placements with Banks	38,311,689,750	-	-	-	-	-	-	38,311,689,750
Placements with Licensed Finance Companies	507,640,396	-	-	-	-	-	-	507,640,396
Derivative Financial Assets	177,460,850	-	-	-	-	-	-	177,460,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	70,216,929	-	-	-	-	-	-	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	111,301,849,020	958,330,670	783,779,649	49,987,810,421	10,004,508,447	11,683,154,408	1,841,327,106	36,042,938,319
Financial Assets Measured at Fair Value through Other Comprehensive Income	348,710,504	-	-	-	-	-	-	348,710,504
Other Assets - Financial	2,829,580,181	-	-	-	-	-	-	2,829,580,181
Total	159,367,683,988	958,330,670	783,779,649	49,987,810,421	10,004,508,447	11,683,154,408	1,841,327,106	84,108,773,287

43.3 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Asset and Liability Management Policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2025, the minimum cash reserve requirement was 2.0% (2024 - 2.0%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly Cash and Cash equivalents and Placements with Banks. Adequate liquid assets are maintained based on the Bank's business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

As at 31 December	2025 Rs.	2024 Rs.
Financing and Receivables to Other Customers to Due to Other Customers Ratio (Net)	87.73%	72.08%
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	330%	369%
- All Currency (%)	232%	253%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2025	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	14,955,182,291	-	-	-	-	14,955,182,291
Balance with Central Bank of Sri Lanka	7,733,586,302	-	-	-	-	7,733,586,302
Placements with Banks	22,989,870,929	-	-	-	-	22,989,870,929
Placements with Licensed Finance Companies	86,418	-	-	-	-	86,418
Derivative Financial Assets	3,807,796	17,864,575	-	-	-	21,672,371
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	38,962,765	-	-	-	-	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	48,695,666,751	62,608,765,712	37,119,308,198	16,821,913,403	9,322,493,341	174,568,147,405
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	924,252,662	924,252,662
Other Assets - Financial	1,595,273,800	65,213,345	-	-	-	1,660,487,145
Total Undiscounted Financial Assets	96,012,437,052	62,691,843,632	37,119,308,198	16,821,913,403	10,246,746,003	222,892,248,288
Financial Liabilities						
Due to Banks	10,219,279	1,870,951,454	-	-	-	1,881,170,733
Derivative Financial Liabilities	478,985	-	-	-	-	478,985
Financial Liabilities at Amortised Cost - Due to Depositors	110,171,642,945	52,424,062,326	5,992,740,414	1,071,659,966	2,413,616,866	172,073,722,517
Other Liabilities - Financial	3,649,453,942	-	48,296,464	-	-	3,697,750,406
Total Undiscounted Financial Liabilities	113,831,795,151	54,295,013,780	6,041,036,878	1,071,659,966	2,413,616,866	177,653,122,641
Total Net Financial Assets/(Liabilities)	(17,819,358,099)	8,396,829,852	31,078,271,320	15,750,253,437	7,833,129,137	45,239,125,647

43. RISK MANAGEMENT (CONTD.)**43.3 Liquidity Risk and Funding Management (Contd.)**

Statement of Financial Position as at 31 December 2024	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets						
Cash and Cash Equivalents	17,070,764,566	-	-	-	-	17,070,764,566
Balance with Central Bank of Sri Lanka	7,078,039,326	-	-	-	-	7,078,039,326
Placements with Banks	37,795,110,568	516,579,182	-	-	-	38,311,689,750
Placements with Licensed Finance Companies	507,640,396	-	-	-	-	507,640,396
Derivative Financial Assets	177,460,850	-	-	-	-	177,460,850
Financial Assets Recognised through Profit or Loss -	70,216,929	-	-	-	-	70,216,929
Measured at						
Fair Value						
Financial Assets at Amortised Cost - Financing and	42,676,954,659	50,503,030,388	25,488,669,823	11,571,878,688	6,539,765,846	136,780,299,404
Receivables to						
Other Customers						
Financial Assets Measured at Fair Value through Other	-	-	-	-	348,710,504	348,710,504
Comprehensive Income						
Other Assets - Financial	2,739,420,931	225,000	89,934,250	-	-	2,829,580,181
Total Undiscounted Financial Assets	108,115,608,225	51,019,834,571	25,578,604,073	11,571,878,688	6,888,476,350	203,174,401,905
Financial Liabilities						
Due to Banks	18,949,309	-	-	-	-	18,949,309
Derivative Financial Liabilities	22,856,743	-	-	-	-	22,856,743
Financial Liabilities at Amortised Cost - Due to Depositors	92,807,271,510	50,307,414,303	7,881,629,957	1,245,154,615	2,164,239,671	154,405,710,056
Other Liabilities - Financial	4,066,242,077	-	33,732,713	-	-	4,099,974,790
Total Undiscounted Financial Liabilities	96,915,319,639	50,307,414,303	7,915,362,670	1,245,154,615	2,164,239,671	158,547,490,898
Total Net Financial Assets/(Liabilities)	11,200,288,586	712,420,267	17,663,241,404	10,326,724,073	4,724,236,679	44,626,911,007

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2025	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Acceptances	6,113,892,925	1,419,047,281	12,074,400	-	-	7,545,014,606
Letters of Credit	6,941,154,568	177,623,225	-	-	-	7,118,777,793
Guarantees, Bonds	4,570,483,063	4,870,672,804	515,127,559	30,434,301	-	9,986,717,727
Outward Clearing Receivable	992,645,491	-	-	-	-	992,645,491
Promissory Forward Sales	3,363,532,236	-	-	-	-	3,363,532,236
Promissory Forward Purchases	2,046,128,060	-	-	-	-	2,046,128,060
Commitments for Unutilised Facilities	7,580,581,255	-	-	-	-	7,580,581,255
Bills for Collection and Other	5,563,991,238	-	-	-	-	5,563,991,238
Impairment Allowance for Commitment and Contingencies	(49,503,836)	(21,497,780)	(2,315,017)	(134,039)	-	(73,450,672)
Total	37,122,905,000	6,445,845,530	524,886,942	30,300,262	-	44,123,937,734

As at 31 December 2024	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Acceptances	3,234,015,374	2,580,898,348	-	-	-	5,814,913,722
Letters of Credit	4,114,238,360	722,135,025	-	-	-	4,836,373,385
Guarantees, Bonds	2,253,477,210	3,584,526,327	455,940,989	19,111,573	-	6,313,056,099
Outward Clearing Receivable	794,832,345	-	-	-	-	794,832,345
Promissory Forward Sales	11,588,489,880	-	-	-	-	11,588,489,880
Promissory Forward Purchases	2,588,697,520	-	-	-	-	2,588,697,520
Commitments for Unutilised Facilities	14,218,545,172	-	-	-	-	14,218,545,172
Bills for Collection and Other	3,536,910,210	-	-	-	-	3,536,910,210
Impairment Allowance for Commitment and Contingencies	(62,844,158)	(23,296,385)	(2,871,923)	(131,256)	-	(89,143,722)
Total	42,266,361,913	6,864,263,315	453,069,066	18,980,317	-	49,602,674,611

43.4 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of its Due to Depositors (customer deposits) have been accepted on Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31 December 2025	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	14,955,182,291	14,955,182,291
Balance with Central Bank of Sri Lanka	-	-	-	-	-	7,733,586,302	7,733,586,302
Placements with Banks	22,989,870,929	-	-	-	-	-	22,989,870,929
Placements with Licensed Finance Companies	86,418	-	-	-	-	-	86,418
Derivative Financial Assets	-	-	-	-	-	21,672,371	21,672,371
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	38,962,765	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	44,186,388,852	55,882,507,851	29,670,991,822	13,909,911,285	7,302,591,268	-	150,952,391,078
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	924,252,662	924,252,662
Other Assets - Financial	-	-	-	-	-	1,660,487,145	1,660,487,145
Total Assets	67,176,346,199	55,882,507,851	29,670,991,822	13,909,911,285	7,302,591,268	25,334,143,536	199,276,491,961
Due to Banks	10,219,279	1,870,951,454	-	-	-	-	1,881,170,733
Derivative Financial Liabilities	-	-	-	-	-	478,985	478,985
Financial Liabilities at Amortised Cost - Due to Depositors	93,513,166,655	52,424,062,326	5,992,740,414	1,071,659,966	2,413,616,867	16,658,476,289	172,073,722,517
Other Liabilities - Financial	-	-	-	-	-	3,697,750,406	3,697,750,406
Total Liabilities	93,523,385,934	54,295,013,780	5,992,740,414	1,071,659,966	2,413,616,867	20,356,705,680	177,653,122,641
Rate Sensitivity Gap	(26,347,039,735)	1,587,494,071	23,678,251,408	12,838,251,319	4,888,974,401	4,977,437,856	

43. RISK MANAGEMENT (CONTD.)**43.4 Market Risk (Contd.)**

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31 December 2025	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	17,070,764,566	17,070,764,566
Balance with Central Bank of Sri Lanka	-	-	-	-	-	7,078,039,326	7,078,039,326
Placements with Banks	37,795,110,568	516,579,182	-	-	-	-	38,311,689,750
Placements with Licensed Finance Companies	507,640,396	-	-	-	-	-	507,640,396
Derivative Financial Assets	-	-	-	-	-	177,460,850	177,460,850
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	70,216,929	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	35,740,021,110	42,556,455,763	18,920,880,510	8,967,542,395	5,116,949,242	-	111,301,849,020
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	348,710,504	348,710,504
Other Assets - Financial	-	-	-	-	-	2,829,580,181	2,829,580,181
Total Assets	74,042,772,074	43,073,034,945	18,920,880,510	8,967,542,395	5,116,949,242	27,574,772,356	177,695,951,522
Due to Banks	18,949,309	-	-	-	-	-	18,949,309
Derivative Financial Liabilities	-	-	-	-	-	22,856,743	22,856,743
Financial Liabilities at Amortised Cost - Due to Depositors	80,566,598,584	50,307,414,303	7,881,629,957	1,245,154,615	2,164,239,671	12,240,672,926	154,405,710,056
Other Liabilities - Financial	-	-	-	-	-	4,099,974,790	4,099,974,790
Total Liabilities	80,585,547,893	50,307,414,303	7,881,629,957	1,245,154,615	2,164,239,671	16,363,504,459	158,547,490,898
Rate Sensitivity Gap	(6,542,775,819)	(7,234,379,358)	11,039,250,553	7,722,387,780	2,952,709,571	11,211,267,897	

43.5 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

43.6 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the Risk Management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31 December 2025 and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2025		2024	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	274,955	(274,955)	311,823	(311,823)
Great Britain Pounds	1,205,539	(1,205,539)	247,419	(247,419)
Japanese Yen	9,818,164	(9,818,164)	143,319	(143,319)
United States Dollars	(30,965,904)	30,965,904	(373,093)	373,093
Other Currencies	13,937,806	(13,937,806)	6,652,966	(6,652,966)
Total	(5,729,440)	5,729,440	6,982,434	(6,982,434)

43.7 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC), ALCO and the Board of Directors. The Bank engages in transactions only in white-listed equities.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

43.8 Stage wise movement of Financing and Receivables to Other Customers

43.8.1 Financing and Receivables to Other Customers - Stage-wise Movement in Gross Carrying Values

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at 1 January 2025	99,940,667,580	13,568,187,985	4,013,050,176	117,521,905,741
New Financial Assets Originated	96,972,215,387	10,670,530,465	324,978,583	107,967,724,435
Assets Derecognised	(55,535,765,572)	(6,502,177,557)	(545,259,375)	(62,583,202,504)
Transfers to Stage 1	4,059,191,785	(3,646,449,353)	(412,742,432)	-
Transfers to Stage 2	(1,960,888,343)	2,446,703,311	(485,814,968)	-
Transfers to Stage 3	(15,543,326)	(31,860,063)	47,403,389	-
Amounts Written Off	-	-	-	-
Other Changes	(9,623,674,380)	1,566,370,173	1,670,770,220	(6,386,533,987)
As at 31 December 2025	133,836,203,131	18,071,304,961	4,612,385,593	156,519,893,685

43. RISK MANAGEMENT (CONTD.)**43.8 Stage wise movement of Financing and Receivables to Other Customers****43.8.1 Financing and Receivables to Other Customers - Stage-wise Movement in Gross Carrying Values**

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at 1 January 2024	76,701,264,818	15,147,656,771	3,738,281,684	95,587,203,273
New Financial Assets Originated	74,161,317,304	4,686,392,441	206,267,598	79,053,977,343
Assets Derecognised	(47,233,034,089)	(3,997,765,713)	(733,913,150)	(51,964,712,952)
Transfers to Stage 1	2,664,438,481	(2,618,228,697)	(46,209,784)	-
Transfers to Stage 2	(2,202,189,547)	2,228,566,381	(26,376,834)	-
Transfers to Stage 3	(215,507,970)	(853,975,077)	1,069,483,047	-
Amounts Written Off	-	-	-	-
Other Changes	(3,935,621,417)	(1,024,458,121)	(194,482,385)	(5,154,561,923)
As at 31 December 2024	99,940,667,580	13,568,187,985	4,013,050,176	117,521,905,741

43.8.2 Financing and Receivables to Other Customers - Stage-wise Movement in Impairment Allowance

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at 1 January 2025	1,560,405,864	2,233,036,660	2,426,614,197	6,220,056,721
New Financial Assets Originated	711,172,728	852,618,146	134,555,487	1,698,346,361
Assets Derecognised	(715,276,266)	(767,207,448)	(197,683,850)	(1,680,167,564)
Additional Impairment/Effect of Remeasurement	(931,684,272)	(122,917,104)	383,868,465	(670,732,911)
Transfers to Stage 1	87,819,434	(81,548,033)	(6,271,401)	-
Transfers to Stage 2	339,840,903	(205,155,626)	(134,685,277)	-
Transfers to Stage 3	13,777,922	(4,869,323)	(8,908,599)	-
Amounts Written Off	-	-	-	-
As at 31 December 2025	1,066,056,313	1,903,957,272	2,597,489,022	5,567,502,607

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
As at 1 January 2024	1,131,909,909	2,675,414,044	2,121,819,555	5,929,143,508
New Financial Assets Originated	1,006,051,465	481,926,034	85,199,123	1,573,176,622
Assets Derecognised	(560,325,155)	(633,121,104)	(252,120,315)	(1,445,566,574)
Additional Impairment/Effect of Remeasurement	(191,269,860)	207,571,991	147,001,034	163,303,165
Transfers to Stage 1	226,806,596	(208,503,490)	(18,303,106)	-
Transfers to Stage 2	(49,637,120)	56,322,705	(6,685,585)	-
Transfers to Stage 3	(3,129,971)	(346,573,520)	349,703,491	-
Amounts Written Off	-	-	-	-
As at 31 December 2024	1,560,405,864	2,233,036,660	2,426,614,197	6,220,056,721

There is no contractual amount outstanding on financial assets that have been written off during the year and that are still subject to enforcement activity (2023 : Nil).

43.9 Collateral and other credit enhancements

	2025				2024			
	Gross Carrying Amount				Gross Carrying Amount			
	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Overdraft	13,862,815,195	3,329,789,246	369,944,509	17,562,548,950	12,136,474,657	1,548,585,451	363,785,556	14,048,845,664
Trade Finance	11,572,058,961	91,711,930	2,497,725	11,666,268,616	4,002,014,693	366,260,444	2,497,725	4,370,772,862
Lease Recievable	14,552,435,784	940,485,218	117,019,702	15,609,940,704	8,630,676,623	425,302,331	70,662,918	9,126,641,872
Staff Receivables	1,818,381,956	6,782,058	5,284,894	1,830,448,908	1,160,813,187	4,488,819	5,315,619	1,170,617,625
Term Financing: Long	35,311,110,024	7,455,815,857	2,762,849,149	45,529,775,030	23,593,279,904	7,434,221,074	2,487,099,974	33,514,600,952
Term Financing: Short	42,038,506,216	6,042,519,358	1,213,177,140	49,294,202,714	38,875,826,969	3,565,387,203	955,709,309	43,396,923,481
Gold Facilities	14,438,870,124	198,598,201	132,152,676	14,769,621,001	11,349,657,545	213,817,755	119,679,108	11,683,154,408
Others	242,024,866	5,603,098	9,459,798	257,087,762	191,924,002	10,124,908	8,299,967	210,348,877
As at 31 December	133,836,203,126	18,071,304,966	4,612,385,593	156,519,893,685	99,940,667,580	13,568,187,985	4,013,050,176	117,521,905,741

	2025				2024			
	Collateral				Collateral			
	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Overdraft	8,933,120,230	1,084,310,019	271,055,389	10,288,485,638	7,430,789,815	126,015,082	292,670,713	7,849,475,610
Trade Finance	1,549,683,613	21,290,478	2,497,725	1,573,471,816	1,010,656,129	64,093,425	2,497,725	1,077,247,279
Lease Recievable	14,284,154,676	909,412,435	116,138,533	15,309,705,644	8,484,101,747	423,547,688	68,065,484	8,975,714,919
Staff Receivables	1,755,751,202	6,420,436	5,284,894	1,767,456,532	1,130,704,840	4,488,819	5,287,910	1,140,481,569
Term Financing: Long	29,154,068,134	7,139,202,600	2,460,762,900	38,754,033,634	18,519,139,756	6,472,402,865	2,251,608,425	27,243,151,046
Term Financing: Short	20,471,785,797	2,247,977,435	524,692,572	23,244,455,804	14,533,950,864	2,258,990,795	372,964,011	17,165,905,670
Gold Facilities	14,438,870,124	198,598,201	132,152,676	14,769,621,001	11,349,657,545	213,817,755	119,679,108	11,683,154,408
Others	230,161,078	5,497,665	8,671,356	244,330,099	106,189,000	9,922,255	7,668,945	123,780,200
As at 31 December	90,817,594,854	11,612,709,269	3,521,256,045	105,951,560,168	62,565,189,696	9,573,278,684	3,120,442,321	75,258,910,701

	2025				2024			
	Net Exposure				Net Exposure			
	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Overdraft	4,929,694,965	2,245,479,227	98,889,120	7,274,063,312	4,705,684,842	1,422,570,369	71,114,843	6,199,370,054
Trade Finance	10,022,375,348	70,421,452	-	10,092,796,800	2,991,358,564	302,167,019	-	3,293,525,583
Lease Recievable	268,281,108	31,072,783	881,169	300,235,060	146,574,876	1,754,643	2,597,434	150,926,953
Staff Receivables	62,630,754	361,622	-	62,992,376	30,108,347	-	27,709	30,136,056
Term Financing: Long	6,157,041,890	316,613,257	302,086,249	6,775,741,396	5,074,140,148	961,818,209	235,491,549	6,271,449,906
Term Financing: Short	21,566,720,419	3,794,541,923	688,484,568	26,049,746,910	24,341,876,105	1,306,396,408	582,745,298	26,231,017,811
Gold Facilities	-	-	-	-	-	-	-	-
Others	11,863,788	105,433	788,442	12,757,663	85,735,002	202,653	631,022	86,568,677
As at 31 December	43,018,608,272	6,458,595,697	1,091,129,548	50,568,333,517	37,375,477,884	3,994,909,301	892,607,855	42,262,995,040

44. MATURITY ANALYSIS

As at 31 December 2025

	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	14,955,182,291	-	-	-	-	14,955,182,291
Balance with Central Bank of Sri Lanka	6,858,910,576	447,422,846	239,862,945	107,085,444	80,304,491	7,733,586,302
Placements with Banks	22,989,870,929	-	-	-	-	22,989,870,929
Placements with Licensed Finance Companies	86,418	-	-	-	-	86,418
Derivative Financial Assets	3,807,796	17,864,575	-	-	-	21,672,371
Financial Assets Recognised Through Fair Value through Profit or Loss	38,962,765	-	-	-	-	38,962,765
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	44,186,388,852	55,882,507,851	29,670,991,822	13,909,911,285	7,302,591,268	150,952,391,078
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	924,252,662	924,252,662
Other Assets - Financial	1,595,273,800	65,213,345	-	-	-	1,660,487,145
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	3,278,103,094	3,278,103,094
Intangible Assets	-	-	-	-	485,127,448	485,127,448
Other Assets - Non Financial	430,668,627	223,013,324	-	-	-	653,681,951
Deferred Tax Assets	-	-	-	-	613,123,264	613,123,264
Total Assets	91,059,152,054	56,636,021,941	29,910,854,767	14,016,996,729	12,683,502,227	204,306,527,718
Liabilities						
Due to Banks	10,219,279	1,870,951,454	-	-	-	1,881,170,733
Derivative Financial Liabilities	478,985	-	-	-	-	478,985
Financial Liabilities at Amortised Cost - Due to Depositors	65,658,847,849	54,463,003,078	29,262,827,305	13,009,327,177	9,679,717,108	172,073,722,517
Other Liabilities - Financial	3,649,453,942	-	48,296,464	-	-	3,697,750,406
Current Tax Liabilities	220,000,000	632,449,484	-	-	-	852,449,484
Dividend Payable	86,250,467	-	-	-	-	86,250,467
Retirement Benefit Liability	-	-	-	-	298,579,874	298,579,874
Other Liabilities - Non Financial	331,012,723	-	-	-	-	331,012,723
Total Liabilities	69,956,263,245	56,966,404,016	29,311,123,769	13,009,327,177	9,978,296,982	179,221,415,189
Maturity Gap	21,102,888,809	(330,382,075)	599,730,998	1,007,669,552	2,705,205,245	25,085,112,529

As at 31 December 2024

	Up to 3 Months	3-12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	17,070,764,566	-	-	-	-	17,070,764,566
Balance with Central Bank of Sri Lanka	6,280,754,703	423,744,620	215,469,826	90,432,182	67,637,995	7,078,039,326
Placements with Banks	37,795,110,568	516,579,182	-	-	-	38,311,689,750
Placements with Licensed Finance Companies	507,640,396	-	-	-	-	507,640,396
Derivative Financial Assets	177,460,850	-	-	-	-	177,460,850
Financial Assets Recognised Through Fair Value through Profit or Loss	70,216,929	-	-	-	-	70,216,929
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	35,740,021,110	42,556,455,763	18,920,880,510	8,967,542,395	5,116,949,242	111,301,849,020
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	348,710,504	348,710,504
Other Assets - Financial	2,739,420,931	225,000	89,934,250	-	-	2,829,580,181
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,968,026,601	2,968,026,601
Intangible Assets	-	-	-	-	337,562,608	337,562,608
Other Assets - Non Financial	250,115,496	260,834,839	-	-	-	510,950,335
Deferred Tax Assets	-	-	-	-	824,316,848	824,316,848
Total Assets	100,631,505,549	43,757,839,404	19,226,284,586	9,057,974,577	9,663,203,798	182,336,807,914
Liabilities						
Due to Banks	18,949,309	-	-	-	-	18,949,309
Derivative Financial Liabilities	22,856,743	-	-	-	-	22,856,743
Financial Liabilities at Amortised Cost - Due to Depositors	52,891,010,311	53,995,587,944	27,504,534,415	11,488,368,816	8,526,208,570	154,405,710,056
Other Liabilities - Financial	4,066,242,077	-	33,732,713	-	-	4,099,974,790
Current Tax Liabilities	236,732,521	236,732,521	-	-	-	473,465,041
Dividend Payable	99,470,636	-	-	-	-	99,470,636
Retirement Benefit Liability	-	-	-	-	186,730,809	186,730,809
Other Liabilities - Non Financial	187,790,136	-	-	-	-	187,790,136
Total Liabilities	57,523,051,733	54,232,320,465	27,538,267,128	11,488,368,816	8,712,939,379	159,494,947,520
Maturity Gap	43,108,453,817	(10,474,481,061)	(8,311,982,542)	(2,430,394,239)	950,264,419	22,841,860,394

45. COMMITMENTS AND CONTINGENCIES**45.1 Capital Expenditure Commitments**

The Bank does not have significant capital commitments as at the reporting date.

45.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

As at 31 December 2025	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances					
Commitments for Unutilised Facilities		7,148,041,375	416,818,289	15,721,591	7,580,581,255
		7,148,041,375	416,818,289	15,721,591	7,580,581,255
Contingent Liabilities					
Letters of Credit		6,605,894,878	282,699,626	230,183,289	7,118,777,793
Guarantees, Bonds		9,448,212,744	538,504,983	-	9,986,717,727
Outward Clearing Cheques	45.2.1	992,645,491	-	-	992,645,491
Acceptances		5,295,866,831	2,249,147,775	-	7,545,014,606
Bills for Collection and Others		3,276,779,535	2,287,211,703	-	5,563,991,238
		25,619,399,479	5,357,564,087	230,183,289	31,207,146,855
Gross Credit related Commitments and Contingencies		32,767,440,854	5,774,382,376	245,904,880	38,787,728,110
Impairment for Expected Credit Losses	45.2.2	(59,089,565)	(9,359,637)	(5,001,470)	(73,450,672)
Net Credit related Commitments and Contingencies		32,708,351,289	5,765,022,739	240,903,410	38,714,277,438
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					3,363,532,236
Promissory Forward Purchases					2,046,128,060
					5,409,660,296
Total Commitments and Contingencies					44,123,937,734

45.2.1 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing as at the reporting date.

45.2.2 Impairment Allowance for Commitments and Contingencies

	2025 Rs.	2024 Rs.
ECL Allowance as at 1 January	89,143,722	88,124,042
Charge/(Reversal) for the year	(15,693,050)	1,019,680
Amounts Written Off		-
As at 31 December	73,450,672	89,143,722

45. COMMITMENTS AND CONTINGENCIES (CONTD.)**45.2 Contingencies (Contd.)****45.2.2 Impairment Allowance for Commitment and Contingencies (Contd.)**

The table below shows the total Commitment and Contingencies as at 31 December 2024

As at 31 December 2025	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances					
Commitments for Unutilised Facilities		10,962,970,631	3,186,379,468	69,195,073	14,218,545,172
		10,962,970,631	3,186,379,468	69,195,073	14,218,545,172
Contingent Liabilities					
Letters of Credit		4,671,375,791	52,943,636	112,053,958	4,836,373,385
Guarantees, Bonds		5,836,150,279	476,905,820	-	6,313,056,099
Outward Clearing Cheques	45.2.1	794,832,345	-	-	794,832,345
Acceptances		5,024,007,704	790,906,018	-	5,814,913,722
Bills for Collection and Others		2,576,714,573	960,195,637	-	3,536,910,210
		18,903,080,692	2,280,951,111	112,053,958	21,296,085,761
Gross Credit related Commitments and Contingencies					
Impairment for Expected Credit Losses	45.2.2	(58,671,277)	(18,898,284)	(11,574,161)	(89,143,722)
Net Credit related Commitments and Contingencies		29,807,380,046	5,448,432,295	169,674,870	35,425,487,211
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					11,588,489,880
Promissory Forward Purchases					2,588,697,520
					14,177,187,400
Total Commitments and Contingencies					
					49,602,674,611

45.3 Lease Receivables

As at 31 December 2025	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	7,226,602,753	1,531,972,528	5,694,630,225
1 - 5 Years	11,528,639,308	1,694,315,382	9,834,323,926
More than 5 Years	89,548,082	8,561,528	80,986,554
	18,844,790,143	3,234,849,438	15,609,940,705
As at 31 December 2024			
	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	4,513,170,237	1,021,291,077	3,491,879,160
1 - 5 Years	6,660,417,244	1,061,385,480	5,599,031,764
More than 5 Years	40,232,559	4,501,611	35,730,948
	11,213,820,040	2,087,178,168	9,126,641,872

46. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures.

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

46.1 Parent and Ultimate controlling party

The Bank does not have an identifiable parent of its own.

46.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the above criteria .

Key Management Personnel Compensation	2025 Rs.	2024 Rs.
Short-term Employee Benefits including Director's Emoluments	217,292,375	200,209,394
Share based payments	2,119,285	8,798,721
Total	219,411,660	209,008,115

No other benefits have been paid to KMPs other than those which are statutory in nature.

46.3 Transactions, Arrangements and Agreements involving KMPs & their Close family members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

	2025 Rs.	2024 Rs.
Statement of Financial Position		
Financing and Receivables to Other Customers	307,746,914	228,164,231
Due to Depositors	487,788,066	366,888,326
Statement of Profit or Loss		
Financing Income	9,102,690	2,194,834
Financing Expenses	27,487,884	24,713,565
Cash Dividend	390,000	360,000
Commitment and Contingencies		
Undrawn facilities	26,637,337	46,904,163

Terms and Conditions of Transactions with Related Parties

The above mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

46. RELATED PARTY DISCLOSURES (CONTD.)

46.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

Statement of Financial Position	2025 Rs.	2024 Rs.
Due to Depositors	356,374	39,652
Statement of Profit or Loss		
Financing Expenses	49,857	46,489

47. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

48. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

The Bank's capital management objectives can be summarised as follows:

- 1 Maintain sufficient capital to meet minimum regulatory capital requirements.
- 2 Hold sufficient capital to support the Bank's risk appetite.
- 3 Allocate capital to businesses to support the Bank's strategic objectives.
- 4 Ensure that the Bank maintains capital in order to achieve rating objectives and withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework and local regulations. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Common Equity Tier 1 Capital Ratio of 7.00% (2024 - 7.00%) and minimum Total Capital Ratio of 12.50% (2024 - 12.50%) for the year 2025. The Bank has maintained its Capital Ratios well above the regulatory minimum.

49. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains professional advise and adjustments are made to the Financial Statements, if required.

50. DIVIDENDS

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

Statement of Financial Position	2025 Rs.	2024 Rs.
Dividends declared - Cash	716,463,470	661,350,895
Dividend per Ordinary Share	1.30	1.20

51. SHARE BASED PAYMENT TRANSACTIONS - EMPLOYEE SHARE OPTION PLAN (ESOP)

On 30 March 2023, the Bank obtained approval from its shareholders by way of an Extraordinary General Meeting to establish an Employee Share Option Plan (ESOP). The Bank, in accordance with the approval, will issue ordinary voting shares in 3 tranches up to a maximum of 3% of the pre-ESOP shares, subject to eligible employees exercising such Options and thereby take part in the ownership of the Bank.

Conditions for Grant of Options

The Board would set key performance indicators in respect of each of the performance targets/ratios for financial years ending on 31 December 2022 to 31 December 2024:

- ◆ Operating Profit Before VAT on Financial Services & Social Security Contribution Levy
- ◆ Return on Equity
- ◆ Return on Assets
- ◆ Cost to Income Ratio
- ◆ Total Assets

Employees of the Bank have qualified to receive options in the ESOP scheme as follows.

Tranche	Grant Date	Quantum of Options	Exercise Price (*)
1	17-Jun-23	2,783,949	Rs. 24.00
2	25-May-24	2,783,949	Rs. 24.00
3	20-Jun-25	2,783,949	Rs. 22.70
	Total	8,351,847	

* The exercise price of options in respect of any tranche shall be the volume weighted average price of the Bank's ordinary voting share, during the period of thirty market days immediately prior to the respective grant date for such tranche. This has been restated for 2023 and 2024 to reflect post-consideration prices.

After obtaining shareholders approval in July 2024, the Bank carried out its share consolidation exercise where every existing Ten shares were converted in to One share, without a change to the Stated Capital of the Bank whilst leaving unaffected the relative voting and distribution rights.

51. SHARE BASED PAYMENT TRANSACTIONS - EMPLOYEE SHARE OPTION PLAN (ESOP) (CONTD.)

Sri Lanka Accounting Standard – SLFRS 2 “Share-based Payment” sets out the financial reporting implications for the Bank when it undertakes a share-based payment transaction. The Standard requires the Bank to reflect in its statements of profit or loss and financial position the effects of the share-based payment transaction, including expenses associated with transactions in which share options are granted to employees. The key accounting implications of SLFRS 2 are given below.

Based on the approved Employee Share Option Plan, share options granted to Bank’s employees are categorized as an equity-settled share-based payment. Accordingly, the equity settled share-based transaction should be measured at fair value as transactions with employees are measured using a ‘grant date model’ (i.e. the transaction is recorded at the fair value of the equity instrument at the date when it is originally granted).

The value of the options should be calculated using an option valuation model. SLFRS 2 recommends using either Black-Scholes-Merton model or Binomial Option Valuation model for this purpose. The valuation of the options issued under the Bank’s ESOP has been made by using the Binomial model.

Fair value of equity-settled share based options awarded to employees on the grant date is recognised as an expense under personnel expenses, with a corresponding increase in equity, over the period in which the service and performance conditions are fulfilled. As per the ESOP scheme, allocated shares are vested immediately at the point of allocating such shares. Hence the cost of ESOP shall be recognized upon the allocation of shares to its employees.

Inputs and assumptions used for the option plan in determining fair value of share option:

	2025 Rs.	2024 Rs.
Price - 25 May 2024		Rs. 2.40
Price - 20 Jun 2025	Rs. 22.40	
Exercise Price (Prior to Share Consolidation in July 2024)		Rs. 2.40
Expected Volatility	48.96%	48.96%
Option Time Period	5 Years	5 Years
	Number of Options Rs.	Weighted Average Exercise Price Rs.
Outstanding as at 31 December 2023	27,839,495	2.40
Granted during the year 2024 (Tranche 2)	27,839,495	2.40
Exercised during the year	-	-
Expired during the year	-	-
Shares absorbed due to Share Consolidation	(50,111,091)	
Outstanding as at 31 December 2024	5,567,899	24.00
Granted during the year 2025 (Tranche 3)	2,783,949	22.70
Exercised during the year	-	-
Expired during the year	-	-
Outstanding as at 31 December 2025	8,351,848	23.27

During the year no share options were exercised.

ESOP Reserve	2025 Rs.	2024 Rs.
Balance as at 1 January	78,517,838	50,978,808
Share-Based Payment Expense	6,635,208	27,539,030
Balance as at 31 December	85,153,046	78,517,838

52. SELECTED PERFORMANCE INDICATORS

	2025 Rs.	2024 Rs.
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	23,742,181	21,716,638
Common Equity Tier 1 (after applicable adjustments)	22,556,793	20,414,588
Tier 1 Capital	22,556,793	20,414,588
Total Capital	25,382,332	23,882,001
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	13.0%	15.0%
Tier I Capital Ratio (Minimum Requirement 8.5%)	13.0%	15.0%
Total Capital Ratio (Minimum Requirement 12.5%)	14.7%	17.6%
Leverage Ratio % (Minimum Requirement 3%)	10.4%	10.6%
Regulatory Liquidity Requirement		
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
Rupee (%)	330.3%	368.5%
All Currency (%)	231.5%	252.8%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	142.5%	129.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.2%	1.3%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	56.1%	59.6%
Profitability		
Financing Margin (%)	4.3%	4.0%
Return on Assets (Before Tax) (%)	2.1%	1.6%
Return on Equity (%)	10.4%	8.0%
Cost to Income (%)	51.8%	53.0%
Memorandum Information		
Credit Rating :		
- Fitch Ratings	BBB-(lka)	BBB-(lka)
- Lanka Ratings Agency (obtained in 2025)	BBB+	
Number of Employees	928	899
Number of Branches	33	33

CERTIFICATION:

We, the undersigned, being the Managing Director / Chief Executive Officer and the Chief Financial Officer of Amāna Bank PLC jointly certify that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;



Mohamed Azmeer
Managing Director/Chief Executive Officer



M. Ali Wahid
Chief Financial Officer

For the Year Ended 31 December

	2025 LKR	2024 LKR	2023 LKR
Operating Results			
Financing Income	16,918,378,571	15,399,562,261	17,238,372,606
Financing Expenses	8,598,296,292	8,525,272,891	10,743,449,941
Net Financing Income	8,320,082,279	6,874,289,370	6,494,922,665
Net Fee and Commission Income	1,369,479,150	1,077,337,861	931,310,583
Net Trading Income	349,533,180	693,112,850	1,765,213,774
Net Gains/(Losses) from Financial Investments at Fair Value Through Profit or Loss	19,425,126	38,985,111	15,112,806
Net Gains/(Losses) from Derecognition of Financial Assets	(2,656,697)	(69,917)	982,956
Net Other Operating Income	4,789,542	5,989,723	2,982,534
Total Operating Income	10,060,652,580	8,689,644,998	9,210,525,318
Impairment on Financial Assets - (Reversal)/Charge	(640,342,519)	289,612,927	2,120,743,289
Net Operating Income	10,700,995,099	8,400,032,071	7,089,782,029
Personnel Expenses	2,641,497,812	2,274,493,660	1,975,989,769
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	395,685,499	256,903,664	249,465,480
Amortisation of Intangible Assets	75,683,904	64,936,795	58,137,560
Other Operating Expenses	2,098,733,579	2,012,679,625	1,587,478,916
Total Operating Expenses	5,211,600,794	4,609,013,744	3,871,071,725
Operating Profit Before VAT on Financial Services and Other Taxes	5,489,394,305	3,791,018,327	3,218,710,304
VAT on Financial Services and Other Taxes	1,398,234,432	1,004,175,003	906,519,704
Profit Before Tax	4,091,159,873	2,786,843,324	2,312,190,600
Tax Expenses/(Reversal)	1,610,178,383	1,012,177,592	925,414,505
Profit for the Year	2,480,981,490	1,774,665,732	1,386,776,095

	2022 LKR	2021 LKR	2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR
	12,113,112,544	7,674,186,731	7,211,643,435	7,709,286,294	6,883,221,870	5,544,237,256	4,039,624,179
	7,344,487,821	3,418,693,290	3,757,313,167	4,544,370,605	3,522,889,356	2,790,618,052	2,115,335,249
	4,768,624,723	4,255,493,441	3,454,330,268	3,164,915,689	3,360,332,514	2,753,619,204	1,924,288,930
	750,312,668	401,922,403	328,562,743	329,040,746	297,048,806	236,134,326	246,568,285
	864,699,138	155,105,107	444,376,037	738,397,355	461,155,830	388,699,264	257,454,611
	(21,646,296)	(7,013,153)	3,260,627	4,862,561	(22,436,152)	-	-
	(1,453,173)	(11,732,213)	928,646	11,150,575	1,892,185	-	-
	5,159,290	5,226,813	2,302,448	8,251,376	6,662,241	9,467,520	4,961,144
	6,365,696,350	4,799,002,398	4,233,760,769	4,256,618,302	4,104,655,424	3,387,920,314	2,433,272,970
	1,638,483,485	784,952,089	513,726,961	288,928,583	476,765,687	289,782,674	217,177,926
	4,727,212,865	4,014,050,309	3,720,033,808	3,967,689,719	3,627,889,737	3,098,137,640	2,216,095,044
	1,488,370,644	1,399,260,032	1,446,138,333	1,381,445,709	1,246,223,287	1,095,792,424	1,025,032,323
	274,607,079	279,632,013	281,177,308	256,195,369	126,685,717	148,879,193	162,620,642
	51,327,168	58,685,409	70,374,848	51,025,609	47,939,212	48,967,708	78,634,792
	1,176,643,239	831,827,820	767,727,520	902,349,033	884,804,269	745,933,727	678,729,131
	2,990,948,130	2,569,405,274	2,565,418,009	2,591,015,720	2,305,652,485	2,039,573,052	1,945,016,888
	1,736,264,735	1,444,645,035	1,154,615,799	1,376,673,999	1,322,237,252	1,058,564,588	271,078,156
	528,989,373	363,632,453	393,167,272	531,825,986	420,038,265	319,245,989	168,266,306
	1,207,275,362	1,081,012,582	761,448,527	844,848,013	902,198,987	739,318,599	102,811,850
	419,098,458	256,314,684	297,753,065	383,916,616	345,753,279	236,490,936	62,171,499
	788,176,904	824,697,898	463,695,462	460,931,397	556,445,708	502,827,663	40,640,351

As at 31 December

	2025 LKR	2024 LKR	2023 LKR
Assets			
Cash and Cash Equivalents	14,955,182,291	17,070,764,566	11,100,863,400
Balance with Central Bank of Sri Lanka	7,733,586,302	7,078,039,326	9,446,862,668
Placements with Banks	22,989,870,929	38,311,689,750	42,474,569,846
Placements with Licensed Finance Companies	86,418	507,640,396	80,783
Derivative Financial Assets	21,672,371	177,460,850	194,267,095
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	38,962,765	70,216,929	8,994,233
Financial Investments - Held for Trading	-	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	150,952,391,078	111,301,849,020	89,658,059,768
Financial Assets Measured at Fair Value through Other Comprehensive Income	924,252,662	348,710,504	319,000,406
Financial Investments - Available for Sale	-	-	-
Other Assets - Financial	1,660,487,145	2,829,580,181	2,006,908,679
Property, Plant, Equipment and Right-of-Use Assets	3,278,103,094	2,968,026,601	2,775,396,192
Intangible Assets	485,127,448	337,562,608	379,309,190
Other Assets - Non Financial	653,681,951	510,950,335	303,033,651
Deferred Tax Assets	613,123,264	824,316,848	784,429,734
Total Assets	204,306,527,718	182,336,807,914	159,451,775,645
Liabilities			
Due to Banks	1,881,170,733	18,949,309	321,166,526
Derivative Financial Liabilities	478,985	22,856,743	947,739
Financial Liabilities at Amortised Cost - Due to Depositors	172,073,722,517	154,405,710,056	132,937,607,047
Other Liabilities - Financial	3,697,750,406	4,099,974,790	3,391,138,093
Current Tax Liabilities	852,449,484	473,465,041	722,144,473
Dividend Payable	86,250,467	99,470,636	6,325,683
Deferred Tax Liability	-	-	-
Retirement Benefit Liability	298,579,874	186,730,809	130,416,033
Other Liabilities - Non Financial	331,012,723	187,790,136	245,445,827
Total Liabilities	179,221,415,189	159,494,947,520	137,755,191,421
Shareholders' Funds			
Stated Capital	17,633,461,196	17,633,461,196	17,633,461,196
Reserves	7,451,651,333	5,208,399,198	4,063,123,028
Total Equity	25,085,112,529	22,841,860,394	21,696,584,224
Total Liabilities and Shareholders' Funds	204,306,527,718	182,336,807,914	159,451,775,645
Commitments and Contingencies	44,123,937,734	49,602,674,611	40,739,750,181
Share Information			
Earnings Per Share	4.50	3.22	2.52
Net Assets Value Per Share	45.52	41.45	39.37
Gross Dividend Paid (Cash/Scrip)	716,463,470	661,350,895	334,073,941
Dividend Per Share	1.30	1.20	1.20
Dividend Pay Out Ratio (%)	28.88	37.27	24.09

	2022 LKR	2021 LKR	2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR
	22,603,294,374	8,673,811,858	6,859,970,358	10,067,003,265	5,338,090,636	5,859,766,950	5,686,924,056
	5,085,679,063	4,800,026,593	11,410,470,563	3,448,797,331	3,543,444,781	4,127,811,572	2,816,770,223
	24,570,292,448	27,302,269,408	11,580,356,721	10,625,183,324	9,264,699,249	5,285,796,238	4,662,466,350
	77,154	73,341	3,108,069,281	12,053,159	2,427,970,097	2,112,166,496	20,517
	70,733,336	510,066,210	228,515,144	226,091,973	445,732,740	127,616,662	59,483,044
	59,561,097	64,634,084	55,921,805	72,789,000	113,249,108	-	-
	-	-	-	-	-	41,645,557	45,181,589
	83,185,916,541	75,816,397,323	62,566,964,280	57,716,960,999	52,853,663,356	42,914,143,571	38,451,662,449
	332,504,996	346,009,586	291,991,226	146,141,654	186,655,424	-	-
	-	-	-	-	-	323,264,501	394,775,149
	2,323,565,713	1,213,996,086	1,048,477,201	888,380,624	585,704,833	388,890,295	307,321,725
	2,466,761,457	2,447,149,785	2,354,607,910	2,505,901,129	1,890,194,155	1,795,135,517	1,247,590,879
	319,253,349	232,834,506	257,240,323	237,074,723	238,311,383	230,675,871	269,376,298
	262,467,487	449,563,025	409,782,983	633,193,251	382,051,706	333,169,325	227,058,761
	407,785,544	52,071,523	-	-	-	-	146,355,559
	141,687,892,559	121,908,903,328	100,172,367,795	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599
	11,856,722,935.00	9,009,986,183.00	1,967,893,100.00	1,103,040,822.00	1,210,204,847.00	-	751,963,513.00
	20,880,000.00	783,199,782.00	111,881,845.00	56,478,657.00	1,441,005,622.00	29,924,292.00	98,341,433.00
	112,546,017,229.00	96,157,776,116.00	83,554,240,988.00	71,614,753,475.00	61,722,682,595.00	50,922,561,081.00	46,915,289,690.00
	2,041,967,432.00	1,696,126,980.00	1,287,362,598.00	1,110,537,746.00	480,628,881.00	680,470,646.00	566,565,119.00
	645,606,465.00	419,795,391.00	420,490,984.00	402,511,650.00	330,606,614.00	187,075,365.00	80,814,263.00
	6,351,708.00	6,459,073.00	6,526,286.00	6,891,441.00	3,562,069.00	-	-
	-	-	70,265,535.00	194,314,961.00	221,536,935.00	216,241,918.00	-
	109,411,635.00	131,081,167.00	170,664,374.00	144,987,628.00	127,517,726.00	119,241,024.00	82,606,302.00
	99,580,091.00	65,944,501.00	115,763,735.00	92,486,021.00	97,921,864.00	70,765,834.00	31,360,761.00
	127,326,537,495.00	108,270,369,193.00	87,705,089,445.00	74,726,002,401.00	65,635,667,153.00	52,226,280,160.00	48,526,941,081.00
	11,348,821,130.00	11,079,706,011.00	10,819,561,398.00	10,619,450,156.00	10,619,450,156.00	10,619,450,156.00	5,866,808,141.00
	3,012,533,934.00	2,558,828,124.00	1,647,716,952.00	1,234,117,875.00	1,014,650,159.00	694,352,239.00	(78,762,623.00)
	14,361,355,064.00	13,638,534,135.00	12,467,278,350.00	11,853,568,031.00	11,634,100,315.00	11,313,802,395.00	5,788,045,518.00
	141,687,892,559.00	121,908,903,328.00	100,172,367,795.00	86,579,570,432.00	77,269,767,468.00	63,540,082,555.00	54,314,986,599.00
	34,094,313,300	67,801,327,449	65,337,219,792	54,012,976,973	46,485,430,714	27,813,190,776	26,191,124,490
	0.28	0.28	0.17	0.18	0.22	0.29	0.03
	5.16	5.07	4.79	4.74	4.65	4.52	4.63
	269,115,119	260,144,613	200,111,242	200,111,243	175,097,337	-	-
	0.10	0.10	0.08	0.08	0.07	-	-
	34.14	31.54	43.15	43.41	31.46	-	-

THE FOLLOWING EXPLAINS THE DISCLOSURE REQUIREMENTS UNDER THE PRESCRIBED FORMAT ISSUED BY THE CENTRAL BANK OF SRI LANKA FOR THE PREPARATION OF ANNUAL FINANCIAL STATEMENTS OF LICENSED COMMERCIAL BANKS.

1. Information about the Significance of Financial Instruments for Financial Position and Performance		
1.1 Statement of Financial Position		
1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable.
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
	(iv) Reconciliation of the impairment allowance account for credit losses by class of financial assets.	Note 17.1 to the Financial Statements - Impairment Allowance for Balances with Banks Note 19.1 to the Financial Statements - Impairment Allowance for Placements with Banks Note 20.1 to the Financial Statements - Impairment Allowance for Licensed Finance Companies Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
	(vi) Breaches of terms of financing agreements.	None.
1.2 Statement of Comprehensive Income		
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fee and Commission Income.
	(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.

1.3 Other Disclosures		
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Material Accounting Policy Information.
1.3.2	Financial liabilities designated as at FVTPL	
	(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI):	
	- any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; - if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; - detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and	Not Applicable.
	(ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	
1.3.3	Investments in equity instruments designated as at FVOCI	
	(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii) and 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income and Financial Assets Measured at Fair Value Through Other Comprehensive Income respectively.
	(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
	(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
	(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	
	- reasons for disposing of the investments; - fair value of the investments at the date of derecognition; and - the cumulative gain or loss on disposal.	Not Applicable.
1.3.4	Reclassifications of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period:	
	- date of reclassification; - detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and - the amount reclassified into and out of each category.	Not Applicable.
	(ii) For reclassifications from FVTPL to amortised cost or FVOCI:	
	- the effective profit rate (EPR) determined on the date of reclassification; and - the financing income recognised.	Not Applicable.

	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI:	
	◆ the fair value of the financial assets at the reporting date; and ◆ the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	Not Applicable.
1.3.5	Information on hedge accounting	Not Applicable.
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts.	
	(ii) Description of how fair value was determined.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(iii) The level of inputs used in determining fair value.	
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements - Investment in Equity – Unquoted and Note 42.2 to the Financial Statements - Financial Instruments Not Carried at Fair Value.
2. Information about the Nature and Extent of Risks Arising from Financial Instruments		
2.1 Qualitative Disclosures		
2.1.1	Risk exposures for each type of financial instrument.	Note 43 to the Financial Statements - Risk Management.
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 43 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3	Changes from the prior period.	Not Applicable.
2.2 Quantitative Disclosures		
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 43 to the Financial Statements - Risk Management.
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(i) Credit Risk	
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 43.2 to the Financial Statements - Credit Risk and Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers.
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 43.2 to the Financial Statements - Credit Risk.
	(c) Information about collateral or other credit enhancements obtained or called.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(d) Credit risk management practices:	

◆ Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
◆ Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v), Note 2.3.3 e. (ii) and Note 11 to the Financial Statements - Impairment of Financial Assets, Impairment Charges on Financing and Receivables and Impairment of Financial Assets respectively.
◆ How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted; ◆ The Bank's definitions of default for different financial instruments, Including the reasons for selecting those definitions; ◆ How instruments are grouped if ECL are measured on a collective basis; ◆ How the Bank determines that financial assets are credit-impaired; ◆ The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and ◆ How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.	Note 2.2 c., 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment Losses on Financing and Receivables to Other Customers, Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.
(e) ECL calculations	
◆ Basis of the inputs, assumptions and the estimation techniques used when,	
◆ estimating 12-month and lifetime ECL; ◆ determining whether the credit risk of financial instruments has increased significantly since initial recognition; and ◆ determining whether financial assets are credit-impaired.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.
◆ How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and	
◆ changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.

(f) Amounts arising from ECL

- ◆ Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc.] of the opening balance to the closing balance of the impairment loss allowance.
- ◆ Explain the reasons for changes in the loss allowances in the reconciliation.

Note 17.1 to the Financial Statements – Impairment Allowance for Balances with Banks,
 Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks,
 Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies,
 Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers,
 and
 Note 45.2.2 to the Financial Statements - Impairment Allowance for Commitment and Contingencies.

Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.

(g) Collaterals

- ◆ Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;
- ◆ Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including:
 - ◆ discussion on the nature and quality of the collaterals held;
 - ◆ explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;
- ◆ information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;
- ◆ quantitative information about the collateral held as security and other credit enhancements;
- ◆ information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.

Note 43.2 (f) to the Financial Statements – Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements.

Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.

None.

Note 43.2 (f) to the Financial Statements - Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements.

Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.

(h) Written-off assets

- ◆ Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.

Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.

- (i) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.

Please refer section on Market Discipline Disclosure Requirements on pages 325 to 336 and section relating to 'Risk Management' in the Annual Report for additional information.

(ii) Liquidity Risk	
(a) A maturity analysis of financial assets and liabilities.	Note 43.3 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report.
(b) Description of approach to risk management.	Note 43.3 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 325 to 336 and section relating to 'Risk Management' in the Annual Report for additional information.
(iii) Market Risk	
(a) A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 43.4 to the Financial Statements - Market Risk and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 325 to 336 and section relating to 'Risk Management' in the Annual Report for additional information.
(iv) Operational Risk	
For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 325 to 336 and section relating to 'Risk Management' in the Annual Report for additional information.
(v) Equity Risk in the Banking Book	
(a) Qualitative Disclosures	
◆ Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 43.7 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
◆ Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Material Accounting Policy Information and Note 24.2 to the Financial Statements - Investment in Equity – Unquoted.
(b) Quantitative Disclosures	
Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 22 and 24 to the Financial Statements - Financial Assets Recognised Through Profit or Loss – Measured at Fair Value and Financial Assets Measured at Fair Value Through Other Comprehensive Income, respectively. Also please refer Notes 8 and 9 to the Financial Statements - Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss and Net Gains / (Losses) from Derecognition of Financial Assets, respectively.
(vi) Rate Risk in the Banking Book	
(a) Qualitative Disclosures	
Nature of Rate Risk in the Banking Book and key assumptions.	
(b) Quantitative Disclosures	
The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	Notes 43.4, 43.5, 43.6 and 43.7 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively. You may also refer the section relating to 'Risk Management' in the Annual Report for additional information.

2.2.3	Information on concentrations of risk	Note 43 to the Financial Statements - Risk Management. Also please refer section relating to 'Risk Management' in the Annual Report for additional information.
3. Market DISCIPLINE Disclosure REQUIREMENTS		
3.1 Regulatory Requirements on Capital and Liquidity		
(i)	Key Regulatory Ratios - Capital and Liquidity	Please refer page 325
(ii)	Basel III Computation of Capital Ratios	Please refer page 326
(iii)	Computation of Leverage Ratio	Please refer page 327
(iv)	Basel III Computation of Liquidity Coverage Ratio	Please refer page 327
(v)	Main Features of Regulatory Capital Instruments	Please refer page 328
3.2 Risk Weighted Assets (RWA)		
(i)	Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements	Please refer page 328 including Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report for additional information
(ii)	Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects	Please refer page 329
(iii)	Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights	Please refer page 330
(iv)	Market Risk under Standardised Measurement Method	Please refer page 330
(v)	Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 331
3.3 Linkages Between Financial Statements & Regulatory Exposures		
(i)	Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer page 332
(ii)	Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer page 333 and also section relating to 'Risk Management' in the Annual Report for additional information
3.4 Risk Management		
(i)	Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management
(ii)	Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

As at 31 December	2025	2024
Regulatory Capital (LKR '000)		
Common Equity Tier 1	22,556,793	20,414,588
Tier 1 Capital	22,556,793	20,414,588
Total Capital	25,382,332	23,882,001
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	13.0%	15.0%
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	13.0%	15.0%
Total Capital Ratio (Minimum Requirement - 12.5%)	14.7%	17.6%
Leverage Ratio (Minimum Requirement - 3%)	10.4%	10.6%
Regulatory Liquidity		
Liquidity Coverage Ratio (%)		
(Minimum Requirement - 100%)		
Rupee	330.3%	368.5%
All Currency	231.5%	252.8%
Net Stable Funding Ratio (%)		
(Minimum Requirement - 100%)	142.5%	129.4%

BASEL III COMPUTATION OF CAPITAL RATIOS

As at 31 December

	2025 LKR '000	2024 LKR '000
Common Equity Tier 1 (CET1) Capital after Adjustments	22,556,793	20,414,588
Common Equity Tier 1 (CET1) Capital *	23,742,181	21,716,638
Equity Capital (Stated Capital)/Assigned Capital	17,633,461	17,633,461
Reserve Fund	479,223	355,174
Published Retained Earnings/(Accumulated Retained Losses)	5,250,238	3,667,043
Published Accumulated Other Comprehensive Income (OCI)	379,258	60,959
General and other Disclosed Reserves	-	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to CET1 Capital	1,185,387	1,302,050
Goodwill (net)	-	-
Intangible Assets (net)	485,127	337,563
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	700,260	964,487
Additional Tier 1 (AT1) Capital after Adjustments	-	-
Additional Tier 1 (AT1) Capital	-	-
Qualifying Additional Tier 1 Capital Instruments	-	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to AT1 Capital	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
Tier 2 Capital after Adjustments	2,825,539	3,467,413
Tier 2 Capital	2,825,539	3,467,413
Qualifying Tier 2 Capital Instruments	-	-
Revaluation Gains	707,723	707,723
Provisions on Financing and Advances	2,117,816	2,759,690
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to Tier 2	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
CET1 Capital *	22,556,793	20,414,588
Total Tier 1 Capital	22,556,793	20,414,588
Total Capital	25,382,332	23,882,001
Total Risk Weighted Assets (RWA)	173,129,129	135,942,364
RWAs for Credit Risk	149,901,702	120,668,783
RWAs for Market Risk	859,756	257,124
RWAs for Operational Risk	22,367,672	15,016,456
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	13.03%	15.02%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
Total Tier 1 Capital Ratio (%)	13.03%	15.02%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	14.66%	17.57%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
* This represents CET1 Capital after applicable adjustments		
- CET1 Capital before adjustments (LKR '000)	23,742,181	21,716,638

COMPUTATION OF LEVERAGE RATIO

As at 31 December	2025 LKR '000	2024 LKR '000
Tier 1 Capital	22,556,793	20,414,588
Total Exposures	216,829,593	192,329,888
On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)	203,099,468	180,857,297
Derivative Exposures	-	-
Securities Financing Transaction Exposures	-	-
Other Off-Balance Sheet Exposures	13,730,125	11,472,591
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	10.40%	10.61%

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

As at 31 December	2025		2024	
	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000
Total Stock of High-Quality Liquid Assets (HQLA)	17,753,447	17,733,965	17,191,338	17,156,230
Total Adjusted Level 1A Assets	17,714,484	17,714,484	17,121,121	17,121,121
Level 1 Assets	17,714,484	17,714,484	17,121,121	17,121,121
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	38,963	19,481	70,217	35,108
Level 2B Assets	38,963	19,481	70,217	35,108
Total Cash Outflows	196,867,964	30,640,476	179,299,884	27,148,446
Deposits	146,976,274	14,697,627	128,033,631	12,803,363
Unsecured Wholesale Funding	25,205,229	14,570,860	25,890,258	12,639,370
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable) Facilities and Other Contingent Funding Obligations	7,580,581	516,328	25,367,975	1,697,693
Additional Requirements	17,105,496	855,275	8,020	8,020
Total Cash Inflows	66,509,706	44,349,725	65,670,219	36,467,123
Maturing Secured Lending Transactions Backed by Collateral	16,796,353	16,796,353	10,555,484	10,555,484
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	31,137,516	27,072,477	28,900,945	24,810,514
Operational Deposits	17,614,048	-	24,011,542	-
Other Cash Inflows	961,789	480,894	2,202,248	1,101,124
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100		231.5		252.8

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 December 2025)	23,742,181
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	N/A
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	N/A
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	N/A
If Convertible, Fully or Partially	N/A
If Convertible, Mandatory or Optional	N/A
If Convertible, Conversion Rate	N/A

SUMMARY DISCUSSION ON ADEQUACY/MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Please refer Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report on pages 221 to 245.

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

As at 31 December 2025	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density	
	On-Balance Sheet Amount	Off-Balance Sheet Amount	On-Balance Sheet Amount	Off-Balance Sheet Amount	RWA	RWA Density
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	%
Claims on Central Government and CBSL	7,798,760	-	7,798,760	-	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	26,549,277	84,651	26,549,277	-	5,392,362	20%
Claims on Financial Institutions	5,038	-	5,038	1,693	6,688	99%
Claims on Corporates	54,595,286	13,228,988	54,233,388	5,417,902	59,651,290	100%
Retail Claims	86,193,236	22,177,921	84,848,814	7,259,211	66,103,690	72%
Claims Secured by Residential Property	8,156,274	-	8,156,274	-	7,744,547	95%
Claims Secured by Commercial Real Estate	-	-	-	-	-	-
Non-Performing Assets (NPAs)	2,007,595	301,837	2,007,595	60,367	1,746,679	84%
Higher-risk Categories	226,439	-	226,439	-	566,098	250%
Cash Items and Other Assets	17,543,589	992,645	17,543,589	992,645	8,690,348	47%
Total	203,075,495	36,786,041	201,369,175	13,731,819	149,901,702	70%

Notes:

- (i) As per Banking Act Directions on Classification of Financing and Receivables to Other Customers, Income Recognition and Provisioning
(ii) RWA Density - Total RWA/Exposures Post CCF and CRM.

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

As at 31 December 2025	Post CCF & CRM								Total Credit Exposures Amount LKR '000
	Risk Weight	0%	20%	50%	60%	75%	100%	150%	>150%
Asset Classes	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Claims on Central Government and Central Bank of Sri Lanka	7,798,760								7,798,760
Claims on Foreign Sovereigns and their Central Banks									-
Claims on Public Sector Entities							-		-
Claims on Official Entities and Multilateral Development Banks									-
Claims on Banks Exposures		26,446,145	-			103,133			26,549,277
Claims on Financial Institutions						6,731			6,731
Claims on Corporates			-			59,651,290			59,651,290
Retail Claims	14,667,700	-		1,068,293	43,637,273	32,734,760			92,108,026
Claims Secured by Residential Property			633,427			7,522,848			8,156,274
Claims Secured by Commercial Real Estate						-			-
Non-Performing Assets (NPAs)			753,330			1,203,870	110,763		2,067,962
Higher-risk Categories								226,439	226,439
Cash Items and Other Assets	3,644,039	7,752,309				7,139,886			18,536,234
Total	26,110,499	34,198,454	1,386,756	1,068,293	43,637,273	108,362,517	110,763	226,439	215,100,994

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

As at 31 December 2025	RWA Amount LKR '000
(a) RWA for Rate Risk	-
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	11,292
(i) General Equity Risk	5,646
(ii) Specific Equity Risk	5,646
(c) RWA for Foreign Exchange & Gold	96,177
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	859,756

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH / THE STANDARDISED APPROACH / THE ALTERNATIVE STANDARDISED APPROACH

As at 31 December 2025	Capital Charge Factor	Fixed Factor	Gross Income		
			1st Year LKR '000	2nd Year LKR '000	3rd Year LKR '000
The Basic Indicator Approach	15%		9,210,428	21,982,997	24,725,746
The Standardised Approach					
Corporate Finance	18%	} N/A			
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%	} N/A			
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR'000)					
The Basic Indicator Approach					2,795,959
The Standardised Approach		} N/A			
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR'000)					
The Basic Indicator Approach					22,367,672
The Standardised Approach		} N/A			
The Alternative Standardised Approach					

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

As at 31 December 2025		a	b	c	d	e
	Explanation Reference #	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Subject to Credit Risk Framework LKR '000	Subject to Market Risk Framework LKR '000	Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Assets		204,306,528	204,306,528	201,369,175	38,963	3,303,204
Cash and Cash Equivalents	1	14,955,182	11,396,348	11,396,348	-	-
Balances with Central Bank		7,733,586	7,733,586	7,733,586	-	-
Placements with Banks & Financial Institutions	1	22,989,957	26,531,244	26,531,244	-	-
Derivative Financial Instruments		21,672	21,672	21,672	-	-
Other Financial Assets Held-For-Trading		-	-	-	-	-
Financial Assets Designated at Fair Value through Profit or Loss		38,963	38,963	-	38,963	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers		150,952,391	150,952,391	148,834,575	-	2,117,816
Financial Assets Measured at Fair Value through Other Comprehensive Income		924,253	924,253	837,115	-	87,137
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		3,278,103	3,278,103	3,278,103	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		485,127	485,127	-	-	485,127
Deferred Tax Assets		613,123	613,123	-	-	613,123
Other Assets		2,314,169	2,331,717	2,736,532	-	-
Liabilities		179,221,415	179,221,415	-	-	-
Due to Banks	2	1,881,171	1,860,958	-	-	-
Derivative Financial Instruments		479	479	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	2	172,073,723	171,429,745	-	-	-
Other Borrowings		-	-	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	2	852,449	852,449	-	-	-
Deferred Tax Liabilities		-	-	-	-	-
Other Provisions		-	-	-	-	-
Other Liabilities	2	4,413,593	5,077,783	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-
Off-Balance Sheet Liabilities		38,598,977	38,598,977	36,701,391	-	1,897,586
Guarantees		6,477,061	6,477,061	6,477,061	-	-
Performance Bonds		1,380,275	1,380,275	1,380,275	-	-
Letters of Credit		7,113,417	7,113,417	7,113,417	-	-
Other Contingent Items		9,630,328	9,630,328	9,630,328	-	-
Undrawn Financing Commitments		7,557,208	7,557,208	7,557,208	-	-
Other Commitments		6,440,688	6,440,688	4,543,101	-	1,897,586
Shareholders' Equity		-	-	-	-	-
Equity Capital (Stated Capital)/Assigned Capital		17,633,461	17,633,461	-	-	-
of which Amount Eligible for CET1		17,633,461	17,633,461	-	-	-
of which Amount Eligible for AT1		-	-	-	-	-
Retained Earnings		5,250,238	5,306,387	-	-	-
Accumulated Other Comprehensive Income		632,097	632,097	-	-	-
Other Reserves		1,569,316	1,513,167	-	-	707,723
Total Shareholders' Equity		25,085,113	25,085,113	-	-	707,723

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements and Regulatory Reporting

Explanation Reference # 1 : Cash and Cash Equivalents and Placements with Banks and Financial Institutions

	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Difference LKR '000	Remarks
Cash and Cash Equivalents	14,955,182	11,396,348		
Placements with Banks and Financial Institutions	22,989,957	26,531,244		
	37,945,140	37,927,591	17,548	Accrued Profits Receivable on Placements is classified separately for CBSL Reporting purposes

Explanation Reference # 2 : Due to Banks, Due to Depositors, Tax Liabilities & Other Liabilities

		Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Difference LKR '000	Remarks
Due to Banks / Other Borrowings under Regulatory Reporting					
Balance Due to Banks		1,881,171	1,860,958	20,213	
	A	1,881,171	1,860,958		
Financial Liabilities at Amortised Cost - Due to Depositors	B	172,073,723	171,429,745	643,977	
Profits Payable	C	-	1,472,012	(1,472,012)	Profit Payable on Deposits has been reported under Profits Payable for CBSL reporting purposes
	D	-	(814,683)	814,683	Margin Deposits have been reported under Deposits for CBSL reporting purposes
	E = (A+B+C+D)	173,954,893	173,948,032		
Current Tax Liabilities	F	852,449	852,449		
Other Liabilities	G	4,413,593	4,420,455	(6,861)	Saubagya Renaissance Facility payable has been reported under Other Payables for CBSL Reporting purposes
Derivative Liabilities	H	479	479		
	I = (E+F+G+H)	179,221,415	179,221,415		

NET STABLE FUNDING RATIO UNDER BASEL III - LIQUIDITY STANDARDS

Calculation of Net Stable Funding Ratio (NSFR)

As at 31 December	2025 LKR '000	2024 LKR '000
Total Available Stable Funding	171,221,478	151,705,061
Required Stable Funding - On Balance Sheet Assets	118,350,893	115,644,902
Required Stable Funding - Off Balance Sheet Items	1,785,437	1,636,653
Total Required Stable Funding	120,136,331	117,281,555
NSFR (Minimum Requirement - 100%/90%)	142.5%	129.4%

Total Available Stable Funding

As at 31 December 2025	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Total Available Stable Funding	202,963,596		171,221,478
Liabilities and Capital Assigned a 100% ASF factor	27,934,012		27,934,012
Total Regulatory Capital Before Capital Deductions (Excluding Tier 2 Instruments with Residual Maturity of less than One Year)	23,742,181	100%	23,742,181
Any Other Capital Instrument With Effective Residual Maturity of One Year or More	-	100%	-
Secured and Unsecured Borrowings and Liabilities with Effective Residual Maturities of One Year or More	4,191,831		4,191,831
Net Deferred Tax Liabilities	-	100%	-
Minority Interest	-	100%	-
Other Liabilities	4,191,831	100%	4,191,831
Liabilities Assigned a 90% ASF Factor	149,167,076		134,250,368
Non-Maturity Deposits and Term Deposits with Residual Maturity of less than One Year Provided by Retail Customers and SME	149,167,076	90%	134,250,368
Liabilities Assigned a 50% ASF Factor	18,074,196		9,037,098
Funding with Residual Maturity of less than One Year Provided by Non-Financial Corporate Customers	18,070,838	50%	9,035,419
Operational Deposits	3,358	50%	1,679
Funding with Residual Maturity of less than One Year from Sovereigns, Public Sector Entities (PSES), and Multilateral Development Banks (MDBs)	-	50%	-
Other Funding with Residual Maturity between Six Months and less than One Year not included in the Above Categories, including Funding Provided by Central Banks and Financial Institutions	-	-	-
Net Deferred Tax Liabilities	-	50%	-
Minority Interest	-	50%	-
Other Liabilities	-	50%	-
Liabilities Assigned a 0% ASF Factor	7,788,312		-
All Other Liabilities and Equity not included in the Above Categories including Other Funding with Residual Maturity of less than Six Months from Central Banks and Financial Institutions	-	0%	-
Other Liabilities without a Stated Maturity	7,788,312	-	-
Net Deferred Tax Liabilities	-	-	-
Minority Interest	-	-	-
Other Liabilities	7,788,312	0%	-
NSFR Derivative Liabilities Net of Derivative Assets (If NSFR Derivative Liabilities are Greater than NSFR Derivative Assets)	-	0%	-
"Trade Date" Payables arising from Purchases of Financial Instruments, Foreign Currencies and Commodities	-	-	-

Required Stable Funding – On Balance Sheet Assets

As at 31 December 2025

	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - On Balance Sheet Assets	-		118,350,893
Assets assigned a 0% RSF Factor	-		-
Cash in Hand	11,396,348	0%	-
Central Bank Reserves (Statutory Reserve Ratio (SRR) including Excess SRR)	7,733,586	0%	-
All Claims on Central Banks with Residual Maturities of less than Six Months	-	0%	-
"Trade Date" Receivables arising from Sales of Financial Instruments, Foreign Currencies and Commodities	-	0%	-
Assets Assigned a 5% RSF Factor	-		-
Unencumbered Level 1 Assets	-		-
Qualifying Marketable Securities	-		-
Issued by Sovereigns	-	5%	-
Guaranteed by Sovereigns	-	5%	-
Issued or Guaranteed by Central Banks	-	5%	-
Issued or Guaranteed by BIS, IMF, ECB And European Community or Eligible MDBs	-	5%	-
20% of Derivative Liabilities	-	5%	-
Assets Assigned a 10% RSF Factor	-		-
Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	10%	-
Assets Assigned a 15% RSF Factor	-		-
Unencumbered Level 2A Assets	-		-
Qualifying Marketable Securities	-		-
Issued or Guaranteed by Sovereigns	-	15%	-
Issued or Guaranteed by Central Banks	-	15%	-
Issued or Guaranteed By PSEs	-	15%	-
Issued or Guaranteed By MDBs	-	15%	-
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper and Promissory Notes) and Covered Bonds	-	15%	-
Qualifying Investments in Gilt Unit Trust Backed by Government of Sri Lanka (GoSL) Securities	-	15%	-
All Other Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	15%	-
Assets Assigned a 50% RSF Factor	-		56,973,070
Unencumbered Level 2B Assets	-		20,978
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper And Promissory Notes)	-	50%	-
Qualifying Non-Financial Common Equity Shares	41,956	50%	20,978
Residential Mortgage Backed Securities (RMBs) with a Credit Rating of at least AA	-	50%	-
HQLA Encumbered for a Period of Six Months or more and less than One Year	-	50%	-
Unencumbered Financing to Financial Institutions and Central Banks with Residual Maturity between Six Months and less than One Year	-	50%	-
Deposits held at Other Financial Institutions for Operational Purposes	-	50%	-
All Other Non HQLA not included in the above categories with Residual Maturity of less than One Year	113,904,185	50%	56,952,092
Assets Assigned a 65% RSF Factor	-		779,921
Qualifying Unencumbered Residential Mortgages with a Residual Maturity of One Year or More	1,199,879	65%	779,921
Other Qualifying Unencumbered Financing Financial Institutions, with a Residual Maturity of One Year or more	-	65%	-
Assets Assigned a 85% RSF Factor	-		52,426,799
Cash, Securities or Other Assets Posted as Initial Margin for Derivative Contracts	-	85%	-
Other Unencumbered Performing Loans	61,678,587	85%	52,426,799
Unencumbered Securities that are not in Default and do not Qualify as HQLA	-	85%	-
Physical Traded Commodities, including Gold	-	85%	-
Assets Assigned a 100% RSF Factor	-		8,171,103
All Assets that are Encumbered for a Period of One Year or more	-	100%	-
NSFR Derivative Assets Net of NSFR Derivative Liabilities IF NSFR Derivative Assets are greater than NSFR Derivative Liabilities	1,463,032	100%	1,463,032
All Other Assets not included in Above	6,708,071	100%	6,708,071

Required Stable Funding – Off Balance Sheet Items

As at 31 December 2025

	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - Off Balance Sheet Items			1,785,437
Irrevocable and Conditionally Revocable Credit and Liquidity Facilities to any Client	7,557,208	5%	377,860
Other Contingent Funding Obligations, including Products and Instruments	-		1,407,577
Unconditionally Revocable Credit and Liquidity Facilities	-	0%	
Trade Finance-Related Obligations (including Guarantees and Letters of Credit)	28,151,538	5%	1,407,577
Guarantees Unrelated to Trade Finance Obligations	-	0%	-
Non-Contractual Obligations	-		-
Potential Requests for Debt Repurchases of the Bank's Own Debt or that of Related Conduits, Securities Investment Vehicles and Other such Financing Facilities	-	5%	-
Structured Products where Customers Anticipate Ready Marketability, such as Adjustable Rate Notes and Variable Rate Demand Notes (VRDNs)	-	5%	-
Managed Funds that are Marketed with the Objective of Maintaining a Stable Value	-	5%	-
Any Other Obligations	-	5%	

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board of Directors on the Affairs of the Bank.	194 to 199
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities.	258
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations.	339 to 340
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Annual Report of the Board of Directors on the Affairs of the Bank.	194 to 199
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Annual Report of the Board of Directors on the Affairs of the Bank.	194 to 199
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 43 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report.	293 to 305 & 221 to 245
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 4 of Investor Relations.	340
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	282 to 284
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital.	289
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations.	338 to 339
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debt Instruments Credit Rating	Item 1 of Investor Relations. Item 1 of Investor Relations. Not Applicable. Corporate Information.	338 338 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	282 to 284
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Item 5 of Investor Relations.	340
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Listing Rules.	Corporate Governance Report	133 to 189
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Annual Report of the Board of Directors on the Affairs of the Bank.	194 to 199

The Ordinary Shares of the Bank are listed on the Main Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2025	2024
Dividend Per Share (LKR)	1.30	1.20
Dividend Pay Out Ratio (%)	28.88	37.27
Net Asset Value Per Share (LKR)	45.52	41.45

1.2 Market Value Per Share

	2025	2024
As at 31 December	30.00	24.50
Highest	33.20	25.00
Lowest	21.70	1.90

Market Capitalisation as at 31 December 2025 - LKR 16,533,772,380 (2024 - LKR 13,502,580,777)

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2025			As at 31 December 2024		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 to 1,000 Shares	6,110	1,653,616	0.30	5,418	1,388,167	0.25
1,001 to 10,000 Shares	2,856	8,768,659	1.59	2,534	7,348,367	1.34
10,001 to 100,000 Shares	780	22,978,199	4.17	598	15,904,569	2.88
100,001 to 1,000,000 Shares	105	28,859,515	5.24	70	19,161,901	3.48
Over 1,000,000 Shares	33	488,865,757	88.70	32	507,322,742	92.05
	9,884	551,125,746	100.00	8,652	551,125,746	100.00

2.1 Residents and Non-Resident Shareholding

Shareholder	As at 31 December 2025			As at 31 December 2024		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	9,830	333,583,817	60.53	8,608	333,877,338	60.58
Non-Resident	54	217,541,929	39.47	44	217,248,408	39.42
	9,884	551,125,746	100.00	8,652	551,125,746	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2025			As at 31 December 2024		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	9,637	138,386,845	25.11	8,479	167,176,075	30.33
Institutional	247	412,738,901	74.89	173	383,949,671	69.67
	9,884	551,125,746	100.00	8,652	551,125,746	100.00

3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No.	Name of Shareholder	2025	
		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	137,277,245	24.91
2	Sampath Bank PLC/ Senthilverl Holdings (Pvt) Ltd	79,802,630	14.48
3	Cargills Bank Limited/ Senthilverl Holdings (Pvt) Ltd	29,022,673	5.27
4	Mr. Osman Kassim / Mrs. Khairunnissa Kassim / Mr. Abdullah Osman Kassim	24,389,015	4.43
5	Bank Islam Malaysia Berhad	20,949,916	3.80
6	AB Bank PLC	20,949,916	3.80
7	Quick Tea (Pvt) Ltd.	20,476,459	3.72
8	Islamic Development Bank	18,339,298	3.33
9	Akbar Brothers (Pvt) Ltd. A/C No. 1	18,302,459	3.32
10	E.W. Balasuriya & Co. (Pvt) Ltd. A/C No. 1	13,016,102	2.36
11	Domon Ltd.	11,573,996	2.10
12	Mr. Feroz Omar	9,684,895	1.76
13	P.M. Mohamedali & Co	8,753,665	1.59
14	Mrs. Shahida Hamid	8,238,697	1.49
15	Mrs. Tarab Iqbal Ismail	8,238,697	1.49
16	Millennium Capital Investments (Pte) Ltd.	8,138,133	1.48
17	Mrs. Farhat Farook Kassim	7,162,192	1.30
18	Mr. Hanif Yusoof	6,547,826	1.19
19	Mr. Shafik Kassim	6,445,236	1.17
20	Mr. Sattar Kassim	4,688,975	0.85
	Sub Total	461,998,025	83.83
	Other Shareholders (Number of Shareholders - 9,864)	89,127,721	16.17
	Total	551,125,746	100.00

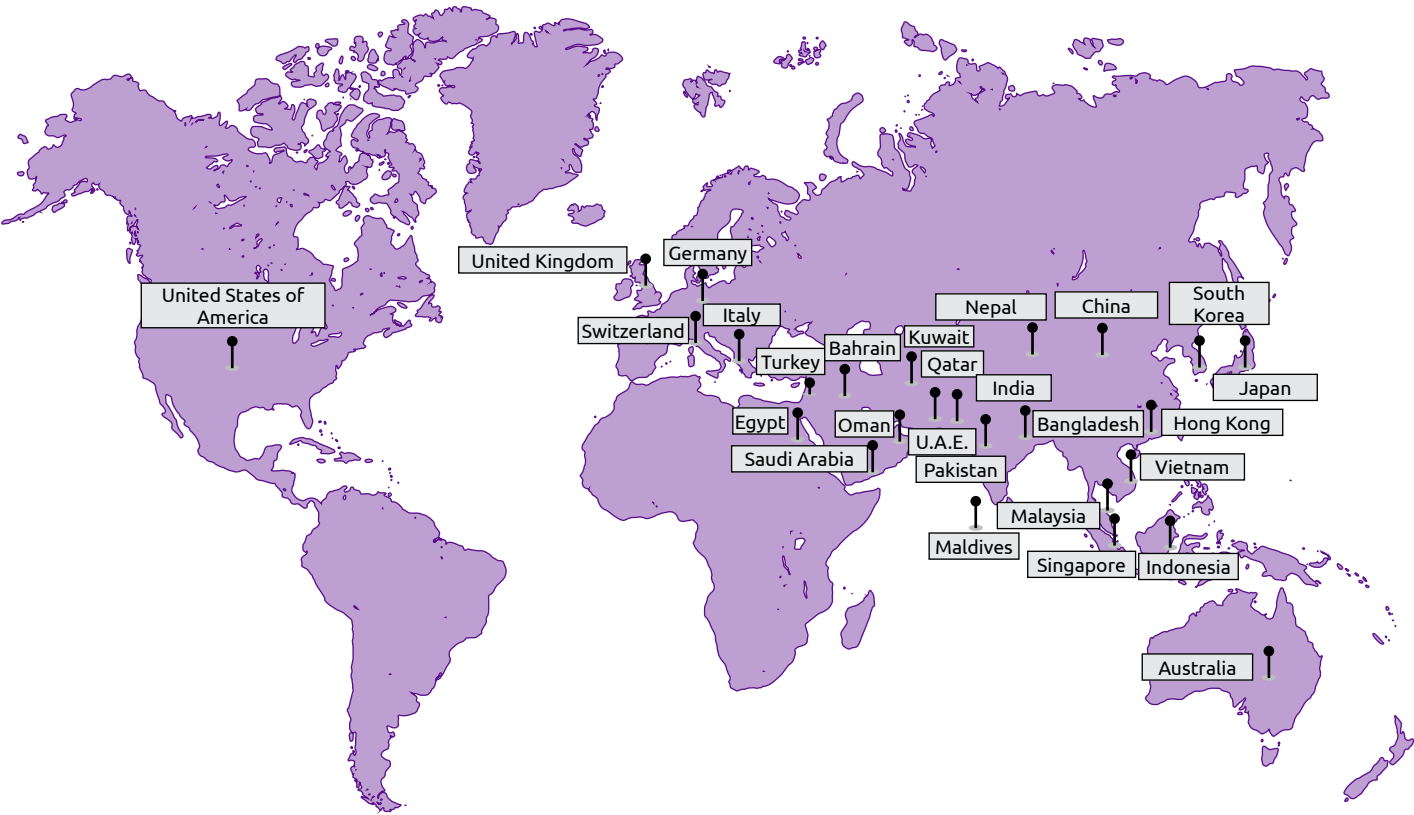
No.	Name of Shareholder	2024	
		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	137,277,245	24.91
2	Sampath Bank PLC/Senthilverl Holdings (Pvt) Ltd.	60,915,858	11.05
3	Mr. Sadiq Omar	49,433,445	8.97
4	Mr. Osman Kassim	34,466,896	6.25
5	Cargills Bank Limited/Senthilverl Holdings (Pvt) Ltd.	29,022,673	5.27
6	AB Bank Limited	20,949,916	3.80
7	Bank Islam Malaysia Berhad	20,949,916	3.80
8	Quick Tea (Pvt) Ltd.	20,476,459	3.72
9	Islamic Development Bank	18,339,298	3.33
10	Akbar Brothers (Pvt) Ltd. A/C No. 1	18,302,459	3.32
11	E.W. Balasuriya & Co. (Pvt) Ltd. A/C No. 1	13,043,478	2.37
12	Domon Ltd.	11,573,996	2.10
13	P. M. Mohamedali & Co.	8,753,665	1.59
14	Millennium Capital Investments (Pte) Ltd.	8,138,133	1.48
15	Mr. Mohamed Aadil Mohamed Asmath	7,437,440	1.35
16	Mr. Hanif YusooF	6,747,826	1.22
17	Mr. Shafik Kassim	6,445,236	1.17
18	Mr. Mohamed Adnaan Mohamed Iqbal	5,202,507	0.94
19	Mr. Sattar Kassim	4,724,466	0.86
20	Mr. Nagi Saleh Mohammed Al Faqih	4,337,591	0.79
Sub Total		486,538,503	88.29
Other Shareholders (Number of Shareholders - 8,632)		64,587,243	11.71
Total		551,125,746	100.00

4. THERE WERE NO MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS THAT OCCURRED DURING THE YEAR ENDED 31 DECEMBER 2025.

5. INFORMATION IN RESPECT OF EMPLOYEE SHARE OPTIONS SCHEME OFFERED DURING THE YEAR 2025

Employee Category	Options Granted	Options Vested not exercised	Options Exercised	Options Cancelled	Exercise Price (Tranche 3)
Management Committee	1,948,765	1,948,765	-	-	22.70
Assistant Vice Presidents	88,277	64,242	24,035	-	22.70
Managers	746,908	673,883	73,025	-	22.70
Total	2,783,950	2,686,890	97,060	-	

Please refer page 197 of the Annual Report for Declaration by Directors of the Entity confirming that the Entity has not, directly or indirectly, provided funds for the Employee Share Options Scheme.



	Country	Bank Name	BIC
1	AUSTRALIA	STANDARD CHARTERED BANK, AUSTRALIA	SCBLAU2S
2	BAHRAIN	MASHREQ BANK PSC - MANAMA, BAHRAIN	BOMLBHBM
3	BANGLADESH	AB BANK PLC - DHAKA, BANGLADESH	ABBLBDDH
4	BANGLADESH	INTERNATIONAL FINANCE INVESTMENT AND COMMERCE BANK LTD - DHAKA, BANGLADESH	IFICBDDH
5	BHUTAN	BHUTAN NATIONAL BANK LTD - THIMPHU, BHUTAN	BNBTBTBT
6	CHINA	AXIS BANK LIMITED - SHANGHAI, CHINA	AXISCNSH
7	CHINA	STANDARD CHARTERED BANK - SHANGHAI, CHINA	SCBLCNSX
8	EGYPT	MASHREQ BANK - CAIRO, EGYPT	MSHQEGCA
9	GERMANY	STANDARD CHARTERED BANK - FRANKFURT, GERMANY	SCBLDEFX
10	HONG KONG	STANDARD CHARTERED BANK LIMITED - HONG KONG, HONG KONG	SCBLHKHH
11	INDIA	AB BANK PLC - MUMBAI, INDIA	ABBLINBB
12	INDIA	AXIS BANK LIMITED, MUMBAI, INDIA	AXISINBB
13	INDIA	HDFC BANK LIMITED INDIA - MUMBAI, INDIA	HDFCINBB
14	INDIA	INDIAN OVERSEAS BANK INDIA - CHENNAI, INDIA	IOBAINBB

	Country	Bank Name	BIC
15	INDIA	MASHREQ BANK - MUMBAI, INDIA.	MSHQINBB
16	INDIA	RBL BANK LIMITED - MUMBAI, INDIA	RATNINBBXXX
17	INDIA	STANDARD CHARTERED BANK - MAHARASHTRA, INDIA	SCBLINAA
18	INDIA	STANDARD CHARTERED BANK - MUMBAI, INDIA	SCBLINBB
19	INDONESIA	STANDARD CHARTERED BANK - JAKARTA, INDONESIA	SCBLIDJX
20	ITALY	BANCA UBAE SPA - ROMA, ITALY	UBAIITRR
21	JAPAN	STANDARD CHARTERED BANK - TOKYO-JAPAN	SCBLJPJT
22	JORDAN	SAFWA ISLAMIC BANK - AMMAN, JORDAN	JDIBJOAM
23	KUWAIT	MASHREQ BANK PSC - KUWAIT CITY, KUWAIT	MSHQKWKW
24	MALAYSIA	BANK ISLAM MALAYSIA BERHAD - KUALA LUMPUR, MALAYSIA	BIMBMYKL
25	MALAYSIA	MALAYAN BANKING BERHAD(MAYBANK) - KUALA LUMPUR, MALAYSIA	MBBEMYKL
26	MALAYSIA	STANDARD CHARTERED BANK MALAYSIA BERHAD, KUALA LUMPUR, MALAYSIA	SCBLMYKX
27	MALDIVES	BANK OF CEYLON - MALE, MALDIVES.	BCEYMVMV
28	MALDIVES	MALDIVES ISLAMIC BANK PVT. LTD - MALE, MALDIVES	MADVMMVMV
29	NEPAL	SIDDHARTHA BANK LTD - KATHMANDU, NEPAL	SIDDPNKA
30	OMAN	ALIZZ ISLAMIC BANK - MUSCAT, OMAN	IZZBOMRU
31	OMAN	BANK NIZWA - MUSCAT, OMAN.	BNZWOMRX
32	PAKISTAN	FAYSAL BANK LIMITED, KARACHI, PAKISTAN	FAYSPKKA
33	PAKISTAN	MEEZAN BANK LIMITED - KARACHI, PAKISTAN.	MEZNPKKA
34	PAKISTAN	STANDARD CHARTERED BANK - KARACHI, PAKISTAN	SCBLPKKX
35	PHILIPPINES	ASIAN DEVELOPMENT BANK - CITY OF MANDALUYONG, PHILIPPINES	ASDBPHMM
36	QATAR	ABU DHABI ISLAMIC BANK - DOHA-QATAR	ABDIQAQA
37	QATAR	MASHREQ BANK - DOHA, QATAR	MSHQQAQA
38	SAUDI ARABIA	BANK AL BILAD - RIYADH, KINGDOM OF SAUDI ARABIA	ALBISARI
39	SAUDI ARABIA	BANK AL-JAZIRA - JEDDAH, KINGDOM OF SAUDI ARABIA	BJAZSAJE
40	SINGAPORE	AXIS BANK LTD - SINGAPORE, SINGAPORE	AXISSGSG
41	SINGAPORE	STANDARD CHARTERED BANK SINGAPORE, SINGAPORE	SCBLSGSG
42	SINGAPORE	STANDARD CHARTERED BANK SINGAPORE, SINGAPORE (AUD)	SCBLSG22

	Country	Bank Name	BIC
43	SOUTH KOREA	KOOKMIN BANK - SEOUL, KOREA	CZNBKRSE
44	SPAIN	ABANCA CORPORACION BANCARIA - BETANZOS, SPAIN	CAGLESMM
45	SWITZERLAND	HABIB BANK AG ZURICH - ZURICH, SWITZERLAND	HBZUCHZZ
46	TAIWAN	STANDARD CHARTERED BANK (TAIWAN) LTD - TAIPEI, TAIWAN.	SCBLTWTP
47	THAILAND	STANDARD CHARTERED BANK (THAI) PCL - BANGKOK, THAILAND	SCBLTHBK
48	TURKEY	AKTIF YATIRIM BANKASI A.S. ISTANBUL , TURKEY	CAYTTRIS
49	TURKEY	TURKIYE FINANS KATILIM BANKASI A.S. - ISTANBUL, TURKEY	AFKBTRIS
50	UAE	ABU DHABI COMMERCIAL BANK - ABU DHABI, UNITED ARAB EMIRATES	ADCBAEAA
51	UAE	ABU DHABI ISLAMIC BANK - ABU DHABI, UNITED ARAB EMIRATES	ABDIAEAD
52	UAE	AXIS BANK LIMITED - DUBAI, UNITED ARAB EMIRATES	AXISAEAD
53	UAE	DUBAI ISLAMIC BANK - DUBAI, UNITED ARAB EMIRATES	DUIBAEAD
54	UAE	MASHREQ BANK PSC - DUBAI, UNITED ARAB EMIRATES	BOMLAEAD
55	UAE	MCB BANK LIMITED - DUBAI, UNITED ARAB EMIRATES	MUCBAEAD
56	UAE	SHARJAH ISLAMIC BANK - SHARJAH, UNITED ARAB EMIRATES	NBSHAEAS
57	UAE	SIRAJ FINANCE PJSC - ABU DHABI, UNITED ARAB EMIRATES	SRAJAEAA
58	UAE	STANDARD CHARTERED BANK - DUBAI, UNITED ARAB EMIRATES	SCBLAEAD
59	UAE	UNITED ARAB BANK - SHARJAH, UNITED ARAB EMIRATES	UARBAEAA
60	UK	BANK OF CEYLON - LONDON , UNITED KINGDOM	BCEYGB2L
61	UK	QIB (UK) PLC - LONDON, UNITED KINGDOM	EFHLGB2L
62	UK	STANDARD CHARTERED BANK - LONDON, UNITED KINGDOM	SCBLGB2L
63	USA	HABIB AMERICAN BANK - NEW YORK, UNITED STATES	HANYUS33
64	USA	INTERNATIONAL FINANCE CORPORATION - WASHINGTON DC, UNITED STATES	IFCWUS33
65	USA	MASHREQBANK PSC - NEW YORK BRANCH, UNITED STATES	MSHQUS33
66	USA	STANDARD CHARTERED BANK - NEW YORK, UNITED STATES	SCBLUS33
67	VIETNAM	STANDARD CHARTERED BANK (VIETNAM) LIMITED - HANOI, VIETNAM	SCBLNVX
68	VIETNAM	VIETNAM THUONG TIN COMMERCIAL JOINT STOCK BANK - SOC TRANG, VIETNAM.	VNTTVNVX

A**ACCEPTANCES**

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

ACCOUNTING POLICIES

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

ACCRUAL BASIS

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

ACTUARIAL GAINS AND LOSSES

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

ACTUARIAL VALUATION

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

ADVANCES TO DEPOSIT RATIO (ADR)

Total Advances expressed as a percentage of total deposit portfolio of the Bank.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

AMORTISED COST

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment, or un-collectability.

ASSET AND LIABILITY COMMITTEE (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

B**BASEL III**

The Basel Committee on Banking Supervision (BCBS) issued the Basel III rules text, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

BILLS FOR COLLECTION

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C**CAPITAL ADEQUACY RATIO (CAR)**

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

CAPITAL GAIN

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

CAPITAL RESERVE

A reserve identified for specific purposes which is not available for distribution.

CARRYING VALUE

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

CASH EQUIVALENTS

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

COLLECTIVELY ASSESSED IMPAIRMENT

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

COMMITMENTS

Credit facilities approved but not yet utilised by customers as at the reporting date.

COMMON EQUITY TIER I (CET I) CAPITAL

Consists of stated capital, other capital and revenue reserves. CET I is the element of capital which has the highest quality and most effective in absorbing losses.

CONTINGENCIES

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

CONTRACTUAL MATURITY

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

CORPORATE GOVERNANCE

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

CORRESPONDENT BANK

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

COST TO INCOME RATIO

Operating expenses excluding impairment charge for loans as a percentage of total operating income.

COUNTRY RISK

The Risk that a foreign government will not satisfy its obligations or obstructs the remittance of funds by debtors, for financial reasons (transfer risk) or for other reasons (political risk).

CREDIT RATINGS

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

CREDIT RISK

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

CREDIT RISK MITIGATION

A technique to reduce the credit risk associated with an exposure by application of credit risk mitigants such as collateral, guarantee and credit protection.

CURRENCY RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D**DEFERRED TAXATION**

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

DEFINED BENEFIT OBLIGATION

The costs of the defined benefit plans and the present value of its obligations are determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates and possible future gratuity increases, if any.

DEPRECIATION

The systematic allocation of the depreciable amount of an asset over its useful life.

DERECOGNITION

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

DERIVATIVES

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

DIVIDEND COVER

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

DIVIDEND PAYOUT RATIO

It is the percentage of earnings paid to shareholders in dividends.

DIVIDEND YIELD

Dividend earned per share as a percentage of its market value.

E**EARNINGS PER SHARE (EPS)**

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

EFFECTIVE PROFIT RATE (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

EFFECTIVE TAX RATE

Income tax expense for the year divided by the profit before tax.

EMPLOYEE SHARE OPTION PLAN (ESOP)

A method of giving employees shares in the business for which they work.

EQUITY INSTRUMENT

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

EQUITY RISK

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

EVENTS AFTER THE REPORTING DATE

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

EXERCISE PRICE

The fixed price at which an option holder can buy or sell the underlying.

EXPECTED CREDIT LOSSES

The weighted average of credit losses with the respective risks of a default occurring as the weights

EXPECTED LOSS (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

EXPOSURE AT DEFAULT (EAD)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & profit and expected drawdowns of committed facilities.

F**FAIR VALUE**

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (an exit price).

FAIR VALUE RESERVE

A reserve that captures the cumulative net change in the fair value of an asset as long as it is still recognized on the financial statements of an entity.

FINANCIAL ASSETS MEASURED AT AMORTISED COST

A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding.

FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME (FVOCI)

FVOCI include debt and equity instruments measured at fair value through other comprehensive income. A debt instrument is measured at FVOCI, if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding. Equity investments may be irrevocably classified as FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation, and are not held for trading.

FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS (FVTPL)

All financial assets other than those classified at Amortised Cost or FVOCI are classified as measured at FVTPL. These are held for trading or managed and their performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

FINANCE LEASE

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

FINANCIAL ASSETS

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

FINANCIAL GUARANTEE CONTRACTS

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

FINANCIAL INSTRUMENTS

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

FINANCIAL LIABILITY

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

FOREIGN EXCHANGE INCOME

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

FORWARD EXCHANGE CONTRACTS

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G**GENERAL PROVISIONS**

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

GUARANTEES

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H**HIGH QUALITY LIQUID ASSETS (HQLA)**

Assets that are unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible. These include, for example, cash and claims on central governments and central banks.

HISTORICAL COST CONVENTION

Recording transactions at the actual value received or paid.

I**IMPAIRMENT**

This occurs when the recoverable amount of an asset is less than its carrying amount.

IMPAIRMENT ALLOWANCES

Management's best estimate of losses incurred on its assets as at the reporting date.

IMPAIRMENT CHARGE/(REVERSAL)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

IMPAIRMENT (STAGE 3) TO STAGE 3 FINANCING AND ADVANCES RATIO

This ratio shows impaired Advances (Stage 3), net of stage 3 impairment provisions, as a percentage of total on balance sheet credit facilities and their respective undrawn amounts.

INDIVIDUALLY ASSESSED IMPAIRMENT

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

INTANGIBLE ASSET

An identifiable non-monetary asset without physical substance.

INVESTING ACTIVITIES

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

K**KEY MANAGEMENT PERSONNEL (KMP)**

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

KEY PERFORMANCE INDICATORS (KPIS)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L**LEASE LIABILITY**

A lease liability is a lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis. Under the new lease accounting standard, the lease liability is calculated as the present value of the lease payments over the lease term discounted, typically, using the lessee's incremental cost of funds.

LETTER OF CREDIT

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

LIQUID ASSETS

Assets that are held in cash or in a form that can be converted to cash readily.

LIQUIDITY COVERAGE RATIO (LCR)

Ratio of stock of high quality liquid assets available to Total net cash outflows over next 30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

LIQUIDITY RISK

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

LOSS GIVEN DEFAULT (LGD)

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M**MARKET CAPITALISATION**

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

MARKET RISK

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

MATERIALITY

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

MORATORIUM

Moratorium refers to the deferment of capital and/or profit payments which fall due within the respective concession periods.

However, moratorium does not mean a waiver-off of capital and/or profit permanently. The customer should pay the capital and/or profit payments which fall due within the concession periods at a later date according to the revised repayment plan.

N**NET ASSETS VALUE PER SHARE**

Shareholders' funds divided by the number of ordinary shares in issue.

NET REALISABLE VALUE

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

NET FINANCING MARGIN (NFM)

Net Financing income expressed as a percentage of average income earning assets.

NET STABLE FUNDING RATIO (NSFR)

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity capital, preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

NON PERFORMING ADVANCES (NPA) RATIO

Non-Performing advances expressed as a percentage of the total outstanding advances.

NOSTRO ACCOUNT

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O**OFF BALANCE SHEET TRANSACTIONS**

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

OPERATIONAL RISK

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P**PAST DUE**

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

PROBABILITY OF DEFAULT

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

PROJECTED UNIT CREDIT METHOD

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

PROVISIONS

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R**RELATED PARTIES**

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

RETAINED EARNINGS

Retained earnings (RE) is the amount of net income left over for the business after it has paid out dividends to its shareholders.

RETURN ON AVERAGE ASSETS (ROA)

Profit for the year divided by Average Assets.

RETURN ON EQUITY (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

REVALUATION RESERVE

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

REVENUE RESERVES

Reserves set aside for future distribution and investment.

RIGHT-OF-USE ASSET

The right-of-use asset, or ROU asset, is an asset that represents a lessee's right to operate, hold, or occupy a leased property, item, or piece of equipment for the lease term. It is calculated as the initial amount of the lease liability, plus lease payments made before lease commencement, plus initial direct costs, less any lease incentives.

RIGHTS ISSUE

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

RISK WEIGHTED ASSETS

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S**SCRIP DIVIDEND/ BONUS ISSUE**

This is a dividend which shareholders have the option to receive in the form of additional shares instead of cash.

SEGMENT REPORTING

Segment reporting indicates the contribution to the revenue derived from business segments.

SHAREHOLDERS' FUNDS

Shareholders' funds consist of stated capital plus capital and revenue reserves.

SINGLE BORROWER LIMIT

A percentage of total capital

STATUTORY RESERVE FUND

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T**TIER I CAPITAL**

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

TIER II CAPITAL

Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

TOTAL CAPITAL

Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

TRANSACTION COSTS

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U**UNDRAWN CREDIT LINES**

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

V**VALUE ADDED**

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

VALUE ADDED TAXES ON FINANCIAL SERVICES

Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

VOSTRO ACCOUNT

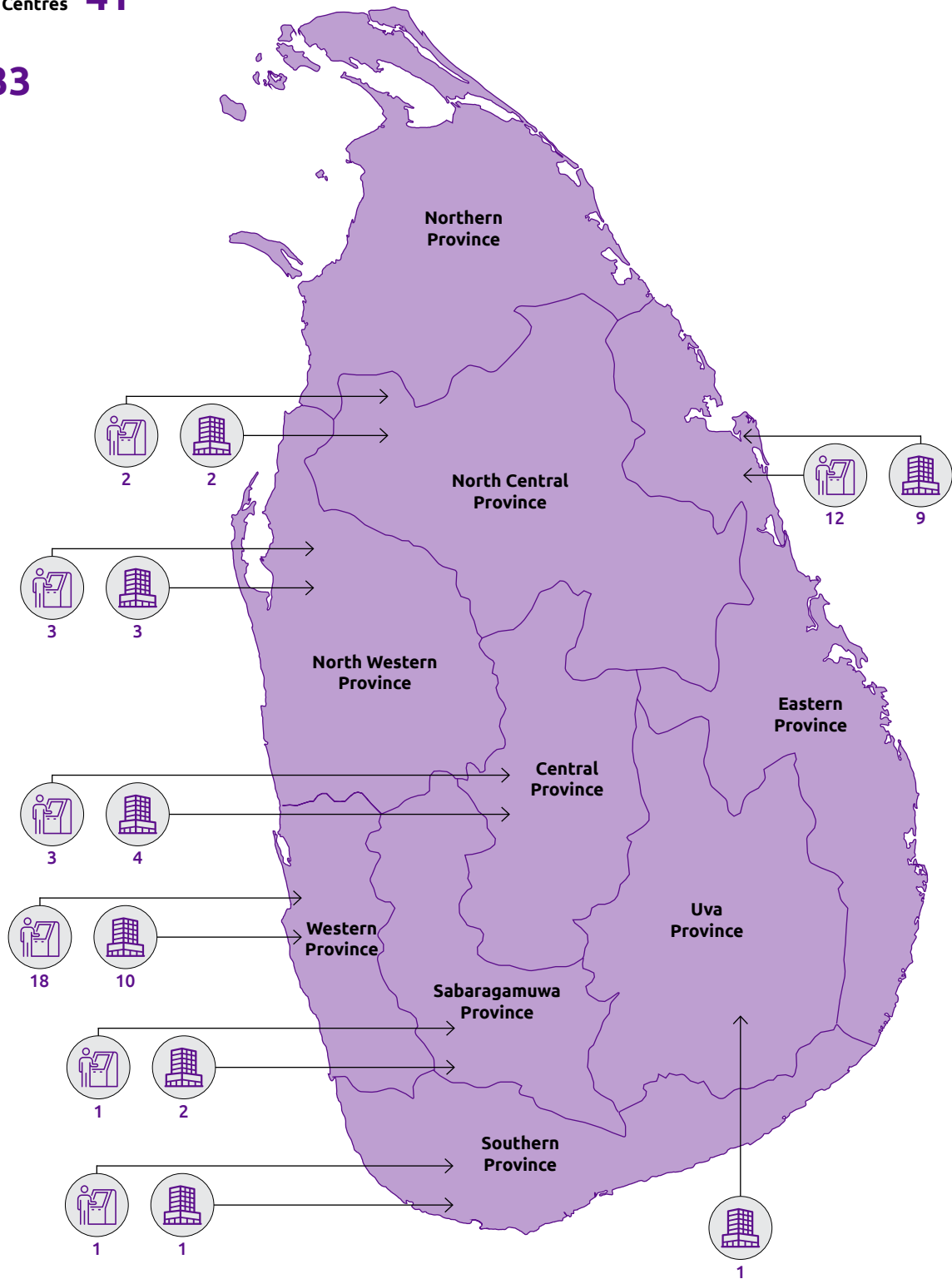
A Vostro account is an account the reporting bank holds on behalf of another bank. These accounts are an essential aspect of correspondent banking in which the bank holding the funds acts as custodian for or manages the account of a foreign counterpart.

W**WRITE-OFFS**

Financial assets are written off either partially or in their entirety only when the bank has no reasonable expectation of recovering a financial asset in its entirety or a portion thereof.

Self Banking Centres 41

Branches 33



BRANCH NETWORK INFORMATION

Branch	Address	District	Province	Telephone No.	E-Mail
Akkaraipattu	No.102, Main Street, Akkaraipattu.	Ampara	Eastern	067-7756277	akkaraipattu@amana.lk
Akurana	No. 352/7, Matale Road, Akurana.	Kandy	Central	081-7756010	akurana@amana.lk
Anuradhapura	No. 36A, Maithripala Senanayake Mawatha, Anuradhapura.	Anuradhapura	North Central	025-7756034	anuradhapura@amana.lk
Badulla	No. 18/1, Lower Kings Street, Badulla.	Badulla	Uva	055-7756021	badulla@amana.lk
Beruwala	No. 5, China Fort Road, Beruwala.	Kalutara	Western	034-7756251	beruwala@amana.lk
Dehiwala	No. 28, Galle Road, Dehiwala.	Colombo	Western	011-7756016	dehiwala@amana.lk
Dematagoda	No. 7, Kent Road, Dematagoda, Colombo 9.	Colombo	Western	011-7756028	dematagoda@amana.lk
Eravur	No. 108/5, Punnakuda Road, Eravur.	Batticaloa	Eastern	065-7756019	eravur@amana.lk
Galle	No. 24, Old Matara Road, Galle	Galle	Southern	091-7756008	galle@amana.lk
Gampola	No. 119, Kandy Road, Gampola.	Kandy	Central	081-7756011	gampola@amana.lk
Kaduruwela	No. 379, Main Street, Kaduruwela.	Polonnaruwa	North Central	027-7756022	kaduruwela@amana.lk
Kalmunai	No. 32, Main Street, Kalmunai.	Ampara	Eastern	067-7756006	kalmunai@amana.lk
Kalmunai Unity Square	KUS Shopping Complex, Main Street, Kalmunai.	Ampara	Eastern	067-7756026	kalmunaiunitysquare@mana.lk
Kandy	No. 105, Kotugodella Veediya, Kandy.	Kandy	Central	081-7756003	kandy@amana.lk
Kattankudy	No. 237, Main Street, Kattankudy.	Batticaloa	Eastern	065-7756004	kattankudy@amana.lk
Katugastota	No. 93, Kurunegala Road, Katugastota.	Kandy	Central	081-7756030	katugastota@amana.lk
Kinniya	No. 264, Main Street, Kinniya.	Trincomalee	Eastern	026-7756025	kinniya@amana.lk
Kirulapone	No. 124, Maya Avenue, Colombo 6	Colombo	Western	011-7756029	kirulapone@amana.lk
Kuliyapitiya	No. 215 1/1, Main Street, Kuliyapitiya.	Kurunegala	North Western	037-7756018	kuliyapitiya@amana.lk
Kurunegala	No. 137, Puttalam Road, Kurunegala.	Kurunegala	North Western	037-7756014	kurunegala.branch@amana.lk
Ladies Branch - Colombo 3	No. 365, Galle Road, Colombo 3.	Colombo	Western	011-7756005	ladiesbranch@amana.lk
Main Branch - Colombo 3	No. 365, Galle Road, Colombo 3.	Colombo	Western	011-7756000	mainbranch@amana.lk
Mawanella	No. 22B, New Kandy Road, Mawanella.	Kegalle	Sabaragamuwa	035-7756013	mawanella@amana.lk
Matale	No. 392-396, Main Street, Matale.	Matale	Central	066-7756033	matale@amana.lk
Negombo	No. 97, Colombo Road, Negombo.	Gampaha	Western	031-7756020	negombo@amana.lk
Nintavur	No. 40/5, Main Street, Nintavur 24.	Ampara	Eastern	067-7756017	nintavur@amana.lk
Ooddamavadi	Main Street, Ooddamavadi 01	Batticaloa	Eastern	065-7756225	ooddamavadi.branch@amana.lk
Old Moor Street	No. 330, Old Moor Street, Colombo 12.	Colombo	Western	011-7756027	oms@amana.lk
Panadura	No. 145, Galle Road, Pallimulla, Keselwatte, Panadura.	Kalutara	Western	038-7756032	panadura@amana.lk
Pettah	No. 129, Main Street, Colombo 11	Colombo	Western	011-7756002	pettah@amana.lk
Puttalam	No. 34/36, Kurunegala Road, Puttalam.	Puttalam	North Western	032-7756024	puttalam@amana.lk
Ratnapura	No. 227-231, Main Street, Ratnapura.	Ratnapura	Sabaragamuwa	045-7756023	ratnapura@amana.lk
Sammanthurai	Hajiyar Palace, Hijra Junction, Ampara Road, Sammanthurai	Ampara	Eastern	067-7756012	sammanthurai@amana.lk

SELF BANKING CENTRES INFORMATION

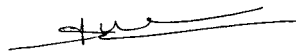
Location	Address	District	Province
Addalaichenai	New Shopping Complex, Pradeshiya Sabha Building, Addalachchenai	Ampara	Eastern Province
Atulugama	14, Sammeez Mahal, Bogahawaththa, Atulugama	Kalutara	Western Province
Batticaloa	111, Main Street, Batticaloa	Batticaloa	Eastern Province
China Fort	115 E, China Fort, Beruwala	Kalutara	Western Province
Dehiwala - Hill Street	160 A, D.B. Jayathilake Mawatha, Hill Street, Dehiwala	Colombo	Western Province
Dharga Town	241, Mathugama Road, Dharga Town	Kalutara	Western Province
Elabadagama	No. 409/1, Hamsiya Wattha, Elabadagama, Pannala	Kurunegala	North Western Province
Galhinna	226/3, Mosque Road, Galhinna	Kandy	Central Province
Geliya	34/A, Gampola Road, Geliya	Kandy	Central Province
Head Office	486, Galle Road, Colombo 03	Colombo	Western Province
Hemmathagama	2122/A, Mawanella Road, Hemmathagama	Kegalle	Sabaragamuwa Province
Irakkamam	No. 91, Ampara Road, Irakkamam - 08	Ampara	Eastern Province
Kalpitiya	202/B, Puttalam Road, Kalpitiya	Puttalam	North Western Province
Kalubowila	9 B, S.De.S Jayasinghe Mawatha, Kalubowila	Colombo	Western Province
Kaluthara (South)	437, Galle Road, Kalutara	Kalutara	Western Province
Kattankudy - Beach Road	Beach Road, New Kattankudy-03	Batticaloa	Eastern Province
Kekirawa	Shop # 10, EDC Arcade, Talawa Road, Kekirawa	Anuradhapura	North Central Province
Kolonnawa	529, Kolonnawa Road, Wellampitiya	Colombo	Western Province
Kompannavidiya	113, Justice Akbar Mawatha, Colombo 02	Colombo	Western Province
Madawala	227/2/2, Kandy Road, Madawala	Kandy	Central Province
Maligawatte	132/1 A, Jumma Masjid Road, Maligawatte	Colombo	Western Province
Malwana	114/1, Main Street, Malwana	Gampaha	Western Province
Maruthamunai	253, Main Street, Maruthamunai - 03	Ampara	Eastern Province
Mattakkuliya	74/18/2, Muthuwella Jumma Mosque, Muthuwella Mawatha, Colombo 15	Colombo	Western Province
Mutur	146, Main Street, Mutur	Trincomalee	Eastern Province
Narahenpita Cool Planet	193, Kirula Road, Colombo 05	Colombo	Western Province
Natpettimunai	343/A/1, Main Street, Natpettimunai - 04	Ampara	Eastern Province
Pulichchakulam	5931, Colombo Road, Pulichchakulam, Bathulu Oya	Puttalam	North Western Province
Pulmoddai	Main Street, Pulmoddai	Trincomalee	Eastern Province
Punanai	ICST Campus, Main Street, Jayanthiyaya, Punanai	Batticaloa	Eastern Province
Rajagiriya	1576/19, Cotta Road, Rajagiriya	Colombo	Western Province
Ratmalana	360, Galle Road, Ratmalana	Colombo	Western Province
Sainthamaruthu	20 A, Akkaraipattu Road, Sainthamaruthu	Ampara	Eastern Province
Siyambalaskotuwa	326, Kahatagahamada, Siyambalaskotuwa	Kurunegala	North Western Province
Thambala	No:93, Main Street, Al Hilal Pura, Thambalai	Polonnaruwa	North Central Province
Thihariya	124, Kandy Road, Thihariya	Gampaha	Western Province
Thoppur	Ward No 2 - Main Road Thoppur	Trincomalee	Eastern Province
Trincomalee	255, Central Road, Trincomalee	Trincomalee	Eastern Province
Wattala	697A, Negombo Road, Mabola, Wattala	Gampaha	Western Province
Weligama	No 67, Galbokke Road, Galbokka	Matara	Southern Province
Welisara	Phoenix Industries Show Room, No 445, Negombo Road, Welisara	Gampaha	Western Province

NOTICE IS HEREBY GIVEN THAT the Seventeenth Annual General Meeting (AGM) of Amāna Bank PLC will be held on Thursday, 14 May 2026 at 2.00 p.m. at No. 353, Galle Road, Colombo 3, Sri Lanka, as a virtual meeting using a digital platform.

AGENDA

- 1) To receive and consider the Annual Report of the Board of Directors and the Audited Financial Statements of the Bank, for the financial year ended 31 December 2025 together with the Report of the Auditors thereon.
- 2) To re-elect Mr. Mustafa Sattar Kassim (Non-Executive, Non-Independent Director), who was appointed to the Board to fill a vacancy and who offers himself eligible for re-election as a Director in accordance with Article 29(13) of the Articles of Association.
- 3) To re-elect Prof. Dr. Aishath Muneeza (Non-Executive, Independent Director), who was appointed to the Board to fill a vacancy and who offers herself eligible for re-election as a Director in accordance with Article 29(13) of the Articles of Association.
- 4) To re-elect Mr. Ali Asghar (Asgi) Akbarally, (Non-Executive, Non-Independent Director) who retires in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 5) To re-elect Mr. Mohamed Adamaly, (Non-Executive, Independent Director) who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 6) To re-elect Mr. Subasinghe Mudiyansele Tishan Harendranath Subasinghe (Non-Executive, Independent Director) who retires in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 7) In accordance with Banking (Amendment) Act, No. 24 of 2024, Messrs Ernst & Young, Chartered Accountants is not eligible to continue as Auditors of the Bank and is not seeking re-appointment. Hence, the Board of Directors recommend the appointment of Messrs KPMG, Chartered Accountants as Auditors of the Bank for the ensuing year and request the Shareholders to authorise the Directors to determine their remuneration.
- 8) To re-appoint the Sharia Supervisory Council consisting of:
 - (a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - (b) Ash-Sheikh Mufti M. I. M. Rizwe
 - (c) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 9) To authorise the Directors to determine contributions to charities for the financial year 2026.
- 10) To consider any other business of which due notice has been given.

By Order of the Board
Amāna Bank PLC



S Dayani De Silva
Company Secretary

25 March 2026
Colombo.

Notes:

- i. A Shareholder is entitled to appoint a proxy to participate at the Meeting by virtual means and vote instead of him/her. A proxy need not be a shareholder of the Bank.
- ii. A Form of Proxy is enclosed for this purpose.
- iii. Shareholders who wish to participate at the AGM through the online platform are kindly requested to complete and forward the "Registration of Shareholder Information" form attached hereto to the email address "agm@amana.lk" with the email subject title "AGM 2026" or post it to the address mentioned below to be received not less than forty eight (48) hours before the start of the meeting. Shareholders are requested to provide their email addresses in the space provided in the "Registration of Shareholder Information" form in order to forward the web link if they wish to participate at the meeting through the online platform.
- iv. Shareholders who wish to appoint a member of the Board of Directors as his/her proxy to represent them at the AGM may do so by completing the Form of Proxy. In such an event the email address of the proxy holder will not be required.
- v. Shareholders may send their questions/ comments on the items listed in the Agenda of the Notice convening the AGM by email to "agm@amana.lk" or by post to Company Secretary, Amāna Bank PLC, Company Secretarial Division, 3rd Floor, No. 353, Galle Road, Colombo 3, Sri Lanka not less than 3 days before holding of the meeting.
- vi. The instrument appointing a proxy should be deposited at Amāna Bank PLC, Company Secretarial Division, 3rd Floor, No. 353, Galle Road, Colombo 3, Sri Lanka not less than forty eight (48) hours before the start of the meeting.

I/We* of
.....being shareholder/s of Amāna Bank PLC
hereby appoint:
of.....
NIC No.:or failing him/her*

- | | |
|--|----------------|
| 1. Mr. Ali Asghar (Asgi) Akbarally | or failing him |
| 2. Mr. Mohamed Azmeer | or failing him |
| 3. Mr. Khairul Muzamel Perera Bin Abdullah | or failing him |
| 4. Mr. Mohammed Ataur Rahman Chowdhury | or failing him |
| 5. Mr. Syed Muhammed Asim Raza | or failing him |
| 6. Mr. Tishan Subasinghe | or failing him |
| 7. Mr. Mohamed Adamaly | or failing him |
| 8. Mr. Mohammad Hassan | or failing him |
| 9. Mr. Delvin William Pereira | or failing him |
| 10. Mr. Mohamed Zaheer Mohamed Azreen | or failing him |
| 11. Mr. Senthilvel Senthil Nandhanan | or failing him |
| 12. Mr. Mustafa Sattar Kassim | or failing him |
| 13. Prof. Dr. Aishath Muneeza | |

as my/our* Proxy to represent and speak for me/us* and vote for me/us* on my/our* behalf at the Seventeenth Annual General Meeting of the Bank to be held on Thursday, 14 May 2026 at 2.00 p.m. via a digital platform, at No. 353, Galle Road, Colombo 3, Sri Lanka and at any adjournment thereof and at every poll which may be taken in consequence thereof. *I/We the undersigned hereby authorise my/ our Proxy to vote on *my/our behalf in accordance with the preference indicated below. (Please indicate your preference with a “√” in the relevant box)

*Please delete what is inapplicable.

	FOR	AGAINST	ABSTAINED
1. To receive and consider the Annual Report of the Board of Directors and the Audited Financial Statements of the Bank for the financial year ended 31 December 2025 together with the Report of the Auditors thereon.	☐	☐	☐
2. To re-elect Mr. Mustafa Sattar Kassim (Non-Executive, Non-Independent Director), who was appointed to the Board to fill a vacancy and who offers himself eligible for re-election as a Director in accordance with Article 29(13) of the Articles of Association.	☐	☐	☐
3. To re-elect Prof. Dr. Aishath Muneeza (Non-Executive, Independent Director), who was appointed to the Board to fill a vacancy and who offers herself eligible for re-election as a Director in accordance with Article 29(13) of the Articles of Association.	☐	☐	☐
4. To re-elect Mr. Ali Asghar (Asgi) Akbarally, (Non-Executive, Non-Independent Director) who retires in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
5. To re-elect Mr. Mohamed Adamaly (Non Executive Independent Director) who retires in terms of Article 29 (6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
6. To re-elect Mr Subasinghe Mudiyanseelage Tishan Harendranath Subasinghe (Non-Executive, Independent Director) who retires in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
7. In accordance with Banking (Amendment) Act, No. 24 of 2024, Messrs Ernst & Young, Chartered Accountants is not eligible to continue as Auditors of the Bank and is not seeking re-appointment. Hence, the Board of Directors recommend the appointment of Messrs KPMG, Chartered Accountants as Auditors of the Bank for the ensuing year and request the Shareholders to authorise the Directors to determine their remuneration.	☐	☐	☐
8. To re-appoint the Sharia Supervisory Council consisting of: (a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani (b) Ash-Sheikh Mufti M. I. M. Rizwe (c) Ash-Sheikh Mufti Muhammad Hassaan Kaleem	☐	☐	☐
9. To authorise the Directors to determine contributions to charities for the financial year 2026.	☐	☐	☐

Signed this.....day of.....2026.

.....
Signature

Please provide the following details:

Shareholder’s NIC No./Company Registration No.:

Number of Shares held:

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary, delete the inapplicable words indicated by an asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, Company Secretarial Division, 3rd Floor, No. 353, Galle Road, Colombo 3, Sri Lanka not less than forty eight (48) hours before the start of the meeting.
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Bank.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/ Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.

NAME OF THE INSTITUTION

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Main Board of the Colombo Stock Exchange and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

COMPANY REGISTRATION NUMBER

PB 3618 PQ

ACCOUNTING YEAR END

31 December

BUSINESS

Commercial banking and related services

EXTERNAL CREDIT RATING

- ◆ Fitch Ratings Lanka Limited as BBB-(lka) with a Stable Outlook
- ◆ Lanka Rating Agency Limited as BBB+ with a Stable Outlook

INDUSTRY MEMBERSHIPS

- ◆ The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)
- ◆ The Islamic Financial Services Board (IFSB)
- ◆ The Association of Alternate Financial Institutions (AAFI)

REGISTERED OFFICE

486, Galle Road, Colombo 3, Sri Lanka

Tel : +94 117 756 756

Email : info@amana.lk

SWIFT

AMNALKLX

WEB

www.amanabank.lk

TAX PAYER IDENTIFICATION NUMBER (TIN)

134036184

VAT REGISTRATION NUMBER

134036184-7000

BOARD OF DIRECTORS

1. Mr. Ali Asghar Akbarally – Chairman (Non-Executive, Non-Independent Director)
2. Mr. Mohamed Azmeer (Managing Director/Chief Executive Officer)
3. Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Senior Independent Director)
4. Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)
5. Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director)
6. Mr. Tishan Subasinghe (Non-Executive, Independent Director)
7. Mr. Mohamed Adamaly (Non-Executive, Independent Director)
8. Mr. Mohammad Hassan (Non-Executive, Non-Independent Director)
9. Mr. Delvin William Pereira (Non-Executive, Independent Director)
10. Mr. Mohamed Zaheer Mohamed Azreen (Non-Executive, Independent Director)
11. Mr. Senthilvel Senthil Nandhanan (Non-Executive, Non-Independent Director)
12. Mr. Mustafa Sattar Kassim (Non-Executive, Non-Independent Director) – Appointed w.e.f. 5 February 2026
13. Prof. Dr. Aishath Muneeza (Non-Executive, Independent Director) - Appointed w.e.f. 26 February 2026

SHARIA SUPERVISORY COUNCIL

1. Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani - Chairman
2. Ash-Sheikh Mufti M. I. M. Rizwe - Member
3. Ash-Sheikh Mufti Muhammad Hassaan Kaleem – Member

BOARD COMMITTEES

Board Audit Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Mohamed Zaheer Mohamed Azreen - Member
3. Mr. Mohammad Hassan - Member

Board Integrated Risk Management Committee

1. Mr. Khairul Muzamel Perera Bin Abdullah - Chairman
2. Mr. Delvin William Pereira - Member
3. Mr. Mohammed Ataur Rahman Chowdhury - Member

Board Nomination and Governance Committee

1. Mr. Mohamed Zaheer Mohamed Azreen - Chairman
2. Mr. Ali Asghar Akbarally - Member
3. Mr. Khairul Muzamel Perera Bin Abdullah - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Delvin William Pereira - Member

Board Human Resources and Remuneration Committee

1. Mr. Delvin William Pereira - Chairman
2. Mr. Ali Asghar Akbarally - Member
3. Mr. Mohammed Ataur Rahman Chowdhury - Member
4. Mr. Mohamed Zaheer Mohamed Azreen - Member

Board Related Party Transactions Review Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Delvin William Pereira - Member
3. Mr. Mohamed Zaheer Mohamed Azreen - Member

COMPANY SECRETARY

Mrs. Samitha Dayani De Silva

AUDITORS

Messrs Ernst & Young Chartered Accountants Rotunda Towers, No. 109, Galle Road, Colombo 3, Sri Lanka

LAWYERS

Messrs F J & G de Saram Attorneys-at-Law & Notaries Public No. 216, De Saram Place, Colombo 10, Sri Lanka

FOR INVESTOR RELATIONS AND CLARIFICATIONS ON THE REPORT, PLEASE CONTACT:

The Company Secretary
Company Secretarial Division
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